A SPECTRUM OF DIMENSIONS

ENDURING PROGRESS

BANK OF CEYLON ANNUAL REPORT 2025

BANK OF CEYLON
BOC
Bankers to the Nation

Bank of Ceylon

For 85 years, we have stood as a steadfast bridge between Sri Lankans and their aspirations, guided by an enduring commitment to national progress. Drawing on the depth of our expertise and the strength of our team, the Bank continues to create lasting value whilst upholding our role as ...

‘Bankers to the Nation’

Vision

To lead Sri Lanka's financial progress by being its most preferred digitally driven bank with a strong global reach.

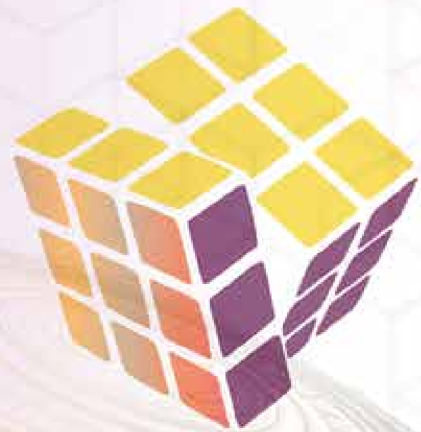
Mission

To deliver secure, inclusive, and technology-enabled financial services that empower individuals, businesses, and communities to uphold service excellence across our nationwide and global network: and to create sustainable value for our customers, employees, and other stakeholders.

Corporate Values

In achieving our vision to be the Nation's preferred bank, with a strong global presence, providing customer-centric innovative financial solutions, we are committed to upholding our core five values as follows:

- Being customer-centric
- Respecting all forms of diversity
- Committing towards high level of ethics, governance and professionalism
- Focusing towards agility and innovation
- Being accountable for all our actions



A SPECTRUM OF DIMENSIONS

ENDURING PROGRESS

Progress is rarely linear. It unfolds across spectrums; economic, social, digital, human, environmental and governance each shifting, intersecting, and influencing the other. Like a multidimensional Rubik's cube, the nation's prosperity is shaped not by a single move, but by the alignment of countless interconnected dimensions.

As Sri Lanka's leading bank, Bank of Ceylon stands at the centre of these interconnected spectrums acting not just as a participant, but as a catalyst of national progress.

We navigate the full dimensionality of the country's economic system, balancing stability with innovation, growth with governance, inclusion with technology, and the present with the future.

From this position of enduring leadership, every decision becomes a purposeful shift within this multidimensional space by unlocking value across layers and shaping outcomes.

In this multidimensional landscape, our responsibility goes beyond simply navigating complexity. It calls for a deeper understanding of the forces that shape shifts in markets, evolving human aspirations, global business dynamics, rapid digital acceleration, and the imperatives of broader sustainability.

By recognising these influences and harnessing their momentum, we can align diverse energies towards a singular, transformative purpose: advancing national progress.

BANK OF CEYLON
BOC
Bankers to the Nation

CONTENT

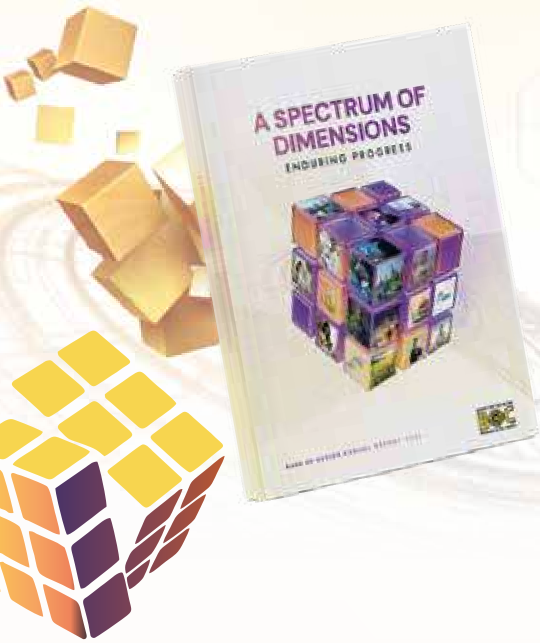
OVERVIEW

A Legacy Of Excellence

For 86 years, the Bank of Ceylon has been at the heart of Sri Lanka's economy and community. As the nation's largest and most trusted bank, it empowers communities and shapes lives. The Bank stands as a beacon of progress for generations of Sri Lankans.

The Rubik's Cube serves as a visual metaphor for how Bank of Ceylon navigates multiple strategic priorities simultaneously, ensuring that every move contributes to sustainable value creation for the nation.

ABOUT THIS REPORT

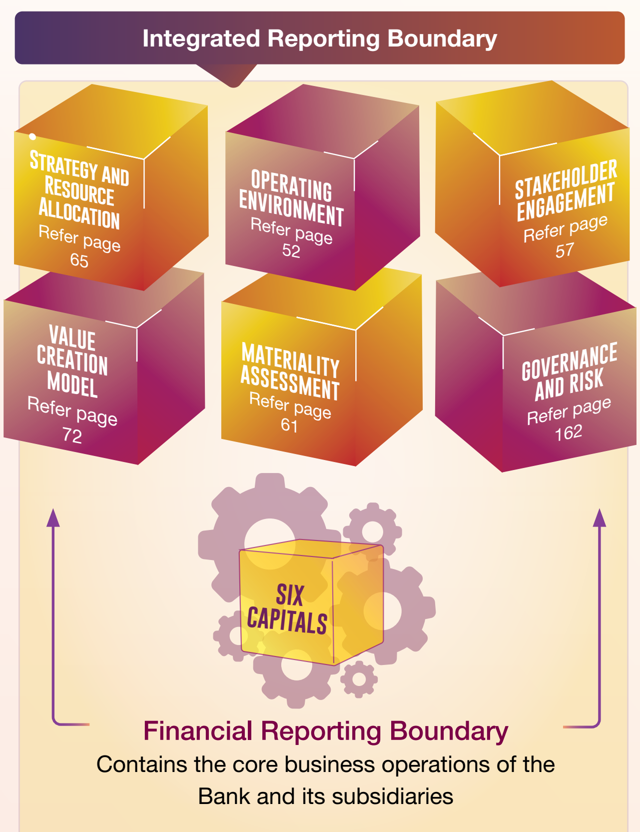


WELCOME TO BANK OF CEYLON ANNUAL REPORT 2025

Bank of Ceylon presents 13th Integrated Annual Report for the financial year ended 31 December 2025, reflecting a year marked by multidimensional growth, resilience and meaningful national impact.

This year's theme, 'A Spectrum of Dimensions - Enduring Progress,' epitomises the Bank's enduring strength built across multiple dimensions of values. As Sri Lanka's largest and most trusted banking institution, the Bank's capabilities spanning financial resilience, operational excellence, technological innovation, human capital, governance, integrity, national reach and international connectivity are distinct yet interconnected.

This Report is designed to resonate with all stakeholders; Customers, Employees, Shareholder and Fund Providers, Community and Environment, Business Partners and Regulators, highlighting how the Bank leverages its multidimensional strength to deliver inclusive growth, national development and enduring trust. It is not merely a record of achievements, but a reflection of a dynamic institution where multiple strengths converge to create meaningful and enduring impact.



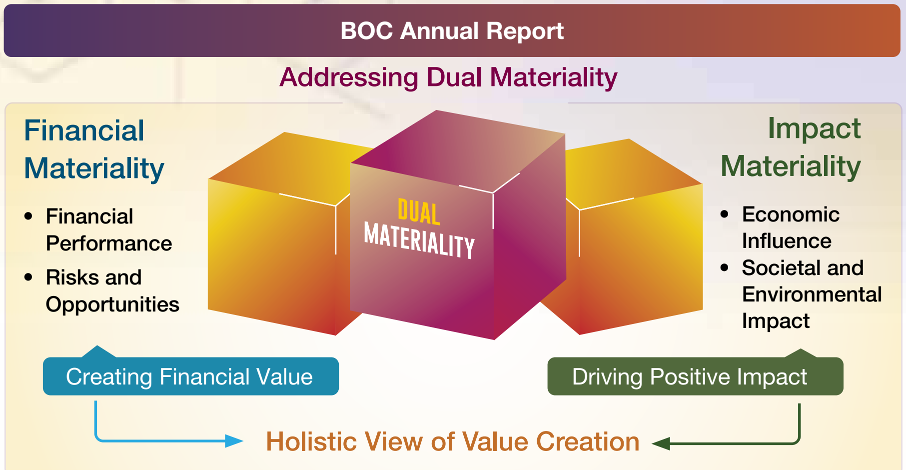
REPORTING SCOPE AND BOUNDARY GRI 2-2,3,6

This Report provides a comprehensive view of the domestic and overseas operations of Bank of Ceylon (hereafter referred to as 'BOC' or 'the Bank') and its subsidiaries (collectively referred to as 'the Group') from 1 January 2025 to 31 December 2025.

Key financial aspects represent consolidated information, while non-financial aspects are discussed in context of the Bank, given its dominance within the Group. The reporting boundary remains unchanged from the previous year and there were no significant changes to the Group's size, structure, or supply-chain except the establishment of BOC IT Solutions (Private) Limited.

MATERIALITY

The Bank embraces the principle of **dual materiality**, addressing both financial and impact dimensions. It not only reports on matters that influence the Bank's financial performance but also highlights issues that affect society, the environment, and the broader economy. This approach ensures that stakeholders gain a holistic view of the Bank's value creation, capturing how its operations generate measurable impact while sustaining long-term financial resilience.



REPORTING FRAMEWORKS

We have progressed beyond a purely compliance-driven approach to embrace internationally recognised best practices in corporate reporting. Our reporting framework is anchored in the requirements of Sri Lanka Financial Reporting Standards (SLFRS) and the regulatory guidelines and industry best practices, while also aligning with globally accepted standards including the International Integrated Reporting Framework, the Global Reporting Initiative (GRI) Standards, and the Standards issued by the Sustainability Accounting Standards Board (SASB).

With the introduction of SLFRS Sustainability Standards; SLFRS S1-General Requirements for Disclosure of Sustainability-related Financial Information and SLFRS S2-Climate related Disclosures, we have voluntary aligned with the requirements of SLFRS Sustainability related Financial Disclosures, while applying the transitional relief provided by the Standard for first time adopters.

T A

Financial Reporting (Regulatory)

- Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka
- Banking Act No. 30 of 1988 and amendments
- Listing Rules of the Colombo Stock Exchange (CSE)
- Securities and Exchange Commission of Sri Lanka Act No. 36 of 1987 and amendments
- Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995
- Guidelines issued by CBSL and CSE listing requirments on Financial Statements and other disclosures for Licensed Commercial Banks

T G A

Corporate Governance, Compliance and Risk Management Reporting (Regulatory)

- Bank of Ceylon Ordinance No. 53 of 1938 and amendments
- Listing Rule No. 9 of the Colombo Stock Exchange
- Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks in Sri Lanka
- Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka (2023)
- Banking Act Direction No. 01 of 2016 on Capital Requirements under BASEL III and its amendments

T

Integrated Reporting (Voluntary)

- The International Integrated Reporting <IR> Framework of the International Integrated Reporting Council (IIRC)
- A Preparer's Guide to Integrated Reporting, issued by the Institute of Chartered Accountants of Sri Lanka

T A S

Sustainability Reporting (Voluntary unless otherwise stated)

- Global Reporting Initiative (GRI) Standards issued by the Global Sustainability Standards Board (GSSB)
- Banking Act Direction No. 05 of 2022 on Sustainable Finance Activities of Licensed Banks (Regulatory)
- SLFRS Sustainability related Financial Disclosure Standards – SLFRS S1 and S2
- United Nations (UN) Sustainable Development Goals (SDGs)
- Sustainability Accounting Standards for Commercial Banks issued by the Sustainability Accounting Standards Board (SASB) of the IFRS Foundation
- ISO 14064-1:2018 Specification with guidance at the organisation level for quantification and reporting of greenhouse gas emissions and removals
- Gender Parity Reporting Framework of CA Sri Lanka
- GHG Protocol Corporate Accounting and Reporting Standard (Regulatory)

T Transparency | A Accountability | G Governance | S Sustainability

ABOUT THIS REPORT

COMMITMENT TO TAGS

Transparency, Accountability, Governance and Sustainability guide every decision of the Bank as we uphold public trust, ensure ethical stewardship, and deliver sustainable value for all stakeholders.

TRANSPARENCY

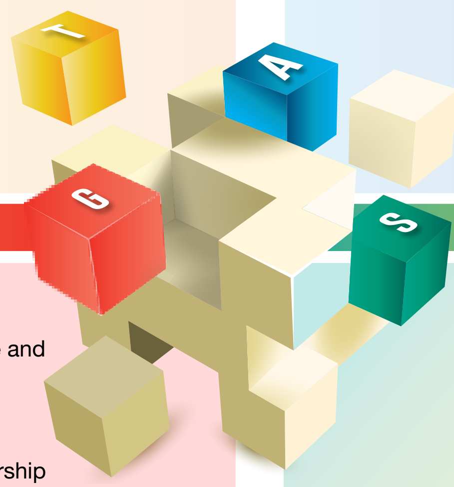
Demonstrated through:

- Mandatory and voluntary adoption of reporting best practices by the Board
- Independent external assurance
- Alignment with internationally recognised reporting standards
- Clear and timely disclosure of information
- Consistent policies and procedures

ACCOUNTABILITY

Demonstrated through:

- Responsibility for the content of the Integrated Report
- Accountability for financial reporting and internal controls
- Oversight of risk management and capital adequacy
- Stewardship reflected in the Annual Report of the Board of Directors and Chairman's Statement



GOVERNANCE

Demonstrated through:

- Compliance with the Code of Best Practices on Corporate Governance and regulatory directions
- Structured Board and Board Sub Committee oversight
- Promoting ethical culture and leadership
- Continuous strengthening of risk governance, compliance and control environments

SUSTAINABILITY

Demonstrated through:

- Integration of sustainability considerations into business strategy and reporting
- Embedded sustainability into governance structure
- Alignment with global sustainability standards and frameworks
- Policies and practices promoting responsible banking, social impact, and environmental management

PRECAUTIONARY PRINCIPLE

The Bank's approach to mainstreaming sustainability in its core business operations has foundational consideration for the precautionary principle. The Bank's efforts towards sustainable financing, outlined on pages 153-160, detailed actions taken not only to mitigate potential negative impacts of operations, but also to proactively address local and global challenges to the environment and health and safety of stakeholders.

COMBINED ASSURANCE

GRI 2-4,5

We aim to ensure the integrity of both our financial and non-financial information through a combination of monitoring and oversight by management as well as the use of internal audit and external assurance providers. Through this combined assurance model, we seek to optimise the assurance obtained from management as well as internal and external assurance providers while fostering a strong ethical context and mechanisms to ensure compliance.

National Audit Office

External assurance of the Consolidated Financial Statements

Audit Committee and Internal Audit Functions

Responsible for ensuring the effectiveness of the Group's financial reporting processes and relevant internal controls

Corporate Management Team

Accountable to the Board for preparation of the Report

The Report has been prepared with input from the leadership team, cross-functional internal information, and other relevant external information.

Sustainability information published in the Report has been externally assured by Messrs Ernst & Young. There were no major restatements of non-financial information published during the previous year.

FORWARD LOOKING STATEMENTS

Certain forward-looking statements regarding the Group's future performance and prospects may be included in this Report. These statements cannot be considered guarantees of future performance or outcomes as they may be influenced by emerging risks, future events, changing circumstances and other important factors that cannot be predicted and are out of the Bank's control. These events may cause actual results to differ from the current expectations as disclosed in this Report.

OUR INTEGRATED REPORTING JOURNEY

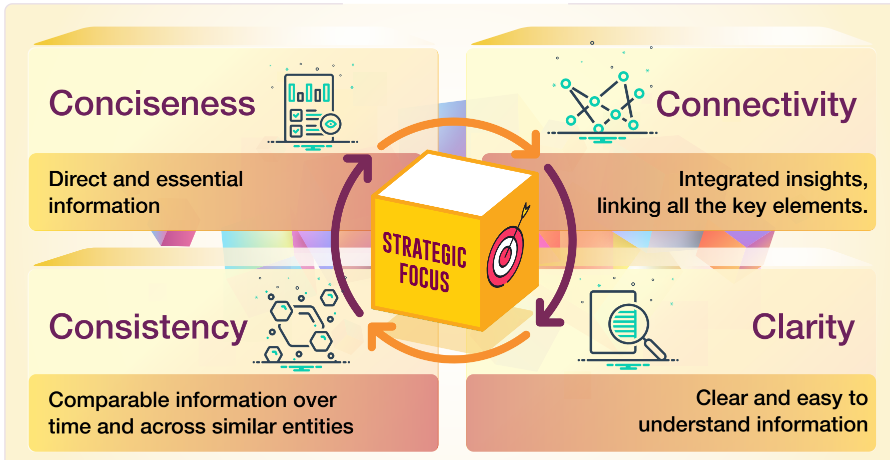
Since 2012, the Bank has progressively advanced Integrated Reporting journey, embedding Integrated Thinking into its strategy and operations. As Sri Lanka's largest and most trusted banking institution, the Bank recognised the importance of moving beyond traditional financial reporting to present a comprehensive picture of value creation.

Over the years, the Bank has refined its reporting practices to better articulate how its capitals interacts to drive sustainable outcomes. This evolution reflects a deliberate effort to demonstrate not only performance, but also purpose; how the Bank's activities contribute to customers, communities, the national economy and future generations.

Through this integrated approach, Bank of Ceylon continues to offer stakeholders a transparent account of its value creation journey illustrating resilience, multidimensional strength and its enduring commitment to national progress. Embracing the concept of Integrated Thinking promotes a mindset that helps us balance short, medium and long-term outcomes, which is fundamental to our ability to create value sustainably over time and encourages a comprehensive and strategic approach to decision-making.

Primarily addressed to stakeholders, this Report showcases how the Bank's vision articulates and drives the organisation's strategy, value creation, and stakeholder engagement within the context of an ever-evolving operating environment. In addition to the Bank's qualitative and quantitative results, this Report further outlines the Bank's outlook, and an assurance of its ability to generate long-term value.

The Integrated Report Highlights:



IMPROVEMENTS TO THIS REPORT

This year, our reporting is enhanced to reflect the strength with greater focus and forward orientation.

1	Strengthened Integrated Reporting by incorporating transparency, accountability, governance and sustainability to the reporting framework.
2	Enhanced Integrated Reporting Framework with voluntary disclosures on SLFRS S1 and S2 and compliance with SASB standard requirements.
3	Greater emphasis on material topics by conducting a materiality assessment to prioritise the evolving economic, environmental, social and governance issues that influence sustainable value creation for the Bank.
4	Strategies ahead articulated across defined time horizons of short term, medium and long terms. This structured horizon approach demonstrates how present actions are deliberately aligned with long-term value creation.
5	Enhanced risk and governance reporting for a greater transparency on mitigation strategies and Board oversight.
6	Enhanced assurance on Sustainability Reporting and Integrated Reporting.

ABOUT THIS REPORT

NAVIGATION ICONS

Stakeholders

Customers

Employees

Shareholder and Fund Providers

Community and Environment

Business Partners

Regulators

Six Capitals

Financial Capital

Manufactured Capital

Human Capital

Intellectual Capital

Social and Relationship Capital

Natural Capital

Strategic Pillars

Stability, Governance and Sustainable Growth

Excellence in Customer Experience

Digital Excellence

Rewarding Credit Culture and Healthy Credit Portfolio

Building a High-Performing Team

Risk Categories

R1 CREDIT RISK

R2 MARKET RISK

R3 OPERATIONAL RISK

R4 LIQUIDITY RISK

Material Topics

M1 Economic Performance

M2 Digitalisation and Transformation

M3 Customer Experience and Marketing

M4 Business Ethics and Regulatory Compliance

M5 Employee Relations

M6 Responsible Financing

M7 Climate Change and GHG Emissions

M8 Industry Partnerships and Collaborations

M9 Responsible Sourcing and Resource Management

M10 Community Development and Engagement

COMMUNICATION AND REACH OF THE ANNUAL REPORT 2025

Feedback

GRI 2-3

Please direct suggestions and comments about this Report to **cfo@boc.lk**

Colombo Stock Exchange website

Bank of Ceylon website

Audio versions of Chairman's and General Manager's messages

Video capturing highlights Annual Report - 2025

CREATING VALUE THROUGH INTEGRATED THINKIING

Embracing integrated thinking enables the Bank to adopt a holistic perspective that balances short-term performance with long-term value creation. By recognising the linkages between strategy, governance, risk management, and sustainability, the Bank ensures that its decisions align with organisational objectives and stakeholder expectations. This approach strengthens collaboration, improves resource allocation, and supports sustainable value creation while enabling the Bank to remain resilient in a dynamic business environment.

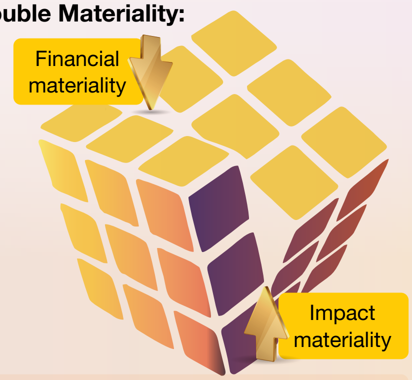
DETERMINING MATERIAL MATTERS

Operating Environment
Page 52

Stakeholder Engagement
Page 57

Risks and Sustainable Growth
Page 191

Double Materiality:



FORMULATION OF OUR STRATEGY AND RESOURCE ALLOCATION

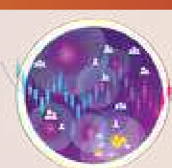
Strategic Pillars

Resource Allocation
Page 65

EXECUTION OF STRATEGY THROUGH KEY BUSINESS LINES

Retail Banking
Page 115

Corporate and Offshore Banking
Page 121



International, Treasury, Investment and Overseas Operations
Page 126

MANAGING RISKS, ENSURING SOUND CORPORATE GOVERNANCE AND EMBEDDING SUSTAINABILITY

Risk Management

Through proactive risk management, the Bank safeguards stakeholder value while strengthening stability and resilience.

Page 191

Corporate Governance

A strong corporate governance framework guides the Bank's actions, promoting ethical conduct and alignment with its core values.

Page 162

Sustainability

Sustainability drives our operations and aligns with the United Nations Sustainable Development Goals (UN SDGs).

Page 75

DELIVERING ON STAKEHOLDERS EXPECTATIONS

Ensuring value creation, trust, and responsible growth across all stakeholders.

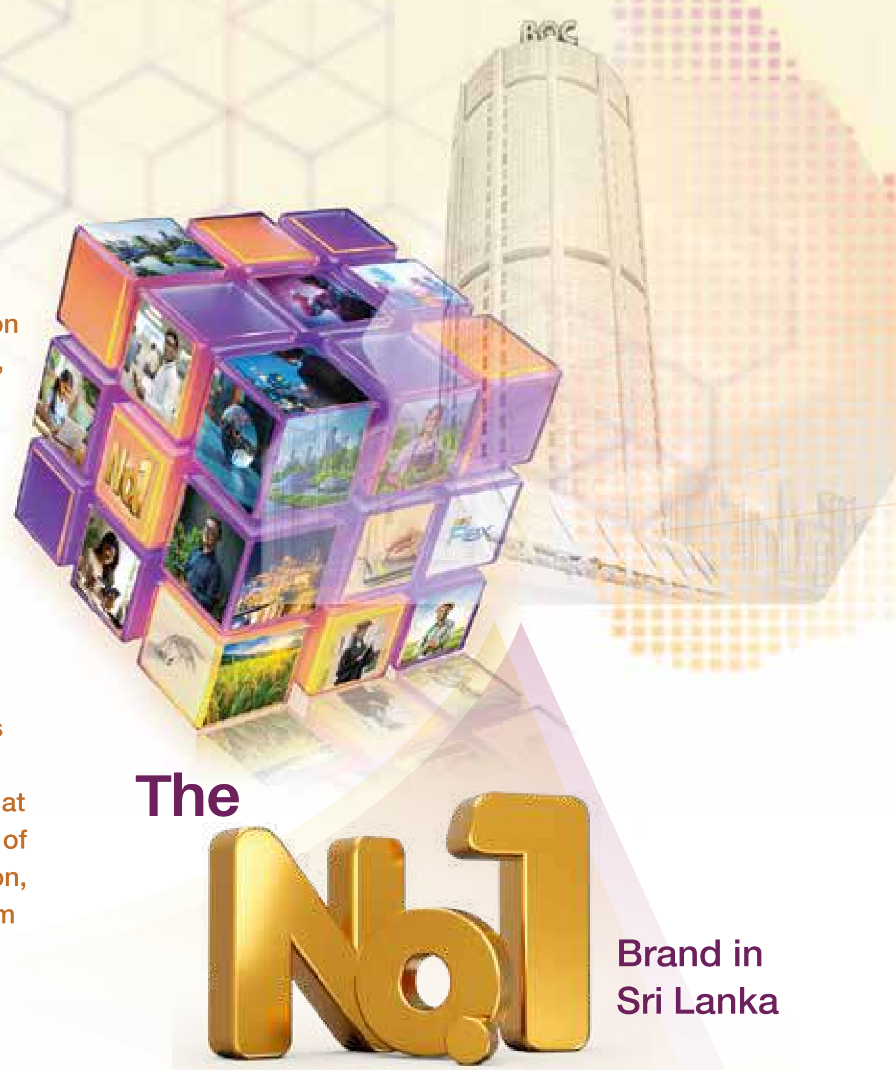
Page 72

OVERVIEW OF BANK OF CEYLON

A MULTIDIMENSIONAL FORCE POWERING NATIONAL PROGRESS

As Sri Lanka's leading commercial bank, Bank of Ceylon acts as the Bankers to the Nation with the largest market share of industry assets, loans and advances, and deposits. Recognised as a Domestic Systemically Important Bank (D-SIB), the Bank's role extends far beyond traditional banking to serving the interests of national significance.

With a defining legacy of over 86 years, BOC is deeply woven into the social and economic fabric of our nation by serving over 16.0 million customers. From individuals to large corporates and institutions, we take pride in offering inclusive, customer-centric banking solutions that respond to real needs across diverse segments of society. Supported by a strong capital foundation, modern digital capabilities and a dedicated team of professionals, the Bank remains committed to realising aspirations of all Sri Lankans whilst supporting the nation's economic progress.



DISTINCTIVE STRENGTHS THAT RESONATE STABILITY AND GROWTH

Assets:
LKR 5.5 trillion

Deposits:
LKR 4.4 trillion

Gross Loans and Advances:
LKR 2.7 trillion

Equity:
LKR 365.8 billion

Profit Before Tax:
LKR 120.8 billion

Customer Touchpoints:
2,413

Customer Penetration: **76%**

Employees:
8,912

Brand Value:
LKR 57.4 billion

First and only Sri Lankan Bank among World's Top 500 Banking Brands

Global Ranking:
Only Sri Lankan Bank among Top 1,000 Banks in the World for 16 years

Credit Rating by Fitch:
Local : AA-(lka)/ Stable
International: CCC+

01 Financial Strength and Stability

A resilient financial powerhouse with total assets of LKR 5.5 trillion, capital adequacy of 16.9% and Profit before tax of LKR 120.8 billion, driving confidence across economic cycles.

02 Diversified Product and Client Portfolio

Serving the full economic spectrum from retail customers and SMEs to corporates, state institutions, and large conglomerates through a comprehensive suite of lending, investment, trade finance, and treasury solutions.

03 Nationwide Reach Driving Inclusivity

A truly national bank connecting over 16.0 million customers through over 2,400 local customer touchpoints extending financial empowerment to rural communities, women entrepreneurs and emerging business segments.

Bridging Sri Lanka with the world through overseas operations, strong correspondent banking relationships and facilitating the highest market share in remittances, supporting Sri Lankan livelihoods and foreign currency inflows.

04 Digital Innovation Transforming Access

Enabling over 88% seamless digital banking transactions, with 23% growth, powered by integrated digital payment ecosystems.

05 Sustainability and Social Responsibility

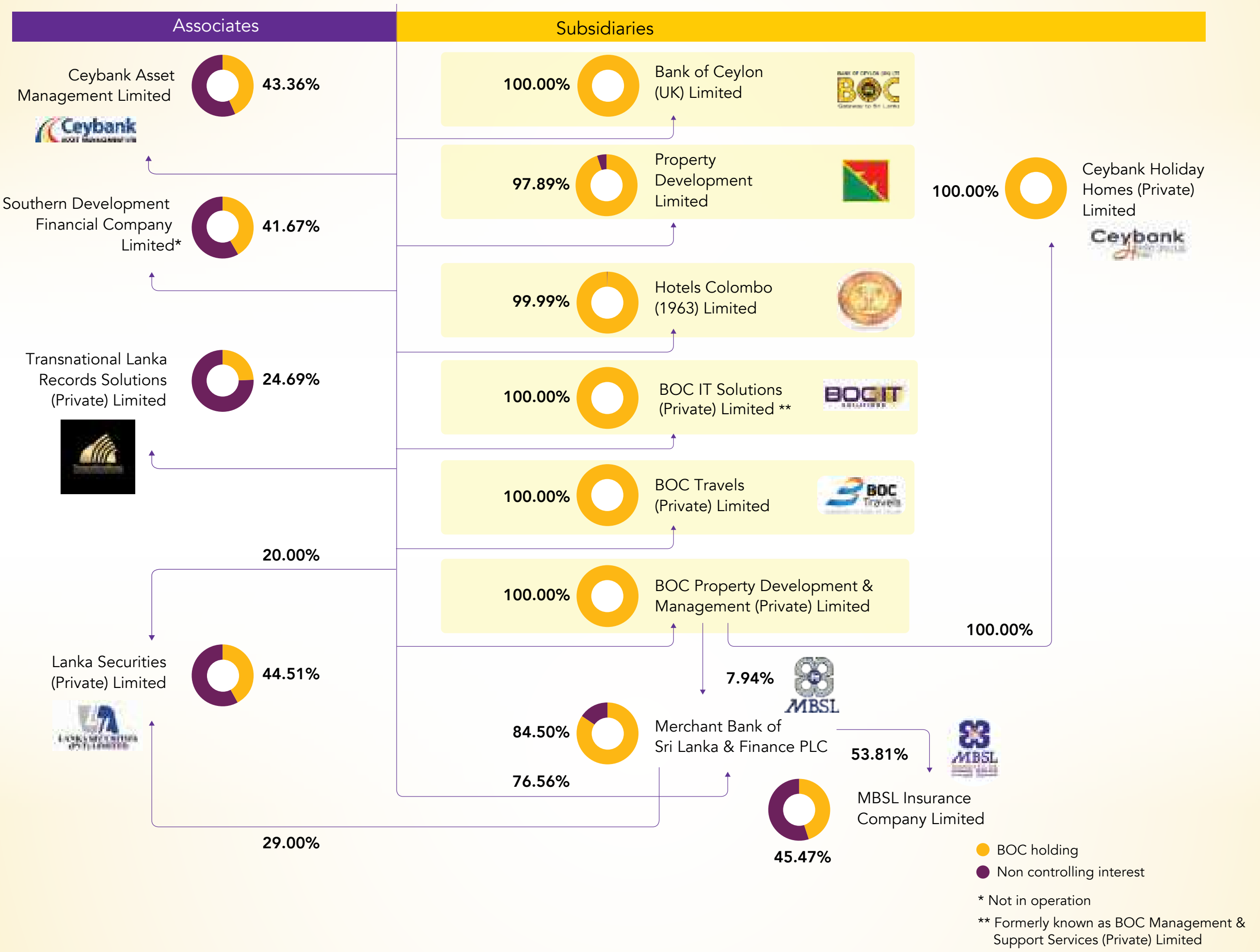
Issuance of the largest sustainability bond in Sri Lanka of LKR 20.0 billion to support renewable energy, waste management, MSME financing to strengthen national development priorities.

06 Trust, Legacy and National Impact

Built on 86 years of trusted service, recognised through local and global accolades, while contributing meaningfully to national development and community upliftment.

OVERVIEW OF BANK OF CEYLON

GROUP STRUCTURE AND KEY BUSINESS LINES GRI 2-6



RETAIL BANKING

Retail Banking offers a comprehensive suite of financial solutions encompassing lending, deposits, payment solutions, and transactional banking services tailored to meet the evolving needs of individuals, entrepreneurs, and small businesses. Serving a broad customer spectrum from mass retail to affluent segments, these offerings are designed to ensure accessibility, convenience, and seamless financial management, empowering customers at every stage of their financial journey.

CORPORATE AND OFFSHORE BANKING

Corporate and Offshore Banking provides corporate funding, deposit services, project financing, and trade-related services. Catering to small, medium, and large corporates, as well as institutional clients across private, state, and offshore operations, these solutions are structured to support business expansion, facilitate cross-border transactions, and strengthen financial efficiency while enabling clients to navigate increasingly complex and dynamic market environments.

INTERNATIONAL, TREASURY, INVESTMENT AND OVERSEAS OPERATIONS

International Operations oversee foreign currency transactions and cross-border financial services, ensuring seamless facilitation of global trade, remittances, and international banking requirements. Treasury plays a pivotal role in managing liquidity, funding, and balance sheet optimisation. Investment Division drives portfolio growth through strategic investment activities aligned with long-term financial objectives. Our cluster of Overseas Operations manages and strengthens our international branch network, reinforcing global presence to effectively serve customers across key international markets.

Scan the QR for explore our products www.boc.lk

DIVERSIFIED PRODUCT PORTFOLIO

Bank of Ceylon's diversified product portfolio reflects a deliberate strategy to support Sri Lanka's multi-sector economic growth while addressing the evolving financial needs of broader customer base. Moving beyond traditional banking boundaries, the Bank continues to expand its offerings to serve individuals, entrepreneurs, SMEs, corporates, state institutions and large conglomerates that collectively underpin national progress.

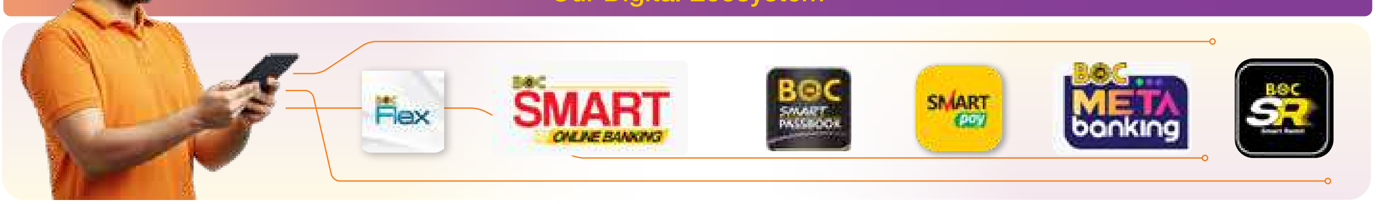
By continuously broadening and refining its product suite, the Bank ensures its solutions remain relevant, competitive, and responsive to emerging market opportunities. This strategic diversification strengthens customer relationships across sectors while generating sustainable economic and social impact, reinforcing BOC's role as a catalyst for inclusive national growth.

OUR PRODUCTS AND SERVICES

Purpose		Individuals	MSMEs	Corporates	Government Institutions
Invest and save excess funds	Time deposits, investment instruments and debentures	✓	✓	✓	✓
	Savings products	✓	✓	✓	✓
Transact and manage funds	Current accounts for daily transactions	✓	✓	✓	✓
	Cash management solutions	✓	✓	✓	✓
	Wealth and portfolio management services	✓	✓	✓	✓
Lending solutions	Personal loans	✓			
	Home loans	✓			
	Trade finance	✓	✓	✓	✓
	Overdrafts	✓	✓	✓	✓
	Leasing facilities	✓	✓	✓	✓
	Scheme loans	✓	✓	✓	
	Pawning (Gold loans)	✓			
	SME and Development loans	✓	✓		
	Commercial loans including project finance		✓	✓	✓
	Term loans	✓	✓	✓	✓
	Syndicate loans			✓	✓
Payment solutions	Debit, credit and travel cards	✓	✓	✓	
	Digital Banking facilities	✓	✓	✓	✓
	International payment solutions	✓	✓	✓	✓
International services	Inward and outward remittances	✓	✓	✓	✓
	Correspondent banking, foreign currency and trade services	✓	✓	✓	✓

Individuals | MSMEs | Corporates | Government Institutions

Our Digital Ecosystem



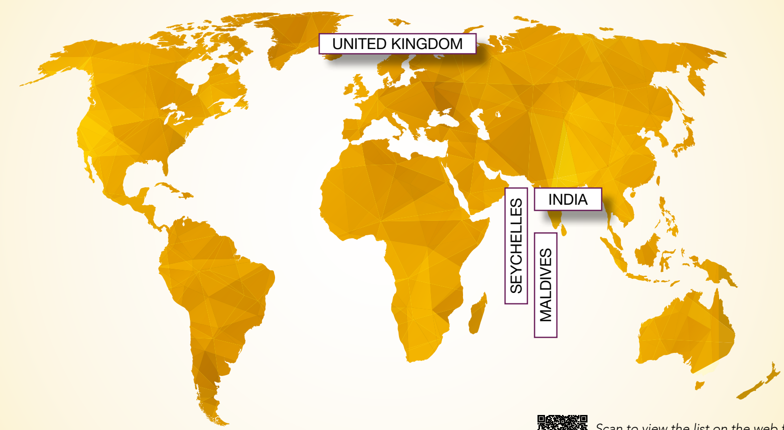
OVERVIEW OF BANK OF CEYLON

NATIONWIDE AND GLOBAL FOOTPRINT

Bank of Ceylon maintains its leadership as Sri Lanka's largest bank, underpinned by substantial assets, deposits, and loans. Its extensive network of over 2,400 customer touchpoints including fully-equipped branches, mobile branches, SME centres, ATMs, CRMs and BOC Connect ensures financial services are accessible to individuals and businesses across every province of the country, reinforcing the Bank's commitment to financial inclusion.

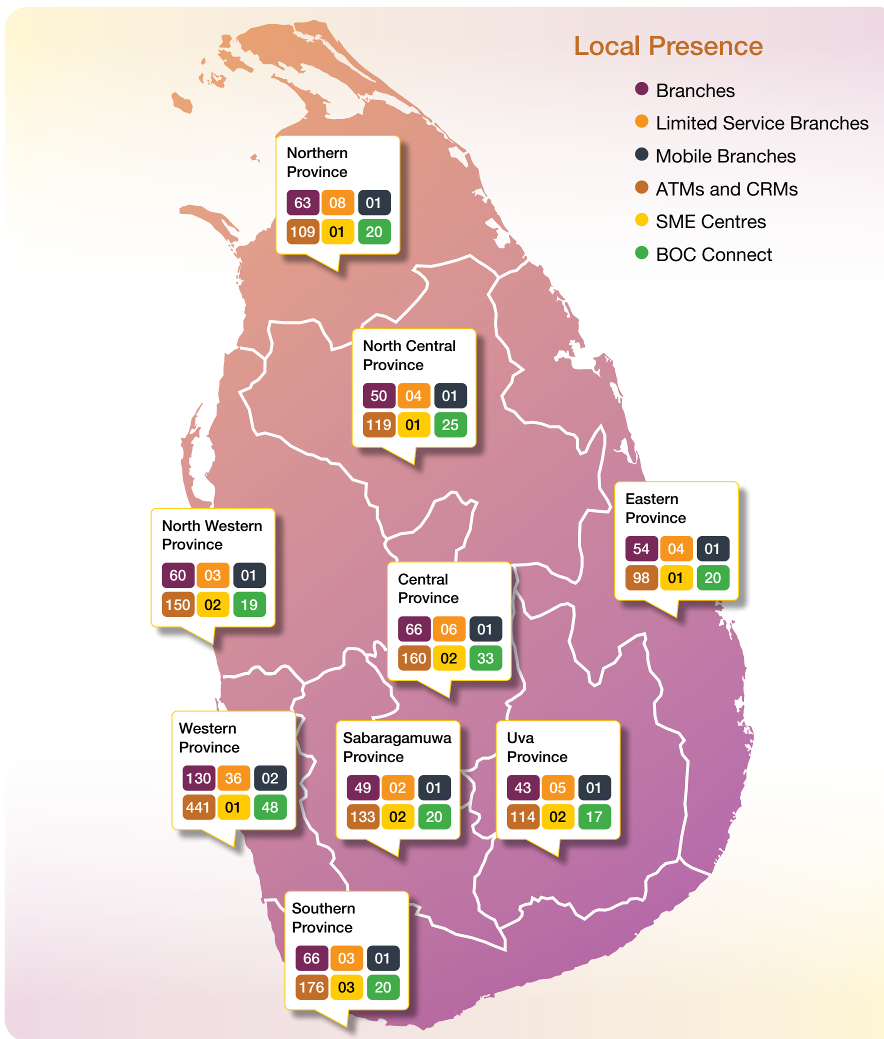
Beyond Sri Lanka, the Bank has established a strong international presence, serving communities and businesses across borders. It operates branches in India, Maldives, and Seychelles, a limited-service branch in Hulhumale, and a fully-owned subsidiary in London, United Kingdom. These international operations not only support Sri Lankan clients abroad but also connect the Bank to global financial markets, strengthening its role as a bridge between domestic growth and international opportunities.

Overseas Presence



Scan to view the list on the web for Correspondent Banks, Exchange Houses and Overseas Representatives

Branches	Limited Service Branches	Mobile Branches	SME Centres	ATMs and CRMs	BOC Connect	Correspondent Banking Relationships	Exchange Houses
584	72	10	15	1,506	222	710	95



Social Media Presence

MILESTONES

1939
Incorporated as the nation's first indigenous bank under the Bank of Ceylon Ordinance

1941
Opened the first branch in Kandy

1949
Established the Bank's first overseas branch in London

1961
Nationalised under the Finance Act No. 65 of 1961

1973
Expanded the sub-branch network across Agricultural Services Centres to strengthen agricultural lending

1979
Established the Foreign Currency Banking Unit for offshore operations

1981
Opened a fully-fledged branch in Malé, Maldives

1989
Introduced Sri Lanka's first credit card in collaboration with VISA International

1995
Opened a branch in Chennai, India

2008
Issued the first-ever listed, subordinated five-years, rupee debentures

2012
Became the first Sri Lankan bank to issue US Dollar denominated bonds listed on the Singapore Stock Exchange

2014
Commemorated the 75th anniversary and opened a branch in Seychelles, marking entry into Africa

2016
Achieved a triple trillion balance sheet

2017
Launched the 'B-App' mobile banking platform and introduced the innovative mobile branch concept, 'Branch on Wheels'

2018
Established the flagship "BOC DIGI" branch at Kandy City Centre and introduced NFC enabled electronic cards

2019
Opened the fourth international branch in Hulhumale, Maldives

2020
Established the Business Revival and Rehabilitation Unit (BRRU) to support businesses affected by the COVID-19 pandemic

2021
Launched 'Export Circle' to empower SME exporters and introduced the agency banking concept through 'BOC Connect'

2022
Established 'BOC Foreign Circle' to support international customers

Introduced 'BOC SME Circle' to facilitate MSME development

2023
Issued a BASEL III Compliant, Tier 2 Listed, Subordinated, Redeemable Debenture with a non-viability write down feature

2024
Surpassed LKR 100.0 billion in Profit Before Tax and LKR 5.0 trillion in Group assets

2025
Launched the all-in-one mobile banking app 'BOC Flex'

Introduced Sri Lanka's first biodegradable banking card

Issued the largest ever Sustainability Bond to expand green and social lending

PERFORMANCE HIGHLIGHTS

FINANCIAL PERFORMANCE

Financial Performance	Bank			Group		
	2025	2024	Change %	2025	2024	Change %
Results of Operations (LKR million)						
Total income	**548,623**	485,405	13.0	**558,675**	494,922	12.9
Net interest income	**206,936**	167,552	23.5	**211,843**	171,728	23.4
Profit before taxes on financial services	**152,708**	135,300	12.9	**154,068**	136,925	12.5
Profit before tax	**120,827**	106,904	13.0	**121,934**	108,221	12.7
Profit after tax	**76,007**	64,387	18.0	**76,471**	65,061	17.5
Value to the Government	**89,395**	65,931	35.6	**90,541**	66,969	35.2
Financial Position (LKR million)						
Total assets	**5,467,551**	4,985,139	9.7	**5,567,050**	5,048,671	10.3
Gross loans and advances	**2,654,272**	2,436,162	9.0	**2,726,686**	2,482,029	9.9
Deposits due to customers	**4,388,586**	4,208,603	4.3	**4,447,653**	4,245,532	4.8
Total liabilities	**5,101,751**	4,682,579	9.0	**5,179,071**	4,726,224	9.6
Total equity	**365,800**	302,560	20.9	**387,979**	322,448	20.3
Per Share Data (LKR)						
Basic earnings per share	**2,988**	2,575	16.0	**3,011**	2,600	15.8
Net assets value per share	**14,217**	12,102	17.5	**15,037**	12,852	17.0
Performance Ratios (%)						
Return on average assets	**2.3**	2.3	-	**2.3**	2.3	-
Return on average equity	**22.7**	23.2	(0.5)	**21.5**	21.9	(0.4)
Interest margin	**4.0**	3.6	0.4	**4.0**	3.6	0.4
Cost to income	**33.0**	40.1	(7.1)	**34.1**	41.3	(7.2)
Loans to deposits	**60.5**	57.9	2.6	**61.3**	58.5	2.8
Debt to equity	**25.5**	26.8	(1.3)			
Impairment provision as a percentage of gross loans and advances	**10.6**	10.6	-	**10.4**	10.5	(0.1)
Impaired loans (Stage 3)	**5.6**	7.2	(1.6)			
Impairment (Stage 3) to Stage 3 loans	**57.9**	53.6	4.3			
Statutory Ratios (%)						
Liquidity coverage ratio (Rupee) (Minimum requirement - 100%)	**296.0**	329.0	(33.0)			
Liquidity coverage ratio (All currency) (Minimum requirement - 100%)	**260.4**	269.6	(9.2)			
Net stable funding ratio (Minimum requirement - 100%)	**156.6**	157.9	(1.3)			
Leverage ratio (Minimum requirement - 3%)	**4.1**	4.4	(0.3)	**4.3**	4.6	(0.3)
Capital Adequacy Ratio (%)						
Common Equity Tier 1 Capital (Minimum requirement- 8.50%)	**11.4**	12.0	(0.6)	**11.5**	12.2	(0.7)
Tier 1 Capital (Minimum requirement - 10.00%)	**12.4**	13.0	(0.6)	**12.4**	13.1	(0.7)
Total Capital (Minimum requirement - 15.00%)	**16.9**	16.6	0.3	**16.8**	16.7	0.1

VALUE CREATION HIGHLIGHTS

PERFORMANCE ACROSS EVERY DIMENSION

LEADERSHIP IN THE BANKING ARENA

Market Leadership and Impact

	2025	2024	Change
The largest asset base (LKR trillion)	**5.5**	4.9	10%
The largest deposit base (LKR trillion)	**4.4**	4.2	5%
The highest Profit Before Taxes (LKR billion)	**120.8**	106.9	13%
The highest Brand value (LKR billion)	**57.4**	50.2	14%

ECONOMIC VALUE CREATION

Driving National Prosperity

	2025	2024	Change
Value to the Government (LKR billion)	**89.4**	65.9	36%
Gross Loans and Advances (LKR billion)	**2,654.3**	2,436.2	9%
MSME financing portfolio (LKR billion)	**319.9**	249.4	28%
Total exposure of businesses revived (LKR billion)	**100.8**	98.4	2%

CUSTOMERS AND REACH

Serving the Nation With Reach and Accessibility

	2025	2024	Change
Customer penetration (%)	**76**	74	2
Customer touchpoints (No.)	**2,413**	2,294	119
Correspondent Banking Relationships (No.)	**805**	806	(1)
New products (No.)	**10**	9	1
Customers revived (No.)	**233**	274	(41)

DIGITAL CHANNELS

Accelerating a Smarter Banking Future

	2025	2024	Change
Digital transactions (%)	**88**	88	-
Digital transactions growth (%)	**23**	31	(8)
Digital touchpoints (No.)	**1,510**	1,503	7
Workflows automated (No.)	11	3	8

COMMUNITY EMPOWERMENT AND FINANCIAL INCLUSION

Extending Opportunity for Every Sri Lankan

	2025	2024	Change
New micro finance loans (LKR billion)	**25.9**	17.6	47%
New micro finance loans to women-led businesses (LKR billion)	**7.2**	4.8	50%
New BOC Connect agents (No.)	**110**	35	75
New BOC Mithuru societies (No.)	**212**	330	(118)
New BOC Gammana projects (No.)	**2**	2	-
Community investment (LKR million)	**780.5**	207.3	277%

HUMAN CAPITAL STRENGTH

Empowering Our Service Legions

	2025	2024	Change
Investment in employees (LKR billion)	**45.7**	40.3	13%
Investment in training and development (LKR million)	**348.0**	374.9	(7%)
Retention rate (%)	**97**	95	2
Promotions (No.)	**431**	714	(283)
Recruitments (No.)	**952**	75	877

ENVIRONMENTAL STEWARDSHIP

Banking Responsibly for Tomorrow

	2025	2024	Change
Green financing portfolio (LKR billion)	**10.2**	6.1	67%
Paper recycled (MT)	**14.4**	35.9	(21.5)
Savings equivalent to paper recycled;			
Trees (No.)	**244**	610	(366)
Oil (Litres)	**25,202**	63,003	(37,801)
Electricity (kWh)	**57,440**	143,596	(86,156)
Water (Litres)	**456,361**	1,140,870	(684,509)
Land fill (m^3)	**43**	108	(65)
New Green Buildings (No.)	**2**	-	2

AWARDS AND ACCOLADES

A LEGACY OF EXCELLENCE RECOGNISED ACROSS PLATFORMS

BOC has consistently demonstrated leadership across financial services, innovation and governance. The Bank has been recognised with numerous accolades across a wide range of platforms both locally and internationally. From prestigious awards recognising sustainability initiatives, digital innovation and transformative banking solutions, to honours for brand leadership, corporate reporting and operational excellence, BOC's achievements reflect a holistic approach to value creation.

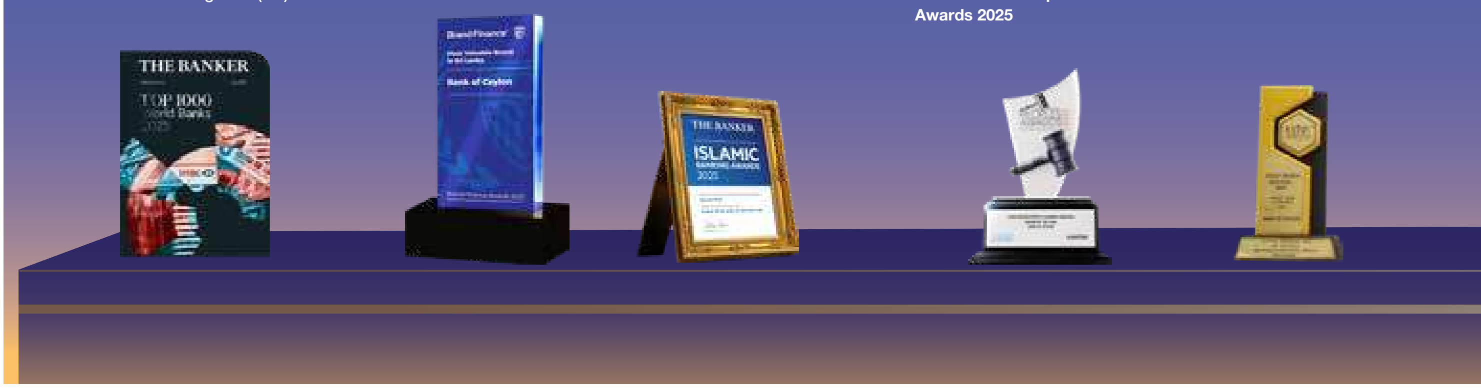
Among Top 1,000 Banks in the World 2025
(Country Ranking No. 01)
The Banker Magazine (UK)

Most Valuable Brand in Sri Lanka - 2025
Brand Finance Lanka

Islamic Retail Bank of the Year - Asia 2025
The Banker Magazine (UK)

People's Banking Services Brand of the year 2025
SLIM-Kantar People's Awards 2025

The Best Bank in Sri Lanka
Iconic Awards 2025
The Ceylon United Business Alliance



Sri Lanka's Best Mobile App - Flex
The Best SME Bank of the Year
Iconic Awards 2025
The Ceylon United Business Alliance

Breakthrough Performance 2024/ 2025 - Gold Award
Marketing Campaign of the Year 2024/ 2025 - Gold Award
SLIBFI Awards

The Best Bank of the Year
The Best Retail Banking of the Year
The Most Trusted Credit Card Brand of the Year
The Best SME Bank in Sri Lanka
People's Excellency Awards 2025

Most Innovative SME Bank of the Year

Best Customer Service Provider Bank of the Year

Best SME Bank of the Year
People's Pinnacle Awards 2025

Best Presented Annual Report Awards
Bronze Award (Public Sector Banks)
SAFA Awards

Best Integrated Report (State Banking Sector - Joint Winner)

Ten Best Integrated Reports
CMA Excellence Awards 2025

Silver Award for excellence in State Banks
TAGS Awards 2025
CA Sri Lanka

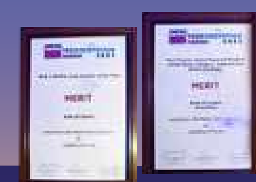
These multi-platform recognitions affirm our ability to meet evolving stakeholder expectations, reinforce trust with our customers and set benchmarks. Each award is a testament to the dedication, expertise and forward-thinking vision of our teams which strengthen our role as a catalyst for economic progress and inclusive growth across Sri Lanka.

Lankapay Technnovation Awards 2025
Best Bank for Retail Payments – Gold Award
Best Bank for Digital Government Payments - Gold Award
Bank of the year for Financial Inclusivity (Category A) - Gold Award
Bank of the year for Excellence in Customer Convenience (Category A) - Gold Award

Overall Award - Silver
Excellence in Digital Payments
(Banking Institutions)

Best Lanka Pay Card Acquire of the year - Merit Award

Most Popular Digital Payment Product (State Banks) - Merit Award



Best Managed Project in Banking and Financial Sector (BOC Flex) - Gold Award
National Project Management Excellence Awards (NPME) 2025

Digital Government in Public Sector (BOC Flex) - Gold Award
Overall Winner (BOC Flex) - Gold Award
National ICT Awards 2025

Best Mobile User Experience Banking Website - Gold Award
Best Banking Website – Gold Award
Overall Winner 2025 - Bronze Award
BestWeb.LK 2025 Awards

Rated Green Building Certification by the Green Building Council of Sri Lanka - Platinum Award

Banking Sector – Merit Award
CIPM Great HR Awards 2025

Islamic Banker Employee of the Year - Bronze Award
SLIBFI Awards 2024/ 2025

STRENGTH SHAPED FOR THE FUTURE

Across decades of economic cycles, policy shifts and moments of national uncertainty, the Bank of Ceylon has remained a pillar of stability by adapting with purpose. Anchored by the unwavering core of trust, the Bank has consistently absorbed complexity, responded with resilience and emerged stronger, enabling the nation to move forward with confidence. The Bank's journey can be understood as a cube of trust - solid at its core, defined by strong contours and balanced in every dimension. While the core provides stability, the contours give shape, direction and strength, allowing the Bank to grow, evolve and lead with clarity toward the future.

THE CORE: TRUST

The stabilising force at the heart of leadership.

Trust is the nucleus around which BOC's leadership has evolved anchoring confidence through economic volatility, safeguarding stakeholder interests and affirming its role as Bankers to the Nation.

THE CONTOURS OF THE CUBE: LEADERSHIP IN ACTION

Multi-dimensional Connectivity

The Bank's ability to seamlessly connect individuals, enterprises and the State has strengthened the Bank's integrity, creating alignment across stakeholders and reinforcing national priorities. This connectivity is increasingly enabled through purposeful digitalisation driving the expansion of the digital payments ecosystem, accelerating adoption across customer segments and embedding secure and accessible financial solutions.

Agility and Responsiveness

Each contour reflects BOC's capacity to respond decisively to change by navigating market disruptions and emerging stakeholder needs with foresight, speed and disciplined execution. This agility is most evident in the Bank's swift alignment with national priorities. BOC continues to play a catalytic role in strengthening financial inclusion and responding to national priorities.

Resilient Leadership

Resilience drives BOC's ability to navigate economic volatility while maintaining trust. It is reflected in safeguarding stakeholder interests and sustaining uninterrupted services across the nation. This resilience ensures continuity, reinforces credibility, and underpins the Bank's long-term relevance as a steadfast national institution.

Financial Inclusivity

BOC's nationwide presence and accelerating digital evolution have ensured that growth remains truly inclusive. By expanding access to finance in every corner of Sri Lanka, the Bank has empowered women entrepreneurs, supported livelihoods at the grassroots and enabled communities at the bottom of the pyramid to participate meaningfully in the formal financial system, transforming access into opportunity and reach into shared national progress.

Stakeholder Value Creation

Balancing the cube in all directions, this contour ensures that progress is shared across all stakeholders while delivering sustainable value. At its core is a strong tax contribution channelling significant revenue to the State through corporate taxes, levies, and statutory payments supporting public services, infrastructure development, and long-term economic stability.

A Bank Built for the Future

With trust at its core and leadership strength defined by its contours, the Bank of Ceylon continues to evolve as a strategic enabler of Sri Lanka's economic future. This balanced leadership model positions BOC to absorb future uncertainties, unlock opportunity and remain a stabilising force for generations.

Each facet interacts seamlessly with the others, reflecting the Bank's multidimensional capabilities. Together, it allows Bank of Ceylon to navigate an evolving financial landscape with clarity, resilience and purpose by creating enduring value for its stakeholders and strengthening its role as a trusted partner in Sri Lanka's growth story.

LEADERSHIP

Leading With Purpose

Bank of Ceylon sets the tone at the top through strong leadership, rigorous governance, and a principled operating culture. Our execution frameworks, digital-first models and governance protocols ensure that strategy is translated into coordinated actions, accountable performance and national value creation.

Mastery of the Rubik's Cube begins with understanding the big picture-not just the colours, but the relationships. Solving a complex cube requires more than intuition, it demands structured algorithms.

CHAIRMAN'S MESSAGE

We envision a Bank that harnesses its financial strength demonstrated through consistent profitability and robust capital frameworks to fuel productivity-driven sectors that will define the nation's future.

Kavinda de Zoysa
Chairman

Scan the QR for Summary of the Message in Audio mode

Dear Stakeholders,

For more than eight decades, Bank of Ceylon has operated at the centre of Sri Lanka's financial ecosystem, by supporting national development while adapting to changing economic and social realities. Our legacy has been built on the ability to manage complexity whilst balancing commercial performance with national responsibility, innovation with stability, and growth with strong governance. In 2025, these dimensions came into greater alignment.

Stewardship of the country's largest banking institution carries responsibilities that extend beyond financial outcomes. It is defined by trust earned over time, tested during periods of national challenge, and reaffirmed through consistent action. The Bank's recognition as the nation's leading brand and most profitable institution in 2025 reflects the confidence placed in the Bank by customers and stakeholders, and the collective commitment of our employees. This achievement reflects not just confidence, but a shared belief in what we can achieve together. It is the dedication, talent, and passion of our BOC team across every corner of the country that turns our guiding vision into impact and sets the standard for excellence.

Amidst our achievements, I am pleased to present the 13th Integrated Annual Report for the financial year ended 2025, marking over 86 years of unwavering legacy and trust. This Annual Report showcases how the Bank continues to empower communities, drive national prosperity, and embrace the possibilities of a dynamic, future-ready banking landscape, shaping a stronger tomorrow for all Sri Lankans.

FINANCIAL STRENGTH: PROFITABILITY WITH PURPOSE

The year under review unfolded against a backdrop of economic reform, global uncertainty, and the disruptive impact of Cyclone Ditwah. During this period, Bank of Ceylon remained guided by its enduring mandate as the Bankers to the Nation. Sound financial performance, a resilient capital base, and stable liquidity enabled the Bank to safeguard financial stability while continuing to support the economy. Profitability, in this context, was not an end in itself, but a means to absorb shocks, sustain credit flows, and contribute to national recovery, while remaining anchored to long-term stability and disciplined governance.

In 2025, the Bank of Ceylon delivered the strongest financial performance in its illustrious history and indeed in Sri Lanka's corporate landscape.

With a Profit Before Tax of LKR 120.8 billion representing a growth trajectory of 13%, we reaffirmed our position as the largest and highest profit-making institution in the country. This strong performance improved the Return on Assets and Return on Equity to 2.3% and 22.7%, respectively, while contributions through financial services tax, income tax, and other levies totaled to LKR 76.7 billion, highlighting the Bank's pivotal role in the national economy.

Maintaining market leadership across assets, advances, deposits, and foreign currency deposits, the Bank demonstrated consistent growth in key financial indicators, reinforcing its leadership position in the Sri Lankan banking sector. The BOC Group's assets surpassed LKR 5.6 trillion, growing 10% year-on-year, driven by effective asset and liability management and the ability to capitalise on favourable market conditions. Whilst size grew, we were also more nimble and agile to meet our customer needs and expectations.

These results, achieved amidst a challenging macroeconomic environment, reflect disciplined execution, prudent risk management and, above all, the enduring trust placed in the Bank by generations of Sri Lankans. Importantly, this performance is not an end in itself. It has strengthened our capital base, reinforced market confidence and enabled us to reinvest decisively in digital transformation, people development and inclusive banking solutions that expand opportunity across the economy. Our strong earnings, capital buffers, and liquidity position were not ends in themselves; they were the means through which we safeguarded financial stability, supported economic revival, and ensured continuity when it mattered most.

RESPONSIBLE BANKING: SUPPORTING THE NATION - BANKING ACCESS TO ALL

Sri Lanka's gradual economic stabilisation in 2025 reflected disciplined fiscal reform and a collective national resolve to restore credibility and confidence. Yet recovery was not linear. The devastation caused by Cyclone Ditwah served as a sobering reminder of our country's vulnerability, particularly among rural communities and climate-sensitive sectors such as agriculture and tourism.

While fiscal discipline under the IMF-supported programme has been necessary to restore macroeconomic stability, it has required difficult adjustments for businesses and households alike. The adverse effects of climate events further underscored vulnerabilities in agriculture, livelihoods and regional economies. Yet, there are clear signs of progress through stabilising inflation, improving external balances and a gradual return of investor confidence. I remain optimistic that, with consistent policy execution and institutional strength, Sri Lanka can convert this period of adjustment into a platform for sustainable and inclusive growth. In this national context, as the largest Domestic Systemically Important Bank, the Bank carries a profound responsibility. Safeguarding financial system stability while actively supporting national recovery remains central to our mandate. Throughout the year, we prioritised financial inclusion and business revival through targeted commercial lending, strengthened foreign exchange inflows via export proceeds and inward remittances, and advanced the national digital economy agenda.

Throughout the country, we supported businesses, safeguarded livelihoods, and helped expand opportunities. The Bank reached out to SMEs, youth entrepreneurs, and women-led enterprises driving not only economic activity, but social progress and future resilience. By backing agriculture, construction, exports, and tourism, we reaffirmed a simple truth: when Sri Lanka grows, Bank of Ceylon is there, supporting the sectors that sustain the economy.

Cyclone Ditwah tested the Bank's sense of responsibility. Our response was immediate and multidimensional. Business continuity was ensured through Branch on Wheels and robust digital platforms, preserving access in affected regions. Concessional working capital loans at 3% were extended to impacted SMEs, alongside relief packages, recovery concessions, and advisory support.

Beyond financing, Bank of Ceylon maintained and actively promoted the Rebuilding Sri Lanka Fund both locally and internationally, committing LKR 500.0 million toward reconstruction of homes, infrastructure, and livelihoods. Relief convoys contributed by the Bank and its staff were distributed island wide, reflecting an institutional culture rooted in service and solidarity.

INNOVATION AND ACCESS: TURNING TOWARD THE FUTURE

Strategically, 2025 was also a year of transformation for the Bank. Digitalisation accelerated in line with the national digital economy agenda, expanding access, efficiency, and inclusion through new platforms, agent banking models, and next-generation digital solutions. Financial inclusion initiatives ensured that under served communities were formally integrated into the banking system, while targeted youth and entrepreneurship programmes invested in Sri Lanka's long-term competitiveness and intergenerational resilience. Our long-term strategy is firmly aligned with Sri Lanka's development priorities and the imperative of inclusive growth. We continued to support key productive sectors such as agriculture, dairy, tourism, construction and export-oriented industries. Sustainability moved from aspiration to execution, culminating in the successful issuance of Sri Lanka's largest sustainability bond by a state-owned bank, an affirmation of investor confidence in our governance, credibility, and long-term vision.

The establishment of BOC IT Solutions (Pvt) Ltd, participation in the National Transport Digitalisation Initiative, and the launch of the next-generation BOC Flex mobile application marked significant milestones in enhancing customer experience and operational agility.

CHAIRMAN'S MESSAGE

Financial access was expanded through BOC Connect agent banking, including collaboration with Sri Lanka Post, reaching banking services into deep rural communities. Innovative products such as the BizPlus SME credit card and BizLift loan scheme supported enterprise liquidity, while community-focused concepts like BOC Gammana and BOC Mithuru strengthened grassroots engagement.

Under the Aswesuma programme, over 700,000 cost-free accounts with free debit cards and zero service charges were opened for unbanked and underbanked citizens, reinforcing the Bank's role in formalising the economy and enhancing financial literacy. At the same time, we advanced sustainable finance through innovative green deposits and lending products. The introduction of Sri Lanka's first biodegradable debit card also marks a revolutionary development in Sri Lanka's banking sector. These efforts reflect our belief that environmental responsibility, social inclusion and financial performance are mutually reinforcing.

SUSTAINABILITY: EMBEDDING LONG-TERM RESPONSIBILITY – THE LARGEST SUSTAINABILITY BOND EVER IN SRI LANKAN HISTORY

During the year, the Bank's sustainability initiatives moved from intent to execution. The Bank deepened its leadership in sustainable finance through green and social lending and internal carbon reduction initiatives. A defining milestone was the successful issuance of Sri Lanka's largest-ever sustainability bond. As the first state-owned bank in Sri Lanka to undertake such an issuance, the transaction stands as a clear endorsement by capital market investors of the Bank's financial strength, governance maturity and sustainability framework. This AA-(Stable) by Lanka Rating Agency rated instrument strengthened Tier II capital while mobilising funds to the value of LKR 20.0 billion for social projects; MSMEs, smallholder farmers, healthcare, and education as well as eligible green initiatives. It was a clear signal of investor confidence in Bank of Ceylon's governance, credibility, and ESG integration.

Recognising that sustainability is an integral dimension of value creation, the Bank aligned its financing activities with the Central Bank's Sustainable Finance Roadmap, supporting renewable energy, green SMEs, and climate-resilient agriculture. As Sri Lanka's leading state-owned bank, Bank of Ceylon plays a central role in mobilising capital towards national development priorities while sustaining strong investor confidence, with focused financing for renewable energy, solar projects and green lending for SMEs areas that combine developmental impact with long-term economic resilience.

The Bank continues to support climate-resilient agriculture and low-carbon infrastructure, while leading by example through its own operations, including renewable energy generation across 100 branches with an installed capacity of 4.3 MWh and the development of green-certified buildings. These initiatives reflect our pragmatic approach to sustainability that integrates ESG considerations into both financing decisions and operational practices.

GUARDIANS OF OUR LEGACY: CHAMPIONS OF CUSTOMER DREAMS

Our workforce of approximately 9,000 dedicated and passionate individuals are more than employees, they are the custodians of Sri Lanka's No.1 brand, exemplifying its strengths every day through their actions, integrity, and commitment. They bring the brand to life, not just in strategy, but in every interaction, fostering and nurturing the aspirations of customers at the grassroots.

By empowering our people through continuous learning, inclusion, and innovation, we ensure they remain agents of positive change, turning customer dreams into reality while reinforcing the trust and excellence that define our legacy. Their spirit, dedication, and care are what make our brand not only recognised but admired across the nation.

GOVERNANCE IN ACTION: ANCHORING TRUST

Throughout our journey, strong governance and principled leadership remained our internal compass. Enhanced Board oversight, rigorous risk management, and a deepened focus on climate and sustainability risks ensured that growth was pursued responsibly, and that profitability was aligned with purpose.

We continued to elevate our governance frameworks in line with Central Bank of Sri Lanka directives, strengthening Board oversight through enhanced committee structures, independent representation and robust disclosures. Governance, in my view, is not a constraint on growth; it is the foundation of trust and long-term value creation.

The Bank is committed to uphold rigorous governance standards through comprehensive disclosures, stakeholder engagement, annual self-assessments, monitoring of risk appetite, and policies supported by Board Charters, Codes of Conduct, whistle-blower protections, and ongoing director training.

I am particularly proud of the Board's diversity, comprising 11 Directors which strengthens strategic oversight and decision-making. With members spanning a range of ages, professional experiences, and including female representation, we benefit from a breadth of perspectives. Through induction and continuous learning, including SLFRS S1 and S2, we ensure our leadership remains informed, responsible, and well-positioned to guide the Bank's continued growth. Furthermore, two new Board subcommittees; Sustainability and Credit were introduced recently strengthening the governance structures.

CHARTING THE PATH FORWARD: PROGRESS WITH PURPOSE

Our nation stands on the threshold of opportunity where disciplined fiscal consolidation is enabling structural correction, and where private sector dynamism can meet national aspirations of competitiveness, innovation and inclusion. In this environment, we believe that the Bank's role transcends traditional banking: we are a partner in progress, an enabler of opportunity and a guardian of confidence.

In this context, the way forward for the Bank is guided by strategic clarity and institutional maturity. The next phase of our journey is not about growth for its own sake, but about relevance, resilience and responsibility. The Bank remains centred on the dimensions of strength, national service, sustainability, and trust. This integrated approach has long defined the Bank's role and will continue to guide us as we navigate an evolving external environment.

We envision a Bank that harnesses its financial strength demonstrated through consistent profitability and robust capital frameworks to fuel productivity-driven sectors that will define the nation's future. By financing export-oriented enterprise, climate-resilient agriculture, sustainable infrastructure, youth entrepreneurship and women-led businesses, we aim to expand economic participation and generate broad-based opportunity.

Our commitment to digital leadership will further ensure that excellence is accessible to every Sri Lankan. Enhanced mobile platforms, expanded agent banking, data-driven insights and agile fintech partnerships will enable us to meet customers where they are in cities, towns and villages alike. This is not technology for its own sake; it is technology for empowerment, convenience and growth.

Sustainability will anchor how we invest for tomorrow. As a responsible institution, we will integrate environmental, social and governance considerations into risk assessment, capital allocation and our everyday decision-making reflecting the evolving expectations of global investors, communities and future generations.
At the heart of this future is our people, professionals who bring integrity, passion and purpose to Bank of Ceylon every day. They are the carriers of our legacy and the architects of the Bank's next chapter.

We will continue to deploy capital selectively towards sectors that enhance national competitiveness, deepen digital capability to improve efficiency and access, and embed sustainability into strategy, risk management and capital allocation. As a multidimensional institution, much like a Rubik's Cube, our strength lies in the alignment of financial performance, governance, people, technology and national responsibility. When these dimensions move together, they unlock enduring value.

APPRECIATION: TOGETHER IN PURPOSE

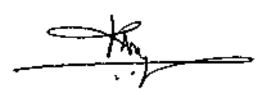
Our sole shareholder, the Government of Sri Lanka has been a steadfast guiding force and I wish to place on record my gratitude to the Hon. Minister of Finance, the Secretary of the Treasury and the officials of the Ministry for their continued support and guidance.

I wish to place my profound appreciation to my fellow Directors on the Board and the preceding Directors for their collective wisdom and unwavering commitment in charting the Bank's strategic path.

I take this opportunity to express my gratitude to the unrelenting commitment of the former General Manager;
Mr Russel Fonseka, the General Manager; Mr Y A Jayathilaka, existing and retired members of corporate and executive management, unions, pensioners and our entire BOC team, whose professionalism, resilience and deep sense of national responsibility continue to translate strategy into performance and trust into enduring value.

I am deeply grateful to the Governor and officials of the Central Bank of Sri Lanka, the Auditor General and the staff for their support, oversight and continued confidence, which provide the clarity and institutional stability essential to the Bank's role as a systemically important financial institution. I also thank our customers and business partners for their steadfast trust and collaboration, and acknowledge all stakeholders whose collective support enables Bank of Ceylon to remain a stabilising force in the financial system.

As we move forward, we do so anchor in the trust of an institution shaped by 86 years heritage and strengthen by a resilient balance sheet. It is this combination of legacy and financial strength that empowers Bank of Ceylon to continue serving the nation with confidence, responsibility and purpose.



Kavinda de Zoysa
Chairman

24 February 2026
Colombo

GENERAL MANAGER'S REVIEW

"Bank of Ceylon has consistently leveraged its scale, reach, and national mandate to drive significant impact across the country."

Y A Jayathilaka
General Manager /
Chief Executive Officer

Scan the QR for Summary of the Message in Audio mode

The year 2025 stands as a landmark in the history of Bank of Ceylon as it marked one of the strongest performances in recent history. This achievement not only reinforced the Bank's leadership position as the nation's largest bank but also reaffirmed our role as a pillar of resilience and confidence in the country's financial system. Through disciplined strategy, strong risk management, and an unwavering commitment to our customers, we continued to expand access to financial services, accelerate digital transformation, and support the nation's economic recovery and growth.

The Bank's institutional strength and market leadership were further validated through several notable recognitions during the year. The Bank was ranked among the Top 1,000 Banks globally for 16 years reaffirming its strong position within the international banking landscape. In addition, Fitch Ratings affirmed the Bank's National Long-Term Rating at AA-(lka)/Stable and its Long-Term Foreign and Local Currency Issuer Default Ratings at CCC+, underscoring continued confidence in the Bank's credit fundamentals despite a challenging operating environment. Further strengthening our brand leadership, the Bank was recognised as Sri Lanka's No. 1 Brand by Brand Finance Lanka, with a brand valuation of LKR 57.4 billion.

The theme of our 13th Integrated Annual Report 2025, "Spectrum of Dimensions – Enduring Progress," reflects the scale of our strength that underpin this performance. Our capital strength, liquidity resilience, digital innovation, sustainability integration, governance discipline, and the dedication of our people operate as interconnected dimensions of a unified institutional framework enabling us to create sustainable value while supporting national progress.

It is therefore, with immense pride that I present this review of our performance and achievements for the year 2025.

The results outlined in this Report stand as a testament to the collective strength of our institution, the commitment of our people, and the enduring trust placed in us by our customers, stakeholders, and the nation we serve.

OPERATING CONTEXT: SHAPING PERFORMANCE

The global economy was shaped by rising trade tensions, tariff barriers, and geopolitical uncertainty that weighed on export growth, foreign investment flows, and global supply chains. Climate-related disruptions added further strain, particularly in agricultural production. Against this backdrop of global volatility, Sri Lanka demonstrated encouraging signs of recovery. It was encouraging to note the growth momentum in sectors including exports, tourism, and services recording improved performance, while upgrades in sovereign ratings signalled renewed investor confidence. At the same time, the country continued advancing structural reforms, strengthening governance frameworks, and accelerating digital transformation, with particular emphasis on SME development, youth participation, and women's empowerment.

Despite these positive developments, significant domestic challenges remained. Sustaining economic recovery while addressing elevated poverty levels, continued brain drain, and the implementation of reforms aligned with the IMF programme required resilience and discipline. The latter part of the year was further marked by the devastating impact of Cyclone Ditwah, which resulted in loss of lives, widespread displacement, and extensive infrastructure damage, highlighting the continued vulnerability to climate related events.

During the year, the Banking Soundness Index, which measures the overall stability of the banking sector improved, indicating an improved capacity to withstand shocks. This was driven primarily by the significant increase in sector profitability along with the enhanced capital adequacy, asset quality and resilience to market risk levels.

NAVIGATING A DYNAMIC ENVIRONMENT: RESPONDING WITH AGILITY

Navigating these evolving dynamics required agility, foresight, and the ability to respond swiftly to a dynamic business environment. In response, we continued to strengthen the Bank's institutional foundation. The Bank's progress in modernising legacy technology systems paving the way for enhanced digital capabilities improved operational efficiency, connectivity, and seamless customer experience. We further strengthened organisational agility, by realigning reporting structures, and reinforcing governance frameworks.

When Cyclone Ditwah disrupted communities across several regions, the Bank responded swiftly with continuity of essential financial services. Mobile branches were deployed to affected areas, enabling customers to access banking facilities despite widespread disruptions. Our comprehensive digital banking platforms also played a vital role in ensuring uninterrupted access to financial services during this challenging period.

Recognising the broader national need for recovery and rebuilding, the Bank contributed LKR 500.0 million to the Government's "Rebuilding Sri Lanka" initiative. This commitment was further strengthened by staff contributions and tangible donations amounting to LKR 50.0 million. Through these collective efforts, we sought not only to provide financial assistance but also to stand in solidarity with communities striving to rebuild their lives and livelihood. These actions reaffirm role as a trusted national institution that extends beyond financial intermediation to supporting resilience and recovery during times of adversity.

SCALE WITH RESPONSIBILITY: CREATING ENDURING IMPACT

Our nationwide presence, extensive balance sheet, and deep engagement across diverse sectors place us at the very heart of Sri Lanka's economic ecosystem. Therefore, our growth is intrinsically linked with the nation's progress.

During the year, we continued to channel our strength into areas that drive national economic momentum. We strengthened support for exporters who were navigating shifting global trade dynamics by facilitating seamless cross-border transactions, expanding trade finance solutions, and ensuring the availability of foreign currency liquidity. By maintaining strong correspondent banking relationships, we helped Sri Lankan enterprises remain connected to international markets and contributed to foreign exchange stability.

The Bank also financed several large-scale investments in key sectors including pharmaceuticals and renewable energy projects such as solar, wind, and hydro power. These initiatives support the country's transition towards a more diversified and sustainable energy mix while generating employment and reducing import dependency and built long-term environmental resilience. At the grassroots level, our support for MSMEs and agriculture remained steadfast. By ensuring continued access to working capital during a still-fragile recovery phase, we helped businesses to maintain operational continuity and safeguard livelihoods. In regions experiencing climate variability, agricultural lending was expanded to support adaptive practices and strengthen rural resilience. Ultimately, for the Bank, scale is not measured solely by the size of our balance sheet or our market share. It is measured by the impact we create.

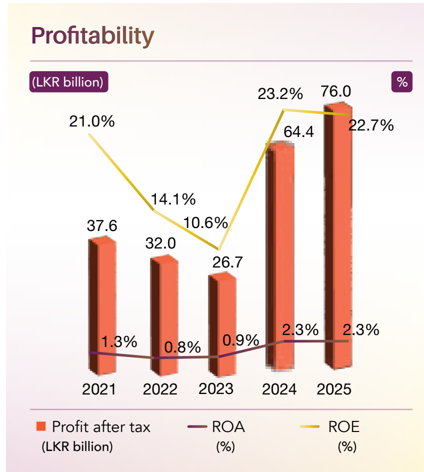
GENERAL MANAGER'S REVIEW

Through dedicated youth financing schemes, we disbursed more than LKR 9.4 billion to young entrepreneurs and professionals, empowering a new generation of innovators and job creators. The portfolio's strong performance, reflected in low Stage 3 ratio, underscores both prudent credit stewardship and the resilience of Sri Lanka's emerging enterprise segment. We further strengthened our support for women-led entrepreneurship, expanding access to finance, advisory services, and structured programmes that enable sustainable business growth. By empowering women across agriculture, manufacturing, trade, and services, we contribute to broader socio-economic equity and community upliftment.

IMPACTFUL FINANCIAL PERFORMANCE: BUILT ON STRUCTURAL STRENGTH

The Bank delivered a truly exemplary financial performance in the year 2025. Against a backdrop of economic revival and shifting interest rate dynamics, the Bank responded with strategic clarity, disciplined execution and resilient stewardship transforming complexity into opportunity while preserving long-term value.

The Bank reported a landmark performance, reporting a Profit After Tax of LKR 76.0 billion with an 18% increase over the previous year while Profit Before Tax (PBT) reached to LKR 120.8 billion. The Bank's total tax contribution of LKR 76.7 billion to the Government of Sri Lanka underscores its vital role in supporting national economic development.



Total assets exceeded LKR 5.5 trillion, with gross loans at LKR 2.7 trillion and deposits at LKR 4.4 trillion, underlining strong customer confidence. ROA before tax improved to 2.3%, ROE after tax remained robust at 22.7%. Net Interest Margin expanded to 4.0% driven by CASA growth and balance sheet optimisation.

Overall, the Bank's performance in the year 2025 represents more than a year of strong financial results it reflects strategic discipline, operational excellence and prudent governance in action. Strengthened by solid profitability, resilient capital buffers and robust liquidity, the Bank is firmly positioned to accelerate sustainable growth, support national economic renewal and continue delivering enduring value as the Bankers to the Nation.

CUSTOMER CENTRICITY: DRIVING FINANCIAL INCLUSIVITY

Our commitment to being a "Bankers to the Nation" is operationalised through a deliberate focus on financial inclusion, digital enablement and sector-focused credit deployment that supports national development priorities.

We view digital transformation as a strategic growth lever expanding access, lowering transaction costs and enhancing service efficiency across urban and rural communities. By integrating digital channels with our extensive branch network, of more than 2,400 touchpoints, we are strengthen last-mile connectivity by extending formal financial services to under served communities, including farmers, migrant workers, micro-entrepreneurs and SMEs. Strategic partnerships such as BOC Connect with Sri Lanka Post further extends our reach to remote communities and Aswesuma beneficiaries.

At the heart of our business are the personal relationships we nurture with our customers - relationships built on trust, understanding, and long-term engagement with our BOC team delivering exceptional service levels.

Through initiatives such as BizLift and BizPlus loan schemes, the Bank supported the SME sector, providing essential working capital and growth financing to enterprises that form the backbone of the national economy. Our relationship-led approach remains central to this effort, enabling us to understand customer needs and respond with practical, tailored solutions. Our sustained focus on youth and women-led enterprises reflects a broader objective: stimulating productive economic participation. By nurturing entrepreneurship through targeted lending, advisory support and structured financial solutions, we are facilitating business formalisation, employment generation and community-level value creation. During the year, the Bank focused on supporting these segments going beyond lending by educating entrepreneurs with financial literacy and advisory services. The success of these ventures reinforces our belief that inclusive banking is not only socially responsible, but economically catalytic.

Working closely with customers facing financial distress, the Bank successfully revived over 400 businesses valued at LKR 100.8 billion demonstrating our role not only as a lender but also as a partner in recovery and growth. In parallel, the Bank continues to uphold responsible and sustainable banking practices.

DIGITAL TRANSFORMATION: ENRICHING CUSTOMER EXPERIENCE

Driving digitalisation at BOC has always been underpinned by a legacy of pioneering firsts, that has kept us ahead of the curve in Sri Lanka's banking landscape. Bank of Ceylon has consistently leveraged its scale, reach, and national mandate to drive significant impact across the country.

Beyond process automation, we are reimagining the entire banking journey by integrating mobile, online, branch, and self-service channels to deliver seamless, secure, and data-driven customer experiences. Digitalisation further reinforces BOC's role as a catalyst for national progress advancing financial inclusion, enabling transparent public service delivery, and creating a digitally empowered citizenry. Through disciplined investment, robust governance, and capability development, we endeavour to build a scalable, innovation-driven ecosystem that balances operational efficiency with the trust inherent in our public mandate.

Strong growth in digital transaction volumes significantly, reflects widespread adoption and confidence in our platforms, demonstrating that our technology-led approach meets evolving customer expectations. A defining milestone in this journey was the launch of BOC Flex, a new banking App. It is heartening to note that BOC Flex surpassed 1.2 million registrations within a short span of the launch, significantly accelerating digital wallet adoption and expanding convenient, inclusive banking access nationwide. BOC Flex was recognised for digital excellence with many accolades. Meanwhile, our other digital platforms such as 'Smart Remit Mobile App' continued to gain traction with deepened ecosystem integration through strategic collaborations.

HUMAN CAPITAL: NURTURING POTENTIAL

We deeply value our human capital as the driving force behind our continued leadership. Our employees serve as the vital conduit, translating strategy into meaningful client relationships and service excellence on the ground.

During the year, we undertook structural enhancements to strengthen our HR governance framework and strategic oversight. Key leadership positions were introduced, including Chief Operating Officer, DGM – Transformation and HR Strategy, and Deputy Chief Legal Officer (Governance, HR and Banking Operations). In addition, reporting lines were realigned to streamline operations, enhance accountability, and improve cross-functional coordination. These changes reinforce our commitment to agility, disciplined governance, and operational excellence, ensuring that our people are empowered to deliver sustained value in an increasingly dynamic environment.

This year, we welcomed more than 800 new trainee staff assistants, reflecting our commitment to nurturing talent and supporting the Bank's ongoing growth and expansion. Our BOC team continues to embrace inclusivity, with 59% of our team consisting of females. It is a clear signal that diversity and equality remain central to how we operate. We strengthened our focus on learning and development through comprehensive training programmes, delivered across both local and international platforms.

These measures, alongside the adoption of a KPI-driven performance culture and robust capital management strategies, have strengthened the Bank's capacity to adapt, respond, and sustain its growth momentum in an increasingly dynamic financial landscape.

Our Training and Development programmes further ensure that high performers are recognised and empowered, fostering a culture of excellence. Recognising that performance is sustained by capability, culture, and discipline, we continued to invest in leadership development, digital skill enhancement, sustainability and risk awareness across the organisation. Branch teams were empowered with improved tools and streamlined processes, enabling more responsive customer engagement.

SUSTAINABILITY AND CLIMATE RESILIENCE: A FOCUS ON RESPONSIBLE BANKING

The climate vulnerabilities witnessed during the year, underscored the profound interconnection between environmental dynamics and financial stability. Climate-related disruptions reinforced the imperative of embedding environmental risk considerations into core banking operations.
In response, sustainability is no longer treated as a peripheral agenda but is increasingly integrated into strategic decision-making, capital allocation, and enterprise risk management frameworks.

The Bank strengthened its Environmental and Social Management Systems (ESMS) and embedded climate risk assessment within credit evaluation and portfolio monitoring. Preparedness under SLFRS S1 and S2 disclosure frameworks was enhanced, aligning voluntary reporting with market expectations.

GENERAL MANAGER'S REVIEW

> As we look ahead, our priorities remain focused on sustaining capital resilience, deepening digital integration, expanding climate-aligned financing, enhancing operational efficiency, and maintaining rigorous governance standards.

We remain committed on expanding renewable energy financing and green lending, while systematically integrating SLFRS S1 and SLFRS S2 standards into our reporting and risk management framework. We have aligned sustainability criteria into credit, capital, and strategic decisions through stronger governance, better information, and advanced risk assessments in line with evolving sustainability standards while promoting transparency and accountability. Initiatives such as the introduction of Sri Lanka's first biodegradable debit card further exemplify our commitment to responsible innovation.

A landmark achievement was the launch of the largest-ever Sustainability Bond issue, which raised LKR 20.0 billion to fund projects with measurable environmental and social impact. This strengthened our capital position while expanding our sustainable loan portfolio, supporting eligible green and social projects.

STRATEGIC SHIFT AHEAD: AS BANKERS TO THE NATION

The Bank's "Spectrum of Dimensions" reflects coordinated alignment across multiple dimensions of institutional capability. As we look ahead, our priorities remain focused on sustaining capital resilience, deepening digital integration, expanding climate-aligned financing, enhancing operational efficiency, and maintaining rigorous governance standards. The alignment achieved across our financial, operational, digital, and sustainability dimensions positions us to contribute meaningfully to Sri Lanka's next phase of progress.

The financial landscape is evolving at unprecedented speed driven by digital innovation, evolving customer expectations, and heightened regulatory and sustainability standards. Thus, we refined our Vision and Mission to ensure greater relevance to the evolving financial landscape whilst enhancing clarity of purpose and reinforcing our leadership, strategic ambition to reimagine the future of banking in Sri Lanka. Our 2026–2030 Strategic Blueprint, ensures that the Bank remains agile amid evolving market dynamics, regulatory changes, and technological disruptions positioning us to lead with resilience and purpose. A key enhancement embedded within this strategic road map is the inclusion of Governance as a distinct strategic pillar. By strengthening oversight, accountability, and risk stewardship, we envision to reinforce stakeholder confidence, safeguard long-term value, and chart a clear path for sustainable growth in Sri Lanka's rapidly transforming financial landscape. Robust risk management, ESG-integrated lending frameworks, and prudent capital allocation will ensure that our scale remains balanced, stable, and sustainable.

Looking ahead, the Bank remains anchored on the belief that inclusive banking drives national progress. We are committed to building a financial ecosystem where inclusion is the norm and prosperity is shared. We are focused to accelerate our digital transformation journey, deepen customer-centric innovation, and strengthen our credit and risk disciplines to ensure resilience and responsible growth. At the same time, we remained steadfast in our national mandate empowering individuals, enabling businesses, and supporting communities across the country and beyond our shores.

The future of the Bank will be defined by agility, disciplined execution, and a high-performing team united by shared values. With strong governance as our foundation and sustainability as our guiding principle, we are confident in our ability to create enduring value for all stakeholders while advancing Sri Lanka's financial progress.

A NOTE OF APPRECIATION: TO OUR VALUED STAKEHOLDERS

As we reflect on a year defined by remarkable achievements and significant milestones, I am profoundly grateful to all those who have contributed to the Bank's journey of success. I extend my heartfelt appreciation to our Chairman, Mr Kavinda de Zoysa, and the Board of Directors for their visionary guidance and exemplary leadership.

I take this opportunity to convey my gratitude to the outgoing General Manager, Mr Russel Fonseka, who retired after an illustrious banking career. His visionary leadership and unwavering dedication have made an indelible impact on the Bank's journey of success.

I wish to place my sincere appreciation to our Corporate and Executive Management teams, trade unions, and the entire BOC team for their steadfast commitment, dedication, and relentless pursuit of excellence which has been instrumental in translating strategy into tangible results.

My gratitude extends to the officials of the Ministry of Finance, the Governor of the Central Bank of Sri Lanka and his team, and the Auditor General and the staff of the National Audit Office for their invaluable guidance and oversight, which continue to strengthen the Bank's governance and resilience.

To our loyal customers across Sri Lanka, we at BOC reaffirm our commitment to earning your trust each day. We remain dedicated to delivering an exceptional banking experience, tailored to meet your evolving needs, and creating value for all our stakeholders.

As we look ahead, guided by trust, we continue to navigate the Bank's interconnected, multifaceted dimensions, and ever evolving complexities with clarity while creating enduring value for our stakeholders, much like the careful alignment of a Rubik's Cube. We remain steadfast in our commitment to excellence, ensuring stability, growth, and reliability for all who place their trust in us.

Y A Jayathilaka
General Manager /
Chief Executive Officer

24 February 2026

BOARD OF DIRECTORS

Left to Right

Ms Janaki Senanayake Siriwardane Secretary, Bank of Ceylon/ Secretary to the Board
Mr Sunimal Weerasooriya Non-Executive Director, **Eng. Prof. Ananda Jayawardane** Non-Executive Director,
Mr R M P Rathnayake Non-Executive Director, **Mr Kavinda de Zoysa** Chairman,
Mr Darshana Gunasekera Non-Executive Director

Dr Kapila Senanayake Non-Executive Ex-officio Director, **Mr Jehaan Ismail** Non-Executive Director, **Mr Thulci Aluwihare** Non-Executive Director, **Ms Sharmini Ratwatte** Non-Executive Director, **Mr Dharshan Jayaratne** Non-Executive Director, **Dr Amal Illesinghe** Non-Executive Director

BOARD OF DIRECTORS

Mr Kavinda de Zoysa

Chairman

Non-Executive Director

GRI 2-11

Independent Director in terms of the Listing Rules of the Colombo Stock Exchange (CSE) and a Non-Independent Director under the Banking Act Directions on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (CBSL).

Date of Appointment: 04 November 2024

Skills and experience

- A career banker with over 30 years of industry experience and expertise in management, leadership, strategic planning, and governance.
- Experience in Corporate and Investment Banking, Capital Markets, Mergers and Acquisitions, Risk Management and Advisory.
- Experience in Retail and Branch Banking, Digitalisation, Project Finance, Development Banking, SME Lending, ECA Finance, Trade, Cash management, Treasury, Marketing, Banking Operations, and Audit.
- MBA (Merit Pass) from the University of Colombo and Gold Medallist.
- Fellow of the Chartered Institute of Management Accountants (CIMA) U.K.
- Chartered Global Management Accountant (CGMA)-AICPA and CIMA.
- Fellow of the Chartered Institute of Marketing (CIM) U.K.
- Fellow of the Institute of Bankers of Sri Lanka (IBSL).
- Fellow of the Certified Management Accountants of Sri Lanka (CMA).
- Member of the Sri Lanka Institute of Directors (SLID).
- Completed Executive Education programme in "Leading with Data and Analytics" from the University of Chicago Booth School of Business.
- Completion of the ICAEW Non-Executive Director Certification, jointly awarded by ICAEW and the Non-Executive Directors' Association (NEDA) in UK.

Previous appointments

- Director and Country Business Head, Citibank N.A., Sri Lanka.
- Served at National Development Bank (former ABN Amro), Nations Trust Bank, and Seylan Bank.
- Chairperson, MESANA Regional Engagement Group of the Association of International Certified Professional Accountants (AICPA).
- Chief Examiner, Moderator and Advisor to the Institute of Bankers of Sri Lanka.
- Independent Non-Executive Director of the American Chamber of Commerce in Sri Lanka.
- Senior Membership Assessor and Member of CIMA Global Membership Panel (Vice Chairperson of CIMA Global Membership Panel).

Other appointments

- Chairman/ Non-Executive Director of Bank of Ceylon (UK) Limited.
- Chairman/ Non-Executive Director of Property Development Limited.
- Chairman/ Non-Executive Director of BOC Property Development & Management (Private) Limited.
- Chairman/ Non-Executive Director of BOC IT Solutions (Private) Ltd.
- Non-Executive Director of Lanka Hospitals Corporation PLC.
- Global Council Member, CIMA-U.K.
- Visiting lecturer for MBA programmes at the University of Colombo and University of Ruhuna.

Dr Kapila Senanayake

Non-Executive Ex-officio Director

Date of Appointment: 14 November 2024

Skills and experience

- Widespread experience and exposure in public and private sector strategic planning, financing, management, leadership and governance.
- Holds a PhD in Economics from the University of New South Wales, Australia.
- Master of Public Policy from Graduate School of Business Strategy, Hitotsubashi University, Japan.
- Bachelor of Commerce (Special) Degree, with a Second Class (Upper Division) from the University of Sri Jayewardenepura.
- Holds an Advanced Diploma in Management and Administration from Sri Lanka Institute of Development Administration (SLIDA) and Sri Lanka Foundation Institute.
- Member of the Sri Lanka Institute of Directors (SLID)

Previous appointments

- Director of National Savings Bank.
- Ex-officio member at the Board of Governors of the Institute of Policy Studies of Sri Lanka.
- Director of Hotel Developers (Lanka) Ltd.
- Director of Board of Investment of Sri Lanka.
- Director of University Grants Commission.
- Director of Postgraduate Institute of English.
- Director of Sri Lanka Institute of Local Governance.
- Director of Lanka Coal (Private) Limited.
- Director, Deputy Director (Acting) and Assistant Director, Department of Fiscal Policy, General Treasury.
- Assistant Director, Department of National Planning, Ministry of Finance and Planning.

Other appointments

- Director General of the Department of Fiscal Policy of the Ministry of Finance, Planning and Economic Development.

Mr Jehaan Ismail

Non-Executive Director

Independent Director in terms of the Listing Rules of the Colombo Stock Exchange (CSE) and a Non-Independent Director under the Banking Act Directions on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (CBSL).

Date of Appointment: 07 February 2024

Skills and experience

- Over 42 years of extensive experience in commercial and investment banking mainly in Asia, countries in the Western Hemisphere and the Middle East.
- Has coordinated major system related projects and has been responsible for all investment banking support functions.
- A former visiting lecturer of Institute of Bankers of Sri Lanka.
- Holds a Bachelor of Science (Chemistry) degree with Honours from the University of Colombo, Sri Lanka.
- Fellow member of the Chartered Institute of Bankers, UK.
- Has participated in external management and leadership development programmes at INSEAD and Cranfield.
- Completion of the ICAEW Non-Executive Director Certification, jointly awarded by ICAEW and the Non-Executive Directors' Association (NEDA) in UK.
- Member of the Sri Lanka Institute of Directors (SLID) .

Previous appointments

- Director/ CEO of M Power Capital Limited.
- Director/ CEO of First Capital Holdings PLC.
- COO of HSBC Colombia and HSBC Saudi Arabia.
- CEO of SABB Securities (HSBC Group, Saudi Arabia).
- Senior Vice President Corporate Banking of HSBC Indonesia.
- Global Relationship Manager, Corporate Banking, HSBC Hong Kong.

Other appointments

- Chairman/ Executive Director of M Power Capital Limited.
- Chairman/ Non-Executive Director of M Power Capital Securities Limited.
- Chairman/ Non- Executive Director of Hotels Colombo (1963) Limited.
- Executive Director of Common Well (Private) Limited.
- Executive Director of Kapitan (Private) Limited.
- Non-Executive Director of Little Gym Lanka (Private) Limited.
- Non-Executive Director of Merchant Bank of Sri Lanka and Finance PLC.
- Managing Director of M Power Group (Pvt) Ltd.

Dr. Amal Illesinghe

Non-Executive Director

Independent Director in terms of the Listing Rules of the Colombo Stock Exchange (CSE) and a Non-Independent Director under the Banking Act Directions on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (CBSL).

Date of Appointment: 06 December 2024

Skills and experience

- An experienced and a highly-qualified Banking Professional with over three decades of experience in Information and Communication Technology and Strategic Management.
- Holds a PhD in Informatics from Malaysia University of Science and Technology, Malaysia.
- Master of Science in Information Technology from University of Colombo School of Computing.

BOARD OF DIRECTORS

- Master of Business Administration from University of Kelaniya.
- Postgraduate Diploma in Computer Technology from Institute of Computer Technology, University of Colombo.
- Bachelor's Degree (Hons) in Mathematics and Statistics from University of Sri Jayewardenepura.
- Member of the Sri Lankan Institute of Directors (SLID).
- Completion of the ICAEW Non-Executive Director Certification, jointly awarded by ICAEW and the Non-Executive Directors' Association (NEDA) in UK.

Previous appointments

- Served at National Savings Bank and People's Bank.
- Board member of National Youth Service Council.
- Secretary of the Bank CIO Forum.
- Member of the Electronic Payment System Implementation Committee.
- Member of the National Payment Council.
- Member of CBSL appointed LankaQR Implementation Committee and Shared KYC implementation based on Blockchain Technology Committee.
- Secretary of Computer Society of Sri Lanka (CSSL).

Other appointments

- Member of British Computer Society (BCS).
- Treasurer of Computer Society of Sri Lanka (CSSL).
- Executive Council Member of Organization of Professional Association (OPA).
- Non-Executive Director of BOC IT Solutions (Private) Limited.

Mr R M P Rathnayake

Non-Executive Director

Independent Director in terms of the Listing Rules of the Colombo Stock Exchange (CSE) and a Non-Independent Director under the Banking Act Directions on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (CBSL).

Date of Appointment: 20 December 2024

Skills and experience

- Over 25 years of distinguished service in the public sector and extensive experience in multilateral development banking, bilateral Official Development Assistance (ODA) negotiations, fostering relationships with development partners, and engaging with lending agencies, governance and oversight.
- Holds BSc in Agricultural Economics from the University of Peradeniya.
- MSc in Agriculture from the Agricultural University of Norway.
- Expertise in multilateral development banking, mobilising foreign funding for key development projects.
- Member of the Sri Lanka Institute of Directors (SLID).
- Completion of the ICAEW Non-Executive Director Certification, jointly awarded by ICAEW and the Non-Executive Directors' Association (NEDA) in UK.

Previous appointments

- Deputy Secretary to the Treasury.
- Ex- officio Director of the Bank of Ceylon and the Securities and Exchange Commission of Sri Lanka.
- Acting Chairman of Colombo Lotus Tower Management Company (Private) Limited.
- Chairman of National Savings Bank.
- Director of the National Medicinal Drug Regulatory Authority.
- Non-Executive Director of the Asian Infrastructure Investment Bank, Beijing, People's Republic of China.
- Director of People's Bank.
- Director of the Civil Aviation Authority of Sri Lanka.
- Director of the Sri Lanka Institute of Tourism and Hotel Management.
- Director of the State Pharmaceuticals Corporation Sri Lanka (SPC).
- Commission member of Insurance Regulatory Commission of Sri Lanka.
- Ex-officio Chairman of Local Loan and Development Fund.

Other appointments

- Chairman/ Non-Executive Director of BOC Travels (Private) Limited

Mr Darshana Gunasekera

Non-Executive Director

Independent Director in terms of the Listing Rules of the Colombo Stock Exchange (CSE) and Banking Act Directions on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (CBSL).

Date of Appointment:

Appointed as Independent Non-Executive Director on 13 August 2025.

Senior Independent Director with effect from March 2026.

Skills and experience

- A seasoned corporate executive with over 25 years of cross-sector leadership experience.
- Expertise in corporate finance, mergers and acquisitions, business transformation, investor relations, enterprise risk management, analytics and digital finance.
- Fellow of CIMA (UK), ACCA (UK), a CGMA of the American Institute of Certified Public Accountants (AICPA).
- Holds a BSc in Physical Science from the University of Sri Jayewardenepura.
- Postgraduate Diploma in Marketing from CIM (UK).
- Member of the Sri Lankan Institute of Directors (SLID).

Previous appointments

- Chief Financial Officer of Dilmah Ceylon Tea Company PLC.

Other appointments

- Group Finance Director of Dilmah Ceylon Tea Company PLC.
- Executive Director of Patiagama Estates (Pvt) Ltd.
- Executive Director of MJF Beverages ANZ Limited.
- Executive Director of MJF Epigro Renewables (Pvt) Ltd.
- Executive Director of MJF Corporate Services (Pvt) Ltd.
- Executive Director of Teatime Rocks (Pvt) Ltd.
- Executive Director of Teatime Rocks Ltd (New Zealand).
- Non-Executive Director of Kahawatte Plantations PLC.
- Non-Executive Independent Director of Talawakelle Tea Estates PLC.
- Chair of the Integrity and Ethics Committee and Executive Committee Member - Policy Advocacy Committee of the International Chamber of Commerce Sri Lanka (ICCSL).
- Finance Director of Chakra Suthra (Pvt) Ltd.
- Chief Executive Officer of Renewable Energy Sector - MJF Group

Mr Thulci Aluwihare

Non-Executive Director

Independent Director in terms of the Listing Rules of the Colombo Stock Exchange (CSE) and Banking Act Directions on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (CBSL).

Date of Appointment: 16 September 2025

Skills and experience

- An experienced business strategist and an investment professional with over 25 years of international experience in corporate wealth creation, specialised in mergers and acquisitions, public-private partnerships, transaction advisory and restructuring.
- An Economics graduate from the University of West London, UK.
- Holds a MA in Financial Economics from the University of Colombo.
- Conducted training on Mergers and Acquisitions for managers at PwC Advisory University Programme held in Copenhagen, Stockholm, Dublin, Rome, Warsaw and Abu Dhabi.

Previous appointments

- Director, Head of Mergers and Acquisitions at PwC, Sri Lanka and Maldives.

Other appointments

- Deputy Managing Director of CHEC Port City Colombo (Pvt) Ltd.
- Independent Non-Executive Director of Abans Finance PLC.
- Independent Non-Executive Director of Expack Corrugated Cartons PLC.

BOARD OF DIRECTORS

Ms Sharmini Ratwatte

Non-Executive Director

Independent Director in terms of the Listing Rules of the Colombo Stock Exchange (CSE) and Banking Act Directions on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (CBSL).

Date of Appointment: 16 September 2025

Skills and experience

- Fellow of the Chartered Institute of Management Accountants, UK.
- Holds an MBA from the University of Colombo.
- Recognised as the Zonta "Women of Achievement – Management" in 2024.
- Member of the Sri Lanka Institute of Directors (SLID).

Previous appointments

- Held senior finance, management and C-suite roles for over 16 years at MAS Holdings, Sri Lanka.
- Non-Executive Director of John Keells PLC.
- Non-Executive Director of Ceylon Cold Stores PLC.
- Non-Executive Director at BPPL Holding PLC.
- Non-Executive Director of RECOFTC – Center for People and Forest (Thailand).

Other appointments

- Independent Non-Executive Director of the National Credit Guarantee Institution (Private) Limited.
- Independent Non-Executive Director of Convenience Food (Lanka) PLC.
- Non-Executive Director of Greenpeace South Asia (Private) Limited.
- Non-Executive Director of Fairfirst Insurance Limited.
- Trustee of the Sunera Foundation.

Mr Dharshan Jayaratne

Non-Executive Director

Independent Director in terms of the Listing Rules of the Colombo Stock Exchange (CSE) and Banking Act Directions on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (CBSL).

Date of Appointment: 26 September 2025

Skills and experience

- A career banker with over 31 years of experience, across world's leading international banks, specialising in financial markets management, foreign exchange and bond trading, money markets, investment management, capital markets and structured products.
- Holds an MBA in Business Administration from the University of Western Sydney, Australia.

Previous appointments

- Head of Financial Markets, Sri Lanka of Standard Chartered Bank.

Mr Sunimal Weerasooriya

Non-Executive Director

Independent Director in terms of the Listing Rules of the Colombo Stock Exchange (CSE) and Banking Act Directions on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (CBSL).

Date of Appointment: 07 October 2025

Skills and experience

- An experienced technology professional counting over 33 years of experience in digital payments, logistics, automated clearing houses/ payment infrastructure, information security, business process outsourcing, cash management, investment banking, production and training.
- Expertise in technology strategy, digital transformation, technology management, technology transfer, business strategy and innovation.

- Graduated with 1st class Honours Degree in Engineering from University of Peradeniya.
- MBA from Postgraduate Institute of Management (PIM).
- MBA in Management of Technology from Asian Institute of Technology (AIT), Thailand.
- MSc in Project Management from Curtin University of Technology, Australia.
- Fellow member of the Chartered Management Institute (CMI) of UK.
- Accredited International Mediator of Singapore International Mediation Institute (SIMI), Sage Mediation, Singapore and IADRC, Sri Lanka.

Previous appointments

- Former General Manager/ CEO of Lankapay (Pvt) Ltd.
- Senior Vice President – Technology and Innovation at Transnational Group, Singapore.
- Country Director for Transnational Group of Companies in Sri Lanka.
- Director of Transnational Technology Solutions Lanka (Pvt) Ltd.
- Director of Transnational Lanka (Pvt) Ltd.
- Director of Pronto Lanka (Pvt) Ltd.
- Director of Sri Lanka Computer Emergency Response Team (SLCERT).

Other appointments

- Independent Non-Executive Director of Synapsys Limited.
- Executive Director of Techdot Solutions Pte Ltd, Singapore.

Eng. Prof. Ananda Jayawardane
Non-Executive Director

Independent Director in terms of the Listing Rules of the Colombo Stock Exchange (CSE) and Banking Act Directions on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (CBSL).

Date of Appointment: 14 November 2025

Skills and experience

- An outstanding academic, an academic leader and a corporate personality with extensive experience in corporate governance in public institutions and private corporates in banking, finance, manufacturing, insurance, education and science and technology.
- Chartered Engineer and an International Professional Engineer.
- Fellow of the Institution of Engineers, Sri Lanka.
- Fellow of the Institute of Project Managers, Sri Lanka.
- Fellow of the National Academy of Sciences of Sri Lanka.
- Life member of the Sri Lanka Association for Advancement of Science.
- Graduate member of the Sri Lanka Institute of Directors.
- Member of the Society of the Structural Engineers Sri Lanka.

Previous appointments

- Chairman of the Commercial Bank of Ceylon PLC.
- Vice Chancellor of the University of Moratuwa.
- Chairman of the Committee of Vice Chancellors.
- Director General of the National Science Foundation.
- Chairman of CBC Tech Solutions (Pvt) Ltd.
- Member of the University Grants Commission.
- Member of the Governing Councils/ Director Boards of Sierra Cables PLC, Sir Arthur C Clarke Institute for Modern Technologies, National Science Foundation, Institute for Construction Training and Development, State Engineering Corporation, Postgraduate Institute of Management, Miloda Academy of Financial studies, the Open University of Sri Lanka, Construction Industry Development Authority, Engineering Council of Sri Lanka and Green Building Council of Sri Lanka.
- NDB Bank Endowed Professor in Entrepreneurship at the University of Moratuwa.
- President of the Institution of Engineers, Sri Lanka.

Other appointments

- Senior Professor of University of Moratuwa.
- Non-Independent Non-Executive Director of HNB Assurance PLC.
- Non-Executive Director of Mother Lanka Foundation.
- Independent Non- Executive Director of Prime Lands Residencies PLC.
- Member of the Stakeholder Engagement Committee of the Central Bank of Sri Lanka.
- Member of the Corporate Governance Committee of CA Sri Lanka.

Ms Janaki Senanayake Siriwardane
Secretary, Bank of Ceylon/ Secretary to the Board

Profile is given on page 42.

CORPORATE MANAGEMENT

Seated Left to Right

Ms W B P Rathnayake, Mr Priyal Silva, Mr R M N Jeewantha

Standing Left to Right

Mr P Maduwantha Liyanage, Ms Kumudhini J Yogaratnam, Mr Buddhikka Seelanatha, Mr Rohana Kumara, Mr Badra Kalyanapriya Gurusinghe, Mr Sampath Perera, Ms Rochelle Fernando, Mr K A Ajith Karunarathne

Seated Left to Right

Mr Y A Jayathilaka, Mr Jayashantha Godakanda, Ms Janaki Senanayake Siriwardane

Standing Left to Right

Mr S Sivanjan, Ms Priyanthi Wijesekara, Mr Sameera D Liyanage,
Mr Damma Wijayawardhane, Mr Ruwan Samarakkody, Mr M P Ruwan Kumara,
Mr Shashi Jayasinghe, Mr Suresh Perera, Ms Subhani Nanayakkara

CORPORATE MANAGEMENT

Mr Y A Jayathilaka

General Manager/
Chief Executive Officer

Appointed as the Acting General Manager in August 2025 and confirmed in the position in February 2026

Brings over 28 years of extensive experience in the banking sector, having served in a wide range of multi disciplinary roles including Core Banking Operations, Credit Operations, Recovery, Treasury and Overseas Operations, Project Management, Process Automation, Product Development and innovations.

Has played a key role in several major technology and digital transformation initiatives of the Bank including the implementation of Core Banking and Trade Finance systems at Bank of Ceylon (UK) Ltd, the Bank's core banking and teller system upgradation, the implementation of the Document Management System (DMS) and Workflow Automation System, and customer focused digital solutions such as BOC Digi, Branch on Wheels, BOC Connect, WhatsApp Banking, Smart FD, BOC Flex, and tvBOC.

BSc (Special) Degree in Business Administration (University of Sri Jayewardenepura), Master of Business (Finance) Degree (University of Kelaniya), Associate Member of the Institute of Bankers of Sri Lanka. Has completed the Advanced Course in Strategic Management at the Postgraduate Institute of Management (University of Sri Jayewardenepura) and Advanced Management Programme (AMP) at INSEAD University, France.

Mr R M N Jeewantha

Acting Chief Operating Officer

Appointed to the Corporate Management in September 2020

Over 23 years of Banking experience in the areas of Treasury Management, Investment Banking, Financial Management, Credit Management and Retail and Development Banking.

BSc (Special) Degree in Accountancy (University of Sri Jayewardenepura), MBA from the Postgraduate Institute of Management (University of Sri Jayewardenepura), Member of the Institute of Certified Professional Managers of Sri Lanka and Senior Fellow Member of the Institute of Bankers of Sri Lanka.

Visiting Lecturer, University of Sri Jayewardenepura and Institute of Bankers of Sri Lanka.

Ms Janaki Senanayake Siriwardane

Senior Deputy General Manager/
Secretary, Bank of Ceylon/ Secretary to the Board

Appointed to the Corporate Management in October 2010

Over 29 years of experience in the Bank in Company Secretarial and Corporate Governance.

An Attorney-at-Law by profession with a LLB.

MBA (Merit) from the University of Colombo.

Mr Priyal Silva

Deputy General Manager
(Branch Operations)

Appointed to the Corporate Management in February 2020

Counts over 28 years of extensive experience in various aspects of banking specialising in Finance, Corporate, Retail and Development Banking, International and Treasury Operations and Branch Operations including Sales and Marketing.

BBA (Special) Degree in Marketing (University of Ruhuna), MBA in Accountancy (University of Kelaniya), Postgraduate Diploma in Professional Marketing (Chartered Institute of Marketing, UK), Postgraduate Diploma in Business Administration, Member of the Chartered Institute of Marketing (UK), Associate Member of the Institute of Bankers of Sri Lanka and Member of the Sri Lanka Institute of Marketing.

Mr Jayashantha Godakanda

Deputy General Manager
(International, Treasury and Investment)

Appointed to the Corporate Management in September 2020

With a distinguished career spanning over 28 years and comprehensive exposure across Retail and Corporate Credit, Risk Management, Branch Operations, International, Treasury, Investment Banking, Overseas Operations and Offshore Banking.

BSc (Special) Degree with First Class in Business Administration (University of Sri Jayewardenepura), MA in Financial Economics with Merit (University of Colombo), Diploma in Credit Management (Institute of Bankers of Sri Lanka) and Associate Member of the Institute of Bankers of Sri Lanka.

Completed Globus Advanced Course in Strategic Management through Business Simulation from the Postgraduate Institute of Management (University of Sri Jayewardenepura).

Served as a Director of the Regional Development Bank (RDB) for two years, playing a pivotal role in the Audit and Risk Committees.

Ms W B P Rathnayake

Chief Compliance Officer

Appointed to the Corporate Management in September 2020

Versatile banking professional with cross functional experience of over 28 years across Retail, Corporate, Payment Cards, Risk Management, Compliance and was instrumental in developing risk management policies and tools for the Bank.

BSc (Special) Degree in Agriculture (University of Ruhuna), MBA (Open University of Sri Lanka), Postgraduate Executive Diploma in Bank Management (Institute of Bankers of Sri Lanka), International Diploma in Governance, Risk and Compliance (International Compliance Association, UK), and Associate Member of the Institute of Bankers of Sri Lanka and the International Compliance Association.

Serves as the executive committee member of Association of Compliance Officers of Banks – Sri Lanka.

Mr M P Ruwan Kumara

Chief Financial Officer

Appointed to the Corporate Management in September 2020

Over 23 years of experience in banking specialising in Financial Management, Strategic Planning, Investment Banking, Commercial and Overseas Banking Operations.

BSc (Special) Degree in Accountancy (University of Sri Jayewardenepura), Commonwealth Executive MBA (Open University of Sri Lanka), Fellow Member of the Institute of Chartered Accountants of Sri Lanka, Associate Member of the Certified Management Accountants of Sri Lanka, Associate Member of the Institute of Bankers of Sri Lanka and Member of the Sri Lanka Institute of Directors.

Completed Leadership Development Programme, National University of Singapore.

Mr S Sivanjan

Deputy General Manager (Recovery Corporate)

Appointed to the Corporate Management in September 2020

Over 23 years of banking experience in Retail Branch Operations, Credit, Recovery, Business Revival and Rehabilitation, Development Banking, Branch Transformation, Microfinance, International and Overseas Operations.

BSc First Class Honours Degree in Science (University of Jaffna) and MBA in Marketing (University of Colombo).

Mr Badra Kalyanapriya Gurusinghe

Deputy General Manager – (Development Banking and Branch Credit Operations-Range 2)

Appointed to the Corporate Management in September 2020

Over 28 years of experience as a banking professional, with expertise in Corporate Banking, Retail Banking, Credit, Organisational Transformation, Legal Services and Country Manager, Bank of Ceylon – Malè.

Attorney-at-law from the Sri Lanka Law College.

BSc (Special) Degree in Business Administration (University of Sri Jayewardenepura), Commonwealth Executive MBA (Open University of Sri Lanka), Postgraduate Diploma in Business and Financial Administration (Institute of Chartered Accountants of Sri Lanka), Diploma in Credit Management (Institute of Bankers of Sri Lanka), Associate Member of the Institute of Bankers of Sri Lanka and Member of the Sri Lanka Bar Association.

Mr Rohana Kumara

Deputy General Manager (Business Revival)

Appointed to the Corporate Management in January 2021

Counts over 23 years of experience in the Bank having expertise and leadership roles in Retail Credit, Project Finance, Business Revival and Rehabilitation, Recovery and Corporate and Offshore Banking.

Serves as the Vice President of Association of Professional Bankers - Sri Lanka.

BSc First Class Degree in Mathematics (University of Kelaniya), Executive Diploma in Leadership (Northern Illinois University, USA). Associate Member of the Institute of Bankers of Sri Lanka.

CORPORATE MANAGEMENT

Mr Damma Wijayawardhane

Deputy General Manager
(Human Resource Operations)

Appointed to the Corporate Management in October 2021

More than 23 years of experience in the Bank specialising in Branch Banking, Credit and Retail Banking, Executive and Corporate leadership in Human Resource operations.

BSc (General) Second Class (Upper Division) Honours Degree (University of Kelaniya), Postgraduate Diploma in Business Management (University of Wayamba), Associate Member of the Institute of Bankers of Sri Lanka and the Association of Professional Bankers - Sri Lanka.

Mr K A Ajith Karunarathne

Deputy General Manager
(Branch Credit Operations - Range 1)

Appointed to the Corporate Management in December 2021

Over 23 years of experience in the Bank specialising in the areas of Retail Banking, Trade Finance, Corporate and Premier Banking Operations, Product and Development Banking, Recovery Provinces, and Branch Credit Operations.

Multi-disciplinary experience in Retail Banking and executive leadership roles in multiple provinces with responsibility for Business Promotion, Administration and Human Resource.

BSc (Special) Degree in Business Administration (University of Sri Jayewardenepura), MBA (University of Wayamba), Member of Association of Accounting Technicians of Sri Lanka, Associate Member of the Institute of Bankers of Sri Lanka and has completed Licentiate level – CA Sri Lanka.

Ms Priyanthi Wijesekara

Deputy General Manager
(Operations)

Appointed to the Corporate Management in March 2023

Dynamic leader with an illustrious career spanning over 34 years and brings a wealth of expertise in multiple facets of banking encompassing Retail Banking, Corporate Credit, Recoveries, Offshore Banking, Administrative Services, Marketing, Overseas Branch Operations, Credit Audit and strengthening operational functions.

Her international banking credentials were honed during her tenure at Bank of Ceylon (UK) Ltd in London, where she gained invaluable global exposure.

MBA (Merit) (London Metropolitan University), Postgraduate Diploma in Management (University of Sri Jayewardenepura), National Diploma in Technology (University of Moratuwa), Fellow Member of the Institute of Bankers of Sri Lanka.

Ms Rochelle Fernando

Deputy General Manager
(Recovery Provinces)

Appointed to the Corporate Management in March 2023

Counts over 28 years of experience in Retail Banking, sepcialising in Offshore Banking, Corporate Banking, Trade Finance, Development Banking, Branch Credit and Recovery Province.

BBA (Special) Degree in Financial Management (University of Colombo), Management Development Programme for the Key Management Personnel conducted by the Postgraduate Institute of Management (University of Sri Jayewardenepura), Associate Member of the Institute of Bankers of Sri Lanka, Member of the Association of Professional Bankers - Sri Lanka.

Resource Person for the Certificate Course/ Advance Certificate Course on Banking Procedures related to International Trade to Export Development Board from 2018 up to December 2022. Served as the President of Trade Finance Association of Bankers in 2023.

Mr Sampath Perera

Deputy General Manager
(Corporate and Offshore Banking)

Appointed to the Corporate Management in February 2024

Over 23 years of experience in the diverse banking segments including Branch Banking, Finance, Corporate and Offshore Banking, Treasury Operations and Recoveries.

The international exposure includes Trainee Dealer at Bank of Ceylon (UK) Ltd in London and the first Credit Manager after the BOC (UK) branch is converted into an independent subsidiary.

BSc (Special) Degree in Business Management (University of Rajarata), MBA and Advanced Course in Strategic Management from the Postgraduate Institute of Management (University of Sri Jayawardenepura) and Associate Member of the Institute of Bankers of Sri Lanka.

Mr Suresh Perera

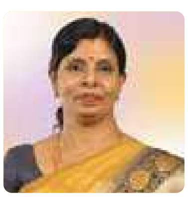
Deputy General Manager
(Product And Banking Development)

Appointed to the Corporate Management in January 2026

A career banker with over 23 years of experience in the Bank having expertise and leadership roles in Product Development, Organisation Transformation, Project Management and Business Process Re-Engineering.

Has played a pivotal role in many of the Bank's strategic transformation initiatives that automated and integrated the entire branch network and major digitalisation and innovative solutions including the design and implementation of "BOC Flex", the Bank's flagship retail banking mobile application.

BSc (Special) Second Class (Upper Division) Degree in Management (Public) (University of Sri Jayewardenepura), Master of Financial Economics (University of Colombo), Diploma in Banking and Finance (Institute of Bankers of Sri Lanka), Member of the Association of Professional Bankers - Sri Lanka.



Ms Kumudhini J Yogaratnam

Deputy General Manager
(Support Services)

Appointed to the Corporate Management in January 2026

Counts over 28 years of extensive experience in commercial banking, with specialized expertise in General Banking, Credit Operations, Offshore Banking, International Banking and has led regional operations in Eastern Province. Possesses 11 years of overseas branch experience in multiple overseas assignments including Bank of Ceylon (UK) Limited, Malè and Chennai branches.

BSc (Special) Degree in Business Administration (University of Sri Jayewardenepura), MBA from the Postgraduate Institute of Management (University of Sri Jayewardenepura), Associate Member of the Institute of Bankers of Sri Lanka, and Member of the Association of Professional Bankers of Sri Lanka.

Committee member of Indo-Asean Sri Lankan Chamber of Commerce in India during the period of 2020-2024. Resource person at the Central Training Institute of the Bank and the Industrial Development Board of Sri Lanka.

Mr Ruwan Samarakkody

Acting Chief Risk Officer

Appointed to the Corporate Management in January 2026

Senior banking professional over 30 years of distinguished service, possessing extensive experience in Branch Banking, Risk Management, Governance, Investigations, and Regulatory Compliance.

Has been involved in establishing the enterprise-wide risk management framework, implementing the Integrated Risk Management System (IRMS) and the Core Banking System. Developed overseas and subsidiary risk management frameworks and governance structures, risk aggregation methodologies, business continuity planning, and process automation initiatives and functioned as the Bank's first Personal Data Protection Officer, spearheading initiatives to align with statutory requirements.

An Attorney-at-Law with a LLB (University of Colombo), MA in Financial Economics (University of Colombo), MBA (University of Wayamba), Diploma in Banking Finance (Institute of Bankers of Sri Lanka), Postgraduate Diploma in Business Finance and Strategy (Institute of Chartered Accountants of Sri Lanka), Completed Risk in Financial Services (Chartered Institute for Securities and Investments (CISI), UK).

Ms Subhani Nanayakkara

Acting Chief Legal Officer

Appointed to the Corporate Management in December 2025

Over 21 years of experience as a banking professional, with expertise in Recovery and Litigation Management, Credit and Human Resource related legal services.

Attorney-at-law from the Sri Lanka Law College.

BA Second Class (Upper Division) Degree (University of Colombo), LLM (General Sir John Kotelawala Defence University), Post-Attorney Diploma in Finance, Banking and Insurance Laws (Institute of Advanced Legal Studies) with a Merit Pass, Diploma in International Affairs (Bandaranaike Centre for International Studies).

Represented the Bank before various regulatory and quasi-judicial bodies, including Presidential Committees, the Commissioner of Labour, the Human Rights Commission, the Financial Ombudsman, and the Rent Board. Serves as a resource person in legal recovery, contributing to both internal and external training programmes.

CORPORATE MANAGEMENT

Mr P Maduwantha Liyanage

Chief Internal Auditor

Appointed to the Corporate Management in December 2014

A Finance Professional with over 26 years of experience in Banking and Finance.

Prior to joining the Bank as the Chief Internal Auditor, he has served at Commercial Credit and Finance PLC, and Pan Asia Bank in the same capacity. Has served the Bank as the Internal Auditor during the period of 2006 – 2008. His experience includes Lanka Clear (Pvt) Ltd, National Cheque Clearing House in the capacity of Finance and Administration Manager and Ernst & Young as a Qualified Assistant.

BSc (Special) Degree in Accountancy and Financial Management (University of Sri Jayewardenepura), Fellow Member of the Institute of Chartered Accountants of Sri Lanka and Member of Certified Information Systems Auditors (CISA) of ISACA – USA.

Mr Sameera D Liyanage

Chief Marketing Officer

Appointed to the Corporate Management in August 2020

Over 27 years of professional expertise in banking and marketing across both public and private sector Institutions.

Awarded the Chartered Marketer status in 2015 by the Chartered Institute of Marketing (UK).

Master of Business Administration in Marketing (Wrexham University, UK), Postgraduate Diploma in Marketing (Chartered Institute of Marketing, UK), Fellow member of the Institute of Chartered Professional Managers of Sri Lanka (CPM), Fellow member of Chartered Institute of Marketing (CIM-UK), member of the Sri Lankan Institute of Marketing (SLIM) and Association of Professional Bankers - Sri Lanka.

Mr Buddhikka Seelanatha

Chief Information Officer

Appointed to the Corporate Management in September 2023

Counts over 27 years of banking and IT experience across both public and private sector institutions. Demonstrated success in spearheading and implementing digital transformation strategies within organisations, aimed at enhancing overall value by boosting revenue and elevating the customer experience. Proficiency in key domains including application development, data warehousing, and data analytics.

Prior to joining the Bank as the Chief Information Officer, he has served at Nations Trust Bank in the same capacity. Previously, he held the position of Head of Application Systems at People's Bank and as the Senior Manager Application Development and MIS at Nations Trust Bank.

BSc Degree in Management Information Systems (National University of Ireland, Dublin).

Mr Shashi Jayasinghe

Deputy General Manager (Transformation and HR Strategy)

Appointed to the Corporate Management in January 2026

Over 22 years of professional experience in Human Resources Management across diverse industries including manufacturing, construction, engineering, retail, distribution, and services. Expertise in HR Transformation and Strategy, Business Strategy Alignment, Organisational Development, HR Analytics, Talent Management, Learning and Development, Performance and Reward Management, Human Resource Information Systems Implementation, Industrial Relations and Employee Relations, Change Management, and Process Optimisation.

Prior to joining the Bank, he has served as the General Manager-Group Human Resources (Operations) at EMJAY International (Pvt) Ltd and Penguin Sportswear (Pvt) Ltd, Head of Human Resources at Tudawe Brothers Group of Companies, Head of Human Resources and Administration at AMSK Constructions (Pvt) Ltd. Also, he has held Managerial role at MAS Holdings designing comprehensive HR frameworks for large-scale organisations.

BBA (University of ICFAI, India), Master of Human Resources Management with Merit Pass (University of Colombo), Lifetime Fellow Member of Institute of Chartered Professional Managers of Sri Lanka, Associate Member of the Association of Chartered Institute of Personnel Management Sri Lanka and Association of HR Professionals, Sri Lanka.

(The directorships held by the Corporate Management Members in the Subsidiaries and the Associates of the Bank are given in the pages 471 to 472.)

EXECUTIVE MANAGEMENT

Mr K G C Deepal
Assistant General Manager
Information Systems Audit

Ms Jeyaranee Gnanasambanthan
Country Manager - Chennai

Ms Mala Weerasekera
Assistant General Manager
Branch Credit Range I

Ms K P Mallika
Assistant General Manager
Treasury Back Office

Ms Krishanthi Fernando
Assistant General Manager
Corporate Credit

Ms Zeena Ruwais
Assistant General Manager
Budget, Strategic Planning and MIS

Mr Ananda Wanigasekera
Assistant General Manager
Recovery Provinces

Ms Manshala Withana Arachchi
Assistant General Manager
Branch Operations

Mr Samantha Wimalasiri
Assistant General Manager
Consumer and Development Banking

Ms Indira Kannangara
Assistant General Manager
Recovery Corporate

Ms Manosika Herath
Assistant General Manager
North Western Province

Ms Manjula Herath
Country Manager - Malè

Ms Sumangala Pirapaharan
Assistant General Manager
Central Credit Operations

Mr Saman K Wickramasinghe
Assistant General Manager
Digital Products Promotion

Ms Purna Tilakaratna
Deputy Chief Legal Officer
International and General Operations

Ms Nishanadee Nanayakkara
Deputy Chief Legal Officer
Credit

EXECUTIVE MANAGEMENT

Mr S B A M G S Arampath
Assistant General Manager
Pettah Business Centre

Mr Sudath Liyanage
Assistant General Manager
Western Province North

Mr V Sivananthan
Assistant General Manager
Northern Province

Mr Duminda Dayawansa
Assistant General Manager
Centralised Operations

Ms W K L B N Samanthie
Assistant General Manager
Branch Credit Range 2

Ms Deepa Kumari
Assistant General Manager
Credit Risk

Mr Rajitha Thushantha
Country Manager - Seychelles

Mr Madhawa Dissanayake
Chief Executive Officer
Bank of Ceylon (UK) Ltd

Ms Surekha Kulasekera
Assistant General Manager
Sustainable Banking

Ms Ganga Weerakkody
Assistant General Manager
Operational Audit

Ms Disna Dias
Assistant General Manager
Superannuation Schemes

Ms Ruchindra Perera
Assistant General Manager
Metropolitan

Mr Ranjith Ruwanpathirana
Assistant General Manager
Southern Province

Mr N Krishnakumar
Assistant General Manager
Business Revival Corporate

Mr Upul Wijegunawardena
Assistant General Manager
Electronic Banking Centre

Mr Buddhika Premarathna
Assistant General Manager
Marketing

Mr Rihaan Shakoor
Assistant General Manager
Investments

Ms B Cynthia Martyn
Assistant General Manager
Credit Audit

Mr Kushan Delgoda
Assistant General Manager
Western Province Central

Mr Chaminda Ranasinghe
Assistant General Manager
Sabaragamuwa Province

Mr S Sabesan
Assistant General Manager

Dr Chamil Bandara
Assistant General Manager
Research and Development

Mr Kelum Gajanayaka
Assistant General Manager
Project Finance

Mr Chandana Kodituwakku
Head of IT - Infrastructure and Operations

Ms Prashani Goonetilleke
Assistant General Manager
Compliance

Mr K K Susantha
Assistant General Manager
Trade Finance and Services

Mr Kumudu Mahawatta
Assistant General Manager
Eastern Province

Ms Uthpala Herathrandeny
Assistant General Manager
State Owned Enterprises Relations

Ms Jayamali Priyadarshika
Assistant General Manager
Overseas Branches

Ms Ishara Ranasinghe
Assistant General Manager
Procurement

Ms Koshila Jayasooriya
Assistant General Manager
Business Revival Provinces

Ms Priyangani Jayathunga
Head of IT - Application Development and Support

EXECUTIVE MANAGEMENT

Ms Thanuja Perera
Head of IT - Project Management Office

Ms Tharangani Ranasinghe
Assistant General Manager
Human Resource Operations

Mr Upul Wijayathunga
Assistant General Manager
International

Mr Prageeth Balasuriya
Assistant General Manager
Corporate Relations

Mr Chanaka Kohomange
Assistant General Manager
Personal Assistant to General Manager

Mr Asanka Benthara Vithanage
Assistant General Manager
Western Province South

Ms Nirosha Abeysundara
Assistant General Manager
Administrative Services

Mr D W P K Premarathna
Assistant General Manager
North Central Province

Mr Damith Ekanayake
Assistant General Manager
Central Province

Mr Iresh Ratnayaka
Chief Information Security Officer

Ms Saranga Perera
Assistant General Manager
Accounting and Tax

Ms Malitha Gunatilleke
Assistant General Manager
Investigations

Mr Lasantha Premarathna
Assistant General Manager
Treasury

Mr H A K Sampath
Assistant General Manager
Uva Province

Ms Dayajinie Peeris
Deputy Chief Legal Officer
Governance, HR and Banking Operations

Mr N Rajalingam
Head of IT - Governance

OUR STRATEGY
Navigating The Future

The Bank's strategic pillars are deeply interconnected. By aligning markets, communities, innovation, sustainability, governance and risk, the Bank transforms strategy into action, delivering tangible impact across the nation.

*Every twist of the Cube shifts the whole pattern, shaping the final outcome.
A single rotation can transform the Cube just as one initiative can spark exponential growth across communities.*

OPERATING ENVIRONMENT

GLOBAL CONTEXT

In 2025, the global economy operated in a dynamic environment shaped by geopolitical tensions, evolving trade frameworks, and structural realignments. According to the latest World Economic Outlook of the International Monetary Fund, global GDP growth is estimated to reach at approximately 3.3% in 2025, reflecting resilient yet uneven expansion. Advanced economies recorded moderate growth, while emerging markets maintained stronger momentum, supported by domestic demand and technology-driven advancements.

Inflation, although easing from prior peaks, remained elevated in key areas, prompting Central Banks, including the US Federal Reserve and the European Central Bank, to adopt measured, data-driven policy approaches.

Global financial markets were shaped by strategic competition, regional conflicts, and evolving trade dynamics. The US Dollar Index softened, easing pressures on emerging markets and supporting cross-border trade, while gold reached record levels amid heightened risk aversion and Central Banks reserve diversification. Commodity markets remained mixed, influenced by geopolitical risk and moderated demand.

The global banking sector navigated these conditions with resilience. Elevated interest rates supported margins, while disciplined lending, strong capital buffers, and prudent liquidity management mitigated risks. Overall, 2025 was a year of measured growth, heightened market volatility, and resilient financial performance, underscoring the importance of strategic agility and robust risk management for banks operating in a complex global environment.

Looking ahead, continued geopolitical tensions in West Asia are likely to sustain global economic uncertainties by driving fuel price volatility and inflationary pressures, while creating potential headwinds for Sri Lanka's export performance, remittance inflows, and foreign exchange stability.

LOCAL CONTEXT

In 2025, Sri Lanka experienced measured stabilisation and renewed confidence, supported by reform programmes. Fiscal consolidation remained central, with disciplined expenditure, revenue enhancement, and structural reforms restoring macroeconomic sustainability. Strengthened tax administration and broadened compliance lifted Government revenues, enhancing fiscal credibility and supporting debt restructuring objectives.

In 2025, Sri Lanka advanced steadily on the path to macroeconomic stability, fueled by policy reforms and stronger fundamentals. Building on the 2024 revival, all key sectors sustained robust growth, with the economy expanding 5.4% in 3Q 2025 demonstrating a 5.3% growth from the previous year. Positive contributions across all major activities, alongside a GDP implicit price deflator of 6.8%, drove an overall growth of 5.0% in the first nine months, reflecting the resilience and momentum of the nation's recovery. This positive trajectory underscores improving economic momentum with notable contributions from industry, transport and tourism related services.

Declining inflation and improved external balances enabled the Central Bank of Sri Lanka to maintain lower interest rates, stimulating credit demand and easing funding pressures. Exchange rate stability, supported by stronger foreign inflows and prudent reserve management, enhanced business predictability and strengthened balance sheets with foreign currency exposures. However, amidst the relaxation of vehicle import restrictions and increasing imports, the Sri Lanka rupee (LKR) recorded a depreciation of 5.6% against the US dollar (USD) in 2025.

A notable policy shift was the gradual relaxation of vehicle import restrictions, catalysing financing activities. Higher credit disbursements expanded asset books, and improved fee-based income reflected strong consumer demand, particularly in auto finance. Lenders maintained disciplined underwriting to preserve asset quality amid volume growth.

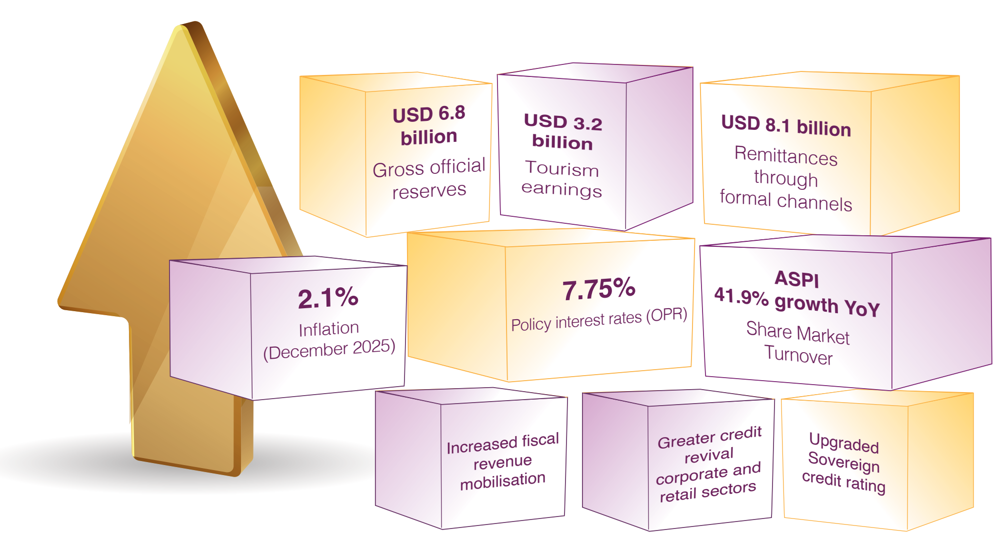
Government revenues strengthened in 2025, driven by higher tax collections, customs duties, and other income streams, bolstering fiscal stability and supporting continued investment in national growth. External sector performance strengthened markedly. Tourism rebounded with around 2.4 million arrivals and higher occupancy, boosting foreign exchange earnings of about USD 3.2 billion from tourism revenue in 2025, while worker remittances increased through formal channels reporting USD 8.1 billion with 23% growth, enhancing liquidity and reserves.

Challenges persisted, particularly with Cyclone Ditwah causing disruption to livelihoods, agriculture, and infrastructure. Reconstruction and rehabilitation stimulated activity in construction, logistics, and allied sectors. Public–private collaboration accelerated capital expenditure, supporting medium-term development and climate resilience, while financial institutions contributed through relief measures, concessional lending, and insurance settlements.

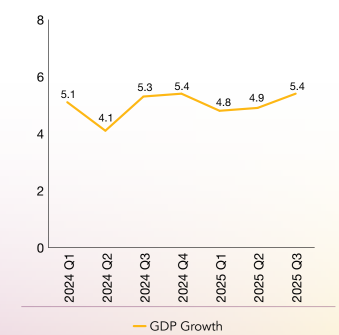
Overall, 2025 reflected cautious optimism for Sri Lanka. Macroeconomic stabilisation, stronger external buffers, eased monetary conditions, and sectoral momentum created a foundation for sustainable growth. Resilience, reform continuity, and disciplined financial stewardship remained pivotal for navigating residual vulnerabilities and strengthening the nation's long-term economic trajectory.

Snapshot of Macroeconomic Stabilisation Gaining Traction

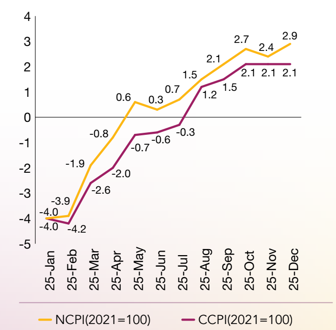
In 2025, Sri Lanka transitioned from crisis containment to structured recovery, while macroeconomic stabilisation measures began yielding tangible results.



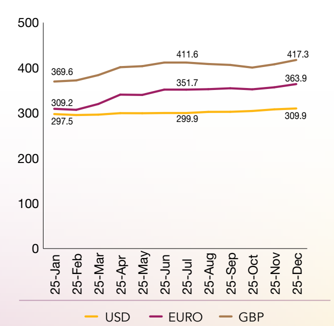
GDP Growth %



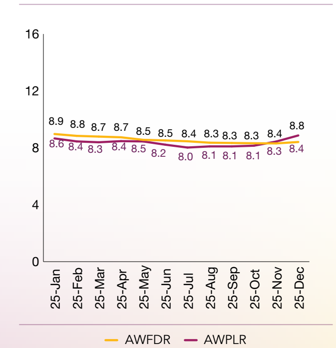
Inflation %



Exchange Rate LKR



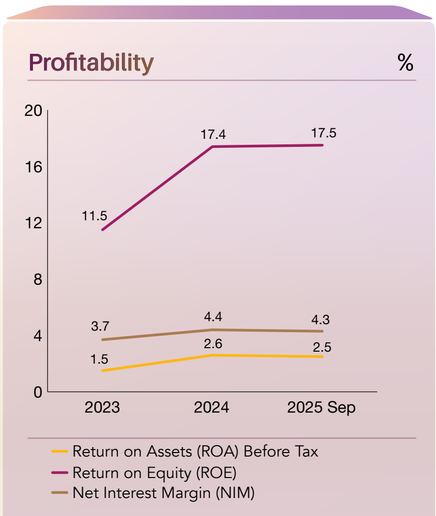
Interest Rate Movement %

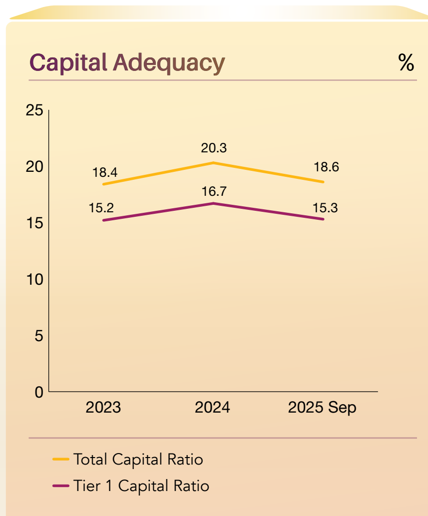


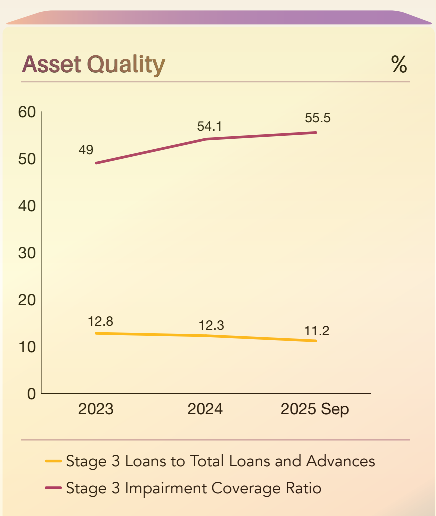
OPERATING ENVIRONMENT

SNAPSHOT OF BANKING SECTOR PERFORMANCE

In 2025, Sri Lanka's banking sector navigated a year of gradual recovery and cautious optimism. The macroeconomic environment, shaped by stabilising inflation, broadly stable exchange rates, and accommodative interest rates, provided a conducive backdrop for renewed credit growth and improved sector resilience. Banks leveraged stronger fiscal positions and enhanced external inflows from tourism and remittances to strengthen liquidity buffers and restore confidence among depositors and investors.







Key Regulatory Requirements Imposed by CBSL

- **An Addendum to Circular No. 04 of 2024, Relief Measures to Assist the Affected Small and Medium Enterprises**
  Extending and monitoring the relief measures to SMEs.
- **Loan-to-Value (LTV) Caps:**
  Maximum caps applied on LTV ratios for credit facilities granted for motor vehicle purchases.
- **IT and Cybersecurity Reporting:**
  Licensed banks are required to report IT and cybersecurity incidents promptly, covering cyber threats, data breaches, system failures, and other disruptions, further to the Banking Act Direction No.16 of 2021.
- **Ammendments to the Banking Act Determination No. 04 of 2024, Approved Securities for Accommodation Granted to Related Parties**
  Facilitating the opening of Letter of Credits to Ministries and Department of Government of Sri Lanka (GOSL) and State Owned Enterprises (SOEs) with a letter of undertaking issued by the General Treasury.
- **Recovery Plans for Licensed Banks**
  Directions on the development of the Recovery Plans (RCP).
- **Guidelines for the Mobile Banking Units (MBU)**
  Amendment to prior approval to conduct MBU Activities.
- **Cyclone Ditwah Relief Measures:**
  - Temporary suspension of principal and interest repayments for 3–6 months.
  - Extension of new loans with grace periods and competitive interest rates.
  - Waiver of fees and penalties until 31 January 2026.

The year, 2025 reflected a balanced and prudent growth for the banking sector; supporting economic recovery, enabling national development priorities, and embracing digital transformation, while maintaining robust risk management and capital adequacy standards. Banks emerged more resilient, adaptive, and prepared to underpin Sri Lanka's ongoing recovery and long-term stability.

The gradual easing of vehicle import restrictions drove a notable surge in auto financing and hire-purchase activity, while retail, SME, and housing credit continued to expand in a disciplined manner. Digital banking adoption accelerated, enabling wider customer reach, operational efficiency, and improved financial inclusion.

Despite these positive trends, the sector remained alert to key risks, including climate related vulnerabilities, credit concentration in high-demand segments, and potential global market volatility. Non-performing loans showed gradual improvement as disciplined underwriting and targeted risk management practices strengthened asset quality.

PESTEL ANALYSIS

The following analysis explores the Bank's response to the emerging developments in the local operating landscape.

P POLITICAL CONTEXT

Political Stability:

Reform-oriented Government, maintained stability post-elections.

Policy Focus:

Emphasis on fiscal discipline, public sector transparency, and structural reforms.

Multilateral Engagement:

Continued strong collaboration with International Monetary Fund, including USD 334 million (3rd review), USD 350 million (4th review), and USD 206 million emergency financing, supporting financial sector confidence.

Our Strategic Response

- Stable political environment enabled the Bank to confidently extend credit and mobilize deposits.
- Regulatory reforms improved the governance and created strategic growth opportunities.
- Government-led sector consolidation strengthened banking operations.
- Alignment with the Government priorities (digital and financial inclusion) allowed outreach to rural/ underserved communities.
- Participation in the Government initiatives and infrastructure financing reinforced the Bank's national role and market leadership.

Related Risks R1 R2

Related Material Themes M1

E ECONOMIC CONTEXT

Economic Growth:

Sri Lanka's GDP grew by 5.4% in the first nine months of 2025, supported by growth in agriculture, industry, and services.

Inflation:

Inflation remained low, with CCPI at 2.1% in December 2025, though food prices increased due to weather disruptions.

Interest Rates:

Market interest rates declined during 2025 under expansionary monetary policy, supporting credit growth.

External Sector:

Tourism, remittances, and improved foreign reserves strengthened the external sector despite global uncertainties.

Currency Movement:

The Sri Lankan rupee depreciated against the US dollar during 2025, yet stable.

Fiscal Performance:

Improved Government revenue and reduced deficit enhanced fiscal stability and policy support.

Our Strategic Response

- Capital and Liquidity: Maintained strong capital adequacy and liquidity buffers.
- Risk Management: Enhanced risk frameworks and maintained risk-sensitive credit underwriting with sectoral limits.
- Credit Expansion: Selectively increased lending to MSMEs, exports, tourism, vehicle/leasing, and housing.
- External Sector Leverage: Boosted CASA deposits and foreign currency liquidity through remittance partnerships, digital platforms, tourism financing, and trade finance.
- Growth Focus: Sustained and accelerated banking operations in 2025.

Related Risks R1 R2 R3 R4

Related Material Themes M1

S SOCIAL CONTEXT

Demographics:

Youth and GenZ segment driving demand for digital banking, financial literacy, and youth oriented savings products.

Urbanisation and mobility:

Growing urban middle class which increases demand for retail and SME banking needs.

Public expectations:

Rising focus on corporate social responsibility, financial inclusion, and ethical banking.

Digital adoption:

Social banking accelerating, especially among tech savvy youth.

Our Strategic Response

- **Financial Literacy:** Expanded school and university programmes on savings, loans, and digital finance while offering youth loan facilities.
- **Digital Banking:** Accelerated rollout of mobile apps and online platforms for tech-savvy and urban customers.
- **Inclusive Products:** Tailored services for low-income and rural groups (e.g. Aswesuma beneficiaries) and support for SMEs and microfinance.
- **Community Outreach:** Strengthened programmes aligned with national development priorities to build public trust.
- **Data-Driven Services:** Used data and analytics to track social trends and personalise banking services.

Related Risks R1 R2 R3

Related Material Themes M3 M8 M10

OPERATING ENVIRONMENT

TECHNOLOGY CONTEXT

National Digital Ecosystem:

Government and CBSL initiatives, including GovPay, accelerating digital payments and financial services adoption.

Digitalisation and AI:

Driving transformation in banking through enhanced services, personalisation and operational efficiency.

Digital Infrastructure:

Rising internet penetration and mobile connectivity enabling wider use of digital banking.

FinTech Expansion:

Growth of e-wallets, digital payments and alternative lending platforms increasing innovation and competition.

Cybersecurity and AI Risks:

Heightened focus on data protection alongside emerging risks related to AI misuse and misinformation.

Our Strategic Response

- **Digital Banking:** Enhanced mobile and internet banking services.
- **Platform Integration:** Strengthened digital and payment ecosystem integration.
- **Automation:** Increased automation in compliance and credit processes.
- **Digital Payments:** Promoted digital payment adoption and financial inclusion.
- **Cybersecurity:** Strengthened cybersecurity and data protection frameworks.
- **Efficiency:** Digital expansion improved cost efficiency and accessibility.

Related Risks R3

Related Material Themes M2

ENVIRONMENT CONTEXT

Climate risks:

Increasing frequency of floods, droughts and extreme weather events affecting communities and businesses. Cyclone Ditwah served as a stark reminder of climate vulnerabilities

Sustainability focus:

Increased public and regulatory emphasis on green finance, renewable energy and ESG compliance

Resource management:

National initiatives promoting energy efficiency, water conservation and waste reduction.

Corporate accountability:

Higher expectation for companies, including banks, to disclose environmental impact and support sustainable development.

Our Strategic Response

- Launched Sri Lanka's largest Basel III compliant Sustainability Bond.
- Introduced eco-friendly biodegradable banking cards.
- Adopted renewable energy and energy efficiency measures across branches.
- Engaged in community environmental programmes and awareness initiatives.
- Voluntary adoption of SLFRS S1 and S2 Standards.

Related Risks R1 R2 R3

Related Material Themes M6 M7 M9

LEGAL AND REGULATORY CONTEXT

Reinstatement of the Parate Law, effective 1 July 2025

Sustainable Finance Roadmap CBSL

Launched the roadmap (2025–2029) to guide sustainable financing, ESG risk management, and reporting, with stakeholder-validated implementation plans.

Other Regulatory Updates:

- Accommodative interest rate policies supporting credit growth
- Digital banking and cybersecurity regulations
- Financial inclusion mandates encouraging SME, microfinance, and rural banking

Our Strategic Response

- Adhered with the laws, regulations and compliance requirements in a timely manner.
- Developed reporting systems to comply with CBSL sustainability disclosure requirements.
- Enhanced and ensured customers data protection.

Related Risks R1 R3

Related Material Themes M2 M4 M5

STAKEHOLDER ENGAGEMENT

GRI 2-29

Bank of Ceylon's stakeholders form a diverse and multifaceted community. Similar to the shifting faces of a Rubik's cube, each side represents unique expectations, priorities, and contributions to the Bank's progress. Recognising this complexity, the Bank adopts a wide range of structured and responsive engagement mechanisms to understand their evolving needs, strengthen relationships, and inform its strategic direction. Through continuous dialogue, feedback channels, and collaborative partnerships, the Bank ensures that stakeholder insights actively shape its decisions and reinforce its commitment to delivering sustainable value.

Shareholder and Fund Providers

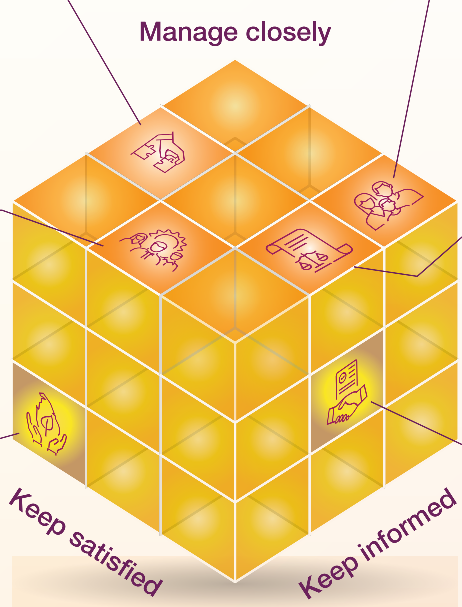
Shareholder and fund providers underpin the Bank's capacity for growth. Through prudent stewardship of capital and disciplined execution of strategy, the Bank seeks to safeguard their interests and deliver long-term value.

Employees

Employees form the backbone of the Bank's operational and strategic capability. Continuous investment in skills, well-being, and career pathways supports a motivated and future-ready workforce.

Community and Environment

The community and environment represent the broader context in which the Bank operates. The Bank prioritises initiatives that advance social well-being, environmental responsibility, and inclusive development.



Customers

The Bank views its customers as key drivers of service innovation. Their evolving expectations inform product development, channel expansion, and the delivery of reliable, accessible financial solutions.

Regulators

Regulators play a central role in shaping a stable financial landscape. The Bank maintains a proactive and cooperative approach to regulatory engagement, ensuring alignment with emerging requirements and industry standards.

Business Partners

Business partners contribute to the Bank's operational efficiency and service reach. The Bank fosters transparent, collaborative relationships that encourage shared accountability and strengthen value creation across the supply chain.

Priority:

High | High to Moderate

STAKEHOLDER ENGAGEMENT PROCESS

The Bank undertakes a structured approach towards stakeholder engagement, outlined below:

01 Understand Stakeholders

- *Identify and prioritise key stakeholder groups*
- *Assess their interests, influence, and expectations*

02 Shape Engagement

- *Define the purpose and desired outcomes of engagement*
- *Select appropriate channels, methods, and frequencies*

03 Deliver Value

- *Develop actions and responses that address stakeholder expectations*
- *Implement stakeholder engagement activities*

04 Demonstrate Accountability

- *Measure effectiveness and assess outcomes*
- *Report insights and progress to stakeholders*
- *Integrate learnings to improve future engagement*

Link to Material Matters

The Bank conducted a comprehensive stakeholder engagement survey during the year, which directly contributed towards the identification of ten material matters.

Customers

Strength of relationship: Strong

The Bank serves to Retail, SME, Corporate and Offshore customers, offering a comprehensive range of financial products and services designed to support diverse financial needs.

SDGs

Expectations:

- Speedy and convenient service
- Reliable, secure and accessible platforms
- Transparent and competitive pricing
- Fair treatment and responsible banking
- Access to finance and advisory support

Engagement:

- Direct engagement through branches and digital channels — O
- Website and social media platforms — O
- Customer hotline and service centres — O
- Financial literacy programmes — O
- Marketing, advertising and promotions — O
- Market surveys and feedback mechanisms — P

Response:

- Delivery of customer-centric solutions
- Continuous enhancement of digital banking capabilities
- Automation initiatives to reduce transaction turnaround times
- Strengthening of cybersecurity and platform resilience
- Implementation of financial literacy and awareness programmes

Value Delivered:

Gross Loans and Advances to Customers: **LKR 2.7 trillion**

Interest on Deposits: **LKR 260.6 billion**

Digital Transactions: **419.4 million**

Shaping Every Customer Journey Pages 132-137

Powering Digital Experiences Pages 148-152

Strategy:

Capital Trade-offs:

Short-term:

Investment in technology and service delivery affect:

Long-term:

Customer trust, inclusion and digital capability enhance:

Resilience is built across:

Employees

Strength of relationship: Strong

The Bank's workforce across Sri Lanka and overseas supports its operations and long-term value creation.

SDGs

Expectations:

- Competitive remuneration
- Career development opportunities
- Skills enhancement
- Safe and inclusive workplace
- Job security and post-employment benefits

Engagement:

- Multi-level staff meetings — O
- Open-door culture — O
- Grievance handling mechanisms — O
- e-Learning platforms — O
- Performance appraisals — O
- Engagement through trade unions — O
- Employee satisfaction surveys — A

Response:

- Provision of continuous training and development programmes
- Implementation of performance-based reward and compensation structures
- Introduction of physical and mental well-being initiatives
- Enhancement of retirement and post-employment benefits
- Periodic review and strengthening of HR policies and governance frameworks

Value Delivered:

Total Employees: 8,912

Employee Retention Rate: 97%

Average Training Hours per Employee: 28 hours

An Inclusive Workforce for Enduring Performance Pages 138-147

Strategy:

Capital Trade-offs:

Short-term:

Investment in Human capital and remuneration commitments affect:

Long-term:

Enhanced workforce capability, culture and leadership capacity strengthen:

Resilience is built across:

Engagement Frequency: **O** Ongoing **P** Periodic **Q** Quarterly **B** Bi-annual **A** Annual

Shareholder and Fund Providers

Strength of relationship: Strong

The Sri Lankan Government holds sole shareholder status, while fund providers include holders of subordinated debt instruments.

SDGs

Expectations:	Engagement:	Response:
• Returns aligned with risk and opportunities • Transparent and timely reporting • Robust governance and risk oversight • Responsible conduct and ethical practices • Recognition and reputation	• BOC website O • Annual Reports and other publications AO • Periodic meetings/ written communication with key representatives P • One-to-one discussions with major investors P • Interactions through market intermediaries P • Corporate announcements via CSE P	• Focus on generating stable and sustainable returns • Maintaining a strong financial position • Adhering to rules and guidelines • Ongoing capital strengthening initiatives • Timely and transparent market disclosures

Value Delivered:

Capital Adequacy Ratio: 16.9%

Return on Equity (ROE): 22.7%

Credit Rating upgraded to AA-(lka)/stable

Financial Review Pages 108-114

Strategy:

Capital Trade-offs:

Short-term:	Long-term:	Resilience is built across:
Operational, compliance and reporting pressures affect:	Stronger governance, trust, and financial discipline enhance:	

Community and Environment

Strength of relationship: Strong

Communities in which the Bank operates, the general public, and the natural environment.

SDGs

Expectations:	Engagement:	Response:
• Support for business revival and economic resilience • Confidence and stability within the financial sector • Alignment of banking strategy with national development priorities • Increased emphasis on ESG considerations • Contribution to community upliftment initiatives • Responsible business practices • Financial inclusion and empowerment	• Annual Report and other publications QA • BOC website and other digital platforms P • Industry forums, conferences, and policy dialogues P • Through branch networks P • Community investment programmes P • Press releases and media campaigns P	• Introducing targeted loan schemes for youth, women, and SMEs • Strengthening governance and risk management systems • Promoting employment generation • Advancing financial inclusion nationwide • Sustaining long-term investments in community development • Delivering value to Government priorities • Supporting national economic recovery efforts through dedicated revival units • Focus towards climate related risks and opportunities

Value Delivered:

Community Investment: **LKR 780.5 million**

Environmental Impact Achieved (CO_2e Avoided): **14.4 tCO_2e**

Building a Sustainable Future Pages 153-160

Strategy:

Capital Trade-offs:

Short-term:	Long-term:	Resilience is built across:
Operational disruptions, resource allocation and investments in projects affect:	Societal, knowledge and environmental gains, enhance:	

Business Partners and Suppliers

Strength of relationship: Strong

The Bank maintains relationships with local and global suppliers, service providers, and correspondent banking partners supporting operational delivery.

SDGs

Expectations:	Engagement:	Response:
• Transparent selection processes • Competitive and fair pricing • Timely payments • Ethical and responsible procurement • Ease of transaction	• Ongoing written communication — O • Regular meetings — P • Periodic bidding processes — P • Financial statements and annual reports — QA • Press notices and disclosures — O	• Implementation of transparent tendering and evaluation processes • No payment defaults during the year • Automation and digitisation of procurement processes • Strengthening of supplier governance and oversight controls

Value Delivered:

Total Payments to Suppliers: **LKR 10.7 billion**

Active Supplier Base: **851**

Building a Sustainable Future Pages 153-160

Strategy:

Capital Trade-offs:

Short-term: Operational expenditure and working capital allocation affect:

Long-term: Strengthened supply chain resilience and local economic contribution enhance:

Resilience is built across:

Regulators

Strength of relationship: Strong

The Bank's key regulators include the Central Bank of Sri Lanka (CBSL), the Securities and Exchange Commission of Sri Lanka (SEC), the Colombo Stock Exchange (CSE), and relevant overseas regulatory Authorities.

SDGs

Expectations:	Engagement:	Response:
• Regulatory compliance • Strong governance and risk management • Financial system stability • Support for national economic priorities	• Regulatory reporting — OQ • One-to-one supervisory meetings — O • Participation in industry forums — P • Annual reports and other publications — QA	• Timely submission of regulatory returns • Adherence to prudential and capital requirements • Compliance with mandatory lending directives • Strengthened governance and risk oversight frameworks • Ongoing support for vulnerable and priority sectors

Value Delivered:

Maintained integrity and industry harmony

Material Regulatory Breaches: Nil

Compliance Annexes Pages 405-454

Strategy:

Capital Trade-offs:

Short-term: Investment in compliance and human capacity building affect:

Long-term: Customer trust, inclusion and digital capability enhance:

Resilience is built across:

MATERIALITY ASSESSMENT

GRI 3-1,2

As the Bank's operations continue to support national economic and social priorities, understanding and addressing material sustainability issues remains essential to its value creation process. During the year, the Bank conducted a comprehensive materiality assessment to revisit and prioritise sustainability topics in line with evolving stakeholder expectations, regulatory developments, and global reporting standards. Guided by the principle of double materiality, the assessment considered both impact materiality; the Bank's effects on the economy, environment, and society and financial materiality; the implications of these sustainability factors on the Bank's performance, resilience, and long-term value creation.

MATERIALITY ASSESSMENT METHODOLOGY

The assessment combined internal analysis with external insights to ensure relevance and completeness. Key steps included a review of sectoral and macroeconomic trends, peer benchmarking, and engagement with stakeholders such as employees, customers, regulators, shareholder and fund providers, community and environment and business partners. Potential sustainability matters were mapped across the Economic, Environmental, Social, and Governance (EESG) dimensions and evaluated for significance using the double materiality lens. Topics were then prioritised and ranked based on their relative impact and financial relevance. The results were reviewed and validated by management committee and endorsed by the Board of Directors, ensuring alignment with the Bank's strategic direction and value creation model.

Identify

Using a comprehensive review of internal and external contexts

Assess Importance

The Bank assesses the strategic importance of each topic to the Bank, considering how critical each topic is for the Bank in terms of 'Importance to the business', 'Stakeholders' and 'Value chain'.

Prioritise

Topics are prioritised by evaluating the relative importance of each stakeholder group and by assessing the overall business impact of each topic, including its economic, environmental, social and Governance effects on the Bank's value creation and long term sustainability.

Monitor and Report

The Bank regularly reviews its material topics in response to changes in the operating environment and reports progress to the Board of Directors and stakeholders.

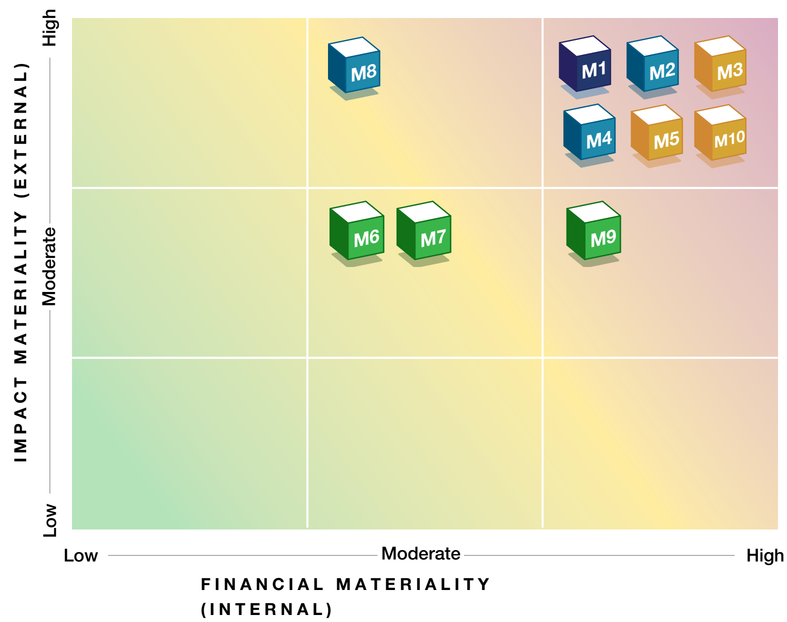
MATERIAL TOPICS

In 2025, the Bank identified 10 key material topics across four EESG dimensions, representing the Bank's most significant areas of impact and influence, prioritised based on their relevance to stakeholders and financial performance.

Compared to the previous framework; structured around four thematic clusters, the revised model adopts an integrated EESG lens that highlights interconnections between performance, governance, stakeholder trust, and environmental stewardship. This marks a strategic shift from issue-based groupings to a holistic view of sustainability, emphasising resilience, ethical conduct, responsible financing, and collaborative progress.

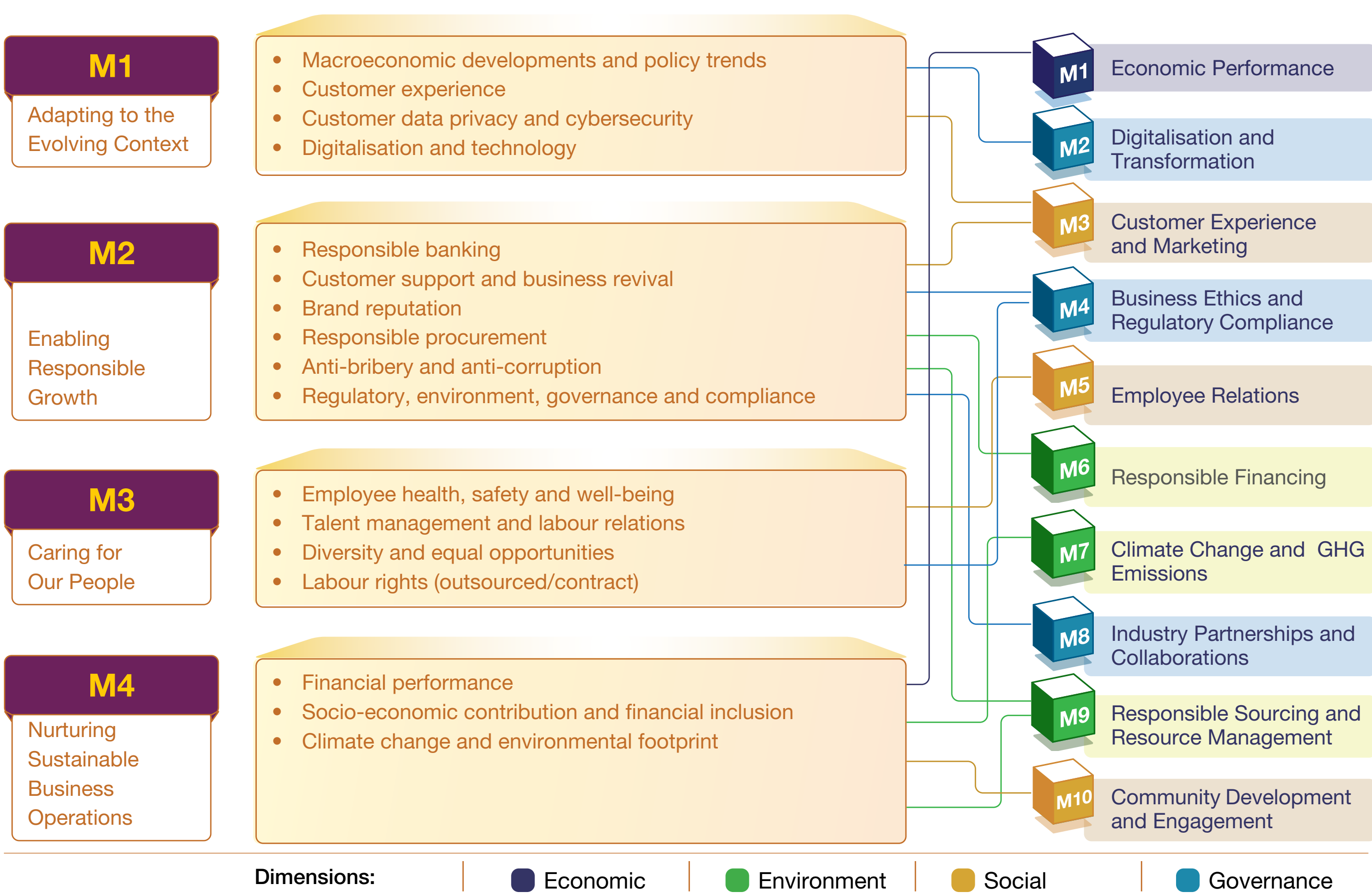
MATERIALITY ASSESSMENT

Key themes such as Digitalisation and Transformation, Business Ethics and Regulatory Compliance, Responsible Financing, and Climate Change and GHG Emissions have gained prominence, reflecting the Bank's proactive response to emerging risks, opportunities, and evolving regulatory expectations. The refined framework strengthens alignment with national development priorities, global standards (GRI and SLFRS S1 and S2), and stakeholder expectations, positioning sustainability as a core driver of long-term value creation.



EVOLUTION OF THE MATERIALITY FRAMEWORK

The diagram below illustrates the transition from the previous four thematic clusters to the refined 10 material topics, demonstrating continuity in focus while providing greater clarity and definition across priority areas.



MATERIAL TOPICS AND BOC STRATEGY GRI 3-3

Aligned with the Bank's broader vision and its commitment to deliver sustainable value to stakeholders, the material topics given below reflect the areas that most significantly influence long-term performance and resilience. These material topics also shape the Bank's strategy, resource allocation, and the key initiatives undertaken to create sustainable value. The table brings together the rationale, strategic response, and stakeholder relevance of each priority, demonstrating how material matters are embedded within the Bank's strategic agenda.

Material Topics	Reason for Materiality	Strategic Response	Capitals Impacted	Stakeholder Impacted	SDG Impacted
M1 Economic Performance *GRI 201, 202, 203*	Sustaining profitability and operational efficiency ensures financial resilience, supports national development priorities, and enables long-term value creation for stakeholders.	Value Added Statement (Page 74) Management Discussion and Analysis (Pages 107-160)			
M2 Digitalisation and Transformation *SASB FN-CB-230a.1, SASB FN-CB-230a.2, GRI 418*	Investing in digital systems enhances operational efficiency, customer convenience, and cybersecurity, enabling the Bank to remain competitive and resilient in a rapidly evolving financial landscape.	Powering Digital Experiences (Pages 148-152)			
M3 Customer Experience and Marketing *GRI 418*	Delivering fair, transparent, and responsive customer service strengthens trust and loyalty, while responsible marketing and complaint management uphold integrity and accountability.	Shaping Every Customer Journey (Pages 132-137)			
M4 Business Ethics and Regulatory Compliance *SASB FN-CB-510a.2 GRI 205, 207*	Upholding integrity, transparency, and compliance safeguards stakeholder trust, mitigates reputational risk, and ensures sustainable business growth under changing regulatory conditions.	Governance and Risk (Pages 162-179)			
M5 Employee Relations *GRI 202, GRI 401, GRI 402, GRI 403, GRI 404, GRI 405, GRI 407, GRI 408, GRI 409*	A motivated and inclusive workforce is critical to service excellence. The Bank prioritises fair employment, skill development, and employee well-being to attract, retain, and empower talent.	An Inclusive Workforce for Enduring Performance (Pages 138-147)			

MATERIALITY ASSESSMENT

Material Topics	Reason for Materiality	Strategic Response	Capitals Impacted	Stakeholder Impacted	SDG Impacted
M6 Responsible Financing *GRI 406*	Integrating ESG factors into lending and investment promotes financial inclusion, responsible credit practices, and sustainable economic development across communities.	Building a Sustainable Future (Pages 153-160)			
M7 Climate Change and GHG Emissions *GRI 302* *GRI 305*	Addressing climate risks and promoting green financing supports national decarbonisation goals and enhances the Bank's environmental stewardship and operational efficiency.	Building a Sustainable Future (Pages 153-160)			
M8 Industry Partnerships and Collaborations	Collaborating with industry stakeholders promotes knowledge sharing, innovation, and sector-wide sustainability, strengthening the Bank's role in driving collective progress.	Stakeholder Engagement (Pages 57-60)			
M9 Responsible Sourcing and Resource Management *GRI 306* *GRI 204*	Ethical procurement, efficient resource use, and biodiversity protection reduce environmental impacts and ensure sustainable, transparent supply chain practices.	Building a Sustainable Future (Pages 153-160)			
M10 Community Development and Engagement *SASB FN-CB-240a.1, SASB FN-CB-240a.2, SASB FN-CB-240a.3, SASB FN-CB-240a.4, GRI 413*	Supporting undeserved communities through inclusive financing and social initiatives advances equity, livelihood development, and the Bank's broader social impact.	Building a Sustainable Future (Pages 153-160)			

STRATEGY AND RESOURCE ALLOCATION

The Bank's strategic planning framework is designed to remain agile and responsive to evolving stakeholder expectations and dynamic market conditions. Operating under a comprehensive five-year Strategic Plan, the Bank follows a structured cycle of planning, execution, monitoring, and review to ensure alignment with its long-term transformation agenda. The Plan is reviewed and refreshed annually on a rolling basis, incorporating insights from Management and carried out under the oversight of the Board of Directors. Its formal launch, held in the presence of branch leadership, heads of non-business units, senior leadership, and the Board, fosters meaningful dialogue, organisational alignment, and shared ownership. This inclusive and participative approach strengthens engagement and reinforces collective accountability towards the effective implementation of strategic priorities.

This well-established and disciplined process has been instrumental in sustaining consistent performance and reinforcing the Bank's position as the largest and most trusted banking institution in the country. To ensure robust execution, the Corporate Strategic Review Committee, comprising the corporate management team and led by the General Manager, provides focused oversight of strategic initiatives. Performance is systematically tracked at senior and operational levels through weekly, monthly, quarterly, and annual reviews. This consultative, bottom-up governance structure enables the Bank to proactively respond to market developments, capitalise on emerging opportunities, and successfully deliver on its strategic objectives, thereby strengthening its leadership position within the industry.

STRATEGIC CONTEXT AND DIRECTION

Bank of Ceylon's strategic direction is guided by its Vision, Mission, and Core Values, which provide the foundation for the development and execution of its long-term strategy and approach to sustainable value creation.

Building on this foundation, the Bank's strategy is anchored on five core pillars that define its strategic priorities and operational focus. These pillars reflect the Bank's dual role as Sri Lanka's largest commercial bank and a market-oriented financial institution, while emphasising resilience, competitiveness, and long-term value creation across its operations.

Stability, Governance and Sustainable Growth	Excellence in Customer Experience	Digital Excellence	Rewarding Credit Culture and Healthy Credit Portfolio	Building a High-Performing Team

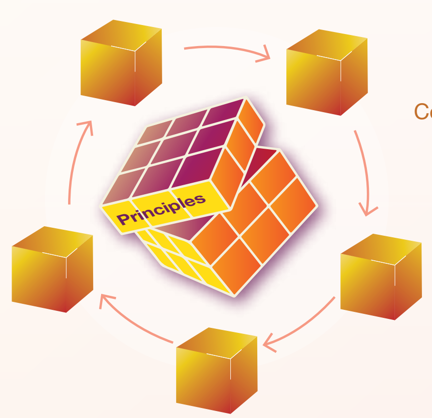
DRIVING PRINCIPLES OF BOC STRATEGY

The Bank's five-year Strategic Plan (2025-2029) was rolled forward following a comprehensive review of the 2024-2028 Strategic Plan, taking into account macroeconomic recovery trends, subdued private-sector credit demand, evolving regulatory requirements, and increasing competition in the market.

Building on the above five established pillars, the 2026-2030 Strategic Blueprint introduces Governance and Risk as the sixth strategic pillar, strengthening oversight, accountability, and risk stewardship which reinforces stakeholder confidence to safeguard long-term value. This would enable the Bank to be agile amidst evolving markets, regulatory shifts, and technological disruption.

Purpose and Responsiveness
Purpose-driven strategy that aligns with stakeholder expectations and market realities.

Alignment and Ownership
Collective ownership of strategic delivery.



Governance and Accountability
Clear oversight driving disciplined execution.

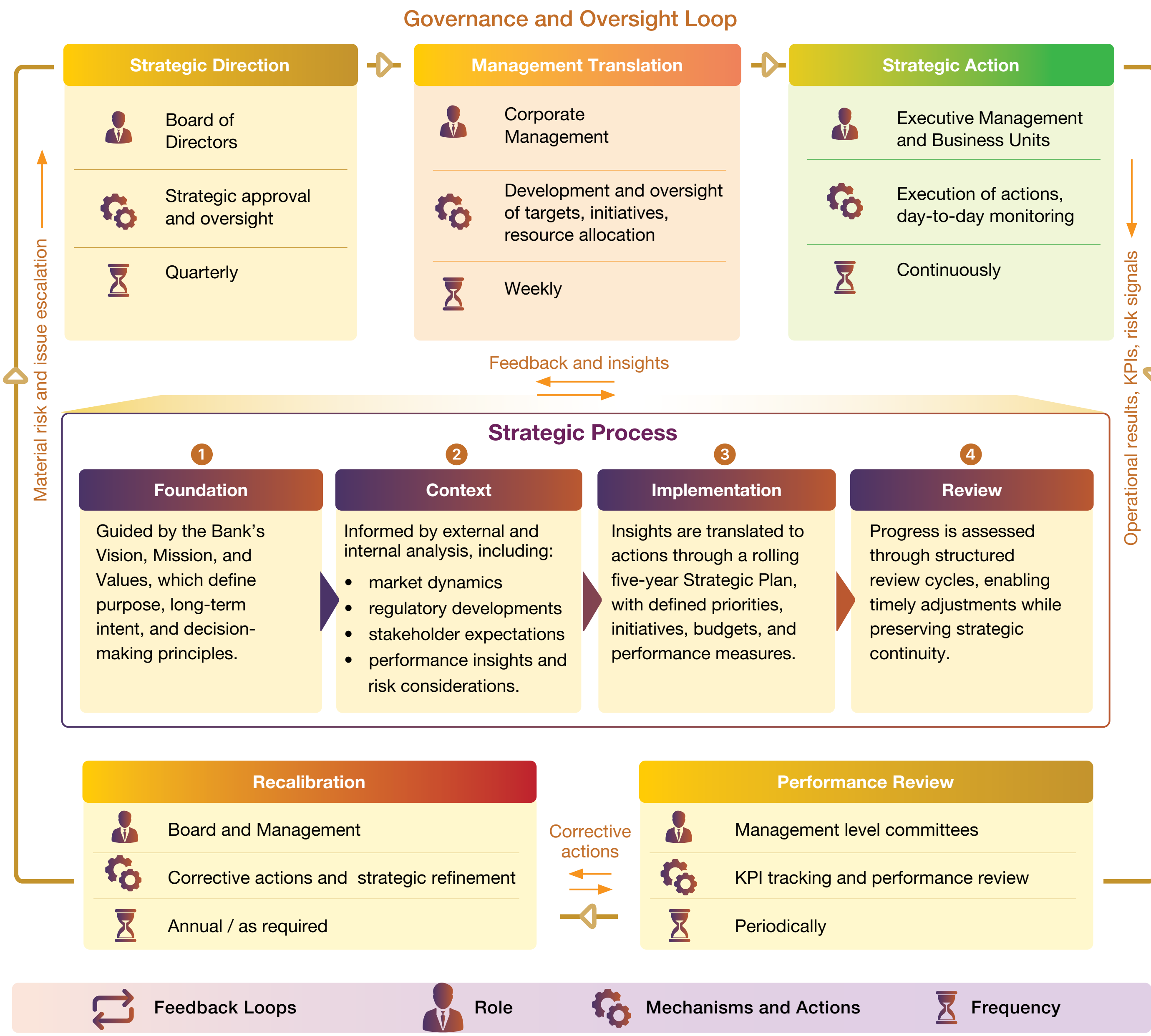
Execution and Performance Oversight
Continuous performance tracking and review.

Continuity and Recalibration
A rolling plan that evolves with changing conditions.

STRATEGY AND RESOURCE ALLOCATION

STRATEGIC PLANNING FRAMEWORK

The Bank's strategic planning framework is built on a structured and disciplined process that ensures clarity of purpose, informed decision-making, effective execution, and continuous refinement. An integrated governance and execution model ensures strategy is effectively directed, monitored, and refined.



STRATEGIC POSITIONING AND STRATEGIC RESPONSE

From Context to Action

The Bank's strategy is shaped by a balanced assessment of external market conditions and internal realities. The Strategic SWOT Analysis highlights the key factors influencing the operating environment, while the strategic response outlines how these insights are translated into focused priorities, capital allocation and execution discipline.

Where the Bank Wants to Be:

Customer Service Excellence
Deliver consistent, high-quality service across physical and digital channels.

Market Leadership
Strengthening the leadership by leveraging brand strength, scale, and customer reach.

Digital Leadership
Enhance customer and employee experiences through advanced digital solutions.

Sustainable Banking
Address economic, social, and environmental challenges through responsible banking practices.

Setting the Context:

Strengths | Internal Enablers

What positions the Bank strongly

- No. 1 brand with market leadership in profits, assets, loans, and deposits
- High public trust as a Government-owned institution
- Broad product portfolio with ~76% customer penetration
- Extensive domestic branches, international branches and correspondent network
- Only internationally rated local bank, reinforcing credibility and resilience

Weaknesses | Internal Constraints

What shapes pace and sequencing of change

- Elevated Stage 3 exposure requiring sustained recovery focus
- Capital constraints limiting rapid expansion
- Stringent procurement and approval processes
- Fragmented legacy IT systems affecting efficiency

S W O T

Opportunities | External Growth Drivers

Where strategic focus and investment are directed

- Growth in digital services, health and wellness, tourism and leisure, construction and infrastructure sectors
- Rising interest driven by stronger ESG expectations
- Expanding demand for sustainable and green finance
- Accelerating shift towards digital banking channels
- Large-scale developments (e.g. Port City) and economic recovery
- AI and analytics tools to enhance efficiency and decision-making

Threats | External Risks

What requires active monitoring and mitigation

- Increasing cybersecurity and data-privacy risks
- Intensifying competition from banks, fintech, and new entrants
- Heightened financial crime and AML risks
- Climate-related risks affecting assets and long-term stability

Refer Operating Environment (Pages 52-56)

Establishing the Bank's Strategic Response

Stability, Governance and Sustainable Growth

Core Actions:

- Strengthens capital and liquidity resilience
- Reinforces governance discipline and risk oversight
- Integrates sustainability into strategy and operations

Excellence in Customer Experience

Core Actions:

- Enhances service quality across physical and digital channels
- Improves accessibility, convenience, and responsiveness
- Deepens customer trust, loyalty, and engagement

Digital Excellence

Core Actions:

- Modernises core platforms and digital channels
- Strengthens cybersecurity and system resilience
- Enables data-driven decision-making and efficiency gains

Rewarding Credit Culture and Healthy Credit Portfolio

Core Actions:

- Promotes prudent lending and asset quality management
- Strengthens recovery frameworks and monitoring
- Supports inclusive growth through SME and priority-sector lending

Building a High-Performing Team

Core Actions:

- Build skills, leadership depth, and engagement
- Strengthens succession planning and performance culture
- Enhances execution capability across the Bank

STRATEGY AND RESOURCE ALLOCATION

From Action to Impact - Creating Value through Strategy

Through focused initiatives and deliberate resource allocation, the Bank converts strategy into tangible outcomes. Each pillar highlights how actions taken during the year contribute to performance, resilience, and sustainable value creation.

Stability, Governance and Sustainable Growth

Ensures long-term financial resilience, strong governance, and sustainable value creation.

Material Topics: M1, M4, M6, M7, M9, M10

SDGs: 9, 11, 13, 16

Resource Allocation	
	LKR 35.0 billion Tier II Capital raised by issuing debentures and sustainable bonds
	347 officers trained on ESMS
	Over 90,000 years of tacit knowledge
	LKR 780.5 million invested in community and stakeholder initiatives
	101 energy-efficient branches

Trade-offs

ST: - / +

LT: + + + + +

Near-term profitability and expansion pressure balanced against long-term resilience, capacity, trust, and sustainability gains.

Outlook

Short Term

Strengthen the capital base through cost-effective AT1 and Tier II issuances, while introducing sustainability-linked instruments to enhance funding diversification and balance sheet resilience.

Medium to Long-Term

Strengthen capital and governance while scaling sustainable and overseas growth to deliver long-term resilience and value.

Strategic Initiatives

- Capital and liquidity optimisation
- Climate risk embedded into strategic planning
- Overseas and investment banking growth
- Governance, compliance and internal-control strengthening
- Expansion of sustainable and transition finance

Strategic Performance and Progress

Focus Area	KPIs	Status	Highlights and Achievements
Capital strength and liquidity	CAR, LCR, NSFR	Exceeded Target	CAR: **16.9%** LCR: **260.4%** Brand Value: **LKR 57.4 billion** Profit Before Tax: **LKR 120.8 billion** Sustainable financing: **LKR 73.0 billion**
Governance and compliance	Regulatory adherence	On Track	
Sustainability integration	Sustainable financing, climate governance	In Progress	

Performance Status

Exceeded Target | On Track | In Progress | Attention Required

Excellence in Customer Experience

Delivers consistent, accessible, and trusted service that strengthens loyalty and long-term competitiveness

Material Topics: M2, M3, M6

SDGs: 8, 9, 10

Resource Allocation

	LKR 3.1 billion invested in branch modernisation, service redesign, and CX platforms
	Eight branches upgraded / relocated
	Over 40,000 training hours on service excellence and relationship management
	Over 3,000 customer engagement, inclusion, and financial literacy programmes
	Two new green buildings
Trade-offs	ST: − + ; LT: + + + — Short-term service and infrastructure costs balanced against long-term loyalty, trust, and revenue resilience.

Outlook

Short Term

Expand the Queue Management System and implement structured service quality monitoring to elevate consistency and customer satisfaction across the network.

Medium to Long-Term

Personalised, insight-led service delivery, deeper customer relationships, and consistent omni channel experience.

Strategic Initiatives

- End-to-end customer journey redesign
- Segment-focused propositions (SME, youth, women)
- Turnaround-time reduction through process simplification
- Frontline service capability uplift

Strategic Performance and Progress

Focus Area	KPIs	Status	Highlights and Achievements
Customer satisfaction	NPS, CSS, CES	■	Net Promoter Score: **33%** Customer Effort Score: **74%** Customer Satisfaction Score: **81%**

Digital Excellence

Strengthens efficiency, security, and innovation through scalable digital platforms.

Material Topics: M1, M2

SDGs: 6, 9

Resource Allocation

	LKR 3.3 billion invested in digital platforms and cybersecurity
	29 CRMs / terminals installed
	11 processes automated
	1,500 staff trained on digital, data, and cyber capabilities
Trade-offs	ST: − + + ; LT: + + + — High upfront technology investment balanced against long-term efficiency, resilience, and scalability

Outlook

Short Term

Strengthen information governance and operational resilience through structured document management and automated backup and replication systems.

Medium to Long-Term

Data-driven banking, AI enabled automation, and best-in-class system security.

Strategic Initiatives

- Core system modernisation
- e/v KYC and digital verification
- Expanded digital onboarding and self-service
- Cybersecurity and data-protection strengthening

Strategic Performance and Progress

Focus Area	KPIs	Status	Highlights and Achievements
Digital adoption	Transaction volumes	▣	Digital transactions: **23%** growth Digital touchpoints: **1,510** Reported incidents: **Nil**
Platform resilience	Availability	□	
Cybersecurity	Incidents	■	

STRATEGY AND RESOURCE ALLOCATION

Rewarding Credit Culture and Healthy Credit Portfolio

Ensures asset quality, prudent growth, and sustainable credit expansion.

Material Topics: M2, M3, M6, M10

SDGs: 1, 8, 10

Resource Allocation	
	Over 2,500 facilities restructured during the year
	42,850 training hours on credit and recovery
	LKR 319.9 billion SME, priority-sector, and development financing portfolio
Trade-offs	ST: – ; LT: + + + — Conservative underwriting and recovery focus balanced against long-term portfolio resilience and inclusive growth.
Strategic Initiatives	• Strengthened credit risk assessment • SME, priority-sector, and green-finance expansion • Recovery and restructuring support

Outlook

Short Term

Enhance portfolio quality and sector focus through dedicated business intelligence capabilities and the establishment of a specialised Agriculture Banking Unit.

Medium to Long-Term

Selective growth, reduced Stage 3 exposure, expanded SME and sustainable-finance portfolio.

Strategic Performance and Progress

Focus Area	KPIs	Status	Highlights and Achievements
Asset quality	Stage 3		Stage 3 ratio: **5.6%**
Loans and advances growth	Growth rate		Loans and advances: **LKR 2.7 trillion, 9% Growth**
Recovery	Provision coverage		Coverage ratio: **57.9%**

Building a High-Performing Team

Builds capability, engagement, and leadership depth to sustain execution excellence

Material Topics: M3, M5, M8

SDGs: 4, 5, 8, 10

Resource Allocation	
	LKR 45.7 billion remuneration and benefits
	8,563 employees trained and reskilled
	LKR 348.0 million invested in training and development
	LKR 185.8 million well-being, engagement, and inclusion initiatives
Trade-offs	ST: – + ; LT: + + + + — Higher people investment balanced against long-term productivity, retention, and leadership continuity.
Strategic Initiatives	• Targeted upskilling in digital and risk areas • Performance-linked rewards and career pathways • Leadership and succession plan strengthening • Well-being and engagement programmes

Outlook

Short Term

Embed a performance-driven culture through structured reward mechanisms and a modern, integrated training ecosystem.

Medium to Long-Term

Improve retention, deeper leadership bench, productivity uplift, and sustain employee engagement.

Strategic Performance and Progress

Focus Area	KPIs	Status	Highlights and Achievements
Talent retention	Retention ratio		Retention: **97%**
Capacity building	Training hours per employee		Avg. training hours: **28 hours**
Diversity and inclusion	Representation		Female representation: **59%**

Capital Trade-Off Heat Map

The Capital Trade-Off Heat Map provides a visual summary of how different forms of capital are prioritised across the Bank's strategic pillars. It highlights relative emphasis rather than absolute investment, illustrating how capital focus varies by strategic objective and reflecting the Bank's deliberate approach to balancing stability, transformation, and capacity building within a constrained operating environment.

Capitals / Strategic Pillers							Allocation Logic
	●●●	●●●	●●	●●●	●●	●●	Capital is prioritised to safeguard financial resilience, governance discipline, regulatory compliance, and sustainability integration, forming the foundation for long-term stability.
	●●	●●●	●●●	●●	●●●	-	Investment focuses on people, service infrastructure, and relationships to enhance accessibility, trust, and service quality across physical and digital channels.
	●●	●●●	●●	●●	●	-	Capital is channelled into platforms, systems, data, and skills to modernise operations, strengthen cybersecurity, and improve efficiency and scalability.
	●●●	●	●●●	●●	●●	●	Financial and risk-related capital is emphasised to support prudent lending, asset quality, recovery efforts, and priority-sector financing.
	●●	●	●●●	●●	●●	●	Resources are directed towards skills and leadership to strengthen execution capability, productivity, and long-term organisational resilience.

Legend: ●●● High focus ●● Medium focus ● Limited focus - Minimal

VALUE CREATION MODEL

INPUTS

OUR KEY RESOURCES	HOW WE MANAGE THE AVAILABILITY
Financial Capital **LKR 365.8 billion** Shareholder's funds **LKR 4.4 trillion** Customer deposits **LKR 458.8 billion** Borrowings	**Financial Capital** **Challenge:** Rising cost of capital can slow growth. **Strategic Shift:** Strengthening financial management and liquidity. Financial Review *(Pages 108-114)*
Manufactured Capital **2,413** Customer touchpoints **LKR 3.3 billion** Investment in Property, Plant and Equipment	**Manufactured Capital** **Challenge:** Technology evolves and customer needs shift rapidly. **Strategic Shift:** Upgrading and maintaining assets continuously. Shaping Every Customer Journey *(Pages 132-137)*
Human Capital **8,912** Skilled employees **LKR 348.0 million** Investment in training and development	**Human Capital** **Challenge:** Skilled talent is in short supply. **Strategic Shift:** Growing talent and supporting employee wellness. An Inclusive Workforce for Enduring Performance *(Pages 138-147)*
Intellectual Capital **No. 01 Brand** **LKR 1.1 billion** Investment in brand development **12 years** Average service length of employees	**Intellectual Capital** **Challenge:** Rapid innovation and knowledge gaps challenge competitiveness. **Strategic Shift:** Investing in digital solutions, skill developments and brand building Powering Digital Experiences *(Pages 148-152)*
Social and Relationship Capital **Over 16.0 million** Loyal and demographically dispersed customer base **710** Correspondent banking relationships **410** Registered suppliers	**Social and Relationship Capital** **Challenge:** Stakeholder expectations are constantly evolving. **Strategic Shift:** Building trust and meaningful partnerships. Building a Sustainable Future *(Pages 153-160)*
Natural Capital **26,809.7 MWh** Energy consumption **LKR 573.0 million** Investment in solar energy **247,986.0 m³** Water consumption	**Natural Capital** **Challenge:** Environmental pressures and resource scarcity. **Strategic Shift:** Driving sustainable practices and resource stewardship. Building a Sustainable Future *(Pages 153-160)*

VALUE TRANSFORMATION PROCESS

OUR BUSINESS ACTIVITIES

Our business activities are geared towards providing our customers better financial well-being, embracing more sustainable practices and generating meaningful value for our stakeholders in the short, medium and long term.

VISION

MISSION

FINANCIAL INTERMEDIATION

DEPOSIT MOBILISATION AND FUNDING

LENDING AND INVESTMENTS

FUND BASED AND FEE BASED ACTIVITIES

RETAIL BANKING

CORPORATE AND OFFSHORE BANKING

INTERNATIONAL, TREASURY, INVESTMENT AND OVERSEAS BANKING

OUR STRATEGIC PILLARS

SERVICES WE OFFER

- Deposit accepting
- Lending
- Refinancing
- Transactional banking and payment services
- Fund management
- Trustee custodian and portfolio management services
- Investment banking
- Foreign exchange and securities management
- Advisory services
- Trade financing

SUPPORT SERVICES

- IT
- Legal
- Human Resource
- Administrative and Other Services

Underpinned by: STRATEGY | RESOURCE ALLOCATION AND CAPITAL TRADE OFF | SOUND CORPORATE GOVERNANCE | RISK MANAGEMENT

OUTPUTS

WHAT WE PRODUCE

Core business performance

LKR 120.8 billion Profit generated

LKR 2.7 trillion Gross loans and advances

Sound investment thesis

LKR 2.7 trillion Diversified investment portfolio

LKR 253.2 billion Investment income

Access to financial services

19 Branches refurbished/ transformed

88% Digital transactions

Personnel cost and development

LKR 45.7 billion Compensation to employees

97% Retention Rate

Digital banking

23% Digital transactions growth

OUTCOMES

HOW WE CREATE AND PRESERVE VALUE

Financial Capital

LKR 2,987.9 Earnings per share

LKR 5.5 trillion Balance sheet strength

LKR 89.4 billion Value to the Government

Manufactured Capital

LKR 46.1 billion of Property, Plant and Equipment

76% Customer penetration

Human Capital

431 Promoted staff

28 Average training hours per employee

59:41 Overall gender ratio (F:M)

Intellectual Capital

LKR 57.4 billion Brand value

11 Processes automated

71% Digitally enabled customers

34% Virtually enabled customers

1,510 Digital contact points

Social and Relationship Capital

33% NPS ratio

81% Customer Satisfaction Ratio

LKR 780.5 million Investment in communities

Natural Capital

LKR 322.6 billion Financing disbursed after ESMS compliance

LKR 10.2 billion Green financing

5,650.2 MWh Solar power generated

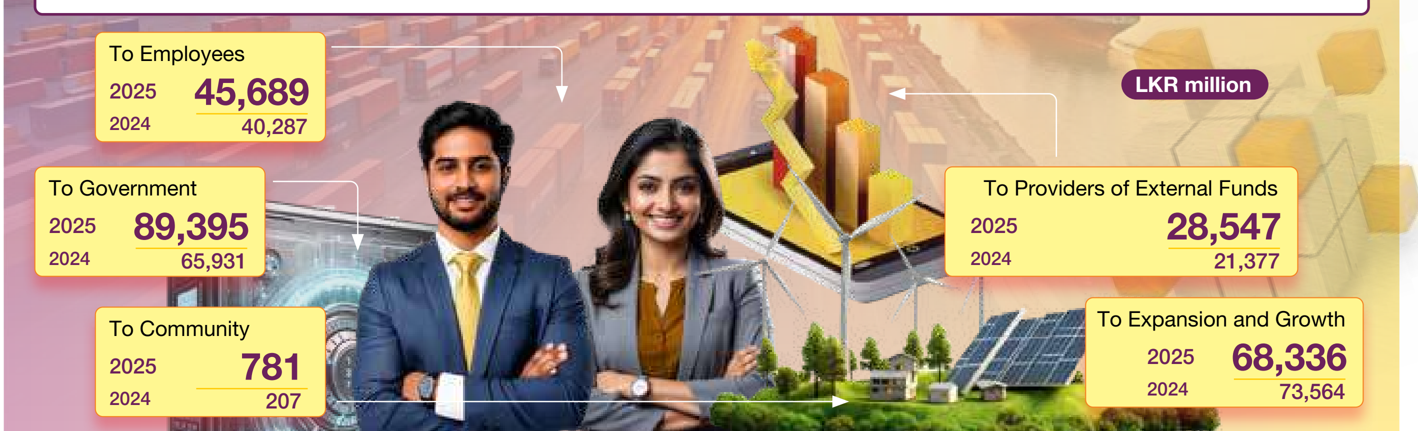
STAKEHOLDERS AND SDGs POSITIVELY IMPACTED

VALUE ADDED STATEMENT

GRI 201-1

An analysis of the Bank's value creation and allocation among the key stakeholder groups is depicted below:

	2025 LKR millon	2024 LKR millon	Change %
VALUE ADDED			
Income earned by providing banking services	**540,654**	485,126	11
Cost of services	**(294,766)**	(304,383)	(3)
Value added by banking services	**245,888**	180,743	36
Non-banking income	**7,970**	280	2,746
Impairment (charges)/ reversal for loans and other losses	**(21,110)**	20,343	(204)
Total value added	**232,748**	201,366	16
VALUE ALLOCATION			
To Employees			
Salaries, wages and other benefits	**45,689**	40,287	13
To Government			
Dividends paid to Government of Sri Lanka	**5,000**	-	-
Income tax	**52,514**	36,053	46
Surcharge tax	**-**	1,483	(100)
Taxes on financial services	**31,881**	28,395	12
	89,395	65,931	36
To Community			
Social responsibility projects	**781**	207	277
To Providers of External Funds			
Interest on other borrowings	**18,095**	12,070	50
Interest on debt issued	**10,452**	9,307	12
	28,547	21,377	34
To Expansion and Growth			
Retained Profit	**71,007**	64,387	10
Surcharge tax	**-**	(1,483)	100
Depreciation and amortisation	**5,023**	4,195	20
Deferred taxation	**(7,694)**	6,465	(219)
	68,336	73,564	(7)
Total value allocated	**232,748**	201,366	16



SUSTAINABILITY INTEGRATION

At Bank of Ceylon, sustainability is embedded into the way the Bank operates, influencing how decisions are made across the Bank. This section outlines how interconnected elements of governance, strategy, risk management, and performance are aligned to support long-term value creation.

SUSTAINABILITY GOVERNANCE GRI 2-12,14

Sustainability governance at Bank of Ceylon is anchored at Board level, reflecting the integration of Environmental, Social, and Governance (ESG) considerations into strategy governance, risk management, and long-term value creation. Oversight is exercised through Board and management level committees, supported by dedicated sustainability and disclosure structures, with performance tracking mechanisms in place to promote responsible use of resources and accountability for sustainability outcomes. This framework ensures that sustainability considerations are systematically embedded and maintained across governance, financing, operations, and reporting processes.

Link to Governance and Risk Management

Refer the Governance at Bank of Ceylon Report from pages 162-179 for more information on Sustainability Governance.

Refer SLFRS Sustainability Related Financial Disclosures from pages 88-106 for more information on the oversight of SRROs/ CRROs.

Strategic Oversight

Board of Directors
Strategic direction | ESG oversight | Long-term value creation

Integrated Risk Management Committee
Oversight of sustainability and climate related risks | ERM alignment

Management Oversight

Sustainability Committee
Policy oversight | Sustainability strategy | Performance monitoring

Sustainability Sub-Committee
ESG risk review | Lending-related due diligence oversight

Execution and Enablement

Sustainable Banking Division
Sustainable finance | Responsible banking initiatives | Energy and resource management | Portfolio oversight | Branch implementation

SLFRS S1 and S2 Working Group
Integration of sustainability and climate related disclosures across governance, strategy, risk management, and reporting

Branch-Level
Day-to-day decision-making informed by Sustainability governance and policies | Efficiency monitoring | Resource optimisation | Reporting

ESG Cross-Functional Team
Cross-functional coordination | Implementation support | Internal engagement | Integration of sustainability initiatives

Implementation

SUSTAINABILITY INTEGRATION

EMBEDDING SUSTAINABILITY ACROSS THE BANK

Sustainability at Bank of Ceylon is embedded through interconnected policies, strategies, risk management processes, and financing frameworks that operate together across the Bank. These mechanisms translate sustainability commitments into consistent decision-making and measurable outcomes.

Strategy and Direction
Sets priorities and future focus

- Corporate Strategy
- CBSL Sustainable Finance Roadmap

Policies and Frameworks
Sets expectations and parameters

- Sustainability Policy
- Environmental and Social Management System (ESMS)
- Sustainable Finance Framework

Financing and Capital Allocation
Translates sustainability into financial decisions

- Responsible banking principles
- Sustainable finance focus areas
- Portfolio-level oversight

Performance and Disclosure
Tracks, measures, and communicates outcomes

- Sustainability performance monitoring including GHG emissions
- SLFRS S1 and S2 disclosures
- SDG alignment
- GRI reporting
- SASB Standards

Risk and Resilience
Supports risk identification, mitigation, and business continuity

- Enterprise Risk Management
- ESG-related risks and opportunities Including Climate Related Risks and Opportunities (CRROs)
- Business continuity and resilience planning

PERFORMANCE TRACKING, AUDITS AND DISCLOSURE ASSURANCE

Sustainability performance is monitored through internal systems that support the collection, consolidation, and review of non-financial data across the Bank. These systems enable consistent performance tracking, management oversight, and informed decision-making across environmental, social, and governance focus areas.

During the year, operational audits, including energy audits and food waste audits were conducted across selected operations to assess resource efficiency and identify opportunities for improvement. The findings from these audits are being used to inform implementation actions.

To enhance transparency and reliability, sustainability disclosures are subject to independent assurance, providing additional confidence in the accuracy and completeness of reported information.

Details of the assurance scope and conclusions are presented in the Independent Assurance Reports on pages 86-87 and 456-459.

CAPACITY BUILDING

Capacity development underpins the effective implementation of sustainability and environmental and social risk management practices across the Bank. During the year, targeted training and awareness programmes were conducted to strengthen staff understanding of sustainability principles, environmental and social risk identification, and the consistent application of internal frameworks and policies.

These initiatives support the embedding of sustainability considerations into day-to-day operations and financing decisions, reinforcing accountability and consistent implementation across business and operational functions.

ESMS Training

347 staff trained

Sustainability Training

1,149 staff trained

1,836 training hours

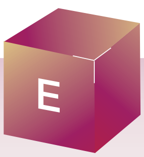
27 programmes

SUSTAINABILITY POLICY AND STRATEGIC ANCHORING

The Bank's sustainability approach is guided by a comprehensive Sustainability Policy, which provides the overarching framework for integrating environmental, social, and economic considerations into decision-making. The policy adopts a triple bottom line perspective, ensuring that value creation is balanced across economic performance, environmental stewardship, and social responsibility.

During the year, the Policy was updated to reflect emerging sustainability considerations, evolving regulatory expectations, and the Bank's strategic priorities, strengthening its relevance as a guiding framework for sustainability integration.

Sustainability Policy Framework – Triple Bottom Line

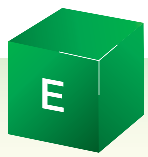


Economic

Value creation, governance, and resilience

Primary focus areas:

- Ethical and responsible banking
- Prudent risk management
- Responsible lending and investment
- Financial inclusion
- Transparency and accountability

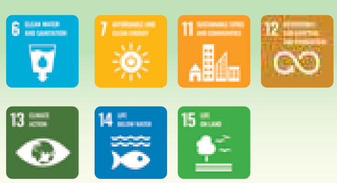


Environmental

Environmental stewardship and climate action

Primary focus areas:

- Resource efficiency in operations
- Climate action, emissions management, and energy efficiency
- Green banking and sustainable finance
- Biodiversity and ecosystem protection
- Environmental awareness and literacy

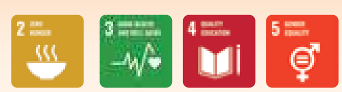


Social

People, communities, inclusion

Primary focus areas:

- Employee well-being, diversity, and inclusion
- Skills development and safe workplaces
- Community development and livelihoods
- Education and health initiatives
- Financial access for under served segments



Governance and Oversight
Board | IRMC | Sustainability Committees

Data and Disclosure
Non-financial data | SLFRS S1 and S2 | GHG accounting`

Partnerships
Regulators | Development partners | NGOs | Industry`

Risk and Controls
ESMS | SRROs and CRROs | Portfolio risk integration

People and Capacity
Training | ESG working groups | Branch energy managers

SUSTAINABILITY INTEGRATION

SUSTAINABILITY PERFORMANCE

The Bank monitors sustainability performance through the implementation of initiatives aligned with the Sustainability Policy focus areas. Progress during the year reflects actions taken across environmental, social, and economic dimensions, supported by governance oversight and performance tracking mechanisms. Detailed information is presented in the relevant sections of this Report.

E ECONOMIC

Focus area	Key initiatives in 2025	Progress/ highlights
Ethical and responsible banking	Strengthening ethical conduct, governance frameworks, and responsible banking practices	• Ongoing implementation of ESG Policy and Roadmap comprising KPIs, metrics and targets across the Bank • Zero instances of non-compliance against regulations/ Code of Conduct
Prudent risk management	Integration of sustainability related risks into enterprise risk management	• Board-level oversight of Sustainability Related Risks and Opportunities (SRROs) through the IRMC • Environment risk and Social risk embedded with risk management framework
Responsible lending and investment	Development of sustainable and responsible financing approaches	• Sustainable Finance Framework introduced to support sustainable financing activities, including sustainable bond issuances • 1,172 facilities screened for environmental and social criteria
Financial inclusion	Inclusive finance initiatives supporting access to banking and credit	• MSMEs financing amounted to LKR 319.9 billion, supporting over 1.0 million customers • Expansion of SME, rural, and under served-segments financing programmes • Over 3,000 'BOC Mithuru' Groups established across the country
Transparency and accountability	Strengthening sustainability reporting and disclosure practices	• Early adoption of SLFRS S1 and SLFRS S2, enhancing transparency of sustainability and climate related disclosures

Impacted Capitals: Link to Strategy:

E ENVIRONMENTAL

Focus area	Key initiatives in 2025	Progress/ highlights
Resource efficiency in operations	Energy audits, recycling and food waste reduction, and digitalisation to reduce material use	• 14.4 MT paper recycled • 60% reduction in paper consumption
Climate action, emissions and energy efficiency	Expansion of on-site renewable energy, energy efficiency measures, and emissions management	• 101 solarised branches • 4.3 MW installed solar capacity • 5,650.2 MW solar generation • 14.4 tCO_2e emissions reduction
Green banking and sustainable finance	Green loans, green leasing, sustainable finance product offerings and advisory support	• LKR 73.0 billion of sustainable finance portfolio • Sustainable Bond issue of LKR 20.0 billion • Green deposits base of LKR 78.9 million • Biodegradable card introduced
Biodiversity and ecosystem protection	Conservation and awareness programmes	• Continuing beach clean ups • Policy developments on Biodiversity
Environmental awareness and literacy	Customer awareness programmes, outreach and campaigns	• Advisory and awareness sessions on ESMS compliance and green products for customers

Impacted Capitals: Link to Strategy:

S SOCIAL

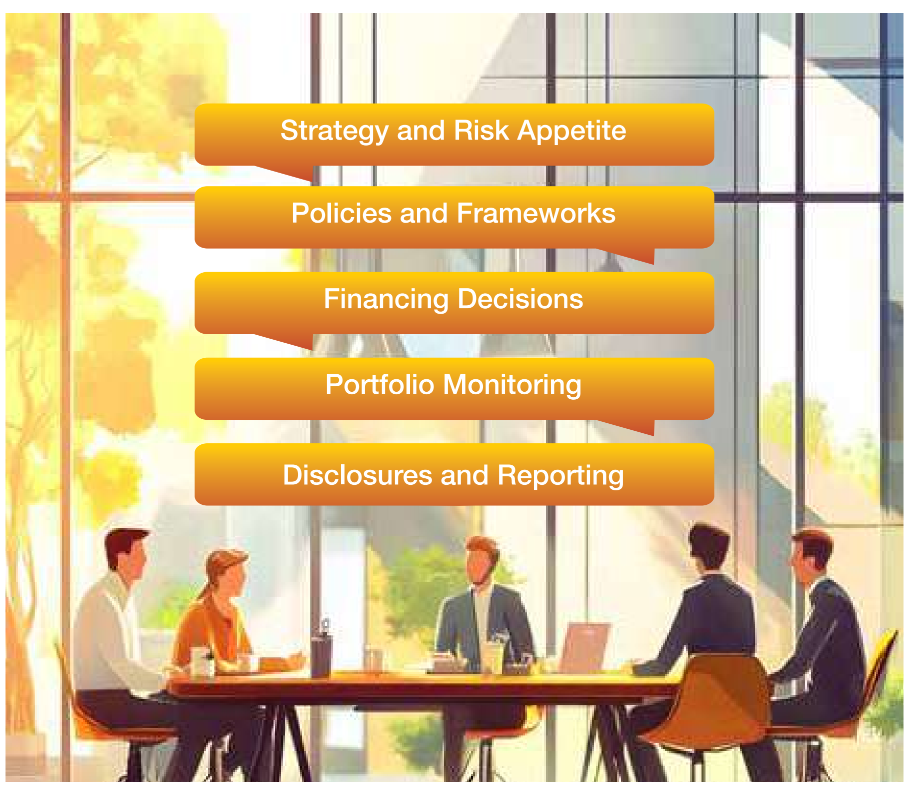
Focus area	Key initiatives in 2025	Progress/ highlights
Employee well-being, diversity, and inclusion	Inclusive workforce practices, gender equity, and well-being initiatives	• 8,912 employee base • 59% female workforce • 100% return-to-work rate following maternity leave • Investment of LKR 185.8 million for employee well-being
Skills development and safe workplaces	Training, capacity-building, and occupational health and safety initiatives	• 236,387 training hours delivered • Zero workplace accidents • Continued focus on maintaining safe and healthy workplaces
Community development and livelihoods	Livelihood support, community development programmes, and social investment initiatives	• LKR 780.5 million invested in community development projects • Over 4,600 beneficiaries supported through livelihood and community programmes during the year
Education and health initiatives	Scholarships, education support, and health-related community programmes	• 10,825 scholarships awarded under 'BOC Hapana' and 'BOC NanaJaya' programmes • Over 700 education and career guidance programmes conducted • Nearly LKR 130.0 million invested in education and health development • Construction of a ward in Apeksha Hospital
Financial access for under served segments	Inclusive banking and social protection–linked initiatives	• Over 700,000 individuals supported through Aswesuma-linked initiatives • Branch on Wheels, SME, and rural outreach programmes

Impacted Capitals: Link to Strategy:

INTEGRATING SUSTAINABILITY INTO FINANCING DECISIONS

Sustainability considerations form an integral part of how the Bank allocates capital and manages financial risk. These considerations are embedded into financing decisions through Board-approved policies, enterprise risk management processes, and management-level oversight, ensuring alignment with the Bank's strategies and risk appetite. During the year, the Bank further strengthened this approach through the development of a Sustainable Finance Framework to support sustainable financing activities, including sustainable bond issuances.

ESG and climate related risks and opportunities are considered across the financing lifecycle, from strategic planning and policy setting to financing decisions, portfolio-level monitoring, and disclosures.



SUSTAINABILITY INTEGRATION

ENVIRONMENTAL AND SOCIAL RISK MANAGEMENT AND SUSTAINABLE FINANCING PRACTICES

Environmental and social considerations are embedded into the Bank's financing activities through structured screening, capacity building, and responsible product offerings. These practices support prudent risk management, regulatory compliance, and the promotion of sustainable economic activity.

Environmental and Social Screening (ESMS)

Environmental and social risks associated with financing activities are assessed through the Bank's Environmental and Social Management System (ESMS), which applies minimum requirements aligned with regulatory and internal policy expectations.

Key elements

- Environmental and social screening of facilities granted for business
- Compliance with Central Environmental Authority (CEA) recommendations and approvals aligning with National Environmental Act
- Identification and management of environmental and social risks at customer and facility level
- Ongoing monitoring of screened facilities

ESMS Compliance	
Number of facilities disbursed	1,165
Value of facilities disbursed (LKR billion)	322.6

Consistent application of ESMS screening is supported by internal capacity-building and training programmes.

Advisory and Support Services

In addition to financing, the Bank provides advisory support to encourage improved environmental performance and regulatory compliance among customers.

Key elements

- Monitoring and follow-up on CEA recommendations
- Advisory services to support improved environmental practices
- Guidance on regulatory compliance and environmental risk mitigation

Supplier and Partner Screening

Environmental and social considerations are extended to suppliers and service providers to promote responsible practices across the value chain.

Key elements

- Screening of suppliers against basic environmental and social criteria
- Consideration of regulatory compliance, labour practices, and environmental responsibility
- Integration of sustainability considerations into supplier engagement and oversight

851 of suppliers screened for environmental and social criteria

Sustainable Financing Initiatives

The Bank offers a range of financing solutions designed to support sustainable economic activity and responsible consumption.

Key elements

- Sustainable and responsible financial products
- Green loans supporting renewable energy and resource-efficient investments promoting circular economy
- Green leasing solutions
- Introduction of biodegradable cards to reduce environmental impact
- Capital market products

Sustainable Products	LKR billion
Sustainable lending	73.0
Sustainable bonds	20.0

IMPROVEMENTS AND ENHANCEMENTS IN 2025

Governance and Oversight	• Formalisation of Board-level oversight for Climate Related Risks and Opportunities, through the Integrated Risk Management Committee (IRMC). • Early adoption of SLFRS S1 and SLFRS S2, strengthening governance, risk management, and disclosure readiness for climate related matters. • Establishment of a dedicated SLFRS S1 and SLFRS S2 Working Group to support sustainability and climate related disclosures. • Inhouse development of the Sustainable Finance Framework, aligning Sustainability Bond issuances with the Sri Lanka Green Finance Taxonomy (May 2022) issued by Central Bank of Sri Lanka (CBSL) and international standards including Green Bond Principles (June 2025), Social Bond Principles (June 2025), and Sustainability Bond Guidelines (June 2021), issued by the International Capital Market Association (ICMA). • Development of ESG Key Performance Indicators (KPIs), targets, and action plans to operationalise sustainability priorities across the Bank's core operations and support the implementation of the ESG Policy and ESG Roadmap. *Refer SLFRS Sustainability Related Financial Disclosures from pages 85-106*
Regulatory Alignment	• Registration with the Partnership for Carbon Accounting Financials (PCAF) to strengthen the Bank's capability to measure and disclose financed emissions. • Implementation of the Specific Energy Benchmark Regulation (No. 01 of 2023) issued by the Sri Lanka Sustainable Energy Authority (SLSEA), including the appointment of Energy Management Officers across branches to monitor energy performance against the prescribed efficiency benchmark. • Strengthening of internal non-financial data management systems to support sustainability performance monitoring and disclosures. *Refer SLFRS Sustainability Related Financial Disclosures from pages 85-106*
Materiality and Stakeholder Engagement	• Establishment of the Bank's Material Matters framework, identifying 10 key material topics supported by 42 sub-topics to guide sustainability strategy and disclosures. • Completion of a stakeholder engagement and materiality assessment exercise, incorporating perspectives from key stakeholder groups including customers, Board members, management, regulators, donor agencies, and employees. • Integration of material sustainability priorities into the Bank's strategic planning process, strengthening alignment between ESG objectives and long-term business strategy. *Refer Stakeholder Engagement from pages 57-60 and Materiality Assessment from pages 61-64*

WAY FORWARD

Building on the strengthened governance, frameworks, and capabilities established during the year, the Bank will continue to embed sustainability more deeply across strategy, operations, and financing activities. Key focus areas include:

Transition to a Unified ESG Framework

- Enhancing governance structure with new Board level sustainability committee.
- Further strengthening the existing Sustainability Policy by wide-ranging and large in scope.

ESG Strategy and Roadmap (2026–2030)

- Incorporating the ESG Roadmap as an integral part of the Bank's Strategic Plan 2026–2030, reflecting our commitment to integrated thinking and ensuring that ESG considerations guide our strategic priorities and performance.

Strengthening Reporting and Disclosures

- Progressive development of climate and sustainability related metrics, including financed emissions, aligned with SLFRS Sustainability related standards.
- Continued strengthening of internal data systems to support consistent measurement and reporting.

Deepening Sustainable Finance and Inclusion

- Continued expansion of sustainable finance and inclusive banking initiatives in line with regulatory direction and national priorities.
- Further integration of ESG considerations into financing decisions and portfolio-level monitoring.

Embedding ESG Performance Across the Organisation

- Ongoing stakeholder engagement to inform implementation and track progress.
- Ensuring compliance with Audit and Assurance requirements
- Exploration of mechanisms to recognise and reinforce sustainability performance across the branch network as part of broader performance management practices.
- Implementation of targeted energy efficiency improvements informed by operational energy audits.

CONTRIBUTION TO THE UNITED NATIONS SUSTAINABLE DEVELOPMENT GOALS (SDGS)

As a domestic systemically important bank, the Bank contributes to national and global sustainable development priorities through its financing activities, operations, and governance practices. During the year, the Bank's sustainability initiatives supported the United Nations Sustainable Development Goals, demonstrating the scale and breadth of its role as a responsible financial institution.

The table below presents a consolidated mapping of key initiatives undertaken during the year to the relevant SDGs and associated targets. This mapping illustrates areas of contribution and alignment, recognising that the nature and depth of contribution varies across goals and that impact measurement will be progressively enhanced as data systems and methodologies continue to mature.

SDG CONTRIBUTION MAPPING

SDG	Key Initiatives	Relevant SDG Targets	Nature of Contribution
No Poverty	• Financial inclusion initiatives including SME and rural outreach • Aswesuma-linked programmes	1.4 – Access to financial services	● ●
Zero Hunger	• Community development and livelihood support programmes	2.3 – Income of small-scale producers	● ●
Good Health and Well-being	• Employee well-being programmes • Healthcare and health infrastructure support (including cancer ward investments) • Community health initiatives	3.4, 3.8 – Mental health, access to quality healthcare	● ●
Quality Education	• Scholarships and education support programmes	4.3, 4.4 – Access to education and skills	●
Gender Equality	• Gender equity in the workforce, zero discrimination policy • Support for women entrepreneurs through inclusive and digital finance initiatives	5.1, 5.5 – End discrimination, women's participation	● ● ●
Clean Water and Sanitation	• Infrastructure development related to water	6.1 Access to safe drinking water	● ●
Affordable and Clean Energy	• Solar PV installations • Green financing • Supporting renewable energy investment	7.2, 7.3 – Renewable energy, energy efficiency	● ●
Decent Work and Economic Growth	• SME financing • Skills development • Safe workplaces	8.3, 8.5, 8.8 – Productive employment, labour standards	● ●
Industry, Innovation and Infrastructure	• Digital financial infrastructure upgrades • BOC Gammana • Technology-enabled service delivery • Sustainable finance	9.1, 9.5 – Resilient infrastructure, innovation	● ●
Reduced Inequalities	• Digital accessibility initiatives • Inclusive banking for under served segments • Outreach to women entrepreneurs	10.2, 10.3 – Social and economic inclusion	● ●

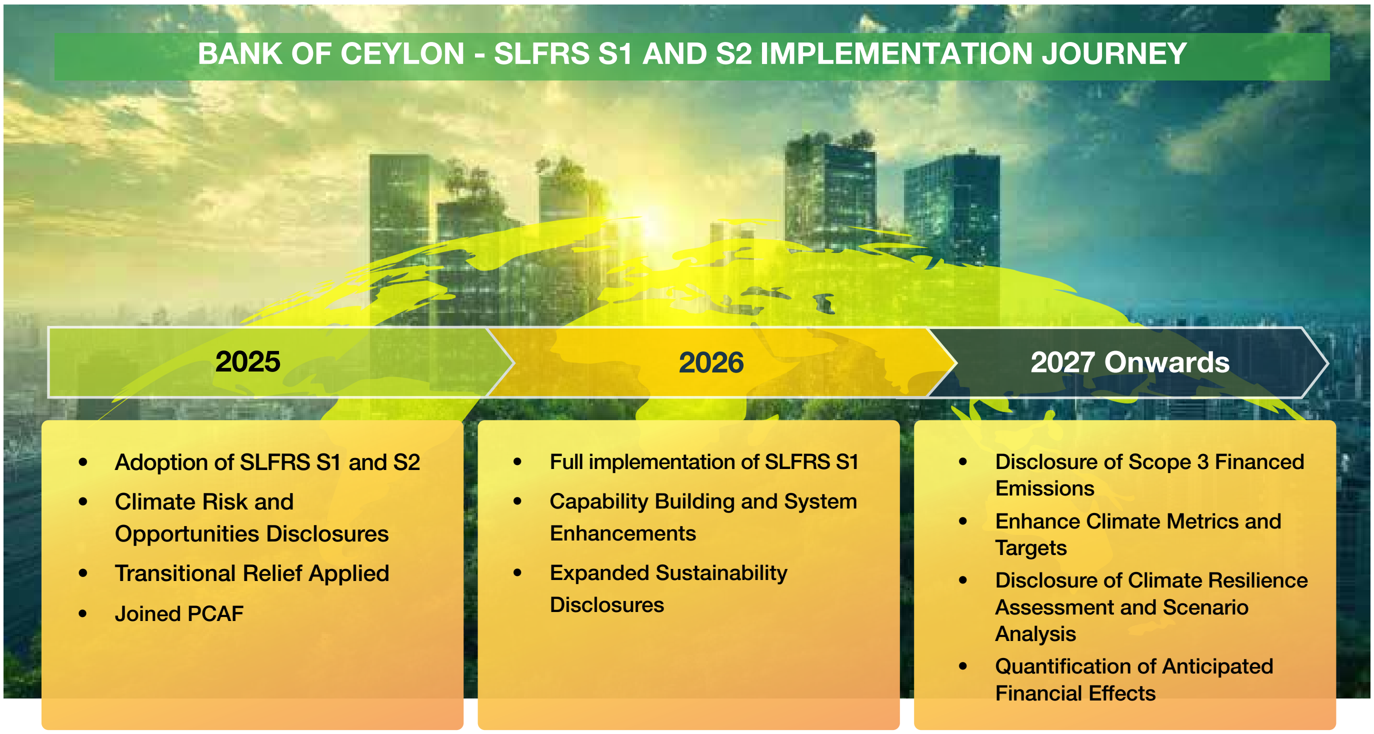
SUSTAINABILITY INTEGRATION

SDG		Key Initiatives	Relevant SDG Targets	Nature of Contribution
11	Sustainable Cities and Communities	• Green buildings • Community development initiatives • Disaster resilience support • Partnering in disaster resilience programmes	11.3, 11.5 – Inclusive communities, resilience	🟢 🟠
12	Responsible Consumption and Production	• Resource efficiency initiatives • Waste reduction • Biodegradable cards	12.2, 12.5, 12.6 – Resource efficiency, waste reduction	🟢 🟠
13	Climate Action	• Operational emissions reduction initiatives • Climate risk integration • Financed emissions readiness (PCAF-aligned)	13.2, 13.3 – Climate integration and awareness	🟢 🟠 🟣
14	Life Below Water	• Beach clean-up programmes • Marine conservation partnerships and awareness initiatives	14.1 – Reduce marine pollution	🟢
15	Life on Land	• Biodiversity conservation initiatives • Tree planting • Ecosystem protection	15.1, 15.5 – Ecosystem conservation	🟢
16	Peace and Justice, Strong Institutions	• Ethical banking practices • Governance frameworks • Transparency and disclosures	16.5, 16.6 – Accountability and institutions	🟣
17	Partnerships for the Goals	• Collaboration with regulators, Government Institutions, NGOs, industry bodies, and development partners	17.16, 17.17 – Multi-stakeholder partnerships	🟢 🟣

Legend – Nature of Contribution 🟢 Operational 🟠 Financing 🟣 Governance

SLFRS SUSTAINABILITY RELATED FINANCIAL DISCLOSURES

BANK OF CEYLON'S JOURNEY TOWARDS SLFRS S1 AND S2 ADOPTION



In 2025, the Bank of Ceylon voluntarily commenced the alignment with the SLFRS Sustainability Related Financial Disclosure Standards S1; General Requirements for Disclosure of Sustainability Related Financial Information and S2; Climate related Disclosures, reinforcing its commitment to transparent, consistent, and high quality climate related financial disclosures. This initial phase focuses on the identification, assessment, and disclosure of climate related risks and opportunities, in line with the requirements of SLFRS S2.

During 2025, the Bank prioritised the assessment of climate related risks and opportunities, supported by its existing governance, risk management, and sustainability frameworks.

In implementing the Standards, the Bank adopted a phased and proportionate approach, applying the transitional relief provisions available under SLFRS S1 and S2 to support the gradual strengthening of data quality, methodologies, and internal systems.

As part of this journey, the Bank of Ceylon joined the Partnership for Carbon Accounting Financials (PCAF) in 2025, enhancing its capability to measure and manage financed emissions using internationally recognised methodologies. This step provides a strong foundation for the progressive expansion of climate related metrics and targets.

In 2026, the Bank plans to progressively identify and disclose sustainability related risk and opportunities (SRROs) extending sustainability related disclosures beyond climate to cover other material sustainability related risks and opportunities that may affect the Bank's future prospects.

From 2027 onwards, the Bank plans to commence disclosure of Scope 3 financed emissions, further improving the completeness and consistency of its climate related disclosures under SLFRS S2.

Through this structured and phased adoption of SLFRS S1 and S2, the Bank of Ceylon continues to integrate sustainability and climate considerations into governance, strategy, and risk management processes, supporting long-term resilience and responsible banking.

SLFRS SUSTAINABILITY RELATED FINANCIAL DISCLOSURES

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INDEPENDENT PRACTITIONER'S ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF BANK OF CEYLON ON THE INTEGRATED ANNUAL REPORT 2025

Scope

We have been engaged by Bank of Ceylon to perform a 'limited assurance engagement,' as defined by Sri Lanka Standard on Assurance Engagements, here after referred to as the engagement, to report on Bank of Ceylon's SLFRS Sustainability related Financial Disclosures (the "Subject Matter") contained in Bank of Ceylon's (the "Entity's") Integrated Annual Report for the year ended 31 December 2025 (the "Report").

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

Criteria applied by Bank of Ceylon

In preparing the Subject Matter, Bank of Ceylon applied the Sri Lanka Sustainability Disclosure Standards, SLFRS S1 – General Requirements for Disclosure of Sustainability related Financial Information and SLFRS S2 – Climate related Disclosures ("Criteria"):

Such Criteria were specifically designed for the disclosure of material information on climate related risks and opportunities that is useful to primary users of general-purpose financial reports in making decisions relating to providing resources to the entity; As a result, the subject matter information may not be suitable for another purpose.

Bank of Ceylon's responsibilities

Bank of Ceylon management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

Ernst & Young's responsibilities

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the Sri Lanka Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information (SLSAE 3000 (Revised), and the terms of reference for this engagement as agreed with Bank of Ceylon on 06 March 2026. Those standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

Our independence and quality management

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and have the required competencies and experience to conduct this assurance engagement.

EY also applies quality management standards, which requires that we design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Description of procedures performed

Procedures performed in a limited assurance engagement vary in nature and timing from and are less in extent than for a reasonable assurance engagement. Consequently, the level

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of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base our conclusion and do not provide all the evidence that would be required to provide a reasonable level of assurance.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the subject matter and related information and applying analytical and other appropriate procedures.

Our procedures included:

- Conducted interviews with selected key management personnel and relevant staff to understand the business, value chain and sustainability reporting process of the Company
- Undertook analytical procedures of the data and made inquiries of management to obtain explanations for any significant differences we identified.
- Performed procedures to understand the Company's disclosures in relation to the Conceptual Foundation of SLFRS S1, including fair presentation, materiality, reporting entity, and connected information
- Conducted procedures to understand the governance processes, controls and procedures employed by the Company to monitor, manage and oversee climate related risks and opportunities, supported by relevant evidence.
- Perused the minutes of the Board of Directors and Board Audit Committee meetings from the financial year to ensure alignment with the content of governance related disclosures
- Conducted procedures to comprehend the Company's strategy for managing identified climate related risks and opportunities, supported by relevant evidence and calculations
- Performed analytical procedures to obtain explanations and supporting evidence regarding the Company's processes for identifying, assessing, prioritizing, and monitoring climate related risks and opportunities, including their integration into the overall risk management framework.
- Conducted analytical procedures to gather explanations and supporting evidence to evaluate the Company's performance in relation to its identified climate related risks and opportunities, including progress towards any targets the Company has set during the assurance engagement.
- Conducted analytical procedures to gather explanations and supporting evidence to evaluate the Company's performance in relation to its identified climate related risks and opportunities, including progress towards any targets the Company has set.
- Conducted procedures to evaluate the disclosures regarding judgments and uncertainties in the process of preparing the Company's sustainability related financial disclosures.

We also performed such other procedures as we considered necessary in the circumstances.

Emphasis of matter

Economic, Environment, Social and Intellectual capital management data/ information are subject to inherent limitations given their nature and the methods used for determining, calculating and estimating such data. Such inherent limitations are common in Sri Lanka.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Entity's Annual Report.

Conclusion

Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to the information contained in the Integrated Annual Report of Bank of Ceylon for the year ended 31 December 2025, in order for it to be in accordance with the Criteria.

Restricted Use

This report is intended solely for the information and use of Bank of Ceylon for the purpose of providing an assurance conclusion on the Subject Matter based on the Criteria and is not intended to be and should not be used by anyone other than those specified parties.

Ernst + Young

27 March 2026
Colombo

SLFRS SUSTAINABILITY RELATED FINANCIAL DISCLOSURES

SLFRS SUSTAINABILITY RELATED FINANCIAL DISCLOSURES

BASIS OF PREPARATION

1. Reporting Entity, Organisational Boundary and Value Chain

These sustainability related financial disclosures have been prepared for Bank of Ceylon ("BOC" or "the Bank") and its subsidiaries (collectively referred to as "the Group"), consistent with the organisational boundary applied in the consolidated financial statements for the year ended 31 December 2025.

The disclosures provide a comprehensive view of the domestic and overseas operations of the Bank and its subsidiaries, and encompass the Bank's core banking operations, including retail, corporate and treasury operations, investment activities and supporting functions.

Value Chain

In preparing SLFRS Sustainability Related Financial Disclosures, the Bank has considered the value chain to the extent relevant to the identification and assessment of climate related risks and opportunities. Given the Bank's role as a financial intermediary, sustainability related impacts primarily arise through deposit collection, funding, lending, investment and treasury activities, as well as through operational footprint. The Bank's value chain is structured across three broad components.

Input and Enabling Activities → Upstream → **Core Banking Activities** → Downstream → **Financial and Economic Impact Channel**

Input and Enabling Activities

The resources and relationships that enable the Bank's operations

- Fund providers and depositors
- Technology and digital service providers
- Property and infrastructure services
- Outsourced and professional service providers
- Regulatory and supervisory authorities

Core Banking Activities

Domestic and overseas banking activities and supporting functions

- Deposit mobilisation
- Lending to individuals, MSMEs and corporates
- Treasury and investment operations
- Trade finance and foreign exchange services
- Branch and digital banking operations
- Risk management, compliance governance, and other support functions

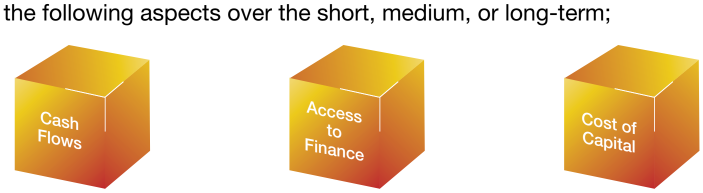
Financial and Economic Impact Channel

Customers, counter-parties and economic activities influenced through the Bank's financing and investment activities

- Borrowers and financed entities
- Retail customers and SMEs
- Corporate and institutional clients
- Government financing
- Investment counter-parties

2. Basis of Materiality

The Bank applies a financial materiality lens, consistent with SLFRS S1, in identifying sustainability related risks and opportunities. Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions of the primary users of general purpose financial reports. Sustainability related risks and opportunities are considered material where they could reasonably be expected to affect the following aspects over the short, medium, or long-term;



Quantitative Materiality

The Bank applies a quantitative threshold benchmark against Group Profit Before Tax (PBT).

A 1% benchmark is aligned with internal financial risk assessment practices and reflects a level at which impacts may reasonably influence earnings performance, capital planning or investor assessments of financial resilience.

High where the estimated effect exceeds 1% of PBT,

Medium where the impact ranges from 0.6% to 1% of PBT,

Low where the impact ranges from 0% to 0.5% of PBT.

This approach ensures consistency between sustainability related risk identification and the Bank's broader enterprise risk management framework.

Qualitative Materiality

In addition to financial thresholds, climate related risks and opportunities are assessed against qualitative criteria:

Criterion	Description
Strategic Alignment	Relevance to the Bank's business model, long-term strategy and value creation objectives.
Reputational Impact	Potential impact on stakeholder confidence, brand value and market positioning.
Regulatory and Policy Compliance	Exposure to regulatory, supervisory or legal consequences.
Stakeholder Sensitivity	Degree of stakeholder expectation, scrutiny or pressure.

Materiality assessments are integrated into the Bank's Enterprise Risk Management (ERM) framework and subject to oversight by the Board Integrated Risk Management Committee (IRMC).

3. Functional Currency

All sustainability related financial information, and disclosures are presented in Sri Lankan Rupees (LKR), consistent with the Bank's functional and presentation currency.

4. Sources of Guidance

These sustainability related financial disclosures have been prepared in accordance with the SLFRS Sustainability Related Financial Disclosure Standards issued by the Institute of Chartered Accountants of Sri Lanka. In particular, the Bank has applied SLFRS S1 – General Requirements for Disclosure of Sustainability related Financial Information and SLFRS S2 – Climate related Disclosures.

In applying these Standards, the Bank has also considered the SASB Standard for Commercial Banks, Sri Lanka's Nationally Determined Contributions (NDC 3.0), and relevant regulatory guidance applicable to the Sri Lankan banking sector to ensure that disclosures are aligned with industry practices, national climate priorities and supervisory expectations.

Primary Standards Applied		Additional Guidance Applied		
SLFRS S1 – General Requirements for Disclosure of Sustainability related Financial Information	SLFRS S2 – Climate related Disclosures	SASB Standard – Commercial Banks	Sri Lanka's Nationally Determined Contributions (NDC 3.0)	Relevant regulatory guidance applicable to the Sri Lankan banking sector

5. Reporting Period

These sustainability related financial disclosures cover the financial year from 1 January 2025 to 31 December 2025 and are aligned with the reporting period of the Bank's Annual Report and consolidated financial statements.

6. Time Horizons

In assessing climate related risks and opportunities, the Bank applies defined time horizons to support structured evaluation of potential financial and operational impacts. These time horizons are aligned with the Bank's strategic planning cycles, capital planning framework, credit portfolio assessment periods and long-term business outlook. These defined time frames support consistent identification, assessment and disclosure of climate related risks and opportunities across governance, strategy and risk management processes.

Time Horizon	Definition	Years
Short-Term	1 – 2 years	2025 – 2026
Medium-Term	3 – 5 years	2027 – 2029
Long-Term	More than 5 years	2030 and beyond

7. Connected Information

In accordance with SLFRS S1, the Bank has sought to ensure that sustainability related financial disclosures are presented in a manner that reflects clear connectivity with governance structures, strategy, risk management processes and financial reporting.

SLFRS SUSTAINABILITY RELATED FINANCIAL DISCLOSURES

Climate related risks and opportunities have been considered within the Bank's existing governance framework, including oversight by the Board Integrated Risk Management Committee (IRMC), and through established enterprise risk management processes.

Disclosures have been prepared to demonstrate the relationship between identified climate related risks, the Bank's strategic priorities, capital planning considerations and overall risk profile.

Where relevant, cross-references are provided to sections of the Annual Report, including the Corporate Governance Report, Risk Management Report and Financial Statements to support integrated understanding and transparency.

8. Transitional Relief

In preparing its sustainability and climate related disclosures for the reporting period, the Bank has applied the transitional relief permitted under SLFRS S1 and SLFRS S2 to support a phased and structured implementation of the Standards during the initial adoption period.

The Bank's approach in the first year has prioritised the establishment of governance oversight, risk identification processes, disclosure controls and cross-functional coordination mechanisms. Quantitative and analytical enhancements will be progressively incorporated within the applicable transitional relief periods.

Phased Scope of Sustainability Related Disclosures

Climate-Focused Initial Application

In accordance with the transitional provisions applicable upon initial adoption, the Bank's disclosures for the reporting period are limited to Climate Related Risks and Opportunities (CRROs). Sustainability related risks and opportunities beyond climate have not been disclosed at this stage.

This approach reflects the Bank's prioritisation of strengthening governance, risk assessment and reporting processes for climate related matters as a foundational step in implementing SLFRS S1 and SLFRS S2. Broader sustainability related disclosures are expected to be incorporated from the next reporting period onwards (FY 2026).

Comparative Information

As this is the Bank's first year of reporting under SLFRS S1 and SLFRS S2, comparative sustainability related and climate related disclosures for prior periods have not been presented.
Comparative information will be incorporated from the next reporting period onwards (FY 2026).

Anticipated Financial Effects

The Bank has not disclosed qualitative or quantitative information regarding the anticipated financial effects of climate related risks and opportunities in the current reporting period.

Current disclosures therefore focus on qualitative descriptions of identified risks and opportunities, governance arrangements and risk management processes for FY 2025. The Bank is progressively developing methodologies, internal data frameworks and analytical capabilities to enable structured assessment of anticipated financial effects within the permitted transitional relief period of two years (FY 2027).

Scope 3 GHG Emissions

Scope 3 greenhouse gas emissions, including financed emissions arising from the Bank's lending and investment activities, have not been disclosed for the current reporting period in accordance with the applicable transitional relief provisions under SLFRS S2.
The Bank is in the process of strengthening portfolio-level data collection, measurement methodologies and internal systems to support reliable calculation and reporting of Scope 3 emissions. These disclosures are expected to be progressively incorporated within the permitted transitional relief period ensuring full disclosure by FY 2027.

Climate Resilience and Scenario Analysis

Climate resilience and scenario analysis have not been disclosed for the reporting period. Scenario analysis is recognised as an important tool in assessing climate resilience and potential impacts on the Bank's risk profile. The Bank is developing internal capacity, data inputs and analytical frameworks necessary to undertake structured scenario-based assessments, which are expected to be incorporated within the permitted transitional relief of two years from the first reporting period (FY 2027).

9. Significant Judgements and Uncertainties

The preparation of sustainability related financial disclosures requires the application of professional judgement, particularly given the forward-looking nature of climate related risks.

Key judgement areas

- Identification of material CRROs
- Determination of appropriate qualitative disclosure
- Assessment of linkages to strategy and financial performance
- Selection of materiality thresholds

Sources of uncertainty

- Forward-looking economic and climate projections
- Data availability and methodological limitations
- Regulatory and market developments

10. Principle of Proportionality

In preparing these disclosures, management has used reasonable and supportable information available at the reporting date without incurring undue cost or effort.

The Bank has applied the principle of proportionality, ensuring disclosures are appropriate to the size, complexity and risk profile of the institution while remaining decision-useful to primary users.

11. Statement of Compliance

These sustainability related financial disclosures represent a complete set of sustainability related financial disclosures for Bank of Ceylon and its subsidiaries ("the Group") for the year ended 31 December 2025.

The disclosures have been prepared in accordance with the SLFRS Sustainability related Financial Disclosure Standards issued by the Institute of Chartered Accountants of Sri Lanka.

GOVERNANCE

Sustainability and climate related governance at the Bank operates through a structured and tiered oversight framework, supported by defined reporting lines, accountability mechanisms and integration within the Enterprise Risk Management (ERM) framework. Climate related risks and opportunities are identified at operational levels, consolidated and reviewed at management level, and subject to strategic oversight at Board level and subject to strategic oversight at Board level.

A comprehensive Sustainability Governance and Oversight Framework sets out the hierarchical structure through which Sustainability Related Risks and Opportunities (SRROs) and Climate Related Risks and Opportunities (CRROs) are governed across Board, management and operational levels. This integrated structure enables alignment across governance, strategy, risk management metrics and targets and reporting in accordance with SLFRS S1 and SLFRS S2.

Governance and Oversight – Key Features

- Board-level oversight exercised through the IRMC, meeting at least once in every two months
- Integration of climate related risks into Enterprise Risk Management and strategic planning
- Formal management oversight through Sustainability Committee
- Structured reporting and escalation from operational levels to the Board
- Executive accountability supported through defined KPIs

See Sustainability Governance and Oversight Framework in Sustainability Integration in pages 75-84

Board Oversight

At the highest level, the Board of Directors provides strategic direction and ensures integration of sustainability considerations into long-term value creation, risk appetite and strategic planning processes.

Oversight of SRROs and CRROs was exercised through the Board Integrated Risk Management Committee (IRMC), acting on behalf of the Board up to 31 December 2025. IRMC met at least quarterly to ensure timely oversight of sustainability and climate related risks and opportunities, including their integration into the Bank's enterprise risk management and disclosure processes.

SLFRS SUSTAINABILITY RELATED FINANCIAL DISCLOSURES

Remuneration

Sustainability and climate related considerations are not currently incorporated into the Board remuneration structures. Details of the Bank's Remuneration Governance are disclosed in the Governance at Bank of Ceylon in Page 179 of this Annual Report.

Governance Enhancement

From 2026 onwards, the Bank has established a dedicated Board-level Sustainability Committee. This enhancement is expected to further strengthen formal oversight of sustainability and climate related matters at Board level and reflects evolving regulatory and market expectations.

Board Skills and Competency in ESG Matters

Effective oversight of sustainability and climate related risks requires appropriate Board-level expertise and technical understanding. The Board collectively possesses experience across banking and financial services, risk management, financial markets, corporate governance, digital transformation and sustainability-linked strategic oversight.

To support implementation of SLFRS S1 and SLFRS S2, the Bank engaged Messrs. Ernst & Young to conduct structured training for management teams. In addition, a dedicated awareness session was conducted for the Board of Directors to strengthen understanding of governance responsibilities, climate related risk oversight and disclosure obligations.

Refer Board's Skills Composition in Pages 34-39 and 169.

Management Oversight

Management-level oversight is exercised through the Sustainability Committee. The Management is responsible for:

- Translating Board direction into operational action
- Monitoring sustainability related performance indicators
- Assessing climate related risk exposures across portfolios
- Supporting the integration of ESG considerations into credit and investment processes
- Ensuring consistency, completeness and quality of sustainability related disclosures

Executive Accountability

The Sustainable Banking Unit operates under the purview of the Chief Financial Officer (CFO), strengthening executive-level accountability for sustainability performance and disclosure integrity. Sustainability related Key Performance Indicators (KPIs) are embedded within performance evaluation structures for the Chief Financial Officer and Assistant General Manager – Sustainable Banking. This alignment supports consistency between governance oversight, operational execution and performance accountability.

Execution and Operational Integration

Execution is supported by specialised functions, including the Sustainable Banking Division and the SLFRS S1 and S2 Working Group.

At the operational level, sustainability related considerations are embedded into lending, investment and business decision-making processes. Information generated at this level flows upward for consolidation, review and oversight through the governance structure.

Integration of ESG matters into Operations:

- Integration of sustainability and climate related considerations into banking activities
- Data collection, consolidation and validation
- Preparation of disclosures aligned to SLFRS S1 and SLFRS S2
- Coordination across risk, strategy, finance and operational teams

Flow of Information and Disclosure Integration

Climate related information flows from Business Units to Management Committees and subsequently to the IRMC. ESG and sustainability matters are included as a standing agenda item at IRMC meetings, ensuring periodic review, challenge and strategic consideration.

ESG and sustainability matters shall be standing item on the quarterly agenda of the IRMC. In addition at least one IRMC meeting annually is dedicated to sustainability and climate related themes, including performance monitoring, regulatory developments, disclosure requirements and emerging risks.

Draft disclosures prepared by management and technical working groups are reviewed at management level and subsequently by the IRMC prior to inclusion in the Annual Report. This ensures that public disclosures reflect governance oversight, strategic alignment and integration within the Bank's risk management framework.

1. Identification and Monitoring

Business Units and Operations

- Risk identification
- Portfolio monitoring
- ESG data capturing
- Operational sustainability metrics

2. Consolidation and Technical Assessment

Sustainable Banking Unit and the SLFRS S1 and S2 Working Group

- Data consolidation
- Climate risk assessment
- Disclosure drafting
- Metric validation

3. Management Review

Management Committees

- Review of CRROs
- Performance against KPIs
- Escalation of material matters
- Alignment with strategy

4. Board-Level Oversight

Integrated Risk Management Committee

- Oversight of sustainability and climate matters
- Review of disclosures
- Strategic alignment
- Escalation to Board

5. Public Disclosure

Annual Report (SLFRS S1 and S2 Disclosures)

- Governance
- Strategy
- Risk Management
- Metrics and Targets

Continuous Monitoring and Enhancement

The governance and reporting framework operates as a continuous cycle. Feedback from Board deliberations and management reviews informs enhancements to internal controls, data systems, methodologies and analytical capability. This supports progressive strengthening of sustainability related governance and disclosure practices over time.

STRATEGY

Climate related risks and opportunities are considered within the Bank's strategic planning, credit risk management, capital allocation and operational resilience processes. These considerations recognise the potential for climate related developments to influence credit quality, infrastructure investment, portfolio composition and long-term value creation.

As part of the Bank's first year of reporting under SLFRS S1 and SLFRS S2, climate related matters have been embedded within existing Enterprise Risk Management (ERM) processes, supported by defined financial materiality thresholds and structured qualitative assessments. Identified climate related risks and opportunities are evaluated using the Bank's established likelihood, magnitude and time-horizon parameters, aligned with the broader risk assessment framework.

The Bank's key climate related risks and opportunities, together with associated strategic responses, are summarised below.

SLFRS SUSTAINABILITY RELATED FINANCIAL DISCLOSURES

CLIMATE RELATED RISKS

CRRO 1 – EXTREME WEATHER EVENTS	
Overview	
Description	Extreme weather events and broader climate change impacts can adversely affect both the Bank's operations and the financial stability of its customers. These conditions increase the likelihood of physical damage to assets and heighten credit risk, which may in turn influence the Bank's financial prospects and overall performance.
Nature of CRRO	Physical Risk
Time Horizon	Short, Medium and Long
Definition of Time Horizon	Refer page 89
Business Model and Value Chain	
Current Year Impacts	
Operational Disruption and Physical Impacts	Extreme weather events experienced during the year, including the Ditwah cyclone, resulted in operational disruptions and physical damage to the Bank's branch network and related assets, affecting elements of the Bank's physical infrastructure. Temporary branch closures arising from flooding and adverse weather conditions disrupted on-site service delivery and led to short-term impacts on operational continuity and income generation.
Credit Risk Considerations	In addition to physical and operational impacts, the Bank also assessed potential credit risk implications arising from the Ditwah cyclone, particularly in relation to affected customers and portfolios. In relation to credit risk, the Ditwah cyclone disrupted the livelihoods of customers, particularly within the agriculture, small business, and retail segments, increasing the likelihood of delayed repayments and potential loan defaults and elevating the Stage 3 loans and advances. The Bank conducted a province-wise assessment of credit risk exposure to identify, assess, and monitor credit risk impacts arising from the cyclone.
Anticipated Effects	
Credit Risk Management	Extreme weather events may adversely affect borrowers, operating in flood and landslide prone areas or in climate-sensitive sectors. Disruptions to business operations, income generation, and productive assets may weaken borrowers' repayment capacity, potentially leading to delayed repayments, loan restructuring, or increased default risk, thereby elevating the Bank's credit risk exposure.
Operational Risk Management	Extreme weather events may disrupt the delivery of banking services due to physical damage to branch premises and supporting infrastructure, temporary branch closures, and reduced staff availability. Such disruptions may affect service continuity and result in additional costs associated with repairs, restoration, and operational recovery across affected locations.
Asset Quality and Collateral Valuation	Extreme weather events may cause physical damage to assets securing mortgage-backed and agriculture-related lending. Damage to collateral may affect asset values and recoverability, with potential implications for recovery outcomes and credit losses in the event of borrower default.
Risk Concentration	
Operational Risk	Extreme weather event risk is concentrated in branch locations situated in flood-prone and landslide-prone areas.
Credit Risk	Agriculture-related loans, where exposure to extreme weather events such as floods and landslides may affect underlying agricultural assets and related repayment capacity. Mortgage-backed credit facilities, where underlying properties are located in identified flood or landslide-risk areas.

CRRO 1 – EXTREME WEATHER EVENTS	
Strategy and Decision-Making	
Plans to Respond	
Operational Resilience	Climate related physical risks are considered in the Bank's strategic and operational decision-making, including branch relocation and establishment, using flood hazard maps, landslide risk maps and historical climate data. To support service continuity during climate related disruptions, the Bank has strengthened digital banking platforms and flexible delivery mechanisms, including the "Branch on Wheels". Potential physical damage to branch premises and related assets is mitigated, where applicable, through insurance coverage. Operational resilience to climate related disruptions is supported through the Bank's Business Continuity Planning (BCP) framework, including periodic BCP drills and staff training and awareness programmes to ensure preparedness and continuity of critical operations during extreme weather events.
Credit Risk Integration	The Bank manages climate related physical risks through established credit risk management practices. For lending proposals in identified landslide-risk areas, reports issued by the National Building Research Organisation (NBRO) or relevant authorities are obtained from customers. Property valuation reports for mortgage-backed facilities incorporate flood and landslide risk considerations, and where insurance coverage is obtained for mortgage securities, climate related physical risks are factored into the coverage assessment.
Resourcing	
Operational Resilience Measures	The Bank is considering the relocation of branches identified as highly vulnerable to safer locations. In addition, measures such as the introduction of flood-proof vaults and the secured storage of critical security documents at safe locations are being considered to further reduce exposure to physical risks.
Human Resources and Capability	Dedicated human resources have been allocated to support sustainability- and climate related activities, including the assignment of a Senior Manager to the Sustainable Banking Division to support climate impact reporting and related work.
Service Continuity Measures	To maintain service continuity during climate related disruptions, the Bank utilises alternative service delivery channels, including digital banking platforms and the "Branch on Wheels".
Capacity Building	The Bank also continues to resource internal capacity-building initiatives, including ESMS screening training for credit officers and sustainability training for newly promoted officers, to strengthen institutional capability in managing climate related risks and impacts.
Progress	
The Bank enhanced the identification of extreme weather–related risks by assessing physical impacts on branch locations and customer exposure using flood hazard maps, landslide risk maps, historical weather data, and observed impacts from recent events, including the Ditwah cyclone. These assessments improved the Bank's understanding of geographical exposure and related credit risk, particularly in climate-vulnerable sectors and locations. The previous assessment was conducted at a initial level, and the Bank plans to further enhance the evaluation of customer-level credit risk associated with extreme weather events by building on this initial analysis. As part of ongoing progress, the Bank will continue to strengthen these strategies, including the application of environmental and social screening for high-risk credit facilities, the incorporation of climate related considerations within property valuation and insurance processes, and the use of business continuity arrangements and alternative service delivery channels.	
Financial Effects	
Current Year Financial Effects	Following the Ditwah cyclone physical damages were recorded at several branches and offsite locations. The assessed physical damage was not as material for current year financial effects. The Bank adopts prudent approach in making impairment provision from the expected credit loss from loan portfolio due to climate related events. On this basis, the expected credit risk impact arising from cyclone Ditwah was considered and relevant management overlays were applied on making the impairment provision for expected loses. (Refer Note 28.2 to the Financial Statements).
Anticipated Financial Effects	Refer Page 90 – Transitional Relief.

SLFRS SUSTAINABILITY RELATED FINANCIAL DISCLOSURES

CRRO 1 – EXTREME WEATHER EVENTS	
Significant risk of a material adjustment to carrying values of assets and liabilities in the next annual reporting period.	No significant risk of material adjustments were identified
Climate Resilience	
Climate Resilience	Refer Page 90 – Transitional Relief.
Scenario Analysis	Refer Page 90 – Transitional Relief.
Judgements and Uncertainties	
Judgements	The Bank applies judgement in identifying and assessing risks that could reasonably be expected to affect its prospects. Key judgements include determining the geographical areas and branch locations exposed to flood and landslide risks, based on flood hazard maps, landslide risk maps, historical incident data, and observed operational impacts during the reporting year. Judgement is also applied in assessing the materiality of physical damages, operational disruptions, and credit risk impacts
Uncertainties	Measurement uncertainty exists in estimating the financial impacts of extreme weather events, particularly in relation to physical damage to buildings, equipment, and electronic assets, as well as the indirect effects on operations, such as service disruptions and temporary branch closures. These estimates are based on information available at the reporting date and may change as repair works and restoration activities progress. In addition, the extent to which extreme weather events may affect borrower repayment behaviour and future credit performance, especially in climate-vulnerable sectors such as agriculture, cannot be determined with certainty at the reporting date, as such impacts may emerge over subsequent reporting periods.

CRRO 2 – INCREASED COSTS DUE TO LOW-CARBON TRANSITION	
Overview	
Description	Sri Lanka's Nationally Determined Contributions (NDCs) commit the country to reducing greenhouse gas emissions and advancing a transition to a low-carbon economy. These national commitments increase expectations on financial institutions to support climate-aligned investments and reduce exposure to high-emission activities. For the Bank, increased costs associated with low-carbon transition requirements, together with potential reductions in revenue from high-emission sectors, may place pressure on profitability and growth prospects. Additional capital may be required for energy efficiency improvements, renewable energy adoption and other low-carbon upgrades, influencing capital allocation and financial performance during the transition period.
Nature of CRRO	Transition Risk
Time Horizon	Medium, Long
Definition of Time Horizon	Refer page 89
Business Model and Value Chain	
Current Year Impacts	
During 2025, the Bank undertook energy efficiency and renewable energy initiatives across its physical infrastructure, including branch solarisation and energy system upgrades. These activities reflect the early-stage integration of low-carbon considerations into operational decision-making.	
Anticipated Effects	
Operating and Capital Expenditure	Investments in energy efficiency improvements, renewable energy solutions, and other low-carbon initiatives may result in higher costs during the transition phase, which could place pressure on profitability and growth in the short to medium term, notwithstanding the potential for longer-term cost savings.
Diversified and Sectional Shifts	Engagement in high-emission sectors and, progressive decarbonisation of the loan portfolio may influence product offerings, sectoral exposure, and capital allocation decisions.

CRRO 2 – INCREASED COSTS DUE TO LOW-CARBON TRANSITION		
Overview		
Risk Concentration		
Operational Risk	The Bank's physical infrastructure equipments and processes, upgrade to energy efficient equipments and systems may be required.	
Credit Risk	Low-carbon transition requirements may influence the structure of the Bank's lending portfolio, particularly in relation to exposure to higher-emission sectors.	
Strategy and Decision-Making		
Plans to Respond		
Green Financing	The Bank focuses on green financing by expanding financing to environmentally sustainable and low-carbon activities.	
Transition Planing	The Bank initiated to develop a transition plan and to measure financed emissions in line with the Partnership for Carbon Accounting Financials (PCAF) methodology.	
Resourcing		
The Bank allocates dedicated resources to support the development and implementation of innovative sustainable banking products and energy saving and efficiency improvement initiatives. Human resources have been strengthened through the assignment of staff to the Sustainable Banking Unit and through targeted staff training programmes to enhance internal capacity in sustainable and green financing. In addition, financial resources are mobilised through instruments such as the Sustainability Bond, enabling the Bank to expand sustainable lending and support climate-aligned investment activities.		
Progress		
Renewable Energy Investments	The Bank continues to resource renewable energy initiatives, including the solarisation of branches, with 28 new branches solarised during the year at an investment of LKR 149.6 million.	
Green Building Certification	The Ja Ela and Kurunegala 2nd City branches have obtained Green Building certification, reflecting the integration of sustainability considerations into branch infrastructure.	
Financed Emissions	The Bank has joined the Partnership for Carbon Accounting Financials (PCAF) to support the measurement and disclosure of financed emissions.	
Green Financing Activity	LKR 1.2 billion of green financing granted during the year, supporting the gradual transition of the lending portfolio towards lower-carbon activities.	
Sustainable Bond Issuance	The Bank issued a LKR 20.0 billion Sustainable Bond in 2025 to support the expansion of its green and sustainable lending portfolio, in line with its broader transition objectives.	
Financial Effects		
Current Year Financial Effects	Based on assessments conducted during the year ended 2025, no material financial impacts arising from Increased costs due to low-carbon transition requirements were recognised in the Profit or Loss, Balance Sheet, or Cash Flow Statement, in accordance with the Bank's established materiality thresholds.	
Anticipated Financial Effects	Refer Page 90 – Transitional Relief.	
Significant risk of a material adjustment to carrying values of assets and liabilities in the next annual reporting period.		No significant risk of material adjustments identified.
Climate Resilience		
Climate Resilience Disclosure	Refer Page 90 – Transitional Relief.	
Scenario Analysis Disclosure	Refer Page 90 – Transitional Relief.	
Judgements and Uncertainties		
Judgements	Judgement is applied in identifying operational areas that may require low-carbon upgrades, particularly energy efficiency improvements and renewable energy initiatives within the Bank's physical infrastructure. Judgement is also applied in assessing the estimated costs of these upgrades and determining whether such costs are material in relation to the Bank's financial material thresholds.	
Uncertainties	**Uncertainty in Realised Cost Savings** Estimated cost savings from energy-efficiency improvements and renewable energy initiatives may vary depending on actual operational performance and usage patterns, which may differ from initial estimates. **Uncertainty in Capital Cost Estimates** The estimated costs associated with low-carbon transition initiatives, including energy efficient system installations, and other infrastructure upgrades, are subject to uncertainty due to potential variations in technical specifications, procurement costs, and implementation conditions.	

SLFRS SUSTAINABILITY RELATED FINANCIAL DISCLOSURES

CRRO 3 – INNOVATIVE SUSTAINABLE BANKING PRODUCTS	
Overview	
Description	The Bank has identified an opportunity to strengthen its business model through the expansion of innovative sustainable banking products, including sustainable deposits, sustainable loans, and sustainable investments. These products enable the mobilisation of funds towards low-carbon and sustainable activities while responding to growing market demand for climate-aligned financial solutions. From a financial perspective, these offerings support stable funding, portfolio growth, revenue diversification, and access to capital market funding, while enhancing the Bank's positioning in sustainable finance.
Type of CRRO	Opportunity
Time Horizon	Short, Medium and Long
Definition of Time Horizon	Refer page 89
Business Model and Value Chain	
Current Year Impacts	
Product Launch and Funding Mobilisation	Sustainability considerations are increasingly integrated into the Bank's funding, lending, and capital market activities, supporting portfolio diversification and reinforcing the Bank's role within the sustainable finance value chain. During the year, the Bank launched "BOC Green Loans", Biodegradable debit card and issued a Sustainability Bond, alongside the continued offering of green deposits and sustainable loan products.
Anticipated Effects	
Revenue and Portfolio Growth	Increased demand for sustainable finance products is expected to support growth in sustainable lending volumes and associated interest income. Sustainability bonds and loans are anticipated to contribute to diversified and stable revenue streams, supporting long-term portfolio growth aligned with sustainability objectives.
Funding and Capital Market Access	The issuance of sustainability bonds and mobilisation of sustainable deposits are expected to enhance the Bank's access to sustainability-linked funding sources. This supports funding diversification and strengthens the Bank's position in the capital markets by attracting investors with sustainability mandates.
Customer and Market Positioning	Offering innovative sustainable products is expected to strengthen relationships with environmentally conscious customers and investors, enhance market positioning, and support long-term customer acquisition and retention within sustainability-focused segments.
Concentration	
Sustainable Financing	The climate related opportunity from innovative sustainable banking products is concentrated within the Bank's core value-creating activities. The development of sustainable deposits, green and sustainable loans, and sustainability bonds supports strategy formulation towards sustainability-aligned financing. These initiatives contribute to portfolio diversification by increasing exposure to environmentally sustainable sectors. The expansion of sustainable finance offerings also strengthens the Bank's market presence, enabling access to sustainability-focused customers and investors while reinforcing its position within the sustainable finance value chain.
Strategy and Decision-Making	
Plans to Respond	
Sustainable Finance Strategy	The Bank plans to systematically expand its sustainable finance offering as a core component of its business strategy. This includes the development strengthen and scaling of sustainable lending products, such as renewable energy, green and social loans, green buildings and energy efficiency financing, sustainable agriculture, water and wastewater management, clean transportation, circular economy products, food security initiatives, green mortgages, and socio-economic impact mitigation products. In parallel, the Bank plans to strengthen the funding side of the business model through sustainable deposit products and to enhance its capital market presence through thematic bonds. These initiatives represent a deliberate shift in the Bank's value chain towards sustainability-aligned funding, lending, and capital market activities. To support the climate related opportunity arising from innovative sustainable banking products, the Bank has established sustainability related Key Performance Indicators (KPIs) within its broader ESG framework.

<table>
<tr><th colspan="3">CRRO 3 – INNOVATIVE SUSTAINABLE BANKING PRODUCTS</th></tr>
<tr><th colspan="3">Resourcing</th></tr>
<tr><td colspan="3">The Bank allocates dedicated resources to support the development and implementation of innovative sustainable banking products. Human resources have been strengthened through the assignment of staff to the Sustainable Banking Unit and through targeted staff training programmes to enhance internal capacity in sustainable and green financing. In addition, financial resources are mobilised through instruments such as the Sustainability Bond, enabling the Bank to expand sustainable lending and support climate-aligned investment activities.</td></tr>
<tr><th colspan="3">Progress</th></tr>
<tr><td>Green Deposits</td><td colspan="2">The balance of green deposit amounted to LKR 78.9 million as at 31 December 2025.</td></tr>
<tr><td>Green Financing Balance</td><td colspan="2">As at 31 December 2025, the Bank's green financing portfolio amounted to LKR 10.2 billion representing a 67% increase compare to the previous year.</td></tr>
<tr><td>Sustainability Bond Issuance</td><td colspan="2">The Bank introduced a LKR 20.0 billion BOC Sustainability Bond in 2025, strengthening its sustainable funding base and supporting the expansion of green and social projects.</td></tr>
<tr><th colspan="3">Financial Effects</th></tr>
<tr><td>Current Year Financial Effects</td><td colspan="2">Sustainable loans balance LKR 73.0 billion (Refer Note 28.1 to the Financial Statements)
Green deposit balance LKR 78.9 million (Refer Note 42 to the Financial Statements)
Sustainable investment balance LKR 20.0 billion (Refer Note 49.1 to the Financial Statements)</td></tr>
<tr><td>Anticipated Financial Effects</td><td colspan="2">Refer Page 90 – Transitional Relief.</td></tr>
<tr><td colspan="2">Significant risk of a material adjustment to carrying values of assets and liabilities in the next annual reporting period.</td><td>No significant risk of material adjustments were identified</td></tr>
<tr><th colspan="3">Climate Resilience</th></tr>
<tr><td>Climate Resilience Disclosure</td><td colspan="2">Refer Page 90 – Transitional Relief.</td></tr>
<tr><td>Scenario Analysis Disclosure</td><td colspan="2">Refer Page 90 – Transitional Relief.</td></tr>
<tr><th colspan="3">Judgements and Uncertainties</th></tr>
<tr><td>Judgements</td><td colspan="2">In relation to the climate related opportunity arising from innovative sustainable banking products, the Bank applies judgment in identifying products and exposures that qualify as green, using the Central Bank of Sri Lanka (CBSL) Green Taxonomy as the primary reference framework. Judgement is also applied in assessing which lending, deposit, and capital market products contribute to climate related opportunities, including determining their relevance to the Bank's business model, customer demand, and sustainability objectives.</td></tr>
<tr><td>Uncertainties</td><td colspan="2">Actual growth in sustainable finance volumes may vary depending on market demand, customer readiness to transition, regulatory developments, and broader economic conditions. In addition, uncertainty remains regarding the financial outcomes associated with these products, as changes in customer behaviour, pricing conditions, and policy incentives may influence the scale and timing of benefits derived from expanding sustainable finance activities.</td></tr>
</table>

RISK MANAGEMENT

The Bank manages climate related risks and opportunities through its existing Enterprise Risk Management (ERM) framework, supported by structured identification, assessment, prioritisation and monitoring processes. Oversight is exercised through established Management Committees and the Board Integrated Risk Management Committee (IRMC).

Processes and Policies Relating to Climate Related Risks Identification

The Bank uses an internally driven process to identify, assess, prioritise and monitor Climate Related Risks and Opportunities (CRROs). Risk evaluation is based on structured data inputs, defined assessment criteria and periodic committee review.

Inputs and Parameters Used for Identifying Climate Related Risks

The identification process is based on internal operational, credit, financial and transition-planning information, supplemented by relevant external data sources.

SLFRS SUSTAINABILITY RELATED FINANCIAL DISCLOSURES

Risk Category	Risk Type	Key Inputs Considered	Source Type
Physical Risk	Extreme Weather Events	• Records of adverse weather impacts on branches • Physical damage incidents at branch and provincial levels • Database of branch closures due to adverse weather events (maintained since 2023) • Business loss estimates linked to weather disruptions • Indicators of customer repayment stress arising from climate impacts • Details of branches located in flood-prone areas • Loss percentages of agricultural credit portfolios in affected locations • Flood maps issued by the Irrigation Department of Sri Lanka • Situation reports from the Disaster Management Centre	Internal records External public source
Transition Risk	Increased Costs Due to Low-Carbon Transition Requirements	• Loan portfolio exposure to high-emission sectors • Energy-efficiency and system upgrade recommendations from the Premises Department and BOC Property Development Ltd (PDL) • Estimated capital expenditure for low-carbon upgrades • Projected operational and maintenance cost changes • Revenue implications associated with transition away from high-emission activities	Internal portfolio data Internal reports Internal projections Internal analysis

Climate Related Scenario Analysis

The Bank recognises the importance of climate related scenario analysis in strengthening forward-looking risk management. Climate related scenario analysis is currently at an early stage and is not yet fully embedded into routine stress testing or governance processes.

Steps are being taken to enhance internal capabilities, with plans to integrate climate related scenario analysis into the Bank's stress testing framework and reflect key outcomes within the Internal Capital Adequacy Assessment Process (ICAAP) from 2027 onwards.

Climate Scenario Analysis - Highlights

- Bank is in the process of developing a framework
- Progressive integration into stress testing from FY2027
- Key outcomes to be reflected within ICAAP processes
- Full alignment within the permitted transitional relief period

Risk Assessment

The Bank applies a structured assessment framework to evaluate identified climate related risks. Each risk is assessed using defined parameters relating to nature, likelihood, magnitude of financial impact and time horizon, consistent with the Bank's Risk Management framework. The assessment process ensures alignment with internal financial materiality thresholds and supports prioritisation and governance oversight.

Assessment Component	Approach Applied by the Bank
Nature of Risk	Climate related risks are classified as • Physical risks (e.g; extreme weather events) • Transition risks (e.g; increased costs arising from low-carbon transition requirements)
Impact Considerations	The assessment considers potential impacts on • Bank operations • Customers • Credit portfolios • Cost structure • Long-term prospects

Assessment Component	Approach Applied by the Bank
Physical Risk Assessment Inputs	• Historical financial loss data over the past three years due to branch closures from adverse weather events • Details of branches located in flood-prone areas • Loss percentages of agricultural credit portfolios in climate-sensitive regions
Transition Risk Assessment Inputs	• Portfolio exposure to high-emission sectors • Projected cost implications arising from transition-related developments
Likelihood	Assessed using a three-tier probability scale ● High (61–100%) ● Medium (41–60%) ● Low (0–40%) Likelihood ratings are determined using historical data, observed trends and management expert judgment.
Magnitude / Exposure	Assessed based on potential financial effect on operating profit, using defined severity thresholds aligned with the Bank's financial materiality criteria. Exposure considered across • Operations • Credit risk • Capital expenditure • Profitability
Time Horizon	Refer page 89

Risk Prioritisation

Climate related risks are prioritised using the Bank's established internal risk assessment and governance processes, consistent with the evaluation of other material risks.

Risk information is consolidated through the SLFRS S1 and S2 Working Group prior to structured assessment and governance review.

Climate Risk Prioritisation Process

1. Risk Consolidation	Climate related risk information is collected through the SLFRS S1 and S2 Working Group from the Risk Management Division, Financial Accounting Unit, Sustainable Banking Unit and relevant subsidiary companies.
2. Risk Assessment	Each identified risk is assessed based on • Likelihood of occurrence • Severity of financial impact • Time horizon • Qualitative considerations (including reputational and legal risk)
3. Governance Review	Assessed risks are subjected to formal governance review, with prioritisation outcomes reviewed and validated by Management Committees and overseen by the IRMC.
4. Integration into ERM	Climate related risks are considered alongside other risk categories within the Bank's overall risk assessment framework.

Monitoring

Climate related risks are monitored within the Bank's overall Risk Management Framework, in accordance with the Integrated Risk Management Policy and stress testing policy.

Climate risk information is consolidated by the SLFRS S1 and S2 Working Group and periodically re-evaluated using defined likelihood, severity and time-horizon criteria. Observations are escalated through Management Committees to the IRMC for oversight.

SLFRS SUSTAINABILITY RELATED FINANCIAL DISCLOSURES

Climate Risk Monitoring Framework

Framework Integration	Incorporated within the Integrated Risk Management Policy and stress testing processes
Consolidation	Climate risk data gathered from key internal functions by the SLFRS S1 and S2 Working Group
Re-Evaluation	Periodic reassessment using likelihood, severity and time-horizon criteria
Escalation	Findings reported to Management Committees and Integrated Risk Management Committee

Monitoring Indicators

The following indicators are used to monitor climate related risk exposure and progress.

Monitoring Area	Indicator
Risk Identification	Identification and reporting of climate related risks and opportunities
Portfolio Exposure	Risk assessment of selected lending portfolios to determine financial impact
Operational Impact	Assessment of climate change impacts on key operational areas
Asset Exposure	Asset valuation analysis of major physical assets to assess climate exposure
Forward-Looking Integration	Incorporation of climate related scenario analysis into stress testing processes

Changes Compared to the Previous Reporting Period

During 2025, the Bank strengthened its climate risk management approach by:

- Introducing a formalised process for identifying, assessing, prioritising and monitoring CRROs
- Incorporating climate related risks into the Bank's overall risk management framework.
- Applying standardised likelihood, severity and time-horizon criteria
- Conducting a stress testing to assess the potential impact of climate related risks.

Processes and Policies Relating to Climate Related Opportunities

The Bank applies a structured internal process to identify, assess, prioritise and monitor climate related opportunities, aligned with sustainability objectives and evolving regulatory expectations. Similar to climate related risks, oversight is integrated within the Bank's existing governance and risk management framework.

Integration into Overall ERM

Climate related risks and opportunities are integrated into the Bank's overall Risk Management Framework and ongoing risk assessment processes.

(Refer Pages 196-197)

METRICS AND TARGETS

Climate related risks and opportunities are considered within the Bank's strategic planning, credit risk management, capital allocation and operational resilience processes. These considerations recognise the potential for climate related developments to influence credit quality, infrastructure investment, portfolio composition and long-term value creation.

Cross-Industry Metrics

Greenhouse Gas (GHG) Emissions

Organisational and Operational Boundary

The Bank defines its organisational and operational boundaries for greenhouse gas (GHG) emissions in accordance with ISO 14064-1:2018 and the GHG Protocol, applying the financial control approach. Under this approach, emissions are accounted for from operations under the Bank's financial control.

For the current reporting cycle, the Bank's carbon footprint assessment covers domestic operations and includes subsidiaries, Overseas are excluded for the current reporting period.

The Bank has measured Scope 1 and Scope 2 emissions.

In line with transitional relief provisions under SLFRS S1 and SLFRS S2, all Scope 3 emissions have not been included in the current reporting period.

GHG Measurement Methodology

GHG emissions are measured in accordance with ISO 14064-1:2018 and the GHG Protocol. Emissions of CO_2, CH_4 and N_2O are converted to CO_2e using Global Warming Potential (GWP) values published in the IPCC Sixth Assessment Report. Emission factors are applied in accordance with IPCC Report.

Activity Data Sources

- Centralised databases
- Utility bills
- Fuel records
- Invoices
- Operational logbooks

Data Management Controls

- Completeness checks
- Accuracy validation
- Prevention of double-counting
- Proper document retention
- Internal review procedures

Following completion of the GHG assessment, the Bank's GHG inventory was subject to independent third-party verification, providing additional assurance over the accuracy and reliability of the reported emissions data.

Summary of GHG Emissions

Scope	2025 ($MtCO_2e$)
Scope 1	1,251.9
Scope 2	11,187.7
Total	**12,439.6**

GHG Scope 1 and Scope 2 Emissions

Description	Greenhouse gas emissions 2025 ($MtCO_2e$)		
	Scope 1	Scope 2	Total
Consolidated accounting group	1,251.9	11,187.7	12,439.6
Other investee (investment in associates)	N/A	N/A	N/A
Total (Financial control approach)	**1,251.9**	**11,187.7**	**12,439.6**

Key Assumptions and Sources of GHG Measurement

Scope	Emission Sub-category	Activity	Data Source	Emission Factor Source	Source of GWP Values
Scope 1	Stationary combustion	Stand by Generators	Chargers account book/ Fuel purchase registry	IPCC - 2006	IPCC 6th Report Global Warming Potential Values
Scope 1	Mobile combustion	Company-owned vehicles , Employee commuting (Paid), Business travel - Rent	Fuel card/ central database	IPCC - 2006	IPCC 6th Report Global Warming Potential Values
Scope 1	Fugitive Emissions	Refrigerant leakage, Fire extinguishers, Cooking gas	Service providers data base	IPCC - 2006	IPCC 6th Report Global Warming Potential Values
Scope 2	Electricity Consumption	Grid Electricity	Electricity bills	Sri Lanka Energy Balance Report 2022 by Sri Lanka Sustainable Energy Authority	IPCC 6th Report Global Warming Potential Values

SLFRS SUSTAINABILITY RELATED FINANCIAL DISCLOSURES

Exposure To Climate Related Risks And Opportunities

Climate Related Physical Risks (CRRO 1)	The Bank has not performed a quantified assessment of the percentage of assets or business activities vulnerable to climate related physical risks.
Climate Related Transition Risks (CRRO 2)	The Bank has not performed a quantified assessment of the percentage of assets or business activities vulnerable to climate related Transition risks.'
Climate Related Opportunities (CRRO 3)	Climate related opportunities are reflected in the expansion of sustainable finance activities, including: • Green loans (LKR 10.2 billion) • Green deposits (LKR 78.9 million) • Sustainability bond issued to support sustainability lending (LKR 20.0 billion) These activities support financing of low-carbon and environmentally sustainable projects and strengthen the Bank's participation in climate-aligned financial markets.
Capital Deployment	Climate related capital deployment during the reporting period included renewable energy installations, across the branch network, with a total cost of LKR 149.6 million. Climate-aligned capital allocation is currently disclosed within the Bank's broader capital planning and financing framework. Quantitative classification of climate related capital expenditure will be progressively enhanced in future reporting periods as internal tracking mechanisms mature.
Internal Carbon Pricing	The Bank does not currently apply an internal carbon pricing mechanism. This reflects the prevailing regulatory environment in Sri Lanka, where no mandatory carbon pricing or emissions trading framework is currently in operation.
Remuneration	Climate related metrics are not presently linked to Board or executive remuneration structures.

INDUSTRY-SPECIFIC METRICS

Sustainability Accounting Standards Board (SASB) Index
Commercial Banks Sustainability Accounting Standard (Version 2023-12)

Table 1. Sustainability Disclosure Topics and Metrics

Topic	Metric	Category	Unit of Measure	Code	Page Reference / Disclosure
Data Security	(1) Number of data breaches, (2) percentage that are personal data breaches, (3) number of account holders affected	Quantitative	Number, Percentage (%)	FN-CB-230a.1	Page 151
	Description of approach to identifying and addressing data security risks	Discussion and Analysis	Not Applicable	FN-CB-230a.2	Pages 151-152
Financial Inclusion and Capacity Building	(1) Number and (2) amount of loans outstanding that qualify for programmes designed to promote small business and community development	Quantitative	Number, Presentation currency	FN-CB-240a.1	Pages 78-79
	(1) Number and (2) amount of past due and non-accrual loans or loans subject to forbearance that qualify for programmes designed to promote small business and community development	Quantitative	Number, Presentation currency	FN-CB-240a.2	Page 136
	Number of no-cost retail checking accounts provided to previously unbanked or under banked customers	Quantitative	Number	FN-CB-240a.3	Page 24
	Number of participants in financial literacy initiatives for unbanked, under banked, or under served customers	Quantitative	Number	FN-CB-240a.4	Page 137
Incorporation of ESG factors in Credit Analysis	Description of approach to incorporation of Environmental, Social and Governance (ESG) factors in credit analysis	Discussion and Analysis	Not Applicable	FN-CB-410a.2	Page 80

Topic	Metric	Category	Unit of Measure	Code	Page Reference / Disclosure
Financed Emissions	Absolute gross financed emissions, disaggregated by (1) Scope 1, (2) Scope 2 and (3) Scope 3	Quantitative	Metric tonnes (t) CO_2-e	FN-CB-410b.1	The Bank will apply the two year transitional relief under SFRS S1 and S2 for financed emission disclosures.
	Gross exposure for each industry by asset class	Quantitative	Presentation currency	FN-CB-410b.2	
	Percentage of gross exposure included in the financed emissions calculation	Quantitative	Percentage (%)	FN-CB-410b.3	
	Description of the methodology used to calculate financed emissions	Discussion and Analysis	Not Applicable	FN-CB-410b.4	
Business Ethics	Total amount of monetary losses as a result of legal proceedings associated with fraud, insider trading, antitrust, anti-competitive behaviour, market manipulation, malpractice, or other related financial industry laws or regulations	Quantitative	Presentation currency	FN-CB-510a.1	Page 177
	Description of whistle-blower policies and procedures	Discussion and Analysis	Not Applicable	FN-CB-510a.2	Page 177
Systemic Risk Management	Global Systemically Important Bank (G-SIB) score, by category	Quantitative	Basis points (bps)	FN-CB-550a.1	The Bank of Ceylon is not designated as a G-SIB, however it is recognised as a Domestic Systemically Important Bank (D-SIB) Page 10
	Description of approach to integrate results of mandatory and voluntary stress tests into capital adequacy planning, long-term corporate strategy, and other business activities	Discussion and Analysis	Not Applicable	FN-CB-550a.2	Pages 201-202

Table 2. Activity Metrics

Activity Metric	Category	Unit of Measure	Code	Page Reference/ Disclosure
(1) Number and (2) value of checking and savings accounts by segment: (a) personal and (b) small business	Quantitative	Number, Presentation currency	FN-CB-000.A	Page 338 Due to commercial sensitivity, the Bank does not publicly disclose the number of deposit accounts
(1) Number and (2) value of loans by segment: (a) personal, (b) small business, and (c) corporate	Quantitative	Number, Presentation currency	FN-CB-000.B	Page 294 Due to commercial sensitivity, the Bank does not publicly disclose the number of loans accounts

SLFRS SUSTAINABILITY RELATED FINANCIAL DISCLOSURES

CLIMATE-RELATED TARGETS

GHG Emission-Related Target 1

CRRO 2 – Increased Costs due to Low-Carbon Transition Requirements

Category	Disclosure
Metric/ Measurement/ KPI	Completion of solar photovoltaic (PV) installations across 128 Bank-owned branches
Objective	Mitigation/ reduction of operational (Scope 2) greenhouse gas emissions through increased use of renewable energy
Scope	Applies to 128 Bank-owned branches within the domestic branch network
Period	2023 – 2027
Base Year	2023 (53 branches were solarised)
Milestones and Interim Targets	2024 - 20 branches 2025 - 28 branches
Target Type	Quantitative – absolute (completion-based) target
Alignment with Jurisdictional Commitments	This target is aligned with Sri Lanka's Nationally Determined Contributions (NDCs), including the national objective of achieving 70% of electricity generation from renewable energy sources by 2030. The Bank's branch solarisation initiative supports this transition by increasing the share of renewable energy used in its operations, while remaining consistent with prevailing policy directions and regulatory frameworks.
Validation	The target and methodology have not been externally validated
Review Process	Annual progress is reviewed Internally and disclosed in the Annual Report
Metrics for Monitoring Progress	1. Number of Bank-owned branches solarised 2. Proportion of Bank-owned branches with operational solar PV systems 3. Total installed solar capacity 4. Total solar energy generation
Revision	No revisions were made to the target during the reporting period
Progress Achieved During the Year and Status at Year End	During the reporting period, 28 Bank-owned branches were solarised, contributing to progress towards completion of solarisation across 128 Bank-owned branches by 2027

MANAGEMENT DISCUSSION AND ANALYSIS

Performance and Business Insights

Across economic, social, digital, human, environmental, and governance dimensions, the Bank turns insight into meaningful action, shaping progress for stakeholders and the nation.

Aligning a Rubik's Cube requires seeing the big picture, understanding how the pieces relate, and executing each move with precision.

FINANCIAL REVIEW

STRATEGIC INTENT TO FINANCIAL CAPITAL

The Bank's financial capital represents the funds entrusted to the Bank by its shareholder, fund providers and depositors, forming the foundation of its stability and growth. It enables the Bank to extend credit, invest in strategic priorities and absorb risk while maintaining Balance sheet strength, with disciplined allocation and prudent management driving strategy execution and supporting sustainable long-term value creation.

Stability, Governance and Sustainable Growth

- Profit after tax: LKR **76.0** billion (2024: LKR 64.4 billion)
- Total assets: LKR **5.5** trillion (2024: LKR 4.9 trillion)
- Shareholder Value LKR **365.8** billion (2024 : LKR 302.6 billion)
- Capital Adequacy Ratio **16.9%** (2024 : 16.6%)

Excellence in Customer Experience

- Deposit growth **4%** (2024: 8%)
- CASA ratio **33.2%** (2024: 27.0%)
- Net interest income LKR **206.9** billion (2024: LKR 167.6 billion)

Digital Excellence

- Growth in fee income on card portfolio **18%** (2024: 25%)
- Growth in fee income from retail banking services **30%** (2024: 45%)

Rewarding Credit Culture and Healthy Credit Portfolio

- Gross loans and advances growth **9%** (2024: -1%)
- Stage 3 loan ratio **5.6%** (2024: 7.2%)
- Stage 3 provision coverage **57.9%** (2024: 53.6%)

Building a High-Performing Team

- Cost-to-income ratio: **33.0%** (2024: 40.1%)
- Revenue per employee: LKR **61.6** million (2024: LKR 59.1 million)

The Financial Capital chapter presents a comprehensive analysis of the Bank's financial performance during the year, illustrating how financial inputs were translated into sustainable, long-term outcomes for stakeholders through the interplay of the Bank's strategy and other capitals. This chapter should be read in conjunction with the Operating Environment on pages 52 to 56 and Performance of Business Segments on pages 115 and 131 to gain a holistic understanding of value creation during the year.

CONTEXT TO PERFORMANCE

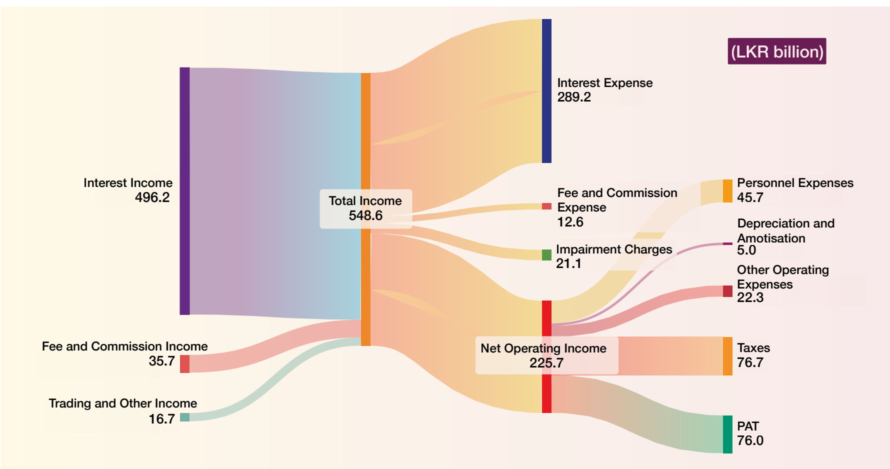
The operating environment was broadly favourable during the year, supported by improving macroeconomic conditions and strengthened investor confidence, as illustrated in the following graphic.

Indicator	Impact on BOC	Indicator	Impact on BOC
Economic growth	▲	Fiscal position	▲
Interest rates	▲	External sector performance	▲
Inflation	▲	Physical risks of climate change	▼
Competitive pressure on deposits and funding	▼	New legislations and regulations	●

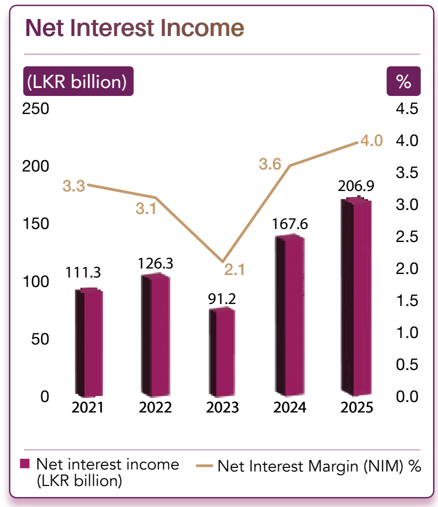
▲ Positive ▼ Negative ● Neutral

STRATEGIC MOMENTUM, STRENGTH AND STABILITY

The Bank delivered a strong financial performance during the year, driven by robust growth in interest income and a progressively diversified revenue base, while maintaining prudent portfolio quality that reinforced earnings resilience and asset stability. Meanwhile, financial stability was further strengthened through continued deposit growth and a more diversified funding structure, with capital buffers maintained comfortably above regulatory thresholds. Collectively, these achievements position the Bank on a solid and stable foundation, well prepared to pursue sustainable growth in the years ahead. The Sankey diagram below depicts how the flow of income from key sources such as interest, fee and commission income, trading and other income subsequently translated to stakeholder value through tax payments to the Government, interest expense to depositors and borrowers, personnel expenses to employees and payments to suppliers among others.



The Sankey diagram provides a visual representation of how the Bank generated and created value during the year. The relative width of each flow reflects the magnitude of the amounts involved, enabling readers to clearly understand how value created by the Bank is converted to stakeholder outcomes.



FINANCIAL PERFORMANCE

As a systemically important financial institution and "Bankers to the Nation" BOC operates with a dual mandate of delivering robust financial returns to stakeholders while advancing sustainable development that strengthens the country's long-term economic prosperity and social resilience. Against this backdrop, the Bank's ability to sustain its position as one of the nation's most profitable institutions is particularly noteworthy.

Fund Based Income

The Bank's fund-based income comprises interest income derived from the core business of disbursing loans and advances and interest income generated on the Bank's investment portfolio. BOC's interest income which accounted for 90% of its total income recorded a growth of 8% YoY to LKR 496.2 billion, driven by 10% expansion in interest earning assets. Interest on loans and advances accounted for 49% of the Bank's total interest income, compared to 55% the previous year. However, reflecting the Bank's astute investment strategy and increased diversification of its income profile, interest income from investment increased by 21%.

Meanwhile, interest expenses declined by 2% to LKR 289.2 billion, with interest on deposits declining by 4% despite 4% increase in the Bank's deposit base, reflecting the downward repricing of deposits as well as the Bank's ability to widen its CASA ratio to 33.2% from 27.0% the previous year. The optimisation of interest expenses also represent a strategic recalibration of the Bank's funding profile as it widened its exposure to borrowings. Consequently, the Bank recorded 24% growth in net interest income to LKR 206.9 billion, underpinned by proactive asset-liability management, a strategically optimised funding base, and greater diversification across both earning assets and funding sources.

The Bank's Net Interest Margin expanded to 4.0%, compared to 3.6% in the preceding year, underscoring the sustained pricing discipline and proactive repricing actions.

Non-Fund Based Income

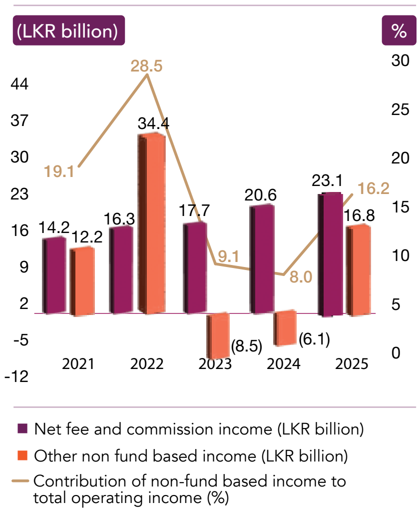
The non-fund based income recorded more than doubled compared to the previous year to reach at LKR 39.9 billion against LKR 14.5 billion in 2024. The Bank's strategic emphasis on diversifying income streams yielded tangible results with fee and commission income increasing by 17% to LKR 35.7 billion. This performance was driven by deeper penetration across the Bank's debit and credit card portfolio, which delivered a 18% growth in related income, alongside a sustained focus on strengthening retail banking through digital innovation and service efficiency enhancements resulted in fee income from Retail Banking Services increasing by 30% during the year.

FINANCIAL REVIEW

Meanwhile, fee and commission expenses increased by 29% to LKR 12.6 billion resulting net fee and commission income of LKR 23.1 billion for the year with 12% growth reflecting the Bank's strategic emphasis on driving digital transactions and trade flows.

Net gains reported through trading amounted to LKR 5.8 billion backed by exchange trading. Unrealised net gains of LKR 1.6 billion (2024: LKR 1.5 billion) have been reported for the year from investments in equities, unit trusts and debt instruments while LKR 1.7 billion of net gains from derecognition of financial assets have been reported against the net loss of LKR 3.6 billion reported in 2024. Moreover, other operating income clocked in at LKR 7.6 billion consisting primarily of foreign exchange gains, dividend income and rental income.

Non-Fund Based Income



Total Operating Income

The Bank's total operating income expanded by a robust 36% to LKR 246.8 billion, driven by broad-based growth across both fund and non-fund based revenue streams. While net interest income contributed a major 84% to the total operating income, its relative contribution dropped compared to last year's contribution of 92% as the Bank's income mix evolved during the year.

The increased contribution from non-fund based income reflects strong momentum in net fee and commission income, alongside increased contributions from other non-fund based sources, underscoring the Bank's progress in building a more diversified and resilient earnings profile.

Impairment Charges and Losses

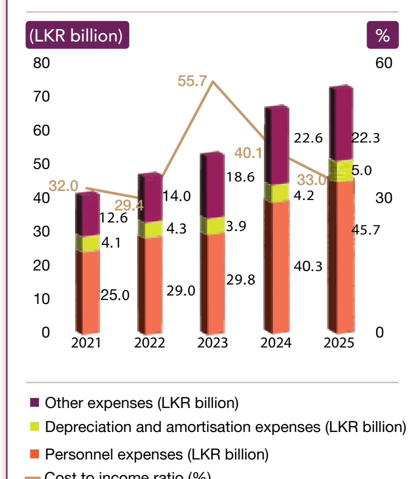
More conducive macroeconomic conditions prevailed during the year supported stronger repayment trends and a gradual strengthening of portfolio quality. Meanwhile, enhanced collection efforts, targeted business revival initiatives and robust credit monitoring contributed to the stabilisation of credit risk metrics across segments. Individually Significant Loan (ISL) exposures were subject to rigorous quarterly evaluation through a structured three-layer review process, with the Credit Risk Division of the Independent Integrated Risk Management Division (IIRMD) conducting independent assessments of each ISL customer. This strengthened oversight framework reinforces objectivity and enhance the robustness of impairment recognition. The improvement in the Bank's portfolio quality is evidenced by the reduction in the Stage 3 loan ratio from 7.2% to 5.6%.

The current year's impairment charge reflects the Bank's disciplined provisioning stance under the Expected Credit Loss framework. The Bank continued to maintain adequate provision buffers to absorb potential future credit losses, ensuring resilience of the balance sheet while supporting sustainable portfolio growth. As such, the impact from Cyclone Ditwah in view of the potential losses was also taken into consideration. Accordingly, total impairment charges for loans and advances amounted to LKR 20.7 billion, compared to LKR 12.4 billion reporting 66% increase compared to 2024. A net impairment charge of LKR 445.1 million was provided against investments and other losses compared to the year 2024 reversal of LKR 32.8 billion (the reversal of impairment recognised on International Sovereign Bonds in view of the conclusion of Debt Restructuring in December 2024). Consequently, overall impairment for loans and investments and other losses for the year amounted to LKR 21.1 billion against the net reversal of LKR 20.3 billion reported last year.

Operating Expenses

Cost to income ratio improved to 33% during 2025 from 40% reported in previous year. The Bank's revenue growth outpaced the increase in operating expenses, reflecting effective cost management. The overall cost increase is aligned with the Bank's strategic priorities of elevating customer experience and advancing digital excellence, underpinned by targeted investments in technology platforms, human capital and service infrastructure aimed at strengthening operational efficiency and long-term competitiveness. Accordingly, total operating expenses increased by 9% to LKR 73.0 billion during the year.

Cost Management



Personnel expenses, which remain the most significant cost component, rose by 13% to LKR 45.7 billion, reflecting continued investments in talent, capacity building and performance alignment. Depreciation and amortisation expenses increased by LKR 828.0 million to LKR 5.0 billion during the year while other operating expenses comprising administrative costs and fixed assets maintenance expenses declined marginally by 2% to LKR 22.3 billion, demonstrating cost discipline across discretionary expenditure.

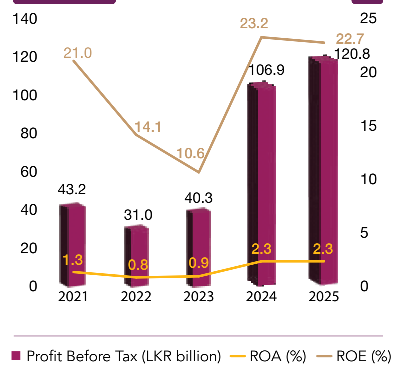
Taxation GRI 207-1

The Bank's continued tax contribution to the Government underscores BOC' s significant role in supporting national fiscal revenue while sustaining strong financial performance. The Bank's total tax expenses for the year, comprising Income Tax, Value Added Tax (VAT) on financial services and Social Security Contribution Levy (SSCL) amounted to LKR 76.7 billion for the year, reflecting an 8% increase compared to the previous year. With an effective income tax rate of 37% during the year, taxes on financial services increased by 12% to LKR 31.9 billion, in line with higher operating profit, while income tax amounted to LKR 44.8 billion, representing 5% YoY increase.

Profitability

During the year under review, Profit Before Tax increased by 13% to LKR 120.8 billion, while Profit After Tax rose by 18% to LKR 76.0 billion, reflecting strong core earnings and disciplined financial stewardship. Meanwhile, the Bank recorded a Return on Assets (ROA) of 2.3% and a Return on Equity (ROE) of 22.7%, underscoring its ability to generate superior shareholder returns while fulfilling its broader national responsibility.

Profitability



Other Comprehensive Income (OCI)

During the year, the Bank's net loss of OCI reduced to LKR 7.8 billion, a reduction of LKR 4.3 billion compared to the net loss of LKR 12.1 billion reported in 2024. This was primarily driven by exchange gains arising from the translation of foreign operations amounting to LKR 577.3 million compared to exchange losses of LKR 1.8 billion in 2024. Meanwhile, the settlement of SWAPs during the year resulted in a nearly LKR 2.9 billion reduction in cash flow hedge losses compared to the previous year, thereby positively impacting OCI. In parallel, the Bank reported a net actuarial loss of LKR 13.1 billion on its defined benefit plans, recording YoY reduction of 5% compared to the previous year.

FINANCIAL STRENGTH AND STABILITY

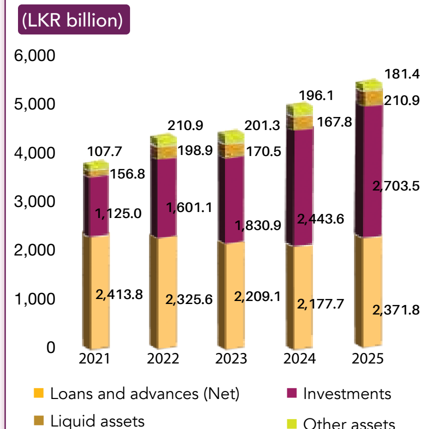
Assets

Enhancing the Bank's capacity to compete at scale and underpinning its standing as the leader in the domestic banking landscape, total assets expanded by 10% during the year, reaching the LKR 5.5 trillion milestone. The asset expansion reflected measured balance sheet growth in a stabilising operating environment. Growth was primarily driven by a strategic increase in investments in debt and other instruments, which grew by 11% to LKR 2.7 trillion, alongside 9% increase in net loans and advances to LKR 2.4 trillion. The asset mix consequently tilted towards debt and other investment instruments, which accounted for 48% of total assets, compared to 44% in the previous year, while net loans and advances represented 43% in 2025. This calibrated rebalancing underscores the Bank's disciplined approach to asset allocation, enhancing portfolio resilience through greater diversification while preserving earnings capacity.

Loans and Advances

The Bank continues to steward the largest loan portfolio in the banking industry, commanding the highest market share and reinforcing its position as the industry leader. Growth was managed with strategic prudence, with measured expansion in the first half of the year followed by a calibrated acceleration in the latter half, reflecting a disciplined approach to balancing market opportunity with prudent risk management.

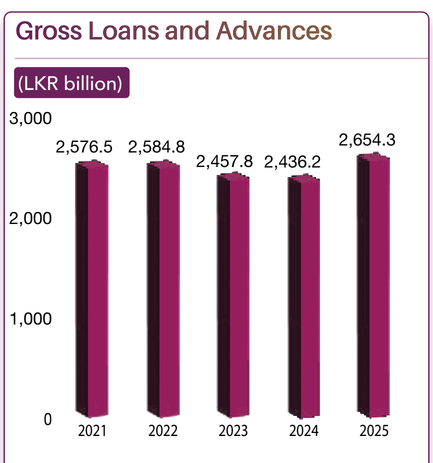
Asset Composition



The Bank's gross loans and advances grew by LKR 218.1 billion during the year to reach LKR 2.7 trillion reflecting the Bank's continued commitment to supporting productive sectors of the economy while maintaining disciplined credit standards.

FINANCIAL REVIEW

BOC continued to maintain its market leadership position, as the Bank manages the largest portfolio of loans and advances of the industry. In 2025, the Bank pursued cautious growth during the first half of the year, gradually accelerating its pace of expansion towards the latter part of the year. Term loans accounted for the largest share of 53% of total loans and increased by 4% during the year. This sustained emphasis on term financing underscores the Bank's role in facilitating long-term capital formation and driving economic activity. Lending to the private sector increased by 16%, reaffirming the Bank's contribution to business revival and enterprise growth. This included lending to the SME Sector which increased by 28% YoY to LKR 319.9 billion reflecting the Bank's commitment to inclusive growth and nurturing entrepreneurial ecosystems. Consumer lending including personal loans increased significantly during the year, reflecting the Bank's growing role. This growth reflects the Bank's growing role in providing timely liquidity support to households and micro-entrepreneurs during a year of gradual recovery.



Exposure to the Government and State-Owned Enterprises decreased by 2%, accounting for 29% of the total loan portfolio, compared to 32% at the end 2024. The overall loan book continues to demonstrate healthy diversification across corporate, SME and retail segments while maintaining balanced exposure across a broad spectrum of industry verticals.

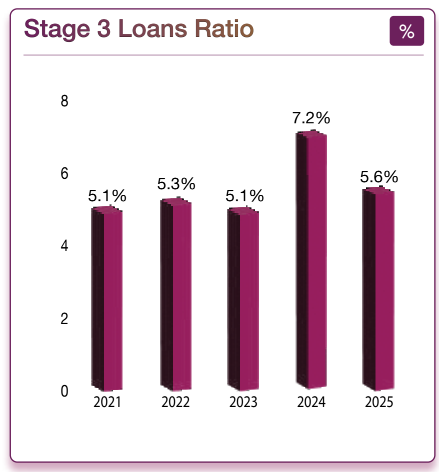
Asset Quality

Asset quality indicators improved during the year against the backdrop of strengthening macroeconomic fundamentals and gradually stabilising operating conditions. Nevertheless, the Bank adopted a deliberately prudent approach to impairment provisioning, recognising the potential vulnerabilities arising from sector-specific disruptions, including the adverse impact of Cyclone Ditwah.

A rigorous evaluation of Significant Increase in Credit Risk (SICR) was undertaken, particularly in respect of ISL customers. Facilities demonstrating objective evidence of impairment were appropriately migrated to higher stages in line with requirements in accounting standards. The Bank maintained management overlays to address emerging risks not fully reflected in model outputs, proactively migrating exposures in higher-risk industries to Stage 2, while also recognising specific provisions to mitigate potential credit losses arising from Cyclone Ditwah.

Impairment provisioning under Stage 1 increased by 39% due to prudent based provisioning for possible impact from Cyclone Ditwah and increased credit growth, while Stage 2 provisions rose by 28%, indicative of strengthened buffers for under performing exposures. Stage 3 provisioning recorded a modest increase of 2%, reflecting already identified stable coverage on credit-impaired assets.

SOE restructuring continued as an ongoing process during the year and several outstanding facilities were considered under that. However, the Bank has adopted a prudent approach and the provisions for these facilities have not yet been reversed and will be considered upon completion of post restructure monitoring. Notwithstanding these prudential measures, asset quality metrics improved during the year with the Stage 3 loan ratio declining to 5.6% from 7.2% in 2024, reflecting the effectiveness of recovery and collection initiatives and disciplined credit monitoring. Meanwhile, the Stage 3 provision coverage ratio strengthened to 57.9%, reinforcing the Bank's proactive provisioning philosophy and portfolio quality discipline.



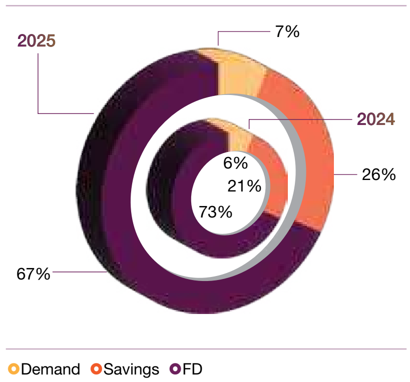
Funding Profile

The Bank's funding profile remained dominated by customer deposits, which funded 80% of total assets during the year. This reflects the Bank's extensive geographical footprint, established track record and the strength of its customer relationships. During the year, the Bank has strategically maintained the optimum funding mix and the borrowings have contributed to fund the 8% of the assets base by end 2025.

Deposits

Customer Deposits remained a key pillar of the Bank's funding strategy for the year, with total deposits increasing by 4% to LKR 4.4 trillion. This growth reflects the strength of the Bank's deposit franchise, underpinned by its extensive geographical footprint, enduring trust in the brand and the continued enhancement of digital capabilities that elevate customer convenience. Notably, demand and savings deposits expanded by a robust 28%, resulting in the CASA ratio improving to 33.2% from 27.0% in the previous year, thereby strengthening the Bank's low-cost funding base. In line with strategy adopted by the Bank, time deposits dropped by 5% over the year, in line with a conscious rebalancing of the deposit mix towards more granular and cost-efficient funding sources. Meanwhile, foreign currency deposits increased by 8% to LKR 918.8 billion during the year reflecting the trust placed by the migrated community on BOC.

Deposits Composition %



Liquidity

Liquidity management remained a central focus during the year, with the oversight exercised proactively through the Bank's Asset and Liability Committee (ALCO) framework and established internal procedures.

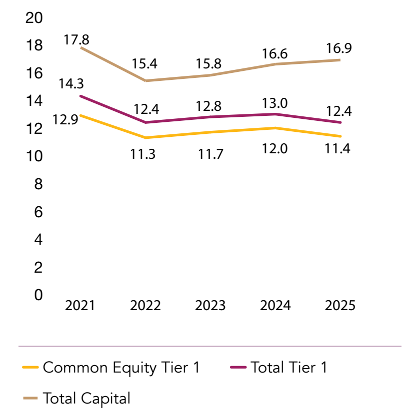
Despite loan growth outpacing deposit mobilisation during the year, the Bank successfully maintained adequate liquidity buffers through disciplined funding strategies and prudent balance sheet management. The Net Stable Funding Ratio stood at a robust 156.6%, well above the regulatory minimum requirement of 100%, while the Liquidity Coverage Ratio for all currencies was maintained at 260.4%, significantly above the statutory minimum of 100%, underscoring the Bank's strong short-term liquidity position and resilience against potential funding stresses.

Capital

Capital management continued to be guided by the Bank's Internal Capital Adequacy Assessment Process (ICAAP) and its structured Capital Augmentation Plan, ensuring that capital buffers remained commensurate with the evolving risk landscape and regulatory expectations. Total equity increased by 21% to LKR 365.8 billion, supported primarily by strong profit retention, with retained earnings growing by 11% to LKR 204.4 billion. During the year, LKR 730.0 million capital, which was recorded under the pending allotment, was transferred to the share capital following the relevant regulatory procedures. Other reserves expanded by 55% to LKR 116.5 billion, driven largely by the increase in the special reserve for restructured sovereign exposures to LKR 79.3 billion from LKR 39.9 billion. This prudent strengthening of reserves reflects a measured approach to safeguarding the balance sheet amid sovereign debt restructuring developments.

Capital adequacy ratios remained comfortably above regulatory thresholds, with the Common Equity Tier 1 Ratio standing at 11.4% (2024: 12.0%) and the Total Capital Ratio at 16.9% (2024: 16.6%), reflecting the Bank's continued capital resilience.

Capital Adequacy %



Shareholder Value Creation

As a fully state-owned institution, BOC continues to deliver sustainable returns to its sole shareholder, the Government of Sri Lanka, thereby strengthening its contribution to national development. During the year, Earnings per Share increased by 16%, while Net Asset Value per Share grew by 18%, reflecting enhanced shareholder value creation. In addition, the Bank declared and paid dividend of LKR 5.0 billion to the Government, resulting to LKR 194.33 Dividend Per Share underscoring the Bank's dual mandate of maintaining financial strength while supporting broader economic progress.

	2025	2024	2023	2022	2021
Earnings per share (LKR)	2,987.9	2,575.5	1,067.7	1,278.9	1,503.6
Net asset value per share (LKR)	14,216.9	12,102.4	10,068.6	10,167.4	8,030.4
Dividends per share (LKR)	194.3	-	6.9	13.9	73.9
Return on equity (%)	22.7	23.2	10.6	14.1	21.0

FINANCIAL REVIEW

Group Performance and Overseas Operations

By the end of 2025, the Bank comprised of nine subsidiaries and four associate companies engaged in a diverse range of activities spanning financial services, property management and leisure management, among other sectors. The Bank also operates a foreign subsidiary in United Kingdom (UK) that facilitates access to European markets, strengthening its international presence while providing valuable overseas exposure and development opportunities for employees.

All subsidiaries are governed under a formal Subsidiary Charter and are subject to an annual comprehensive performance evaluation. Their financial and operational performance is closely monitored by the parent entity, with regular reporting mechanisms in place. Risk dashboards of each subsidiary are reviewed by the Bank's Chief Risk Officer to ensure alignment with the Group's overall risk appetite and prudent risk parameters. In addition, each subsidiary and associate company includes Board representation from the Bank, ensuring that strategic direction and governance standards remain consistent with the expectations of the parent entity.

During the year, The BOC Management and Support Services (Private) Limited (MSS) was renamed as BOC IT Solutions (Private) Limited with a capital infusion of LKR 25.0 million in line with its strategic focus towards driving organisation-wide digitalisation. The Bank continues to represent the core of the Group's operations, accounting for approximately 98% of total Group assets. During the year, the Group recorded an 18% increase in profit before tax, reaching LKR 76.5 billion, reflecting improved performance across key operating segments and the continued strength of the Bank's primary business franchise.

STRATEGIC SHIFT AHEAD

Progress is not achieved through isolated moves, but through the dynamic alignment of multiple, interconnected dimensions. As a Rubik Cube's pivot, each turn influences the next, requiring agility, precision, and foresight to bring every element into balance. In a similarly evolving landscape, the Bank continues to recalibrate its strategic priorities, ensuring that financial strength, operational excellence, and long-term sustainability move in synchrony.

The operating environment transitioned into a phase of renewal, supported by improved political stability, greater policy consistency, and a gradual restoration of investor confidence. However, ongoing global uncertainties and geopolitical developments continue to demand vigilance and disciplined execution. Within this context, the Bank remains focused on reinforcing its core strengths while positioning itself to capture emerging opportunities with confidence and clarity.

Short Term

In the near term, priority is placed on strengthening resilience, preserving financial stability, and optimising performance. These measures are designed to reinforce the Bank's foundations, enabling it to remain responsive and adaptable in a shifting operating environment.

- **Sustaining portfolio quality through disciplined credit evaluation and prudent risk management practices.**
- **Enhancing cost discipline and improving KPIs to drive profitability while maintaining service excellence.**
- **Leveraging customer trust to maintain a stable deposit base and a well-balanced funding mix to support lending growth.**
- **Strengthening human and digital capital to improve agility, ensure regulatory compliance, and support evolving business needs.**

Medium to Long Term

Over the medium to long term, the Bank is advancing a deliberate transformation towards a more sustainable, inclusive, and digitally enabled future. This strategic direction builds on the foundations established during the year, translating early initiatives into scalable, long-term value creation.

- **Expanding support for environmentally responsible financing and broadening access to inclusive financial solutions, embedding sustainability deeper within the business model.**
- **Accelerating organisation-wide digitalisation to enhance customer experience, improve operational efficiency, and foster innovation across all touchpoints.**
- **Strengthening support for Micro, Small, and Medium Enterprises to stimulate economic growth, drive employment, and promote inclusive development.**
- **Advancing transparency and accountability through the adoption of SLFRS S1 and S2, integrating climate and sustainability considerations into core financial reporting.**
- **Enhancing subsidiary oversight through formal governance structures, Board representation, and integrated risk management frameworks aligned with the Bank's overall risk appetite.**

PERFORMANCE OF BUSINESS SEGMENTS

RETAIL BANKING

Retail Banking remains a cornerstone of the franchise of the Bank of Ceylon, supported by an extensive island wide branch network and an expanding digital ecosystem. Through accessible, customer-centric financial solutions, the division strengthens individual financial resilience, advances financial inclusion, and enables Micro, Small and Medium Enterprises (MSMEs) to participate more actively in the formal economy.

KEY STRENGTHS

- A robust customer base served through an extensive nationwide branches and service network.
- Strong leadership in MSMEs and development banking, supporting entrepreneurship and regional growth.
- Diversified retail lending portfolio serving individuals, youth, women, and MSMEs.
- Integrated branch digital banking model enhancing accessibility and service efficiency.
- Continued focus on financial inclusion through targeted community-based initiatives.
- Structured and responsible lending aligned with ESG principles.

OUTPUTS

- Deposits
- Loans and advances
- Transactional banking
- Development lending
- Financial inclusion

OPERATING CONTEXT

In 2025, the retail banking landscape reflected a steady recovery, supported by broader macroeconomic stabilisation following a period of volatility. Easing inflationary pressures and more accommodative monetary conditions contributed to a gradual improvement in consumer sentiment, translating into a measured pickup in demand for personal and MSME financing.

Retail lending activity regained momentum, particularly across individual customers and micro, small and medium enterprises, as confidence began to rebuild. Nevertheless, affordability considerations and evolving regulatory expectations remained central to credit decision-making.

Customers continued to demonstrate prudence in managing their financial commitments, shaped by the after effects of elevated interest rates and higher living costs in prior periods.

Against this backdrop, Retail Banking adopted a balanced and forward-looking approach, advancing growth while maintaining disciplined underwriting standards, enhanced risk assessment frameworks and vigilant portfolio monitoring to safeguard asset quality and long-term resilience.

Debt sustainability and portfolio resilience remained central to Retail Banking priorities during the year. Structured repayment solutions, strengthened credit assessments and closer monitoring of vulnerable borrower segments supported the preservation of asset quality, while enabling customers to navigate ongoing financial pressures.

Enhanced internal risk frameworks, supported by data-driven credit evaluation tools, facilitated the early identification of emerging stress within the portfolio, allowing for timely and targeted interventions.

Within a measured credit environment, Retail Banking continued to extend support to priority segments, including MSMEs, youth entrepreneurs, women-led businesses, and sectors such as renewable energy, exports and agriculture. This targeted expansion reflects the Bank's broader commitment to fostering inclusive economic recovery, while upholding prudent and responsible lending practices.

PERFORMANCE OF BUSINESS SEGMENTS

At the same time, strengthened deposit mobilisation and sustained CASA growth enhanced funding stability, reinforcing overall balance sheet resilience. Sustainability considerations remained integral to retail lending decisions, ensuring that credit expansion was aligned with responsible banking practices and national development priorities.

During the year, Cyclone Ditwah posed significant operational challenges to Retail Banking, with branch operations in several regions experiencing temporary disruptions due to infrastructure damage and power outages, limiting customer access to essential banking services. In response, the Bank acted swiftly to implement contingency measures, including the deployment of mobile banking units, the scaling up of digital channels and the provision of targeted relief and support to affected customers.

This experience underscored the critical importance of resilient operating frameworks, robust digital capabilities and proactive customer engagement in safeguarding financial inclusion and sustaining trust, particularly in the face of climate related disruptions.

PERFORMANCE AGAINST THE STRATEGY

Strategic Pillar	Risks	Opportunities	Strategic Response	Strategic Outcome
	• Greater competition for deposit retention • Disruption caused by environmental and other external events	• Growth potential in captive segments, SMEs, women-led businesses and youth entrepreneurship • Greater demand for sustainable financing and deposit products	• Extended facilities for youth and women-led business segments • Integrated sustainability principles into retail lending and portfolio governance • Preserved balance sheet resilience through diversified sector exposure and prudent capital allocation	• Achieved retail credit growth expanding financial inclusion and supporting economic growth • Expanded development lending aligned with national recovery priorities • CASA ratio improved consequent to boosting low-cost deposits
	• Increased competition in the financial services arena	• Gradual momentum in business confidence	• Expanded tailored retail products across youth, women, and MSME segments • Enhanced branch–digital integration to improve service delivery • Improved customer engagement initiatives	• Disbursed over LKR 9.0 billion under BOC Youth Loan Scheme, supporting more than 19,400 young entrepreneurs • Continued women-focused lending under BOC Mithuru and BOC Ranliya programmes with strong credit performance • Conducted SME advisory clinics and facilitated market access through trade fairs • Launched BizPlus Credit Card and BizLift Loan scheme
	• Risk of cyber security threats	• Increased acceptance of digital channels as a preferred mode of banking	• Expanded digital channels to enhance service access • Expanded automation in retail and MSME loan processing workflows • Strengthened digital security and data governance frameworks	• Increased digital transaction volumes across mobile and internet banking platforms • Reduced consumer loan processing time to one working day through process automation

Strategic Pillar	Risks	Opportunities	Strategic Response	Strategic Outcome
	• External disruptions and climate related vulnerabilities affecting repayment capabilities	• Gradual improvements in macro-economic and business conditions	• Strengthened credit monitoring and early warning mechanism • Continued structured repayment support for viable borrowers to enhance debt sustainability • Implemented CBSL mandated moratorium relief and extended additional concessionary support to disaster affected and economically stressed borrowers	• Reduced Stage 3 loans • Conducted 10 province level SME Clinics providing structured advisory and financing support • Successfully revived retail customers
	• Employee retention	• Ability to attract high performing talent • Upskilling and Capacity building	• Continued staff upskilling in MSME advisory, digital service delivery, ESG screening and risk evaluation • Promoted cross-functional collaboration between branch and Head Office teams	• Competent teams with enhanced skills and exposure • Introduction of Chairman's Award for Innovation

LOANS AND ADVANCES

During the year, retail lending showed consistent growth across housing, personal, SME, and development segments, driven by targeted concessionary and revival-focused financing programmes.

The Bank provided moratorium relief and low-interest loan schemes to assist businesses impacted by Cyclone Ditwah, while continuing structured capital expenditure financing through initiatives like BOC BizLift and SMELoC. Additionally, interest-subsidised loans to paddy millers and sector-specific financing enhanced agricultural productivity and reinforced national food security.

The following initiatives were introduced to provide relief to customers affected by the cyclone:

- Extended moratoriums and concessionary pricing to disaster affected customers.
- Provided BOC BizLift capex financing at concessionary rates.
- Offered interest subsidised financing to paddy millers to enhance agricultural productivity.
- Facilitated rescheduling and restructuring support on a case-by-case basis for impacted borrowers.

ESG considerations are systematically embedded within the Bank’s credit approval framework. ESMS practices were further institutionalised across the retail and development portfolio.

DEVELOPMENT LENDING

During 2025, the Retail Banking Division expanded its development lending portfolio through targeted national programmes aimed at strengthening MSMEs, youth and women entrepreneurship, green businesses, and disaster-affected enterprises.

PERFORMANCE OF BUSINESS SEGMENTS

National and development focused schemes

- National Credit Guarantee Loan Scheme (NCGLS)
- Development of Youth Entrepreneurs (Agriculture and Industry)
- SMELoC2 Revolving Fund Scheme
- MSME Disaster Relief Scheme – concessional working capital support to disaster affected MSMEs.

Innovation and emerging sector financing

- BizLift Loan Scheme
- BOC E-Creator Loan Scheme - Social Media Entrepreneurs
- BOC Green Loan Scheme – Financing renewable energy, recycling, waste utilisation and eco-friendly industries
- BOC Youth Loan Scheme – Collateral free entry financing for young entrepreneurs

The New Comprehensive Rural Credit Scheme (NCRCS); "Sarusara" was enhanced to strengthen rural and agricultural financing, while pledge facilities for commodity purchases were streamlined to improve working capital access for traders and producers.

EMPOWERING SME GROWTH

The Bank continued to play a leading role in supporting the SME sector by complementing credit with a comprehensive suite of non-financial services, including advisory support, training programmes and market access facilitation, aimed at building capacity, enhancing resilience and fostering sustainable growth. This integrated approach further strengthened the SME ecosystem, with the Bank's SME credit portfolio exceeding LKR 319.9 billion as at year end, reflecting a notable year-on-year growth of 28%.

BOC SME Circle continued to operate as a dedicated advisory and financing platform for MSMEs. Through this platform entrepreneurs can access professional guidance on business planning, market expansion, and operational challenges. This service also facilitates crucial linkages between SMEs, and Government institutions such as Export Development Board (EDB), Industrial Development Board (IDB), National Enterprise Development Authority (NEDA), Small Business Development Division (SED), and Industrial Technology Institute (ITI). This enhances access to resources and support systems beyond banking.

During 2025, the Bank conducted 10 **SME Clinics** across provinces, offering personalised and targeted solutions to SME entrepreneurs by addressing their specific business issues through individual consultations. Over 2,000 entrepreneurs were supported by this initiative integrating recovery, credit and rehabilitation expertise of internal and external institutions.

In parallel, the Development Banking Unit organised a three day **SME Trade Fair** at the Dutch Hospital premises with the participation of over 50 women entrepreneurs, enhancing market access and brand visibility.

Empowering Youth Entrepreneurship

BOC Youth Loan Scheme is a targeted financing initiative designed to empower young entrepreneurs by providing accessible funding, practical guidance and structured advisory support. In parallel, this initiative has promoted job creation, innovation, rural resource utilisation, and the production of import substitute goods.

Beyond capital, the scheme offers assistance in business planning, financial management and regulatory compliance by conducting online entrepreneurship development sessions via platforms such as WhatsApp and YouTube, helping young borrowers to build sustainable and scalable ventures. This initiative enables collaboration with key external institutions, enabling youth entrepreneurs to gain access to valuable technical and business development support.

By the end of 2025, the initiative has supported over 19,400 youth led enterprises, driving livelihoods and economic growth. Through a combination of financing and mentorship, the Youth Loan Scheme positions BOC beyond a lender; as a long-term partner nurturing the next generation of Sri Lankan entrepreneurs.

Supporting Women Entrepreneurs

Supporting women entrepreneurs remains a strategic priority for the Bank. Through targeted lending schemes such as **BOC Ranliya loan scheme, Siriliya Saviya loan scheme and Mithuru loans.** The Bank provided vital financing for women-led SMEs across manufacturing, services, tourism, and export oriented sectors, enabling business start-ups, expansion, and resilience amid economic challenges.

Beyond financing, advisory and capacity building platforms including the BOC SME Circle delivered training, mentorship, and market access support to ensure sustainable enterprise growth.

As a participant of financial institutions for the Women Entrepreneurs (WE) Finance Code in Sri Lanka, the Bank has committed to accelerate financing for women-led enterprises, by strengthening leadership, data and actions across the financial sector globally.

Green and Renewable Energy Financing

Green and renewable energy financing recorded strong growth in 2025, supporting Sri Lanka's renewable energy transition with specially designed loan schemes such as **Rooftop Solar loan scheme and Pensioners' loan scheme** to install solar power systems, **E-friends loan scheme, BOC Green loan scheme** and **Electric Vehicle (EV) leasing.**

These initiatives contributed to reduced carbon intensity, increased adoption of clean energy solutions, and strengthened environmentally responsible investments.

The Bank's continued leadership in SME and development banking was recognised through multiple national accolades during the year, reflecting its strong impact, innovation, and commitment to inclusive growth.

DEPOSITS

Retail deposits remained stable in 2025, supported by sustained deposit mobilisation across the retail and SME segments. Strengthened relationship banking and increased transactional engagement drove continued CASA growth, reinforcing funding efficiency alongside disciplined lending expansion.

The retail segment continued to anchor the Bank's funding base, accounting for 63% of total deposits. This included 82% of Local Currency (LCY) savings deposits and 77% of LCY demand deposits, resulting in 81% of LCY CASA being managed by the Retail Banking Division. The segment recorded a robust 31% year-on-year growth, reflecting sustained momentum and the strength of its customer franchise.

The BOC Mithuru groups provided an impetus to enhance financial inclusion and savings habits among under served communities. Deposit access was also extended to under served communities through BOC Connect agents and partnerships with Sri Lanka Post, broadening the Bank's outreach and advancing financial inclusion.

The Bank also continued to strengthen its diversified deposit offering through its pioneering Islamic Banking operations. BOC AN-NOOR offers profit-sharing deposit and financing solutions to corporate, institutional and individual customers. All products are certified for Shari'ah compliance and are accessible to customers of all faiths, reinforcing the Bank's commitment to ethical, inclusive and value-based banking practices.

During the year, the Islamic Banking Unit conducted a series of customer awareness initiatives and community investment programmes aimed at enhancing financial literacy, promoting ethical banking principles, and supporting sustainable socio-economic development. These efforts not only deepened engagement with customers and the wider community but also earned both international and local accolades in recognition of unwavering commitment to service excellence.

TRANSACTIONAL BANKING

In 2025, Retail Banking division continued to strengthen transactional banking capabilities expanding secure, cashless access and improving convenience and service efficiency for customers across the island through the following initiatives:

- Expanded BOC Connect agent network and Post Office partnerships to improve financial access in under served regions.
- Strengthened internet and mobile banking usage, supporting increased digital transaction volumes.
- Enhanced process automation across consumer and SME lending work flows, reducing turnaround times.
- Fostered financial inclusion through free account openings and debit card issuance for eligible segments.
- Continued expansion of cashless infrastructure including POS and digital payment channels.
- Strengthened digital security and data governance frameworks to support safe transaction growth.

PERFORMANCE OF BUSINESS SEGMENTS

The following focused initiatives collectively delivered a strong 34% year-on-year growth in card related business, reinforcing the Bank's expanding presence in the payments landscape.

- Launched a SME focused **BizPlus Credit Card** to facilitate seamless day-to-day business transactions, enhance working capital flexibility, and support the growth ambitions of entrepreneurs across the country.

- Prestige Credit Card tailored for professionals, High Net Worth customers, Prestige Plus Account holders, and customers of premier branches, offering exclusive privileges and differentiated value.
- Launched **BOC Rewardz Plus Loyalty Scheme** to promote increased card usage through attractive rewards and curated redemption options, delivering enhanced value and customer satisfaction.

BOC REWARDZ PLUS

WHERE WE ARE HEADED

Opportunities

- Expanding value-chain and sector focused financing initiatives to improve enterprise resilience.
- The continued expansion of trade finance, transactional banking, and digital payment solutions provides significant opportunities to strengthen fee-based income.
- Scaling green retail lending (solar, EV leasing) and expand financing for import-substitution and circular-economy businesses.
- Deepen SME ecosystem partnerships (EDB, IDB, NEDA, SED, ITI) for non-financial support and market linkages.

Risks

- Affordability pressures and cautious borrower behaviour could constrain retail credit demand and repayment capacity.
- Regulatory tightening and evolving CBSL policy requirements.
- Credit risk pressures from vulnerable MSME and disaster-affected segments.
- Cyber security risks amid increasing digital transaction volumes.

STRATEGIC SHIFT AHEAD

Short Term

- Scaling value-chain financing across priority sectors including dairy, agriculture, and industry by establishing Agri Banking Unit.
- Establishing entrepreneur hubs in each province to support entrepreneurs and MSMEs to create greater financial inclusivity.
- Establishing trade finance units in each province to deepen advisory and transaction capability.
- Strengthening sustainable financing for renewable energy, electric vehicles, and waste management solutions.

Medium to Long Term

- Adopting emerging sector wise focus to deliver targeted financing and customised solutions to high growth industries.
- Enhancing service quality via faster turnaround, improved engagement levels and tailored service offerings.
- Accelerating digital, paperless loan processing with automated turnaround-time monitoring.

CORPORATE AND OFFSHORE BANKING

Bank of Ceylon's Corporate and Offshore Banking division empowers Sri Lanka's private sector, large corporates and the state sector institutions with tailored financial solutions that drive business expansion, trade and strategic national projects. By combining sector expertise, disciplined risk management, and digital excellence, the Bank ensures its customers achieve growth while contributing to the nation's economic development.

KEY STRENGTHS

- Market-leading corporate lender with deep sectoral penetration across the Sri Lankan economy.
- Strong offshore banking capabilities supporting cross-border trade, foreign currency financing, and international clients.
- Enduring partnerships with state institutions, large corporates, and export-oriented enterprises.
- Recognised leadership in structured trade finance, syndicated lending, and project financing.
- Mandatory ESG screening embedding sustainability within portfolio decisions.
- Robust portfolio governance supported by disciplined monitoring, stress testing, and sector risk assessment frameworks.

OUTPUTS

- Corporate lending
- Offshore banking
- Project financing
- Trade finance and services
- Customer deposits
- Premier banking
- SOE relationships

OPERATING CONTEXT

In 2025, the operating environment reflected gradual macroeconomic stabilisation, supported by easing interest rates and improving external trade conditions. However, private sector investment sentiment remained measured amid global economic volatility, geopolitical uncertainties, and evolving regulatory expectations.

Corporate credit demand was selective, with stronger momentum in trade finance and working capital facilities.

Export-oriented businesses and BOI-approved entities demonstrated renewed activity as supply chains stabilised and international demand strengthened.

Heightened regulatory discipline and governance oversight continued to influence lending decisions. Large exposures were subjected to enhanced risk assessments and ESG screening, reinforcing prudent portfolio management and safeguarding asset quality.

Despite a cautious investment climate, the Bank maintained its strategic commitment to nationally significant sectors including renewable energy, pharmaceutical manufacturing, tourism, infrastructure, and export-driven industries through structured project financing solutions. Concurrently, offshore banking operations strengthened regional connectivity, enabling seamless cross-border transactions and supporting internationally incorporated entities with foreign currency liquidity and treasury solutions.

PERFORMANCE OF BUSINESS SEGMENTS

PERFORMANCE AGAINST THE STRATEGY

Strategic Pillar	Risks	Opportunities	Strategic Response	Strategic Outcome
	• Volatility in global and domestic trade flows • Regulatory changes • Concentration risk in large-ticket lending	• Economic revival • Renewed confidence in business environment • Strengthen public finance and governance	• Strengthened governance in credit approvals and monitoring of settlements • Diversified sector exposures • Maintained disciplined capital allocation • Integrated viability and sustainability assessments for operations	• Growth in private sector loan portfolio • Enhanced trade finance operations • Increased ESG awareness with trained staff and ESMS compiled loans
	• High bargaining power of corporate customers • Competition from agile financial institutions	• A diversified products and service portfolio for structured and customised solutions • Growth prospects with industry and customer relationships	• Strengthened sector-focused relationship management • Streamlined approval and service processes • Deepened engagement with key industry partnerships • Focused comprehensive value chain solutions • Enhancing service delivery with technology • Conducted several customer felicitation programmes to strengthen customer relationships	• Launched BizLift loan scheme • New customers on-boarded through Export Circle • Introduced discounting of accepted export bills drawn on other banks • Strengthened collaboration with Sri Lanka Export Development Board and Sri Lanka Customs, improving trade flows, regulatory compliance, and efficiency for exporters and importers
	• High operational costs • Cybersecurity risks	• Demand for digital trade and cash solutions • Seamless market access	• Enhanced digital product suite to accommodate emergent demand • Automated loan processing and portfolio monitoring • Integrated trade finance channels to provide end-to-end trade services	• Launched BizPlus credit card for exporters • Introduced Fuel Card for SOEs • Obtained SWIFT ISO Compliance for Trade Operations

Strategic Pillar	Risks	Opportunities	Strategic Response	Strategic Outcome
	• Elevated credit risk in large exposures • Sector-specific risks	• Gradual improvement in the Macro economic condition and increased credit demand • Regulatory scrutiny on asset quality • Demand for ESG compliant lending policies	• Strengthened early warning and risk review mechanisms • Structured portfolio monitoring and enhanced governance oversight • Applied ESG criteria for credit evaluation	• Reduced Stage 3 loans • Successfully restructured long due SOE facilities • Screening of credit facilities through ESMS framework • Reviewed and updated policies and guidelines to ensure compliance
	• Talent retention challenges • Increasing complexity of transactions	• Human resources with high skills and capabilities • Strengthening the teams with new recruits	• Invested in continuous capacity building • Strengthened collaboration across business and risk teams • Performance accountability and service excellence	• Local and overseas training on technical and skill development • Upskilling of all credit officers on environmental screening of credit proposals

CORPORATE AND OFFSHORE BANKING

The Corporate Banking segment consists of the corporate clientele of the Bank. The Offshore banking division serves as a cornerstone for supporting Sri Lanka's key export-oriented and internationally based companies engaged in vital sectors such as shipping, apparel, pharmaceuticals, and other trade-driven businesses. This segment relies on BOC's specialised offshore banking services to efficiently manage foreign currency flows, facilitate cross-border transactions, and to access structured trade finance solutions.

Through these services, the Bank enables enterprises to strengthen their global competitiveness, optimise working capital, and mitigate currency risks for sustainable growth in export-driven industries. By serving this segment, the Bank not only facilitates operational resilience but also contributes directly to the country's foreign exchange generation and economic stability.

As a trusted financial partner, BOC's offshore banking operations continue to underpin Sri Lanka's engagement with global markets, supporting strategic industries while reinforcing the Bank's commitment to national economic development and international trade excellence. In 2025, the Bank strategically steered its credit portfolio to support national development. A strong focus on private sector lending enabled the Bank to channel finance toward productive sectors such as exports, import substitutes, and agriculture, generating employment and stimulating economic activities. Recognising the challenges faced by businesses, the Bank initiated a cash flow–based lending framework, allowing viable enterprises to regain stability and access credit based on demonstrated repayment capacity.

Amid new US tariffs, timely financial assistance and advisory support helped affected customers maintain business continuity, reflecting the Bank's commitment to resilience and client partnership. Financing was prioritised for sectors with long-term growth potential, including renewable energy, pharmaceuticals, apparel industry and tourism, aligning with national priorities. With the gradual relaxation of import restrictions, the Bank also expanded support for priority imports, contributing to Government revenue and fostering broader economic and social stability.

To enhance operational efficiency, turnaround times, and risk management, the Bank implemented ongoing technology and process improvements across lending and trade finance operations.

PERFORMANCE OF BUSINESS SEGMENTS

In parallel, the launch of **BOC BizLift Loan Scheme** marked a strategic initiative to support SMEs and corporates for the expansion, modernisation, and transition towards sustainable growth models. The scheme enables businesses to strengthen operational capacity, enhance competitiveness, and scale strategically in evolving market conditions.

These measures, combined with targeted sector support, underpinned strong growth in the private sector loan portfolio and reinforced the Bank's role as a catalyst for sustainable economic development.

The Bank integrates Environmental, Social, and Governance (ESG) factors into credit analysis to promote responsible and sustainable lending.

PROJECT FINANCING

The Project Financing Unit continued to support national development by extending long-term funding for large-scale projects across energy, manufacturing, agriculture, tourism infrastructure, and export-oriented industries. Emphasis was placed on renewable energy and environmentally responsible projects, alongside tailored financing solutions for strategic sectors such as pharmaceutical manufacturing.

Key projects funded;

These initiatives facilitated greater private sector participation, generated employment, stimulated regional economic activity, and enhanced foreign exchange earnings. The Unit strengthened project appraisal, structuring, and execution while deepening sector-specific engagement, ensuring disciplined growth and effective implementation aligned with national sustainability objectives.

TRADE FINANCING

During the year, trade finance operations delivered a strong performance, marked by a notable increase in export volumes and the highest number of Letters of Credit (LCs) opened in the history. This growth was underpinned by the successful onboarding of new exporters, reinforcing the Bank's position as a trusted partner in facilitating Sri Lanka's international trade.

The Bank pursued a multi-pronged strategy to strengthen trade finance income and expand its customer base. The **BOC Export Circle** played a central role in engaging new customers, including start-ups, SMEs, and corporates involved in export-oriented activities. Outreach efforts focused on providing timely, customised financial solutions to businesses of all scales, with particular emphasis on high-potential, value-added sectors such as eco-friendly products, organic and dehydrated foods, and Ayurveda-based herbal products aligned with global demand trends and national export priorities.

Proactive engagement included direct visits to exporters, fast trade onboarding and expedited loan approval process, which led to the approval of new export facilities and loan disbursements amounting to over LKR 700.0 million. These interventions enabled SMEs to enhance production capacity, optimise working capital, and scale international operations. Export remittances facilitated during the year accorded notable upsurge, reflecting the tangible contribution of these initiatives to foreign currency inflows.

The Bank enhanced staff competencies through structured training programmes ensuring technical proficiency and superior service delivery. To improve transaction efficiency and customer convenience, greater utilisation of the **BOC Trade Channel (BTC)** was promoted.

Industry exhibitions, targeted marketing campaigns, and trade-focused workshops conducted in collaboration with the Sri Lanka Export Development Board and key Ministry stakeholders further strengthened brand visibility and client engagement. These initiatives improved import and export processing efficiency, reinforced integration with client supply chains, and strengthened offshore trade services for BOI-approved and internationally incorporated entities.

In 2025, the introduction of **Discounting for accepted export bills drawn on other banks** improved liquidity access for exporters, reinforcing the Bank's commitment to providing end-to-end trade finance solutions.

Through these combined efforts, the Export Circle strengthened its role as a strategic driver of export-led growth, deepening relationships with both SME and corporate exporters.

The Bank's focused initiatives contributed to expanding its export portfolio, enhancing operational efficiency, and solidifying its position as a key enabler of Sri Lanka's international trade.

STATE OWNED ENTERPRISE (SOE) RELATIONS

State Owned Enterprises (SOEs) play a vital role in Sri Lanka's economic and social infrastructure, operating across energy, transport, utilities, and other nationally significant sectors. As a long-standing financial partner to these institutions, the Bank has supported their operational continuity and strategic development.

Recent amendments to the Banking Act Directions issued by the Central Bank of Sri Lanka represent an important step in strengthening the regulatory and governance framework governing exposures to the Government of Sri Lanka and State-Owned Enterprises (SOEs). These measures reflect the continued evolution of the financial system towards transparency, resilience, and prudential discipline.

This amended regulatory framework provides clearer parameters for the structuring of financing arrangements, particularly in instances where the borrower is the sovereign or a state entity. In this context, the Banks are encouraged to adopt prudent risk management approaches and structured financing solutions that align with the strengthened regulatory environment.

SOEs play a vital role in sustaining key sectors that are integral to the country's economic and social infrastructure. These include energy, water, healthcare, construction, and transport sectors that are critical to national development, economic continuity, and public service delivery. Recognising their strategic importance, the Bank remains committed to supporting these essential segments of the economy through well-structured, responsible, and sustainable financing solutions, within the parameters of the regulatory framework.

The Bank provided tailored financial solutions to SOEs, including innovative initiatives such as the SOE Fuel Card, designed to enhance operational efficiency and liquidity management. The Bank also played an active role in restructuring some SOEs, demonstrating its dedication to strengthening institutional performance and supporting sustainable growth in the public sector.

As Sri Lanka continues to advance its fiscal consolidation and institutional reform agenda, the Bank will continue to work constructively within the strengthened regulatory environment while supporting nationally significant sectors that drive economic stability, and long-term national progress.

WHERE WE ARE HEADED

OPPORTUNITIES

- Gradual recovery in private sector credit demand as investment cycles regain momentum.
- Continued momentum in tourist arrivals and potential to develop the tourism sector.
- Growth in renewable energy, industrial, and priority sector project finance.

RISKS

- Global volatility, geopolitical tension, imposition of tariffs/ trade barriers and foreign exchange movements impact trade flows and borrower confidence
- Slower execution of large-scale corporate projects affecting credit expansion.
- Managing concentration risk within state sector and large exposure portfolios.

STRATEGIC SHIFT AHEAD

Short Term

- Greater focus on renewable energy and export driven businesses.
- Accelerating loan management automation to improve turnaround time and service efficiency.
- Introducing cash management solutions to corporate customers.
- Expanding export circle services through province level export forums.

Medium to Long Term

- Expanding Export Circle ecosystem to deepen engagement with emerging exporters, while enhancing structured trade advisory, market intelligence, and cross-border facilitation capabilities.
- Intensifying focus on renewable energy and strategic manufacturing project finance, aligning capital allocation with national development priorities and sustainable economic transformation.
- Enhancing offshore trade and treasury capabilities to position BOC as a regional corporate banking partner.
- Enhancing business opportunities through strategic investment moves of the country.

PERFORMANCE OF BUSINESS SEGMENTS

INTERNATIONAL, TREASURY, INVESTMENTS AND OVERSEAS OPERATIONS

This cluster manages the Bank's foreign currency transactions, liquidity, and fund management to drive strategic investments whilst strengthening financial resilience. It also oversees the network of overseas branches, extending BOC's international presence. Together, these functions ensure operational excellence and sustained value creation.

KEY STRENGTHS

- Healthy liquidity with strong reserves supported by the Government securities and stable credit-to-deposit ratios.
- Prudent investment and hedging strategies.
- Remittance market leader with the largest market share.
- Global connectivity with over 800 correspondence relationships to facilitate cost efficient cross-border transactions.
- Facilitating convenient and uninterrupted trade settlements.
- Investment banking strength demonstrated by raising Tier II capital via issuance of;
  - o LKR 15.0 billion BASEL III-compliant debentures.
  - o LKR 20.0 billion landmark BASEL III compliant sustainability bond.
- Customer-centric digital service with faster, more accessible banking delivered through enhanced digital solutions.

OUTPUTS

- Liquidity Management
- Asset and Liability Management
- Deposits and inward remittances
- Investment banking services
- Treasury products
- Overseas operations

OPERATING CONTEXT

Building on the stabilisation achieved in the preceding year, the year 2025 marked a period of consolidation and measured expansion for the financial sector in Sri Lanka. With economic reforms gaining traction under the extended fund programme with the International Monetary Fund (IMF), the operating environment gradually transitioned from recovery mode towards growth enablement, supported by improved investor confidence, easing external sector pressures, and strengthening macroeconomic fundamentals.

Thus, the economic landscape continues to be shaped by a delicate balance between external sector recovery and structural vulnerabilities. The exchange rate remains market-driven under the oversight of the Central Bank of Sri Lanka, with periodic interventions to smooth volatility and rebuild reserves. Following significant depreciation, the Sri Lankan rupee has shown relative stabilisation, though it remains sensitive to import demand, capital flows, and global dollar strength.

Foreign exchange reserves have improved from crisis position, supported by multilateral programme inflows, domestic foreign exchange purchases, and stronger current account performance. However, reserve adequacy remains a strategic priority. Continued engagement with institutions such as the IMF, World Bank, and Asian Development Bank has been instrumental in anchoring policy credibility and strengthening external buffers. Workers' remittances have re-emerged as a critical pillar of FX liquidity, recording sustained growth and consistently strong monthly inflows. Together with the recovery in tourism earnings, remittances have improved market confidence, supported reserve accumulation, and reduced pressure on the currency.

Within this context, Treasury and International Banking operations, operate in a framework that prioritises foreign exchange liquidity resilience, prudent balance sheet management, active monitoring on market volatility, and diversified correspondent and funding relationships. Managing funding costs, safeguarding survival horizons under stress scenarios, and maintaining robust risk governance remain central for forward-looking liquidity management.

PERFORMANCE AGAINST THE STRATEGY

Strategic Pillar	Risks	Opportunities	Strategic Response	Strategic Outcome
	• Adverse global market movements • Challenges in navigating regulatory frameworks and operational complexities • Climate change and environmental disruptions	• Stability in market conditions • Increased demand for remittance inflows through formalised channels • Improved international relations and funding flows • Greater demand for sustainability linked debt instruments • Opportunities under developments in overseas markets	• Disciplined asset – liability optimisation by aligning balance sheet strategies with interest rate cycles and funding dynamics • Streamlined operations, digital transformation and robust governance • Limit frameworks were reviewed and recalibrated to reflect market conditions, balance sheet size, and risk appetite • Integrate sustainability principles into financing strategy • Enhanced performance of overseas branches through standardised process and procedures	• Improved Net Interest Margins amid a rigid interest rate environment • Successful management of risks associated with exchange rate volatility • Maintained strong capital buffers above regulatory requirements • Launched a landmark BASEL III compliant sustainability bond of LKR 20.0 billion
	• Heightened competition levels	• Strong demand from migrant workers to remit money through speedy and efficient formal channels • Strengthen investor confidence • Innovative investment and treasury products and services	• Greater collaboration with interbank units to structure prudent transactions • Strengthened remittance ecosystem • Enhanced investment banking services • Strengthened overseas customer relationships	• Increased volumes and values of inward and worker remittances • Expanded credit facilities in Maldives, Seychelles, and Chennai • Nurtured stronger relationships through customer engagement activities
	• Challenges in implementation of IT projects in overseas environments • Cybersecurity and data protection risks	• Leverage AI and advanced analytics for decision making • Greater customer adoption for digitalisation	• Introduction of Treasury management system and real-time dashboards • Enhanced remittance digital ecosystem • System upgrades to enhance service delivery in overseas branches	• Improved efficiency, risk oversight, and timely treasury insights • Launched 'Smart Remit Mobile App' • Chennai - Automation of standing order procedure with other banks in India • Maldives - Automation of inward remittances through FTI System • Comprehensive AML and CFT system solutions for Maldives and Seychelles branches
	• Adverse local, and global economic environment • Cross-border limitations for credit and funding flows	• Credit growth in migrant worker and high net-worth segments • Expansion in overseas credit portfolio	• Expanded credit facilities for migrant workers and high net-worth clients • Expanded overseas credit operations • Strengthened monitoring of Stage 3 loans in overseas branches	• Over 5,000 pre-departure loans for migrant workers • Growth in overall credit portfolio • Reduction of Stage 3 loan portfolio in overseas branches

PERFORMANCE OF BUSINESS SEGMENTS

Strategic Pillar	Risks	Opportunities	Strategic Response	Strategic Outcome
	• Talent retention and acquisition	• Availability of highly technical and skilled human resources	• Specialised training for staff to upskill and build competencies • Regular productivity enhancement initiatives	• Enhanced staff strength across overseas branches • Enhanced competency and skills of the BOC team

INTERNATIONAL DIVISION

The International Division of the Bank plays a pivotal role in advancing the national mandate by safeguarding foreign currency inflows, strengthening global financial connectivity, and facilitating seamless cross-border transactions. Through a structured global network and specialised operational framework, the Division ensures the steady availability of foreign currency liquidity, critical not only to the Bank's operational resilience but also to Sri Lanka's external sector stability.

Bank of Ceylon maintains the country's largest correspondent banking network, comprising over 800 correspondent relationships worldwide. This extensive network enables efficient trade settlements, supporting importers and exporters in executing international transactions smoothly while reinforcing national trade flows and foreign exchange circulation.

Beyond its commercial mandate, the Bank remains deeply committed to the Sri Lankan migrants working overseas. With more than 30 **Business Promotion Officers** deployed across 11 countries, the International Division actively promotes financial inclusion among migrant communities, provides advisory support, and encourages responsible financial management practices. This global presence strengthens engagement with overseas Sri Lankans while fostering sustainable remittance inflows.

In 2025, the Bank further consolidated its leadership in inward remittances, capturing a significant market share, reflecting strong growth in both volume and value. This performance underscores the trust placed in BOC by Sri Lankans worldwide and reflects the effectiveness of the Bank's targeted market strategies and service enhancements.

During the year, the International Division expanded its global footprint while diversifying remittance channels across priority corridors. The enhancement of digital remittance capabilities through the **Smart Remit mobile platform** broadened accessibility, enabling customers to transfer funds conveniently via international card networks. Automation of remittance processing and trade settlement functions further reduced turnaround times, improved accuracy, and enhanced scalability in managing growing transaction volumes. In parallel, the International Division enhances customer convenience through Multi Currency Travel Cards and Travel Desk Operations at Head Office and exchange counters at International airports of Sri Lanka.

Customer engagement remained central to the Bank's strategy. Incentive-driven initiatives such as **"Pita-Pita Rata Thegi – Season 4"** strengthens migrant relationships. Complementary business awareness programmes including the **BOC Ran Kahawanu Programme, Ethera Methera TV Programme** conducted in collaboration with the Sri Lanka Bureau of Foreign Employment (SLBFE) reinforced outreach efforts and encouraged greater formal channel utilisation.

As a customer-centric financial partner, the Bank continued to offer comprehensive financial solutions tailored to migrant workers. Recognising the distinct financial lifecycle of overseas employment, the Bank extended more than 5,000 pre-departure credit facilities during the year, ensuring financial support at every stage of their journey. These structured facilities empower migrant workers to pursue their aspirations while contributing meaningfully to Sri Lanka's economic progress.

The International Division's **Foreign Circle**, a dedicated customer service unit, further enhanced service excellence by revitalising **My Sri Lanka Deposit Scheme,** managing customer inquiries promptly and onboarding new customers during the year. Through responsive, relationship-driven engagement, the Foreign Circle reinforces BOC's commitment to delivering a world-class banking experience to Sri Lankans across the globe.

TREASURY

The Treasury Division plays a pivotal role in safeguarding the Bank's financial stability, liquidity strength, and risk resilience. During 2025, Treasury Division acted as a catalyst in reinforcing balance sheet optimisation while supporting national economic priorities amid a gradually stabilising yet still evolving macroeconomic landscape.

Operating within the accommodative policy framework of the Central Bank of Sri Lanka, Treasury dynamically managed asset yields and funding costs through calibrated shifts between fixed and floating rate instruments. Strategic repricing of interest-sensitive assets and liabilities contributed to notable growth in net interest income. Interest rate exposures were continuously assessed through gap analysis, duration tracking, and sensitivity evaluations under the oversight of the Asset and Liability Committee (ALCO), ensuring disciplined balance sheet positioning across rate cycles.

The Bank maintained capital ratios comfortably above regulatory thresholds, strengthening its capacity to absorb shocks while sustaining growth momentum. Liquidity buffers remained robust across both local and foreign currencies, preserving operational stability and customer confidence even during periods of market volatility. The relative stabilisation of currency movements compared to prior years enabled more effective treasury optimisation, while continuing to support national efforts to enhance foreign currency liquidity and external sector sustainability.

Throughout the year, Treasury sustained a disciplined focus on asset-liability optimisation, aligning funding structures and investment strategies with evolving market conditions. The Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR) remained comfortably above regulatory requirements, reflecting prudent stewardship and resilient liquidity management. This strengthened foundation supported measured credit expansion across priority economic sectors.

Investments in Government securities and securities under resale agreements continued to underpin asset growth and liquidity strength. Duration was carefully balanced across short- and medium-term instruments to optimise yield while mitigating interest rate risk. Foreign currency exposures were tightly managed within approved limits through continuous monitoring of net open positions and contingent exposures. Forward contracts and currency swaps were actively utilised to manage exchange rate volatility and protect transaction flows, ensuring the Bank's ability to meet international obligations and customer requirements.

Funding optimisation remained anchored on a stable customer deposit base, complemented by selective market funding aligned with foreign currency asset growth to achieve natural hedging and minimise roll-over risk.

A comprehensive market risk framework governed exposures across interest rate, foreign exchange, equity, and debt markets. The framework integrates stress testing, Value-at-Risk (VaR) monitoring, stop-loss thresholds, and Board-approved risk appetite parameters. Close coordination between Treasury, the Integrated Risk Management Department, and ALCO enabled agile responses to evolving macroeconomic and regulatory conditions.

During the year, a comprehensive treasury management system and real-time dashboards were introduced to further enhance oversight and decision-making. These tools strengthened liquidity planning, improved transparency, and enabled proactive monitoring of market, liquidity, and interest rate risks reinforcing disciplined balance sheet management and institutional resilience.

INVESTMENT BANKING

The Investment Banking Division remained steadfast in delivering innovative financial solutions while creating sustainable value for stakeholders. The year was marked by landmark achievements that underscored BOC's strategic leadership in deepening Sri Lanka's capital markets and strengthening the Bank's financial foundation.

The division manages a diversified portfolio across trustee-custodial, wealth management, and proprietary investment activities. Trustee and Custodian Services remained a core strength, reflecting strong client confidence and long-term mandates. Proprietary investments were actively managed across equities, debentures, bonds, and unit trusts, while wealth management portfolios recorded a steady growth supported by disciplined advisory and portfolio management strategies.

In parallel, the Division provides corporate advisory services under the **Corporate Finance Advisory License** and actively managed wealth management portfolios under the **Investment Manager Licence** granted by the Securities and Exchange Commission of Sri Lanka, ensuring disciplined portfolio construction, prudent risk management, and consistent value creation for clients.

A dedicated **Wealth Management Unit** was established to accelerate growth in this segment, supported by a specialised team with expertise. This strategic enhancement deepened advisory capabilities and broadened tailored investment solutions for high-net-worth and institutional clients.

The Division further strengthened its capital market presence by obtaining **Professional Clearing Member** status of CSE Clear (Pvt) Ltd., enhancing operational efficiency, execution capabilities, and service delivery across trading and settlement functions.

The key milestone of the division in 2025 was the issuance of Basel III–compliant Sustainability Bond which has successfully raised LKR 20.0 billion to finance social and green projects such as renewable energy,

PERFORMANCE OF BUSINESS SEGMENTS

energy efficiency, sustainable water and waste management, as well as social sectors such as agriculture, MSME financing, healthcare, education, and basic infrastructure. Prior to the issuance of the sustainability bond, the Bank mobilised LKR 15.0 billion through Basel III–compliant, Tier 2 Listed, Rated, Unsecured, Subordinated, Redeemable five-year Debentures with a Non-Viability Write Down feature, further strengthening the Bank's capital structure.

The division remains committed to acting in the best interests of its clients, upholding integrity and transparent business practices in strict adherence to the regulatory frameworks of the Colombo Stock Exchange, Securities and Exchange Commission of Sri Lanka, and Central Bank of Sri Lanka, supported by robust internal controls and governance mechanisms.

Investment decisions integrate environmental, social, and governance risk assessments into the evaluation process. During the year, the Division successfully structured the Sustainability Bond issuance in alignment with the Bank's Sustainable Finance Framework, demonstrating leadership in responsible finance and reinforcing its commitment to sustainable capital market development.

Collectively, these achievements reaffirm the Investment Banking Division's role as a strategic enabler of capital market development and a key contributor to long-term stakeholder value creation.

OVERSEAS BRANCHES

Bank of Ceylon's strategic overseas branches in Chennai, Maldives and Seychelles serve as vital extensions of the Bank's domestic strength, reinforcing its international footprint and enhancing global connectivity.

Chennai Branch

The Chennai Branch commemorated its 30th anniversary of continuous operations in India. The occasion was observed through multi-religious blessings, a tree-planting initiative symbolising sustainability, and a blood donation campaign that fostered deeper engagement with staff and customers. Special fixed deposit products were also introduced to mark the anniversary.

Operationally, the Branch supported value-added industrial growth through key project financing, notably funding the establishment of a modern cashew processing and exporting facility at SIPCOT Industrial Park, Tindivanam.

During the year, the Branch strengthened its technological and operational infrastructure by implementing Disaster Recovery site, upgrading Anti-Money Laundering (AML) and Structured Financial Messaging System (SFMS), automation of standing order procedure with other banks in India and aligning cheque clearing operations with Continuous Cheque Clearing Framework of Reserve Bank of India.

Chennai Branch has evolved into a key pillar of the Bank's international operations and the only Sri Lankan banking presence in India. For three decades, it has served as a reliable conduit for trade, investment, and remittances, enabling smoother financial flows and deeper regional integration.

Maldives Branch

During 2025, the Maldives Branch adopted prudent balance sheet management measures in response to prevailing economic conditions, including repricing deposit liabilities, optimising the Government securities portfolio, and strengthening long-term funding sources. Lending remained focused on viable tourism, real estate, and infrastructure projects, reinforcing the Bank's leadership in resort and development financing.

Several large-scale hospitality and commercial developments were financed during the year, further consolidating the Branch's position as a key partner in Maldives' tourism-driven economy. At the same time, system enhancements including AML and compliance upgrades, remittance automation, and swift compliance strengthened operational resilience and regulatory alignment.

Despite foreign currency constraints and repatriation challenges, the Branch delivered robust financial performance, contributing significantly to the Group's overseas profits. Worker remittances, merchant and card operations, offshore banking synergies, export circle coordination and syndicated financing continued to generate meaningful value for Sri Lanka.

Seychelles Branch

The Seychelles branch strengthened its operations through a combination of strategic customer management, stakeholder engagement, and technological advancements.

The Branch further reinforced its presence and relationships in Seychelles through visits by key officials who met with regulators, high-net-worth customers, the Sri Lankan High Commissioner, peer banks, and other stakeholders. These interactions not only enhanced trust and collaboration but also strengthened the branch's reputation as a proactive and customer-focused institution.

In line with regulatory and technological requirements, the Branch deployed a new AML Solution to enhance anti-money laundering monitoring and successfully completed the conversion from MT to MX messaging, enabling the implementation of the RTGS system and the SEFT MQ upgrade in compliance with the Central Bank of Seychelles automation process.

Community engagement remained a central part of the branch's activities during the year with a blood donation programme organised by the Sri Lanka-Seychelles Friendship Association and a beach cleaning initiative. Additionally, customer felicitation events were held, reflecting the Branch's commitment to recognising its clientele.

Through these initiatives, the Seychelles Branch demonstrated a steadfast commitment to operational excellence, customer experience, and regulatory compliance, while fostering meaningful connections with the community and stakeholders, setting a strong foundation for sustained growth in the years ahead.

WHERE WE ARE HEADED

Opportunities

- Expanding global footprint by strengthening BOC's international presence and unlocking opportunities across new and emerging markets.
- Advancing intelligent decision-making with enhanced cash and liquidity forecasting capabilities, powered by predictive analytics and data-driven insights.
- Leveraging financial expertise to broaden capital market advisory services, strengthen trustee and custodian operations, and elevate portfolio management solutions.

Risks

- Global business volatility and geopolitical tension.
- Potential global liquidity constraints and economic slowdowns may heighten capital adequacy pressures, necessitating strengthened capital planning and risk management within international banking operations.
- Ongoing changes in import / export policies and forex regulations.

STRATEGIC SHIFT AHEAD

Short Term

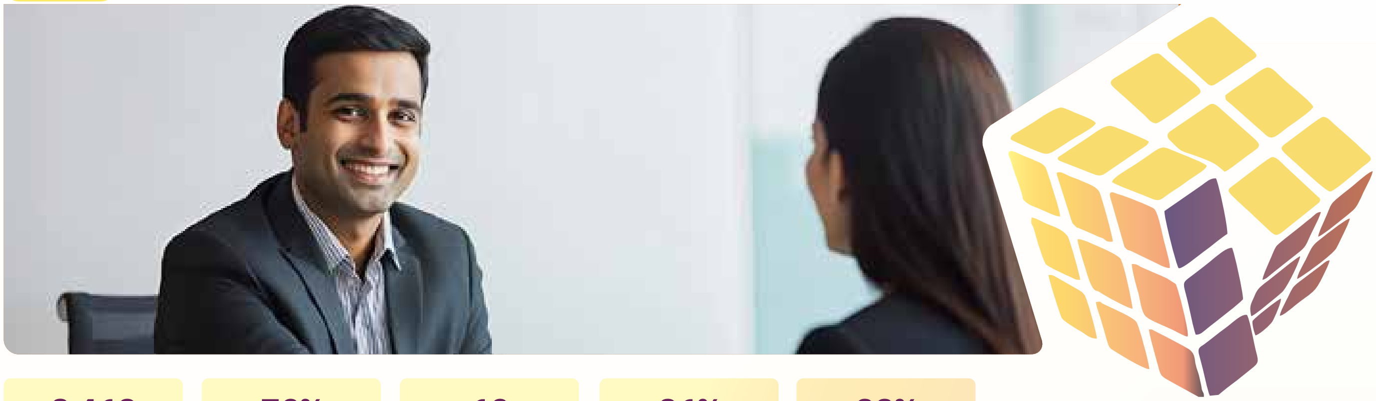
- Strengthening the Bank's capital position through the issuance of LKR and USD-denominated debentures and bonds.
- Enhancing Treasury capabilities through optimised net interest margins and effective liquidity management.
- Expanding the reach of the Smart Remit Mobile App to the Bank's overseas branches, enabling customers abroad to access secure, seamless, and real-time remittance services.
- Enhancing digital capabilities to support informed decision-making.
- Developing the Flex App across overseas branches.

Medium to Long Term

- Maintaining a robust liquidity position through a diversified portfolio while ensuring full compliance with regulatory requirements.
- Broadening the portfolio of investment banking products and services.
- Enhancing capital allocation to overseas branches to drive sustainable growth, ensure regulatory compliance, and reinforce long-term financial stability.
- Strengthening the Bank's global presence by establishing new overseas branches and entering into untapped international markets.

SHAPING EVERY CUSTOMER JOURNEY

GRI 3-3



2,413	76%	16	81%	33%
Direct customer touchpoints	Customer penetration	New products launched	Customer satisfaction ratio	Net promotor score

Much like a Rubik's Cube, where each movement influences the whole, our customer experience strategy is shaped by an interconnected spectrum of dimensions consisting of trust, accessibility, reliability, innovation, and service excellence. Every interaction across our physical and digital touchpoints are designed to reflect and reinforce these core dimensions.

Anchored in trust and guided by our enduring service excellence mandate, we view each customer engagement not as a transaction, but as a responsibility. From individuals seeking financial security, to enterprises pursuing growth, and communities striving for progress, our solutions were structured to deliver reliable and inclusive financial support.

By harmonising technology, service excellence, and institutional strength, ensure that every touchpoint contributed to sustainable national progress.

SDGs Impacted

Material Topics

M3

Strategic Pillar

CONTEXT FOR 2025

- Post-stabilisation economic environment: Gradual economic stabilisation following a period of systemic stress shaped customer expectations around reliability, prudence, and consistent service delivery.
- Shifting customer behaviour and digital expectations: Rising expectations for faster, simpler, and more seamless experiences across physical and digital channels.
- Increased competition and capabilities to deliver superior customer service.
- MSME financial stress and business continuity needs: Ongoing financial pressure among MSMEs and selected customer segments requiring balanced recovery and advisory support.
- Service quality, transparency, and trust: Heightened customer sensitivity to clarity of communication, ethical conduct, and responsiveness.
- Financial inclusion imperative: Continued emphasis on expanding access for rural, under served, and transitioning customer segments through inclusive delivery models.

STRATEGIC PILLAR

Excellence in Customer Experience

Our customer strategy is anchored in financial accessibility, service excellence, and responsible banking. Together, these dimensions enable Bank of Ceylon to serve as a trusted financial partner to individuals and businesses nationwide, supporting sustainable economic growth and long-term resilience.

Priority Areas

- Expanding Access to Financial Services
- Delivering Distinct Customer Value
- Upholding Responsible Banking Practices

PRIORITY AREA: 01

EXPANDING ACCESS TO FINANCIAL SERVICES

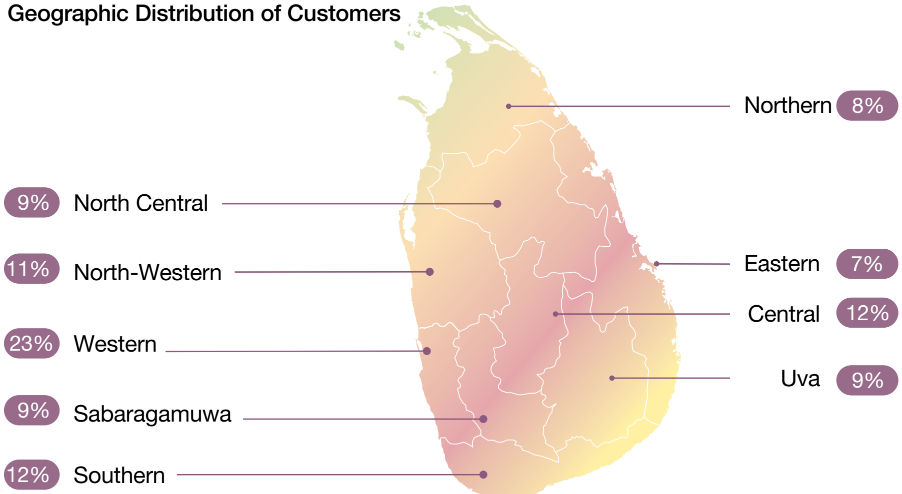
Serving Every Segment, Across Every Community

Bank of Ceylon remains committed to expanding access to financial services for a diverse customer base across Sri Lanka and international markets. Serving over 16.0 million customers, the Bank supports individuals, MSMEs, large corporates, and Government entities through an extensive national footprint and global relationships. Central to this mandate is the delivery of efficient, customer-centric, technologically advanced, and resilient financial solutions that empower customers and create value for stakeholders.

BOC's ability to serve customers across varied geographies is enabled through a well-integrated network of branches, mobile banking units, an expanding digital ecosystem, and international correspondent relationships.

In 2025, the Bank continued to strengthen its position as the country's most accessible financial institution by removing barriers to access, particularly in rural and under served communities, promoting a culture of savings and extending the reach of credit. Strategic partnerships with national and international institutions further strengthened cross-border banking capabilities, supporting both domestic and global financial needs while advancing national financial inclusion objectives.

Geographic Distribution of Customers



Building a Connected and Accessible Service Network

The Bank maintained an extensive network of over 2,400 direct customer touchpoints. This integrated footprint reflects BOC's continued focus on ensuring inclusive service availability and consistent customer engagement, while supporting improved complaint resolution and service quality outcomes across the network.

In 2025, the Bank continued to strengthen its customer engagement framework by optimising and integrating a wide spectrum of customer touchpoints across the branch network, self-service infrastructure, mobile units, and digital platforms.

SHAPING EVERY CUSTOMER JOURNEY

The branch network remained as the core customer interface and optimised with the expansion of **'Premier Branch'** concept to Kandy region and eight branch relocations undertaken to improve visibility, accessibility, and customer flow. In addition, three Limited Service Branches (LSBs) were opened at prime locations in Bandarawela, Akuregoda, and Peradeniya bringing banking services closer to high-activity customer environments. These enhancements were complemented by the continued expansion of self-service infrastructure. 29 Cash Recycle Machines (CRMs) and eight **Smart Zones** were deployed and optimised across the network to support efficient customer transactions and to reduce dependency on traditional counters. **Queue Management Systems (QMS)** were introduced to another 100 branches, supported by continuous monitoring to ensure smooth customer flow and service reliability.

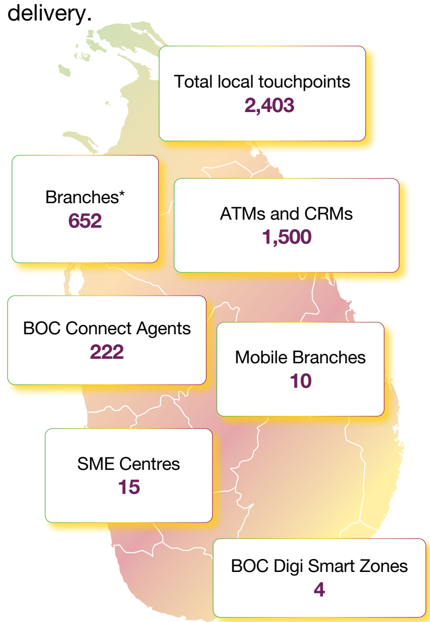
As part of its ongoing efforts to expand access to financial services, during the year, the Bank continued to strengthen '**BOC Connect**', the Agent Banking solution in partnership with Sri Lanka Post. The collaboration leverages the island-wide postal network to extend formal banking services to rural, semi-urban, and geographically isolated and under served communities. During the year, over 100 post offices operated as 'BOC Connect' points, with approval granted for further expansion. This significantly improved access in areas with limited branch presence, including remote island communities such as Analaitivu and Madu River and Island, where residents previously faced significant barriers to banking access.

Through 'BOC Connect', customers are able to access essential banking services including deposits, withdrawals, loan repayments, utility payments, and remittance-related transactions closer to their homes. The **integration of LankaQR** further enabled small traders and micro-entrepreneurs to participate in secure digital payments, supporting local economic activity.

The **Model Branch Concept** continued to be rolled out across all provinces with introduction of 40 new branches in each areas, strengthening consistency in customer interactions and supporting on-the-job capability development for frontline staff.

To deepen engagement with younger customer segments, the Bank continued to expand its education-linked banking presence through nearly 1,600 **School Sansada Units** and over 1,000 **Mobile School Savings** programmes, encouraging early financial inclusion and savings behaviour.

The Bank upgraded customer touchpoints supporting **Islamic Banking** services across the branch network, while encouraging the use of digital channels in each aspect of service delivery.



* Inculding limited service branches

PRIORITY AREA: 02

DELIVERING DISTINCT CUSTOMER VALUE

Advancing Product Suite Through Innovation

Innovation continues to play a central role in BOC's strategy, guiding the development and enhancement of financial products tailored to the evolving needs of a diverse customer base. The Bank's product development approach is aligned to key customer segments and delivered through integrated business lines, ensuring timely, relevant, and effective financial solutions.

New Deposit Products

- Prosperity Deposit Scheme
- Flex Saver
- Special FD Scheme for Senior Citizens
- An-noor Current Account
- BOC My Sri Lanka FD

Loan products

- BOC E-Creator
- BOC Green Loan

New Loan Products

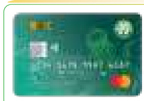
BizLift Loan Scheme

Development of Youth Entrepreneurs in Agriculture and Industry Sectors

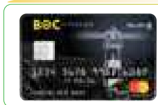
'Ditwah' Relief Loan

ReMSME Disaster Relief Loan

New Digital Products



BizPlus Credit Card



Prestige Card for Premier Customers

BOC Fuel Card

New Digital Platforms

BOC Flex App

BOC Smart Remit Mobile App

In 2025, Bank of Ceylon delivered distinct customer value by offering a focused and relevant suite of financial solutions aligned to the evolving needs of individuals, businesses, and priority customer segments. The Bank's customer proposition emphasised relevance, trust, and long-term partnership, enabling customers to engage with financial services that support both immediate needs and long-term financial goals.

During the year, the Bank introduced a range of deposit, lending, and transactional products designed to support savings mobilisation, liquidity management, and financial security. Extended **Prosperity Deposit Schemes** encourage long-term financial discipline and capital accumulation, while **Flex Saver Accounts** provide new customers with greater access and flexibility without visiting branches to open the accounts. **Special Fixed Deposits for Senior Citizens** are tailored to support retirees through stable income and enhanced returns. In addition, **An-noor** Islamic Banking Personal, Trade, and Corporate **Current Account** facilities deliver Shari'ah-compliant financial solutions for individuals and businesses across key sectors. **BOC My Sri Lanka Fixed Deposits** relaunched with attractive features to facilitate the essential inward remittances flows to the economic revival.

The Bank delivered distinct customer value by offering a focused and relevant suite of loan product aligned to the evolving needs of individuals, businesses, and priority customer segments. **BOC E Creator Loan** scheme supports content creators and digital entrepreneurs with funding for equipment and production needs. **BOC Green Loan** finances eco-friendly projects, including renewable energy and sustainable business initiatives. **BizLift Loan scheme** provides corporates and SMEs with working capital and growth financing, enabling business expansion and operational continuity.

Through **Development of Youth Entrepreneurs in Agriculture and Industry Sector programme**, young entrepreneurs receive low-interest, concessionary loans to start or scale businesses in key sectors. '**Ditwah' Relief Loan** offered targeted support for businesses and individuals affected by 'Cyclone Ditwah', helping them recover and rebuild operations efficiently. Collectively, these lending products enhance financial access, stimulate business revival, and strengthen inclusive economic participation.

The Bank further strengthened its value proposition through segment-focused engagement, ensuring that products and services are aligned to the distinct needs of customer groups, including youth, women, senior citizens, SMEs and digitally active segments.

Elevating the Customer Experience

In 2025, Bank of Ceylon focused on strengthening customer service delivery by improving service quality, consistency, and responsiveness across the branch network and key service channels. Efforts were directed at enhancing customer experience at points of interaction, while ensuring service standards remained consistent across regions and customer segments.

Service efficiency was improved through the rollout of Queue Management Systems, Digital Desks, and upgraded IT infrastructure across branches, helping to reduce waiting times and improve turnaround times for counter and personal banking services. These enhancements were supported by continuous monitoring to ensure smooth operations and timely issue resolution.

Relationship-led engagement remained a key differentiator for Bank of Ceylon. Relationship Officers and Premier Banking Centres provided personalised engagement for priority customer segments, while structured interactions with trade bodies, educational institutions, and community groups reinforced trust and long-term partnerships.

Frontline capacity was further strengthened through the recruitment and deployment of additional staff to high-traffic locations, alongside structured customer service training programmes for branch staff, call centre agents, and newly appointed managers.

Personal engagement remained an integral part of the Bank's customer engagement strategy. Initiatives such as "**Tea with BOC**", relationship-led branch interactions, and structured customer engagement programmes strengthened trust and reinforced long-term relationships with customers across segments.

Targeted initiatives such as "**Happy Customer Week**" and "**Zero Complaint Month**" reinforced a service-first culture and heightened awareness of service quality across the Bank.

Customer feedback and complaints were actively monitored through a centralised complaint management framework, enabling timely escalation and resolution. Improvements to digital service interfaces and enhanced staff engagement contributed to resolve complaints received during the year.

Introduced Customer Complaint Handling Policy

Dedicated unit with dedicated contact number

Adherence to Consumer Protection Act

Customer complaints ⇩ 25% YoY

In parallel, customer satisfaction related metrics reflected the enhanced service excellence and trust towards the Bank.

81%
Customer Satisfaction Ratio (CSAT)

33%
Net Promoter Score (NPS)

74%
Customer Effort Score (CES)

Ensuring Stability and Business Revival

In 2025, Bank of Ceylon continued to play a stabilising role in supporting business recovery and financial resilience as economic conditions gradually improved. The Bank adopted a disciplined and balanced approach that combined proactive recovery actions with appropriate customer engagement, enabling viable customers to regularise facilities and restore financial stability while safeguarding asset quality.

Proactive monitoring and early warning mechanisms were strengthened across business units to identify emerging stress and prevent fresh transfers into Stage 3 loans. Close oversight of watch-list accounts, combined with timely engagement by relationship and recovery teams, enabled corrective actions through restructuring, rescheduling, negotiated settlements, or orderly exits, where appropriate. In particular, structured interventions, including the Concessionary Reschedule Packages, dedicated SME Relief Packages and Compromised Exit Plan were implemented to enabling customers to navigate financial stress.

Dedicated recovery and business revival teams worked closely with viable customers to support continuity of operations through cash-flow-based funding, advisory-led engagement, and enhanced monitoring.

To strengthen provincial execution, comprehensive capacity-building and awareness programmes were conducted for provincial recovery staff, equipping teams with practical restructuring, negotiation, and portfolio management skills.

These initiatives accelerated resolution of stressed accounts, reinforced consistent recovery practices, and supported business sustainability.

233
No. of customers revived in 2025

LKR 7.0 billion
Businesses revived in 2025

LKR 100.8 billion
Total exposure revived

PRIORITY AREA: 03

UPHOLDING RESPONSIBLE BANKING PRACTICES

As a domestic systemically important financial institution, the Bank places strong emphasis on conducting business in a transparent, fair, and accountable manner, ensuring that customer interests remain central to decision making.

Responsible Communication and Compliance

Responsible communication remained a key focus during the year. The Bank promoted responsible financing by ensuring that customers are provided with clear, accurate, and accessible information on financial products and services, including terms, conditions, and associated risks. This approach supported informed decision making, particularly in relation to borrowing, savings, and investment products, while reinforcing trust and confidence in the Bank's offerings.

The Bank continued to uphold high standards of compliance across its operations, operating within a robust regulatory framework and adhering to applicable local regulations and international banking standards. Established Anti-Money Laundering (AML) and Know Your Customer (KYC) protocols remained central to safeguarding transaction integrity, protecting customers, and ensuring regulatory compliance across all service channels.

Responsible and Ethical conduct Communication

In parallel, responsible banking practices were reinforced through strengthened internal controls, adherence to regulatory requirements, and ongoing staff awareness on ethical conduct and customer protection.

Ethical conduct and responsible customer engagement were further reinforced through regular internal training programmes for employees. These initiatives strengthened regulatory awareness and supported consistent application of compliance standards across customer facing operations.

Strengthening Customer Capacity

Customer education continued to play an important role in advancing responsible banking outcomes. During the year, the Bank sustained and expanded its financial literacy and customer awareness initiatives, with a focus on individuals, SMEs, and communities with limited access to formal financial education.

These programmes addressed practical aspects of financial management, responsible borrowing, savings discipline, and risk awareness, supporting improved financial behaviour and resilience.

Specialised capacity building programmes for SME entrepreneurs were conducted on strengthening financial discipline, improving cash-flow management, and enhancing decision making capabilities. In addition, targeted awareness programmes were conducted for women entrepreneurs, exporters, BOC Mithuru groups, and beneficiaries of social support schemes, reinforcing inclusive access to financial knowledge.

Entrepreneurship Development Programmes	BOC Mithuru and Financial Literacy Programmes	SME clinics and Capacity Building Programmes
148	**700**	**1,096**
Young Entrepreneurs	**Women Entrepreneurs**	**MSME Customers**

STRATEGIC SHIFT AHEAD

At BOC, our way forward is shaped by a clear understanding that customer expectations continue to evolve. We are committed to keeping pace through enhanced digital capabilities, innovative products, and more responsive service models that deliver greater convenience and accessibility.

Short Term

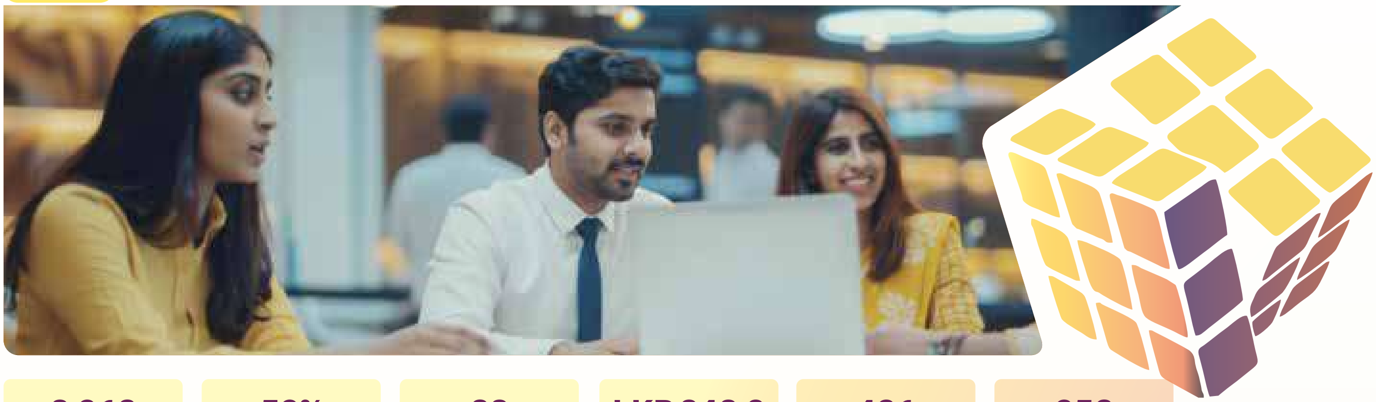
- **Strengthening of Credit Support functions.**
- **Creating a "Business Revival Culture" in the Bank instead of rigorous recovery actions.**
- **Expansion of model branch concept for thriving customer service.**
- **Reinforcing responsible banking and customer capability through continued investment in financial literacy, transparent communication, and ethical engagement.**

Medium to Long Term

- **Deepening service quality and consistency using customer feedback insights to guide process improvements and frontline capacity development.**
- **Strengthening in MSME through refined segment-specific financial solutions and advisory-led engagements.**
- **Expanding inclusive banking initiatives by extending access through agent banking, social benefit payment mechanisms, and targeted outreach to underserved communities.**
- **Enhancing digital experiences to simplify customer onboarding, reduce effort, and improve service reliability across channels.**

AN INCLUSIVE WORKFORCE FOR ENDURING PERFORMANCE

GRI 3-3



8,912	59%	28	LKR 348.0 million	431	952
Employees	Female representation	Average training hours per employee	Invested in Training and Development	Promotions	New opportunities created

At Bank of Ceylon, our people are the embodiment of multi-dimensional strength. Together, they form a cohesive workforce capable of navigating challenges, seizing opportunities and unlocking a spectrum of dimensions. It is through this alignment of strengths that our people create lasting impact for our customers, communities, and the nation.

Human capital strength, therefore, was not achieved through isolated improvements, but through deliberate alignment. Our strategy goes beyond improving isolated metrics. It focuses on calibrating the entire workforce architecture so that each dimension reinforces the others. We strengthen digital capability while deepening ethical oversight, advance inclusion while sustaining performance discipline, and promote well-being while driving productivity.

SDGs Impacted

Material Topics

Strategic Pillar

CONTEXT FOR 2025

- Accelerated digital transformation to strengthen resilience, efficiency, and competitiveness.
- Developed specialised digital and technology skills across banking operations.
- Evolved workplace models to enable flexible, hybrid, and high-performing working environment.
- Strengthened employee well-being and mental health as a performance priority.
- Optimised structures to strengthen leadership capabilities to provide superior customer service.
- Enhanced preparedness and support for climate and disaster related risks.
- Achieved national recognition for excellence, earning HR awards and strengthening the Bank's status as an employer of choice.

STRATEGIC PILLAR

Building a High Performing Team

Building on the strategic direction established in the previous years, the Bank continued to prioritise the **development of a resilient and innovative workforce** to advance its transformation, digital, and sustainability objectives. This sustained focus underscores the Bank's commitment to strengthening capability, governance, and leadership depth, while fostering an engaged workforce aligned with its values and long-term strategic direction.

Priority Areas

- Fostering diversity, inclusion and belonging
- Strengthening HR governance, policies, and compliance
- Developing talent and advancing career growth
- Promoting employee well-being and engagement
- Driving digitalisation and sustainable practices

PRIORITY AREA: 01

FOSTERING DIVERSITY, INCLUSION AND BELONGING GRI 202-2

At BOC, diversity, equity, and inclusion are integral to both the Bank's operational ethos and strategic objectives. These principles are embedded in the Bank's culture and underpin the way we recruit, manage, and retain talent. By fostering a workplace that values diverse perspectives and contributions, the Bank strengthens collaboration, innovation, and adaptability in a rapidly evolving environment. A diverse workforce that reflects varied backgrounds, genders, and capabilities is essential for sustainable growth and addressing complex challenges creatively.

12 years
Average service length of permanent employees

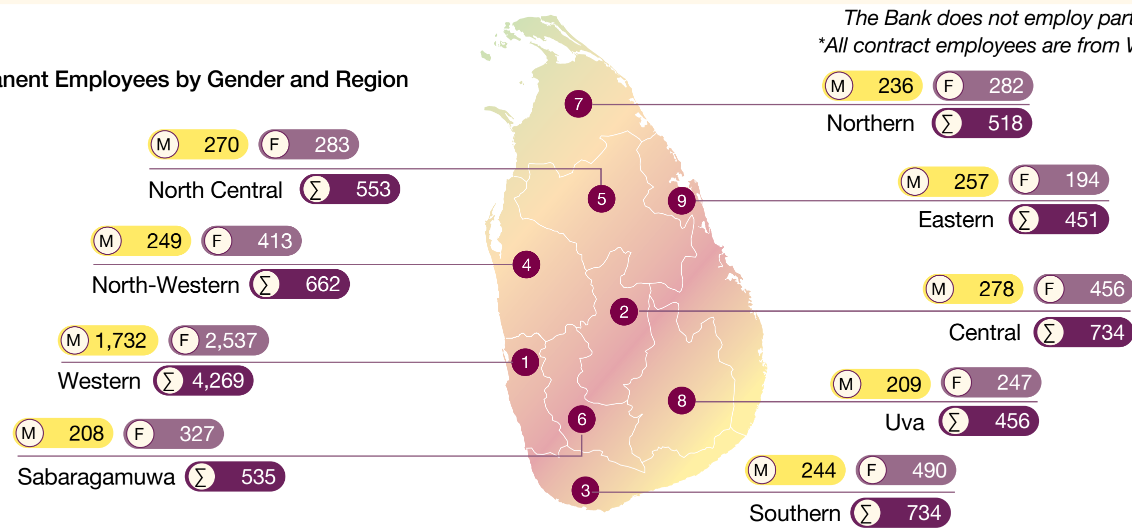
100%
of senior management team recruited locally

Employment by Nature and Gender GRI 2-7

	Permanent		Outsourced		On Contract *	
	M	F	M	F	M	F
	3,683	5,229	1,743	-	06	-

The Bank does not employ part-time employees.
**All contract employees are from Western Province.*

Permanent Employees by Gender and Region

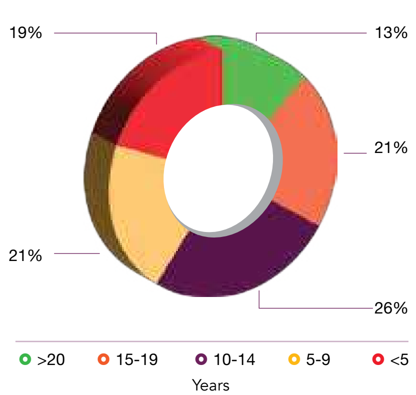


AN INCLUSIVE WORKFORCE FOR ENDURING PERFORMANCE

Employment by Age, Gender and Category of Employment GRI 405-1

Category / Age (Years)	Corporate Management M	Corporate Management F	Executive Management M	Executive Management F	Chief Manager M	Chief Manager F	Senior Manager M	Senior Manager F	Officer M	Officer F	Staff Assistant M	Staff Assistant F	Office Assistant M	Office Assistant F	Total M	Total F
> 50 (No.)	11	4	22	23	28	23	17	18	104	171	122	55	70	8	374	302
(%)	73	27	49	51	55	45	49	51	38	62	69	31	90	10	55	45
30-50 (No.)	-	-	13	10	45	69	80	120	1,369	2,402	930	1,420	198	3	2,635	4,024
(%)	-	-	57	43	39	61	40	60	36	64	40	60	99	1	40	60
< 30 (No.)	-	-	-	-	-	-	-	-	50	88	623	815	1	-	674	903
(%)	-	-	-	-	-	-	-	-	36	64	43	57	100	-	43	57
Total (No.)	11	4	35	33	73	92	97	138	1,523	2,661	1,675	2,290	269	11	3,683	5,229
(%)	73	27	51	49	44	56	41	59	36	64	42	58	96	4	41	59

Employment by Tenure %



Championing Equal Access and Opportunity

BOC's policies, including the Gender Policy, Grievance Handling Policy, and Disciplinary Code, provide a framework for a fair and respectful workplace. In 2025, the Bank further strengthened these measures, reinforcing transparent reporting channels and accountability.

The Bank values every ability, providing accessible facilities and improved work conditions to empower differently-abled employees. With 14 differently-abled employees on board, we break barriers, create opportunities, and foster an inclusive environment where everyone can thrive.

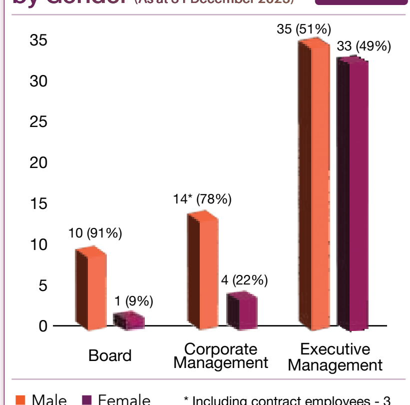
Non-Discrimination GRI 406-1

During 2025, no cases of discrimination or related corrective actions were recorded, reflecting the Bank's commitment to maintaining a respectful and inclusive workplace.

Workforce and Leadership Diversity GRI 405-1

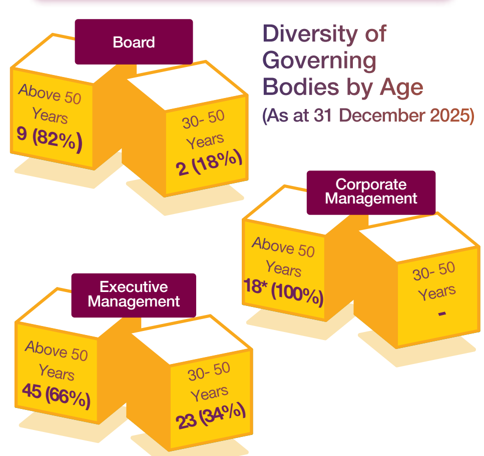
The Bank's Gender Policy sets a structured framework to guarantee equal access to opportunities, resources, and career progression for all employees. This framework applies across recruitment, promotion, professional development, training, compensation, benefits, workplace safety, and grievance handling.

Diversity of Governing Bodies by Gender (As at 31 December 2025) No. and %



* Including contract employees - 3

Diversity of Governing Bodies by Age (As at 31 December 2025)



* Including contract employees - 3

Inclusive Recruitment Practices GRI 401-1

Recruitment at BOC is guided by the principles of meritocracy, transparency, and fairness. All vacancies are advertised openly, and candidates are assessed through structured, unbiased evaluation processes to ensure equal opportunity and merit-based selection.

In 2025, the Bank concluded a large-scale recruitment drive to strengthen its future talent pipeline, onboarding over 800 Trainee Staff Assistants across regions. This intake supported workforce renewal, enhanced regional representation, and built long-term operational capability across the branch network.

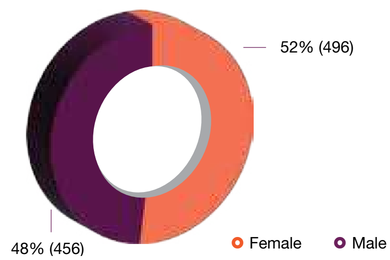
To strengthen early engagement and integration, an enhanced welcome kit was introduced for new recruits, reinforcing the Bank's commitment to enriching the employee experience from the point of entry.

Recruitments 952

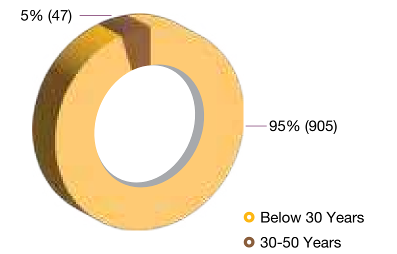
52% female recruitments

95% of new hires are below 30 years

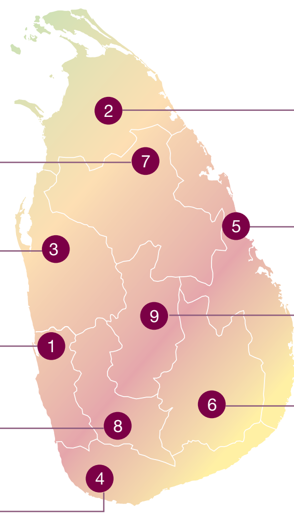
Recruitments by Gender



Recruitments by Age



Recruitments by Region and Gender



Broader Impact

By prioritising workforce and leadership diversity, the Bank strengthens organisational cohesion, innovation, and resilience. Transparent recruitment practices, equal pay, and balanced leadership representation ensure all employees feel valued and empowered. These measures not only foster an inclusive internal culture but also reinforce the Bank's position as a socially responsible corporate leader committed to sustainable growth.

Parental Leave and Equal Pay

GRI 401-3, GRI 405-2

Our parental leave policy ensures employees can balance family responsibilities while continuing their career. In 2025, all employees who took parental leave returned to work, with full retention of female employees after 12 months. Male employees are entitled to three days of paid paternity leave, promoting shared family responsibilities.

The Bank maintains equal pay between male and female employees across all roles, reflecting its commitment to fairness and equality in compensation practices.

Parental Leave

	F	M
Entitled to parental leave as at the beginning of the year	4,889	3,325
No. of employees who took the parental leave during the year	289	134
Returned to work during the year after completing the parental leave	248	133
Retained 12 months after returning to work from parental leave	248	133
Return to work rate	100%	100%
Retention rate	100%	100%

Bank of Ceylon maintained a strong commitment to ethical labour practices in 2025, with no incidents of child labour or forced/ compulsory labour reported across its operations.

GRI 408-1, 409-1

AN INCLUSIVE WORKFORCE FOR ENDURING PERFORMANCE

PRIORITY AREA: 02

STRENGTHENING HR GOVERNANCE, POLICIES, AND COMPLIANCE

Robust HR governance and comprehensive policies form the foundation for a transparent, accountable, and high-performing workforce. The Bank continuously reviews and refines its human resource frameworks to ensure alignment with evolving regulatory requirements, operational needs, and employee expectations. Strong governance ensures fairness, mitigates risks, and enhances employee engagement across all levels of the operations.

HR Policy Updates GRI 2-23, 24

In 2025, the Bank reviewed and enhanced its HR policy framework to drive operational excellence and foster a supportive, high-performing workplace. Key areas of focused:

- Gender Policy
- Employee Grievance Handling Policy
- Promotion Policy
- Human Resource Policy on Remote Work
- Exit Interview Policy

Collective Agreement and Freedom of Association

GRI 2-30, GRI 402-1, GRI 407-1

BOC's Collective Agreement for 2024–2026, establishes clear terms for fair wages, benefits, and work-life balance. These agreements support organisational stability and reinforce employee satisfaction while maintaining alignment with productivity objectives.

All permanent employees are covered under collective agreements, which outline structured consultation and negotiation processes. A six-month notice period ensures that employees are informed in advance of any significant operational or organisational changes. This framework safeguards employee rights and promotes transparent communication between management and staff.

Grievance Management and Whistle-blowing GRI 2-25

The Bank strengthened its Whistle-blowing and Grievance Policies to enable confidential reporting through secure digital channels, supported by independent oversight mechanisms.

Grievance management is overseen by a dedicated Grievance Handling Officer, ensuring employee concerns are addressed in line with approved procedures through a structured and transparent process. Matters raised under the Whistle-blowing Policy are independently investigated under the oversight of the Chief Internal Auditor, safeguarding objectivity and confidentiality.

In 2025, 100% of reported grievances were resolved within 10 days, underscoring the Bank's commitment to transparency, accountability, and a respectful workplace. Employees are encouraged to raise concerns without fear of retaliation, reinforcing trust and integrity across the Bank.

PRIORITY AREA: 03

DEVELOPING TALENT AND ADVANCING CAREER GROWTH

Fostering employee growth and improving organizational efficiency are central to sustaining performance in a dynamic environment. The Bank continued to enhance its initiatives to sharpen skills, build capabilities, and support career progression, ensuring that employees can contribute effectively while realising their professional ambitions.

Training Hours by Gender

GRI 404-1

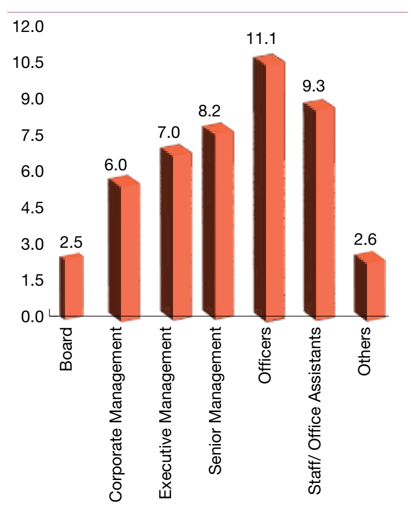
	M	F	Total
Training hours	102,428	133,959	236,387
Average Training hours per employee	29	26	28

LKR 348.0 million
Investment in training and development

28
Average training hours per employee

Average Training Hours by Employee Category

Hr.



Transition Assistance Programmes

The Transition Assistance Programme is a structured training initiative designed to support employees approaching retirement.

Training programme	No. of programmes	No. of participants	No. of hours
Towards A New Phase of Life	1	28	189

Talent Development and Training

GRI 404-2

The Bank's learning and development framework focuses on building both technical capability and leadership depth across the organisation. In 2025, training priorities were aligned to evolving business needs, including digital capability, risk awareness, and customer service excellence, supporting the Bank's transformation agenda.

Employees progress through structured learning pathways that combine formal training, mentoring, and on-the-job development. Leadership programmes target decision-making, people management, and strategic capability, while digital learning platforms have expanded access and flexibility, enabling employees to learn at their own pace.

Training is delivered through a blended model, integrating in-house programmes, external and overseas training, and digital channels such as tvBOC and Bankpedia. Delivery formats are designed to minimise disruption to work-life balance through hybrid learning and limited weekend sessions.

Learning Delivery Channels

- In-house training programmes
- External and overseas training
- Digital learning (tvBOC, Bankpedia, e-learning platform)
- Library and knowledge resources
- Train-the-Trainer programmes

Key Learning Focus Areas

- Strengthening customer service excellence
- Leadership and management development
- Improving professional and technical skills
- Risk and compliance awareness
- Digital capability building

Learning Experience Enablers

- Mentorship and coaching
- Personalised development planning
- Flexible learning schedules
- Hybrid and digital learning modes
- Course fee and membership subscription reimbursement

Measuring Training Effectiveness

- Customer satisfaction indicators
- Customer complaint analysis
- Post-training evaluations and participant feedback
- Employee performance outcomes
- Results of Employee engagement surveys

Accelerating HR Transformation and Strategic Workforce Development

To strengthen the Bank's talent strategy and support long-term organisational transformation, the Bank appointed a Deputy General Manager – Transformation and HR Strategy, bringing external industry expertise to guide the next phase of human capital development.

This strategic appointment is intended to accelerate the modernisation of the Bank's HR architecture and introduce best-practice approaches to talent management, workforce planning, and organisational performance.

The role focuses on driving a comprehensive HR transformation agenda, including:

- Aligning HR transformation strategies with the Bank's overall strategic plan and business priorities
- Introducing agile and best-practice solutions to strengthen talent acquisition, employee development, performance management, and retention
- Modernising HR processes by integrating digital innovations and forward-looking HR practices across key functional areas
- Expanding the use of HR analytics and data-driven insights to guide workforce planning, talent development, and organisational decision-making
- Supporting the implementation of a performance-driven culture, including the development of competitive compensation and benefits frameworks aligned with industry benchmarks

Over the coming years, this transformation initiative is expected to strengthen workforce capacity, enhance employee value propositions, and support the Bank in building a future-ready talent ecosystem aligned with its strategic ambitions.

AN INCLUSIVE WORKFORCE FOR ENDURING PERFORMANCE

PERFORMANCE MANAGEMENT GRI 404-3

A structured, KPI and competency based Performance Management System is in place at the Bank, providing a transparent and automated framework for assessing employee performance on a bi-annual basis. This system ensures fair and unbiased evaluations while clearly linking performance outcomes to career progression and recognition. Through defined goal-setting, regular appraisals, and ongoing feedback, individual development is aligned with organisational priorities, supporting consistent performance improvement across the workforce.

Recognising High Performance;

Best Branch Award Ceremony
recognising outstanding branch-level performance

Monthly Province-wise Best Employee Nominations
celebrating individual excellence across regions

Chairman's Award for Innovation
recognising impactful ideas and innovations that drive organisational value

Mentorship and Career Growth

GRI 404-3

High-potential employees are identified and supported through accelerated development pathways, including management trainee and leadership succession programmes. Cross-functional mobility is encouraged to broaden skills and strengthen productivity. In 2025, promotions and internal movements remained merit-based, reinforcing fairness, consistency, and equal opportunity across the workforce.

- All employees (100%) were subject to performance reviews during the year.

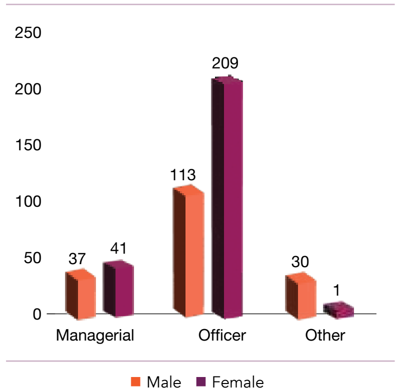
Succession Planning

The Bank continued to identify critical roles and build internal talent pipelines through structured performance and potential assessments. High-performing employees are mapped to future leadership roles and supported through targeted development initiatives, including management trainee programmes, role-based exposure, and mentoring by senior leaders.

This succession planning approach ensures continuity in critical positions and reduces reliance on external recruitment for specialist and leadership roles.

Over 400 employees were promoted during the year following a comprehensive assessment and interview process, ensuring career progression is based on capability and readiness.

Promotion by Category and Gender No.



PRIORITY AREA: 04

PROMOTING EMPLOYEE WELL-BEING AND ENGAGEMENT

The Bank places holistic wellness at the core of its culture, fostering an environment where employees can thrive both personally and professionally. The Bank provides comprehensive wellness programmes and support systems that enhance resilience to promote physical and emotional well-being.

Health, Safety, and Well-Being

GRI 403-2,3,6

Physical and financial support: The Bank supports employee well-being through a range of physical and financial benefits, including:

- On-site medical facilities with an in-house doctor and pharmacy
- Sports clubs, sports meets, and participation in national-level events
- Periodic salary and allowance revisions under the Collective Agreement
- KPI based allowances and annual performance linked bonus

Safe and dynamic work environment: The Bank maintains structured occupational health and safety practices across all operational locations to safeguard employees, ensure regulatory compliance and minimise workplace risk. These practices are supported by:

- Clearly defined safety protocols aligned with regulatory standards
- Accessible and confidential incident reporting mechanisms
- Ongoing employee awareness and training initiatives
- Regular internal communications reinforcing health and safety responsibilities

- Periodic workplace audits and enforcement of health and safety standards
- Flexible work arrangements, including a hybrid work model, to support autonomy.

Mental health support: During the year, the Bank expanded access to mental health services to strengthen emotional resilience, including;

- 24/7 counselling
- Partnership with 'Sumithrayo' befrienders to support emotional well-being
- Stress management workshops
- Family support programmes
- Religious society activities - preaching, meditation, and religious observances supporting holistic well-being.

Promoting active lifestyle: Physical well-being and work–life integration were supported through wellness initiatives such as;

- Yoga sessions
- Fitness challenges
- Regular health check-ups
- Enhanced gymnasium facilities
- Tailored wellness plans

Crisis support initiatives: In response to Cyclone 'Ditwah', the Bank provided financial and non-financial assistance to affected employees.

Prioritising employee safety and well-being, the Bank granted special leave to staff members who were unable to report to work due to the adverse conditions caused by Cyclone 'Ditwah'.

These proactive measures ensured that employees were not placed at risk and reinforced the Bank's commitment to fostering a supportive, people-centric work environment during the difficult times. Employees also contributed to relief efforts, with collective contributions of LKR 50.0 million, reflecting strong employee solidarity and social responsibility.

Additionally, reimbursements for essential requirements were provided, together with interest-free staff loan schemes ranging from LKR 250,000 to LKR 1,000,000 as relief measures for cyclone-affected employees.

Remuneration and Rewards

GRI 405-2

The Bank's remuneration framework is structured to ensure fairness, transparency, and consistency across the organisation. Compensation is aligned with role responsibilities, performance, and organisational objectives, and is governed by clearly defined policies and oversight mechanisms.

In 2025, the Bank maintained 1:1 pay ratio between male and female employees in comparable roles, reinforcing its commitment to pay equity. Employees are offered competitive remuneration packages reflecting industry standards, with merit-based rewards recognising individual and team achievements through performance-linked bonuses, salary increments, and KPI-based allowances.

GRI 202-1

BOC upholds fair employment practices by prioritising local hiring, ensuring equal opportunities, and complying with minimum wage regulations throughout 2025.

Concessionary and Complimentary Benefits

GRI 401-2

Beyond core remuneration, BOC provides a comprehensive range of concessionary and complimentary benefits for permanent employees that enhance employee well-being and financial security. These offerings are designed to support practical needs and promote a balanced work experience, extending value beyond standard compensation.

Key benefits include;

- Medical reimbursement schemes
- Concessionary staff lending facilities
- Welfare transport services
- Holiday bungalow facilities
- Educational fee reimbursements
- Local and international training

Employee Engagement and Motivation

Employee engagement at BOC is anchored in open communication, trust, and a strong employee voice. In 2025, structured channels for feedback, concerns, and suggestions, supported by grievance handling and whistle-blowing mechanisms within the HR governance framework, enabled transparent engagement across the workforce. Regular surveys, management-led forums, internal communications, and branch-level interactions reinforced alignment with organisational priorities and morale.

Collaboration and inclusion were reinforced through leadership development and engagement initiatives, alongside activities promoting religious harmony across the organisation. Work–life balance and camaraderie were further strengthened through the BOC Sports Club's inter-province competitions and annual Sports Meet, engaging over 2,000 employees.

AN INCLUSIVE WORKFORCE FOR ENDURING PERFORMANCE

The introduction of the all-island Quiz Genius programme, engaging more than 150 branch teams, further encouraged knowledge-sharing and cross-network participation.

The Bank embraces diversity by fostering religious harmony through various activities organised by religious associations of the Bank. These initiatives cultivate inclusivity and unity among employees of different faiths and religions.

Post-Employment Benefits

GRI 401-2

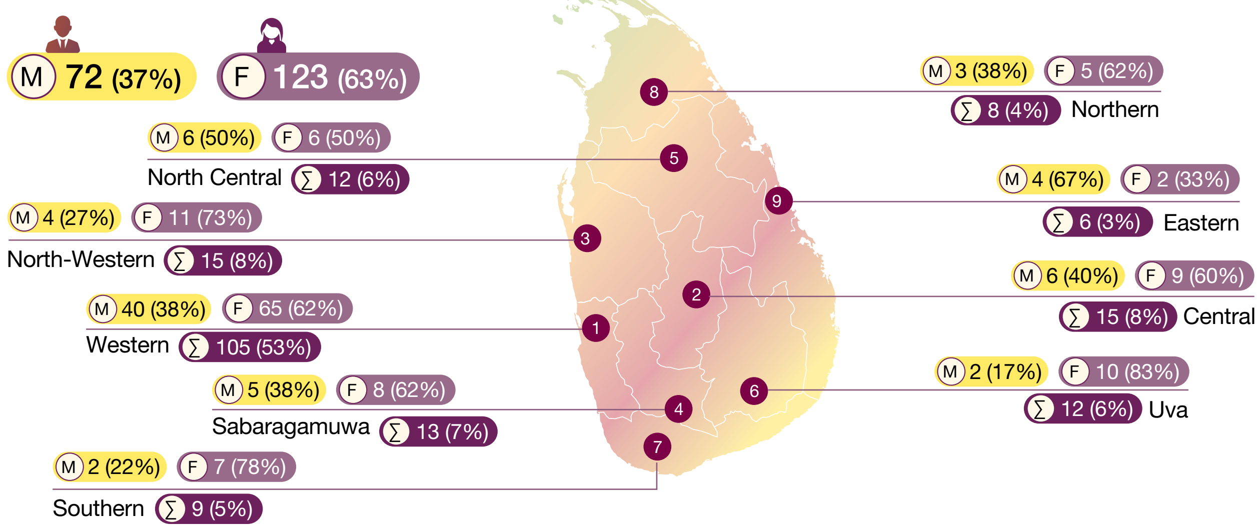
The Bank is dedicated to supporting employees' long-term financial security and well-being beyond their active service. The Bank offers a comprehensive range of post-employment benefits, including pension plans, post-retirement medical coverage, health insurance, and financial planning assistance for employees approaching retirement. These measures ensure that employees are well-prepared for life after their tenure, providing stability, peace of mind, and continued support for their post-career well-being.

In addition, retired employees are provided continued access to the Bank's holiday bungalow facilities at concessional rates, fostering ongoing engagement and enhancing their quality of life beyond active service.

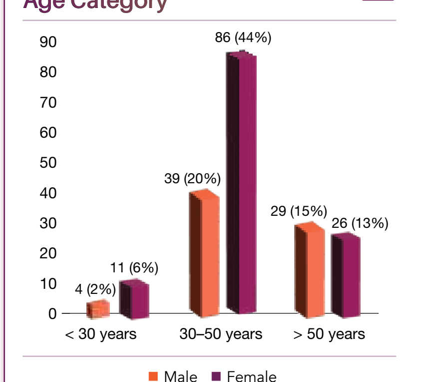
Employee Resignations and Attrition GRI 401-1

The Bank actively fosters employee retention to sustain a committed and stable workforce. The Bank gathers insights through exit interviews and surveys, using feedback to improve workplace practices. Departing employees are supported through structured off-boarding, including career counselling, resume guidance, and assistance with future employment opportunities, ensuring a smooth and positive transition while maintaining engagement and trust throughout the workforce.

Employee Turnover by Region and Gender



Employee Turnover by Age Category



PRIORITY AREA: 05

Driving Digitalisation and Sustainable Practices

The Bank approaches digitalisation and sustainability through a strong human capital lens, recognising that people remain central to long-term performance and resilience. Digital tools and systems are adopted to support employees, streamline work, and improve decision-making, enabling the workforce to operate more effectively in an evolving environment.

By embedding digital capabilities into people, processes and everyday operations, the Bank strengthens productivity, builds adaptability, and supports continuous skill development. This people-centred approach ensures that technology complements human expertise, reinforcing engagement, capability, and organisational readiness for the future.

Cloud-based HR system: Initiated to support digital recruitment administration, employee self-service, learning management, and performance tracking.

Sustainable Initiatives

The Bank continues to integrate sustainability into its operations and culture by;

- Implementing paperless work flows and digital processes to reduce resource consumption.
- Rolling out branch-level green practices, including home gardening initiatives across more than 300 branches, actively involving employees in environmental stewardship.
- Scaling renewable energy adoption through solar power installations at branches, with staff supporting implementation, monitoring, and energy-efficient practices.
- Driving employee participation in environmental conservation initiatives, including coastal clean-up and marine awareness programmes.
- Promoting eco-friendly banking solutions, supported by staff engagement in customer education and product adoption.

STRATEGIC SHIFT AHEAD

Just as a Rubik's Cube reveals its full potential when each coloured facet aligns in harmony, the Bank's future is shaped by the coordinated strength of its human capital. Our human resources represent a vital dimension of capability, expertise, and insight. This strategic shift is not just about navigating change it is about leveraging the Bank's collective talent to unlock new opportunities, drive integrated growth and deliver measurable impact. By aligning our people, processes and innovation, we rotate towards a future that is resilient, sustainable and full of possibilities.

Bank of Ceylon launched strategic HR transformation to align human resource capabilities with business priorities; digital transformation, customer satisfaction, and organizational excellence. The Bank will implement strategic initiatives including revamping succession planning for all critical leadership roles, performance-based culture with merit rewards, digital skills development for employees, and modern HR technology systems. This transformation directly enables business success by building a high performing team required for technological advancement, creating engaged employees who deliver superior customer experiences, and developing strategic capabilities through systematic learning aligned with competency gaps. With clear KPIs, robust governance, and comprehensive change management, the Banks expects measurable outcomes in the future.

Short term

- Modernise HR infrastructure: Migration of the human capital management system to a cloud-based platform.
- Strengthen leadership and capabilities: Invest in targeted leadership and skill development to maintain service excellence and organisational resilience.
- HR Transformation: To support its transformation agenda, the Bank appointed a DGM – Transformation and HR Strategy to lead strategic HR modernisation initiatives. This role will guide the adoption of best-practice HR frameworks, strengthen a performance-driven culture, and advance data-driven workforce management to support the Bank's evolving talent and organisational priorities.

Medium to Long term

- Leverage AI for people decisions: Extend AI capabilities to enable workforce analytics, skills inventories, demand forecasting and personalised learning recommendations for evidence-based decision-making.
- Institutionalise leadership pipelines: Systematically identify, develop and deploy talent for critical and emerging roles through a structured leadership and succession management framework.
- Enhance digital skills and productivity: Implement role-based digital capability frameworks and structured reskilling programmes across functions.
- Embed employee engagement and well-being: Integrate engagement and wellness initiatives into core HR processes to improve retention, productivity and workplace stability.

POWERING DIGITAL EXPERIENCES

GRI 3-3

LKR 3.0 billion	1,510	71%	34%	88%	23%
Invested in digitalisation	Digital contact points	Digitally enabled customers	Virtually enabled customers	Digital transactions	Increased in digital adoption

Bank of Ceylon's digitalisation strategy is driven by a clear ambition to empower customers through digital excellence while strengthening the foundations of a resilient, future-ready institution. Digital transformation continues to be embedded at the core of business operations, positioning technology as a strategic enabler of long-term value creation.

Guided by defined priorities, the digital roadmap focuses on elevating customer experiences to global standards while enhancing productivity, efficiency and operational resilience through process re-engineering and automation. Progress during the year reflects disciplined execution, with foundational investments across IT infrastructure, cybersecurity and digital platforms reinforcing trust, expanding access and strengthening the Bank's readiness for an increasingly digital economy.

SDGs Impacted

Material Topics

Strategic Pillar

CONTEXT FOR 2025

- Continued execution of the digital transformation roadmap, delivering key milestones across customer experience, infrastructure and productivity.
- Launched and rapidly scaled a new retail mobile banking app with interbank functionality.
- Upgraded core IT infrastructure and cybersecurity capabilities, enhancing scalability and resilience with no material data breach incidents recorded.
- Advanced cloud readiness and data capabilities, including cloud-ready architecture and the deployment of AI-enabled customer support.

- Improved IT governance and compliance maturity through successful regulatory and external audits.
- Established BOC IT Solutions (Private) Limited as the IT services arm of the Bank.
- Strengthened digital payments and financial inclusion by expanding QR payments to local authorities and extending agent banking via Sri Lanka Post.
- Expanded end-to-end digital journeys through digital deposits, near-instant loans against deposits and e/v KYC onboarding.

STRATEGIC PILLAR

Digital Excellence

BOC's digital capital strategy remained anchored in **empowering customers through technology-led innovation.** During the year, the Bank advanced its digital transformation roadmap by strengthening customer friendly platforms, modernising core infrastructure, and enhancing security and governance. These efforts improved accessibility, reliability, and trust across its operations.

Priority Areas

- Smooth and responsive customer service
- Scalable infrastructure and processes
- Strengthening security and IT governance

PRIORITY AREA: 01 | GRI 2-6

SMOOTH AND RESPONSIVE CUSTOMER SERVICE

In an era of evolving customer expectations, delivering smooth and responsive digital services is essential for engagement and satisfaction. BOC has focused on expanding self-service capabilities, streamlining onboarding journeys, and introducing lifestyle-oriented features. This ensures customers can access banking services easily, conveniently, and across a range of digital channels.

POWERING DIGITAL EXPERIENCES

New Channel Development

The Bank continued to strengthen its leadership in digital banking by introducing customer-centric, agile digital solutions. During the year, focus was placed on expanding self-service capabilities, improving accessibility, and enabling customers to engage with the Bank through secure and intuitive digital channels. These initiatives were supported by the Bank's **Innovation Lab, Business Process Re-engineering** initiatives, and strengthened ecosystem partnerships across the financial and technology landscape, enabled through close collaboration between technology and business teams.

BOC Flex - Retail Mobile Banking App: Introduced a next-generation mobile app, laying the foundation for a future super-app ecosystem. This app offered enhanced functionality to meet a wide range of banking needs. It also enabled customers to link and manage accounts with other domestic banks, providing seamless interbank transactions through a single, unified digital interface.

BOC Smart Remit App: Sri Lanka's first real-time overseas remittance app.

Expansion of Agent Banking Services: The Bank continued to extend banking access across rural and underserved regions through its agent banking partnership with Sri Lanka Post, strengthening financial inclusion and accessibility nationwide.

Expansion of Digital Products: Digital savings accounts, fixed deposits, and instant loans against fixed deposits were further expanded, allowing customers to access core banking products entirely online without visiting a branch.

Refining Existing Channels

In parallel with new channel development, the Bank focused on enhancing existing digital platforms to ensure a consistent, reliable, and user-friendly experience across all customer touchpoints. Improvements were driven by customer feedback, usage insights, and the need to support increasing transaction volumes.

- **GOVPAY Integration:** The GOVPAY payment channel was successfully enabled across both SmartPay and BOC Flex applications, facilitating seamless payments to Government institutions connecting over 220 Government entities through the Bank's digital platforms.
- **Inclusive Digital Experience:** Strengthened accessibility of website through adjustable font sizes, zoom functions, and easier navigation for differently-abled customers.
- **AI-based Website Chatbot – (BOC AI Assist)** An AI-powered virtual assistant was introduced on the corporate website to provide instant, accurate and user-friendly banking support. The chatbot enables customers to access assistance anytime, in Sinhala, Tamil and English, improving responsiveness and accessibility of digital service channels.
- **Cheque Inquiry via WhatsApp Banking:** Customers can now perform cheque status inquiries through WhatsApp Banking, BOC Meta Banking adding a convenient self-service touchpoint.
- **Fuel Card for SOEs** A dedicated fuel card was introduced for SOEs, expanding digital payment solutions for key national institutions.
- **Queue Management System:** Installed in 100 new branches island-wide, improving branch service efficiency and customer experience.

Digital Onboarding

The Bank leveraged digital verification and remote authentication technologies to simplify customer onboarding journeys. The e/v KYC-based remote onboarding facility enables customers to open accounts entirely through video-based KYC, eliminating the need for branch visits. These initiatives accelerated account opening, enhanced convenience, and contributed to higher levels of digital adoption across the Bank.

372,000 +
Smart Passbooks

1.4 million +
BOC Flex/ B app/ Smart Online Banking

143,000 +
Smart Pay

17,000 +
BOC Meta banking

PRIORITY AREA: 02

SCALABLE INFRASTRUCTURE AND PROCESSES

Operational resilience and scalability remained fundamental to supporting the Bank's digital growth. During the year, IT infrastructure was further modernised to support higher transaction volumes, rising digital adoption, and the delivery of more sophisticated digital services.

Key initiatives included enhancements to virtualised infrastructure environments, upgrades to network and application platforms, and the deployment of advanced system monitoring solutions.

These investments strengthened system stability, improved performance, and supported progress towards higher system availability and reliability targets over the medium term.

To accelerate the modernisation of its digital and technology landscape, the Bank also established BOC IT Solutions (Private) Limited, a revived wholly-owned subsidiary mandated to strengthen digital infrastructure, manage IT operations and develop advanced ICT solutions.

In parallel, the Bank introduced an internal IT Service Management (ITSM) platform to streamline the handling of IT service requests across the organisation. The ITSM tool provides a structured and transparent workflow for incident reporting, service requests and system support, enabling faster response times, improved service tracking and more consistent service delivery across branches and operational units.

Platform Modernisation and Technology Optimisation

The Bank continued to upgrade core technology platforms to ensure they remain robust, scalable, and capable of supporting future digital requirements. Network and security platforms were strengthened to accommodate higher data volumes and evolving usage patterns, while application environments were optimised to improve responsiveness and resilience.

Enhanced monitoring and alerting mechanisms enabled proactive identification of potential system issues, supporting faster resolution times and reduced service disruptions across critical digital channels. Key infrastructure investments completed during the year include credit card system hardware upgrades, ATM switch migration, perimeter firewall replacement, integrated backup solutions, virtual platform upgrades and new CEFT acquirer switch.

Process Re-engineering and Workflow Automation

Process re-engineering remained a key focus area during the year. Through structured workflow automation initiatives, the Bank simplified and digitalised major processes across centralised operations including customer onboarding, accounts opening, user profile management, data collection, external reporting, etc.

These efforts resulted in measurable reductions in paper usage, processing turnaround times, and manual intervention, while improving operational transparency and control. Digitised workflows contributed to faster service delivery for customers and enhanced productivity and consistency across internal teams.

11
No. of new workflow automations

LKR 116.5 million +
Total cost savings achieved through workflow automation

6.6 million +
Paper saved

101,000 +
Staff hours saved through workflow automation

Cloud-Readiness and Future-State Architecture

The Bank advanced its cloud-readiness strategy in line with regulatory requirements and risk management considerations. While external approvals continue to shape implementation timelines, internal systems were designed using cloud-ready architectures to ensure future flexibility.

The planned phased migration of non-customer-data systems, starting with human resource platforms, reflects a measured and risk-aligned approach to cloud adoption. This approach ensures the Bank is ready to leverage cloud capabilities efficiently once regulatory approvals are obtained, without compromising data security or operational integrity.

- **No material cybersecurity or data breach incidents reported**
- **Technology and resilience audits successfully completed**
- **Improved compliance scores / reduced audit observations**

PRIORITY AREA: 03

STRENGTHENING SECURITY AND IT GOVERNANCE

As banking operations become increasingly digital and interconnected, strong cybersecurity and disciplined IT governance remain essential to sustainable digital progress. As part of its digital transformation agenda, the Bank continues to adopt a structured, risk-aligned approach to protecting systems, data, and stakeholder trust.

During the year, robust cybersecurity frameworks, data privacy controls, and governance practices were further embedded across the digital ecosystem. These measures ensure that innovation, partnerships, and digital expansion are supported by resilience, regulatory compliance, and strong accountability, reinforcing confidence in the Bank's technology-enabled operating model.

Customer Privacy GRI 418-1

No incidents of substantiated complaints concerning breaches of customer privacy were reported during the year.

No identified data leakages, thefts, or losses of customer data were recorded in 2025.

Data Protection

In line with the Data Protection Act No. 9 of 2022, the Bank's Data Protection Officer (DPO), who reports independently to the General Manager, continued to oversee the implementation and enforcement of data privacy measures across the Bank.

During the year, the DPO remained responsible for developing and maintaining comprehensive data handling policies and procedures to safeguard customer information. Regular training and awareness programmes were conducted to strengthen staff understanding of data protection obligations. The Bank also carried out periodic audits and inspections to assess regulatory compliance and mitigate the risk of data breaches.

Security Frameworks

To further reinforce its digital security posture, the Bank continued to adopt industry-recognised security frameworks and technologies. The initiatives implemented or strengthened during the year to uphold the highest standards of customer trust and confidentiality include Data Loss Prevention (DPL) enhancements and analytics upgrades.

IT Governance and Standards Alignment

The Bank continued to strengthen its IT governance framework to ensure that technology investments, digital partnerships, and platform integrations remain aligned with strategic objectives while safeguarding system integrity, regulatory compliance, and business continuity.

Oversight of IT and digital strategy is exercised through a structured set of management and Board-level committees, ensuring alignment between business objectives, technology investments, and the Bank's risk appetite. IT governance framework is aligned with CBSL Technology Risk Management Direction No. 16 of 2021.

In response to increasing cyber threats, regulatory complexity, and ecosystem-based operating models, the Bank progressed towards the implementation of an Enterprise IT Governance Framework based on COBIT 2019, supported by alignment with international standards and best practices, including:

- **Quality Management Systems (ISO 9001)**
- **Service Management Systems (ISO 20000-1)**
- **IT Infrastructure Library (ITIL) best practices**
- **Risk Management (ISO 31000)**
- **Information Security Management Systems (ISO 27001)**
- **Project Management Body of Knowledge (PMBOK)**

STRATEGIC SHIFT AHEAD

As BOC advances its digital transformation, the Bank will build on this year's progress while driving initiatives that enhance resilience, accessibility, and trust across its digital ecosystem. Key focus areas include:

Short term

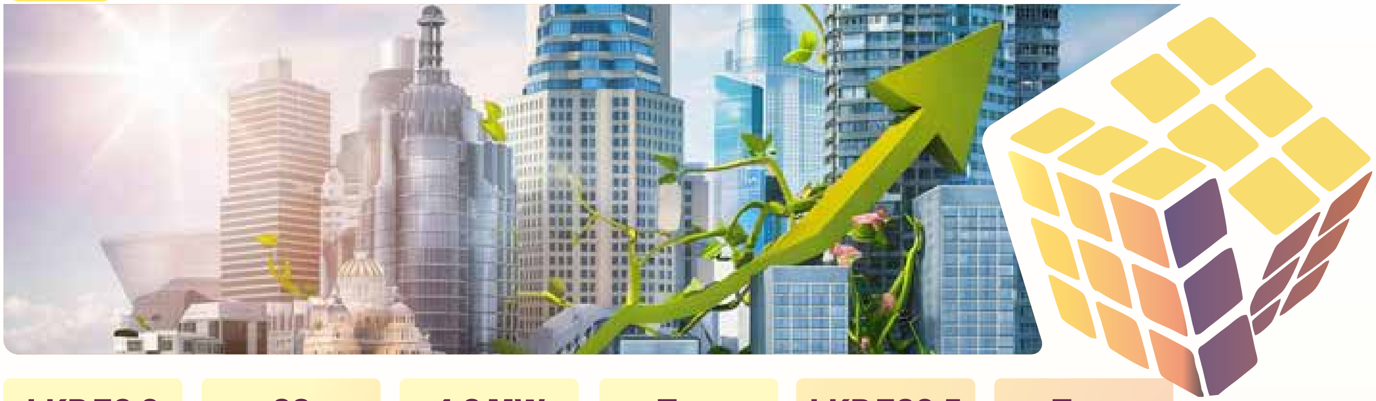
- Accelerating digital transformation by recruiting relevant skilled professionals.
- Evolving BOC Flex into a Super App with value-added services delivered through an agile approach, aligning with the Government e-roadmap and CBSL Digital Roadmap.
- Developing a Super App for overseas branch customers.
- Introducing a new Contact Centre Solution with AI-capabilities for improved customer responsiveness.
- Implementing AI-based personalised banking offerings and broadening digital lending platforms for financial access.
- Upgrading the existing Core Banking System with advanced features.
- Implementing a new cloud-based HR solution to strengthen workforce efficiency and digital adoption.
- Investing in specialised training and innovation culture to build long-term capability and resilience.

Medium to Long term

- Progressing cloud-based architecture migration for scalability, reliability, and efficiency.
- Enhancing cybersecurity, fraud monitoring, and IT governance frameworks to protect customer assets and ensure continued regulatory compliance.
- Deepen analytics, AI, and data governance with strong ethical safeguards to enhance service delivery and operational efficiency.

BUILDING A SUSTAINABLE FUTURE

GRI 3-3



LKR 73.0 billion	28	4.3 MW	Two	LKR 780.5 million	Two
Sustainable financing	New Solarised branches	Solar capacity installation	New green buildings	Community investment	New BOC Gammana projects

Much like solving a Rubik's Cube, sustainable progress requires understanding how each decision influences the broader system and aligning multiple elements toward a shared outcome. At BOC, sustainability is deeply embedded in the Bank's strategic fabric and operational ethos, shaping decision-making, risk management and value creation across the organisation. Guided by a long-standing commitment to national progress and responsible financial stewardship, the Bank integrates environmental, social and governance principles into its core business model, ensuring that growth is pursued with resilience, accountability and long-term societal impact at its forefront.

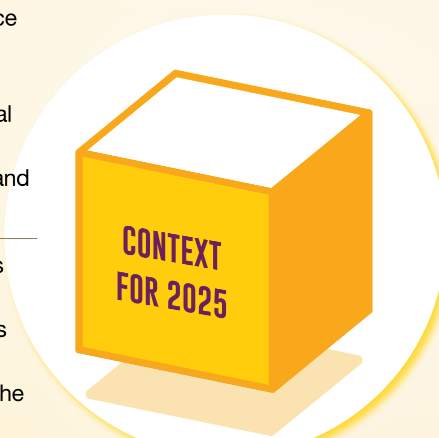
By embedding sustainability within governance frameworks, product innovation and stakeholder engagement, the Bank continues to transform emerging global and local challenges into opportunities for sustainable growth.

SDGs Impacted

Material Topics

CONTEXT FOR 2025

- Climate related risks and resource constraints continued to affect operational resilience, cost structures and long-term financial stability, reinforcing the need for efficient resource management and environmental responsibility.
- Evolving regulatory requirements and rising stakeholder expectations increased the focus on sustainability governance, climate related disclosures and the integration of environmental and social considerations into decision-making.



- Ongoing socio-economic pressures underscored the importance of financial inclusion, community development and responsible banking practices in supporting livelihoods and national resilience.
- Increased emphasis on operational efficiency and cost discipline highlighted the role of energy efficiency, digitalisation, and automation in strengthening productivity while reducing environmental impact.
- Greater scrutiny of supply chains and procurement practices reinforced the need for responsible sourcing, ethical labour standards and improved transparency across third-party relationships.

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BUILDING A SUSTAINABLE FUTURE

STRATEGIC PILLAR

Catalysing Inclusive and Sustainable National Development

As a domestic systemically important financial institution, Bank of Ceylon plays a pivotal role in advancing Sri Lanka's economic resilience and long-term development. Guided by responsible banking principles, the Bank integrates social impact, environmental stewardship, and strategic partnerships into its operations. Through development lending, community investment, and sustainable finance, BOC supports productive sectors, strengthens communities, and contributes to a more inclusive and sustainable national economy.

Priority Areas

- Fostering Economic Stability and Community Strength
- Forging Stronger Collaboration across Industry and Partner Networks
- Environmental Stewardship, Carbon Management and Impact Reduction

PRIORITY AREA: 01

FOSTERING ECONOMIC STABILITY AND COMMUNITY STRENGTH

Supporting National Economic Stability and Growth

Socio-economic stability remained the central to the Bank's role as the leading financial institution in Sri Lanka. With deep linkages across households, enterprises, and public infrastructure, the Bank continued to support economic resilience by enabling access to finance, supporting productive sectors, and contributing to national recovery and development efforts.

As a steadfast partner in Sri Lanka's journey of progress, BOC champions initiatives that shape communities, strengthen local infrastructure, and empower livelihoods. The Bank's strategic investments go beyond immediate impact, fostering long-term economic stability while elevating the quality of life for generations of Sri Lankans. These initiatives leave a lasting imprint driving inclusive growth, nurturing resilience, and reinforcing the nation's path toward sustainable prosperity.

FINANCING KEY SECTORS

LKR 493.4 billion	Housing and Construction
LKR 159.7 billion	Agriculture and Fisheries
LKR 206.9 billion	Manufacturing
LKR 109.5 billion	Tourism

Empowering Communities through Development Finance

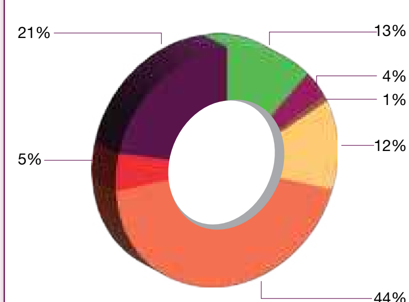
GRI 413-1, 203-1,2

Bank of Ceylon has long stood as a cornerstone of Sri Lanka's economic development, leveraging its financial strength and expertise to drive sector-specific growth while prioritising lending to priority sectors.

Development Lending

Through development lending, the Bank strategically channels credit to high-impact sectors such as agriculture, SMEs, renewable energy, and infrastructure. These targeted investments not only fuel sectoral expansion but also generate employment, enhance productivity, and stimulate regional development, amplifying the Bank's contribution to national economic growth.

Development Lending Portfolio %



- Agriculture
- Travel and Tourism
- Textile Industry
- Food Processing
- Other (local handicrafts, pottery, etc.)
- Green Businesses
- Micro Finance

Reaching Grassroots through Microfinance

Complementing its macro-level initiatives, the Bank is committed to inclusive finance, bringing financial services to under served communities. This access enables secure savings, easier receipt of funds, and participation in broader economic opportunities, creating a foundation for long-term financial resilience.

MICRO FINANCE

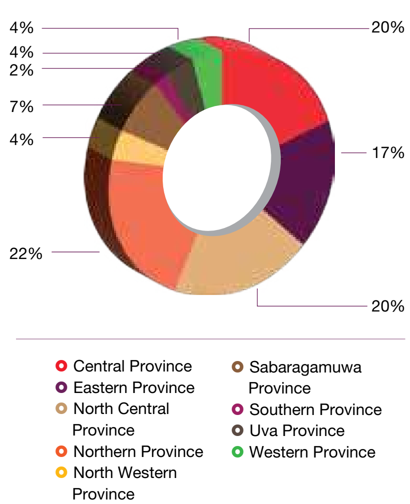
LKR 25.9 billion
New loans

LKR 7.2 billion
for women-led Businesses

BOC Mithuru GRI 413-1

At the grassroots, BOC facilitates Mithuru Groups, community-based lending circles that offer collaborative support, shared resources, and financial access to groups that might otherwise remain under served. These initiatives foster solidarity, trust, and sustainable economic activity within communities.

BOC Mithuru Groups %



Empowering Lives Across Every Stage of Growth

The Bank's lending ecosystem is designed to create meaningful impact at every stage of the financial journey from students taking their first steps toward financial literacy to community entrepreneurs driving local development. By tailoring products and programmes to the specific needs of each segment, the Bank ensures that financial inclusion and empowerment are not just ideas but tangible realities across Sri Lanka.

Nurturing the Next Generation

Bank of Ceylon begins its engagement early, helping students cultivate saving habits and financial awareness. Initiatives like **Grade Five Hapana Scholarship Programme and Seminars** provided educational opportunities to more than 15,000 deserving students, while **BOC Sansada School Savings Units** instill a culture of savings and responsible money management from a young age. These initiatives lay the foundation for lifelong financial confidence and literacy.

Through awareness programmes like "Nanajaya" career guidance seminars, mentorship opportunities, and financial guidance were delivered to over 6,000 teenagers to explore new pathways for personal and career advancement.

Supporting Youth Ambition

Recognising that the aspirations and capabilities of young people are central to Sri Lanka's long-term socio-economic progress, the Bank continued to support youth development through a range of educational and financial empowerment initiatives.

Complementing these efforts, BOC Youth Loans provide young individuals with access to financing designed to support entrepreneurship, skills development, and early-stage business ventures. Through these financial solutions, the Bank enabled over 19,000 young people to translate ideas into viable enterprises, fostering innovation, job creation, and economic participation among youth across the country.

In addition, the **"Dream Builders"** initiative focuses on nurturing entrepreneurial thinking and ambition among young people by encouraging them to envision and pursue their professional goals with confidence.

Community Impact at the Core

GRI 413-1

The Bank continues to embrace community development and capacity building as pillars of its corporate purpose. Anchored in its Sustainability Framework, the Bank's efforts extend beyond traditional financial services empowering communities, strengthening livelihoods, and building social resilience across Sri Lanka. Through strategic community investments, staff-led initiatives and inclusive banking solutions, the Bank creates tangible social impact.

The **"BOC Gammana"** initiative is a flagship programme designed to uplift under-served rural communities through holistic interventions. During the year, two new BOC Gammana were established in Gombaddala, Deiyandara in Southern Province and Nagala, Bibile in Uva Province empowering over 4,600 beneficiaries. This initiative blends infrastructure development, financial literacy, and capacity building while fostering long-term economic sustainability.

Key highlights:

- Upgrading essential community infrastructure, such as purified water systems, playgrounds, and transport facilities.
- Enhancing educational facilities, including computer labs, smart classrooms, and library support to improve digital literacy.
- Strengthening financial literacy, particularly among children and women, through BOC Mithuru groups and Ran Kekulu Sansada savings programmes.
- Promoting community pride and ownership, with initiatives such as tree planting, street signage, and public space beautification.

BUILDING A SUSTAINABLE FUTURE

This integrated approach ensures that development is participatory, sustainable, and aligned with financial inclusion objectives.

In 2025, the Bank contributed LKR 780.5 million to a diverse range of initiatives, from cyclone relief, healthcare and education to community infrastructure, reaffirming its role as a socially responsible and impactful institution. This includes the Bank's contribution of LKR 500.0 million to the "Rebuilding Sri Lanka" Fund to support relief, recovery, and rehabilitation efforts for communities affected by the recent Cyclone Ditwah.

Staff Voluntarism Turning Commitment into Action

The employees of the Bank play an active role in translating the Bank's community mandates into measurable outcomes. In 2025, employees contributed many hours in:

Key highlights:

- Financial literacy programmes, guiding rural populations on savings, budgeting, and small enterprise management.
- Entrepreneur mentoring, supporting micro-business owners in operational and strategic planning.
- Community service projects, including school renovations, environmental awareness campaigns, and infrastructure upgrades.
- Donation of LKR 50.0 million worth dry rations to cyclone affected people across the provinces.

Staff voluntarism embodies BOC's culture of empathy and service, amplifying the Bank's reach far beyond its branches.

PRIORITY AREA: 02

FORGING STRONGER COLLABORATION ACROSS INDUSTRY AND PARTNER NETWORKS

Collaborative Engagements

The Bank works closely with the Government institutions, civil society, and private sector institutions to co-design and implement initiatives that address community-specific needs. Projects such as **"Life to Our Beaches"** coastal clean-up and awareness programmes in collaboration with Marine Environment Protection Authority (MEPA), the Wildlife Day commemoration in collaboration with the Department of Wildlife Conservation focusing on mitigating human–elephant conflict, and the Plastic recycling project implemented with John Keells Holdings PLC demonstrate the Bank's integrated approach to environmental stewardship and community engagement.

As part of environmental engagement, the Bank partnered with Sri Lanka Rupavahini Corporation to support a tree planting initiative aligned with national climate and reforestation efforts, reinforcing its commitment to long-term carbon reduction and ecosystem restoration.

Building Partnerships for Impact

GRI 2-28

The Bank continues to play an active role in strengthening Sri Lanka's financial service ecosystem through its memberships in key industry associations, professional bodies, and collaborative platforms. These partnerships support knowledge sharing, regulatory engagement, and collective initiatives that contribute to the stability and development of the banking sector and the wider economy.

By working closely with these institutions, the Bank benefits from shared expertise, industry insights, and opportunities for collaboration that enhance the capabilities and reinforce the commitment to responsible and progressive banking practices.

During the year, the Bank maintained active membership in the following institutions:

Industry Associations

- Sri Lanka Banks' Association (Guarantee) Limited
- National Chamber of Commerce of Sri Lanka
- Ceylon Chamber of Commerce
- Asia Pacific Rural and Agricultural Credit Association (APRACA)

Professional and Sector Bodies

- Association of Compliance Officers of Banks, Sri Lanka (ACOB)
- Association of Banking Sector Risk Professionals, Sri Lanka

Governance and Institutional Bodies

- The Financial Ombudsman of Sri Lanka (Guarantee) Limited
- Sri Lanka Law Library
- Bar Association of Sri Lanka

Sustainability and Environmental Platforms

- Green Building Council of Sri Lanka
- Biodiversity Sri Lanka

Supporting Local Suppliers

GRI 204-1

At Bank of Ceylon, supporting local suppliers is a key part of our commitment to responsible and sustainable business. By prioritising local sourcing, we not only strengthen our operations but also contribute to the growth and resilience of Sri Lanka's economy as follows:

Key highlights:

- **Empowering Local Businesses:** Engaging SMEs and local vendors through procurement contracts, helping them grow and create employment opportunities.
- **Sustainable Supply Chain:** Encouraging suppliers to adopt environmentally and socially responsible practices.

- **Economic Impact:** Retaining business value within the country, fostering community development, and reducing reliance on imports.
- **Partnership and Growth:** Building long-term, mutually beneficial relationships that reinforce the Bank's role as a responsible corporate citizen.

Through these initiatives, the Bank ensures that every partnership with a local supplier supports broader economic resilience and sustainability, reflecting our commitment to people, communities and the nation as a whole.

Total Payments made to local suppliers

LKR 9.0 billion

84% of total supplier payments

PRIORITY AREA: 03

ENVIRONMENTAL STEWARDSHIP, CARBON MANAGEMENT AND IMPACT REDUCTION

Reducing Carbon and Resource Footprint

GRI 302-1| 305-4

Digital transformation, energy audits, and green building practices continue to reduce resource intensity across the Bank's operations. Automation and paperless processes have improved energy efficiency while strengthening operational performance.

A comprehensive energy audit was conducted at the BOC Head Office building to identify opportunities for improved efficiency and reduced energy intensity. The resulting recommendations are being implemented in phases, supporting measurable improvements in operational performance and cost discipline.

During the year, the Bank's total energy consumption amounted to 177.5 TJ, of which fuel consumption accounted for 81.0 TJ.

To reinforce accountability at the site level, Energy Management Officers were appointed across the branch network in line with the implementation of the Sri Lanka Sustainable Energy Authority's energy benchmark regulations. These officers are responsible for monitoring energy consumption and ensuring compliance with the prescribed efficiency benchmark of 180 kWh per square metre per year. Monitoring extends beyond electricity to include water usage and fuel consumption, providing a comprehensive view of operational resource intensity.

In parallel, the Bank initiated the development of an internally built non-financial data management system, enabling centralised capture of environmental performance data across branch network. This system strengthens traceability, improves internal controls, and enhances audit readiness by moving from manual data collection to structured, system-based reporting.

Together, these measures reflect a more disciplined and integrated approach to operational carbon management, embedding energy performance oversight into day-to-day decision-making across the Bank.

	2025	2024	Change %
Electricity consumption (MWh)	**26,809**	25,820	4
Fuel consumption (m^3)	**959**	233	312
Electricity generated from renewable sources %	**21**	18	

Fuel consumption has increased during the year, in line with the expansion of business operations.

Sustainable Infrastructure and Energy Use

All new construction projects undertaken by the Bank continue to comply with Green Building Council (GBC) standards, reinforcing a long-term commitment to energy-efficient infrastructure and environmentally responsible design. This commitment has been consistently recognised through the GBC's Green Business Leadership award over multiple years.

To date, 12 branches have been designated as environmentally friendly buildings under GBC certification.

Green energy adoption continued to expand during the year, with 101 branches equipped with rooftop solar installations and total capacity of 4.3 MW strengthening the Bank's renewable energy base. The expansion of on-site solar generation reduces dependency on grid electricity, contributes to lower operational emissions, and supports greater energy security across the branch network.

By integrating renewable energy into its infrastructure strategy, the Bank is not only reducing its environmental footprint but also improving long-term cost stability and enhancing brand reputation solar generation mitigates exposure to future electricity price volatility while enhancing operational resilience across geographically dispersed facilities.

Emissions

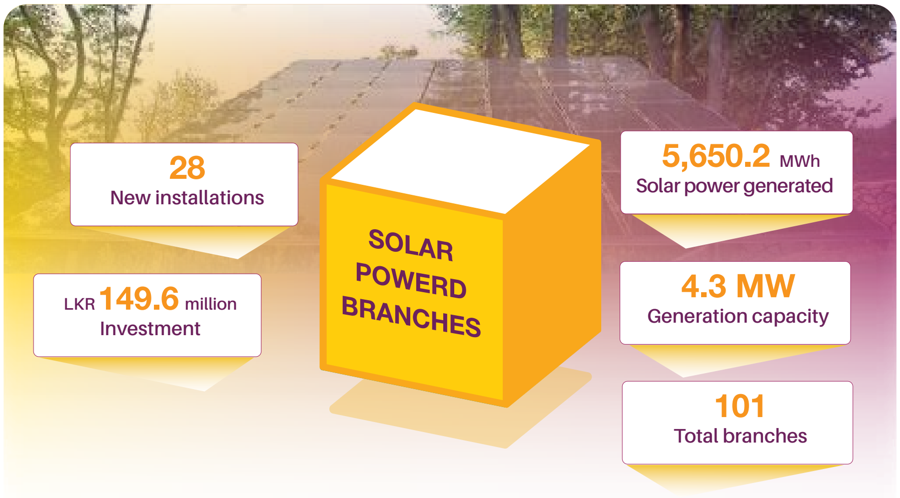
GRI 305 - 1, 2, 3, 4, 5, 6

The Bank manages greenhouse gas (GHG) emissions in line with national and international standards. Measurement and reporting are guided by ISO 14064-1, with 2021 maintained as the base year. Emissions calculations follow IPCC guidelines, using Global Warming Potential (GWP) values from the IPCC Sixth Assessment Report to ensure accuracy and transparency.

During the year, the Bank strengthened its emissions boundary and data integrity by incorporating subsidiaries into the organisational boundary, with plans to expand coverage to overseas branches from 2026 onwards.

In parallel, the transition from manual data consolidation to an internally developed system-based non-financial reporting platform has improved consistency, traceability, and auditability of emissions data across the branch network. Environmental performance data is subject to internal audit review, reinforcing disclosure reliability and supporting readiness for enhanced external assurance requirements.

BUILDING A SUSTAINABLE FUTURE



The Bank's emissions profile in 2025 is as follows:

	2025	2024	Change %
Scope 1 Emission (tCO_2e)	**1,251.9**	1,120.7	12
Scope 2 Emission (tCO_2e)	**11,187.7**	11,047.1	1
Emission intensity - Scope 1 and Scope 2 (per million of revenue)	**0.02**	0.02	-

Air emissions recorded in 2025 included 1,063.01 metric tons of CO_2, 6.56 metric tons of CH_4, 8.98 metric tons of N_2O, and 173.32 metric tons of HFCs. The Bank continued to priorities emissions reduction through energy efficiency measures, cleaner technologies, and strengthened regulatory compliance.

The Bank continued the shift toward environmentally preferable refrigerants, reducing the use of ozone-depleting substances (ODS) and lowering emissions from cooling operations.

Material Consumption

GRI 306-1, 3, 4

The Bank applies sustainable procurement standards across all material purchases, including IT equipment, air-conditioning units, and UPS systems, ensuring alignment with defined environmental performance requirements. Procurement decisions prioritise energy-efficient products and the use of recycled or recyclable materials, supporting circular economy principles while reducing overall material intensity.

Resource stewardship extends beyond procurement controls through structured recycling and waste management partnerships. During the year, the Bank strengthened its **plastic recycling initiatives through a collaboration with John Keells Holdings,** enabling systematic collection and responsible processing of plastic waste.

Equivalent to saving
244 mature trees

Equivalent to saving
57,440 KWh energy

Equivalent to saving
456,361 litres of water

Equivalent to Landfill reduction
43 m³

A food waste audit was conducted at Head Office to assess consumption patterns and identify reduction opportunities within operational processes. The findings are being used to improve internal waste management practices and strengthen resource efficiency.

In 2025, sustainability requirements were further embedded into standard procurement specifications, ensuring biodegradable alternatives are prioritised for future replenishment and branch operations. Monitoring of material use and enhanced segregation practices were integrated across facilities, strengthening supplier accountability and supporting measurable reductions in procurement-related waste.

In addition, environmental risk considerations have been extended to physical infrastructure decisions. **A protected area and biodiversity screening policy** was introduced to guide new branch openings and relocations, ensuring that operations do not adversely impact environmentally sensitive or protected areas.

The Bank's journey toward digitalisation has redefined the way we serve our customers while simultaneously reducing our environmental footprint. By embracing paperless transactions, the Bank has eliminated cumbersome forms and manual processes, enabling seamless fund transfers, electronic statements, and fully integrated online banking solutions.

This transformation is more than just convenience it represents a strategic leap in operational efficiency. With digital processes replacing traditional paperwork, staff can focus on higher-value services, customers experience faster and more reliable banking, and the Bank significantly reduces its reliance on physical resources.

The shift to a paperless environment is also a commitment to sustainability. By minimising paper usage, Bank of Ceylon not only optimises costs but actively contributes to reducing environmental impact, aligning with global best practices in responsible banking.

The paper recycling efforts continued in partnership with Neptune Papers, supporting diversion of waste from landfill and reinforcing circular material flows across operations. Reduction of waste paper recycled YoY by 60% is a visible sign of the bank's commitment to protect nature.

Through this digital evolution, the Bank continues to demonstrate that innovation, efficiency, and sustainability can go hand in hand, empowering both the Bank and its customers to thrive in a modern, connected world.

Bank of Ceylon is committed to embedding sustainability into every aspect of its operations, including how we conduct meetings and host events. By consciously reducing the use of single-use plastics and limiting bottled water, the Bank actively minimises environmental impact while promoting responsible practices among employees, clients, and partners.

Through these deliberate actions, the Bank demonstrates that sustainability is not just a policy it is a mindset, integrated into daily operations and shared experiences, setting a standard for environmentally conscious practices across the industry.

Sustainable Financing

BOC's lending portfolio increasingly prioritizes projects that deliver environmental or social benefits, including renewable energy, energy-efficient infrastructure, and socially responsible enterprises. Sustainability-linked loans incorporate key performance indicators aligned with ESG objectives, motivating clients to adopt greener and more socially responsible business practices.

The Bank also offers sustainable deposit schemes, allowing customers to channel their savings toward projects with positive environmental and social impacts. These products are designed to promote responsible investment habits and generate measurable benefits for communities and ecosystems.

The Bank's investment strategy integrates ESG principles, focusing on green bonds, climate-resilient infrastructure, and socially responsible funds. The portfolio is actively managed to balance financial returns with measurable environmental and social impact, supporting the transition to a sustainable and inclusive economy.

Through these initiatives, BOC continues to reinforce its leadership in sustainable finance, embedding environmental and social considerations into every facet of its operations and customer offerings.

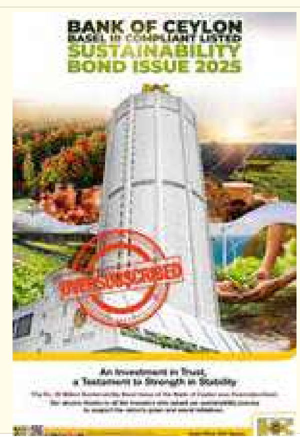
Sustainability considerations are embedded into the Bank's financing and operational decisions, reinforcing its role in supporting a lower-impact and more resilient economy. All credit disbursements are assessed against defined environmental and social criteria under the Environmental and Social Management System (ESMS), ensuring that financing activities are aligned with responsible lending principles.

During 2025, the Bank strengthened its sustainable finance architecture through the development of an in-house **Sustainable Finance Framework,** which establishes the principles, eligibility criteria, and governance mechanisms for green and sustainability-linked financing activities. Independent audit assurance was obtained over the framework, reinforcing transparency and credibility in sustainable finance disclosures.

SUSTAINABILITY MILESTONES IN 2025

The Largest Sustainability Bond issue in Sri Lanka

- **Pioneering move -** The largest sustainability bond by a financial institution.
- **Funding the future –** Up to 75% allocated to social projects; the rest to eligible green projects.
- **Aligned with global standards –** Complies with ICMA Green & Social Bond Principles and Sustainability Bond Guidelines.
- **Local alignment –** Meets Sri Lanka Green Finance Taxonomy standards.
- **Driving responsible finance –** Strengthens ESG integration across BOC's portfolio.
- **Empowering change –** Supports projects that benefit communities and the environment.



Sri Lanka's first biodegradable debit card

- **86th Anniversary innovation –** Redefining banking with environmental responsibility.
- **Eco-friendly material –** Made from non-edible corn-based PLA, a renewable alternative to PVC.
- **Compostable lifecycle –** Industrially compostable, reducing long-term plastic waste.
- **Sustainability in action –** Part of BOC's wider agenda to embed responsible practices.
- **Empowering change –** Everyday banking, now greener and conscious.
- **Tackling plastic waste –** Minimises reliance on fossil fuel plastics, supporting responsible waste management.

BUILDING A SUSTAINABLE FUTURE

The Bank also registered with the **Partnership for Carbon Accounting Financials (PCAF)** to commence the measurement of financed emissions across its lending and investment portfolios. This marks a transition from managing operational emissions alone to assessing climate impact at portfolio level – a critical step in strengthening climate related risk assessment and disclosure in line with SLFRS S2.

Beyond financing, the Bank actively contributed to national and regional climate dialogue through its participation in the **Climate Action and Disaster Preparedness Summit,** which brought together representatives from 30 countries. This engagement reflects the Bank's recognition of climate resilience as both a financial stability consideration and a broader development priority.

Collectively, these initiatives signal a shift toward more structured climate alignment, integrating environmental considerations into capital allocation, risk assessment, and long-term strategic positioning.

Environmental Conservation

The Bank supports environmental conservation through structured community engagement and biodiversity-focused initiatives that extend beyond operational boundaries. Collaborative programmes undertaken during the year reinforced environmental awareness, ecosystem protection, and responsible site development practices.

In addition to community-based initiatives, biodiversity considerations have been embedded within infrastructure planning through a protected area screening policy. This reflects a shift from voluntary environmental activity toward structured biodiversity risk management within operational decision-making.

Together, these initiatives demonstrate a balanced approach that combines operational discipline with ecosystem stewardship, reinforcing the Bank's commitment to long-term environmental sustainability.

STRATEGIC SHIFT AHEAD

As we turn the next corner in our journey, every move is deliberate, aligning our pillars of growth, innovation, and sustainability. This strategic shift represents more than progress it reflects our commitment to integrated action, measured impact, and a future-ready vision. Together, we are rotating towards new opportunities, creating value for stakeholders, and shaping a resilient, sustainable tomorrow.

Short term

- Rollout of the ESG Policy and Roadmap in alignment with the Bank's 2026–2030 corporate strategy, including cascading KPIs across divisions and strengthening accountability at operational level.
- Progressive integration of climate related risk considerations into credit assessment, portfolio monitoring, and enterprise risk management in line with SLFRS S1 and SLFRS S2 requirements.
- Continued development of green and sustainability-linked financial products, supported by disciplined capital allocation under the Sustainable Finance Framework.
- Ongoing solarisation, energy efficiency improvements, and resource optimisation across the branch network to reduce operational emissions and strengthen energy resilience.
- Implementation of ESG screening for suppliers and continued enforcement of biodiversity screening protocols for new branch developments.

Medium to Long Term

- Operationalisation of PCAF-aligned methodologies to measure financed emissions across lending and investment portfolios, forming the basis for enhanced climate transparency.
- Full deployment of the non-financial data management system to improve accuracy, comparability, and audit readiness of sustainability disclosures.

GOVERNANCE AND RISK

Upholding Integrity and Accountability

With a steady hand, transparent oversight, and unwavering ethical stewardship, we bring order to complexity to ensure every move strengthens stakeholder trust.

Amid billions of shifting combinations in our operating environment, the Bank relies on a clear framework much like the Cube's underlying logic to guide each decision with integrity and purpose.

A Rubik's Cube reveals its solution only when every face aligns through deliberate, disciplined turns. Governance is no different.

GOVERNANCE AT BANK OF CEYLON

Chairman's Message on Corporate Governance

GRI 2-22

Bank of Ceylon's robust corporate governance practices continued to serve as a stabilising anchor in supporting economic development and financial system stability, against a backdrop of heightened operating challenges. Embedded at the core of decision making and oversight, the Bank's governance framework enables effective leadership, clear accountability and transparent reporting, while fostering a culture of integrity and resilience.

Board Focus

During the year, the Board directed its attention to a set of priority areas reflecting both evolving internal requirements and the external operating environment. Strategic oversight remained a key focus, with the approval of the Bank's five-year rolling strategic plan, providing clear medium-term direction aligned with the Bank's mandate and risk appetite.

The Board also focused on refining the organisational structure to ensure future readiness in a rapidly evolving landscape. Digitalisation and cybersecurity remained key priorities, recognising digital capabilities as a critical enabler of operational efficiency, enhanced service delivery and institutional resilience across all strategic pillars.

Improving returns, including a focused emphasis on strengthening Return on Tangible Common Equity (ROTCE), remained an important area of Board attention. Risk management continued to receive heightened focus, particularly in managing external shocks, including the impacts of Cyclone Ditwah, with emphasis on business continuity, employee safety and infrastructure resilience.

As a purpose-driven organisation, driving financial inclusion remained a key priority, alongside a continued focus on employee skill development and capability building. In parallel, the Board advanced the integration of sustainability and ESG considerations into core decision making, ensuring these are embedded within long-term value creation rather than treated as standalone initiatives.

Board Refreshment

The Board's collective skills and expertise were significantly strengthened during the year with the appointment of six new Directors, bringing a diverse and complementary mix of experience across banking and finance, accounting, corporate governance, science and engineering, and sustainable development. This enhanced skill composition further strengthens the Board's ability to provide effective oversight and strategic guidance.

I look forward to working closely with my fellow Directors and to the perspectives they bring as we continue to guide the Bank forward.

I also take this opportunity to extend my sincere appreciation to Mr Jayamin Pelpola, who resigned from the Board during the year, for his valuable contributions.

Ethics and Integrity

The Board continued to set the tone at the top, reinforcing the Bank's well-established organisational values and culture. The Bank's Code of Conduct and Ethics applies to Directors, Key Management Personnel and all employees, clearly setting out expectations on personal conduct and professional standards in engaging with both internal and external stakeholders.

During the year, further steps were taken to strengthen the Bank's framework on integrity and ethical conduct, including the appointment of a Chief Integrity Officer and continued awareness programmes on the Anti-Bribery and Corruption Policy.

Compliance Declaration

This Report, together with the Compliance Annexes on pages 405-454, outlines the Bank's approach to governance and its continued compliance with applicable regulatory and voluntary requirements.

I hereby confirm that the Board satisfactorily discharged its duties and responsibilities during the year 2025 and complied with the requirements of the Bank's Board Charter. There were no material violations of laws or regulations, nor were any material fines or penalties imposed on the Bank for any contraventions during the year under review.

Kavinda de Zoysa
Chairman

24 February 2026
Colombo

Board Composition

Strengthened Board with the addition of six new Directors resulting in an enhanced skill profile, wider perspectives and improved diversity.

11 Directors

Subcommittees

Reconstitution of subcommittees and revisions to subcommittee TORs to ensure alignment to the new Corporate Governance rules for Licensed Banks.

Board Focus

- Execution and monitoring of strategies
- Risk Management
- Digitalisation and cybersecurity
- Sustainability and ESG

Policy Update

Review and revision of policy framework.

Procurement procedures revised and aligned to the new procurement guidelines issued by the Government of Sri Lanka.

Corporate Governance Policy and Sustainability Policy were enhanced during the year.

New Policies

- Policy on Board Committees
- Policy on Control and Management of Bank's Assets and Shareholder Investments
- Clawback Policy
- Financial Consumer Protection Policy
- Policy for Accessibility and Non-discrimination
- Transaction Monitoring Policy

Compliance to new Directions on Corporate Governance

The Central Bank of Sri Lanka issued the Banking Act Direction No. 5 of 2024 on Corporate Governance for Licensed Banks in September 2024 with the aim of strengthening corporate governance practices to enhance oversight and promote responsible banking practices. The new directions took effect on the 01 January 2025 and BOC's alignment to the requirements are summarised in the table below. Please refer to pages 411-435 for detailed disclosures on the compliance to the new requirements.

Summary of requirement	Level of compliance	Details
Enhanced Board responsibilities	Complied	Board oversight on risk and compliance, strategy implementation and ethics were strengthened during the year
Board composition, independent and diversity	Complied	11 Directors of which six are independent as per CBSL Directions and 10 as per Listing Rules of CSE; one female director as at end-December 2025
Separation of the role of Chairman and CEO	Complied	The Board is led by a Non-Executive Chairman while the Bank's executive functions are headed by the General Manager
Mandatory Board Committees	Complied	Revised during the year, reconstituted with new appointments to the Board
Strengthened risk, compliance and audit functions	Complied	Emphasis on compliance, risk management and cybersecurity among others
Focus on ethics, transparency and sustainability	Complied	Strengthened Anti-corruption and Bribery Policy and appointment of a Chief Integrity Officer

GOVERNANCE AT BANK OF CEYLON

Governance Context

BOC is subject to multi-country compliance given its operations across three overseas branches in Maldives, India and Seychelles and a fully-owned subsidiary in the UK. The overseas branches are governed through an "Overseas Branch Charter" with Board oversight ensured through quarterly reporting and escalation of strategic-level decisions to the Board. Meanwhile, performance, compliance and audit of these branches are monitored by the BOC Head Office on a regular basis while the National Audit Office engages in audit procedures in line with the annual audit of the Bank. Independent external audits are conducted in the country of operation in line with the relevant regulations.

Approach to Corporate Governance GRI 2-9

BOC's approach to corporate governance is reflected in the tone set at the top which embodies purpose-driven leadership and a mindset that enables the Bank to thrive in a dynamic and evolving operating landscape. As Bankers to the Nation, BOC's Board strives to deliver sustainable value to all stakeholders by executing strategy to ensure the sustainability of the Bank's business model while maintaining the highest standards of transparency, ethical business and integrity. The Bank's governance framework extends beyond mandatory compliance to embrace voluntary standards and global best practices across all spheres of its operations.

Governance frameworks and outcomes

External frameworks

- Bank of Ceylon Ordinance No. 53 of 1938 (referred to as "The Ordinance") and its amendments.
- Banking Act No. 30 of 1988 and subsequent amendments.
- Banking Act Direction No. 5 of 2024 on Corporate Governance which supersede the Direction No. 11 of 2007.
- Listing Rules of the Colombo Stock Exchange.
- Securities and Exchange Commission of Sri Lanka Act No. 19 of 2021.
- Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka (2023).
- GRI Standards issued by the Global Reporting Initiative.
- IR Framework issued by IIRC.
- COBIT 2019 framework issued by ISACA.
- SLFRS S1 and S2 Sustainability Disclosure Standards.
- ISO 27001.
- Sustainable Development Goals (SDGs).

Internal mechanisms

Charters and policies

- Board Charter
- Subcommittee Charters
- Subsidiary management Charter
- Customer Charter
- Comprehensive suite of policies and procedures

Ethics and Culture

- Code of Business Conduct and Ethics for Directors
- Code of Ethics for employees
- Anti-bribery and corruption Policy
- Our values

Governance principles

- Leadership capabilities
- Structures and delegation
- Effective controls
- Stakeholder engagement

Governance outcomes

People Empowered with accountability

Processes Agility with integrity

Purpose Direction with intent

Performance Resilient and disciplined

Board focus areas in 2025

In 2025, the Board sharpened its focus on the following areas in response to evolving internal priorities and external operating conditions. Discussions are summarised in the following section and described in further detail in the Management Discussion and Analysis from pages 108 to 160 of this Report.

01 Approval of strategy and performance review

The Board approved the Bank's five-year rolling strategic plan, following in-depth discussions with the management team. Directors also deliberated on strategic execution, regularly monitoring performance against targets and potential impacts of external developments stemming from the operating environment.

Stakeholder interests: Shareholder and Fund Providers; Customers; Employees

Capitals impacted: Financial Capital; Human Capital; Intellectual Capital

02 Risk Management

The Board proactively reviewed the potential impacts of Cyclone Ditwah, with an immediate focus on business continuity, employee welfare and the integrity of critical infrastructure. In relation to medium-term impacts, the Board assessed the potential medium-term impacts on customers, including credit and operational risks, and the mitigating actions required to support affected segments.

Stakeholder interests: Shareholder and Fund Providers; Customers; Employees; Community and Environment

Capitals impacted: Financial Capital; Manufactured Capital; Human Capital; Social and Relationship Capital; Natural Capital

03 Digitalisation and cybersecurity

The Board heightened attention on enhancing the customer value proposition through the deployment of technology as well as enhancing process efficiency and integrity through digitalisation. During the year, a new subsidiary was formed to cater to the evolving digital requirements of the Bank.

Stakeholder interests: Customers; Employees; Business Partners

Capitals impacted: Financial Capital; Intellectual Capital; Social and Relationship Capital; Human Capital

04 Sustainability and ESG

The Bank's sustainability policy and governance mechanisms were strengthened during the year. In preparation for the full adoption of SLFRS S1 and S2 Sustainability Disclosure Standards, the Board sought to integrate identification of ESG risks into existing business processes and enhanced ESG reporting to the Board of Directors.

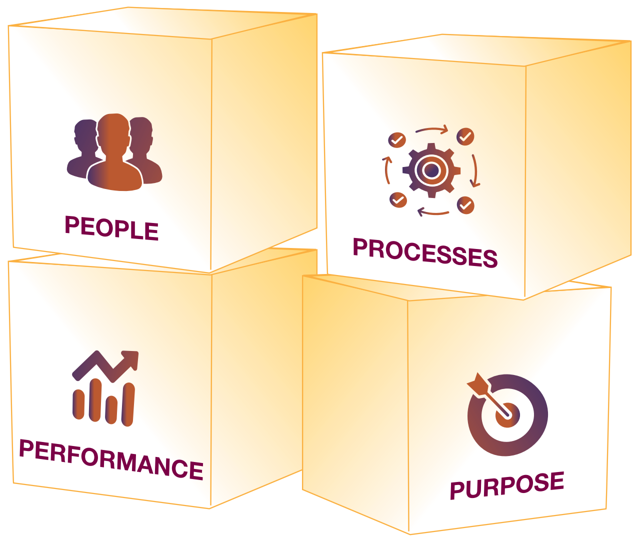
Stakeholder interests: Shareholder and Fund Providers; Employees; Business Partners; Community and Environment

Capitals impacted: Financial Capital; Manufactured Capital; Human Capital; Social and Relationship Capital; Natural Capital

GOVERNANCE AT BANK OF CEYLON

Governance Outcomes

At BOC, effective governance translates into empowered people, agile processes and resilient performance which are guided by a clear sense of direction. Defined structures, clear delegation and strong ethical standards promote accountability, support sound decision-making and underpin consistent execution across the organisation. The remaining sections of this Chapter detail these key governance outcomes during the year, and their contribution to value creation.



People: Empowered with Accountability

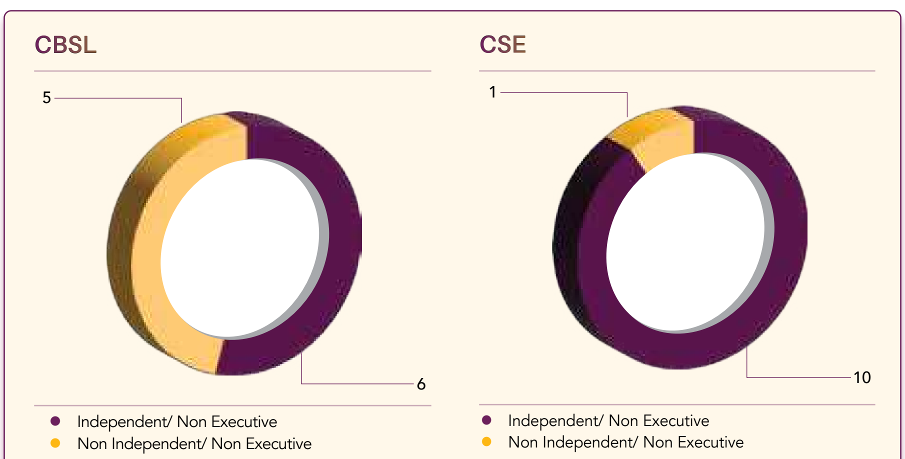
The Bank's robust governance framework supports disciplined delegation, empowering employees to act decisively within established controls and accountability structures. This role clarity and judicious empowerment reinforces ownership, ethical conduct and effective decision-making across the Bank.

Skilled and diverse Board

The Board of Directors comprise an appropriate array of skills, experience and diverse perspectives, which enhances the quality and depth of discussions. In line with the corporate governance requirements for Licensed Banks (Banking Act Determination No. 3 of 2024), the number of Directors were increased to 11 members, reflecting the demands of a large and complex bank. Of the 11 Directors, six are classified as Independent in accordance with the Directions issued by the Central Bank of Sri Lanka, while the remaining Directors are classified as Non-Independent, having been selected and appointed by the Minister in charge of the subject of Finance. However, as per the CSE Listing Rules, all Directors other than the Ex-officio Director are considered Independent. The Board is satisfied there are no relationships or circumstances likely to affect or appear to affect, Directors' independence during the year.

Board balance

The Board comprises 10 Independent, Non-Executive Directors and one Non-Independent Non-Executive Ex-officio Director (based on CSE Listing Rules), thereby bringing objective judgement to the Board of Directors. Based on the criteria for determining independence as per CBSL Directors, six Directors are Independent Non-Executive Directors while five Directors are classified as Non-Independent Non-Executive Directors.



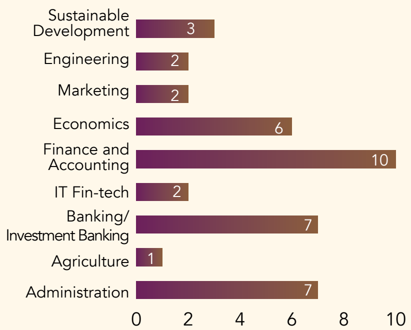
Board refreshment and diversity of tenure

(As at 2025.12.31)	Years of service	Number of Directors
	< 3	11
	5-9	1

Board refreshment has strengthened the Board's collective skills and expertise, introducing fresh perspectives to support effective decision-making.

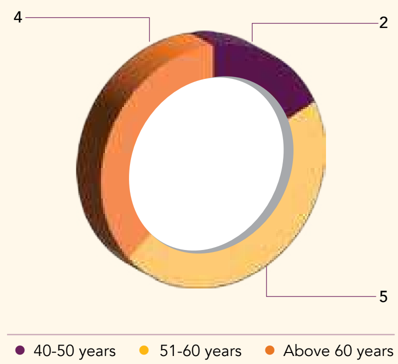
Skill Composition

Board Skill Profile



Age Diversity

Age Profile



Diversity in age profiles strengthens decision-making by combining experience with contemporary perspectives.

Link to strategic aspirations

Stability, Governance and Sustainable Growth

Excellence in Customer Experience

Digital Excellence

Rewarding Credit culture and Healthy Portfolio quality

Building a High-Performing Team

Gender diversity

10 males

1 female

Board Responsibilities GRI 2-12

The Board exercises duty of care and duty of loyalty when discharging its responsibilities, with a view to ensuring the soundness of the Bank and continued value creation to all stakeholders. The responsibilities of the Board are set out in the Board Charter and include (but not limited to) the following:

- Approve and oversee the implementation of the Bank's Strategic Plan.
- Ensure the effective management of risks through approving the overall risk policy and procedure, defining the risk appetite levels and nurturing a risk conscious culture.
- Ensure the adequacy and integrity of the Bank's internal control system.
- Oversight on remuneration, including monitoring and reviewing remuneration.
- Nurture a sound corporate culture, instilling professional, ethical and prudent behaviour throughout the Bank.
- Embed ESG considerations across the Bank's processes, strategy and decision-making.

GOVERNANCE AT BANK OF CEYLON

Director Induction GRI 2-17

The Bank's structured and comprehensive director induction programme allows new directors to contribute effectively from the outset. The programme is designed to assist directors in understanding the Bank's operating landscape, regulatory environment, risk profile and strategy and reinforce alignment with the Board's responsibilities and ethical standards. Key elements of the Bank's director induction programme are set out below:

Induction pack

- Overview of the Bank
- Regulatory landscape
- Details of governance framework
- Board support framework

Presentations

Presentations by the General Manager and DGMs on,

- Business model
- Organisational structure
- Business lines
- Support services

Meetings and visits

One-on-one meetings and departmental visits are scheduled as required

Director Training GRI 2-17

Directors are provided access to continuous professional development enabling them to discharge their duties effectively. Training typically includes changes in regulatory requirements, emerging dynamics in the operating landscape and other relevant matters. Directors also conform to the Continuing Professional Development requirements of the respective professional organisations. In line with the Policy for Director's Access to Independent Professional Advice, Directors are given the opportunity to access external expert input at the Bank's expense.

Link to Material Matters

Director training in 2025

As part of an ongoing initiative, four Non-Executive Directors obtained the NED Training and Certification from The Institute of Chartered Accountants in England and Wales

- Financial crime prevention
- Whistleblowing in financial services
- Risk management
- SLFRS Sustainability Disclosure Standards
- Technology and AI

Board Refreshment and Succession GRI 2-10

To ensure accountability and effectiveness, the Board is refreshed periodically through new appointments, retirements and resignations.There is a formal and transparent mechanism for Board appointments; the Board Nomination and Governance Committee evaluates prospective candidates against CBSL's and CSE's 'fit and proper' criteria which includes integrity, professional competence, independence and absence of conflicts of interest. As per the revised policy on appointment of Directors to the Bank of Ceylon, the Committee should submit a shortlist to the Board for approval, which is subsequently forwarded to the Minister in charge of the subject of Finance for formal nomination, since the said Minister is the appointing authority, as per provisions of the Bank of Ceylon Ordinance No. 53 of 1938 and its amendments. The Minister also appoints Ex-Officio Director, who represents the Government of Sri Lanka, the sole shareholder. The Securities and Exchange Commission of Sri Lanka (SEC) also approves new Board appointments, since the Bank functions as a market intermediary.

During the year, the Board was strengthened significantly with the appointment of six new Directors as illustrated below.

Mr Darshana Gunasekera
Appointed as an Independent Non-Executive Director on 13 August 2025

Skills and experience
- Corporate Finance, and Accounting
- Business Transformation
- Enterprise Risk Management
- Ethics and Governance

Mr Tulci Aluwihare
Appointed as an Independent Non-Executive Director on 16 September 2025

Skills and experience
- Investment Banking
- Corporate Restructuring
- Mergers and Acquisitions

Ms Sharmini Ratwatte
Appointed as an Independent Non-Executive Director on 16 September 2025

Skills and experience
- Finance and Management
- Sustainable development

Mr Dharshan Jayaratne
Appointed as an Independent Non-Executive Director on 26 September 2025

Skills and experience
- Banking
- Financial Markets Management
- Investment Management

Mr Sunimal Weerasooriya
Appointed as an Independent Non-Executive Director on 7 October 2025

Skills and experience
- Information Security
- Digital Transformation
- Technology Management
- Technology Transfer

Eng Prof Ananda Jayawardena
Appointed as an Independent Non-Executive Director on 14 November 2025

Skills and experience
- Corporate Governance
- Risk Management
- Science and Engineering

Balance of Power GRI 2-12

The Board Charter clearly defines the roles and responsibilities of the Board, ensuring no individual/ group of individuals has unfettered powers. The role of the Chairman and General Manager are separate; the Chairman functions as a Non-Executive Director and provides leadership to the Board while the General Manager leads the Management team.

Role of Chairman

- Providing leadership to the Board and ensuring all Board procedures are followed.
- Promoting a culture of good governance practices and maintaining high standards of integrity.
- Facilitate contribution by Non-Executive Directors.
- Fostering a culture of inclusivity by encouraging the expression of diverse views by Board members and ensuring the participation of all Directors during discussions.
- Ensuring compliance to all applicable laws and regulations.
- Ensuring shareholder concerns are appropriately addressed.

Role of General Manager

- Execution of the strategic agenda set out in the Bank's Strategic Plan in line with the financial and non-financial targets set by the Board.
- Monitoring and reporting the Bank's performance to the Board.
- Implementing a system including internal controls and audits to identify and manage risks that are material to the business of the Bank.
- Development of the succession plan for the Senior Management.

The profiles of the Chairman and General Manager are set out on pages 34 and 42 of this Report. There was no material/ relevant financial, business, family or other relationships between the Chairman, General Member and other Directors during the year under review.

GOVERNANCE AT BANK OF CEYLON

Board Assessment

The Board evaluates its performance bi-annually through a systematic self-assessment mechanism where the areas for improvements are identified and escalated for further action. The self-assessment is carried out through the Nomination and Governance Committee. The records of the assessments carried out during the year are maintained by the Secretary to the Board. Key findings from the assessment, carried out in 2025 are set out alongside.

Findings of the Board self-assessment

2025 Key strengths (Score above 90%)

- Chairman of the Board
- Strategic thinking and planning
- Legal and ethical compliance
- Relationship between Board and Senior Management
- Monitoring and evaluation practices
- Board meetings

Areas for improvement (Score below 90%)

- Board structure and practices

Secretary to the Board

Secretary to the Board, Ms Janaki Senanayake Siriwardane satisfies the provisions set out in Section 43 of the Banking Act and relevant amendments. She ensures Board procedures and governance matters are conducted in compliance with regulations, directions and relevant Board Committee Charters and procedures. All Directors also have access to the advice and services of the Secretary to the Board. Key responsibilities of the Secretary to the Board include the following:

- Implementation of the Bank's corporate governance framework.
- Regular review of the Bank's governance framework and ensure alignment to regulatory requirements, stakeholder needs and emerging best practices.
- Implementation of the recommendations made by the Nomination and Governance Committee on professional development programmes for Directors
- Maintain minutes of the Board meetings and provide access to any Director or regulator on reasonable notice

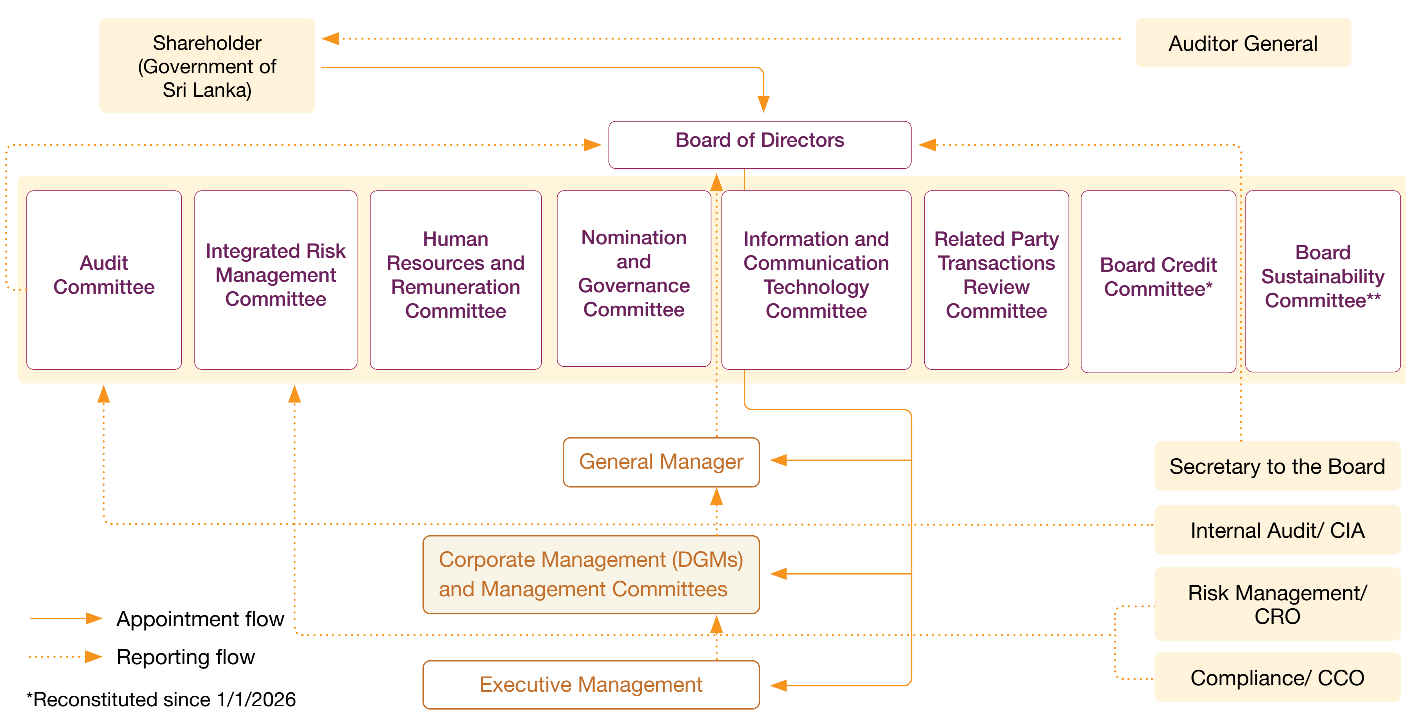
Processes: Agility with Integrity

The Bank's governance processes effectively balance strong oversight with operational agility, enabling timely and well-informed decision-making. Clear accountability structures and robust assurance mechanisms ensure integrity, transparency and consistency across all operations.

Structures and Delegation

GRI 2-9

The Bank's governance structure continues to evolve to reflect its increasing complexity and stature as Banker to the Nation. As illustrated below, the Board structure provides focused oversight of critical areas, enabling appropriate delegation while retaining the agility required to effectively govern an organisation of BOC's scale and depth.



*Reconstituted since 1/1/2026

** Newly incorporated

Board Subcommittees

The Board has appointed six subcommittees in year 2025 and eight subcommittees by the beginning of 2026, which ensures the effective discharge of its oversight responsibilities and enables the Bank to leverage director's expertise in specialised areas such as accounting, technology, risk management and sustainability. In constituting the committees, the Board considers the relevant regulatory requirements, skills and experience of the members and the mandate of each Committee. Each Board subcommittee has a formal Terms of Reference that was reviewed and is reviewed annually.

The Terms of References of the subcommittees were revised and updated to ensure alignment to the new Banking Act Directions on Corporate Governance and Listing Rules of the Colombo Stock Exchange. The Audit, Human Resource and Remuneration, Nomination and Governance and Related Party Transactions Review Committees were also reconstituted during the year, in line with the Rule no. 9.3 of the Listing Rules. The activities performed by the subcommittees in year 2025 are detailed on pages 180 to 190 of this Report.

Audit Committee
(Refer page 180-181 for Report of the Committee)

- Assess integrity of the financial statements and adequacy of internal controls
- External audit
- Internal audit

Link to strategy

Link to value creation

No. of meetings held - Nine

Skill mix

1 2 1 2 1 1

Integrated Risk Management Committee
(Refer page 182-183 for Report of the Committee)

- Risk management including credit, market, operational, liquidity, cyber/ IT, strategic risks, ESG risk.
- Ensuring compliance with the risk management policy framework and laws and regulations.

Link to strategy

Link to value creation

No. of meetings held - Eight

Skill mix

1 3 2 1 1

Human Resources and Remuneration Committee
(Refer page 184-185 for Report of the Committee)

- Approve Remuneration policy and relevant HR policies
- Organisation structure
- Goals and targets for Key Management Personnel
- Performance evaluation

Link to strategy

Link to value creation

No. of meetings held - Eight

Skill mix

1 1 2 1 1

Nomination and Governance Committee
(Refer page 186-187 for Report of the Committee)

- Appointment of Key Management Personnel
- Ensure compliance to procedure for the appointment of new directors
- Succession planning
- Code of Ethics
- Effectiveness of the Board and its Subcommittees

Link to strategy

Link to value creation

No. of meetings held - 14

Skill mix

3 2 1 1

Information and Communication Technology Committee
(Refer page 188-189 for Report of the Committee)

- Oversight on implementation of digital strategy
- Digital products, services, infrastructure and policies

Link to strategy

Link to value creation

No. of meetings held - 10

Skill mix

1 2 1 2 1 1

Related Party Transactions Review Committee
(Refer page 190 for Report of the Committee)

- Implementation of effective control systems for reporting the Related Party Transactions in accordance with regulatory and other reporting requirements.

Link to strategy

Link to value creation

No. of meetings held - Five

Skill mix

2 1 1 1

● Agriculture ● Banking / IB ● IT / Fintech ● Finance and Accounting ● Economics ● Sustainable Development ● Marketing

GOVERNANCE AT BANK OF CEYLON

In addition to the Board subcommittees listed above, the Bank has established several executive-level committees across key areas such as asset and liability management, credit, strategic review, business continuity and IT. These Committees translate Board-approved strategies, policies and risk appetite into actionable decisions.

Executive Committees

Asset and Liability Management Committee (ALCO)	Corporate Information Security Committee	Idle Assets Committee	Portfolio Management Committee
Branches Division Credit Committee	Corporate Management Committee	Internal Capital Adequacy Assessment Process (ICAAP) and Recovery Plan (PCP) Steering Committee	Reward and Recognition Policy Committee (RRPC)
Business Continuity Coordinating Committee	Corporate Strategic Review Committee	Investment Committee	Scholarship Programme Selection Committee (Review Committee)
Business Continuity Implementation Committee	Credit Committee	IT Steering Committee	Scholarships Committee
Business Continuity Management Steering Committee (BCMAC)	Damage Assessment and Restoration Committee (DARC)	Marketing Committee	Steering Committee of tvBOC
Committee Dealing with Long Outstanding Credit Balances	Foreign Currency Outflow Management Committee	Mobile Banking Steering Committee	Sustainability Committee
Committee Dealing with Operational Losses	Fraud Risk Management Committee	Non-Performing Assets Review Committee (NPAC)	Technical and Operational Committee
Committee for Investment in Government Securities	Human Resource Policy Committee (HRPC)	Operational Risk Management Executive Committee	Working Committee of tvBOC

Board meetings

The Board convened 26 times during the year with recurring agenda items centering on strategy execution, business performance, capital adequacy, risk management, and stakeholder requirements among others. Unstructured time is also factored into Board meetings enabling the discussion of ad-hoc matters as and when they arise. Board and subcommittee meetings are scheduled early and duly informed to the Directors at the beginning of each calendar year.

Prior to Board meeting

Calendar is set for Board and subcommittee meetings

Board agenda set by the Secretary to the Board with flexibility for Directors to propose items

Circulation of Board papers

Board meetings

Discussion of performance updates, governance matters and subcommittee recommendations

Additional clarification sought from Management if required

Post board-meeting

Minutes are prepared and circulated among Directors through a secure e-solution within 10 days of the meeting

Minutes are adopted at the subsequent Board meeting

Follow up action taken on oustanding matters

Board minutes are recorded in sufficient detail providing a clear and accurate record of deliberations, decisions and actions. Minutes include information on summary of information used by the Board in its deliberations, matters considered by the Board, and the Board’s understanding of key risks to which the bank is exposed to among others.

BOARD AND SUBCOMMITTEE MEETING ATTENDANCE DURING 2025

Details of director attendance at Board and committee meetings in 2025 are set out below.

Name of the Director	Board Meeting	AC	HR&RC	N&GC	IRMC	ICTC	RPTRC	Joint AC/ IRMC/ ICTC
Mr Kavinda de Zoysa[1] Chairman	26/26	N/A	8/8	14/14	7/7	8/10	N/A	**1/1**
Dr. Kapila Senanayake[2] Ex-officio Director	21/26	5/9	7/8	1/1	0/1	4/6	5/5	**1/1**
Mr Jehaan Ismail[3] Non-Executive Director	25/26	9/9	8/8	13/14	4/5	N/A	N/A	**1/1**
Mr Jayamin Pelpola[4] Non-Executive Director	11/11	3/3	N/A	N/A	3/4	4/4	N/A	**N/A**
Dr. Amal Illesinghe[5] Non-Executive Director	26/26	6/6	N/A	N/A	N/A	10/10	5/5	**1/1**
Mr R M P Rathnayake[6] Non-Executive Director	26/26	N/A	N/A	13/13	7/7	N/A	5/5	**1/1**
Mr Darshana Gunasekera[7] Non-Executive Director	7/8	5/5	N/A	N/A	N/A	N/A	N/A	**N/A**
Mr Thulci Aluwihare[8] Non-Executive Director	6/6	N/A	N/A	N/A	N/A	N/A	N/A	**N/A**
Ms Sharmini Ratwatte[9] Non-Executive Director	6/6	N/A	N/A	N/A	N/A	N/A	N/A	**N/A**
Mr Dharshan Jayaratne[10] Non-Executive Director	5/5	N/A	N/A	N/A	N/A	N/A	N/A	**N/A**
Mr Sunimal Weerasooriya[11] Non-Executive Director	5/5	N/A	N/A	N/A	N/A	N/A	N/A	**N/A**
Eng. Prof. Ananda Jayawardane[12] Non-Executive Director	2/2	N/A	N/A	N/A	N/A	N/A	N/A	**N/A**

Audit Committee (AC)
Human Resources and Remuneration Committee (HR&RC)
Nomination and Governance Committee (N&GC)
Integrated Risk Management Committee (IRMC)
Information and Communication Technology Committee (ICTC)
Related Party Transactions Review Committee (RPTRC)

1 Appointed to the IRMC w.e.f. 03.02.2025

2 Resigned from N&GC w.e.f. 03.02.2025.
Resigned from IRMC w.e.f. 03.02.2025.
Resigned from the ICTC w.e.f. 03.02.2025 and Re Appointed 23.06.2025.

3 Resigned form IRMC w.e.f. 03.02.2025 and Re Appointed 23.06.2025.

4 Resigned from the Board w.e.f. 30.05.2025.
Resigned from the AC w.e.f. 30.05.2025.
Resigned from the IRMC w.e.f. 30.05.2025.
Appointed to the ICTC w.e.f. 03.02.2025 and Resigned w.e.f. 30.05.2025.

5 Appointed to the AC w.e.f. 23.06.2025.

6 Appointed to the N&GC w.e.f. 03.02.2025.
Appointed to the IRMC w.e.f. 03.02.2025.

7 Appointed to the Board w.e.f. 13.08.2025.
Appointed to the AC w.e.f. 15.08.2025.

8 Appointed to the Board w.e.f. 16.09.2025.

9 Appointed to the Board w.e.f. 16.09.2025.

10 Appointed to the Board w.e.f. 26.09.2025.

11 Appointed to the Board w.e.f. 07.10.2025.

12 Appointed to the Board w.e.f. 14.11.2025.

GOVERNANCE AT BANK OF CEYLON

Effective Controls GRI 2-23, 24

Robust policies, disciplined risk management and comprehensive compliance mechanisms ensure effective control across the Bank. These measures play a vital role in guaranteeing that operations remain aligned with regulatory requirements, ethical standards and the strategic objectives of the Bank.

Policy Framework

The Bank's robust policy framework serves as the foundation for ensuring a consistent and accountable approach to decision-making across the organisation. All policies are reviewed and revised at least annually to ensure they remain relevant to changing operating dynamics. The Bank revised Corporate Governance related several policies in line with the requirements of the new Banking Act Directions on Corporate Governance. Key policies in operation within the Bank include (but are not limited to) the following:

Major Policies revised in 2025

Procurement Guidelines

Sustainability Policy

Policy on Appointment of Directors to the Board

Corporate Governance

- Policy on matters relating to the Board of Directors (Board Charter)
- Policy on Board Committees
- Policy on Corporate Governance (Corporate Governance Policy)
- Policy on Directors Access to Independent Professional Advice of Bank of Ceylon
- Policy on Conflict of Interest of Directors

HR and Remuneration

- Human Resource Policy
- Training and Development Policy
- Scheme of Recruitment
- Work-from-home Policy
- Remuneration Policy for Chairman and Board of Directors
- Exit Interview Policy
- Employee Grievance Handling Policy
- Remuneration Policy for Key Management Personal

Risk Management

- Credit Risk Management Policy
- Country Risk Management Policy
- Stress Testing Policy
- Integrated Risk Management Policy
- ICAAP Policy (Internal Capital Adequacy Assessment Process)
- Operational Risk Management
- Fraud Risk Management
- Information Security Policy

Stakeholder Management

- Customer Complaint Handling Policy and Procedures
- Communication Policy
- Policy on Relations with Shareholders and Investors
- Corporate Disclosure Policy
- Procurement Manual

Ethics and Culture

- Anti-bribery and Corruption Policy
- Policy on Whistleblowing
- Gender Policy

ESG

- Policy on ESG and Sustainability
- ESMS Policy
- E-waste Management Policy

Conflict of interest GRI 2-15

The Bank's Conflicts of Interest Policy ensures that Directors avoid conflicts/ potential conflicts of interests in its activities with other stakeholders. The policy establishes clear rules, controls and guidance regarding the management of actual, potential or perceived conflicts of interests. Directors are required to declare any interests in contracts/ new appointments as a practice at every Board meeting. Directors abstain from accessing information, participating in the discussions, voicing their opinion or approving in situations where there is a conflict of interest.

Compliance GRI 2-27

A strong ethical and compliance culture serves to ensure alignment to applicable regulatory frameworks while protecting the Bank's reputation and strengthening stakeholder trust. In line with the requirements of the Banking Act, BOC has established an independent Compliance Unit that is tasked with ensuring that the Bank operates with a high level of integrity in compliance with all applicable laws and regulations. The Board receives regular updates from the Chief Compliance Officer and the management team on the Bank's status of compliance, including any regulatory violations, enforcement actions or emerging compliance issues.

During the reporting period, the Bank recorded no instances of non-compliance with applicable laws and regulations and incurred no monetary fines or sanctions.

Communication of critical concerns GRI 2-16, 26

The following mechanisms are in place to facilitate communication of critical concerns to the Board of Directors.

- Meetings of the Board and Board subcommittees: Critical concerns may be raised through the relevant subcommittees to the Board.
- Secretary to the Board acts as a conduit between the management and the Board.
- Direct reports by the General Manager
- Special requests by the Director
- Whistle-blower: Through the Chief Internal Auditor or Chairman of the Audit Committee.

During the reporting period no critical concerns were communicated to the Bank's highest governance body.

Risk Governance

The Bank has systematic procedures in place to effectively identify, assess and manage its risk exposures, thereby strengthening its overall resilience. Risk considerations are embedded into overall decision-making, enabling the Bank to strive towards an optimum balance between risk return dynamics. The Integrated Risk Management Committee and Audit Committee assist the Board in fulfilling its risk management and internal control obligations. Key risk-related developments are discussed in detail in the Risk Management Report (Pages 191-216), Report of the Audit Committee (Pages 180-181) and the IRMC Report (Pages 182-183).

ICT Governance

The Board of Directors, supported by the Information and Communication Technology Committee holds apex responsibility for governing the adoption of technology in the Bank. A Chief Information Security Officer has also been appointed to action the Bank's Cybersecurity Risk Management Policy. The Bank's Enterprise IT Governance Framework is based on COBIT, 2019 and comprises control practices, objectives, processes, maturity models and mapping to business goals among others. Through diligent technology governance and strategic oversight, the Bank successfully leveraged its digital investments to enhance operational efficiency and resilience during the year.

Key risk-related developments in 2025

- Assessing the current and future implications of cyclone Ditwah
- Broaden view of risk to include sustainability and climate-related risks as per SLFRS S1 and S2 Sustainability Disclosure Standards
- Focus on cybersecurity and digital risk exposures

Policy framework	Strategic alignment	Compliance	Risk management
Information Security Policy, Standards and Procedures	Alignment to the Group's overall business objectives	Regulations and compliance standards including data protection laws	Identification, monitoring and management of IT-related risks (Refer to page 212)

Governance structure

GOVERNANCE AT BANK OF CEYLON

Purpose: Direction with Intent

The Board sets the tone at the top by upholding the highest standards of ethics and integrity, providing clear direction on expected behaviours across the organisation. Through governance frameworks, policies and oversight mechanisms these principles are embedded into decision-making creating an ethical foundation that shapes conduct, strengthens trust and supports sustainable value creation.

Values

- Being customer-centric
- Respecting all forms of diversity
- Committing towards high level of ethics, governance and professionalism
- Focusing towards agility and innovation
- Being accountable for all our actions

Governance mechanisms

- Nomination and Governance Committee
- Audit Committee
- Integrated Risk Management Committee
- Human Resources and Remuneration Committee
- Related Party Transactions Review Committee

Regulatory and voluntary frameworks

- Bank of Ceylon Ordinance No. 53 of 1938 and its amendments (referred to as “The Ordinance”)
- Banking Act No.30 of 1988 and subsequent amendments
- Banking Act Directions No. 5 of 2024 on Corporate Governance
- Continuing listing requirements of the Colombo Stock Exchange
- Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka (2023)

Policies

- Code of Conduct and Ethics
- Anti-bribery and Corruption Policy
- Policy on Whistleblowing

Organisational Culture

As a systemically important, state-owned institution and bankers to the nation, BOC’s mandate extends beyond commercial performance to broader national impact. Its corporate culture reflects a balance of traditional values, public accountability and efficiency, which supports both ethical leadership and disciplined governance. Key aspects of the Bank’s organisational culture are;

- Customer-centricity by providing personalised services and nurturing long-term relationships
- Prioritise national interest and economic development
- Focus on sustainable growth, balancing environmental and social considerations in decision-making
- Innovation and modernisation of our offering, integrating technology and digital transformation

Code of Conduct and Ethics

The Code of Conduct and Ethics serves as the Bank's ethical blueprint, clearly setting out expected standards of behaviour when employees and officers are engaged in official duties, external engagements or public settings. A Code of Business Conduct and Ethics is applicable to the Board of Directors. A separate Code of Ethics is applicable to the Corporate Management Team and all employees, recognising that individual actions can have an impact on the Bank's reputation.

Director's Code of Business Conduct and Ethics

Directors are expected to submit an annual confirmation of their compliance with the provisions of the code. The code aims to propagate a strong culture of integrity, transparency and anticorruption while encouraging Directors to act in the best interests of the Bank.

Employees' Code of Ethics

This is applicable to all employees and clearly sets out the Bank's expectations in dealing with internal and external stakeholders, behaviour, anti-bribery and corruption

Anti-bribery and Corruption

GRI 205-2

The Bank's Anti-bribery and Corruption Policy explicitly states a zero-tolerance approach to bribery and corruption and the management of these risks are integrated across the organisation's processes, frameworks and standards. The policy is clearly communicated to all employees during the induction programme and reinforced through regular training and internal communications. Following the implementation of the Anti-Corruption Act No.9 of 2003, the Bank has also sought to strengthen its measures; accordingly, a dedicated 'Integrity Officer' was appointed with oversight responsibility for the Bank's bribery and anti-corruption framework with multiple training programmes rolled out during the year.

Stakeholder Engagement

The Board holds responsibility for ensuring that the Bank systematically identifies, engages and responds to the needs of its six key stakeholder groups in a manner that supports long-term value creation and accountability. Accordingly, the Board engaged in the following:

- Approving policies and procedures that guide interactions with stakeholders
- Providing oversight of engagement outcomes and ensuring stakeholder insights are appropriately considered in strategy and decision-making
- Safeguarding fairness and transparency in balancing the often-competing interests of stakeholders
- Ensuring appropriate disclosure, including clear, balanced reporting on stakeholder engagement processes and key matters raised

Key engagement mechanisms and stakeholder considerations raised during the year are listed on pages 57-60 of this Report.

Whistleblowing Policy

GRI 2-26

The Bank's board-approved Whistle-blowing Policy provides an effective mechanism for internal and external stakeholders to raise concerns regarding potential unethical or illegal conduct. The Policy ensures confidentiality and encourages the reporting of concerns such as theft, fraud, corruption, misuse of Bank's assets and corruption among others. Key aspects of the Policy are set out below:

Channels

Stakeholders can voice their concerns/ complaints via in person, Whatsapp, post, email, phone, fax, website, call centre or Facebook Chat.

Procedure

Complaints are directed to the Chief Internal Auditor. For complaints against employees of DGM Grade or above, complaints are submitted to the Chairman of the Audit Committee. Following an initial review and assessment, measures are taken to resolve all complaints within 21 calendar days.

Ensuring Protection

Confidentiality and anonymity are guaranteed throughout the entire process

During the year under review, there were no monetary losses arising as a result of legal proceedings associated with fraud, insider trading, anti-trust, anti-competitive behaviour, market manipulation, malpractice, or other related financial industry laws or regulations.

GOVERNANCE AT BANK OF CEYLON

Performance: Resilient and Disciplined GRI 2-18

The Bank's robust corporate governance structures and frameworks have provided a strong foundation for disciplined decision-making, which in turn has enabled the organisation to remain agile and resilient amidst evolving operating conditions.

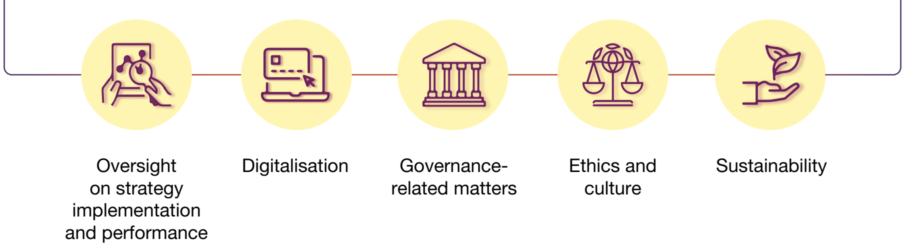
Board engagement with the business

The Board of Directors engage closely with the business in ensuring and preserving value as BOC drives its strategic agenda. Clearly defined reporting structures and Board procedures enable effective oversight of the Bank's strategic implementation, supporting responsible leadership while safeguarding stakeholder interests as the Bank pursues its growth aspirations. The Board engages with the business through the following mechanisms:

- Directors receive deeper insights on specific matters through the activities of the six Board subcommittees (eight subcommittees in 2026)
- Monthly updates on performance and other relevant matters by the leadership team
- Special meetings as and when required

As detailed further on page 165 of this Report, key areas of Board focus during the year included the following:

Board discussions and deliberations in 2025



Board oversight on senior management

The Bank's senior management team is responsible for implementing the business strategies, risk management processes and controls and organisation culture based on the decisions given by the Board. The team also ensures that a suitable organisation structure which promotes accountability and transparency across the Bank is established while regularly updating the Board and subcommittees on material developments. The Board provides oversight on the senior management team through the following mechanisms.

- Engage with senior management regularly in reviewing progress against strategic objectives
- Critically review explanations and information provided by the senior management
- Assess whether collective knowledge and expertise of the senior management remain aligned to the size and complexity of the Bank
- Hold senior management accountable for their actions

Sustainability and Management of ESG Impacts GRI 2-13

The management of ESG impacts is integrated to the Bank's core strategy through its focus on environmental stewardship and social value creation. As discussed further on pages 75-84, the Bank's sustainability aspirations are centered on supporting the country's low carbon transition through green financing and driving financial inclusion to support the empowerment of vulnerable communities. The Bank's sustainability agenda is also aligned to the UN Sustainable Development Goals. The Board holds apex responsibility for ensuring sustainability considerations are embedded across the organisation and approves and periodically reviews progress against the Bank's strategies, policies and goals relating to ESG aspects.

Formal stakeholder engagement mechanisms are in place with customers, employees and communities to ensure that stakeholder considerations are sought when managing the Bank's ESG impacts. The Board of Directors reviews and evaluates the outcomes of stakeholder engagement, strategic planning, and sustainability initiatives to ensure that the Bank's objectives, policies, and operations are aligned with its mission, values, and long-term sustainable development goals. Insights and feedback from these processes are discussed in Board meetings and integrated into decision-making, risk management, and policy updates.

Key interventions in 2025

- Sustainability policy revamped during the year
- Mandate of IRMC widened to include Sustainability and Climate-related risks and opportunities
- Training for Directors on SLFRS S1 and S2 Sustainability Disclosure Standards
- Establishment of Board Sustainability Committee from 01.01.2026

Sustainability Committee

The Committee's review mechanisms are designed to ensure that credit proposals align with the Bank's sustainability objectives and that potential environmental and social risks associated with the Bank's business activities are mitigated as far as reasonably possible. The mandate of the Sustainability Committee includes the following:

1. Conducting a comprehensive review of ESDD reports to assess the potential environmental and social impacts of proposed business activities.
2. Providing informed feedback on credit proposals, ensuring that all perceived environmental and social risks are duly considered.
3. Utilising the bank's Environmental and Social Management System (ESMS) as the framework for evaluating and managing these risks.

Remuneration Review

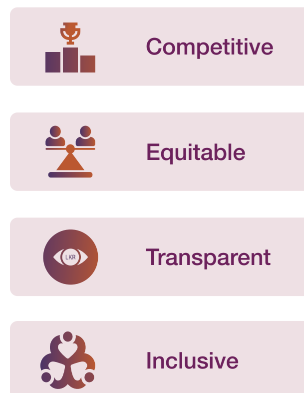
GRI 2-19, 20

The Bank's remuneration framework is designed to support sustainable performance by aligning rewards with the achievement of strategic objectives, prudent risk management and long-term value creation. It promotes fairness and equity across the organisation while incorporating safeguards to discourage excessive risk-taking.

Remuneration Governance

The Board Human Resources and Remuneration Committee provides oversight regarding remuneration-related matters. The policy framework comprises the Director's Remuneration Policy and the Remuneration Policy for KMP. The former reflects the particulars of the circulars and letters issued by the Government of Sri Lanka and the particulars of the Ordinance and its amendments. No director is involved in determining his/ her remuneration and currently remuneration is not linked to the management of the organisation's economic, environmental and social impacts.

The Board Human Resources and Remuneration Committee makes recommendations to the Board on the remuneration of the General Manager and Key Management Personnel. Based on these recommendations, the Board approves the proposals and submits them to the relevant Minister for final approval in accordance with the provisions of the Ordinance and its amendments. The remuneration of the General Manager and Key Management Personnel is reviewed every three years.



The Bank's Rewards Policy is aimed at achieving the following outcomes:

- Attract, motivate and retain a skilled workforce with the requisite experience and values to deliver on organisational objectives
- Transparency in the formulation of remuneration programmes to ensure pay equity and fairness
- Align with the principles of good corporate governance and effectively balance the requirements of our diverse stakeholders
- Instil organisational culture consistent with the organisation's values

Remuneration Elements

Key elements of the Bank's remuneration structures are set out below:

Fixed Pay	Variable Pay	Benefits and Perquisites
• Base salary and other fixed components determined on role and employee grade	• Incentive bonus	• Post-employment benefits • Loans under special schemes • Access to holiday home facilities.

For further details, refer to the Directors' remuneration (pages 270) and remuneration of KMP (pages 434). The report of the Human Resource and Remuneration Committee is on pages 184-185.

AUDIT COMMITTEE REPORT

INTRODUCTION

I am honoured to present this Audit Committee Report for the year ended 31 December 2025, following my appointment as Chairman of the Audit Committee with effect from 15 August 2025.

During the period under review, the Audit Committee continued to effectively discharge its oversight responsibilities under the able stewardship of the former Chairman, Mr Jayamin Pelpola. The Committee records its sincere appreciation for his leadership and for the valuable contributions made by all members during his tenure. The Committee remains steadfast in its commitment to promoting sound corporate governance, transparency, and financial discipline across the Bank.

This Report outlines the principal responsibilities performed and activities carried out by the Audit Committee in accordance with the applicable regulatory and governance framework.

Committee Composition

1. **Mr Darshana Gunasekera**
   Chairman/ Independent Non-Executive Director.
2. **Dr. Kapila Senanayake**
   Member/ Non-Independent Non-Executive Ex-Officio Director.
3. **Mr Thulci Aluwihare**
   Member/ Independent Non-Executive Director.

Changes in Membership in 2025
Additions:

Mr Jayamin Pelpola*
Non-Executive Director
appointed to the Board Audit Committee w.e.f. 03.02.2025 as the Chairman.

Dr. Kapila Senanayake
Member/ Non-Independent
Non-Executive Ex-Officio Director
appointed to the Board Audit Committee w.e.f. 03.02.2025.

Dr. Amal Illesinghe*
Member/ Non-Executive Director
appointed to the Board Audit Committee w.e.f. 23.06.2025.

Mr Darshana Gunasekera
Member/ Independent
Non-Executive Director
appointed to the Board Audit Committee w.e.f. 15.08.2025 as the Chairman.

Mr Thulci Aluwihare
Member/ Independent
Non-Executive Director
appointed to the Board Audit Committee w.e.f. 17.12.2025.

Resignations:

Mr Jayamin Pelpola* relinquished his position as the Chairman w.e.f. 30.05.2025.

Mr Jehaan Ismail*
Member/ Non-Executive Director
relinquished his position as a Member w.e.f. 17.12.2025.

Dr. Amal Illesinghe* relinquished his position as a Member w.e.f. 17.12.2025

*** Considered Independent as per listing rules of CSE.**

Secretary to the Committee

The Audit Committee is supported by Ms Janaki S Siriwardane, Attorney-at-Law and Senior Deputy General Manager, who serves as the Secretary to the Board of Directors of the Bank of Ceylon and acts as Secretary to the Audit Committee.

Regular Participants

- Chief Internal Auditor
- Chief Risk Officer
- Chief Compliance Officer
- Assistant General Manager (Operational Audit)
- Assistant General Manager (Credit Audit)
- Assistant General Manager (Investigations)
- Assistant General Manager (Information Systems Audit)
- Assistant General Manager (Risk Management)
- Internal Auditor
- Representatives of the Auditor General (the External Auditor of the Bank).

Attend upon invitation

- General Manager
- Chief Financial Officer
- Deputy General Manager (Finance and Planning)
- Any other member of Corporate or Executive Management
- Any other Staff Member

Meetings held in 2025: Nine

(Attendance given on page 173 of this Report)

Quorum: members or majority of the members whichever is higher. With the latest review majority of those in attendance to be independent directors.

ROLE OF COMMITTEE

Audit Committee Charter

The Terms of Reference of the Audit Committee are governed by the Audit Committee Charter, approved and adopted by the Board.

Principal Focus

The Audit Committee primarily focuses on assisting the Board in fulfilling its duties by providing an independent and objective review of the Bank's financial reporting process.

Medium of Reporting

The proceedings of the Audit Committee meetings are tabled and ratified at the Board meetings, where all key issues, concerns, actions taken, outcomes achieved or pending, and follow-up initiated, are clarified, discussed and Board approval obtained thereof.

AREAS OF FOCUS AND ACTIVITIES IN 2025

Financial Reporting

a) Reviewed the monthly, quarterly and annual unaudited/ audited Financial Statements received from the Chief Financial Officer and General Manager ensuring that they are prepared and published in accordance with the requirements prescribed by the supervisory and regulatory authorities and applicable Accounting Standards and also assuring adequacy and effectiveness of Bank's operations and finance controls.

b) Review the liquidity management, capital adequacy and foreign currency management.

c) Evaluated significant financial reporting issues and judgments.

Regulatory Compliance

a) Reviewed compliance with mandatory banking and other statutory requirements.

b) Reviewed the progress of action taken in relation to the findings of the statutory examinations carried out by regulators.

c) Reviewed reports on Anti-Money Laundering (AML) and Counter-Terrorism Financing (CFT) measures.

Internal Controls

a) Reviewed the accounting policies/ systems and internal control framework with a view to ensuring greater transparency and integrity of the Bank's financial reporting process and adequacy of accounting and other internal controls.

b) On a regular basis and when specific events or cases warranted, conducted root cause analysis and made improvements to the systems, procedures and internal controls.

c) Monitored the risk management framework in alignment with regulatory expectations.

d) Recommended improvements in internal controls based on internal audit findings.

The committee obtained assurance of the internal audit function through the following-

Internal Audit

a) Reviewed the independence, objectivity, and performance of the internal audit function.

b) Obtained strategies to improving audit ratings as a proactive approach to strengthening internal controls, compliance and risk management.

c) Effectively managed the whistle-blowing complaints by maintaining transparency, accountability and ethical business practices while ensuring timely and impartial investigations.

d) Evaluated the quality of the credit portfolio of the bank and recommended necessary initiatives to improve the credit quality.

e) Approved the Internal Audit Plan and reviewed the effectiveness of the implementation of the Plan throughout the year.

f) Approved the Internal Audit policies for the year 2025.

g) Approved the Internal Audit Manual with required changes.

h) Monitored the progress of the initiatives taken by the Internal Audit Department to improve Internal Control Monitoring Process.

i) Evaluated the performance of the Chief Internal Auditors and senior staff of Internal Audit Division.

j) Monitored the progress of the Internal Audit function of the subsidiaries.

k) Discussions with the regulators of the Overseas Branches.

l) Special Reviews on Treasury function, Capital Adequacy Assessment, Expected Credit Loss Models, Cybersecurity, Loans granted on Donor Agency Funding, IT Governance, Service Level Agreements and Business Continuity Test.

m) Special review on patterns identified as per the critical observations during the credit audits carried out in branch network.

External Audit

a) The external audit of the Bank is carried out by the Auditor General in terms of the Constitution of the country. The Committee ensured that the external audit is carried out effectively and independently and maintained a continuous rapport with the representatives of the Auditor General in relation to the audit approach and procedure.

b) Facilitated close door meetings with external auditors.

Significant Issues Considered

During the year, the Audit Committee paid special attention to the following:

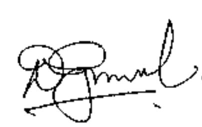
- Strengthening cybersecurity and IT risk management.
- Enhancing fraud detection mechanisms.
- Addressing operational risks emerging from global economic uncertainties.

WAY FORWARD

An annual assessment of the performance and effectiveness of the Audit Committee was undertaken during the year.

Looking ahead, the Audit Committee will continue to strengthen governance and internal control processes, support the objectives outlined in the Audit Committee Charter for 2026 and beyond, and uphold high standards of financial integrity, risk management, and regulatory compliance.

On behalf of the Audit Committee.



Mr Darshana Gunasekera
Chairman,

Audit Committee
24 February 2026

INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

COMMITTEE COMPOSITION DURING 2025

The composition of the committee during the year 2025 was as follows:

From 01.01.2025

1. **Mr Jayamin Pelpola***
   Chairman/ Non-Executive Director
2. **Mr Jehaan Ismail***
   Member/ Non-Executive Director
3. **Dr. Kapila Senanayake**
   Member/ Non-Independent Non-Executive Ex-Officio Director

From 03.02.2025

1. **Mr R M P Rathnayake***
   Chairman/ Non-Executive Director
2. **Mr Jayamin Pelpola***
   Member/ Non-Executive Director
3. **Mr Kavinda de Zoysa***
   Member/ Non-Executive Chairman

From 23.06.2025

1. **Mr R M P Rathnayake***
   Chairman/ Non-Executive Director
2. **Mr Kavinda de Zoysa***
   Member/ Non-Executive Chairman
3. **Dr. Kapila Senanayake**
   Member/ Non-Independent Non-Executive Ex-Officio Director

Present Committee

From 01.01.2026

1. **Mr R M P Rathnayake***
   Chairman/ Non-Executive Director
2. **Ms Sharmini Ratwatte**
   Member/ Independent Non-Executive Director
3. **Mr Dharshan Jayaratne**
   Member/ Independent Non-Executive Director
4. **Mr Sunimal Weerasooriya**
   Member/ Independent Non-Executive Director

*** Considered Independent as per listing rules of CSE.**

Meetings held in 2025: 08

(Attendance given on page 173 of this Report)

Quorum: The quorum shall consist of at least half of the committee members

Secretary to the Committee

The Secretary, Bank of Ceylon/ Secretary to the Board, Ms Janaki S Siriwardane who is an Attorney-at- Law and a Senior Deputy General Manager, functions as the Secretary to the Committee.

The Committee should at least meet at least quarterly to assess all aspects of risk management including updated business continuity plans.

Regular Invitees

- General Manager
- Chief Risk Officer
- Chief Internal Auditor
- Chief Compliance Officer
- Chief Information Security Officer
- Any other members of the Board/ Corporate Management/ Executive Management/ any other Staff Member invited by the Committee.

ROLE OF COMMITTEE

The Terms of Reference (TOR) of the Integrated Risk Management Committee are governed by the Committee Charter, approved and adopted by the Board.

The Committee also ensures that the scope and coverage of its functions addresses the requirements of the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks in Sri Lanka.

This includes reviewing and/ or recommending the following which are identified in the Charter of the Integrated Risk Management Committee:

- Policies, procedures and Management Committee Charters relating to risk management and compliance.
- Risk limits and policies that establish appetite for credit, market, liquidity, operational, information security and other risks, as recommended by the Chief Risk Officer.
- Adequacy and effectiveness of all Management level committees to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the Committee.
- Risk management reports on the risk profile of the Bank including overseas branches and subsidiaries, as well as current market and regulatory risks and actions undertaken to identify, measure, monitor and control such risks.
- Corrective action to mitigate the effects of specific risks in case such risks are beyond the prudent levels decided by the Committee on the basis of the Bank's policies and regulatory and supervisory requirements.
- Adequacy and effectiveness of risk identification, measurement, monitoring and mitigation relating to credit, market, liquidity, operational, Information Security and compliance risks.

PRINCIPAL FOCUS

To assist the Board in fulfilling its oversight responsibilities for all aspects of risk management. In this connection the Committee ensures the existence, operation and effectiveness of the Risk Management framework and assesses and reviews credit, market, liquidity, operational, Information Security and strategic risks through appropriate risk indicators and management information. The committee further focuses on establishment of a compliance function to assess the bank's compliance with laws, regulations, regulatory guidelines and approved policies on all areas of business operations.

In addition to its responsibilities in overseeing the Bank's integrated risk management framework, the Committee acted as the Board Sustainability Committee. The Committee provides oversight of the Bank's approach to managing Environmental, Social, and Governance (ESG) risks, guides the sustainability strategy, and ensures the integrity of related disclosures. This dual role supports the Bank's commitment to sustainable finance, responsible banking, and evolving regulatory and stakeholder expectations.

MEDIUM OF REPORTING

The proceedings of the Integrated Risk Management Committee meetings are tabled and ratified at the Board meetings and Board approval obtained thereof.

AREAS OF FOCUS AND ACTIVITIES IN

Risk limits

- Reviewed the Bank's risk appetite limits and continuously monitored exceptions through reports submitted by the Risk Management Division.
- Exceptions to the limit management framework were strictly monitored, with management proposing corrective actions to validate their suitability.
- Policies and procedures.
- Recommended all risk-related policies, including foreign branch policies, to the Board with necessary revisions driven by business or regulatory needs.
- Reviewed and revised the Terms of Reference of all Management-level Committees dealing with specific risks.
- Evaluated the effectiveness of these committees against their mandates to ensure alignment with objectives.

Liquidity

In line with the gradual recovery of the economy, the Bank was able to build strong liquidity level in terms of rupee and foreign currency owing to the timely taken strategic decisions.

Asset quality

During the year special attention was given to improving credit quality with the improving economic conditions. Deliberations on asset quality were multifaceted. Adherence to the comprehensive plan to curtail non-performing advances was strictly ensured while monitoring the credit quality through the credit quality units with strict monitoring and regular reporting. Special emphasis on revival of underperforming segments and customers were focused with a view to improving credit quality.

Compliance

During the year under review, the Bank procured a new Anti-Money Laundering (ALM) system and the IRMC closely monitored its implementation which was completed successfully. Committee also continuously assessed and monitored the compliance risks undertaken by business units through reports submitted by the Compliance Division. In view of the significant role expected Bank of Ceylon in the country's upcoming mutual evaluation, Integrated Risk Management Committee (IRMC) closely supervised the Bank's preparedness.

Subsidiary Risk Reviews

- Conducted comprehensive risk reviews of subsidiaries to ascertain their risk profiles and made recommendations to ensure alignment with the Bank's risk mandate.

Internal Capital Adequacy Assessment Process (ICAAP) and Recovery Plan

- Reviewed and recommended the ICAAP of the Bank of Ceylon Group to maintain adequate capital levels for Pillar II risks and withstand stress scenarios.
- Discussed alert and trigger events in detail, with remedial actions taken by management.
- Revised the capital augmentation plan, identifying alternative sources of capital to bridge gaps.

Sustainability Initiatives

- Advanced the Bank's commitment to sustainable finance by integrating Environmental, Social, and Governance (ESG) considerations into credit evaluation and decision making processes.
- Strengthened policies to ensure responsible lending practices that support projects contributing to long term economic resilience, environmental protection, and social well being.
- Promoted green financing opportunities, including renewable energy projects and eco friendly business ventures, aligning with national sustainability goals.
- Enhanced stakeholder engagement to foster awareness of sustainability principles across customers, employees, and communities.
- Reinforced the Bank's role in safeguarding environmental and social interests while contributing to inclusive and sustainable growth.

Information security/ IT Risk

- Implemented robust information security and IT risk management measures to ensure seamless customer experience while safeguarding confidentiality, integrity, and availability of sensitive data.
- The Chief Risk Officer (CRO) retired from Bank's service in 2025, and an Acting Chief Risk Officer was subsequently appointed with the recommendation of this committee. The committee expressed its appreciation for the valuable contribution made by the former CRO to the committee.
- The committee wishes to record an appreciation for Mr Jayamin Pelpola former Chairman and member of this committee who since resigned from the Board of the Bank of Ceylon, for the valuable contribution made by him to this committee.

Conclusion

The Integrated Risk Management Committee successfully completed its functions for 2025, thoroughly assessing and mitigating risks across multiple domains, ensuring compliance with regulatory standards, and fostering a strong risk-aware culture throughout the organisation.

The Committee remains committed to safeguarding the financial integrity of the Bank of Ceylon. Its comprehensive risk mitigation strategies, proactive measures, and emphasis on resilience position the Bank to navigate future challenges. The Committee continues to collaborate, adapt, and grow in pursuit of sustainable progress within an evolving banking landscape.

Mr R M P Rathnayake
Chairman,

Integrated Risk Management Committee.
24 February 2026

HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT

GRI 2-19, 20

COMMITTEE COMPOSITION DURING 2025

The composition of the Committee at the beginning of 2025:

1. **Mr Jehaan Ismail***
   Chairman/ Non-Executive Director
2. **Mr Kavinda de Zoysa***
   Member/ Non-Executive Chairman
3. **Dr. Kapila Senanayake**
   Member/ Non-Independent Non-Executive Ex-Officio Director

Present Committee

From 01.01.2026

1. **Mr Jehaan Ismail***
   Chairman/ Non-Executive Director
2. **Mr Kavinda de Zoysa***
   Member/ Non-Executive Chairman
3. **Mr Dharshan Jayaratne**
   Member/ Independent Non-Executive Director

* Considered Independent as per listing rules of CSE.

Secretary to the Committee

The Secretary, Bank of Ceylon/ Secretary to the Board, Ms Janaki S Siriwardane who is an Attorney-at- Law and a Senior Deputy General Manager, functions as the Secretary to the Committee.

Regular Invitees

- General Manager
- Deputy General Manager (Human Resources)
- Any other member of Corporate or Executive Management

Meetings held in 2025: 08

(Attendance given on page 173 of this Report)

Quorum: The quorum shall consist of at least half of the committee members.

ROLE OF COMMITTEE

Terms of Reference of the Committee

The main responsibilities of the Committee, which are mainly based on the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Commercial Banks in Sri Lanka issued by the Central Bank of Sri Lanka and incorporated into the Committee Charter, are as follows:

- Determining the Remuneration Policy (Salaries, Allowances and Special payments/ benefits made at termination or retirement and other financial and non-financial benifits) relating to Directors, CEO and Key Management Personnel (KMP) of the Bank.
- Setting goals and targets for the Directors, General Manager (GM) and KMP.
- Evaluating the performance of the GM and KMP against the set targets and goals periodically and determining the basis for revising remuneration, benefits and other payments of performance based incentives.
- Reviewing staff in relation to matters referred to it by the Board.
- Determining the Human Resource Policy and Organisation Structure of the Bank.

PRINCIPAL FOCUS

This Committee focuses on assisting the Board in the Human Resource (HR) matters primarily related to KMP.

MEDIUM OF REPORTING

The proceedings of the Committee meetings are tabled and ratified at Board meetings and approval of the Board is thus obtained for implementation of the recommendations made by the Committee.

AREAS OF FOCUS AND ACTIVITIES IN 2025

Remuneration of Directors

According to the Banking Act Directions, this Committee has to determine the Remuneration Policy relating to the Chairman and Directors. However, in the case of Bank of Ceylon, the remuneration of Directors is determined in accordance with the circulars and instructions issued by the Government of Sri Lanka, the sole shareholder of the Bank. The provisions in the Bank of Ceylon Ordinance No. 53 of 1938 and its amendments, are also taken into consideration in this regard. Remuneration of the Directors are indicated on page 270 of this Annual Report.

The Bank has a Remuneration Policy in place, prepared based on the above, which is reviewed periodically and also as and when new regulations are issued by the Government. The details of the remuneration given to Directors, are disclosed in the Annual Report on yearly basis.

Remuneration of KMP

The remuneration of employees is revised once in three years, with the approval of the Minister, whose purview the Bank comes under as per the provisions of the Bank of Ceylon Ordinance.

Performance Evaluation

The Committee evaluated the performance appraisals relating to KMP including the General Manager. The appraisals of the Chief Compliance Officer, Chief Risk Officer and Chief Internal Auditor are placed before the respective subcommittees. They were evaluated against the targets set at the commencement of the year in line with the Strategic Plan. This task is carried out annually.

Goals and Targets

The Committee reviewed and recommended the Key Performance Indicators (KPI) of the members of the Corporate Management and the General

Manager for the year 2025. The KPIs of the Chief Compliance Officer, Chief Risk Officer and Chief Internal Auditor were placed before the respective subcommittees. This takes place annually.

Claw-back Policy was established for the performance-based payment made to CEO and KMP of the Bank.

Few Policies/ Charters Reviewed or Revised during the year and recommended to the Board for adoption.

WAY FORWARD

The Committee will continue to review and strengthen the Bank's human resource policies and practices to ensure alignment with the Bank's strategic direction and evolving business requirements.

In line with the approach adopted in the previous year, the Committee will focus on enhancing performance management processes, reviewing Key Performance Indicators for Corporate and Executive Management, and ensuring a transparent and structured framework for promotions and staff development.

Further, the Committee will continue to support initiatives relating to employee engagement, grievance handling mechanisms, and training and development, including improvements to digital learning platforms, while ensuring that all matters relating to Key Management Personnel remain consistent with governance and regulatory expectations.

On behalf of the Human Resources and Remuneration Committee.

Mr Jehaan Ismail
Chairman,

Human Resources and Remuneration Committee
24 February 2026

NOMINATION AND GOVERNANCE COMMITTEE REPORT

GRI 2-10

COMMITTEE COMPOSITION DURING 2025

The composition of the Committee from 01.01.2025:

1. **Mr Jehaan Ismail***
   Chairman/ Non-Executive Director
2. **Mr Kavinda de Zoysa***
   Member/ Non-Executive Chairman
3. **Dr. Kapila Senanayake**
   Member/ Non-Independent Non-Executive Ex-Officio Director

From 03.02.2025

1. **Mr Jehaan Ismail***
   Chairman/ Non-Executive Director
2. **Mr Kavinda de Zoysa***
   Member/ Non-Executive Chairman
3. **Mr R M P Rathnayake**
   Member/ Non-Executive Director

Present Committee

From 01.01.2026

1. **Mr Jehaan Ismail***
   Chairman/ Non-Executive Director
2. **Mr Kavinda de Zoysa***
   Member/ Non-Executive Chairman
3. **Mr R M P Rathnayake***
   Member/ Non-Executive Director
4. **Prof. Ananda Jayawardena**
   Member/ Independent Non-Executive Director
5. **Mr Darshana Gunasekera**
   Member/ Independent Non-Executive Director

*** Considered Independent as per listing rules of CSE.**

Secretary to the Committee

The Secretary, Bank of Ceylon/ Secretary to the Board Ms Janaki S Siriwardane who is an Attorney-at-Law and a Senior Deputy General Manager, functions as the Secretary to the Committee.

Attend upon invitation

- General Manager.
- Any other member of the management as decided by the Committee.

Meetings held in 2025: 14

(Attendance given on page 173 of this Report)

Quorum: members or majority (whichever which is higher) of Independent Directors shall constitute a quorum.

ROLE OF COMMITTEE

Nomination and Governance Committee Charter the Terms of Reference of the Nomination and Governance Committee are governed by the Committee Charter, approved and adopted by the Board.

The Committee ensures that the scope and coverage of its functions addresses the requirements of the Banking Act Directions on Corporate Governance for Licensed Commercial Banks in Sri Lanka and that of the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka and the Section 9 of the Listing Rules of the Colombo Stock Exchange.

PRINCIPAL FOCUS

The Nomination and Governance Committee assists the Board in ensuring compliance with Corporate Governance principles as required by regulations or otherwise in addition to assisting the Board with regard to the appointment of new Directors, the Chief Executive Officer/ General Manager and the Key Management Personnel (KMP).

MEDIUM OF REPORTING

The proceedings of the Nomination and Governance Committee meetings are tabled and ratified at the Board meetings and Board approval obtained thereof. Meetings are tabled and ratified at the Board meetings and Board approval obtained thereof.

AREAS OF FOCUS AND ACTIVITIES IN 2025

The Committee continued to strengthen the Bank's governance framework and regulatory alignment.

Policy on Appointment of Directors

Revised the policy on appointment of Directors to the Board to facilitate appointment of Directors through this committee.

Corporate Governance

There is a Corporate Governance Policy in place in the Bank which is constantly reviewed and revised to ensure alignment with evolving regulatory expectations and best governance practices. Several policies under this framework were duly reviewed in 2025.

The Committee ensured that governance practices remained aligned with regulatory requirements and they are complied with.

Director Training

Facilitated Training, Seminars and presentations for the Board of Directors during 2025 including the Non-Executive Directors' training and certification Programme conducted by the Institute of Chartered Accountants in England and Wales, strengthening Board competency and governance standards.

Fitness and Property

Ensured that the KMP and Directors are fit and proper persons to hold their offices when Directors were appointed and when officers were promoted, appointed as KMP and changes were done to their designations.

Board Performance

Bi-annual evaluations were done. Effective Board performance of Directors details of whom are given in their profiles, were noted.

Succession Arrangements

Reviewed and recommended the promotion policy for senior management positions, ensuring alignment with succession planning and talent development objectives. Reviewed and recommended the Promotion Policy for the position of the Deputy General Manager, Assistant General Manager in the banking stream.

WAY FORWARD

The Committee will continue to support improvements in Board processes and overall effectiveness, strengthen leadership and ensure that all policies relating to appointments, promotions and succession remain aligned with regulatory requirements and best practices. Emphasis will be placed on accountability, transparency and organisational effectiveness to support the Bank's strategic direction.

CONCLUSION

Induction programmes were conducted for newly appointed Directors.

Major issues of the Bank and regulatory updates are submitted to Board meetings. Quarterly statement on independence of Directors are obtained.

The Committee reviewed the efficiency of its work through the annual evaluation that was carried out collectively. The Committee will continue to add value to the Board's responsibilities through the functions of this Committee.

On behalf of the Nomination and Governance Committee.

Mr Jehaan Ismail
Chairman,

Nomination and Governance Committee
24 February 2026

INFORMATION AND COMMUNICATION TECHNOLOGY COMMITTEE REPORT

COMMITTEE COMPOSITION DURING 2025

Committee composition from 01.01.2025:

1. **Dr. Amal Illesinghe***
   Chairman/ Non-Executive Director
2. **Mr Kavinda de Zoysa***
   Member/ Non-Executive Chairman
3. **Dr. Kapila Senanayake**
   Member/ Non-Independent Non-Executive Ex-Officio Director

From 03.02.2025

1. **Dr. Amal Illesinghe***
   Chairman/ Non-Executive Director
2. **Mr Kavinda de Zoysa***
   Member/ Non-Executive Chairman
3. **Mr Jayamin Pelpola***
   Member/ Non-Executive Director

From 23.06.2025

1. **Dr. Amal Illesinghe***
   Chairman/ Non-Executive Director
2. **Mr Kavinda de Zoysa***
   Member/ Non-Executive Chairman
3. **Dr. Kapila Senanayake**
   Member/ Non-Independent Non-Executive Ex-Officio Director

Present Committee

From 17.12.2025

1. **Dr. Amal Illesinghe***
   Chairman/ Non-Executive Director
2. **Mr Kavinda de Zoysa***
   Member/ Non-Executive Chairman
3. **Mr Sunimal Weerasooriya**
   Member/ Independent Non-Executive Director

*** Considered Independent as per listing rules of CSE.**

Quorum: members

Secretary to the Committee

Chief Information Officer, Mr Buddhikka Seelanatha who holds a BSc (Management Information Systems) degree from the National University of Ireland, Dublin, functions as the Secretary to the Committee.

Attend upon invitation

- Assistant General Managers attached to IT Division.
- Assistant General Manager (Product Development and Business Process Re-Engineering Project)
- Any other members of the Board, the Corporate Management and Staff Members as decided by the Committee.

Meetings held in 2025: 10

(Attendance given on page 173 of this Report)

ROLE OF COMMITTEE

Information and Communication Technology (ICT) Committee Charter

The Terms of Reference of the ICT committee are governed by the ICT Committee Charter approved and adopted by the Board.

PRINCIPAL FOCUS

The primary purpose of the Committee is to assist the Board in fulfilling its oversight responsibilities in relation to the adequacy, effectiveness, and strategic alignment of the Bank's information technology environment.

During the year under review, the Committee placed increased emphasis on strengthening technology governance, cybersecurity resilience, digital enablement, and infrastructure modernisation to support the Bank's strategic objectives and evolving digital banking landscape. The Committee continued to ensure that the Bank maintains robust IT capabilities, adopts industry best practices, and remains responsive to emerging technology trends and regulatory expectations.

MEDIUM OF REPORTING

The proceedings of the ICT committee meetings were regularly reported to the Board for review and ratification. Matters requiring strategic direction, policy approval, or investment decisions were escalated to the Board as appropriate.

AREAS OF FOCUS AND ACTIVITIES IN 2025

Monitoring Development

- Monitored the progress of key digital and technology initiatives undertaken by the Bank to enhance customer experience and operational efficiency.
- Monitored enhancements to critical channels, including Internet and Mobile Banking platforms.
- Oversaw progress of network modernisation initiatives aimed at improving connectivity, resilience, and service availability.
- Reviewed developments relating to emerging digital solutions supporting the Bank's strategic roadmap.
- Monitored the implementation of several strategic technology investments during the year, including the Anti-Money Laundering (AML) solution, large-scale end-user device refresh to uplift frontline service capability, expansion of ATM network, and enterprise network enhancement initiatives. These investments are expected to significantly strengthen customer service delivery, operational efficiency, and technology resilience across the Bank.

IT GOVERNANCE

- Reviewed and strengthened the IT Governance framework to ensure alignment with the Bank's strategic priorities and regulatory requirements.
- Monitored management actions relating to cybersecurity posture improvements, including privileged access management and security operations enhancement.

- Oversaw progress of audit and regulatory remediation actions relating to technology risk management.
- Reviewed and streamlined IT procurement processes and maintenance contract governance.
- Monitored Disaster Recovery readiness and the resilience of critical IT infrastructure
- Reviewed initiatives undertaken towards ISO and best-practice alignment within the IT environment.

WAY FORWARD

The Committee will continue to focus on emerging technologies, cybersecurity resilience, and governance maturity to ensure that the Bank's technology landscape remains secure, scalable, and aligned with business strategy. Emphasis will be placed on supporting the Bank's digital transformation journey while maintaining strong regulatory compliance and risk management practices.

CONCLUSION

The Information and Communication Technology Committee is satisfied that appropriate oversight was exercised during the year to ensure the effectiveness, resilience, and strategic alignment of the Bank's IT environment.

The Committee will continue to support the Board in ensuring that technology investments and initiatives contribute effectively to the Bank's long-term objectives while maintaining robust information security and governance standards.

Dr. Amal Illesinghe
Chairman,

Information and Communication
Technology Committee
24 February 2026

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

COMMITTEE COMPOSITION

The composition of the committee from 01.01.2025:

1. **Mr Jehaan Ismail***
   Chairman/ Non-Executive Director
2. **Mr Kavinda de Zoysa***
   Member/ Non-Executive Chairman
3. **Dr. Kapila Senanayake**
   Member/ Non-Independent Non-Executive Ex-Officio Director

From 03.02.2025

1. **Mr R M P Rathnayake***
   Chairman/ Non-Executive Director
2. **Dr. Kapila Senanayake**
   Member/ Non-Independent Non-Executive Ex-Officio Director
3. **Dr. Amal Illesinghe***
   Member/ Non-Executive Director

The present composition of the Committee from 01.01.2026

1. **Mr Dharshan Jayaratne**
   Chairman/ Independent Non-Executive Director
2. **Mr R M P Rathnayake***
   Member/ Non-Executive Director
3. **Mr Thulci Aluwihare**
   Member/ Independent Non-Executive Director

*** Considered Independent as per listing rules of CSE.**

Secretary to the Committee

Mr Anton John Pulle, Deputy General Manager, Finance and Planning functioned as the secretary to the committee from 01.01.2025 to 10.08.2025.

With the retirement of Mr Anton John Pulle, Ms Zeena Ruwais, Assistant General Manager, Budget, Strategic Planning and MIS, functions as the Secretary to the Committee from 11.08.2025.

Regular participants

- General Manager

Attend upon invitation

Relevant management personnel

Meetings held in 2025: 05

(Attendance given on page 173 of this Report)

Quorum: At least half of the members

ROLE OF THE COMMITTEE

Related Party Transactions Review Committee Charter

The Terms of Reference of the Related Party Transactions Review Committee are governed by the Related Party Transactions Review Committee Charter, approved and adopted by the Board.

PRINCIPAL FOCUS

The primary purpose of this Committee is to assist the Board of the Bank in reviewing all Related Party Transactions in accordance with the CBSL regulations, CSE Listing Rules and other applicable standards, laws and regulations and ensure that the Bank does not engage in transactions with Related Parties in a manner that would grant such parties "more favourable treatment" than accorded to other constituents of the Bank carrying on the same business.

MEDIUM OF REPORTING

The proceedings of the Related Party Transactions Review Committee meetings are tabled and ratified at the Board meetings and Board approval obtained thereof.

AREAS OF FOCUS AND ACTIVITIES IN 2025

- Reviewed the Related Party Transaction Review Committee Charter.
- Revised the Related Party Transaction Disclosure Policy.
- Developed and approved a standardized memorandum format for submitting related party transaction to the committee.
- Awareness sessions were conducted by the Chief Compliance Officer for Board of Directors, Corporate and Executive Management and Relationship Managers.
- Initiated several measures to improve the process of identifying Related Party transactions.
- Ensured no favourable treatments were given to Related parties.

WAY FORWARD

The Committee remains committed to upholding the highest standards of governance and will continue to strengthen oversight mechanisms to ensure that related party transactions align with regulatory requirements and best practices.

CONCLUSION

The Committee reviewed the efficiency of its work through the annual evaluation that was carried out collectively. The Committee will continue to add value to the Board's responsibilities through the functions of this Committee.

On behalf of the Related Party Transactions Review Committee

Mr Dharshan Jayaratne

Chairman,

Related Party Transactions Review Committee
24 February 2026

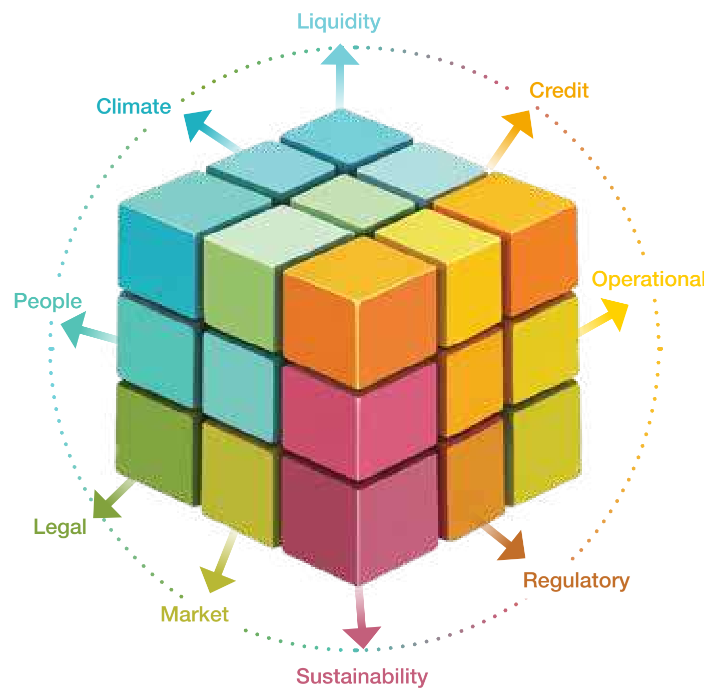
RISKS AND SUSTAINABLE GROWTH

In 2025, the Bank of Ceylon demonstrated resilience, stability, and prudent risk stewardship amidst a gradually recovering macroeconomic environment. With total assets surpassing LKR 5.0 trillion milestone and a recorded profit of LKR 120.8 billion, the Bank strengthened its position as the largest and most domestic systemically important financial institution in Sri Lanka. These results reflect disciplined strategic execution, improved asset quality, and a continued focus on sustainable value creation.

Effective risk management remained central to the Bank's performance during the year. The Bank adopted a proactive and integrated risk management framework aligned with regulatory requirements, international best practices, and its long-term strategic objectives.

This Risk Management Report outlines the Bank's risk profile, governance framework, and mitigation strategies adopted during the year, highlighting the Bank of Ceylon's commitment to financial stability, regulatory compliance, and long-term resilience in an evolving risk landscape.

A multidimensional risk environment – interconnected, dynamic and continuously evolving



Building Resilience Through Risk Discipline

The Bank's disciplined approach to risk management is reflected in key capital, liquidity and performance indicators, which demonstrate resilience and stability across periods of uncertainty.

Vision

Risk Management Aspiration

To be a complement in achieving the Bank's vision through proactive management of risks.

Mission

Risk Management Mandate

Facilitating sustainable growth of the Bank ensuring comprehensive management of risks in line with regulatory requirements and industry best practices, in a dynamic work environment encouraging teamwork and professional growth.

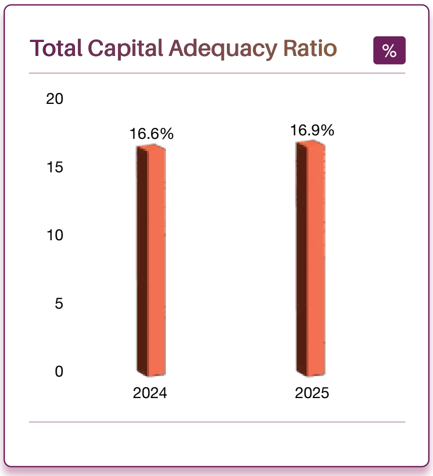
Value Delivered

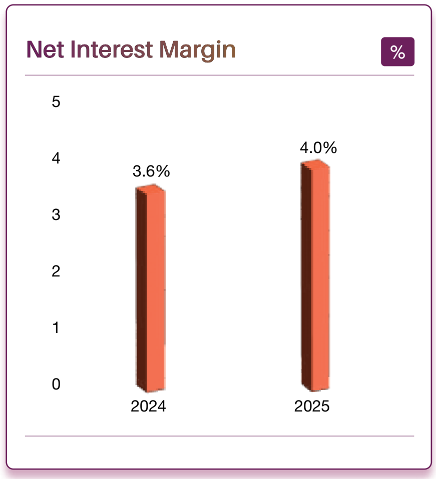
Systemic Responsibility and Financial Stability

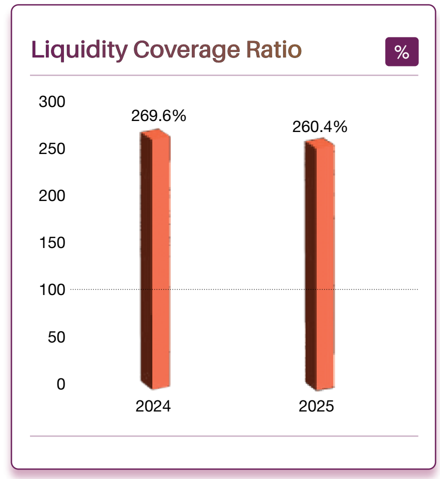
Bank of Ceylon's role as a Domestic Systemically Important Bank places it at the core of Sri Lanka's financial system. Disciplined risk management is essential to this responsibility, ensuring the Bank remains resilient through periods of uncertainty while continuing to support economic growth, financial inclusion and long-term national development.

RISKS AND SUSTAINABLE GROWTH

Risk Management Success Story

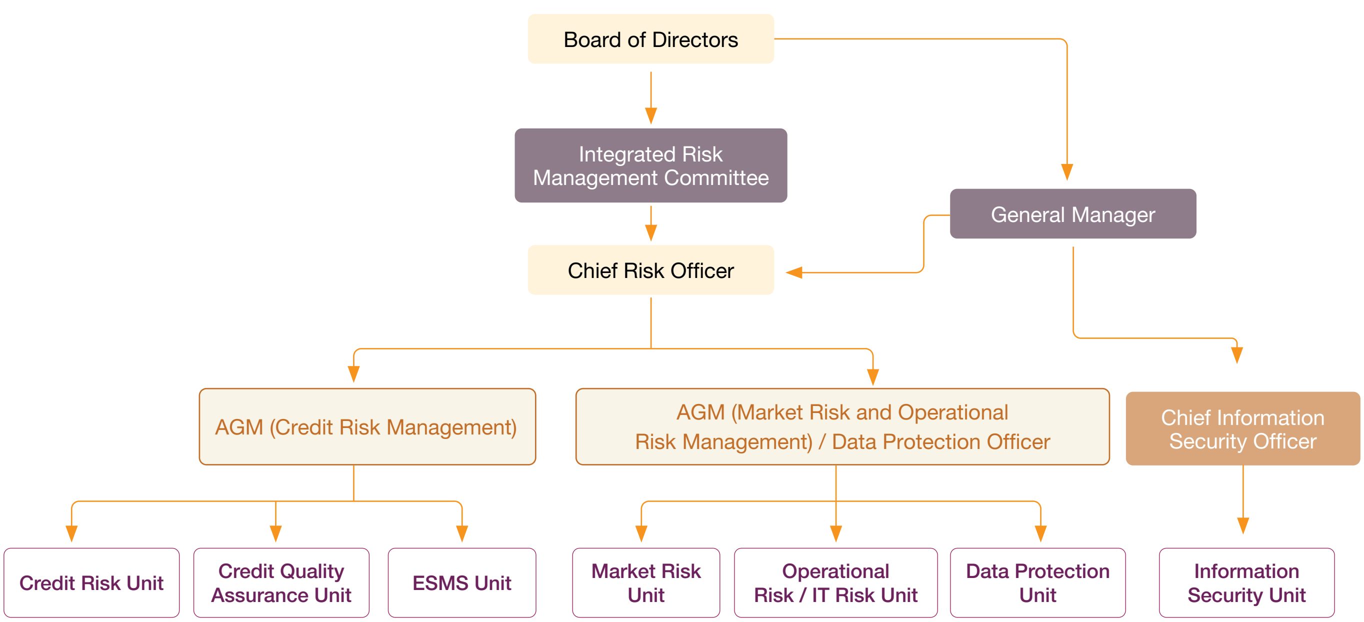






Risk Governance

Strong risk governance underpins the Bank's ability to manage uncertainty while pursuing strategic objectives. Oversight of risk, including sustainability-related and climate-related risks, is anchored at Board level and supported by a structured system of committees, independent risk management and executive accountability.



Composition of Key Risk Governance Bodies

The composition of the Bank's risk governance bodies reflects a deliberate balance of independence, experience and functional expertise, designed to support effective oversight and decision-making.

Board of Directors
Overall accountability

Eleven (11) Non-Executive Directors, including Independent Non-Executive Directors, providing balanced oversight, independence and strategic direction.

Independent Risk Management Committee (IRMC)
Board-level oversight

A Board-appointed committee comprising four members, the majority of whom are Independent Non-Executive Directors.

Executive Risk Committees
Management execution

Comprise senior management representing key business, risk and control functions.

Independent Integrated Risk Management Division (IIRMD)
Independent risk oversight

The Independent Integrated Risk Management Division operates independently of business units and is headed by the Chief Risk Officer (CRO).

Roles and Responsibilities

Risk Governance Roles and Responsibilities Matrix

Risk Governance Layer	Strategic Direction and Oversight	Independent Risk Oversight	Management and Execution	Independent Assurance
Governance Body/ Role	Board of Directors IRMC	Chief Risk Officer (CRO) IIRMD	Executive Risk Committees Business Units	Internal Audit
Risk Strategy and Appetite	Approves risk appetite and risk strategy	Sets risk appetite and limits	Operates within approved appetite	Reviews effectiveness
Risk Identification	Oversees material risks identified	Independently identifies and assesses risks	Identifies and manages risks in operations	Tests completeness
Risk Measurement and Monitoring	Oversees risk profile and trends	Develops KRIs, monitors exposures	Tracks credit, market, and operational risks	Validates controls
Risk Mitigation	Provides strategic guidance	Recommends mitigation actions	Implements mitigation measures	Reviews outcomes
Sustainability and Climate Risks	Oversees integration into strategy and capital planning	Integrates sustainability and climate related risks into the Risk Management Framework	Manages impacts within business lines and strengthens operational resilience and crisis preparedness	Assesses adequacy
Reporting and Escalation	Reviews regular risk reports	Reports independently to IRMC and Board	Ensures transparent reporting and escalates issues through management	Reports findings to Audit Committee
Risk Culture and Capability	Sets tone at the top	Promotes risk awareness and training	Embeds and cultivates a risk-aware culture in daily operations	Evaluates effectiveness

An overview of the Bank's risk governance structure and role allocation is presented in the Risk Governance Roles and Responsibilities Matrix above. Detailed responsibilities of the Integrated Risk Management Committee (IRMC) and the Independent Integrated Risk Management Division (IIRMD), which play central roles within this framework, are outlined below. During the year, initiatives were taken to establish two Board Subcommittees, namely the Board Credit Committee and Sustainability Subcommittee.

IRMC Integrated Risk Management Committee

Board-level oversight

Assists the Board in discharging its oversight responsibilities for enterprise, sustainability-related and climate-related risks.

- Overseeing the Bank's risk governance framework and alignment with the approved Risk Appetite Statement
- Monitoring the overall risk profile and material risk exposures
- Reviewing capital adequacy, ICAAP, stress testing and recovery planning outcomes
- Overseeing management of material, emerging, sustainability-related and climate-related risks
- Ensuring effectiveness of the three lines of defence and risk management function
- Monitoring business continuity and crisis preparedness
- Promoting a strong risk culture across the organisation

IIRMD Independent Integrated Risk Management Division

Independent risk oversight and execution

Operates independently of business units and is headed by the Chief Risk Officer (CRO). It is responsible for the effective implementation and ongoing maintenance of the Enterprise Risk Management framework.

- Identifying, assessing and monitoring risks assumed by the Bank, including emerging sustainability-related and climate-related risks
- Supporting the setting, monitoring and reporting of risk appetite and key risk indicators
- Providing independent risk reporting to senior management, the IRMC and the Board
- Supporting business units through guidance, training and awareness to embed risk management into day-to-day operations
- Ensuring compliance with regulatory requirements relating to ICAAP, BCP and RCP

CRO Chief Risk Officer

Independent risk leadership

Provides independent leadership of the Bank's risk management function and oversees the effectiveness of the Enterprise Risk Management framework. The CRO reports to the IRMC and the Board.

- Implementing and coordinating the Board-approved integrated risk management framework
- Maintaining oversight of the risks assumed by the Bank and ensuring they are managed within the approved risk appetite
- Establishing risk limits and monitoring exposures, including recommending actions where limits are breached
- Overseeing risk measurement methodologies, including stress testing and scenario analysis across credit, market, operational and climate-related risks
- Reporting the Bank's risk profile and material risk exposures to the IRMC and the Board
- Participating in key decision-making processes, including strategy, capital and liquidity planning, and new products and services
- Strengthening risk management capabilities
- Promoting a strong risk culture across the organisation

SM Senior Management

Risk management and execution

Responsible for managing risks within the limits of the Board-approved risk appetite and for implementing the risk governance framework across the organisation.

- Establishing and maintaining an integrated framework to assess, manage and monitor the Bank's risk exposures
- Ensuring that risk exposures are appropriately measured and aligned with the Bank's capital and liquidity position
- Implementing Board-approved risk policies, procedures and internal controls
- Monitoring compliance with risk limits and ensuring timely escalation of breaches
- Communicating risk policies and procedures across the organisation and supporting a strong risk-awareness

Competency, Capability and Continuous Development

The Board, through the Integrated Risk Management Committee (IRMC), ensures that appropriate skills, expertise and competencies are available and continuously developed to support effective oversight and management of organisation-wide risks, sustainability and climate-related risks.

Board and Committee Capability	• Ensures the required skills, experience and qualifications of members involved in risk oversight • Where gaps are identified, targeted training, external expertise or specialist advisory support is engaged
Management and Staff Development	• The Bank promotes a continuous learning culture through structured training and professional development programmes aligned with regulatory requirements and international best practices, covering credit, market, operational, liquidity, IT/cyber, compliance, sustainability and climate-related risks • Specialised and emerging risk training, including exposure to international programmes and certifications where relevant, is provided to strengthen organisational capability
Succession and Continuity	• Succession planning is in place to ensure expertise and effective risk oversight
Feedback and Continuous Improvement	• Outcomes from audits, regulatory inspections and continuous learning improve the overall risk management process

Enterprise Risk Management Framework

The Bank's Enterprise Risk Management framework is designed to identify, assess and manage risks simultaneously recognising and monitoring opportunities that may arise from changes in the operating environment. By evaluating potential risks the framework supports informed decision-making, resilience and sustainable value creation.

Foundation of the ERM Framework

The Bank's Enterprise Risk Management (ERM) framework is built on four core pillars that guide how risks are identified, managed and embedded into day-to-day operations.

Risk Philosophy

Risk management is a shared responsibility across the organisation and is aligned with the Bank's strategic objectives. Regulatory compliance is non-negotiable, and safeguarding the Bank's reputation is integral to protecting financial performance and stakeholder confidence.

Risk Appetite

The risk appetite framework translates strategy into clearly defined risk parameters within which the Bank operates. Board-approved policies and the support of the Executive Risk Committees play a pivotal role in managing the risk appetite within the established limits, the Independent Integrated Risk Management Division (IIRMD) conducts risk reviews to ensure potential risks are identified and assessed upfront.

Risk Identification, Mitigation and Reporting

Risks are proactively identified, assessed and mitigated at strategic, policy and operational levels. Material risks are measured, monitored and reported through the established Risk Management Framework, enabling timely escalation to senior management, the Integrated Risk Management Committee and to the Board, while supporting informed decision-making.

Risk Culture

A strong risk culture underpins the effective functioning of the ERM framework by promoting awareness, accountability and open escalation of risks as part of daily business activities.

ERM Framework at Bank of Ceylon

Objectives

- Enhance the Bank's ability to anticipate and mitigate risks effectively while maximising opportunities for growth
- Establish common policies and standards for the management and control of all risks
- Provide a common language, system and framework to foster a consistent approach to manage risks

Risk Universe

Primary Risks

1 Credit Risk | 2 Liquidity Risk | 3 Market Risk | 4 Operational Risk

Other Risks

05 Strategic Risk | 06 People Risk | 07 Information Security and IT Risk | 08 Regulatory and Compliance Risk

09 Conduct Risk | 10 Legal Risk | 11 Reputational Risk | 12 Sustainability-Related Risk | 13 Climate-Related Risk

14 Third-Party Risk | 15 Fraud Risk

Risk Governance and Oversight

Board of Directors

Risk-related Board Committees: Integrated Risk Management Committee (IRMC) | Audit Committee | Information and Communication Technology Committee

General Manager

Risk-related Executive Committees:

Credit Risk
- Credit Committee
- NPA Review Committee
- Idle Asset Committee

Market Risk
- Assets and Liability Management Committee
- Investment Committee
- Committee for Investment in Government Securities

Operational Risk
- Operational Risk Management Executive Committee
- Fraud Risk Management Committee
- Committee Dealing with Operational Losses
- Business Continuity Management Committee

Information Security
- Corporate Information Security Committee

Reputational Risk
- Customer Experience Management Committee

1 **First Line of Defence** – Business Units

2 **Second Line of Defence** – Independent Intergrated Risk Management Division (IIRMD)

3 **Third Line of Defence** – Internal Audit

Risk Policies

- Integrated Risk Management Policy
- Group Risk Management Policy
- Stress Testing Policy
- Internal Capital Adequacy Assessment Policy
- Credit Risk Management Policy
- Credit Risk Rating Policy
- Credit Portfolio Management Policy
- Loan Review Mechanism Policy
- Integrated Environmental and Social Management System Policy
- Market Risk Management Policy
- Foreign Exchange Risk Management Policy
- Liquidity Risk Management Policy
- Operational Risk Management Policy
- Fraud Risk Management Policy
- Information Technology Risk Management Policy
- Information Security Policy
- Vulnerability Management Policy
- Cybersecurity Policy

The Three Lines of Defence Model

The Bank applies the Three Lines of Defence model as an integral component of its Enterprise Risk Management framework to ensure clear accountability, effective oversight, and independent assurance over risk management activities.

	1 First Line of Defence	2 Second Line of Defence	3 Third Line of Defence
	Business Units and Corporate Functions	Risk Management and Control by the IIRMD	Internal Assurance and Audit
Roles	Responsible for risk-taking and risk ownership arising from day-to-day activities Own and manage risks within their respective operations Operate within approved risk appetite and risk management policies	Provide independent oversight and monitoring of the effective implementation of the risk management framework Measure, monitor, and report risk exposures Maintain and strengthen risk management policies and standards	Provide independent assurance to the Board on governance, risk management, and internal controls Evaluate the effectiveness of the First and Second Lines of Defence
Supported by	Policies, procedures, and standard operating guidelines Internal controls embedded in business processes Management information systems and operational reporting Risk awareness training and a strong risk culture	Enterprise Risk Management policies and frameworks Risk assessment tools, KRIs, and risk dashboards Stress testing and scenario analysis outputs Integrated Risk Management Systems and reporting platforms	Internal audit methodologies and audit plans External audit and regulatory review processes Audit management and issue-tracking systems Direct reporting lines to the Audit Committee

Risk Management Process

Within the Enterprise Risk Management (ERM) framework, the Bank applies a structured and systematic risk management process to identify, assess, prioritise, monitor, mitigate, and report risks across the organisation.

This process is applied consistently across business units, functions, and organisational entities.

Scope

- Entire domestic and overseas branch network
- All critical business units and supporting functions
- All subsidiaries/ Associates under the Group

Governance Support

- Operates within the Enterprise Risk Management framework
- Supported by the Three Lines of Defence model

RISKS AND SUSTAINABLE GROWTH

1 Risk Identification

Objective	Key Activities	Outcome
Identify existing, emerging, and potential risks that may affect the Bank	• Risk and Control Self-Assessments (RCSAs) • Credit vetting and appraisal processes • Portfolio reviews and concentration analysis • Limit monitoring and counterparty risk reviews • Incident and loss data reporting • Product and process reviews • Environmental and Social (E&S) due diligence, including Pre and post-disbursement ESG assessments	Identified credit, market, liquidity, operational, regulatory, reputational, sustainability-related, and other residual risks

2 Risk Measurement

Objective	Key Activities	Outcome
Assess the nature, likelihood, and potential impact of identified risks	• Application of Key Risk Indicators (KRIs) • Assessment against Board-approved risk appetite and tolerance limits • Stress testing and scenario analysis • Portfolio-level risk assessments • Analysis of historical loss data • Qualitative assessments using expert judgement and sectoral analysis	Risk ratings and prioritisation based on impact and likelihood

3 Monitoring and Control

Objective	Key Activities	Outcome
Ensure risks remain within acceptable limits and controls operate effectively	• Ongoing monitoring through Management Information System (MIS) reporting • Use of the Integrated Risk Management System (IRMS) • Limit management and threshold monitoring • Periodic risk reporting to Management and Board committees • Continuous RCSAs and control effectiveness reviews	Early warning indicators, trend analysis, and timely escalation of risk issues

4 Mitigation and Reporting

Objective	Key Activities	Outcome
Manage risks within approved limits and ensure effective oversight and transparency	• Implementation of mitigation actions in line with approved policies and procedures • Alignment of risk responses with the Risk Appetite Framework • Escalation of material risks and emerging issues • Reporting of risk exposures, trends, and stress testing results to Management and the Board	Informed decision-making, strengthened resilience, and continuous improvement in risk management

Risk Prioritisation and Integration of Sustainability and Climate Related Risks and Opportunities

All enterprise risks, including sustainability and climate related risks and opportunities (SRROs and CRROs) are assessed and prioritised in the following manner. These processes ensure that enterprise and ESG-related risks are embedded within and inform the Bank's overall risk assessment and prioritisation processes.

Assessment of the Nature, Likelihood and Magnitude of Enterprise Risks

The Bank assesses enterprise-wide risks using a combination of qualitative and quantitative criteria, including:

- The nature and drivers of risks,
- Likelihood of occurrence, based on historical trends, emerging risk indicators,
- Potential magnitude of impact across financial, operational, regulatory, reputational, sustainability, and climate-related dimensions

Quantitative thresholds, stress-testing results, Key Risk Indicators (KRIs), and expert judgement are applied collectively to determine overall risk exposure and vulnerability.

Risk Criteria

- Nature and source
- Likelihood of occurrence
- Potential magnitude of impact

Inputs/ Drivers

- Impact and Probability
- Materiality Analysis
- Stress Testing and Scenario Comparison
- Risk Appetite Framework
- ERM Integration

Prioritisation

- Impact x Probability Assessment

Impact Areas

- Loan performance
- Collateral values
- Counterparty credit strength
- Market exposures
- Operational assets

Escalation and Oversight

Escalate material risks and near-breaches

Review against Risk Appetite Framework thresholds

Report to Management and relevant Board committees for action and monitoring

Navigation Guide

Risk evaluation and prioritisation are informed by a range of quantitative and qualitative inputs, including stress testing outcomes, ICAAP results, Key Risk Indicators, and expert judgement.

Detailed disclosures on:

- Stress testing, ICAAP and recovery planning are presented in pages 201-202 of this Report
- Sustainability related and climate related risks and opportunities (SRROs and CRROs) are presented on pages 214-215 of this Report

RISKS AND SUSTAINABLE GROWTH

An Evolving Framework: Improvements in 2025

Changes to the Risk Landscape

Compared to the preceding reporting period (2024), the Bank's risk landscape in 2025 was broadened and more clearly articulated to reflect emerging and non-financial risks alongside traditional risk categories.

Enhancements

- Explicit identification of sustainability-related risks as a distinct risk category
- Explicit identification of climate-related risks as a separate risk category
- Introduction of conduct risk as a standalone risk, strengthening focus on customer outcomes, ethical behaviour, and regulatory expectations
- Introduction of third-party risk, reflecting increased reliance on external vendors, service providers, and outsourced arrangements
- Formal articulation of fraud risk within the risk universe, reinforcing controls and monitoring mechanisms to address evolving internal, external and cyber-enabled fraud threats
- Clearer differentiation of people, strategy, and technology-related risks, improving clarity across the enterprise risk universe

Outcome

Expansion of the ERM Framework and Policy Architecture During 2025, the Bank expanded and strengthened its Enterprise Risk Management (ERM) framework, moving towards a more comprehensive, structured, and integrated framework to support consistent risk management across the organisation.

Strengthening of the ERM Framework Structure

- Clearer articulation of the ERM framework, supporting consistent application across risk types
- Improved alignment between the risk taxonomy, governance arrangements, and supporting policies
- Enhanced integration of non-financial, sustainability-related, and climate-related considerations within the core ERM architecture

Expansion of the Risk Policy Framework

- Revamped cybersecurity policies in line with the COBIT 2019 implementation project
- Strengthening of technology, information security, and cyber risk governance
- Integration of environmental, social, and sustainability-related risk policies into the core ERM framework

Outcome

Strengthened consistency, governance discipline, and enterprise-wide alignment, enabling a more robust and forward-looking approach to risk management.

Changes to Risk Management Processes

During 2025, the Bank enhanced the processes used to identify, assess, monitor, and manage risks, building on the expanded ERM framework and policy architecture.

Process Area	Process Enhancement in 2025	Impact on Risk Management
Risk Identification and Assessment	• Expansion of Risk and Control Self-Assessments (RCSAs) across additional business units and risk categories • Enhanced third-party and outsourcing risk assessment methodologies • Integration of sustainability- and climate-related considerations into risk identification processes	• Earlier identification of emerging and interconnected risks, improved visibility of control gaps, and strengthened proactive risk management across the enterprise
Risk Measurement, Monitoring and Controls	• Automation of Middle Office risk processes following the Treasury system upgrade • Strengthened vulnerability management and cyber monitoring controls • Secured cyber liability insurance coverage and established financial buffers to absorb potential cyber-related losses	• Reduced manual intervention, enhanced accuracy and timeliness of risk data, improved cyber resilience, and strengthened control effectiveness across treasury, market, and operational risk areas
Risk Governance Structure	• Introduction of dedicated Board sub-committees to enhance oversight of sustainability, and climate related risks • Clarified reporting lines and escalation protocols between management and Board committees • Strengthened cyber and technology risk governance in line with regulatory expectations	• More specialised and structured oversight of evolving risk domains, improved escalation discipline, and enhanced governance transparency and accountability
Risk Governance and Oversight	• Broader sectoral expertise and diversity at Board level • Increased depth and frequency of risk reporting to the Board, particularly on emerging and non-financial risks	• Enhanced quality of oversight, informed decision-making, and stronger alignment with the Bank's risk appetite

Risk Resilience, Capital Adequacy and Recovery Plan

The Bank applies a range of forward-looking risk resilience and capital management mechanisms to assess its ability to withstand adverse conditions, maintain financial stability, and support sustainable growth. These mechanisms complement the Enterprise Risk Management (ERM) framework by testing resilience under stress, ensuring adequate capital buffers, and enabling timely recovery actions.

Stress Testing

Purpose

Assess the Bank's resilience under adverse but plausible scenarios and identify potential vulnerabilities.

2025 Enhancements / New Scenarios

- Extended stress testing horizon to five years, aligned with the Bank's corporate plan and medium-term strategic outlook
- Initiated product-level credit quality assessments, evaluating deterioration trends across key lending portfolios
- Assessment of potential US reciprocal tariff impacts on borrower cash flows and asset quality, particularly within trade-sensitive sectors
- Cyclone "Ditwah" impact assessment, analysing physical climate risk exposure, sectoral vulnerabilities and potential transmission effects on credit performance, collateral values and liquidity

Application and Use

- Informs capital and liquidity planning
- Supports risk mitigation strategies and strategic decision-making

Scope of Assessment

- Capital adequacy under stress
- Liquidity under adverse funding and cash-flow conditions
- Earnings and balance sheet sensitivity to macroeconomic, market, and credit shocks

Going Forward

Extend stress testing to incorporate forward-looking, Bank specific and market-driven scenarios, including macroeconomic, geopolitical and climate-related risks.

Internal Capital Adequacy Assessment Process (ICAAP)

Purpose

Ensure the availability of capital to cover all potential risks under normal and stressed scenatios.

2025 Enhancements

- Extended time horizon on ICAAP in line with the five year corporate plan
- Incorporated qualitative assessments on climate-related risks

Governance and Oversight

- Reviewed by senior management and relevant board sub committees

Scope of Assessment:

- Capital adequacy relative to the Bank's risk profile, strategy, and risk appetite
- Integration of stress testing and scenario analysis outcomes
- Forward-looking capital/liquidity planning and alignment with regulatory expectations

Going Forward

- Develop a risk index to assess capital requirements for environmental, social and climate risk considerations, and incorporate into ICAAP
- Under the Bank's capital augmentation plan and sustainability initiatives, the issuance of debentures is planned to further strengthen its capital base

Recovery Plan (RCP)

Purpose

Enable timely and structured recovery actions during periods of severe financial or operational stress.

2025 Recovery Indicators Enhancements

- Incorporated refined supervisory and regulatory directions into the Recovery Plan framework, strengthening alignment with evolving regulatory expectations
- Introduced an additional recovery indicator to enhance early warning and trigger sensitivity for potential stress conditions

Intended Outcome

- Enhanced preparedness and ability to ensure the Bank's financial and operational resilience

Key Components

- Recovery indicators and escalation thresholds
- Defined governance and decision-making mechanisms
- A suite of recovery options aligned with the Bank's risk profile

Going Forward

- Review and revisit the Recovery Plan for 2026
- Improve the process by introducing additional recovery indicators to assess the requirement of recovery actions or options

Application of ERM Across the Group

A consistent Enterprise Risk Management approach underpins risk oversight across the Group and its international operations.

Subsidiary Risk Management

The Bank applies a consistent risk management approach across its subsidiaries to ensure alignment with the Group's overall risk appetite, governance standards, and strategic objectives, as per the Group Risk Management Policy.

Group-wide risk management practices

- Support financial stability, regulatory compliance, and operational resilience across subsidiaries
- Promote consistency in risk identification, assessment, and monitoring
- Incorporate industry best practices and regulatory requirements

Going Forward

- The bank will further enhance its subsidiary risk monitoring through strengthened governance and periodic risk reviews

Overseas Risk Management

The Bank's overseas risk management framework supports operational resilience and sustainable growth across international operations.

Risk management practices

- Addresses the complexities of operating in diverse economic, regulatory, and geopolitical environments
- Applies the process of standardised risk and control self-assessment across overseas branches
- Strengthens credit risk assessment and stress testing methodologies for international portfolios
- Overseas risk management practices are aligned with the Bank's overall ERM framework and risk appetite

Going Forward

- Support expansion of international operations
- Carry out on site risk examinations

Risk Landscape in 2025

Primary Risks and Opportunities

This section presents the Bank's primary risks and opportunities, reflecting the current risk landscape and the potential implications for the Bank's business model and value creation.

1 CREDIT RISK | 2 LIQUIDITY RISK | 3 MARKET RISK | 4 OPERATIONAL RISKS

1 CREDIT RISK

Risk Definition

Risk of financial loss arising from a borrower or counterparty failing to meet contractual obligations in full and on time.

Risk Components

- **Default risk** – failure of borrowers to meet repayment obligations
- **Settlement risk** – counterparty failure in financial transactions
- **Concentration risk** – excessive exposure to specific borrowers, sectors, products, or geographies
- **Downgrade risk** – deterioration in borrower credit quality
- **Country and cross-border risk** – exposure to economic, regulatory, or political conditions in specific jurisdictions

Credit Risk Management Framework

The Bank manages credit risk through a comprehensive framework covering pre-credit sanctioning and post-credit monitoring, aligned with the Credit Risk Management Policy and the Risk Appetite Framework.

Pre-Credit Sanctioning

- Structured credit appraisal and defined credit criteria
- Multi-tier approval with independent review
- Borrower rating models and retail scorecards
- Risk-based pricing and regulatory limits

Post-Credit Monitoring

- Ongoing credit reviews and portfolio evaluations
- Early warning signal identification and proactive engagement
- Watch-list monitoring and loan review mechanisms
- Stress testing and scenario analysis

Risk Measurement

- Internal credit ratings and Key Risk Indicators (KRIs)
- Asset quality and impairment assessment
- Stress testing and scenario analysis outputs
- Portfolio-level trend and performance analysis

Metrics

- Total credit exposure
- Exposure as % of total assets
- Stage 3 advances as a % of total credit exposure

Impact on the Business Model

Current Effects

Credit risk influences asset quality, provisioning levels, and earnings stability, while shaping capital adequacy outcomes and the optimisation of risk-weighted assets.

Concentration Sensitivity

Higher sensitivity across borrower, sectoral, product, geographic, collateral, rating-grade, and cross-border exposures, particularly under stressed conditions.

Link to Value Creation

Impacted stakeholders

Associated material topics

01 06 M10

Relevant capitals

Relevant SDGs

Way Forward

- **Portfolio diversification** Enhancing risk-adjusted returns across sectors and products
- **Risk-based pricing** Strengthening pricing discipline through improved credit analytics
- **Sustainable finance** Expanding green and transition lending solutions
- **Balance sheet resilience** Strengthening long-term asset quality and capital efficiency

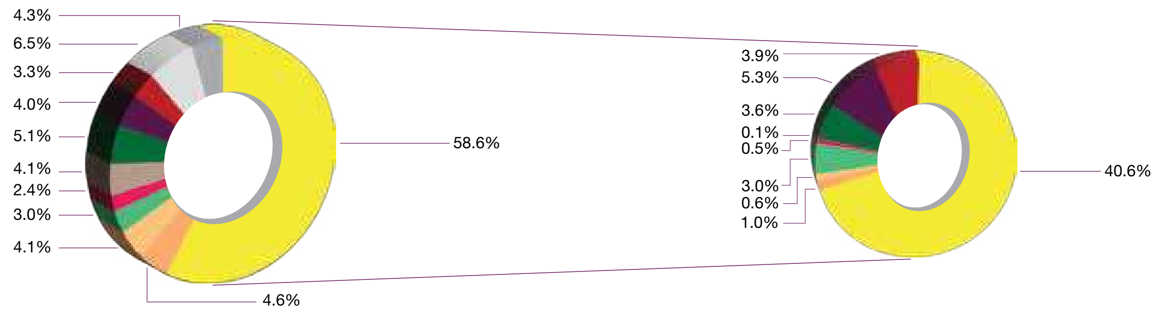
RISKS AND SUSTAINABLE GROWTH

Credit Risk Performance

Key Risk Indicator	Actual Position (31.12.2025)	Actual Position (31.12.2024)
Net Stage 3 Loans Ratio (%)	5.6	5.1
Impairment Coverage – Stage 3 Loans (%)	57.9	60.4
Sector-wise Concentration (HHI)	1,037	991
Geographical Concentration	1,947	2,031

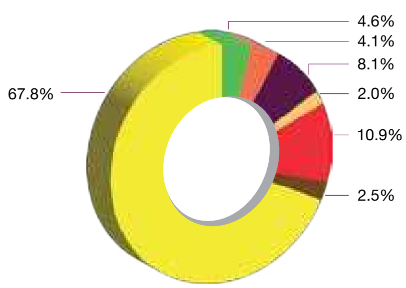
Geographical Concentration

%



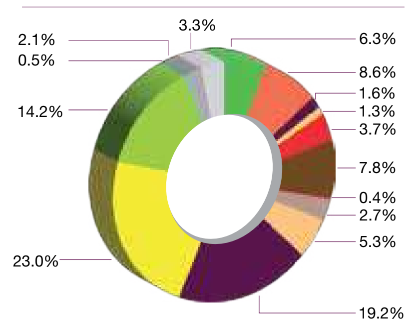
Collateral Concentration

%



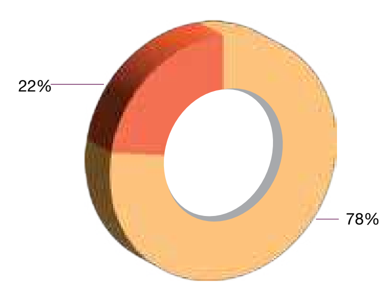
Product wise Concentration

%



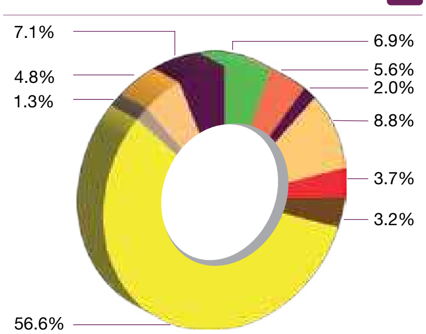
Rating Grade wise Distribution

%



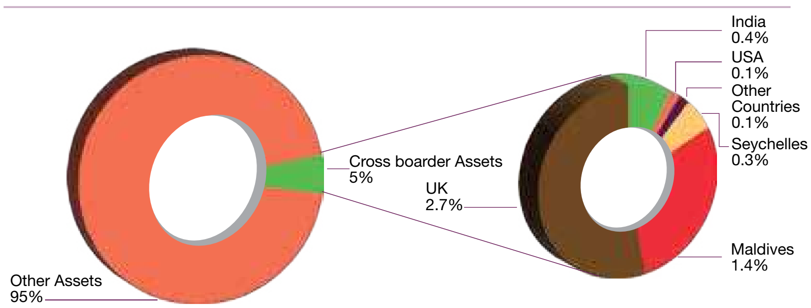
Sector Concentration

%



Cross Border Exposure of the Bank

%



2 LIQUIDITY RISK

Risk Definition

Risk of loss arising from the Bank's inability to meet its payment obligations in full and on time as they fall due, without incurring unacceptable losses or compromising financial stability.

Risk Components

- **Funding Liquidity Risk** – Risk that the Bank may be unable to obtain sufficient funds to meet obligations as they fall due, including access to wholesale and retail funding markets
- **Market Liquidity Risk** – Risk that assets cannot be liquidated at fair market value within an appropriate timeframe due to market illiquidity
- **Maturity Mismatch Risk** – Risk arising from misalignment between the maturity profiles of assets (e.g., long-term loans) and liabilities (e.g., short-term deposits)
- **Interest Rate Sensitivity** – Risk that changes in interest rates may affect funding costs or asset values, potentially constraining liquidity flexibility
- **Credit Rating Downgrade Risk** – Risk that a deterioration in the Bank's credit rating may increase funding costs or restrict market access
- **Reputational and Contingent Liquidity Risk** – Risk of unexpected cash outflows triggered by stress events, adverse publicity, loss of depositor confidence, or market disruptions

Liquidity Risk Management Framework

The Bank manages liquidity risk through a comprehensive framework aligned with regulatory requirements and the Board-approved Risk Appetite Framework. The framework ensures adequate liquidity buffers, diversified funding sources, and continuous monitoring under both normal and stressed conditions, supporting the Bank's ability to meet all funding obligations and withstand sudden liquidity shocks.

Structural Liquidity Management

- Asset–liability management through defined maturity profiles
- Maintenance of adequate high-quality liquid assets (HQLA)
- Diversification of funding sources

Ongoing Monitoring and Controls

- Continuous monitoring of liquidity ratios and early warning indicators
- Periodic stress testing and scenario analysis
- Oversight by designated management committees and Board Subcommittees

Risk Measurement

- Liquidity Coverage Ratio (LCR)
- Net Stable Funding Ratio (NSFR)
- Contractual maturity mismatch analysis
- Concentration of funding sources
- Available unencumbered liquid assets

Metrics

- Liquidity Coverage Ratio (LCR)
- Net Stable Funding Ratio (NSFR)
- Available High-Quality Liquid Assets
- Credit–Deposit Ratio

Impact on the Business Model

Current Effects

Liquidity conditions influence lending capacity, asset–liability management, and funding costs, with greater reliance on short-term or volatile funding constraining balance sheet flexibility and reinforcing the need for stable, diversified deposits.

Concentration Sensitivity

Higher sensitivity in treasury and ALM activities, volatile deposit profiles, and money market exposures.

Link to Value Creation

Impacted stakeholders

Associated material topics

01 06 M10

Relevant capitals

Relevant SDGs

Way Forward

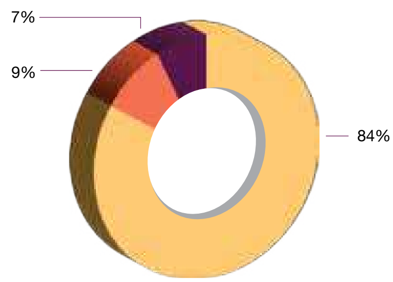
- **Asset-liability management**
  Optimise the balance sheet to maximise returns while maintaining liquidity through behavioural analysis
- Data driven risk innovation
- Prudent balance sheet management strategies
- Improved stress testing techniques
- Automated monitoring tools

RISKS AND SUSTAINABLE GROWTH

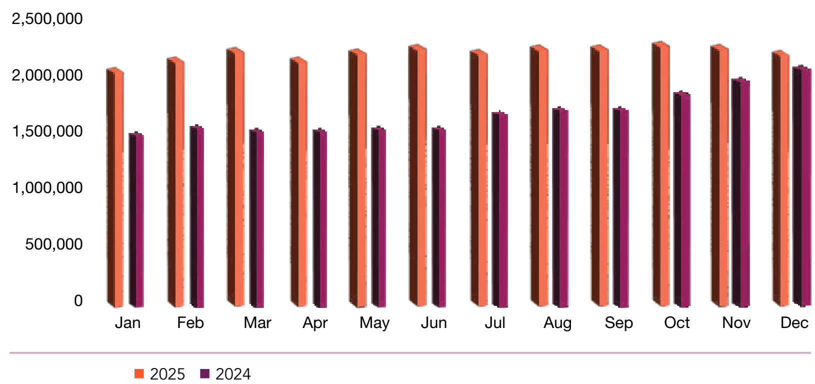
Liquidity Risk Performance

Key Risk Indicator	Regulatory / Policy Parameter	Actual Position (31.12.2025)	Actual Position (31.12.2024)
Liquidity Coverage Ratio (LCR) (%)	≥ 100.0	260.4	269.6
Net Stable Funding Ratio (NSFR) (%)	≥ 100.0	156.6	157.9
Credit–Deposit (CD) Ratio (%)	–	60.5	57.9

Funding Composition 2025



Unencumbered Securities



3 MARKET RISK

Risk Definition

Risk of losses arising from adverse movements in interest rates, foreign exchange rates, equity prices, or commodity prices affecting the Bank's trading and banking book exposures.

Risk Components

- **Interest rate risk** – impact of changes in market interest rates on earnings and economic value
- **Exchange rate risk** – volatility in foreign exchange rates affecting foreign currency exposures
- **Equity risk** – fluctuations in equity prices and related instruments
- **Commodity risk** – exposure to movements in commodity prices

Market Risk Management Framework

The Bank manages market risk through a comprehensive framework aligned with the Risk Appetite Framework and regulatory requirements, incorporating limit structures, independent oversight, and stress testing.

Structural Risk Management

- Defined limits for trading and banking book exposures
- Duration and repricing gap management
- Hedging strategies where appropriate

Ongoing Monitoring and Controls

- Daily monitoring of market exposures and limit utilisation
- Stress testing and scenario analysis
- Oversight by ALCO and designated Board Subcommittees

Risk Measurement

- Value at Risk (VaR) and PVBP
- Duration and repricing gap analysis
- Sensitivity and stress testing models

Metrics

- Total trading book exposure
- Net open foreign currency position

Impact on the Business Model

Current Effects

Interest rate and foreign exchange volatility influence treasury income, trading performance, and asset valuations, reinforcing the need for enhanced analytics and active balance sheet management.

Concentration Sensitivity

Higher sensitivity arises from export/import markets, treasury operations, FX segments, government securities, and trading book exposures, particularly during periods of market stress.

Link to Value Creation

Impacted stakeholders

Associated material topics

Relevant capitals

Relevant SDGs

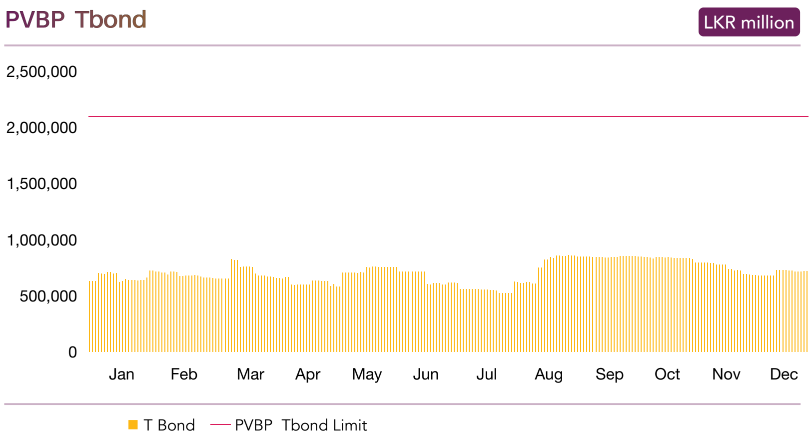
Way Forward

- **Market analytics**
  Enhance interest rate and FX risk modelling through upgraded system-based analytics
- Continuous adjustments for risk appetite to the volatility of market variables
- Risk management strategies to optimise risk return trade off of government securities

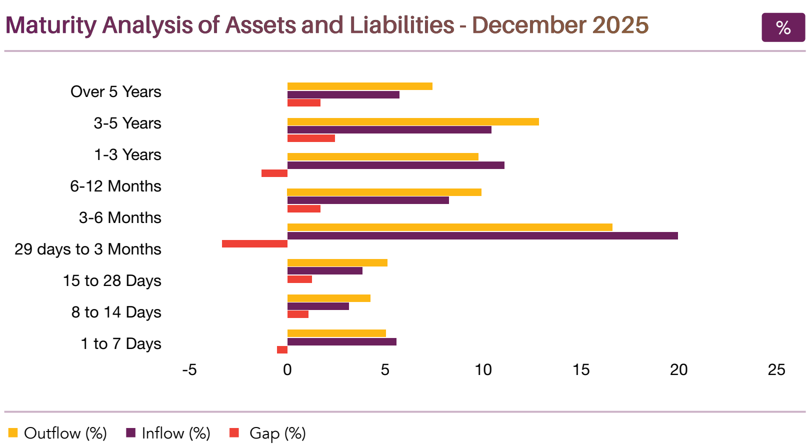
Market Risk Performance

Key Risk Indicator	Actual Position (31.12.2025)	Actual Position (31.12.2024)
Net Interest Income (LKR million)	206,936	167,552
Net Interest Margin (%)	3.9	3.6
Price Value per Basis Point (PVBP) – Treasury Bonds	717,562	629,067

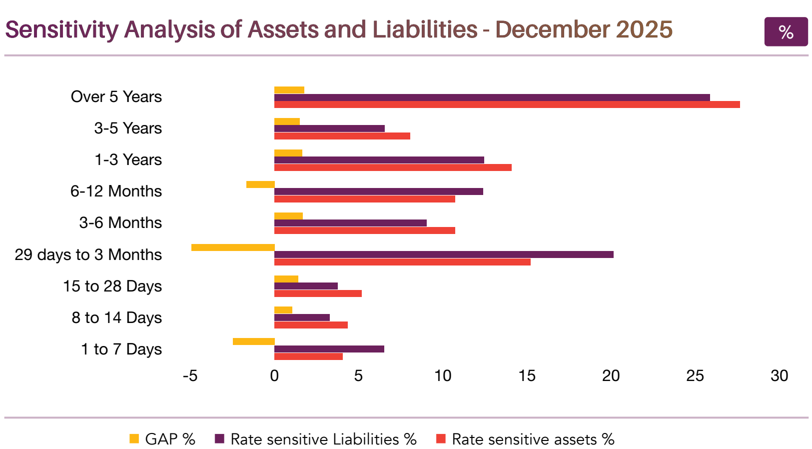
PVBP Tbond



Maturity Analysis of Assets and Liabilities - December 2025



Sensitivity Analysis of Assets and Liabilities - December 2025



RISKS AND SUSTAINABLE GROWTH

4 OPERATIONAL RISK

Risk Definition

Operational risk encompasses the risk of financial loss arising from inadequate or failed internal processes, people, and systems, or from external events. It includes legal risk and explicitly excludes strategic and reputational risk.

Risk Components

- **Internal Fraud** – Losses arising from acts intended to defraud, misappropriate property, or circumvent regulations or internal controls
- **External Fraud** – Losses arising from fraudulent acts by third parties, including cyber-enabled fraud
- **Employment Practices and Workplace Safety** – Risks related to employment practices, discrimination, workplace safety, and employee relations
- **Clients, Products and Business Practices** – Failures in meeting professional obligations to clients or regulatory requirements in product design and delivery
- **Damage to Physical Assets** – Losses arising from natural disasters, vandalism, or other physical events
- **Business Disruption and System Failures** – Technology failures, cyber incidents, or infrastructure disruptions impacting operations
- **Execution, Delivery and Process Management** – Errors in transaction processing, data management, or operational execution

Operational Risk Management Framework

The Bank manages operational risk through a structured framework designed to identify, assess, monitor, and mitigate risks arising from internal failures of people, processes, and systems, as well as from external events.

Structural Risk Management

- Risk and Control Self-Assessments (RCSAs)
- Defined operational risk policies and procedures
- Incident reporting and escalation protocols

Ongoing Monitoring and Controls

- Key Risk Indicator (KRI) monitoring
- Loss event tracking and root cause analysis
- Oversight by ORMEC and Board Subcommittees

Risk Measurement

- Loss event data analysis
- KRI thresholds and breach monitoring
- Scenario analysis and stress assessments

Metrics

- Operational loss ratio
- Total operational losses

Impact on the Business Model

Current Effects

Operational inefficiencies and cyber threats may increase costs, disrupt service delivery, and affect customer confidence and productivity.

Concentration Sensitivity

Higher sensitivity arises within branch operations, core IT systems, settlements, and customer service units, where process failures or cyber incidents may directly impact service continuity and reputation.

Link to Value Creation

Impacted stakeholders

Associated material topics:

M2 M3 M4 M5

Relevant capitals

Relevant SDGs

Way Forward

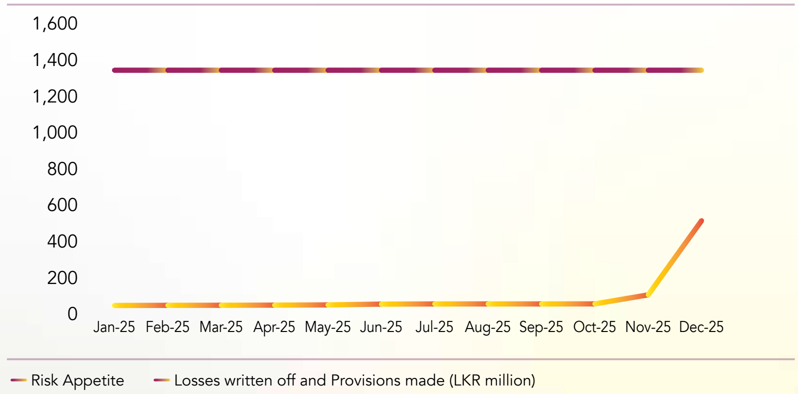
- **Process automation**
  Accelerate digitalisation to reduce manual errors and improve operational efficiency
- **Process re-engineering**
  Streamline workflows to optimise cost structures and enhance service quality
- **Talent development**
  Strengthen staff capabilities to manage complex operations and emerging risk environments
- **Cybersecurity leadership**
  Position robust cyber resilience and operational controls as a driver of customer trust and competitive advantage

Operational Risk Performance

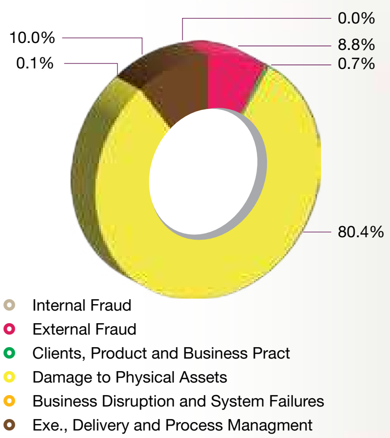
Key Risk Indicator	Actual Position (31.12.2025)	Actual Position (31.12.2024)
Operational loss as % of risk appetite	38.0	8.0

Operational losses for 2025 remained well within the approved risk appetite, with total losses of LKR 508.0 million compared to the tolerance threshold of LKR 1,337.0 million. Loss events were primarily driven by damage to physical assets, due to Ditwah Cyclone impact while fraud-related incidents declined relative to the prior year.

Risk Appetite vs Actual Losses and Provisions



Loss Event Type Distribution 2025



Other Risks and Opportunities

In addition to the Bank's primary risk categories, a range of other risks and opportunities are actively monitored and managed as part of the enterprise-wide risk management framework. These risks reflect strategic, people, regulatory, conduct, sustainability, technology, and third-party considerations that may influence the Bank's long-term resilience, reputation, and value creation. Each is assessed in line with the Bank's risk appetite and governance structures, with opportunities identified to strengthen performance, adaptability, and sustainable growth.

05 Strategic Risk 06 People Risk 07 Information Security and IT Risk 08 Regulatory and Compliance Risk 09 Conduct Risk

10 Legal Risk 11 Reputational Risk 12 Sustainability-Related Risk 13 Climate-Related Risk 14 Third-Party Risk

15 Fraud Risk

05 STRATEGIC RISK

Risk Definition

Strategic risk refers to the risk of potential losses arising from flaws in the Bank's future business plans, inadequate or ineffective strategies, or failure to respond appropriately to changes in the operating environment.

Risk Components

- Macroeconomic and policy uncertainty
- Competitive pressures and market disruption
- Misalignment between strategy, risk appetite, and capital capacity

Metrics

- Strategic Risk Index

Risk Mitigating Actions

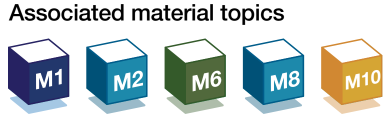
- Managed through a Board-led strategic planning and review process, with active involvement of Corporate Management and Executive Management
- Strategic priorities are formulated considering changes in the operating environment, regulatory developments, capital constraints, and stakeholder needs
- Strategic initiatives are supported by clearly defined measurable targets and time-bound milestones
- Supported by defined governance structures and clear accountability frameworks

  Ongoing performance monitoring through structured scorecards and key performance indicators
- Alignment of strategic initiatives with the Bank's approved Risk Appetite Framework and long-term capital objectives

Link to Value Creation

Impacted stakeholders

Associated material topics



Relevant capitals

Relevant SDGs

Way Forward

- **New business models**
  Pivot to digital banking, mobile payments, or microfinance in Sri Lanka (BOC connect)
- **Market gap identification**
  Launch niche products based on unmet customer needs
- **Partnerships and alliances**
  Collaborate with fintechs and corporates to strengthen market position
- **Capture emerging market segments**
  SMEs, digital consumers, green sectors

Strategic Risk Performance

Key Risk Indicator	Regulatory / Policy Parameter	Actual Position (31.12.2025)	Actual Position (31.12.2024)
Tier 1 Capital Ratio (%)	≥ 10.0%	12.4	13.0
Total Capital Ratio (%)	≥ 15.0%	16.9	16.6
Common Equity Tier 1 Ratio (%)	≥ 8.5%	11.4	12.0
Return on Equity (ROE) (%)	-	22.7	23.2

06 PEOPLE RISK

Risk Definition

The risk of adverse outcomes arising from inadequate talent management, skill gaps, weak succession planning, or failure to maintain a strong ethical and risk-aware culture.

Risk Components

- Macroeconomic and policy uncertainty
- Competitive pressures and market disruption
- Misalignment between strategy, risk appetite, and capital capacity

Metrics

- Staff Turnover Ratio

Risk Mitigating Actions

- Structured talent development programmes
- Succession planning frameworks
- Performance management systems
- Engagement and culture enhancement initiatives

Link to Value Creation

Impacted stakeholders

Associated material topics

M3 M4 M5

Relevant capitals

Relevant SDGs

Way Forward

- **Talent acceleration:**
  Strengthen digital and risk capabilities.
- **Leadership pipeline:**
  Build internal succession strength.
- **Culture enhancement:**
  Reinforce risk-aware and ethical conduct.
- **Employee engagement tools:**
  Improve retention and performance.

RISKS AND SUSTAINABLE GROWTH

07 INFORMATION SECURITY AND IT RISK

Risk Definition

Information Security and IT Risk refers to the risk of loss arising from inadequate or failed information systems, cybersecurity controls, data protection mechanisms, or technology infrastructure, including risks stemming from external cyber threats and third-party technology providers.

Risk Components

- Cybersecurity threats and digital fraud
- System downtime and infrastructure failure
- Data privacy and confidentiality breaches
- Third-party technology vulnerabilities

Risk Mitigating Actions

- Strengthened cybersecurity frameworks and monitoring tools
- Network security enhancements and access controls
- Regular vulnerability assessments and penetration testing
- IT governance oversight and incident response protocols

Risk Measurement

- System availability and downtime metrics
- Cyber incident frequency and severity
- Vulnerability remediation timelines
- Audit and control assessment outcomes

Metrics

- System uptime
- Number of cybersecurity incidents

Impact on the Business Model

Current Effects

Cyber incidents or system failures may disrupt operations, affect customer confidence, and increase regulatory scrutiny.

Concentration Sensitivity

Cyber incidents or system failures may disrupt operations, affect customer confidence, and increase regulatory scrutiny.

Link to Value Creation

Impacted stakeholders

Associated material topics

M2 M3 M4

Relevant capitals

Relevant SDGs

Way Forward

- **Cyber resilience leadership:**
  Position as a secure digital banking provider.
- **Digital transformation:**
  Enhance system efficiency and scalability.
- **Advanced analytics:**
  Strengthen monitoring and predictive threat detection.

08 REGULATORY AND COMPLIANCE RISK

Risk Definition

Regulatory and compliance risk refers to the risk arising from the failure to comply with applicable laws, regulations, and industry standards governing banking activities.

Risk Components

- AML/CFT non-compliance
- Reporting and disclosure deficiencies
- Regulatory changes and supervisory actions
- Consumer protection breaches

Risk Mitigating Actions

- Dedicated Compliance Unit oversight
- Ongoing regulatory monitoring and reporting frameworks
- Compliance training and awareness programmes
- Internal audits and compliance assessments

Metrics

- Regulatory Risk Index
- Compliance Risk Index

Link to Value Creation

Impacted stakeholders

Associated material topics

M4

Relevant capitals

Relevant SDGs

Way Forward

- **RegTech adoption**
  Automate regulatory reporting and monitoring to improve accuracy and efficiency
- **Regulatory readiness**
  Rapid adaptation to new prudential and AML/CFT regulations to strengthen credibility
- **Compliance advisory capability**
  Support clients with regulatory and governance guidance
- **Governance differentiation**
  Position strong compliance culture as a foundation of institutional trust

09 CONDUCT RISK

Risk Definition

Risk of financial or reputational loss arising from unethical behaviour, misconduct, or failure to act in customers' best interests.

Risk Components

- Sales misconduct and mis-selling
- Conflicts of interest
- Inadequate disclosure practices
- Customer complaints and grievances

Risk Mitigating Actions

- Code of conduct and ethics policies
- Staff training and certification programmes
- Customer complaint handling mechanisms
- Whistleblowing frameworks

Metrics

- Zero mis-selling

Link to Value Creation

Impacted stakeholders

Associated material topics

M3 M4

Relevant capitals:

Relevant SDGs

Way Forward

- **Ethics and culture programmes**
  Strengthen a risk-aware and customer-centric culture across all business units
- **Training and certification**
  Enhance staff competency in responsible selling and customer communication
- **Customer trust positioning**
  Differentiate the Bank through transparent and fair customer practices
- **Whistleblowing and governance enhancements**
  Reinforce internal accountability and early issue detection mechanisms

10 LEGAL RISK

Risk Definition

Risk of financial loss arising from litigation, contractual disputes, or uncertainty in the interpretation or enforceability of laws and regulations.

Risk Components

- Litigation and claims
- Contractual documentation deficiencies
- Regulatory legal challenges
- Jurisdictional risks

Risk Mitigating Actions

- Legal review of products and contracts
- Ongoing legal advisory and compliance monitoring
- Strong documentation and governance controls

Metrics

- Number of business related cases per year
- Number of non-business related cases per year

Link to Value Creation

Impacted stakeholders

Associated material topics

M1 M3 M4

Relevant capitals

Relevant SDGs

Way Forward

- **Legal risk integration**
  Embed legal review early in product development and contract design
- **Contract optimisation**
  Strengthen documentation standards to reduce litigation exposure
- **Compliance-by-design**
  Align products and services with evolving regulatory expectations from inception
- **Advisory capability**
  Enhance in-house legal expertise to support complex transactions and jurisdictions

RISKS AND SUSTAINABLE GROWTH

11 REPUTATIONAL RISK

Risk Definition

Risk of loss arising from negative public perception, stakeholder dissatisfaction, or adverse media coverage affecting trust and market confidence.

Risk Components

- Negative publicity
- Customer dissatisfaction
- Social media exposure

Risk Mitigating Actions

- Transparent communication frameworks
- Customer engagement mechanisms

Metrics

- Reputational Risk Index

Link to Value Creation

Impatced stakeholders

Associated material topics

M1 M3 M4 M6

Relevant capitals

Relevant SDGs

Way Forward

- **Brand differentiation:**
  Strengthen reputation through ethical banking practices.
- **Proactive communication:**
  Maintain transparency during stress events to reinforce stakeholder confidence.
- **Customer engagement programmes:**
  Build loyalty through service excellence and digital engagement.
- **Thought leadership:**
  Position the Bank as a trusted voice in financial literacy, inclusion, and innovation.

12 SUSTAINABILITY-RELATED RISK

Risk Definition

Risk arising from environmental, social, and governance (ESG) factors that may impact the Bank's financial performance, asset quality, funding access, and stakeholder trust.

Risk Components

- ESG regulatory and disclosure requirements
- Transition impacts linked to carbon-intensive sectors
- Social impact and stakeholder expectations
- ESG data availability and reporting quality

Risk Mitigating Actions

- Identification and allocation of dedicated funding to the sustainability initiatives
- Designed and developed sustainable products
- Conducting ESG materiality assessment
- Developed in-house ESG related data collection mechanism

Risk Measurement

- Integration of ESG considerations into credit appraisal and risk frameworks
- Sustainable finance policies
- Board and management oversight of ESG governance and performance
- Monitoring and review of sustainability-related exposures and emerging risks

Metrics

- Sustainable Finance Portfolio

Impact on the Business Model

Current Effects

Increasing ESG expectations influence lending strategy, funding access, and brand positioning, requiring ongoing portfolio alignment and product development.

Concentration Sensitivity

Higher sensitivity within renewable energy and green infrastructure exposures, SMEs, and ESG-linked funding sources.

Link to Value Creation

Impacted stakeholders

Associated material topics

M4 M6 M9 M10

Relevant capitals

Relevant SDGs

Way Forward

- **Green financing**
  Expand renewable energy and sustainable SME lending solutions
- **ESG advisory services**
  Support clients' transition and ESG readiness
- **International ESG funding**
  Attract sustainability-linked funding and partnerships
- **Sustainable instruments**
  Issue or participate in green / sustainable bonds to reinforce responsible positioning

13 CLIMATE-RELATED RISK

Climate Related Risks and Opportunities

1 Physical Risks

Acute

(Event-driven climate hazards)

Extreme weather events, such as floods, droughts, and landslides, which may disrupt operations, damage assets, and result in financial losses

Chronic

(Long-term shifts in climate patterns)

Increased credit risk arising from climate impacts on borrowers' businesses and livelihoods, potentially leading to loan defaults, liquidity, market and operational risks forcing the Bank to manage the impacts on assets, capital and daily operations

2 Transition Risks

Policy/ Legal and Technology

Higher expenditure associated with the transition to a low-carbon economy, including investments in energy-efficient systems and green building upgrades

Market and Reputational

Reduced profitability or reputational risks arising from transitioning away from high-emission sectors

Reduced profitability or reputational risks arising from non-compliance with evolving regulatory expectations

Navigation Guide

Illustrative examples of potential climate-related impacts are provided in the SLFRS S2 disclosures on pages 85-106 of this Report.

14 THIRD-PARTY RISK

Risk Definition

Risk of financial or operational impact arising from reliance on external vendors, service providers, and outsourced arrangements.

Risk Components

- Vendor performance risk
- Outsourcing disruption
- Data security vulnerabilities
- Service-level compliance failures

Risk Mitigating Actions

- Vendor due diligence and onboarding controls
- Ongoing performance monitoring and SLA tracking
- Third-party risk assessments

Link to Value Creation

Impacted stakeholders

Associated material topics

M2 M4 M8 M9

Relevant capitals

Relevant SDGs

Way Forward

- **Performance monitoring**
  Strengthen third-party oversight to enhance service reliability
- **Strategic outsourcing**
  Leverage specialised providers to improve scalability and cost management
- **Technology partnerships**
  Potential collaborations with fintechs to accelerate innovation while managing risk exposure

RISKS AND SUSTAINABLE GROWTH

15 FRAUD RISK

Risk Definition

Risk of financial loss, operational disruption, or reputational damage arising from internal or external fraudulent activities, including digital fraud, identity misuse, transaction manipulation, or control circumvention.

Risk Components

- Internal fraud and employee misconduct
- External fraud, including digital and cardrelated fraud
- Identity theft and account takeover incidents
- Control override and process weaknesses

Risk Mitigating Actions

- Implementation of fraud monitoring and detection systems
- Segregation of duties and internal control frameworks
- Transaction surveillance across digital and card platforms
- Staff awareness programmes and fraud prevention training
- Strengthened incident reporting and escalation protocol

Link to Value Creation

Impacted stakeholders

Associated material topics

M1 M3 M4

Relevant capitals

Relevant SDGs

Way Forward

- **Advanced fraud analytics**
  Deploy AI-driven detection and predictive monitoring tools
- **Digital control enhancements**
  Strengthen authentication and transaction monitoring frameworks
- **Customer awareness initiatives**
  Promote fraud prevention education to reinforce trust

FINANCIAL REPORTS

Leading with Performance

Guided by strategic clarity and a deep responsibility to the nation, the Bank has delivered exemplary performance across all financial parameters demonstrating consistent growth, sound asset quality and sustained value creation for stakeholders and communities alike.

The Rubik's Cube has 43 quintillion combinations. The future holds just as many possibilities. What matters is having a steady hand, a clear vision, and the resilience to keep turning.

ANNUAL REPORT OF THE DIRECTORS ON THE STATE OF AFFAIRS OF BANK OF CEYLON

1. General

The Board of Directors of Bank of Ceylon takes pleasure in presenting their report on the affairs of the Bank together with the Audited Consolidated Financial Statements for the year ended 31 December 2025 of the Bank and the Group and the Auditor General's Report on those Financial Statements, conforming to the requirements of the Bank of Ceylon Ordinance No. 53 of 1938 and Banking Act No. 30 of 1988 and amendments thereto. The Report also includes certain disclosures laid down by the Colombo Stock Exchange Listing Rules and certain disclosures required to be made under the Banking Act Direction No. 05 of 2024 on Corporate Governance for licensed banks issued by the Central Bank of Sri Lanka and subsequent amendments thereto. The Directors reviewed and approved the Financial Statements on 24 February 2026.

Bank of Ceylon is a licensed commercial bank under the Banking Act No. 30 of 1988 and amendments thereto and was duly incorporated on 1 August 1939 under Bank of Ceylon Ordinance No. 53 of 1938. The Bank is wholly owned by the Government of Sri Lanka. The unsecured subordinated redeemable debentures issued by the Bank are listed on the Colombo Stock Exchange.

2. Review of the business

2.1. Principal activities of the Bank

The principal activities of the Bank providing comprehensive range of financial services including Retail and Development Banking, Corporate and Offshore Banking, Trade Financing, Project Financing, financing to SME Sectors, Islamic Banking, Treasury Operations, International Banking, Strategic Investment activities, managing Overseas Operations and other related banking services.

2.2. Subsidiaries and associates

The principal activities of subsidiaries and associates are given under Notes to the Financial Statements on page 246. There were no significant changes in the nature of the principal activities of the Bank and the Group during the year under review, except for the activities of BOC IT Solutions (Pvt) Ltd, following the name change from BOC Management and Support Services (Pvt) Ltd.

2.3. Changes to the Group Structure

During the year, there is no major changes to the structure of the Group and, notes to the Financial Statements No. 31 and 32 on pages from 306 to 314 of this Annual Report give details about the Group.

In 2025, BOC Management and Support Services (Pvt) Ltd. changed its name to BOC IT Solutions (Pvt) Ltd. and the Bank has made a capital infusion of LKR 25 million to BOC IT Solutions (Pvt) Limited.

2.4. Vision, Mission and Corporate Values Statement

The Bank's Vision and Mission were refined inline with the present strategic direction of the Bank. The revised Vision, Mission and Corporate Values Statement are given on inner front cover of this Annual Report. The Bank maintains high ethical standards in its activities whilst pursuing the objectives stated under "Vision", "Mission" and "Corporate Values Statement".

2.5. Review of the year's performance

The Chairman's Message on pages 22 to 25 deals with the year's performance of the Bank/ Group and on the Sri Lankan economy. The General Manager's Review on pages 26 to 31 provides a detailed description of the operations of the Bank during the year under review.

The section titled "Financial Review" on pages 108 to 114 provides a detailed analysis of business operations of the Bank. These reports that provide a fair review of the Bank's affairs form an integral part of the Annual Report.

2.6. Customer Touch Points expansion

Enhancing the digital adoption, the Bank expanded its network by 29 CRMs during the year across the island, bringing out the total direct customer touch points to 2,413. This number does not include peer banks' ATMs through which customers of Bank of Ceylon can transact, School "Sansada" and Mobile banking units.

During the year 2025, one branch has been added to the brick and mortar network of the Bank.

2.7. Corporate donations

The Bank has donated LKR 780.5 million on community development activities carried out during the year including LKR 500.0 million to the Government of Sri Lanka's "Rebuilding Sri Lanka" fund to support communities and rebuild infrastructure affected by Cyclone Ditwah. (2024 – LKR 215.2 million).

2.8. Directors' responsibility for financial reporting

The Directors are responsible for the preparation of Financial Statements that will reflect a true and fair view of the state of affairs. The Directors are of the view that these Financial Statements have been prepared in conformity with the requirements of the Sri Lanka Accounting Standards, Banking Act No. 30 of 1988 and its amendments, Bank of Ceylon Ordinance No. 53 of 1938 and its amendments and the Listing Rules of the Colombo Stock Exchange. In the case of subsidiaries, the Financial Statements are also prepared in accordance with the provisions of the Companies Act No. 07 of 2007 and its amendments. The "Statement of Directors' Responsibility for Financial Reporting" is given on page 229 of this Annual Report and forms an integral part of this Report of the Directors.

2.9. Auditor's report

The Auditor General is the Auditor of Bank of Ceylon in terms of the provisions of Article 154 of the Constitution of the Democratic Socialist Republic of Sri Lanka.

Report of the Auditor General on the Financial Statements of the Bank and the Consolidated Financial Statements of the Bank and its subsidiaries (Group) as at 31 December 2025 is given on pages 230 to 234 of this Annual Report.

2.10. Accounting policies

The Group and the Bank prepared their Financial Statements in accordance with Sri Lanka Accounting Standards (LKASs) and Sri Lanka Financial Reporting Standards (SLFRSs).

The accounting policies adopted in the preparation of Financial Statements are given on pages 246 to 261.

3. Planned developments

An overview of the developments planned by the Bank for the future is presented in the Chairman's Message on pages 22 to 25 and General Manager's Review on pages 26 to 31 of this Annual Report.

4. Total income

The total income of the Group for the year 2025 was LKR 558,674.6 million as against LKR 494,921.9 million in the previous year. The Bank's total income accounted for 98% (2024 – 98%) of the total income of the Group. The main income of the Group is interest income, which comprises 90% (2024 – 95%) of the total income.

5. Dividends and reserves

5.1. Profit and appropriations

The Bank has recorded a profit before income tax of LKR 120,826.9 million in 2025 reflecting a notable increase of 13%, compared to LKR 106,904.3 million recorded for the previous year.

After a charge of LKR 44,820.0 million for income tax (2024 – LKR 42,517.3 million), the Bank has recorded Profit After Tax (PAT) for the year 2025 amounting to LKR 76,006.9 million, which is a 18% increase compared to LKR 64,386.9 million PAT reported in 2024.

After the charge of LKR 45,462.5 million of income tax (2024 – LKR 43,159.9 million), the profit after tax for the year of the Group is LKR 76,471.3 million in 2025 (2024– LKR 65,061.5 million).

Details of the profit relating to the Bank and the Group are given in the table below:

	Bank		Group	
For the year ended 31 December	2025 LKR million	2024 LKR million	2025 LKR million	2024 LKR million
Profit for the year after payment of all expenses, providing for depreciation, amortisation, impairment on loans and other losses, contingencies and before taxes	152,708.3	135,299.6	154,067.6	136,925.2
Taxes on financial services	(31,881.4)	(28,395.3)	(32,290.0)	(28,790.1)
Share of profits/ (losses) of associate companies net of tax	-	-	156.2	86.4
Profit before income tax	120,826.9	106,904.3	121,933.8	108,221.5
Income tax (expense)/ reversal	(44,820.0)	(42,517.3)	(45,462.5)	(43,159.9)
Profit for the year	76,006.9	64,386.9	76,471.3	65,061.5
Other comprehensive income for the year, net of tax	(7,766.5)	(12,058.5)	(5,934.7)	(13,704.2)
Total comprehensive income for the year	68,240.4	52,328.4	70,536.6	51,357.3
Appropriations				
Transfers to permanent reserve fund	(1,521.0)	(1,288.0)	(1,521.0)	(1,288.0)
Dividends	(5,000.0)	-	(5,000.0)	-

ANNUAL REPORT OF THE DIRECTORS ON THE STATE OF AFFAIRS OF BANK OF CEYLON

5.2. Dividends

The Bank pays dividends to its sole shareholder; the Government of Sri Lanka, as per the Dividend Policy of the Bank in consultation with the Government, prudently based on profits after tax, provisioning for loan losses and any such portion for reserves. Accordingly, a sum of LKR 5,000.0 million has been paid as Dividend for the year 2025. (2024 - nil)

5.3. Reserves

The total reserves of the Group stood at LKR 361,174.4 million as at 31 December 2025 (2024 – LKR 295,566.3 million). The Group reserves consist of the following:

	Group	
As at 31 December	2025 LKR million	2024 LKR million
Permanent reserve fund	18,474.0	16,953.0
Cash flow hedge reserve	738.2	1,521.4
Revaluation reserve	34,037.1	33,584.7
Free reserve	366.7	366.7
Exchange translation reserve	11,396.3	9,958.6
FVOCI reserve	9,459.2	7,328.6
Statutory reserve	392.3	394.6
Special reserve	79,261.7	39,922.1
Retained earnings	207,048.9	185,536.6
Total	361,174.4	295,566.3

6. Property, plant and equipment

The total capital expenditure incurred by the Group on the addition of Property, Plant and Equipment and intangible assets during the year amounted to LKR 5,505.9 million (2024 – LKR 5,870.2 million) the details of which are given in Notes 34 and 36 of Financial Statements on pages 316 to 330 and 333 to 334 of this Annual Report.

7. Value of freehold properties

The value of freehold properties owned by the Group as at 31 December 2025 is included in Note 34 of the Financial Statements at LKR 39,765.50 million (2024 – LKR 39,562.3 million).

8. Stated capital and shareholding

8.1. Stated capital

The total issued and fully paid-up capital of the Bank as at 31 December 2025 was LKR 25,730.0 million (2024 – LKR 25,000 million). During the year LKR 730.0 million which was recorded under capital pending allotment was transferred to the paid – up capital upon the issuing of relevant Gazette in this regard.

8.2. Shareholding

The Government of Sri Lanka is the sole shareholder of the Bank.

9. Issue of subordinated debentures/ bond

During the year, the Bank successfully raised LKR 35,000.0 million Tier 2 capital, (2024 – LKR 15,000.0 million) through the issuance of LKR 15,000.0 million worth of Basel III compliant, listed, rated, unsecured, subordinated debentures and LKR 20,000.0 million worth of sustainability Bonds, demonstrating the Bank's Comitment to supporting environmentally and socially responsible financing initiatives.

The details of debentures outstanding as at the date of Statement of Financial Position are given in Note 49 of the Financial Statements on pages 352 to 355.

10. Share information

The basic earnings per share of the Group was LKR 3,010.60 (2024 - LKR 2,600.31) and net Asset value per share as of 31 December 2025 was LKR 15,037.09 (2024 - LKR 12,851.85), for the year under review.

11. Community Development Activities

The programmes carried out under community development activities are detailed on page 153 to 160 under the section titled “Building a sustainable future.”

12. Directors

Details of Directors who held the office during the year 2025 and holding the office as of the sign-off date of this Annual report is given below. The Directors of the Bank do not hold any executive positions in the Bank. They bring wide range of skills and experience to the Bank. The qualifications and experience of the Directors are given on pages 34 to 39 of this Annual report.

As of the Annual Report sign- off date, the number of Directors holding office is 11. During the year 2025, the Board consisted of the following members;

12.1. List of directors

Mr Kavinda de Zoysa
Non-Executive Director/ Chairman (Appointed w.e.f. 04 November 2024)

Dr Kapila Senanayake
Non-Independent, Non-Executive Ex-officio Director (Appointed w.e.f. 14 November 2024)

Mr R M P Rathnayake
Non-Executive Director (Appointed as a Ex-officio Director w.e.f. 29 April 2023, ceased to be a Ex-officio Director w.e.f. 06 November 2024 and re-appointed as a Non-Executive Director w.e.f. 20 December 2024)

Mr Jehaan Ismail
Non-Executive Director (Appointed w.e.f. 07 February 2024)

Dr Amal Illesinghe
Non-Executive Director (Appointed w.e.f. 06 December 2024)

Mr Darshana Gunasekera
Independent Non – Executive Director (Appointed w.e.f. 13 August 2025)

Mr Thulci Aluwihare
Independent Non- Executive Director (Appointed w.e.f. 16 September 2025)

Ms Sharmini Ratwatte
Independent Non- Executive Director (Appointed w.e.f. 16 September 2025)

Mr Dharshan Jayaratne
Independent Non- Executive Director (Appointed w.e.f. 26 September 2025)

Mr Sunimal Weerasooriya
Independent Non- Executive Director (Appointed w.e.f. 07 October 2025)

Eng. Prof. Ananda Jayawardane
Independent Non- Executive Director (Appointed w.e.f. 14 November 2025)

Mr Jayamin Pelpola
Non-executive Director (Appointed w.e.f. 22 February 2024, resigned w.e.f. 30 May 2025)

Independent Status of Directors

According to the present Board, the following directors are considered as Non-Independent under Banking Act Directions on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (CBSL) and independent in terms of the Listing Rules of the Colombo Stock Exchange (CSE).

Mr Kavinda de Zoysa
Mr Jehaan Ismail
Mr R M P Rathnayake
Dr Amal Illesinghe

The following directors are considered as Independent under both Banking Act Directions on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka (CBSL) and in terms of the Listing Rules of the Colombo Stock Exchange (CSE).

Mr Darshana Gunasekera
Mr Dharshan Jayaratne
Mr Thulci Aluwihare
Mr Sunimal Weerasooriya
Ms Sharmini Ratwatte
Eng. Prof. Ananda Jayawardane

Dr. Kapila Senanayake is considered as a Non-Independent, Non-Executive Ex-Officio Director.

12.2. Board subcommittees

The Board has formed six subcommittees complying with the aforesaid Banking Act Direction No. 05 of 2024 to ensure oversight control over affairs of the Bank as at 31 December 2025. Board Sustainability Committee was established and the Board Credit Committee (BCC) was reinstated, both with effect from 01 January 2026. The subcommittee composition is given under the Governance at Bank of Ceylon on pages 180 to 190 of this Annual Report.

12.3. Directors' meetings

Attendance of Directors at Board and subcommittee meetings are given on page 173 of this Annual Report.

12.4. Directors' interests in contracts

Directors' interests in contracts with the Bank, both direct and indirect are given on pages 224 and 225. These interests have been declared at meetings of the Board of Directors. Except for the contracts given therein, the Directors do not have any direct or indirect interest in other contracts or proposed contracts with the Bank. Directors refrain from voting matters in which they are materially interested.

12.5. Directors' interests in debentures issued by the Bank/ Group

There were no debentures registered in the name of any Director.

12.6. Directors' allowances/ fees

The allowances/ fees payable to the Board of Directors are made in terms of the provisions/ contents in the Public Enterprises Circular No. PED 3/2015 dated 17 June 2015 and PED 01/2020 dated 27 January 2020 issued by the Department of Public Enterprises of the Ministry of Finance, Bank of Ceylon Ordinance No. 53 of 1938 and its amendments and Remuneration Policy for Chairman and Directors of the Bank of Ceylon. The Directors' remuneration in respect of the Bank and the Group for the financial year ended 31 December 2025 are given in Note 17 on page 270.

ANNUAL REPORT OF THE DIRECTORS ON THE STATE OF AFFAIRS OF BANK OF CEYLON

13. Risk management and system of internal controls

13.1. Risk management

The Board of Directors assumes overall responsibility for managing risks. The specific measures which were taken by the Bank in mitigating the risks are detailed on pages 191 to 216 of this Annual Report.

13.2. Internal control

The Board of Directors has ensured the implementation of an effective and comprehensive system of internal controls in the Bank through the Audit Committee.

The Audit Committee helps the Board of Directors to discharge their fiduciary responsibilities. The Report of the Chairman of the Audit Committee is contained on pages 180 to 181 of this Annual Report. The Directors are satisfied with the effectiveness of the system of internal controls during the year under review and up to the date of the Annual Report and the Financial Statements.

The Board has issued a statement on the internal control mechanism of the Bank as per Direction No. 9.2 (b) of Banking Act Direction No. 05 of 2024 on Corporate Governance for licensed banks. The above report is given on pages 226 and 227 of this Annual Report. The Board has confirmed that the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting and that the preparation of Financial Statements for external reporting purposes has been done in accordance with relevant accounting principles and regulatory requirements.

The Board has obtained an Assurance Report from the Auditor General on Directors' Statement on Internal Control and it is given on page 228 of this Annual Report.

14. Related Party Transactions

Directors have also disclosed transactions if any, that could be classified as Related Party Transactions in terms of Sri Lanka Accounting Standards - LKAS 24 (Related Party Disclosures) which is adopted in preparation of the Financial Statements.

The Related Party Transactions Review Committee reviews all related party transactions are in compliance with the relevant regulations of CSE and Central Bank of Sri Lanka, ensuring transactions are fair and in the best interests of the Bank.

Directors are in the view of the Bank has not granted favorable treatments to its related parties in all the transactions.

15. Corporate governance

The Board of Directors is committed towards maintaining an effective corporate governance structure and process. The financial, operational and compliance functions of the Bank are directed and controlled effectively within corporate governance practices. These procedures and practices that are in conformity with Corporate Governance Directions issued by the Central Bank of Sri Lanka under Banking Act Direction No. 05 of 2024, Listing Rule No. 09 of Colombo Stock Exchange and the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka, are described in the section titled "Governance at Bank of Ceylon" appearing on pages 162 to 179 of this Annual Report.

The Board has obtained a report from the Auditor General on the compliance with the provisions of the above mentioned Direction No. 05 of 2024.

16. Human Resources

One of the most valuable assets of the Bank is its employees and it is important for the Bank to develop them. Several measures were taken to strengthen the much valued human capital in order to optimise their contribution towards the achievement of corporate objectives. The Bank's human resource management policies and practices are detailed in the section titled "An Inclusive Workforce for Enduring Performance" on pages 138 to 147 of this Report.

17. Compliance with laws and regulations

The Directors, to the best of their knowledge and belief confirm that the Group has not engaged in any activities contravening the laws and regulations.

Details of the Bank's compliance with laws and regulations are given on pages 405 to 454 under the section titled "Compliance Annexes" which forms an integral part of this Report. They ensure that they are aware of applicable laws, rules and regulations.

18. Outstanding litigation

In the opinion of the Directors and as confirmed by the Bank's lawyers, the litigation currently pending against the Bank will not have a material impact on the reported financial results or future operations of the Bank.

19. Statutory payments

The Board confirms that all statutory payments due to the Government and in relation to employees have been made on time.

20. Environmental Protection

The Bank has not engaged in any activity, which has caused detriment to the environment. Further, precautions taken to protect the environment are given in the section titled "Building a Sustainable Future" on page 153 to 160.

21. Post-balance sheet events

The Directors are of the view that no material events have arisen in the interval between the end of the financial year and the date of this Report that would require adjustments or disclosures.

22. Going concern

The Directors are confident that the resources of the Bank are adequate to continue its operations. Therefore, it has applied the going concern basis in preparing the Financial Statements.

By order of the Board,

Janaki Senanayake Siriwardane

Secretary Bank of Ceylon/ Secretary to the Board

24 February 2026
Colombo

DIRECTORS' INTEREST IN CONTRACTS

Related party disclosures as required by the Sri Lanka Accounting Standard - LKAS 24 on "Related Party Disclosures" are detailed in Note 61 to the Financial Statements.

In addition, the transactions that have been carried out in the ordinary course of business in an arm's length basis with entities where a Director of the Bank is a Director or a Partner of such entities, are detailed below:

Company	Relationship	Nature of Transactions	Limit '000	Balance/ Amount outstanding as at 31.12.2025 '000	Balance/ Amount outstanding as at 31.12.2024 '000
Directors' Interest In Contracts					
Mr Kavinda de Zoysa (appointed as the Chairman of Bank of Ceylon w.e.f. 04 November 2024)					
Property Development Limited (Appointed w.e.f. 12 November 2024)	Chairman/ Non-Executive Director	Current accounts		26,560	13,037
		Time Deposits		3,609,200	3,708,660
		Securities purchased under resale agreements		1,306,400	752,800
Bank of Ceylon (UK) Limited (Appointed w.e.f. 09 December 2024)	Chairman/ Non-Executive Director	Current accounts		9,023	8,564
		Savings accounts		40	38
		Nostro accounts		USD 1,119	USD 1,583
				347,004*	463,098*
				GBP 614	GBP 508
				256,088*	186,563*
				EURO 5,454	EURO 1,105
				1,985,009*	336,628*
		Placements		USD 6,133	USD 6,000
				1,901,118*	1,755,500*
				GBP 25,948	GBP 25,700
				10,828,672*	9,441,723*
BOC Property Development and Management (Pvt) Ltd (Appointed w.e.f. 06 November 2025)	Chairman/ Non-Executive Director	Current accounts		3,294	4,942
		Time Deposits		200,100	744,700
		Debenture Investments		250,000	500,000
		Securities purchased under resale agreements		783,000	296,000
BOC IT Solutions (Private) Limited (Appointed w.e.f. 15 January 2025)	Chairman/ Non-Executive Director	Current accounts		24,601	777
Mr Jehaan Ismail (appointed as a Director of Bank of Ceylon w.e.f. 07 February 2024)					
Hotels Colombo (1963) Limited (Appointed w.e.f. 04 April 2024)	Chairman/ Non-Executive Director	Current accounts		21,531	32,130
		Savings accounts		20,462	-
		Time Deposits		2,167	2,044
		Loans		229,751	230,851
		Other receivables		289,151	235,960
Merchant Bank of Sri Lanka & Finance PLC (Appointed w.e.f. 30 January 2025)	Non-Executive Director	Current accounts		257,089	279,379
		Time Deposits		33	32
		Loans		-	2,940,000
		Overdrafts	750,000	711,636	186,794

*LKR equivalent amount
Note: Currencies not specifically mentioned are in LKR

Company	Relationship	Nature of Transactions	Limit '000	Balance/ Amount outstanding as at 31.12.2025 '000	Balance/ Amount outstanding as at 31.12.2024 '000
Dr Amal Illesinghe (appointed as a Director of Bank of Ceylon w.e.f. 06 December 2024)					
BOC IT Solutions (Private) Limited (Appointed w.e.f. 16 October 2025)	Non-Executive Director	Current accounts		24,601	777
Mr R M P Rathnayake (appointed as a Director of Bank of Ceylon w.e.f. 20 December 2024)					
BOC Travels (Private) Limited (Appointed w.e.f. 01 August 2025)	Chairman/ Non-Executive Director	Current accounts		29,914	20,976
		Time Deposits		351,972	290,917
		Overdrafts	58,500	-	-
Mr Darshana Gunasekera (appointed as a Director of Bank of Ceylon w.e.f. 13 August 2025)					
Dilmah Ceylon Tea Company PLC (Appointed w.e.f. 01 October 2020)	Executive Director	Current accounts		860	1,154
		Savings accounts		22,422	3,087
		Time Deposits		2,473,755	2,328,963
Thalawakelle Tea Estate PLC (Appointed w.e.f. 27 December 2024)	Independent Non-Executive Director	Current accounts		6,169	4,872
Mr Thulci Aluwihare (appointed as a Director of Bank of Ceylon w.e.f. 16 September 2025)					
Abans Finance PLC (Appointed w.e.f. 22 December 2022)	Independent Non-Executive Director	Current accounts		149	149
		Time Deposits		107	107
		Overdrafts	100,000	81,811	5,550
Expack Corrugated Cartons PLC (Appointed w.e.f. 15 June 2021)	Independent Non-Executive Director	Current accounts		779	644
		Savings accounts		122	1,435
		Loans		137,267	585,714
Ms Sharmini Ratwatte (appointed as a Director of Bank of Ceylon w.e.f. 16 September 2025)					
Convenience Foods (Lanka) PLC (Appointed w.e.f. 01 April 2024)	Independent Non-Executive Director	Current accounts		257	35
National Credit Guarantee Institution Limited (Appointed w.e.f. 08 January 2024)	Independent Non-Executive Director	Current accounts		468	426
		Debenture Investments		2,400,000	-
		Securities purchased under resale agreements		2,787,000	-
		Share Capital		151,145	151,145
Fairfirst Insurance Limited (Appointed w.e.f. 01 October 2025)	Non-Executive Director	Current accounts		99,008	110,905
		Savings accounts		246,949	162,359
		Overdrafts		1	4
		Securities purchased under resale agreements		218,903	320,962
Eng. Prof. Ananda Jayawardane (appointed as a Director of Bank of Ceylon w.e.f. 14 November 2025)					
HNB Assurance PLC (Appointed w.e.f. 09 August 2024)	Non-Independent Non-Executive Director	Current accounts		4,130	1,192
Prime Lands Residencies PLC (Appointed w.e.f. 04 September 2025)	Independent Non-Executive Director	Current accounts		-	419
		Overdrafts	250,000	250,756	-
		Loans		700,000	-

*LKR equivalent amount

Note: Currencies not specifically mentioned are in LKR

DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

Responsibility

In line with the Banking Act Direction No. 05 of 2024, section 9.2(b), the Board of Directors presents this report on Internal Control over Financial Reporting.

The Board of Directors ("Board") is responsible for the adequacy and effectiveness of the internal control mechanism in place at Bank of Ceylon, ("the Bank"). In considering such adequacy and effectiveness, the Board recognises that the business of banking requires reward to be balanced with risk on a managed basis and as such the internal control systems are primarily designed with a view to highlighting any deviations from the limits and indicators which comprise the risk appetite of the Bank. In this light, the system of internal controls can only provide reasonable, but not absolute assurance, regarding the reliability of Financial Reporting, and the preparation of Financial Statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements.

The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Bank and this process includes enhancing the system of internal control over financial reporting as and when there are changes to business environment or regulatory guidelines. The process is regularly reviewed by the Board and is in accordance with the guidance for Directors of banks on the directors' statement on internal control issued by the Institute of Chartered Accountants of Sri Lanka. The Board has assessed the internal control over financial reporting taking into account principles for the assessment of internal control system as given in that guidance.

The Board is of the view that the system of internal controls over financial reporting in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of Financial Statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

The management assists the Board in the implementation of the Board's policies and procedures on risk and control by identifying and assessing the risks faced, and in the design, operation and monitoring of suitable internal controls to mitigate and control these risks.

Key features of the process adopted in reviewing the design and effectiveness of the internal control system over financial reporting

The vital processes that have been established in reviewing the adequacy and integrity of the system of internal controls with respect to financial reporting include the following:

- Various committees are established by the Board to assist the Board in ensuring the effectiveness of the Bank's daily operations and that the Bank's operations are in accordance with the corporate objectives, strategies and the annual budget as well as the policies, procedures and business directions that have been approved.

- The Internal Audit Division of the Bank checks for compliance with policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and rotational procedures and highlights significant findings in respect of any noncompliance. Audits are carried out on all units and branches, the frequency of which is determined by the level of risk assessed using approved risk rating methodologies to provide an independent and objective report. The annual audit plan is reviewed and approved by the Board Audit Committee. In line with the approved annual audit plan, the Internal Audit Division carries out on-site as well as off-site internal audits using a variety of methodologies and the audit findings are submitted to the Board Audit Committee for review.

- The Board Audit Committee of the Bank reviews internal control issues identified by the Internal Audit Division, the external auditors, regulatory authorities and the management, and evaluates the adequacy and effectiveness of the risk management and internal control systems. They also review the internal audit functions with particular emphasis on the scope of audits and quality of the same. All minutes of the Board Audit Committee meetings are forwarded to the Board. Detail analysis of the activities undertaken by the Audit Committee of the Bank are set out in the Audit Committee Report on pages 180 to 181 of the Annual Report.

- In assessing the internal control system over financial reporting, identified officers of the Bank collated all procedures and controls that are connected with significant accounts and disclosures of the Financial Statements of the Bank. These in turn were observed and checked by the Internal Audit Division for suitability of design and effectiveness on an ongoing basis. The assessment did not include subsidiaries of the Bank.

- The Bank adopted the Sri Lanka Accounting Standard – SLFRS 9 - "Financial Instruments" with effect from 1 January 2018. In order to comply with the requirements of SLFRS 9, the Bank developed Expected Credit Loss (ECL) models using a wide range of forecast economic scenarios to determine impairment provisions with the support of an external consultant. These models are time to time validated by the Internal Audit Division and/or an external firm of Chartered Accountants. The Bank has taken adequate measures to comply with the Directions No.13 and 14 of 2021 issued by the Central Bank of Sri Lanka with regard to classification, recognition and measurement of credit facilities under SLFRS 9 effecting from 01 January 2022 and the same has been audited by the Internal Audit Division.

- The Bank is in the process of implementing an automated financial reporting solution in order to comply with the requirements of recognition, measurement, classification and disclosure of the financial instruments more effectively and efficiently and to facilitate the "Financial Statement Closure" process. This automated solution enables the calculation of impairment provisioning under SLFRS 9 - "Financial Instruments" and facilitates the fulfilling of internal and external reporting requirements.

- In 2025, the Bank continued its compliance with the remaining moratorium packages which were introduced by the government to provide relief to those affected by COVID-19. The residual impact of COVID-19 on the Bank's customers in risk elevated industries such as constructions and textiles-exports were also considered when assessing the impairment provisioning using the ECL models under SLFRS 9 "Financial Instruments".

- A steering committee composing of various disciplines of the Bank monitors and coordinates the implementation of the automated financial reporting solution with special emphasis on the directions issued by the regulator for classification, recognition and measurement of credit facilities under SLFRS 9.

- The Bank is continuously monitoring and updating procedures inter-alia relating to impairment of loans and advances of the Bank and foreign branches, financial statement disclosures, risk management, related party transactions and all other significant banking activities based on the changing regulatory and market conditions. The requirements under SLFRSs/ LKASs and regulatory directions have been communicated to the relevant stakeholders including the Board and senior management through training and awareness sessions.

- The comments made by the external auditors in connection with internal control system over financial reporting in previous years were reviewed during the year and appropriate steps have been taken to resolved them. The recommendations made by the external auditors in 2025 in connection with the internal control system over financial reporting will be addressed in the future.

Confirmation

Based on the above processes, the Board confirms that the financial reporting system of the Bank has been designed to provide a reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes and has been done in accordance with Sri Lanka Accounting Standards and regulatory requirements of Central Bank of Sri Lanka.

Review of the Statement by External Auditors

The Auditor General with the assistance of Messrs Ernst & Young has reviewed the Directors' Statement on Internal Control over Financial Reporting for the year ended 31 December 2025 and reported to the Board that nothing has come to their attention that causes them to believe that the statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and effectiveness of the internal control system over financial reporting of the Bank. The Report of the Auditor General on the Statement of Internal Control over Financial Reporting is given on page 228 of this Annual Report.

By order of the Board,

Chairman - Audit Committee

Director

Chairman

Colombo, Sri Lanka
24 February 2026

INDEPENDENT ASSURANCE REPORT

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தேசிய கணக்காய்வு அலுவலகம்
NATIONAL AUDIT OFFICE

මගේ අංකය / எனது இல. / My No. } BAN/B/BOC/IC/2025

ඔබේ අංකය / உமது இல. / Your No. }

දිනය / திகதி / Date } 24 March 2026

The Chairman,

Bank of Ceylon.

Independent Assurance Report of the Auditor General to the Board of Directors on the Directors' Statement on Internal Control over Financial Reporting of Bank of Ceylon

Introduction

This report is to provide assurance on the Directors' Statement on Internal Control over Financial Reporting (the "Statement") of Bank of Ceylon (the "Bank") included in the annual report for the year ended 31 December 2025.

Management's Responsibility

Management is responsible for the preparation and presentation of the Statement in accordance with the "Guidance for Directors of Banks on the Directors' Statement on Internal Control" issued in compliance with the Section 9.2 (b) of the Banking Act Direction No. 05 of 2024, on Corporate Governance for Licensed Banks.

My Responsibility and Compliance with SLSAE 3050(Revised)

My responsibility is to assess whether the Statement is both supported by the documentation prepared by or for directors and appropriately reflects the process the directors have adopted in reviewing the design and effectiveness of the internal control of the Bank.

I conducted my engagement in accordance with Sri Lanka Standard on Assurance Engagements (SLSAE) 3050 (Revised), Assurance Report for Banks on Directors' Statement on Internal Control issued by the Institute of Chartered Accountants of Sri Lanka. This Standard required that I plan and perform procedures to obtain limited assurance about whether Management has prepared, in all material aspects, the Statement on Internal Control over Financial Reporting. For the purpose of this engagement, I am not responsible for updating or reissuing any reports, nor have I, in the course of this engagement, performed an audit or review of the financial information.

Summary of Work Performed

I conducted my engagement to assess whether the Statement is supported by the documentation prepared by or for Directors; and appropriately reflected the process the Directors have adopted in reviewing the system of internal control over financial reporting of the Bank.

The procedures performed were limited primarily to inquiries of Bank personnel and the existence of documentation on a sample basis that supported the process adopted by the Board of Directors.

SLSAE 3050 (Revised) does not require me to consider whether the Statement covers all risk and controls, or to form an opinion on the effectiveness of the Bank's risk and control procedures. SLSAE 3050(Revised) also does not require me to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

The procedures selected depend on my judgement, having regard to my understanding of the nature of the Bank, the event or transaction in respect of which the Statement has been prepared. I believe that the evidence I have obtained is sufficient and appropriate to provide a basis for my conclusion.

Conclusion

Based on the procedures performed, nothing has come to my attention that causes me to believe that the Statement included in the Annual Report is inconsistent with my understanding of the process the Board of Directors has adopted in the review of the design and effectiveness of internal control system over the financial reporting of the Bank.

L S I Jayaratna
Auditor General

අංක 306/72, පොල්දූව පාර, බත්තරමුල්ල, ශ්‍රී ලංකාව
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No. 306/72, Polduwa Road, Battaramulla, Sri Lanka.
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STATEMENT OF DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

This Statement by the Board of Directors is made especially to distinguish the respective responsibilities of the Directors and Auditors in relation to financial reporting. The responsibility of Directors in relation to financial reporting of the Bank of Ceylon and the Group is set out in the following statement.

Financial statements

In terms of the provisions of Bank of Ceylon Ordinance No. 53 of 1938 and its amendments read with the Banking Act No. 30 of 1988 and its amendments and Directions, the Directors of the Bank are responsible for ensuring that the Bank maintains proper books of accounts, which disclose with reasonable accuracy at any time, the financial position of the Bank and prepares proper Financial Statements for each financial year, giving a true and fair view of the state of affairs of the Bank.

The Directors affirm that in preparing the Financial Statements for the year 2025 presented in this Annual Report, the most appropriate accounting policies have been used and applied consistently supported by judgments and estimates that are reasonable and prudent. Material departures, if any, have been disclosed and explained.

The Financial Statements for the year 2025 presented in this Annual Report, are in conformity with the requirements of the Bank of Ceylon Ordinance No. 53 of 1938 and its amendments, Banking Act No. 30 of 1988 and its amendments and Directions issued under it, the Sri Lanka Accounting Standards and other regulatory requirements. These Financial Statements reflect a true and fair view of the state of affairs of the Bank of Ceylon and the Group as at 31 December 2025.

Going concern

The Directors are of the view that the Bank and the Group have adequate resources to continue in business in the foreseeable future. Accordingly, they have continued to adopt the going concern basis in preparing the Financial Statements.

Internal controls, risk management and compliance

The Directors are also responsible for the system of internal financial controls and risk management and place considerable importance on maintaining a strong control environment to protect and safeguard the Bank's assets and prevent fraud and mismanagement.

Whilst inherent and residual risks cannot be completely eliminated, the Bank endeavors to minimise them by ensuring that appropriate infrastructure, controls, systems and ethical behavior are applied and practiced within predetermined procedures and limits/ boundaries.

A report by the Directors on the Bank's internal control mechanism, confirming that the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting, is given on pages 226 and 227 of this Annual Report.

The Directors and Management have put in place, risk management policies and guidelines. Management committees have been established to monitor and manage material risks. Arrangements are in place to ensure that monthly reports on risk are submitted to the Integrated Risk Management Committee for review and discussion. Compliance with applicable laws, regulations, rules, directives and guidelines are monitored by the Independent Integrated Risk Management Division and reported to the Board.

The Audit Committee and Integrated Risk Management Committee, on an ongoing basis, have acted to strengthen the effectiveness of internal controls and risk management procedures. The reports of the Audit Committee and Integrated Risk Management Committee are included on pages 180 to 183 of this Annual Report.

Audit report

Pursuant to provisions of Article 154 of the Constitution of the Democratic Socialist Republic of Sri Lanka, the Auditor General is the Auditor of the Bank and issues the final opinion on the Financial Statements of the Bank. The responsibilities of the Auditor in relation to the Financial Statements are set out in the Report of the Auditor General on pages 230 to 234 of this Annual Report.

The Auditor General's certification on the effectiveness of the Bank's internal control mechanism is given on page 228 of this Annual Report.

Compliance

The Directors to the best of their knowledge and belief, are satisfied that all statutory payments, in relation to all relevant regulatory and statutory authorities, which were due and payable by the Bank and its subsidiaries as at the Statement of Financial Position date, have been paid or where relevant provided for.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

By order of the Board,

Janaki Senanayake Siriwardane

Secretary Bank of Ceylon/ Secretary to the Board

24 February 2026
Colombo

REPORT OF THE AUDITOR GENERAL

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தேசிய கணக்காய்வு அலுவலகம்
NATIONAL AUDIT OFFICE

මගේ අංකය / எனது இல. / My No.	BAN/B/BOC/FA/2025	ඔබේ අංකය / உமது இல. / Your No.	දිනය / திகதி / Date: 26 February 2026

Chairman
Bank of Ceylon

Report of the Auditor General on the Financial Statements and Other Legal and Regulatory Requirements of the Bank of Ceylon and its subsidiaries for the year ended 31 December 2025 in terms of Section 12 of the National Audit Act, No. 19 of 2018.

1. Financial Statements

1.1 Opinion

The audit of the Financial Statements of Bank of Ceylon (the "Bank") and the Consolidated Financial Statements of the Bank and its subsidiaries (the "Group") for the year ended 31 December 2025 comprising the statement of financial position as at 31 December 2025 and the statement of profit or loss, statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the Financial Statements, including material accounting policy information, was carried out under my direction in pursuance of provisions in Article 154(1) of the Constitution of the Democratic Socialist Republic of Sri Lanka read in conjunction with provisions of the National Audit Act No. 19 of 2018. The Bank has been exempted from the provisions of Part II of the Finance Act, No. 38 of 1971 by an Order of then Minister of Finance published in the Government Gazette No. 715 of 14 May 1992 by virtue of powers vested in him by Sections 5(1) of the said Finance Act. My report to Parliament in pursuance of provisions in Article 154 (6) of the Constitution will be tabled in due course. To carry out this audit I was assisted by a firm of chartered accountant in public practise.

In my opinion, the accompanying financial statements of the Bank and the Group give a true and fair view of the financial position of the Bank and the Group as at 31 December 2025 and of their financial performance and their cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

1.2 Basis for Opinion

I conducted my audit in accordance with Sri Lanka Auditing Standards (SLAuSs). My responsibilities, under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

1.3 Key Audit Matters

Key Audit Matters are those matters that, in my professional judgment, were of most significance in my audit of the Financial Statements of the current period. These matters were addressed in the context of my audit of the Financial Statements as a whole, and in forming my audit opinion thereon, and I do not provide a separate opinion on these matters. For each matter below, my description of how my audit addressed the matter is provided in that context.

I have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of my report, including in relation to these matters. Accordingly, my audit included the performance of procedures designed to respond to my assessment of the risks of material misstatement of the financial statements. The results of my audit procedures, including the procedures performed to address the matters below, provide the basis for my audit opinion on the accompanying financial statements.

<table>
<thead>
<tr><th>Key audit matter</th><th>How my audit addressed the key audit matter</th></tr>
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Allowances for Expected Credit Losses of Loan and Advances measured at amortized cost

Allowances for expected credit losses of Loans and Advances measured at amortised cost as disclosed in Note 28 is determined by management based on the accounting policies described in Note 4.4.11.6 to the financial statements.

This was a key audit matter due to

- the significant management judgements, assumptions and estimation uncertainty involved in assessing the future recoverability of Loans and Advances; and
- the materiality of the reported amount of allowance of expected credit losses.

Key areas of significant judgements, assumptions and estimates used by management in the assessment of the impairment for expected credit losses included determining whether significant increase in credit risk has occurred, use of a broad range of forward-looking macroeconomic inputs and their associated weightages which are subject to inherently heightened levels of estimation uncertainty and subjectivity.

Further information on the key estimates, assumptions and judgements is disclosed in Notes 28.

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<td>

In addressing the allowances for expected credit losses of loan and advances measured at amortised cost, my audit procedures included the following key procedures:

- Assessed the alignment of the Bank's allowances for expected credit loss computations with the underlying methodology and related accounting policies, based on the best available information up to date of my report.
- Evaluated the design, implementation and operating effectiveness of controls over estimation of expected credit losses.
- Assessed the level of oversight, review and approval of allowances for expected credit losses, policies and procedures by the Board and management.
- Tested the completeness, accuracy and reasonableness of the underlying data used in the expected credit loss computations by agreeing details to relevant source documents and accounting records of the Bank.
- Evaluated the reasonableness of qualitative and quantitative factors used in credit quality assessments and related stage classifications.
- In addition to the above, the following procedures were performed:
    - For loans and advances assessed on an individual basis for impairment:
        - Evaluated the reasonableness of key inputs used in the allowances for expected credit losses made. Such evaluations were carried out considering the value and timing of cash flow forecasts particularly relating to elevated risk industries and status of recovery action of the collaterals.
        - Tested the arithmetical accuracy of the underlying individual impairment calculations.
    - For loans and advances assessed on a collective basis for impairment:
        - Tested the key inputs and the calculations used in the allowances for expected credit losses.
        - Assessed the reasonableness of judgements, assumptions and estimates used by the Management in the underlying methodology and the management overlays including consideration of impact arising from the 'Ditwah' cyclone.
        - My testing included evaluating the reasonableness of forward-looking information used, economic scenarios considered, and probability weighting assigned to each of those scenarios.
- Assessed the adequacy of the related financial statement disclosures set out in notes 4.4.11.6 and 28.

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REPORT OF THE AUDITOR GENERAL

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தேசிய கணக்காய்வு அலுவலகம்
NATIONAL AUDIT OFFICE
NAOSL

Key audit matter	How my audit addressed the key audit matter
Information Technology (IT) systems related internal controls over financial reporting Bank's financial reporting process is significantly reliant on multiple IT systems with automated processes and internal controls. Further, key financial statement disclosures are prepared using data and reports generated by IT systems, that are compiled and formulated with the use of spreadsheets. Accordingly, IT systems related internal controls over financial reporting were identified as a key audit matter.	My audit procedures included the following key procedures: • Obtained an understanding of the internal control environment of the processes and tested relevant key controls relating to financial reporting and related disclosures. • Involved my internal specialized resources and; ◆ Identified, evaluated and tested the design and operating effectiveness of IT systems related internal controls, including those related to user access and change management, and ◆ Obtained a high-level understanding of the cybersecurity risks affecting the bank and the actions taken to address these risks primarily through inquiry. • Tested source data of the reports used to generate disclosures for accuracy and completeness, including review of the general ledger reconciliations.

1.4 Other information included in the Bank's 2025 Annual Report

The other information comprises the information included in the Bank's 2025 Annual Report, but does not include the financial statements and my auditor's report thereon, which is expected to be made available to me after the date of this auditor's report. Management is responsible for the other information.

My opinion on the financial statements does not cover the other information and I do not express any form of assurance conclusion thereon.

In connection with my audit of the financial statements, my responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit or otherwise appears to be materially misstated.

When I read the Bank's 2025 Annual Report, if I conclude that there are material misstatements therein, I am required to communicate that matter to those charged with governance for correction. If further material uncorrected misstatements are existed those will be included in my report to Parliament in pursuance of provisions in Article 154 (6) of the Constitution that will be tabled in due course.

1.5 Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of Financial Statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determine is necessary to enable the preparation of Financial Statements that are free from material misstatement, whether due to fraud or error.

In preparing the Financial Statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's and the Group's financial reporting process.

As per Section 16(1) of the National Audit Act No. 19 of 2018, the Group is required to maintain proper books and records of all its income, expenditure, assets, and liabilities, to enable annual and periodic Financial Statements to be prepared of the Group.

1.6 Auditor's Responsibilities for the Audit of the Financial Statements

My objective is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Sri Lanka Auditing Standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Sri Lanka Auditing Standards, I exercise professional judgment and maintain professional scepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control of the Bank and the Group.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.

- Conclude on the appropriateness of the management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the Financial Statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure, and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the consolidated financial statements. I am responsible for the direction, supervision, and review of the audit work performed for the purposes of the group audit. I remain solely responsible for my audit opinion.

I communicate with those charged with governance regarding, among other matters, significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

2. Report on Other Legal and Regulatory Requirements

2.1 National Audit Act, No. 19 of 2018 includes specific provision for following requirements;

2.1.1 I have obtained all the information and explanation that required for the audit and as far as appears from my examination, proper accounting records have been kept by the Bank as per the requirement of section 12 (a) of the National Audit Act, No. 19 of 2018.

2.1.2 The Financial Statements presented is consistent with the preceding year as per the requirement of section 6 (1) (d) (iii) of the National Audit Act, No. 19 of 2018.

2.1.3 The Financial Statements presented includes all the recommendations made by me in the previous year as per the requirement of section 6 (1) (d) (iv) of the National Audit Act, No. 19 of 2018.

2.2 The section 39 of the Banking Act No 30 of 1988 (as amended by Banking Act No. 24 of 2024) include specific provisions for following requirements;

2.2.1 The disclosures made in the accompanying financial statements are in accordance with the requirements of Circular No. 05 of 2024 issued by Central Bank of Sri Lanka.

2.3 Based on the procedures performed and evidence obtained were limited to matters that are material, nothing has come to my attention;

2.3.1 to state that any member of the governing body of the Bank has any direct or indirect interest in any contract entered into by the Bank which are out of the normal course of business as per the requirement of section 12 (d) of the National Audit Act, No. 19 of 2018.

REPORT OF THE AUDITOR GENERAL

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தேசிய கணக்காய்வு அலுவலகம்
NATIONAL AUDIT OFFICE
NAOSL

2.3.2 to state that the Bank has not complied with any applicable written law, general and special directions issued by the governing body of the Bank as per the requirement of section 12 (f) of the National Audit Act, No. 19 of 2018.

2.3.3 to state that the Bank has not performed according to its powers, functions, and duties as per the requirement of section 12 (g) of the National Audit Act, No. 19 of 2018.

2.3.4 to state that the resources of the Bank had not been procured and utilized economically, efficiently, and effectively within the time frames and in compliance with the applicable laws as per the requirement of section 12 (h) of the National Audit Act, No. 19 of 2018.

L.S.I. Jayaratna
Auditor General

FINANCIAL STATEMENTS - TABLE OF CONTENTS

STATEMENT OF PROFIT OR LOSS

		Bank			Group		
For the year ended 31 December	Note	2025 LKR '000	2024 LKR '000	Change %	2025 LKR '000	2024 LKR '000	Change %
Total income	7	548,623,413	485,405,047	13.0	558,674,587	494,921,947	12.9
Interest income		496,158,958	461,113,949	7.6	504,977,909	468,786,127	7.7
Less : Interest expenses		289,222,537	293,561,489	(1.5)	293,134,705	297,058,327	(1.3)
Net interest income	8	206,936,421	167,552,460	23.5	211,843,204	171,727,800	23.4
Fee and commission income		35,697,977	30,415,561	17.4	36,255,289	30,847,506	17.5
Less : Fee and commission expenses		12,600,869	9,802,534	28.5	12,689,384	9,845,866	28.9
Net fee and commission income	9	23,097,108	20,613,027	12.1	23,565,905	21,001,640	12.2
Net gains/ (losses) from trading	10	5,810,710	3,433,734	69.2	5,855,505	3,473,065	68.6
Net fair value gains/ (losses) from financial assets at fair value through profit or loss	11	1,581,766	1,507,537	4.9	998,484	1,714,133	(41.7)
Net gains/ (losses) from derecognition of financial assets	12	1,741,194	(3,598,692)	(148.4)	2,526,648	(2,892,497)	(187.4)
Net other operating income	13	7,632,808	(7,467,042)	(202.2)	8,060,752	(7,006,387)	(215.0)
Total operating income		246,800,007	182,041,024	35.6	252,850,498	188,017,754	34.5
Less : Impairment charge/ (reversal) for loans and other losses	14	21,109,778	(20,343,159)	(203.8)	21,017,651	(20,720,005)	(201.4)
Net operating income		225,690,229	202,384,183	11.5	231,832,847	208,737,759	11.1
Less : Operating expenses							
Personnel expenses	15	45,689,438	40,287,071	13.4	48,534,203	42,946,620	13.0
Depreciation and amortisation expenses	16	5,022,916	4,194,927	19.7	4,732,494	4,308,053	9.9
Other expenses	17	22,269,517	22,602,628	(1.5)	24,498,541	24,557,901	(0.2)
Total operating expenses		72,981,871	67,084,626	8.8	77,765,238	71,812,574	8.3
Operating profit/ (loss) before taxes on financial services		152,708,358	135,299,557	12.9	154,067,609	136,925,185	12.5
Less : Taxes on financial services	18.1	31,881,404	28,395,289	12.3	32,290,014	28,790,143	12.2
Operating profit/ (loss) after taxes on financial services		120,826,954	106,904,268	13.0	121,777,595	108,135,042	12.6
Share of profits/ (losses) of associate companies, net of tax	19	-	-	-	156,155	86,425	80.7
Profit/ (loss) before income tax		120,826,954	106,904,268	13.0	121,933,750	108,221,467	12.7
Less : Income tax expense/ (reversal)	18.2	44,820,023	42,517,329	5.4	45,462,492	43,159,990	5.3
Profit/ (loss) for the year		76,006,931	64,386,939	18.0	76,471,258	65,061,477	17.5
Profit attributable to :							
Equity holder of the Bank		76,006,931	64,386,939	18.0	76,583,681	65,007,643	17.8
Non-controlling interest		-	-	-	(112,423)	53,834	(308.8)
Profit/ (loss) for the year		76,006,931	64,386,939	18.0	76,471,258	65,061,477	17.5
Earnings per share and dividend per share	20						
Basic earnings per share (LKR)		2,987.93	2,575.48	16.0	3,010.60	2,600.31	15.8
Diluted earnings per share (LKR)		2,954.02	2,502.41	18.0	2,976.44	2,526.53	17.8
Dividend per share (LKR)		194.33	-	-	194.33	-	-

The Notes to the Financial Statements from pages 246 to 403 form an integral part of these Financial Statements.

STATEMENT OF COMPREHENSIVE INCOME

	Bank			Group		
For the year ended 31 December	2025 LKR '000	2024 LKR '000	Change %	2025 LKR '000	2024 LKR '000	Change %
Profit/ (loss) for the year	76,006,931	64,386,939	18.0	76,471,258	65,061,477	17.5
Items that will be reclassified to profit or loss						
Exchange differences on translation of foreign operations	577,270	(1,849,445)	(131.2)	1,344,993	(2,499,942)	(153.8)
Net gains / (losses) on cashflow hedge instruments	(783,217)	(3,730,094)	(79.0)	(783,217)	(3,730,094)	(79.0)
Net gains/ (losses) on investments in debt instruments measured at fair value through other comprehensive income (FVOCI)	(489,211)	736,052	(166.5)	(545,848)	745,464	(173.2)
Net (gains)/ losses on investments in financial assets at FVOCI reclassification to profit or loss	-	-	-	-	(6,663)	(100.0)
Deferred tax effect on above	148,454	(220,371)	(167.4)	148,454	(220,371)	(167.4)
Share of other comprehensive income of Associate companies, net of tax	-	-	-	30,421	16,795	81.1
Total items that will be reclassified to profit or loss	(546,704)	(5,063,858)	(89.2)	194,803	(5,694,811)	(103.4)
Items that will not be reclassified to profit or loss						
Change in fair value on investments in equity instruments measured at fair value through other comprehensive income (FVOCI)	2,176,370	2,782,020	(21.8)	2,754,600	1,912,880	44.0
Deferred tax effect on above	(212,651)	(120,459)	76.5	(212,651)	(120,459)	76.5
Changes in revaluation surplus/ (deficit)	-	-	-	653,881	(139,720)	(568.0)
Deferred tax effect on above	-	-	-	(196,164)	41,916	(568.0)
Net actuarial gains/ (losses) on defined benefit plans	(13,119,330)	(13,794,600)	(4.9)	(13,059,383)	(13,861,596)	(5.8)
Deferred tax effect on above	3,935,799	4,138,380	(4.9)	3,930,252	4,157,605	(5.5)
Total items that will not be reclassified to profit or loss	(7,219,812)	(6,994,659)	3.2	(6,129,465)	(8,009,374)	(23.5)
Other comprehensive income for the year, net of tax	(7,766,516)	(12,058,517)	(35.6)	(5,934,662)	(13,704,185)	(56.7)
Total comprehensive income for the year	68,240,415	52,328,422	30.4	70,536,596	51,357,292	37.3
Attributable to:						
Equity holder of the Bank	68,240,415	52,328,422	30.4	70,606,259	51,321,630	37.6
Non-controlling interest	-	-	-	(69,663)	35,662	(295.3)
Total comprehensive income for the year	68,240,415	52,328,422	30.4	70,536,596	51,357,292	37.3

The Notes to the Financial Statements from pages 246 to 403 form an integral part of these Financial Statements.

STATEMENT OF FINANCIAL POSITION

		Bank			Group		
As at 31 December	Note	2025 LKR '000	2024 LKR '000	Change %	2025 LKR '000	2024 LKR '000	Change %
Assets							
Cash and cash equivalents	22	131,083,172	115,422,407	13.6	133,811,977	116,281,852	15.1
Balances with Central Banks	23	79,845,952	52,346,230	52.5	79,845,952	52,346,230	52.5
Placements with banks	24	39,458,670	62,413,107	(36.8)	43,182,411	61,576,750	(29.9)
Securities purchased under resale agreements	25	345,307	23,982,341	(98.6)	604,912	21,581,160	(97.2)
Derivative financial assets	26	6,900,797	23,500,600	(70.6)	6,900,797	23,500,600	(70.6)
Financial assets recognised through profit or loss measured at fair value	27	12,600,011	21,003,177	(40.0)	20,452,616	29,762,487	(31.3)
Financial assets at amortised cost							
Loans and advances	28	2,371,751,976	2,177,707,779	8.9	2,442,422,718	2,221,161,844	10.0
Debt and other instruments	29	2,605,510,006	2,275,934,376	14.5	2,611,713,109	2,282,636,084	14.4
Financial assets measured at fair value through OCI	30	37,379,176	52,049,653	(28.2)	39,744,042	53,862,763	(26.2)
Investment in subsidiary companies	31	8,105,402	8,080,402	0.3	-	-	-
Investment in associate companies	32	92,988	92,988	-	894,332	828,923	7.9
Investment properties	33	2,414,640	2,414,640	-	-	-	-
Property, plant and equipment	34	46,142,559	45,621,257	1.1	63,453,867	62,308,257	1.8
Right of use assets/ leasehold properties	35	5,510,507	5,554,420	(0.8)	2,957,410	3,355,142	(11.9)
Intangible assets	36	2,790,651	1,608,812	73.5	2,888,809	1,710,211	68.9
Deferred tax assets	37	27,402,018	15,836,422	73.0	27,518,175	15,967,300	72.3
Other assets	38	90,216,952	101,570,365	(11.2)	90,659,339	101,791,704	(10.9)
Total assets		5,467,550,784	4,985,138,976	9.7	5,567,050,466	5,048,671,307	10.3
Liabilities							
Due to banks	39	26,397,898	1,671,087	1,479.7	27,225,943	1,682,417	1,518.3
Securities sold under repurchase agreements	40	284,215,169	131,079,414	116.8	288,688,312	130,030,614	122.0
Derivative financial liabilities	41	561,062	16,476,077	(96.6)	561,062	16,476,077	(96.6)
Financial liabilities at amortised cost							
Due to depositors	42	4,388,585,972	4,208,603,435	4.3	4,447,652,639	4,245,531,800	4.8
Other borrowings	43	48,719,379	29,143,678	67.2	56,877,726	32,344,253	75.9
Debt securities issued	44	-	-	-	1,754,101	718,873	144.0
Current tax liabilities	45	25,418,318	23,209,855	9.5	25,667,188	23,594,223	8.8
Deferred tax liabilities	37	-	-	-	3,003,753	2,911,350	3.2
Insurance contract liabilities - Life	46	-	-	-	483,493	400,967	20.6
Insurance contract liabilities - Non life	46	-	-	-	558,400	423,923	31.7
Other liabilities	47	228,397,006	203,859,925	12.0	227,394,869	203,826,491	11.6
Subordinated liabilities	49	99,455,760	68,535,700	45.1	99,203,598	68,282,559	45.3
Total liabilities		5,101,750,564	4,682,579,171	9.0	5,179,071,084	4,726,223,547	9.6

		Bank			Group		
As at 31 December	Note	2025 LKR '000	2024 LKR '000	Change %	2025 LKR '000	2024 LKR '000	Change %
Equity							
Share capital	50	25,730,000	25,730,000	-	25,730,000	25,730,000	-
Permanent reserve fund	51	18,474,000	16,953,000	9.0	18,474,000	16,953,000	9.0
Retained earnings	52	204,351,656	183,388,860	11.4	207,048,884	185,536,613	11.6
Cash flow hedge reserve	53	738,206	1,521,423	(51.5)	738,206	1,521,423	(51.5)
Other reserves	54	116,506,358	74,966,522	55.4	134,913,287	91,555,247	47.4
Total equity attributable to equity holder of the Bank		365,800,220	302,559,805	20.9	386,904,377	321,296,283	20.4
Non-controlling interest	55	-	-	-	1,075,005	1,151,477	(6.6)
Total equity		365,800,220	302,559,805	20.9	387,979,382	322,447,760	20.3
Total liabilities and equity		5,467,550,784	4,985,138,976	9.7	5,567,050,466	5,048,671,307	10.3
Contingent liabilities and commitments	57	1,808,404,621	1,788,296,358	1.1	1,812,255,096	1,789,396,253	1.3
Net assets value per share (LKR)	50.2	14,216.88	12,102.39	17.5	15,037.09	12,851.85	17.0

The Notes to the Financial Statements from pages 246 to 403 form an integral part of these Financial Statements.

These Financial Statements give a true and fair view of the state of affairs of Bank of Ceylon and the Group as at 31 December 2025 and its profit for the year then ended.

M P Ruwan Kumara
Chief Financial Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Approved and signed for and on behalf of the Board,

Kavinda de Zoysa
Chairman

J D N Gunasekera
Director

Y A Jayathilaka
Actg. General Manager

24 February 2026
Colombo

STATEMENT OF CHANGES IN EQUITY

Bank

	Note	Share capital LKR ' 000	Capital pending allotment LKR ' 000	Permanent reserve fund LKR ' 000	Cashflow hedge reserve LKR ' 000
Balance as at 1 January 2024		25,000,000	730,000	15,665,000	5,251,517
Total comprehensive income for the year					
Profit for the year		-	-	-	-
Other comprehensive income, net of tax		-	-	-	(3,730,094)
Total comprehensive income for the year		-	-	-	(3,730,094)
Transactions with equity holder, recognised directly in equity					
Surcharge Tax		-	-	-	-
Transfers to other reserves	54.4	-	-	-	-
Transfers to permanent reserve fund	51	-	-	1,288,000	-
Total transactions with equity holder		-	-	1,288,000	-
Balance as at 31 December 2024		25,000,000	730,000	16,953,000	1,521,423
Balance as at 1 January 2025		25,000,000	730,000	16,953,000	1,521,423
Total comprehensive income for the year					
Profit for the year		-	-	-	-
Other comprehensive income, net of tax		-	-	-	(783,217)
Total comprehensive income for the year		-	-	-	(783,217)
Transactions with equity holder, recognised directly in equity					
Dividends for 2025	20.3	-	-	-	-
Transfers to share capital	50.1	730,000	(730,000)	-	-
Transfers to other reserves	54.4	-	-	-	-
Transfers to permanent reserve fund	51	-	-	1,521,000	-
Total transactions with equity holder		730,000	(730,000)	1,521,000	-
Balance as at 31 December 2025		25,730,000	-	18,474,000	738,206

The Notes to the Financial Statements from pages 246 to 403 form an integral part of these Financial Statements.

Other reserves				
FVOCI reserve	Other reserves	Revaluation reserve	Retained earnings	Total equity
LKR ‘ 000	LKR ‘ 000	LKR ‘ 000	LKR ‘ 000	LKR ‘ 000
2,557,307	8,931,901	22,227,386	171,351,609	251,714,720
-	-	-	64,386,939	64,386,939
3,177,242	(1,849,445)	-	(9,656,220)	(12,058,517)
3,177,242	(1,849,445)	-	54,730,719	52,328,422
-	-	-	(1,483,337)	(1,483,337)
-	39,922,131	-	(39,922,131)	-
-	-	-	(1,288,000)	-
-	39,922,131	-	(42,693,468)	(1,483,337)
5,734,549	47,004,587	22,227,386	183,388,860	302,559,805
5,734,549	47,004,587	22,227,386	183,388,860	302,559,805
-	-	-	76,006,931	76,006,931
1,622,962	577,270	-	(9,183,531)	(7,766,516)
1,622,962	577,270	-	66,823,400	68,240,415
-	-	-	(5,000,000)	(5,000,000)
-	-	-	-	-
-	39,339,604	-	(39,339,604)	-
-	-	-	(1,521,000)	-
-	39,339,604	-	(45,860,604)	(5,000,000)
7,357,511	86,921,461	22,227,386	204,351,656	365,800,220

STATEMENT OF CHANGES IN EQUITY

Group

	Note	Share capital LKR ' 000	Capital pending allotment LKR ' 000	Permanent reserve fund LKR ' 000	Cashflow hedge reserve LKR ' 000
Balance as at 1 January 2024		25,000,000	730,000	15,665,000	5,251,517
Total comprehensive income for the year					
Profit for the year		-	-	-	-
Other comprehensive income, net of tax		-	-	-	(3,730,094)
Total comprehensive income for the year		-	-	-	(3,730,094)
Transactions with equity holders, recognised directly in equity					
Surcharge Tax		-	-	-	-
Subsidiary dividends to non controlling interest		-	-	-	-
Transfers to permanent reserve fund	51	-	-	1,288,000	-
Transfers to other reserves		-	-	-	-
Reversal of unclaimed dividend		-	-	-	-
Total transactions with equity holders		-	-	1,288,000	-
Balance as at 31 December 2024		25,000,000	730,000	16,953,000	1,521,423
Balance as at 1 January 2025		25,000,000	730,000	16,953,000	1,521,423
Total comprehensive income for the year					
Profit for the year		-	-	-	-
Other comprehensive income, net of tax		-	-	-	(783,217)
Total comprehensive income for the year		-	-	-	(783,217)
Transactions with equity holders, recognised directly in equity					
Dividends for 2025	20.3	-	-	-	-
Subsidiary dividends to non controlling interest		-	-	-	-
Transfers to share capital	50.1	730,000	(730,000)	-	-
Transfers to permanent reserve fund	51	-	-	1,521,000	-
Transfers to other reserves		-	-	-	-
Reversal of unclaimed dividend		-	-	-	-
Total transactions with equity holders		730,000	(730,000)	1,521,000	-
Balance as at 31 December 2025		25,730,000	-	18,474,000	738,206

The Notes to the Financial Statements from pages 246 to 403 form an integral part of these Financial Statements.

Attributable to equity holder of the Bank					
Other reserves					
FVOCI reserve	Other reserves	Revaluation reserve	Retained earnings	Non-controlling interest	Total equity
LKR ' 000	LKR ' 000	LKR ' 000	LKR ' 000	LKR ' 000	LKR ' 000
4,999,807	13,060,940	33,687,424	173,063,302	1,120,796	272,578,786
-	-	-	65,007,643	53,834	65,061,477
2,328,764	(2,499,942)	(102,718)	(9,682,023)	(18,172)	(13,704,185)
2,328,764	(2,499,942)	(102,718)	55,325,620	35,662	51,357,292
-	-	-	(1,483,337)	-	(1,483,337)
-	-	-	-	(6,809)	(6,809)
-	-	-	(1,288,000)	-	-
-	40,080,972	-	(40,080,972)	-	-
-	-	-	-	1,828	1,828
-	40,080,972	-	(42,852,309)	(4,981)	(1,488,318)
7,328,571	50,641,970	33,584,706	185,536,613	1,151,477	322,447,760
7,328,571	50,641,970	33,584,706	185,536,613	1,151,477	322,447,760
-	-	-	76,583,681	(112,423)	76,471,258
2,130,613	1,344,993	452,389	(9,122,200)	42,760	(5,934,662)
2,130,613	1,344,993	452,389	67,461,481	(69,663)	70,536,596
-	-	-	(5,000,000)	-	(5,000,000)
-	-	-	-	(6,809)	(6,809)
-	-	-	-	-	-
-	-	-	(1,521,000)	-	-
-	39,430,045	-	(39,430,045)	-	-
-	-	-	1,835	-	1,835
-	39,430,045	-	(45,949,210)	(6,809)	(5,004,974)
9,459,184	91,417,008	34,037,095	207,048,884	1,075,005	387,979,382

STATEMENT OF CASH FLOWS

		Bank		Group	
For the year ended 31 December	Note	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Cash flows from operating activities					
Profit before income tax		120,826,954	106,904,268	121,933,750	108,221,467
Adjustments for:					
Net interest income	8	(206,936,421)	(167,552,460)	(211,843,204)	(171,727,800)
Dividend income	10/13	(512,051)	(441,824)	(577,304)	(452,739)
Dividends from subsidiaries and associates	13	(472,486)	(445,167)	-	-
Share of (profits)/ losses of associate companies, net of tax	19	-	-	(156,155)	(86,425)
Change in operating assets	56.1	(173,370,327)	(31,161,806)	(205,757,459)	(40,159,508)
Change in operating liabilities	56.2	312,400,009	506,426,493	341,653,276	517,281,906
Other non-cash items included in profit before tax	56.3	29,778,875	(12,906,185)	29,475,986	(13,154,644)
Other net (gains)/ losses from investing activities		(3,322,960)	2,091,155	(3,525,132)	1,178,364
		78,391,593	402,914,474	71,203,758	401,100,621
Benefit paid from defined benefit plans		(13,197,040)	(12,902,730)	(13,215,267)	(13,005,447)
Interest received		265,225,898	317,771,463	272,925,184	323,352,205
Interest paid		(231,471,671)	(297,301,377)	(234,842,922)	(300,549,655)
Dividends received		15,357	67,751	17,155	67,751
Net cash from / (used in) operating activities before income tax		98,964,137	410,549,581	96,087,908	410,965,475
Income tax paid	45	(44,551,292)	(18,924,494)	(45,138,853)	(19,294,206)
Net cash from / (used in) operating activities		54,412,845	391,625,087	50,949,055	391,671,269
Cash flows from investing activities					
Net increase in financial investments at amortised cost		(335,099,875)	(595,497,409)	(335,025,197)	(595,638,730)
Net (increase)/ decrease in financial assets measured at fair value through OCI		18,101,520	(974,336)	18,859,371	(1,773,298)
Investment in subsidiary companies		(25,000)	-	-	-
Purchase of property, plant and equipment		(3,252,065)	(5,010,986)	(4,187,206)	(5,325,538)
Purchase of intangible assets		(1,283,266)	(508,908)	(1,318,779)	(544,655)
Proceeds from sale of property, plant and equipment		3,765	17,937	92,183	32,537
Dividends received		969,180	819,240	560,149	384,988
Interest received		245,534,441	204,156,350	246,654,104	206,247,787
Net cash from/ (used in) investing activities		(75,051,300)	(396,998,112)	(74,365,375)	(396,616,909)

		Bank		Group	
For the year ended 31 December	Note	2025	2024	2025	2024
		LKR '000	LKR '000	LKR '000	LKR '000
Cash flows from financing activities					
Net increase/ (decrease) in other borrowings		(379,019)	(3,577,049)	2,963,010	(4,594,255)
Proceeds from issue of debentures/ capital bonds		35,000,000	15,000,000	36,000,000	15,000,000
Payments on redemption of debentures		(5,000,000)	(9,149,654)	(5,000,000)	(9,149,654)
Dividends paid to equity holder of the Bank		(5,000,000)	-	(5,000,000)	-
Dividends paid to non-controlling interest		-	-	(6,809)	(6,809)
Interest payments on borrowings and debt securities		(12,795,328)	(15,960,233)	(13,300,038)	(16,219,410)
Net cash from/ (used in) financing activities		11,825,653	(13,686,936)	15,656,163	(14,970,128)
Net increase / (decrease) in cash and cash equivalents during the year		(8,812,802)	(19,059,961)	(7,760,157)	(19,915,768)
Cash and cash equivalents at the beginning of the year		114,381,113	133,441,074	115,229,228	135,144,996
Cash and cash equivalents at the end of the year		105,568,311	114,381,113	107,469,071	115,229,228
Analysis of cash and cash equivalents					
Cash and cash equivalents	22	131,083,172	115,422,407	133,811,977	116,281,852
Bank overdrafts	39	(25,514,861)	(1,041,294)	(26,342,906)	(1,052,624)
Cash and cash equivalents at the end of the year		105,568,311	114,381,113	107,469,071	115,229,228

The Notes to the Financial Statements from pages 246 to 403 form an integral part of these Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

1 Reporting Entity

1.1 Corporate information

Bank of Ceylon ("The Bank") is a Government-owned bank domiciled in Sri Lanka, duly incorporated on 1 August 1939 under the Bank of Ceylon Ordinance No. 53 of 1938. It is a licensed commercial bank established under the Banking Act No. 30 of 1988 and amendments thereto. The Registered Office of the Bank is situated at "BOC Square", No. 01, Bank of Ceylon Mawatha, Colombo 01, Sri Lanka. The debentures issued by the Bank are listed on the Colombo Stock Exchange. The staff strength of the Bank as at 31 December 2025 was 8,912 (2024 : 8,214).

1.2 Consolidated financial statements

The Consolidated Financial Statements are prepared as at and for the year ended 31 December 2025 comprise the Bank ("Parent"), its Subsidiaries (together referred to as the "Group" and individually as ("Group Entities") and the Group's interests in its Associate companies. The Financial Statements of the companies in the Group have a common financial year which ends on 31 December, except the Associate companies, Transnational Lanka Records Solutions (Private) Limited and Ceybank Asset Management Limited. The Bank is the ultimate parent of the Group.

1.3 Principal activities

1.3.1 Bank

The principal activities of the Bank providing comprehensive range of financial services including Retail and Development Banking, Corporate and Offshore Banking, SOE Operations, Trade Financing, Project Financing, financing to SME Sectors, Islamic Banking, Treasury Operations, International Banking, Strategic Investment activities, managing Overseas Operations and other related banking services.

1.3.2 Subsidiaries

The principal activities of the Subsidiaries of the Bank are as follows:

Name of the Company	Principal Business Activities
Property Development Limited	Own, maintain and manage, develop and sustain the utility and value of the Bank of Ceylon head office building.
Merchant Bank of Sri Lanka & Finance PLC	Leasing, hire purchase, corporate and retail credit facilities, corporate advisory services, capital market operations, margin trading, microfinancing, agricultural credit facilities, real estate, pawning, Islamic finance and accepting deposits.
Bank of Ceylon (UK) Limited	Authorised commercial bank by the Prudential Regulation Authority and regulated by the Financial Conduct Authority in England and Wales, engages in retail and corporate banking, treasury operations, correspondent banking services and trade financing activities.
BOC Property Development & Management (Private) Limited	Renting of office space of BOC Merchant Tower in Colombo 03 and Ceybank House in Kandy.
BOC Travels (Private) Limited	Engages in travel related services.
Hotels Colombo (1963) Limited	Provides hotel services.
Ceybank Holiday Homes (Private) Limited	Managing, operating and maintaining of travel rests/ hotels/rest houses/guest houses.
MBSL Insurance Company Limited	Carrying on insurance business, both life and non-life insurance.
BOC IT Solutions (Private) Limited	Providing IT services to BOC.

BOC Management and Support Services (Private) Limited renamed as BOC IT Solutions (Private) Limited with effect from 10 August 2025.

1.3.3 Associates

The principal activities of the Associates of the Bank are as follows:

Name of the Company	Principal Business Activities
Ceybank Asset Management Limited	Management of unit trust funds and other institutional and private portfolios.
Lanka Securities (Private) Limited	Registered stock broker, trading in equity and debt securities, equity debt security brokering and undertaking placement of equity and debt securities.
Transnational Lanka Records Solutions (Private) Limited	Renting buildings and hiring other assets.
Southern Development Financial Company Limited	Not in operation and in the process of liquidation.

Southern Development Financial Company Limited (SDFCL) is not in operation. The Board of Directors of SDFCL has decided to wind-up the company and it is in the process of liquidation.

2 Directors' responsibility for financial statements

2.1 Preparation and presentation of the financial statements

The Board of Directors is responsible for the preparation and presentation of the Financial Statements of the Bank and its Subsidiaries and Associates in compliance with the requirements of the Bank of Ceylon Ordinance No. 53 of 1938 and its amendments, Banking Act No. 30 of 1988 and its amendments thereto and Sri Lanka Accounting Standards (SLFRSs and LKASs). These Financial Statements comprise;

- Statement of Profit or Loss
- Statement of Comprehensive Income
- Statement of Financial Position
- Statement of Changes in Equity
- Statement of Cash Flows
- Notes to the Financial Statements

2.2 Approval of financial statements

The Financial Statements for the year ended 31 December 2025 were authorised for issue on 24 February 2026 by the Board of Directors.

3 Basis of preparation

3.1 Statement of compliance

The Consolidated Financial Statements of the Group and the separate Financial Statements of the Bank have been prepared in accordance with Sri Lanka Accounting Standards comprising Sri Lanka Financial Reporting Standards (SLFRSs) and Sri Lanka Accounting Standards (LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka (together referred to as SLFRSs in these Financial Statements).

The preparation and presentation of these Financial Statements are in compliance with the requirements of the Bank of Ceylon Ordinance No. 53 of 1938 and its amendments, the Banking Act No. 30 of 1988 and its amendments, the Companies Act No. 07 of 2007 and its amendments and regulatory guidelines issued by the Central Bank of Sri Lanka (CBSL). The Group has prepared Financial Statements which comply with SLFRSs applicable for the year ended 31 December 2025, together with the comparative year data as at and for the year ended 31 December 2024, as described in the accounting policies.

The formats used in the preparation and presentation of the Financial Statements and the disclosures made therein also comply with the specified formats prescribed by the CBSL in the circular No. 05 of 2024 on "Publication of Annual and Quarterly Financial Statements and Other Disclosures by Licensed Banks".

3.2 Basis of measurement

The Financial Statements have been prepared on the basis of historical cost convention and no adjustments have been made for inflationary factors which has been applied on a consistent basis, except for the followings:

- Derivative financial instruments are measured at fair value (Notes 26 and 41)
- Financial assets recognised through profit or loss measured at fair value (Note 27)
- Financial assets measured at fair value through other comprehensive income (Note 30)
- Owner-occupied freehold land and buildings and buildings on leasehold lands are measured at revalued amount less any subsequent accumulated depreciation and impairment losses (Note 34)
- Defined benefit obligations are actuarially valued and recognised at the present value of the defined benefit obligation less total of the fair value of plan assets (Note 48)
- Cash flow hedge reserve, accounted as per the hedge accounting (Note 53)

3.3 Presentation of financial statements

Items in the Statement of Financial Position of the Bank and the Group are grouped by nature of such item and presented broadly in order of their relative liquidity and maturity pattern. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in Note 60 – "Maturity Analysis of Assets and Liabilities".

3.3.1 Functional and presentation currency

Items included in the Financial Statements are measured and presented in Sri Lankan Rupees ("LKR") which is the functional currency of the primary economic environment in which the Bank operates.

3.3.2 Accrual basis of accounting

The Financial Statements, except for information on Statement of Cash Flows have been prepared following the accrual basis of accounting.

3.3.3 Offsetting

Financial assets and financial liabilities are generally reported gross in the Statement of Financial Position. They are only offset and reported net when, in addition to having an unconditional legally enforceable right to offset the recognised amounts without being contingent on a future event, the parties also intend to settle on a net basis in all of the following circumstances:

- The normal course of business.
- The event of default.
- The event of insolvency or bankruptcy of the Bank/Group and/or its counterparties.

Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by any accounting standard or interpretation and as specifically disclosed in the accounting policies of the Group.

NOTES TO THE FINANCIAL STATEMENTS

3.3.4 Comparative information

The comparative information is provided in narrative and descriptive nature, if it is relevant to understand the current period's Financial Statements and reclassified wherever necessary to conform to the current year's presentation.

3.3.5 Materiality and aggregation

In compliance with LKAS 1 – "Presentation of Financial Statements", each material class of similar items are presented separately in the Financial Statements. Items of dissimilar nature or functions are presented separately unless they are immaterial.

3.3.6 Rounding

The amounts in the Financial Statements have been rounded-off to the nearest Rupees thousands, except where otherwise indicated as permitted by the LKAS 1 – "Presentation of Financial Statements".

3.3.7 Statement of cash flows

The Statement of Cash Flows is prepared by using the "Indirect Method" in accordance with the LKAS 7 – "Statement of Cash Flows" whereby the profit is adjusted to derive the cash flows from operating activities. Cash and cash equivalents comprise cash in hand, other short term highly liquid investments with maturity less than seven days from date of acquisition and bank overdrafts.

3.3.8 Use of material accounting judgements, estimates and assumptions

The preparation of the Financial Statements requires Management to exercise judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. The judgements, estimates and assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances and reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and/or in future periods if the revision affects future periods too. In the process of applying the Group's accounting policies, Management has made the following judgements, estimates and assumptions, which have the most significant effect on the amounts recognised in the Financial Statements. The accounting policies which are most sensitive to the use of judgements, estimates and assumptions are specified below.

3.3.8.1 Going concern

The Management has made an assessment on the Group's ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis. Accordingly, the Management satisfied itself that the going concern basis is appropriate.

3.3.8.2 Commitment and contingent liabilities

All discernible risks are accounted for in determining the amount of all known and measurable liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless its considered remote that the Group will be liable to settle the possible obligation.

3.3.8.3 Fair value of financial instruments

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Where the classification of a financial asset or liability results in it being measured at fair value, wherever possible, the fair value is determined by reference to the quoted bid or offer price in the most advantageous active market to which the Group has immediate access. An adjustment for credit risk is also incorporated into the fair value as appropriate. Fair value for a net open position that is a financial liability quoted in an active market is the current offer price, and for a financial asset the bid price, multiplied by the number of units of the instrument held or issued. Where no active market exists for a particular asset or liability, the Group uses a valuation technique that include the use of mathematical models to arrive at the fair value, including the use of transaction prices obtained in recent arm's length transactions, discounted cash flow analysis, option pricing models and other valuation techniques based on market conditions and risks existing at reporting date. In doing so, fair value is estimated using a valuation technique that makes maximum use of observable market inputs and places minimal reliance upon entity-specific inputs. The best evidence of the fair value of a financial instrument at initial recognition is the transaction price (i.e. the fair value of the consideration given or received) unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e. without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets. When such evidence exists, the Group recognises the difference between the transaction price and the fair value in profit or loss on initial recognition (i.e. on day one). The valuations of financial instruments are described comprehensively in Note 63.

3.3.8.4 Impairment charge for loans and advances

The measurement of impairment charge under SLFRS 9- "Financial Instruments" requires judgement by Management in identification and estimation of the amount and timing of future cash flows when determining an impairment charge for loans and advances. Accordingly, the Group reviews its individually significant loans and advances at each reporting date to assess whether an impairment charge should be provided in the Statement of Profit or Loss. In particular, the Management's judgement is required in identification and estimation of the amount and timing of future cash flows when determining the impairment loss. In estimating these cash flows, the Group makes judgements about the borrower's financial position, the net realisable value of collateral and other related factors. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance. A collective impairment provision is established for the groups of homogeneous loans and advances that are not considered individually significant and groups of loans that are individually significant but that were not found to be individually impaired. A collective assessment of impairment takes into account the data from loan portfolio (such as credit quality, levels of arrears, credit utilisation, etc.), concentrations of risk and economic data (including levels of unemployment, inflation, GDP growth rate and exchange rates) and the performance of different individual group. The impairment requirements in SLFRS 9 – "Financial Instruments" are based on an expected credit loss (ECL) model and it is reflected the general pattern of deterioration or improvement, in the credit quality of financial instruments. The Group calculates ECLs either on a collective or an individual basis. The amount of ECLs recognise as a loss allowance or provision depends on the extent of credit deterioration since initial recognition and measured under following bases:

- 12-month ECLs (Stage 1), which apply to all items as long as there is no significant deterioration in credit risk.
- Lifetime ECLs (Stages 2 and 3), which apply when a significant increase in credit risk has occurred on an individual or collective basis.

Further, the Group makes additional judgements and estimates with regard to the following under ECL model.

- The Group's criteria for assessing if there has been a significant increase in credit risk and so impairment for financial assets should be measured on a lifetime ECL basis.
- Development of ECL models, including various formula and the choice of inputs.
- Determination of association between macroeconomic inputs, such as GDP growth, inflation, interest rates, exchange rates, unemployment, status of the industry business, regulatory impact, Government policies and climate impact with the effect on probability of default (PDs), exposure at default (EAD) and loss given default (LGD).
- Selection of forward-looking macroeconomic scenarios and their probability weightings to derive the economic inputs into the ECL model.

The economic scenarios and forward-looking macroeconomic assumptions underpinning the collective provision calculation are outlined in Note 4.4.11.

As per SLFRS 9 – "Financial Instruments", the collective provision for groups of homogeneous loans is established using statistical methods or, a formula approach based on historical loss rate experience, using the statistical analysis of historical data on delinquency to estimate the amount of loss. Management applies judgement to ensure that the estimate of loss arrived at, on the basis of historical information is appropriately adjusted to reflect the economic conditions and portfolio factors as at the reporting date. The loss rates are regularly reviewed against, actual loss experience. It has been the Group's policy to regularly review its model in the context of actual loss experience and adjust when necessary. The accuracy of the provision depends on the model assumptions and parameters used in determining the impairment. Details of impairment losses on loans and advances are given in Notes 14 and 28.

3.3.8.5 Impairment of investment in subsidiaries, other financial assets and non-financial assets

The Group and the Bank follow the guidance of LKAS 36 – "Impairment of Assets" and SLFRS 9 – "Financial Instruments" in determining whether an investment or a financial asset is impaired. Determination and identification of impairment indicators require the Group and the Bank to evaluate duration and extent to which the fair value of an investment for a financial asset is less than its cost and the financial stability of the near term business outlook of the investment or the financial asset, considering the factors such as performance of the sector and industry, technology and operational environmental changes along with future cash flows. This process involves with material judgement in aforesaid areas.

3.3.8.6 Defined benefit obligation

The cost of the defined benefit pension plans and other post- employment benefit plans are determined using an actuarial valuation. An actuarial valuation involves making various assumptions determining the discount rates, expected rates of return on planned

NOTES TO THE FINANCIAL STATEMENTS

assets, future salary increases, mortality rates and future pension increases. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty. In determining the appropriate discount rate, the Group considers the interest rates of Sri Lanka Government LKR Treasury Bonds with maturities corresponding to the expected duration of the Defined Benefit Obligation. The mortality rate is based on publicly available mortality tables. Future salary increases and pension increases are based on inflation rate and salary increase rates of the Group. All assumptions are reviewed at each reporting date and assumptions used in the year are given in Note 48.

3.3.8.7 Fair value of lands and buildings

The freehold lands and buildings and the buildings on leasehold lands of the Group are reflected at fair value less accumulated depreciation. The Group engaged independent valuation specialists to determine fair value of such properties in terms of the SLFRS 13 – "Fair Value Measurement". The details of valuation of freehold lands and buildings and the buildings on leasehold lands are given in Note 34.

3.3.8.8 Useful life of the property, plant and equipment and intangible assets

The Group reviews the residual values, useful lives and methods of depreciation of property, plant and equipment and intangible assets at each reporting date. Judgement of the Management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty. The details of the depreciation methods and rates used for each assets category are given in Note 34.

3.3.8.9 Classification of investment properties

Management is required to use its judgement to determine whether a property qualified as an investment property. A property that is held to earn rentals or for capital appreciation or both and which generates cash flows largely independently of the other assets held by the Group are accounted for as investment properties. On the other hand, properties that are used for operations or for the process of providing services or for administration purposes and which do not directly generate cash flows as stand- alone assets are accounted as property, plant and equipment.

3.3.8.10 Determination of control over investees

Subsidiaries are entities that are controlled by the Bank, control is achieved when the Bank is exposed, or has rights to variable returns from its involvement with the invitee and has the ability to affect the returns of those investees through its power over the investee. The Management applies its judgements to determine the Bank controls over its investees.

3.3.8.11 Taxation

The Group is subject to income tax, value added tax (VAT) and other applicable taxes. A judgement is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exists with respect to the interpretation of the applicable tax laws at the time of preparing these Financial Statements. The details on the applicable tax rates and other information are given under Notes 4.8, 18, and 37. The Group is subject to transfer pricing regulations and it is necessitated using management judgement to determine the impact of transfer pricing regulations. Accordingly, critical judgements and estimates were used in applying the regulations in aspects including but not limited to identifying associated undertakings, estimation of the respective arm's length prices and selection of appropriate pricing mechanism. The current tax charge is subject to such judgements. Differences between estimated income tax charge and actual payable may arise as a result of variances between Management's interpretation and application of tax regulation.

4 Material accounting policies

The material accounting policies applied by the Bank and the Group in preparation of its Financial Statements are included below and have been consistently applied to all periods presented in the Financial Statements of the Group and the Bank, unless otherwise indicated.

4.1 Basis of consolidation

The Group's Financial Statements comprise consolidation of the Financial Statements of the Bank and its Subsidiaries in terms of SLFRS 10 – "Consolidated Financial Statements" and LKAS 27 – "Consolidated and Separate Financial Statements" and the proportionate share of the profit or loss and net assets of its Associates in terms of the LKAS 28 – "Investments in Associates and Joint Ventures". The Bank's Financial Statements comprise the amalgamation of the Financial Statements of the Domestic Banking Unit, the Off-shore Banking Unit and the Overseas Operations of the Bank. The detailed accounting policies pertaining to the consolidation of subsidiaries and associates are given in the Notes 31 and 32.

4.1.1 Business combinations

The Group determines whether a transaction or other event is a business combination by applying the definition in SLFRS 3 – "Business Combinations", which requires that the assets acquired and liabilities assumed constitute a business. Business combinations are accounted for using the acquisition method. As of the acquisition date, the amount of non-controlling interest is measured either at fair value or at the non-controlling interests' proportionate share of the acquirer's identifiable net assets. Acquisition related cost are costs the acquirer incurs to effect a business combination. Those costs include finder's fees, advisory, legal, accounting, valuation, other professional consulting fees, general administrative costs including the cost of maintaining an Internal Acquisition Department and cost of registering and issuing debt and equity securities. Acquisition related costs, other than those associated with the issue of debt or equity securities are expensed in the periods in which the costs are incurred and the services are received. The Group elects on a transaction by transaction basis whether to measure non-controlling interests at its fair value or at its proportionate share of the recognised amount of the identifiable net assets, at the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities that the Group incurs in connection with a business combination are expensed as incurred.

4.1.2 Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related non-controlling interest (NCI) and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost. Further, the Bank's share of components previously recognised in Other Comprehensive Income (OCI) is reclassified to profit or loss or retained earnings as appropriate. Any surplus or deficit arising on the loss of control is recognised in the profit or loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, it is accounted for as an equity-accounted investee or in accordance with the Group's accounting policy for financial instruments depending on the level of influence retained.

4.2 Foreign currency translations

4.2.1 Foreign currency transactions and balances

At the initial recognition, transactions in foreign currency are translated into the functional currency of the operation which is Sri Lankan Rupees (LKR) at the spot exchange rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currency at the reporting date are retranslated into the functional currency at the spot exchange rate at that date and all differences arising on non-trading activities are taken to "Net other operating income" (Note 13) in the Statement of Profit or Loss. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the initial recognition. Non-monetary assets and liabilities denominated in foreign currency that are measured at fair value are retranslated into the functional currency at the spot exchange rate including any exchange gain or loss component at the date on which the fair value is determined. Gain or loss on a non-monetary item including exchange component is recognised in Other Comprehensive Income. Forward exchange contracts are valued at the forward market rates ruling on the reporting date and resulting net unrealised gains or losses are dealt within the Statement of Profit or Loss.

4.2.2 Foreign operations

The results and financial position of foreign operations, whose functional currencies are not Sri Lankan Rupees, are translated into Sri Lankan Rupees as follows:

The assets and liabilities of foreign operations are translated into Sri Lankan Rupees at spot exchange rate as at the reporting date.

The income and expenses of foreign operations are translated at exchange rates prevailing at the dates of the transactions. Foreign currency differences on the translation of foreign operations are recognised in Other Comprehensive Income.

When a foreign operation is disposed off, the relevant amount in the exchange translation reserve is transferred to the profit or loss as part of the profit or loss on disposal in other operating income or other operating expenses.

4.2.3 Hedge accounting

The Bank enters into hedging arrangements with the counterparties in order to mitigate the foreign exchange risk from foreign currency transactions. According to the SLFRS 9 - "Financial Instrument", an entity may designate an item in its entirety or a component of an item as the hedged item in a hedging relationship. A hedging relationship qualifies for hedge accounting only if the hedging relationship consists only of eligible hedging instruments and eligible hedged items.

At the inception of the hedging relationship there is formal designation and documentation of the hedging relationship and the entity's risk management objective and strategy for undertaking the hedge. That documentation shall include identification of the hedging instrument, the hedged item, the nature of the risk being hedged and how the entity will assess whether the hedging relationship meets the hedge effectiveness requirements, including its analysis of the sources of hedge ineffectiveness and how it determines the hedge ratio.

SLFRS 9 – "Financial Instruments" enables hedge accounting for three different designated categories, namely cash flow hedge (designated for a highly probable forecasted transaction, a firm commitment (not recorded on the

NOTES TO THE FINANCIAL STATEMENTS

balance sheet), foreign currency cash flows of a recognised asset or liability, or a forecasted intercompany transaction). Fair value hedge (designated for a firm commitment (not recorded) or foreign currency cash flows of a recognised asset or liability) and net investment hedge (designated for the net investment in a foreign operation). The Bank accounts the similar transactions, under hedge accounting treatment specified in the SLFRS 9 – "Financial Instruments" and were valued using forward exchange rates as of each reporting date of such instruments.

4.3 Classification of financial instruments between debt and equity

Classification of financial instruments between debt and equity depends on following characteristics of such instruments:

- Name or labels given to the instruments
- Presence or absence of a fixed maturity date
- Life of the instrument
- Source of payments
- Right to enforce payments
- Rights to participate in Management
- Risk involved in the instruments
- Volatility of cash flows
- Securities given as collaterals

4.4 Financial assets and financial liabilities

4.4.1 Recognition and derecognition of financial assets and financial liabilities

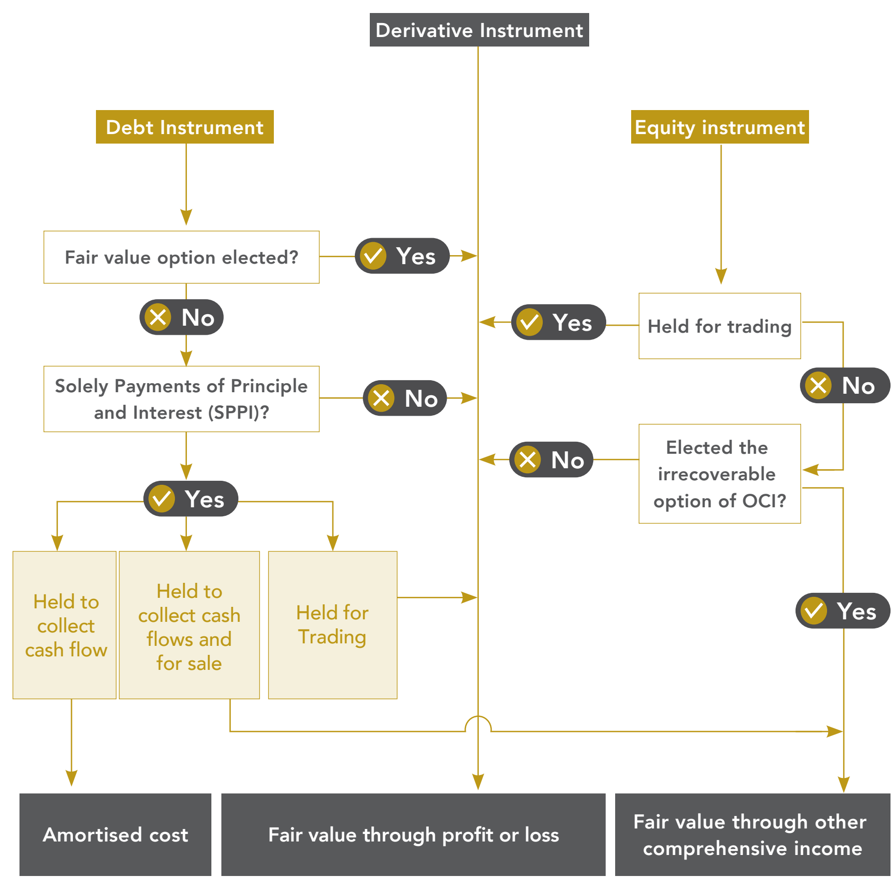
All financial assets and liabilities are initially recognised on the settlement date, i.e. the date that the Group becomes a party to the contractual provisions of the instrument. This includes; "regular way trades". Regular way trade means purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place. Loans and receivables are recognised when cash is advanced (or settled) to the borrowers. Financial assets at fair value through profit or loss are recognised initially at fair value. All other financial assets are recognised initially at fair value plus directly attributable transaction costs.

The Group derecognises a financial asset when the contractual cash flows from the asset expire or it transfers its rights to receive contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership are transferred. Any interest in transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in the Statement of Profit or Loss.

4.4.2 Classification of financial assets and financial liabilities

As per SLFRS 9 – "Financial Instruments", the classification depends on the Group's business model for managing financial assets and the contractual terms of the financial assets' cash flows. The following diagram depicts how the Bank classifies the financial assets.



4.4.2.1 At the inception, the financial assets are classified in one of the following categories

- Financial assets recognised through profit or loss measured at fair value. (Notes 4.4.7 and 27)
- Financial assets at amortised cost
  - Financial assets at amortised cost – loans and advances (Note 28)
  - Financial assets at amortised cost - debt and other instruments (Notes 4.4.8 and 29)
- Financial assets measured at fair value through other comprehensive income (Notes 4.4.9 and 30).

4.4.2.2 At the inception, the financial liabilities are classified in one of the following categories

- Financial liabilities at amortised cost
  - Financial liabilities at amortised cost – due to depositors (Note 42)
  - Financial liabilities at amortised cost – other borrowings debt securities issued and subordinated liabilities (Notes 43, 44 and 49)

4.4.3 Initial measurements of financial assets and financial liabilities

Financial assets and liabilities are initially measured at their fair value plus transaction cost, except in the case of financial assets and liabilities recorded at fair value through profit or loss. Transaction cost in relation to financial assets and liabilities at fair value through profit or loss are dealt with in the Statement of Profit or Loss.

4.4.4 "Day One" profit or loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets, the Group immediately recognises the difference between the transaction price and fair value (a "Day One" profit or loss) in the Statement of Profit or Loss. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Statement of Profit or Loss over the life of the instrument.

4.4.5 Business model assessment

With effect from 1 January 2018, as per SLFRS 9 – "Financial Instrument", the Group classifies all of its financial assets based on the business model and makes an assessment of the objective of a business model in which an asset is held at a portfolio level and not assessed on instrument by – instrument basis because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- The stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether Management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;
- How the performance of the portfolio is evaluated and reported to the Bank's management;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- How managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- The frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Bank's stated objective for managing the financial assets is achieved and how cash flows are realised.

The business model assessment is based on reasonably expected scenarios without taking "worst case" or "stress case" scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Bank's original expectations, the Bank does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

4.4.6 Assessment of whether contractual cash flow characteristics are met the Solely Payments of Principal and Interest (SPPI test)

As a second step of assets classification process, the Group assesses the contractual terms of financial assets to identify whether they meet the SPPI test.

For the purposes of this assessment, "principal" is defined as the fair value of the financial asset on initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

"Interest" is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as profit margin.

In contrast, contractual terms that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the principal amount outstanding. In such cases, the financial asset is required to be measured at fair value through profit or loss.

In assessing whether the contractual cash flows are solely payments of principal and interest on principal amount outstanding, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Group considers:

- Contingent events that would change the amount and timing of cash flows
- Leverage features;
- Prepayment and extension terms;
- Terms that limit the Group's claim to cash flows from specified assets; and
- Features that modify consideration of the time value of money

4.4.7 Financial assets recognised through profit or loss measured at fair value

Financial assets measured at fair value through profit or loss comprise:

- Items held for trading purpose;
- Items specifically designated as fair value through profit or loss on initial recognition; and
- Debt instruments with contractual terms that do not represent solely payments of principal and interest.

Financial assets measured held at fair value through profit or loss are initially recognised at fair value, with transaction costs recognised in the Statement of Profit or Loss as incurred. Subsequently, they are measured at fair value and any gains or losses are recognised in the Statement of Profit or Loss as they arise. Where a financial asset is measured at fair value, a credit valuation adjustment is included to reflect the credit worthiness of the counterparty, representing the movement in fair value attributable to changes in credit risk.

4.4.7.1 Financial assets held for trading purpose

A financial asset is classified as held for trading if it is acquired or incurred principally for the purpose of selling or repurchasing in the near term, or forms part of a portfolio of financial instruments that are managed together and for which there is evidence of short-term profit taking, or it is a derivative not in a qualifying hedge relationship. Trading derivatives and trading securities are classified as held for trading and recognised at fair value in the Statement of Financial Position. Changes in fair value are recognised in "Net gains/(losses) from trading" (Note 10) and "Net fair value gains/(losses) from financial assets at fair value through profit or loss" (Note 11). Interest income from financial assets held for trading is recorded under "Net interest income" (Note 8) while dividend income is recorded in "Net gains/(losses) from trading" (Note 10) when the right to payment has been established.

4.4.7.2 Financial instruments designated and measured at fair value through profit or loss

Upon initial recognition, financial instruments may be designated and measured at fair value through profit or loss. A financial asset may only be designated at fair value through profit or loss if doing so eliminates or significantly reduces measurement or recognition inconsistencies (i.e. eliminates an accounting mismatch) that would otherwise arise from measuring financial assets or liabilities on a different basis. A financial liability may be designated at fair value through profit or loss if it eliminates or significantly reduces an accounting mismatch or:

- If a host contract contains one or more embedded derivatives; or
- If financial assets and liabilities are both managed and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy. Where a financial liability is designated at fair value through profit or loss, the movement in fair value attributable to changes in the Group's own credit quality is calculated by determining the changes in credit spreads above observable market interest rates and is presented separately in other comprehensive income. As of 31 December 2025, there were no any financial liability designated at fair value through profit or loss.

4.4.7.3 Debt instruments with contractual terms that do not represent the solely payments of principal and interest

Financial debt instruments which fail solely payments of principal and interest test will be classified as fair value through profit or loss.

4.4.8 Financial assets at amortised cost-debt and other instruments

Investments in debt instruments are measured at amortised cost where they:

- Have contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and interest on the principal amount outstanding; and
- Are held within a business model whose objective is achieved by holding to collect contractual cash flows.

These debt instruments are initially recognised at fair value plus directly attributable transaction costs and subsequently measured at amortised cost using effective interest rate (EIR). The measurement of credit impairment is based on the three stage expected credit loss model described below in Note 4.4.11 Impairment of financial assets.

4.4.9 Financial assets measured at fair value through other comprehensive income

4.4.9.1 Debt instruments

Investments in debt instruments are measured at fair value through other comprehensive income where they:

- Have contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and interest on the principal amount outstanding; and
- Are held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets.

These debt instruments are initially recognised at fair value plus directly attributable transaction costs and subsequently measured at fair value. Gains and losses arising from changes in fair value are included in Other Comprehensive Income within a separate component of equity. Impairment losses or reversals, interest revenue and foreign exchange gains and losses are recognised in profit or loss. Upon disposal, the cumulative gain or loss previously recognised in other comprehensive income is reclassified from other comprehensive income to profit or loss.

The measurement of credit impairment is based on the three stage expected credit loss model as applied to financial assets at amortised cost. The expected credit loss model is described below in Note 4.4.11 Impairment of financial assets.

4.4.9.2 Equity instruments

Investment in equity instruments that are neither held for trading nor contingent consideration recognised by the Group in a business combination to which SLFRS 3 – "Business Combinations" applies, are measured at fair value through other comprehensive income, where an irrevocable election has been made by management. For portfolios where management does not consider an irrevocable election of adopting fair value through other comprehensive income, by default such investments shall be measured at fair value through profit or loss.

Upon derecognition, the cumulative gain or loss recognised in Other Comprehensive Income are not transferred to profit or loss. However, cumulative gain or loss will be transferred from Other Comprehensive Income reserve to retained earnings within the equity. Dividends on such investments are recognised in "Net other operating income" (Note 13) in the profit or loss.

4.4.10 Reclassification of financial assets other than credit facilities

The Group reclassifies its financial assets when, and only when, the Group changes its business model for managing financial assets. If the Group reclassifies financial assets which were measured at amortised cost, fair value through other comprehensive income or fair value through profit or loss, the Group applies the reclassification prospectively from the reclassification date. The Group does not restate any previously recognised gains, losses (including impairment losses) or interest.

The table below summaries the treatment of gains and losses on reclassification:

Initial Measurement	Measurement after reclassification	Treatment on reclassification
Fair value through profit or loss	Amortised cost	Fair value at the reclassification date becomes its new gross carrying amount. The effective interest rate is calculated on the basis of that amount. For the purpose of applying the impairment requirements, the reclassification date is treated as the date of initial application.
Fair value through profit or loss	Fair value through other comprehensive income	The fair value of the financial asset at the reclassification date becomes its new carrying amount and subsequent changes in the fair value is recognised in other comprehnsive income.
Fair value through other comprehensive income	Amortised cost	The cumulative gain or loss previously recognised in Other Comprehensive Income is removed from equity and adjusted against the fair value of the financial asset at the reclassification date. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.
Fair value through other comprehensive income	Fair value through profit or loss	The fair value of the financial asset at the reclassification date becomes its new carrying amount. The cumulative gain or loss previously recognised in Other Comprehensive Income is reclassified from equity to profit or loss as a reclassification adjustment at the reclassification date.
Amortised cost	Fair value through profit or loss	Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value at the reclassification date is recognised in profit or loss.
Amortised cost	Fair value through other comprehensive income	Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value at the reclassification date is recognised in Other Comprehensive Income. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

4.4.10.1 Upgrading of financial assets other than credit facilities

According to the CBSL Direction No. 14 of 2021, the Bank can upgrade Financial assets to a higher stage in accordance with a policy approved by the Board of Directors. Therefore, the Bank upgrades the Financial assets to a higher stage with the consent of the Chief Risk Officer with the proper rationale for such upgrade.

4.4.11 Impairment of financial assets

The Group applies a three-stage approach in measuring expected credit loss (ECL) for the following categories of financial assets that are not measured at fair value through profit or loss:

- Debt instruments measured at amortised cost and fair value through other comprehensive income;
- Loan commitments; and
- Financial guarantee contracts.

The Group performs an assessment at the end of each reporting period, of whether a financial assets credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial assets. Based on this process financial assets migrate through the following three stages based on the change in credit risk since initial recognition.

4.4.11.1 Stage 1: 12 months ECL

For exposures where there has not been a significant increase in credit risk since initial recognition and that are not credit impaired upon origination, the portion of the lifetime ECL associated with the probability of default events occurring within the next 12 months is recognised. The Bank determines 12 months ECL from customers whom are not significantly credit deteriorated.

4.4.11.2 Stage 2: Lifetime ECL

For exposures where there has been a significant increase in credit risk since initial recognition but are not credit impaired, a lifetime ECL (i.e. reflecting the remaining lifetime of the financial asset) is recognised.

4.4.11.3 Stage 3: Lifetime ECL

Exposures are assessed as credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of that asset have occurred. For exposures that have become credit impaired, a lifetime ECL is recognised and interest revenue is calculated by applying the effective interest rate to the amortised cost (net of provision) rather than the gross carrying amount.

4.4.11.4 Calculation of ECL

The Group calculates ECL based on a three probability weighted scenarios to measure the expected cash shortfalls, discounted at an approximation to the effective interest rate (EIR). A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive. The mechanics of the ECL calculations of the Group are outlined below and the key elements are, as follows:

Probability of default (PD)

PD is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously recognised and is still in the portfolio. The concept of PDs is further explained in Note 28.

Exposure at default (EAD)

EAD is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments. The EAD is further explained in Note 28.

Loss given default (LGD)

LGD is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD. The LGD is further explained in Note 28.

4.4.11.5 Determining the stage for impairment

At each reporting date, the Group assesses whether there has been a significant increase in credit risk for exposures since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The Group considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and also, forward-looking analysis.

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the provision for doubtful debts reverts from lifetime ECL to 12 months ECL. Exposures that have not deteriorated significantly since origination, or where the deterioration remains within the Group's investment grade criteria, or which are 30 days or less than 30 days past due, are considered to have a low credit risk. The impairment provision for these financial assets is based on a 12 months ECL.

The Group assesses whether the credit risk of an exposure has increased significantly on an individual or collective basis. For the purposes of a collective evaluation of impairment, financial instruments are grouped on the basis of shared credit risk characteristics, taking into account of instrument type, credit risk ratings, collateral type, date of initial recognition, remaining term to maturity, industry, geographical location of the borrower and other relevant factors.

4.4.11.6 Impairment calculation for loans and advances

The Bank uses rebuttable presumption in calculating the impairment for loans and advances which is permitted under SLFRS 9 – "Financial Instruments". The loan portfolio is classified into three stages based on the past due days as follows and the level of applicability of 12 months ECL and lifetime ECL depends on the stages. The value and type of security obtained against the credit facilities are not considered when determining the classification status of a credit facility. In cases where a borrower has several current accounts with overdraft limits with the Bank, the aggregate sanctioned limit and the daily outstanding aggregate balance on all such accounts shall be considered for the purpose of classification of overdrafts.

4.4.11.6.1 Performing credit facilities

(a) All the credit facilities classified as Stage 1 under SLFRS 9 – "Financial Instruments" and

(b) All credit facilities identified as significantly increased in credit risk facilities and classified as Stage 2 under SLFRS 9 – "Financial Instruments" (Under-performing credit facilities)

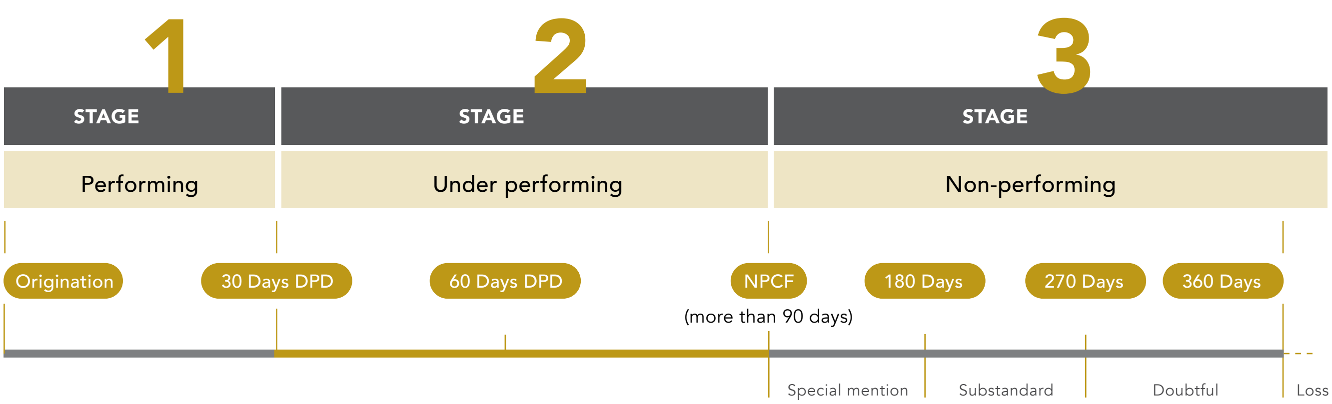
4.4.11.6.2 Non-performing credit facilities (NPCF)

Non-performing credit facilities (NPCF) shall mean all credit facilities where;

(a) Contractual payments of a customer are past due for more than 90 days (the number of days past due shall be calculated starting from the contractual due date of the payment).

(b) Sanctioned limit has remained in excess for more than 90 days.

(c) Any other credit facilities classified as Stage 3 as per SLFRS 9 – "Financial Instruments" (facilities classified as NPCF based on potential risk and impaired assets at origination).



Performing		Non-performing credit facilities (NPCF)
Stage 01	**Stage 02**	**Stage 03**
• 30 days or less than 30 days past due	• 31 to 90 days past due	• more than 90 days past due
• All credit facilities, which are not categorised under Stages 2 or 3	• All restructured loans, which are restructured up to two times, other than credit facilities upgraded under the satisfactory performing period. • Under-performing credit facilities/ exposures as significant credit deterioration identified based on the deterioration factors given under the Note 28 – "Financial assets at amortised cost - Loans and advances".	• All restructured loans, which are restructured more than twice, other than credit facilities/exposures upgraded under the satisfactory performing period. • All rescheduled loans, other than credit facilities/exposures upgraded. • All credit facilities/customers classified as non-performing as per CBSL Directions. • Customers identified with significant credit deterioration as per the deterioration factors given under Note 28 – "Financial assets at amortised cost - Loans and advances".

For the above classification purpose, facility is considered as restructured facility if original repayment terms have been amended due to deterioration in credit quality and "Credit Forbearance Policy" of the Bank should be referred in identifying the restructured facilities. As per the Credit Forbearance Policy of the Bank, following changes/criteria are recognised as changes to the original repayment terms of a credit facility:

- Change of Interest Rate
- Change of Tenor (Maturity)
- Changes to the Grace Period
- Interest Waivers

4.4.11.6.3 Subcategorisation of non-performing credit facilities (NPCF)

NPCF are further categorised into four categories based on the past due days and level of potential risk identified as follows:

Category	Past due days	Potential risk criteria
Special mention	> 90 and < = 180	Exhibits potential weaknesses where, if not corrected in a timely manner, may adversely affect repayment ability of the customer in future.
Substandard	> 180 and < = 270	Exhibits definable weaknesses, either in respect of the business, cash flow or financial position of the customer that may jeopardise repayment on existing terms and uncertainty on the repayment.
Doubtful	> 270 and < = 360	Exhibit a high risk or partial default or where full collection is improbable and there is a high risk of default.
Loss	> 360	Deemed to be uncollectable or are almost certain repayment will not be done and all other NPCF which are not included under above categories.

4.4.11.7 Upgrading of credit facilities

Upgrading of credit facilities among the stages will be done based on the level of improvement in credit deterioration at the later assessment dates comparing to the initial point.

The Bank will upgrade the credit facilities in accordance with the guidelines provided under the Credit Risk Management Policy pertaining to the upgrading of credit facilities.

4.5 Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Bank estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's fair value less costs to sell or its value in use. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing the value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly-traded subsidiaries or other valuable fair value indicators.

4.6 Fiduciary services

The Group provides fiduciary services to third parties that result in holding of the assets on behalf of its customers. Assets held in fiduciary capacity are not recognised in the Financial Statements, as the Group is not the beneficial owner or does not control such assets.

4.7 Provisions

A provision is recognised as a result of a past event, when the Group has a present (legal or constructive) obligation that can be estimated reliably and it is probable that an outflow of economic benefits will be required to settle the obligation. The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is determined based on the present value of those cash flows. A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision is measured as the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract.

4.8 Income tax expense and other taxes GRI 207-1, 2

4.8.1 Income tax expense

Income tax expense comprises current and deferred tax. More details are given in Note 18.

4.8.2 Value added tax (VAT) on financial services

The base for value added tax computation is arrived by aggregating the accounting profit before income tax and emoluments of employees which is adjusted for the depreciation computed on prescribed rates. During the year, the Group's total value addition was subjected to 18% (2024 - 18%) as per the Value Added Tax Act, No. 14 of 2002 and amendments thereto. Also the Group is following value attributable method to compute VAT on financial services.

As per value added (Amendment) Act, No. 04 of 2025, Simplified Value Added Tax (SVAT) scheme was abolished with effect from 1 October 2025 and a Risk Based Refund Scheme (RBRS) was introduced by Inland Revenue Department of Sri Lanka (IRD). Accordingly, the customers previously registered under the SVAT scheme are treated as standard VAT registered persons and is being charged at the rate of 18%.

4.8.3 Crop insurance levy (CIL)

As per the provisions of the Finance Act, No. 12 of 2013, the CIL was introduced with effect from 1 April 2013 and is payable 1% of the profit after tax to the National Insurance Trust Fund Board.

4.8.4 Social security contribution levy (SSCL)

In terms of the Social Security Contribution Levy Act, No. 25 of 2022, the Bank is liable for Social Security Contribution Levy on financial services with effect from 1 October 2022 on the value addition attributable to financial services at the rate of 2.5%. Further, SSCL on non-financial services are made liable on the turnover at the rate of 2.5%.

In accordance with the provisions of the Social Security Contribution Levy (Amendment) Act No. 24 of 2025, financial services of any person who carries on the business of providing financial services in Sri Lanka which are subject to Value Added Tax under Chapter IIIA of the Value Added Tax Act, No. 14 of 2002 on the supply of such financial services at the rate of 20.5% is exempted from SSCL with effect from formal amendments to the Value Added Tax Act, No. 14 of 2002.

4.8.5 Advance Income Tax (AIT) on dividends distributed by the Bank, Subsidiaries and Associates

AIT on dividends distributed by the Bank

The Bank distributes dividend to its sole shareholder, the Government of Sri Lanka. As per the third schedule of Inland Revenue Act, No 24 of 2017 and amendments thereto, amounts derived by the Government of Sri Lanka is exempted from income tax. Accordingly, no AIT is deducted on dividend payments made to the Government of Sri Lanka.

AIT on dividends distributed by the subsidiaries and associates

As per the Inland Revenue Act, No. 24 of 2017 and amendments thereto, dividend distribution from subsidiaries and associate companies are liable for AIT at the rate of 15% (other than dividend paid out of dividend received) and it is a final tax for the bank.

5 Insurance business

5.1 Reinsurance

The Group cedes insurance risk in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract. Reinsurance assets are reviewed for impairment at each reporting date or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the Statement of Profit or Loss. Premiums and claims are presented on a gross basis for reinsurance. Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expire or when the contract is transferred to another party.

5.2 Insurance receivables

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Profit or Loss.

5.3 Deferred expenses

5.3.1 Deferred acquisition costs (DAC)

The costs of acquiring new businesses including commission, underwriting, marketing and policy issue expenses which vary with and directly related to production of new businesses and/or investment contracts with discretionary participation features (DPF), are deferred to the extent that these costs are recoverable out of future premiums. All other acquisition costs are recognised as an expense when incurred. Subsequent to initial recognition, DAC for general insurance is amortised over the period on the basis unearned premium is amortised. The reinsurances' share of deferred acquisition cost is amortised in the same manner as the underlying assets amortisation is recorded in the Statement of Profit or Loss. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the assets are accounted for by changing the amortisation period and are treated as a change in an accounting estimate. DAC are derecognised when the related contracts are either expired or cancelled.

5.4 Reinsurance commissions

Commissions receivable on outwards reinsurance contracts are deferred and amortised over the period of reinsurance.

5.5 Investment contract liabilities

Investment contracts are classified between contracts with and without DPF. The accounting policies for investment contract liabilities with DPF are the same as those for life insurance contract liabilities. Investment contract liabilities without DPF are recognised when contracts are entered into and premiums are charged. These liabilities are initially recognised at fair value being the transaction price excluding any transaction costs directly attributable to the issue of the contract. Subsequent to initial recognition, investment contract liabilities are measured at fair value through profit or loss. Deposits and withdrawals are recorded directly as an adjustment to the liability in the Statement of Financial Position. Fair value adjustments are performed at each reporting date and are recognised in the Statement of Profit or Loss. Fair value is determined through the use of prospective discounted cash flow techniques. For unitised contracts, fair value is calculated as the number of units allocated to the policyholder in each unit linked fund multiplied by the unit price of those funds at the reporting date. The fund assets and fund liabilities used to determine the unit prices at the reporting date are valued on a basis consistent with their measurement basis in the Statement of Financial Position adjusted to take account of the effect on the liabilities of the deferred tax on unrealised gains on assets in the fund. Non-utilised contracts are subsequently carried at fair value, which is determined by using valuation techniques such as discounted cash flows and stochastic modelling. Models are validated, calibrated and periodically reviewed by an independent qualified person.

The liability is derecognised when the contract expires, is discharged or is cancelled. For a contract that can be cancelled by the policyholder, the fair value cannot be less than the surrender value. When contracts contain both a financial risk component and a significant insurance risk component and the cash flows from the two components are distinct and can be measured reliably, the underlying amounts are unbundled.

Any premiums relating to the insurance risk component are accounted for on the same bases as insurance.

5.6 Discretionary participation features (DPF)

A DPF is a contractual right that gives holders of these contracts the right to receive as a supplement to guaranteed benefits, significant additional benefits which are based on the performance of the assets held within the DPF portfolio. Under the terms of the contract, surpluses in the DPF funds can be distributed to policyholders and shareholders on a 90/10 basis. The Group has the discretion over the amount and timing of the distribution of these surpluses to policyholders. All DPF liabilities including unallocated surpluses, both guaranteed and discretionary, at annually are held within insurance or investment contract liabilities as appropriate.

5.7 Unearned premium reserve

Unearned premium reserve represents the portion of the premium written in the year but relating to the unexpired term of coverage. Unearned premiums are calculated on the 1/24th basis.

6 New accounting standards issued but not effective as at the reporting date

The following Sri Lanka Accounting Standards were issued by the Institute of Chartered Accountants of Sri Lanka which is effective for the annual periods beginning on or after 1 January 2026. Accordingly, these accounting standards have not been applied in the preparation of the Financial Statements for the year ended 31 December 2025. We have identified following Standard where this applies to the Group and further details are set out below:

6.1 SLFRS 17 – "Insurance contracts"

SLFRS 17 – "Insurance Contracts" establishes principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the standard. The objective of SLFRS 17 –"Insurance Contracts" is to ensure that an entity provides relevant information that faithfully represents those contracts. This information gives a basis for users of Financial Statements to assess the effect that insurance contracts have on the entity's financial position, financial performance and cash flows.

SLFRS 17 – "Insurance Contracts" is effective for annual periods beginning on or after 1 January 2026.

The Group is assessing the potential impact on its Financial Statements resulting from the application of SLFRS 17 – "Insurance Contracts".

6.2 SLFRS 18 – "Presentation and Disclosure in Financial Statements"

SLFRS 18 – "Presentation and Disclosure in Financial Statements" replaces LKAS 1- "Presentation of Financial Statements". The standard is effective for annual reporting periods beginning on or after 1 January 2027, with earlier application permitted.

SLFRS 18- "Presentation and Disclosures in Financial Statements" introduces significant changes to the presentation and disclosure requirements in the financial statements, particularly in respect of:

- Classification of income and expenses into defined categories in the statement of profit or loss (operating, investing and financing);
- Mandatory presentation of defined subtotals, including operating profit;
- Enhanced requirements for management-defined performance measures (MPMs);
- Improved aggregation and disaggregation principles; and
- Additional guidance on the statement of cash flows and grouping of information.

The Group is currently assessing the impact of SLFRS 18- "Presentation and Disclosures in Financial Statements" on its financial statements. The most significant changes are expected to relate to:

- The reclassification of certain income and expense items within the statement of profit or loss to comply with the new categories prescribed by SLFRS 18-"Presentation and Disclosures in Financial Statements"
- Presentation of new mandatory subtotals;
- Additional disclosures relating to management-defined performance measures, where applicable.

The adoption of SLFRS 18- "Presentation and Disclosures in Financial Statements" is not expected to have an impact on the recognition or measurement of assets and liabilities, but will result in changes to presentation and disclosures.

6.3 Amendments to SLFRS 9 - "Financial Instruments" and SLFRS 7- "Financial Instruments: Disclosures"

The amendments introduce an accounting policy option that allows the derecognition of financial liabilities settled through electronic payments systems prior to the settlement date, subject to specific conditions.

They also clarify the assessment of contractual cash flows for financial assets with ESG related and similar features, define what constitutes 'non-recourse feature' and outline the characteristics of contractually linked instruments.

Additionally, new disclosure requirements have been introduced for financial instruments with contingent features, along with enhanced disclosures for equity instruments classified at fair value through other comprehensive income.

These amendments are effective for annual reporting periods beginning on or after 1 January 2026 and no material impact on the Bank's /Group's Financial Statements.

6.4 SLFRS 19 – "Subsidiaries without Public Accountability Disclosures"

SLFRS 19- "Subsidiaries without Public Accountability Disclosures" permits eligible subsidiaries to apply reduced disclosure requirements when applying SLFRS. The standard is effective for annual periods beginning on or after 1 January 2027. No impact on the Bank's/ Group's Financial Statements. However, eligible subsidiaries can apply the standard in their standalone financial statements.

NOTES TO THE FINANCIAL STATEMENTS

7 Total income

Accounting policy

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Bank/ Group and the revenue can be reliably measured.

		Bank		Group	
For the year ended 31 December	Note	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Interest income	8.1	496,158,958	461,113,949	504,977,909	468,786,127
Fee and commission income	9.1	35,697,977	30,415,561	36,255,289	30,847,506
Net gains/ (losses) from trading	10	5,810,710	3,433,734	5,855,505	3,473,065
Net fair value gains/ (losses) from financial assets at fair value through profit or loss	11	1,581,766	1,507,537	998,484	1,714,133
Net gains/ (losses) from derecognition of financial assets	12	1,741,194	(3,598,692)	2,526,648	(2,892,497)
Net other operating income	13	7,632,808	(7,467,042)	8,060,752	(7,006,387)
Total income		548,623,413	485,405,047	558,674,587	494,921,947

8 Net interest income

Accounting policy

Interest Income and Interest expense are recognised in the Statement of Profit or Loss using the Effective Interest Rate (EIR).

Interest Income and Interest expense presented in the Statement of Profit or Loss include interest on;

- Financial assets and financial liabilities measured at Amortised Cost (AC)
- Financial assets recognised through Profit or Loss - Measured at Fair Value (FVTPL)
- Financial assets measured at Fair Value through Other Comprehensive Income (FVOCI)

Effective Interest Rate (EIR)

The 'EIR' is the rate that exactly discounts the estimated future cash payments and receipts throughout the expected life of the financial asset or financial liability (or, where appropriate, a shorter period) to the carrying amount of the financial asset or financial liability. When calculating the EIR, the Group estimates future cash flows, considering all contractual terms of the financial instruments.

The calculation of the EIR includes any discount or premium on acquisition of financial instrument, transaction costs and fees paid or received that are an integral part of the EIR. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

For impaired financial assets, adjusted EIR is calculated using net amortised cost and if the financial assets cure and no longer credit impaired, the bank reverts to calculating interest income on gross basis.

The expected cashflows on financial asset are revised for reasons other than credit risk, the adjustment is made to carrying value of the assets in statement of financial position with an adjustment to interest income or similar income in the statement of profit or loss.

8.1 Interest income

	Bank		Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Cash and cash equivalents	5,078,655	3,364,183	5,078,655	3,364,183
Placements with banks	2,795,195	4,095,404	2,885,931	4,435,574
Securities purchased under resale agreements	3,575,702	2,243,462	3,481,708	2,150,336
Financial assets recognised through profit or loss measured at fair value	1,719,754	1,914,923	1,722,241	1,917,552
Financial assets at amortised cost				
loans and advances	242,979,456	251,400,593	250,682,002	256,731,662
debt and other instruments	237,078,376	194,714,182	238,180,415	196,777,645
Financial assets measured at fair value through OCI	2,931,820	3,381,202	2,946,957	3,409,175
Total interest income	496,158,958	461,113,949	504,977,909	468,786,127

Interest income on loans and advances includes interest on credit impaired loans and advances amounting to LKR 3,661.7 million for the year 2025 (2024 : LKR 2,855.9 million).

8.2 Interest expenses

	Bank		Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Due to banks	67,325	159,496	80,410	165,403
Securities sold under repurchase agreements	13,880,177	9,536,232	13,786,183	9,443,106
Financial liabilities at amortised cost				
due to depositors	260,608,444	272,025,052	264,060,604	275,360,550
other borrowings	4,214,408	2,533,456	4,788,118	2,818,388
Subordinated liabilities	10,452,183	9,307,253	10,419,390	9,270,880
Total interest expenses	289,222,537	293,561,489	293,134,705	297,058,327
Net interest income	206,936,421	167,552,460	211,843,204	171,727,800

8.3 Net interest income from Sri Lanka Government Securities

	Bank		Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Interest income	244,568,302	201,730,942	244,723,333	201,779,444
Less : Interest expenses	13,880,177	9,536,232	13,786,183	9,443,106
Net interest income from Sri Lanka Government Securities	230,688,125	192,194,710	230,937,150	192,336,338

9 Net fee and commission income

Accounting policy

Fee and commission income comprises with the fee and commission earned by the Group, providing diverse range of services. Those can be divided into following two main categories.

(i) **Fee and commission income earned from services that are provided over a certain period of time;**

Fees earned from the provision of services over a period of time are accrued over that period. These fees include commission income and private wealth and asset management fees, custody and other management and advisory fees.

(ii) **Fee and commission income from providing transaction services and earned on the execution of a specific act;**

Fees and commission arising from negotiating or participating in the negotiation of a transaction for a third party, such as the arrangement/ participation or negotiation of the acquisition of shares or other securities, or the purchase or sale of businesses, are recognised on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognised after fulfilling the corresponding criteria.

Fees and commission expenses relating to transactions are expensed as the services are received and are recognised on an accrual basis.

9.1 Fee and commission income

	Bank		Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Trade services	3,077,063	3,204,363	3,077,063	3,204,363
Debit and credit cards	17,199,290	14,565,617	17,200,477	14,567,504
Travel and remittances services	3,065,675	2,924,881	3,065,675	2,924,881
Custodial services	151,486	135,458	151,486	135,458
Retail banking services	8,868,013	6,822,701	9,166,119	6,991,428
Guarantees and related services	1,572,019	1,647,426	1,573,222	1,647,855
Other financial services	1,764,431	1,115,115	2,021,247	1,376,017
Total fee and commission income	35,697,977	30,415,561	36,255,289	30,847,506

9.2 Fee and commission expenses

	Bank		Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Debit and credit cards	11,632,575	8,923,346	11,633,106	8,924,300
Travel and remittances services	330,379	289,236	330,379	289,236
Retail banking services	541,528	477,139	541,528	477,139
Guarantees and related services	36,174	27,689	37,068	28,260
Other financial services	60,213	85,124	147,303	126,931
Total fee and commission expenses	12,600,869	9,802,534	12,689,384	9,845,866
Net fee and commission income	23,097,108	20,613,027	23,565,905	21,001,640

10 Net gains/ (losses) from trading

Accounting policy

Net gains/ (losses) from trading comprises foreign exchange gains or losses arising from trading activities, gains/ (losses) arising from changes in fair value of derivative financial instruments, dividend income from trading equities.

Dividend income is recognised when the Group's right to receive the dividend is established.

	Bank		Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Foreign exchange				
From banks	-	-	42,997	39,331
From customers and others	5,795,353	3,365,983	5,795,353	3,365,983
Equities				
Dividend income	15,357	67,751	17,155	67,751
Net gains/ (losses) from trading	5,810,710	3,433,734	5,855,505	3,473,065

11 Net fair value gains/ (losses) from financial assets at fair value through profit or loss

Accounting policy

Net gains/ (losses) on financial assets at fair value through profit or loss includes unrealised gains or losses from investment in equities and debt instruments classified at fair value through profit or loss due to changes in fair value of such instruments.

	Bank		Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Gains/ (losses) on marked to market valuation of				
Fixed income securities	(72,826)	(23,745)	(631,136)	29,862
Equities	234,053	696,513	210,607	847,547
Unit trust	1,420,539	834,769	1,419,013	836,724
Net gains/ (losses) on financial assets at fair value through profit or loss	1,581,766	1,507,537	998,484	1,714,133

12 Net gains/ (losses) from derecognition of financial assets

Accounting policy

Net gains/ (losses) from derecognition of financial assets include profit or loss on sale of debt instruments classified as fair value through profit or loss, amortised cost and fair value through other comprehensive income and profit or loss on sale of equity instrument classified as fair value through profit or loss and haircut loss of restructuring of Sri Lanka International Sovereign Bonds (SLISBs).

	Bank		Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Recognised at:				
Fair value through profit or loss	486,521	160,152	537,434	178,227
Amortised cost	-	(4,999,545)	3,164	(5,087,161)
Fair value through other comprehensive income	1,254,673	1,240,701	1,986,050	2,016,437
Net gains/ (losses) from derecognition of financial assets	1,741,194	(3,598,692)	2,526,648	(2,892,497)

13 Net other operating income

Accounting policy

Dividend income

Dividend income is recognised when the Bank's right to receive the dividend is established.

Gains/ (losses) from disposal of non-financial assets

Net gains/ (losses) arising from the disposal of property, plant and equipment and other non current assets including investments in subsidiaries and associates are accounted for in the Statement of Profit or Loss after deducting the carrying amount of such assets and the related selling expenses from the proceeds on disposal.

Foreign exchange income

Foreign currency positions are revalued at each reporting date. Gains/ (losses) arising from changes in fair value are included in the Statement of Profit or Loss in the period in which they arise.

Rental income

Rental income is recognised on an accrual basis. This includes rent recovered from the Bank's premises and safety lockers etc.

Gross insurance premium

Gross insurance premiums on life and investment contracts with Discretionary Participation Features (DPF) are recognised as revenue when receivable from the policyholder. For single premium business, revenue is recognised on the date on which the policy is effective.

Gross general insurance written premiums comprise the total premiums receivable for the whole period of cover provided by contracts entered into during the accounting period and are recognised on the date on which the policy commences.

		Bank		Group	
For the year ended 31 December	Note	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Dividend income from financial assets measured at fair value through OCI		496,694	374,073	560,149	384,988
Dividend income from subsidiaries		417,967	437,113	-	-
Dividend income from associates		54,519	8,054	-	-
Gains / (Losses) on revaluation of foreign exchange		5,398,058	(9,004,991)	5,398,058	(9,004,991)
Gains / (Losses) on sale of property, plant and equipment		1,163	15,669	59,772	24,029
Gains / (Losses) on sale of foreclosed properties		279,650	5,731	279,650	5,731
Rental income		309,845	263,856	252,820	176,030
Service income		-	-	702,762	767,024
Profit from sale of gold bullion		15,998	9,322	15,998	9,322
Miscellaneous income		467,527	423,714	352,301	285,954
Gross insurance premium		-	-	247,855	345,109
Net income from islamic banking	13.1	191,387	417	191,387	417
Net other operating income		7,632,808	(7,467,042)	8,060,752	(7,006,387)

13.1 Net income from islamic banking

For the year ended 31 December	Bank/ Group 2025 LKR '000	Bank/ Group 2024 LKR '000
Income from islamic banking operations	374,218	200,605
Less : Profit paid to investors	182,831	200,188
Net income from islamic banking	191,387	417

14 Impairment charge/ (reversal) for loans and other losses

Accounting policy

The Bank and Group recognise the changes in the impairment provisions for financial assets, which are assessed as per SLFRS 9 - "Financial Instruments". Details are given under "Financial assets at amortised cost - loans and advances" (Note 28). Further, the Bank/ Group recognises an impairment loss when the carrying amount of a non financial asset exceeds the estimated recoverable amount of that asset as per LKAS 36 - "Impairment of Assets".

The table below shows the provision made in the Statement of profit or loss during the year on identified Expected Credit Losses (ECL) on financial assets and impairment made on other assets for the year.

		Bank				Group			
For the year ended 31 December	Note	2025				2025			
		Stage 1 LKR '000	Stage 2 LKR '000	Stage 3 LKR '000	Total LKR '000	Stage 1 LKR '000	Stage 2 LKR '000	Stage 3 LKR '000	Total LKR '000
Cash and cash equivalents	22.2	28,843	-	-	28,843	28,843	-	-	28,843
Placements with banks	24.2	(7,659)	-	-	(7,659)	(7,659)	-	-	(7,659)
Financial assets measured at amortised cost - loans and advances	28.2	12,223,930	6,087,181	2,353,556	20,664,667	12,211,430	6,078,280	2,282,830	20,572,540
Financial assets measured at amortised cost - debt instruments	29.3	1,953,442	(274,421)	-	1,679,021	1,953,442	(274,421)	-	1,679,021
Other losses	38.1	-	(1,255,094)	-	(1,255,094)	-	(1,255,094)	-	(1,255,094)
Impairment charge/ (reversal) for loans and other losses		14,198,556	4,557,666	2,353,556	21,109,778	14,186,056	4,548,765	2,282,830	21,017,651

		Bank				Group			
For the year ended 31 December	Note	2024				2024			
		Stage 1 LKR '000	Stage 2 LKR '000	Stage 3 LKR '000	Total LKR '000	Stage 1 LKR '000	Stage 2 LKR '000	Stage 3 LKR '000	Total LKR '000
Cash and cash equivalents	22.2	418,479	-	-	418,479	418,479	-	-	418,479
Placements with banks	24.2	(22,385)	-	-	(22,385)	(22,385)	-	-	(22,385)
Financial assets measured at amortised cost - loans and advances	28.2	3,385,060	(3,735,358)	12,776,669	12,426,371	3,367,623	(3,746,796)	12,704,510	12,325,337
Financial assets measured at amortised cost - debt instruments	29.3	5,684	(36,199,145)	-	(36,193,461)	5,684	(36,374,221)	-	(36,368,537)
Investment in subsidiary companies	31.2	100,736	-	-	100,736	-	-	-	-
Other losses	38.1	-	2,927,101	-	2,927,101	-	2,927,101		2,927,101
impairment charge/ (reversal) for loans and other losses		3,887,574	(37,007,402)	12,776,669	(20,343,159)	3,769,401	(37,193,916)	12,704,510	(20,720,005)

15 Personnel expenses

Accounting policy

Personnel expenses include staff emoluments, contribution to defined contribution and benefit plans and other related expenses. Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short term cash bonus, if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Employees are eligible for contribution to defined contribution and benefit plans in accordance with the respective internal and external statutes and regulations.

Defined benefit plans are recognised in the Statement of Profit or Loss based on actuarial valuations carried out in accordance with LKAS 19 - “Employee Benefits”.

		Bank		Group	
For the year ended 31 December	Note	2025 LKR ‘000	2024 LKR ‘000	2025 LKR ‘000	2024 LKR ‘000
Staff emoluments		34,977,291	31,318,096	37,150,734	33,336,727
Contributions to defined contribution plans	15.1	2,845,479	2,837,603	3,061,747	3,030,639
Contributions to defined benefit plans	15.2	5,366,710	3,947,180	5,503,144	4,062,394
Other personnel expenses		2,499,958	2,184,192	2,818,578	2,516,860
Total personnel expenses		45,689,438	40,287,071	48,534,203	42,946,620

15.1 Contributions to defined contribution plans

A Defined Contribution Plan (DCP) is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an expense in the Statement of Profit or Loss when they are due in respect of service rendered before the end of the reporting period. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in future payments is available.

Bank of Ceylon Provident Fund

All employees of the Bank are members of the ‘Bank of Ceylon Provident Fund’ to which the Bank contributes 12% of employees’ monthly gross salary while employees contribute 8%. This fund is an approved fund, which is independently administered.

Employees’ Provident Fund

The subsidiaries and their employees (other than Bank of Ceylon and its employees) contribute 12% (15% by Property Development Limited and Hotel Colombo Limited) and 8% (10% by Property Development Limited’s and Hotel Colombo Limited’s employees) respectively on monthly gross salary of each employee to Employees’ Provident Fund, in terms of the Employees’ Provident Fund Act No. 15 of 1958 and subsequent amendments thereto. The respective fund is managed by the Central Bank of Sri Lanka.

Employees’ Trust Fund

All employees of the Bank and its subsidiaries are members of the Employees’ Trust Fund to which the Bank and the Group contributes 3% of the employee’s monthly gross salary, in terms of Employees’ Trust Fund Act No.46 of 1980.

	Bank		Group	
For the year ended 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Employers' contribution to:				
Bank of Ceylon/Employees' Provident Fund	2,281,376	2,274,615	2,455,358	2,433,793
Employees' Trust Fund	564,103	562,988	606,389	596,846
Total contributions to defined contribution plans	2,845,479	2,837,603	3,061,747	3,030,639

15.2 Contributions to defined benefit plans

A Defined Benefit Plan (DBP) is a post-employment benefit plan other than a Defined Contribution Plan (DCP). The Group's net obligation in respect of DBP is calculated separately for each plan by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods and discounting that benefit to determine its present value and then deducting the fair value of any plan assets. The discount rate is the yield at the reporting date on long-term LKR treasury bond rates that have maturity dates approximating the terms of the Group's obligations. The calculation is performed by a qualified Actuary using the "Projected Unit Credit method".

The Group recognises all actuarial gains and losses arising from DBP in the OCI and the expenses related to DBP under personnel expenses in the Statement of Profit or Loss. Details of defined benefit plans are given in "Employee retirement benefit plans" (Note 48).

		Bank		Group	
For the year ended 31 December	Note	2025	2024	2025	2024
		LKR '000	LKR '000	LKR '000	LKR '000
Net expenses recognised in the profit or loss					
Bank of Ceylon Pension Trust Fund	48.1.1	6,433,080	5,628,990	6,433,080	5,628,990
Bank of Ceylon Widows'/ Widowers' and Orphans' Pension Fund	48.2.1	30,890	(1,166,660)	30,890	(1,166,660)
Terminal gratuity	48.3	233,630	174,160	354,940	274,835
Bank of Ceylon Pension Fund - 2014	48.4.1	(1,644,070)	(871,480)	(1,644,070)	(871,480)
Provision for encashment of medical leave	48.5	313,180	182,170	313,180	182,170
Pension fund - Bank of Ceylon (UK) Limited		-	-	15,124	14,539
Total contributions to defined benefit plans		5,366,710	3,947,180	5,503,144	4,062,394

16 Depreciation and amortisation expenses

Accounting policy

The Group provides depreciation from the date the assets are available for use up to the point the assets can be used for economic activities. Depreciation of the assets ceases at the point of the date that the asset is classified held for sale or the date that the asset is derecognised. Depreciation does not cease when the asset becomes idle or is retired from active use unless asset is fully depreciated.

The Group amortises intangible assets to allocate their cost over their estimated useful economic lives, commencing from the date the assets are available for use.

		Bank		Group	
For the year ended 31 December	Note	2025	2024	2025	2024
		LKR '000	LKR '000	LKR '000	LKR '000
Depreciation of investment properties	33	-	-	-	92,446
Depreciation of property, plant and equipment	34	2,636,765	2,130,103	3,236,781	2,609,870
Amortisation of right of use assets/ leasehold properties	35	1,743,972	1,553,120	814,844	1,048,365
Amortisation of intangible assets	36	642,179	511,704	680,869	557,372
Total depreciation and amortisation expenses		5,022,916	4,194,927	4,732,494	4,308,053

17 Other expenses

Accounting policy

Other expenses have been recognised in the Statement of Profit or Loss as they are incurred in the period to which they relate. All expenditure incurred in the operation of the business and in maintaining the capital assets in a state of efficiency has been charged to revenue in arriving at the Group's profit for the year. Provisions in respect of other expenses are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

Deposit insurance premium

As per the Sri Lanka Deposit Insurance and Liquidity Support Scheme introduced under the Banking Act Direction No.06 of 2010, the Group is required to make quarterly payments of 0.1% or 0.125% on the eligible deposit liabilities, from 1 October 2010. The premium rate depends on the Capital Adequacy Ratio (CAR) of the immediate preceding Audited Financial Statements.

Reinsurance premium, claims and other benefits

Gross benefits and claims for life insurance contracts and for investment contracts with Discretionary Participation Features (DPF) include the cost of all claims arising during the year including internal and external claims handling costs that are directly related to the processing and settlement of claims and policyholder bonuses declared on DPF contracts, as well as changes in the gross valuation of insurance and investment contract liabilities with DPF. Death claims and surrenders are recorded on the basis of notifications received. Maturities and annuity payments are recorded when due. Interim payments and surrenders are accounted at the time of settlement.

General insurance include all claims occurring during the year, whether reported or not, related internal and external claims handling costs that are directly related to the processing and settlement of claims, a reduction for the value of salvage and other recoveries, and any adjustments to claims outstanding from previous years.

Claims expenses and liabilities for outstanding claims are recognised in respect of direct and inward reinsurance business. The liability covers claims reported but not yet paid, Incurred But Not Reported (IBNR) claims and the anticipated direct and indirect costs of settling those claims. Claims outstanding are assessed by review of individual claim files and estimating changes in the ultimate cost of settling claims. The provision in respect of IBNR is actuarially valued on an annual basis to ensure a more realistic estimation of the future liability based on past experience and trends.

While the Directors consider that the provision for claims is fairly stated on the basis of information currently available, the ultimate liability will vary as a result of subsequent information and events. This may result in adjustment to the amounts provided. Such amounts are reflected in the Financial Statements for that period. The methods used and the estimates made are reviewed regularly.

Reinsurance claims are recognised when the related gross insurance claim is recognised according to the terms of the relevant contract.

	Bank		Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Directors' emoluments	4,975	4,502	20,736	13,846
Auditors' remuneration				
Audit fees	49,650	21,994	112,242	80,356
Audit and assurance related fees and expenses	6,573	1,555	6,573	1,555
Non-audit fees	15,880	7,803	16,235	8,452
Deposit insurance premium	3,290,128	3,237,606	3,334,085	3,275,897
Professional and legal expenses	315,227	279,499	408,378	415,011
Fixed assets maintenance expenses	7,204,886	8,784,172	7,605,674	8,614,316
Reinsurance premium, claims and other benefits	-	-	445,349	270,706
Office administration and establishment expenses	11,382,198	10,265,497	12,549,269	11,877,762
Total other expenses	22,269,517	22,602,628	24,498,541	24,557,901

18 Taxes

GRI 207-1, 2, 4

18.1 Taxes on financial services

Accounting policy

Taxes on financial services include Value Added Tax (VAT) and Social Security Contribution Levy (SSCL) calculated based on the value addition made on financial services.

	Bank		Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Value added tax	27,993,418	24,932,941	28,349,923	25,277,395
Social security contribution levy	3,887,986	3,462,348	3,940,091	3,512,748
Total taxes on financial services	31,881,404	28,395,289	32,290,014	28,790,143

18.2 Income tax expense/ (reversal)

Accounting policy

Current tax expense and deferred tax expense are recognised in the Statement of Profit or Loss except to the extent that it relates to items recognised directly in equity or in Other Comprehensive Income (OCI).

Current taxation

Current tax expense is the expected tax payable or receivable on the taxable income or loss for the year using tax rates enacted or substantively enacted at the reporting date and any adjustment to tax payable in respect of previous years. The amount of current tax receivable or payable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes if any.

Accordingly, provision for taxation is made on the basis of the accounting profit for the year, as adjusted for taxation purposes, in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017, effective from 1 April 2018 and subsequent amendments thereto. As required by the LKAS 12 on "Income Taxes", the effective tax rates and reconciliation between the profit before tax and tax expense is given in Note 18.2.2.

Provision for taxation on the overseas operations is made on the basis of the accounting profit for the year as adjusted for taxation purposes in accordance with the provisions of the relevant laws and regulations in those countries using the tax rates enacted or substantively enacted as at the reporting date.

Deferred taxation

Reconciliation of Deferred tax assets and liabilities on temporary differences is given on Note 37.

18.2.1 Components of income tax expense

		Bank		Group	
For the year ended 31 December	Note	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Current tax expense					
Income tax on current year profit		46,065,423	36,954,896	46,802,479	37,598,380
Adjustments in respect of prior years		6,448,594	(902,092)	6,448,594	(902,092)
Deferred tax expense					
Charge/ (reversal) of deferred tax expense	37	(7,693,994)	6,464,525	(7,788,581)	6,463,702
Total income tax expense for the year		44,820,023	42,517,329	45,462,492	43,159,990

18.2.2 Reconciliation of accounting profit and income tax expense

		Bank		Group	
For the year ended 31 December	Note	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Accounting profit before income tax		120,826,954	106,904,268	121,933,750	108,221,467
Add : Dividend income from subsidiaries and associates		-	-	472,486	445,167
		120,826,954	106,904,268	122,406,236	108,666,634
Add : Disallowable expenses		65,786,763	36,108,781	66,955,211	36,639,568
		186,613,717	143,013,049	189,361,447	145,306,202
Less: Allowable expenses		25,203,678	13,801,023	25,494,557	13,949,228
Less: Tax exempt income		2,033,959	7,115,756	2,033,959	7,115,756
Taxable income		159,376,080	122,096,270	161,832,931	124,241,218
Taxable Income at the rate 30%		147,726,742	122,096,270	150,183,593	124,241,218
Taxable Income at the rate 15%*		11,649,338	-	11,649,338	-
Current Tax at the rate of 30%		44,318,022	36,628,881	45,055,078	37,272,365
Current Tax at the rate of 15%		1,747,401	-	1,747,401	-
Effect of different tax rates in other countries		-	326,015	-	326,015
Adjustment in respect of prior years		6,448,594	(902,092)	6,448,594	(902,092)
Charge/ (Reversal) of deferred tax	37	(7,693,994)	6,464,525	(7,788,581)	6,463,702
Income tax expense for the year		44,820,023	42,517,329	45,462,492	43,159,990
The effective income tax rate (%)		37.1%	39.8%	37.3%	39.9%

* The tax exemptions previously applicable to foreign source income and service exports have been repealed in terms of the Inland Revenue (Amendment) Act No. 5 of 2025. Accordingly, gains and profits derived from services rendered to persons outside Sri Lanka, or from any other foreign source are liable to income tax at a concessionary rate of 15% with effect from the year of assessment 2025/ 2026. This concessionary tax treatment is applicable subject to the conditions that the relevant payments are received in foreign currency and remitted to Sri Lanka through the banking system.

18.2.3 The tax liabilities of resident companies are computed at the standard rate of 30% (2024 - 30%) except the following overseas operations of the Bank including subsidiary company.

For the year ended 31 December	2025 %	2024 %
Tax rates applicable on foreign operations		
Banking operations in Male	25.00	25.00
Banking operations in Chennai	40.00	40.00
Banking operation in Seychelles		
Up to SCR 1,000,000	25.00	25.00
Balance	33.33	33.33
Bank of Ceylon (UK) Limited	19.00	19.00

19 Share of profits/ (losses) of associate companies, net of tax

Accounting policy

The aggregate of the Group's share of profit or losses of associates is shown in the Statement of Profit or Loss under the equity method of accounting.

	Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000
Ceybank Asset Management Limited	18,778	35,134
Lanka Securities (Private) Limited	116,120	19,229
Transnational Lanka Records Solutions (Private) Limited	21,257	32,062
Total share of profits/ (losses) of associate companies, net of tax	156,155	86,425

20 Earnings per share and dividend per share

20.1 Basic earnings per share

Accounting policy

In accordance with the LKAS 33 - "Earnings Per Share", basic earning per share is calculated by dividing the profit or loss attributable to ordinary shareholder of the Bank (the numerator) by the weighted average number of ordinary shares in issue (the denominator) during the year.

		Bank		Group	
For the year ended 31 December	Note	2025	2024	2025	2024
Profit attributable to ordinary shareholder of the Bank (LKR '000)		76,006,931	64,386,939	76,583,681	65,007,643
Weighted average number of ordinary shares in issue	20.1.1	25,438,000	25,000,000	25,438,000	25,000,000
Basic earnings per share (LKR)		2,987.93	2,575.48	3,010.60	2,600.31

Note - Bank received LKR 730.0 million from the Government of Sri Lanka during the year 2022. This amount has been transferred to share capital during 2025.

20.1.1 Weighted average number of ordinary shares in issue

	Bank		Group	
For the year ended 31 December	2025	2024	2025	2024
Number of ordinary shares in issue as at 1 January	25,000,000	25,000,000	25,000,000	25,000,000
Weighted average number of ordinary shares issued during the year	438,000	-	438,000	-
Weighted average number of ordinary shares in issue as at 31 December	25,438,000	25,000,000	25,438,000	25,000,000

20.2 Diluted earnings per share

Accounting policy

Diluted earnings per share is calculated by dividing the profit or loss attributable to ordinary shareholder of the Bank (the numerator) by the weighted average number of ordinary shares in issue during the year after adjusting for effect of all dilutive potential ordinary shares (the denominator).

		Bank		Group	
For the year ended 31 December	Note	2025	2024	2025	2024
Profit attributable to ordinary shareholder of the Bank (LKR '000)		76,006,931	64,386,939	76,583,681	65,007,643
Weighted average number of ordinary shares after adjusting for dilution	20.2.1	25,730,000	25,730,000	25,730,000	25,730,000
Diluted earnings per share (LKR)		2,954.02	2,502.41	2,976.44	2,526.53

20.2.1 Weighted average number of ordinary shares after adjusting for dilution

	Bank		Group	
For the year ended 31 December	2025	2024	2025	2024
Weighted average number of ordinary shares in issue	25,730,000	25,000,000	25,730,000	25,000,000
Weighted average number of potential ordinary shares under pending allotment during the year	-	730,000	-	730,000
Weighted average number of ordinary shares after adjusting for dilution	25,730,000	25,730,000	25,730,000	25,730,000

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20.3 Dividend per share

Accounting policy

Dividend per share is calculated by dividing the total dividend allocated to shareholder (the numerator) by the weighted average number of ordinary shares in issue (the denominator) during the year.

		Bank		Group	
For the year ended 31 December	Note	2025	2024	2025	2024
Total dividend allocated to shareholder during the year (LKR '000)		5,000,000	-	5,000,000	-
Weighted average number of ordinary shares in issue	20.2.1	25,730,000	25,000,000	25,730,000	25,000,000
Dividend per share (LKR)		194.33	-	194.33	-

21 Analysis of financial instruments by measurement basis

All financial assets and liabilities are measured under the following headings as per the SLFRS 9 - "Financial Instruments".

21.1 Bank

As at 31 December	2025			
	Fair value through profit or loss LKR '000	Fair value through OCI LKR '000	Amortised cost LKR '000	Total LKR '000
Financial assets				
Cash and cash equivalents	-	-	131,083,172	131,083,172
Balances with Central Banks	-	-	79,845,952	79,845,952
Placements with banks	-	-	39,458,670	39,458,670
Securities purchased under resale agreements	-	-	345,307	345,307
Derivative financial assets	6,900,797	-	-	6,900,797
Loans and advances	-	-	2,371,751,976	2,371,751,976
Debt instruments	11,869,450	25,007,827	2,605,510,006	2,642,387,283
Equity instruments	730,561	12,371,349	-	13,101,910
Total financial assets	19,500,808	37,379,176	5,227,995,083	5,284,875,067

As at 31 December	2025		
	Fair value through profit or loss LKR '000	Amortised cost LKR '000	Total LKR '000
Financial liabilities			
Due to banks	-	26,397,898	26,397,898
Securities sold under repurchase agreements	-	284,215,169	284,215,169
Derivative financial liabilites	561,062	-	561,062
Financial liabilities at amortised cost			
Due to depositors	-	4,388,585,972	4,388,585,972
Other borrowings	-	48,719,379	48,719,379
Subordinated liabilities	-	99,455,760	99,455,760
Total financial liabilities	561,062	4,847,374,178	4,847,935,240

As at 31 December	2024			
	Fair value through profit or loss	Fair value through OCI	Amortised cost	Total
	LKR '000	LKR '000	LKR '000	LKR '000
Financial assets				
Cash and cash equivalents	-	-	115,422,407	115,422,407
Balances with Central Banks	-	-	52,346,230	52,346,230
Placements with banks	-	-	62,413,107	62,413,107
Securities purchased under resale agreements	-	-	23,982,341	23,982,341
Derivative financial assets	23,500,600	-	-	23,500,600
Loans and advances	-	-	2,177,707,779	2,177,707,779
Debt instruments	20,203,381	42,007,600	2,275,934,376	2,338,145,357
Equity instruments	799,796	10,042,053	-	10,841,849
Total financial assets	44,503,777	52,049,653	4,707,806,240	4,804,359,670

As at 31 December	2024		
	Fair value through profit or loss	Amortised cost	Total
	LKR '000	LKR '000	LKR '000
Financial liabilities			
Due to banks	-	1,671,087	1,671,087
Securities sold under repurchase agreements	-	131,079,414	131,079,414
Derivative financial liabilites	16,476,077	-	16,476,077
Financial liabilities at amortised cost			
Due to depositors	-	4,208,603,435	4,208,603,435
Other borrowings	-	29,143,678	29,143,678
Subordinated liabilities	-	68,535,700	68,535,700
Total financial liabilities	16,476,077	4,439,033,314	4,455,509,391

21.2 Group

As at 31 December	2025			
	Fair value through profit or loss	Fair value through OCI	Amortised cost	Total
	LKR '000	LKR '000	LKR '000	LKR '000
Financial assets				
Cash and cash equivalents	-	-	133,811,977	133,811,977
Balances with Central Banks	-	-	79,845,952	79,845,952
Placements with banks	-	-	43,182,411	43,182,411
Securities purchased under resale agreements	-	-	604,912	604,912
Derivative financial assets	6,900,797	-	-	6,900,797
Loans and advances	-	-	2,442,422,718	2,442,422,718
Debt instruments	19,366,367	25,111,674	2,611,713,109	2,656,191,150
Equity instruments	1,086,249	14,632,368	-	15,718,617
Total financial assets	27,353,413	39,744,042	5,311,581,079	5,378,678,534

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As at 31 December	2025		
	Fair value through profit or loss LKR '000	Amortised cost LKR '000	Total LKR '000
Financial liabilities			
Due to banks	-	27,225,943	27,225,943
Securities sold under repurchase agreements	-	288,688,312	288,688,312
Derivative financial liabilities	561,062	-	561,062
Financial liabilities at amortised cost			
Due to depositors	-	4,447,652,639	4,447,652,639
Other borrowings	-	56,877,726	56,877,726
Debt securities issued	-	1,754,101	1,754,101
Subordinated liabilities	-	99,203,598	99,203,598
Total financial liabilities	561,062	4,921,402,319	4,921,963,381

As at 31 December	2024			
	Fair value through profit or loss LKR '000	Fair value through OCI LKR '000	Amortised cost LKR '000	Total LKR '000
Financial assets				
Cash and cash equivalents	-	-	116,281,852	116,281,852
Balances with Central Banks	-	-	52,346,230	52,346,230
Placements with banks	-	-	61,576,750	61,576,750
Securities purchased under resale agreements	-	-	21,581,160	21,581,160
Derivative financial assets	23,500,600	-	-	23,500,600
Loans and advances	-	-	2,221,161,844	2,221,161,844
Debt instruments	28,653,873	42,107,872	2,282,636,084	2,353,397,829
Equity instruments	1,108,614	11,754,891	-	12,863,505
Total financial assets	53,263,087	53,862,763	4,755,583,920	4,862,709,770

As at 31 December	2024		
	Fair value through profit or loss LKR '000	Amortised cost LKR '000	Total LKR '000
Financial liabilities			
Due to banks	-	1,682,417	1,682,417
Securities sold under repurchase agreements	-	130,030,614	130,030,614
Derivative financial liabilities	16,476,077	-	16,476,077
Financial liabilities at amortised cost			
Due to depositors	-	4,245,531,800	4,245,531,800
Other borrowings	-	32,344,253	32,344,253
Debt securities issued	-	718,873	718,873
Subordinated liabilities	-	68,282,559	68,282,559
Total financial liabilities	16,476,077	4,478,590,516	4,495,066,593

22 Cash and cash equivalents

Accounting policy

Cash and cash equivalents include local and foreign currency notes and coins in hand, unrestricted balances held with central banks, balances with other banks and highly liquid financial assets with original maturities of less than seven days, which are subject to insignificant risk of changes in their fair value and are used by the Group to manage its short-term commitments. Cash and cash equivalents are carried at amortised cost. The losses arising from impairment are recognised in “Impairment charge/ (reversal) for loans and other losses” (Note 14) in the Statement of Profit or Loss.

		Bank		Group	
As at 31 December	Note	2025 LKR ‘000	2024 LKR ‘000	2025 LKR ‘000	2024 LKR ‘000
Local currency in hand		68,800,717	62,178,403	69,176,224	62,523,305
Foreign currency in hand		3,123,568	3,553,002	3,136,099	3,574,708
Balances with banks		10,190,728	15,939,848	10,762,177	16,432,702
Money at call and short notice		49,478,072	34,232,224	51,247,394	34,232,224
Gross cash and cash equivalents		131,593,085	115,903,477	134,321,894	116,762,939
Less - Accumulated impairment	22.2	509,913	481,070	509,917	481,087
Net cash and cash equivalents		131,083,172	115,422,407	133,811,977	116,281,852

22.1 Analysis of cash and cash equivalents based on exposure to credit risk

Bank

As at 31 December		2025			2024
	Stage 1 LKR ‘000	Stage 2 LKR ‘000	Stage 3 LKR ‘000	Total LKR ‘000	Total LKR ‘000
Balances with banks	10,190,728	-	-	10,190,728	15,939,848
Money at call and short notice	49,478,072	-	-	49,478,072	34,232,224
	59,668,800	-	-	59,668,800	50,172,072
Less - Accumulated impairment	509,913	-	-	509,913	481,070
Net cash equivalents	59,158,887	-	-	59,158,887	49,691,002

Group

As at 31 December		2025			2024
	Stage 1 LKR ‘000	Stage 2 LKR ‘000	Stage 3 LKR ‘000	Total LKR ‘000	Total LKR ‘000
Balances with banks	10,762,177	-	-	10,762,177	16,432,702
Money at call and short notice	51,247,394	-	-	51,247,394	34,232,224
	62,009,571	-	-	62,009,571	50,664,926
Less - Accumulated impairment	509,917	-	-	509,917	481,087
Net cash equivalents	61,499,654	-	-	61,499,654	50,183,839

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22.2 Movement in provision for impairment during the year

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Movement in Stage 1 impairment				
Balance as at 1 January	481,070	62,591	481,087	62,634
Charge/ (reversal) to income statement	28,843	418,479	28,843	418,479
Other movements	-	-	(13)	(26)
Balance as at 31 December	509,913	481,070	509,917	481,087

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Movement in total impairment				
Balance as at 1 January	481,070	62,591	481,087	62,634
Charge/ (reversal) to income statement	28,843	418,479	28,843	418,479
Other movements	-	-	(13)	(26)
Balance as at 31 December	509,913	481,070	509,917	481,087

23 Balances with Central Banks

Accounting policy

Balances with Central Banks are carried at amortised cost in the Statement of Financial Position

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Statutory balances with Central Banks				
Central Bank of Sri Lanka	67,796,985	48,252,069	67,796,985	48,252,069
Other Central Banks	12,048,967	4,094,161	12,048,967	4,094,161
Total balances with Central Banks	79,845,952	52,346,230	79,845,952	52,346,230

23.1 Central Bank of Sri Lanka (CBSL)

In terms of the provisions of Section 93 of the Monetary Law Act No. 58 of 1949, the Bank is required to maintain a cash reserve with Central Bank of Sri Lanka. The minimum cash reserve requirement as of 31 December 2025 was 2.0% (2024 : 2.0%) of Sri Lankan Rupee deposit liabilities. There is no reserve requirement for foreign currency deposit liabilities maintained by domestic branches and the deposit liabilities of the Off-shore Banking Division in Sri Lanka (2024 : Nil).

23.2 Reserve Bank of India (RBI)

In terms of the provisions of Section 42 (1) of the Reserve Bank of India (RBI) Act No. 02 of 1934, the branch in Chennai is required to maintain a cash reserve with RBI. The minimum cash reserve as of 31 December 2025 was 4.0% on its demand and term deposit liabilities. (2024 : 4.0%)

23.3 Maldives Monetary Authority (MMA)

In accordance with the prevailing regulations of Maldives Monetary Authority (MMA), the branch in Maldives is required to maintain a reserve deposit based on 10.5% of the branch's commercial deposits and liabilities to the public in the Maldives in Maldivian Rufiyaa and 5.0% of the branch's commercial deposits and liabilities to the public in the Maldives in foreign currency. (2024 : 10.0% for Maldivian Rufiyaa and 7.5% for foreign currency separately)

23.4 Central Bank of Seychelles (CBS)

In accordance with the regulations of Central Bank of Seychelles, the branch in Seychelles is required to maintain a reserve deposit based on 13.0% on Seychelles rupee deposits of the branch's commercial deposits liabilities to the public in Seychelles and 13.0% for foreign currency deposits of the branch's commercial deposits liabilities to the public in Seychelles. (2024 : 13.0% for Seychelles Rupee and 13.0% for foreign currency deposits).

24 Placements with banks

Accounting policy

Placements with banks include balances with other banks with original maturities of more than seven days which are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than:

- Those that intends to sell immediately or in the near term and those that the Bank, upon initial recognition, designates as at fair value through profit or loss
- Those that upon initial recognition, designates as fair value through other comprehensive income
- Those for which may not recover substantially all of its initial investment, other than due to credit deterioration

Placements with banks are initially measured at fair value. After initial measurement, they are subsequently measured at amortised cost using the Effective Interest Rate (EIR), less allowance for impairment. Interest income from placement with banks is included in "Interest income" (Note 8.1) in the Statement of Profit or Loss. The losses arising from impairment are recognised in "Impairment charge/ (reversal) for loans and other losses" (Note 14) in the Statement of Profit or Loss. Certain placements with banks are written off when they are determined to be uncollectible.

		Bank		Group	
As at 31 December	Note	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Within Sri Lanka		1,087,232	15,903,276	1,087,232	15,903,276
Outside Sri Lanka		38,386,173	46,532,225	42,109,914	45,695,868
Gross placements with banks		39,473,405	62,435,501	43,197,146	61,599,144
Less - Accumulated impairment	24.2	14,735	22,394	14,735	22,394
Net placements with banks		39,458,670	62,413,107	43,182,411	61,576,750

24.1 Analysis of placements with banks based on exposure to credit risk

Bank

As at 31 December	2025				2024
	Stage 1 LKR '000	Stage 2 LKR '000	Stage 3 LKR '000	Total LKR '000	Total LKR '000
Within Sri Lanka	1,087,232	-	-	1,087,232	15,903,276
Outside Sri Lanka	38,386,173	-	-	38,386,173	46,532,225
	39,473,405	-	-	39,473,405	62,435,501
Less - Accumulated impairment	14,735	-	-	14,735	22,394
Net placements with banks	39,458,670	-	-	39,458,670	62,413,107

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Group

As at 31 December	2025				2024
	Stage 1 LKR '000	Stage 2 LKR '000	Stage 3 LKR '000	Total LKR '000	Total LKR '000
Within Sri Lanka	1,087,232	-	-	1,087,232	15,903,276
Outside Sri Lanka	42,109,914	-	-	42,109,914	45,695,868
	43,197,146	-	-	43,197,146	61,599,144
Less - Accumulated impairment	14,735	-	-	14,735	22,394
Net placements with banks	43,182,411	-	-	43,182,411	61,576,750

24.2 Movement in provision for impairment during the year

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Movement in Stage 1 impairment				
Balance as at 1 January	22,394	44,779	22,394	44,779
Charge/ (reversal) during the year	(7,659)	(22,385)	(7,659)	(22,385)
Balance as at 31 December	14,735	22,394	14,735	22,394

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Movement in total Impairment				
Balance as at 1 January	22,394	44,779	22,394	44,779
Charge/ (reversal) during the year	(7,659)	(22,385)	(7,659)	(22,385)
Balance as at 31 December	14,735	22,394	14,735	22,394

25 Securities purchased under resale agreements

Accounting policy

Securities purchased under resale agreements (reverse repos) are purchased with an agreement to sell them at a higher price at a specific future date. The consideration paid and accrued interest (measured by using the EIR) are recorded in the Statement of Financial Position, reflecting the transaction's economic substance as an advance granted by the Group. The difference between the purchase price and resale price is recognised as "Interest income" (Note 8.1) and is amortised over the life of the agreement.

As part of the risk management framework, the Bank applies minimum haircut requirements to reverse repurchase transactions to ensure an adequate collateral coverage. Haircuts are applied based on the remaining maturity of eligible securities to mitigate credit and liquidity risk. At the time of entering into a reverse repurchase transaction, the market value of eligible securities must sufficiently cover the resale value, including the principal and accrued interest, with the following minimum haircut percentages;

Remaining Term to Maturity of the Eligible Security	Minimum Haircut (%)
Up to 1 year	4.0
More than 1 year and up to 3 years	6.0
More than 3 years and up to 5 years	8.0
More than 5 years and up to 8 years	10.0
More than 8 years	12.0

	Bank		Group	
As at 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
With banks	345,307	18,077,827	604,912	15,676,646
With customers	-	5,904,514	-	5,904,514
Total securities purchased under resale agreements	345,307	23,982,341	604,912	21,581,160

26 Derivative financial assets

Accounting policy

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, commodity prices, foreign exchange rates, credit risk, indices etc. Derivatives are categorised as trading unless they are designated as hedging instruments. All derivatives are initially recognised and subsequently measured at fair value, with all revaluation gains or losses recognised in the Statement of Profit or Loss under "Net gains/ (losses) from trading" (Note 10). Derivatives are recorded at fair value and carried as assets when their fair value is positive and as liabilities when their fair value is negative. Fair value is determined using the forward market rates ruling on the reporting date.

	Bank		Group	
As at 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Foreign currency derivatives				
Forward exchange contracts	69,570	16,312,674	69,570	16,312,674
Currency SWAPs	6,831,227	7,187,926	6,831,227	7,187,926
Total derivative financial assets	6,900,797	23,500,600	6,900,797	23,500,600

27 Financial assets recognised through profit or loss - measured at fair value

Accounting policy

Financial instruments are classified as financial assets measured at fair value through profit or loss if they have been acquired principally for the purpose of selling or repurchasing in the near term or holds as a part of a portfolio that is managed together for short term profit or position taking. Further as per SLFRS 9 - "Financial Instruments" financial assets recognised through profit or loss includes all financial assets other than those classified under FVOCI and amortised cost.

All financial assets under this category are initially and subsequently measured at fair value. Upon initial recognition, transaction cost are directly attributable to the acquisition are recognised in the Statement of Profit or Loss. Interest income is recorded in "Interest income" (Note 8.1) according to the terms of the contract. Dividend are recognised in "Net gains/ (losses) from trading" (Note 10). Changes in fair value are recognised in "Net fair value gains/ (losses) from financial assets at fair value through profit or loss" (Note 11).

		Bank		Group	
As at 31 December	Note	2025	2024	2025	2024
		LKR '000	LKR '000	LKR '000	LKR '000
Sri Lanka Government Securities					
Treasury bills		5,171,130	14,929,056	5,171,130	14,929,056
Treasury bonds		699	73,259	7,297,260	8,312,352
Sri Lanka International Sovereign Bonds		-	-	182,108	194,594
Quoted equities	27.2	730,561	799,796	1,086,249	1,108,614
Units in unit trusts	27.3	6,697,621	5,201,066	6,715,869	5,217,871
Total Financial assets recognised through profit or loss - measured at fair value		12,600,011	21,003,177	20,452,616	29,762,487

NOTES TO THE FINANCIAL STATEMENTS

27.1 By currency

	Bank		Group	
As at 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Sri Lankan Rupee	12,600,011	21,003,177	20,270,508	29,567,893
United States Dollar	-	-	182,108	194,594
Total	12,600,011	21,003,177	20,452,616	29,762,487

27.2 Quoted equities

27.2.1 Sector wise composition of quoted equities

	Bank					
As at 31 December	2025			2024		
Sector	Cost of investment	Market value	Sector wise composition of market value	Cost of investment	Market value	Sector wise composition of market value
	LKR '000	LKR '000	%	LKR '000	LKR '000	%
Banks	145,580	155,251	21.2	-	-	-
Capital goods	189,384	213,870	29.3	362,987	300,181	37.5
Consumer durables and apparel	11,083	3,405	0.5	36,374	25,487	3.2
Consumer services	221,496	149,471	20.5	533,492	389,411	48.7
Diversified financials	-	-	-	17,501	9,730	1.2
Energy	-	-	-	70,259	33,336	4.2
Food, beverage and tobacco	91,575	103,402	14.2	-	-	-
Materials	61,117	66,897	9.2	-	-	-
Retailing	23,273	18,540	2.5	26,178	19,133	2.4
Telecommunication services	7,496	17,655	2.3	7,496	14,873	1.8
Utilities	-	2,070	0.3	-	7,645	1.0
Quoted equities - Bank [Note 27.2.2]	751,004	730,561	100.0	1,054,287	799,796	100.0

	Group					
As at 31 December	2025			2024		
Sector	Cost of investment LKR '000	Market value LKR '000	Sector wise composition of market value %	Cost of investment LKR '000	Market value LKR '000	Sector wise composition of market value %
Banks	146,405	156,106	14.5	270	250	-
Capital Goods	336,391	346,762	31.9	433,692	351,720	31.7
Commercial and Professional Services	-	-	-	3,906	3,793	0.3
Consumer Durables and Apparel	41,106	22,213	2.0	45,404	31,722	2.9
Consumer Services	296,042	212,141	19.5	593,591	443,376	40.0
Diversified Financials	22,546	17,395	1.6	97,634	94,863	8.6
Energy	-	-	-	70,259	33,336	3.0
Food and Staples Retailing	-	-	-	3,676	3,536	0.3
Food, Beverage and Tobacco	171,785	166,794	15.4	84,397	56,949	5.1
Health Care Equipment and Services	2,488	2,132	0.2	4,385	3,878	0.3
Household and Personal Products	-	-	-	2,132	1,943	0.2
Insurance	13,789	10,200	0.9	8,526	6,265	0.6
Materials	92,018	96,335	8.9	17,869	13,367	1.2
Real Estate	96	126	-	16,761	13,185	1.2
Retailing	24,164	19,430	1.8	26,803	19,734	1.8
Software and Services	-	-	-	1,362	793	0.1
Telecommunication Services	7,496	17,655	1.6	7,748	15,123	1.4
Utilities	9,305	18,960	1.7	3,407	14,781	1.3
Quoted equities - Group [Note 27.2.3]	1,163,631	1,086,249	100.0	1,421,822	1,108,614	100.0

27.2.2 Quoted equities-Bank

	Bank							
As at 31 December	2025				2024			
	Number of ordinary shares	Cost of investment LKR '000	Market price per share LKR	Market value LKR '000	Number of ordinary shares	Cost of investment LKR '000	Market price per share LKR	Market value LKR '000
Banks								
Commercial Bank of Ceylon Non-Voting	390,774	65,992	190.50	74,442	-	-	-	-
Hatton National Bank PLC Non-Voting	125,000	39,310	318.75	39,842	-	-	-	-
Sampath Bank PLC	279,641	40,278	146.50	40,967	-	-	-	-
Total of banks sector		145,580		155,251		-		-
Capital goods								
Access Engineering PLC	285,997	21,026	73.30	20,964	-	-	-	-
Aitken Spence PLC	58,622	5,796	156.25	9,160	766,150	75,749	145.00	111,092
Central Industries PLC	75,000	18,215	255.50	19,163	-	-	-	-
Colombo Dockyard PLC	-	-	-	-	797,625	179,456	65.90	52,563
E B Creasy & Company PLC	577,088	38,646	64.80	37,395	-	-	-	-
Hemas Holdings	498,278	17,614	34.70	17,290	-	-	-	-
John Keells Holdings PLC	4,076,208	67,865	21.70	88,454	5,715,302	95,156	22.60	129,166
Renuka Holdings PLC	-	-	-	-	400,000	12,626	18.40	7,360
Royal Ceramics Lanka PLC	466,175	20,222	46.00	21,444	-	-	-	-
Total of capital goods sector		189,384		213,870		362,987		300,181

	Bank							
As at 31 December	2025				2024			
	Number of ordinary shares	Cost of investment LKR '000	Market price per share LKR	Market value LKR '000	Number of ordinary shares	Cost of investment LKR '000	Market price per share LKR	Market value LKR '000
Consumer durables and apparel								
Ambeon Holdings PLC	-	-	-	-	385,000	23,273	46.30	17,826
Hela Apparel Holdings PLC	1,098,400	11,083	3.10	3,405	1,298,400	13,101	5.90	7,661
Total of consumer durables and apparel sector		11,083		3,405		36,374		25,487
Consumer services								
Asian Hotels and Properties PLC	1,781,733	169,906	60.00	106,904	2,367,741	225,788	63.50	150,352
Aitken Spence Hotel Holdings PLC	212,667	22,548	113.25	24,085	2,177,424	198,875	84.70	184,428
Hayleys Leisure PLC	-	-	-	-	686,139	30,665	33.00	22,643
Hotels Corporation	72,250	3,072	42.50	3,071	-	-	-	-
Citrus Leisure PLC	100,000	10,112	4.30	430	100,000	10,112	4.50	450
The Fortress Resorts PLC	249,017	8,609	29.50	7,346	254,017	8,781	32.50	8,256
Tal Lanka Hotels PLC	-	-	-	-	387,400	26,014	22.10	8,562
The Kingsbury PLC	355,139	7,249	21.50	7,635	-	-	-	-
Trans Asia Hotels PLC	-	-	-	-	327,848	33,257	44.90	14,720
Total of consumer services sector		221,496		149,471		533,492		389,411
Diversified financials								
Ceylon Investment PLC	-	-	-	-	100,000	13,948	73.40	7,340
First Capital Treasuries PLC	-	-	-	-	88,500	3,553	27.00	2,390
Total of diversified financials sector		-		-		17,501		9,730
Energy								
Laugfs Gas PLC Non-voting	-	-	-	-	1,683,646	70,259	19.80	33,336
Total of energy sector		-		-		70,259		33,336
Food, beverage and tobacco								
Bairaha Farms PLC	436,776	23,046	83.50	36,471	-	-	-	-
Ceylon Cold Stores PLC	100,000	10,650	109.00	10,900	-	-	-	-
Melstacorp PLC	236,281	43,679	174.00	41,113	-	-	-	-
Sunshine Holdings PLC	425,000	14,200	35.10	14,918	-	-	-	-
Total of food, beverage and tobacco sector		91,575		103,402		-		-
Materials								
Alumex PLC	465,767	9,078	20.40	9,502	-	-	-	-
CIC Non-voting	596,241	15,221	26.10	15,562	-	-	-	-
Dipped Products PLC	275,061	16,426	61.10	16,806	-	-	-	-
Tokyo Cement Company (Lanka) PLC Non-voting	264,000	20,392	94.80	25,027	-	-	-	-
Total of materials sector		61,117		66,897		-		-
Retailing								
John Keells PLC	197,048	16,853	85.00	16,749	197,048	16,853	84.80	16,710
Odel PLC	153,057	6,420	11.70	1,791	222,295	9,325	10.90	2,423
Total of retailing sector		23,273		18,540		26,178		19,133

	Bank							
As at 31 December	2025				2024			
	Number of ordinary shares	Cost of investment	Market price per share	Market value	Number of ordinary shares	Cost of investment	Market price per share	Market value
		LKR '000	LKR	LKR '000		LKR '000	LKR	LKR '000
Telecommunication services								
Sri Lanka Telecom PLC	214,000	7,496	82.50	17,655	214,000	7,496	69.50	14,873
Total of telecommunication services sector		7,496		17,655		7,496		14,873
Utilities								
Laugfs Power PLC Non -voting	206,957	-	10.00	2,070	849,434	-	9.00	7,645
Total of utilities sector		-		2,070		-		7,645
Total quoted equities		751,004		730,561		1,054,287		799,796

27.2.3 Quoted equities - Group

	Group							
As at 31 December	2025				2024			
	Number of ordinary shares	Cost of investment	Market price per share	Market value	Number of ordinary shares	Cost of investment	Market price per share	Market value
		LKR '000	LKR	LKR '000		LKR '000	LKR	LKR '000
Banks								
Amana Bank PLC	-	-	-	-	10,212	270	24.50	250
Commercial Bank of Ceylon PLC Non-Voting	390,774	65,992	190.50	74,442	-	-	-	-
Hatton National Bank PLC Voting	2,143	825	398.50	855	-	-	-	-
Hatton National Bank PLC Non-Voting	125,000	39,310	318.75	39,842	-	-	-	-
Sampath Bank PLC	279,641	40,278	146.50	40,967	-	-	-	-
Total of banks sector		146,405		156,106		270		250
Capital goods								
Access Engineering PLC	333,980	24,527	73.30	24,481	-	-	-	-
Aitken Spence PLC	58,622	5,796	156.25	9,160	766,150	75,749	145.00	111,092
Brown and Company PLC	175,000	38,911	162.00	28,350	150,000	35,244	178.25	26,738
Cable Solutions Plc	2,250,000	33,985	14.80	33,300	-	-	-	-
Central Industries PLC	75,000	18,215	255.50	19,163	-	-	-	-
Colombo Dockyard PLC	-	-	-	-	887,625	186,561	65.90	58,494
E B Creasy & Company PLC	577,088	38,647	64.80	37,395	26,660	830	28.70	765
Hemas Holdings PLC	498,278	17,614	34.70	17,290	-	-	-	-
John Keells Holdings PLC	4,988,996	87,457	21.70	108,261	5,929,012	98,500	22.60	133,996
Lanka Tiles PLC	135,000	7,779	49.90	6,737	7,500	734	58.40	438
Lanka Walltiles PLC	153,467	8,239	50.00	7,673	-	-	-	-
Lankem Ceylon PLC	-	-	-	-	13,500	1,252	80.00	1,080
Luminex PLC	92,354	638	6.80	628	-	-	-	-
Greentech Energy PLC	-	-	-	-	1,350,000	4,194	2.20	2,970
MTD Walkers PLC	-	-	-	-	165,000	6,751	-	-
Renuka Holdings PLC	-	-	-	-	400,000	12,626	18.40	7,360
Royal Ceramics Lanka PLC	966,175	44,771	46.00	44,444	202,000	11,251	43.50	8,787
Vallibel One PLC	100,000	9,812	98.80	9,880	-	-	-	-
Total of capital goods sector		336,391		346,762		433,692		351,720

NOTES TO THE FINANCIAL STATEMENTS

	Group							
As at 31 December	2025				2024			
	Number of ordinary shares	Cost of investment	Market price per share	Market value	Number of ordinary shares	Cost of investment	Market price per share	Market value
		LKR '000	LKR	LKR '000		LKR '000	LKR	LKR '000
Commercial and professional services								
E M L Consultants PLC	-	-	-	-	925,000	3,906	4.10	3,793
Total of commercial and professional services sector		-		-		3,906		3,793
Consumer durables and apparel								
Ambeon Holdings PLC	-	-	-	-	385,000	23,273	46.30	17,826
Blue Diamonds Jewellery Worldwide PLC Non-voting	5,250,000	3,125	0.30	1,575	5,250,000	3,125	0.30	1,575
Dankotuwa Porcelain PLC	-	-	-	-	10,000	259	23.50	235
Hayleys Fabric PLC	120,502	6,065	40.70	4,904	-	-	-	-
Hela Apparel Holdings PLC	5,075,550	31,916	3.10	15,734	2,048,400	18,747	5.90	12,086
Total of consumer durables and apparel sector		41,106		22,213		45,404		31,722
Consumer services								
Asian Hotels and Properties PLC	1,851,733	174,704	60.00	111,104	2,375,838	226,250	63.50	150,866
Aitken Spence Hotel Holdings PLC	212,667	22,548	113.25	24,085	2,177,424	198,875	84.70	184,428
Anilana Hotels & Properties PLC	750,000	1,106	1.00	750	750,000	1,106	0.90	675
Beruwala Resorts PLC	1,000,000	4,145	3.80	3,800	-	-	-	-
Browns Beach Hotel PLC	50,000	1,400	25.80	1,290	-	-	-	-
Bansei Royal Resorts Hikkaduwa PLC	140,282	3,110	22.70	3,184	-	-	-	-
Citrus Leisure PLC	3,800,000	27,738	4.30	16,340	2,350,000	21,393	4.50	10,575
Eden Hotel Lanka PLC	775,040	13,290	13.60	10,541	235,249	5,288	16.60	3,905
The Fortress Resorts PLC	249,017	8,609	29.50	7,346	254,017	8,781	32.50	8,256
Galadari Hotels (Lanka) PLC	150,000	2,950	18.50	2,775	-	-	-	-
Hayleys Leisure PLC	-	-	-	-	686,139	30,665	33.00	22,643
Hotels Corporation	72,250	3,072	42.50	3,071	-	-	-	-
Hikkaduwa Beach Resort PLC	2,247,143	8,731	4.10	9,213	420,952	2,413	3.60	1,515
Palm Garden Hotels PLC	30,000	2,549	66.90	2,007	44,289	2,775	73.40	3,251
Tal Lanka Hotels PLC	-	-	-	-	387,400	26,014	22.10	8,562
The Kingsbury PLC	355,139	7,249	21.50	7,635	2,175,454	23,483	12.00	26,105
Trans Asia Hotels PLC	-	-	-	-	327,848	33,257	44.90	14,720
Waskaduwa Beach Resort PLC	4,500,000	14,841	2.00	9,000	3,750,000	13,291	2.10	7,875
Total of consumer services sector		296,042		212,141		593,591		443,376

	Group							
As at 31 December	2025				2024			
	Number of ordinary shares	Cost of investment	Market price per share	Market value	Number of ordinary shares	Cost of investment	Market price per share	Market value
		LKR '000	LKR	LKR '000		LKR '000	LKR	LKR '000
Diversified financials								
Ceylon Investment PLC	-	-	-	-	201,907	22,440	73.40	14,820
First Capital Treasuries PLC	-	-	-	-	88,500	3,553	27.00	2,390
Galle Face Capital Partners PLC	19,269	1,006	98.00	1,888	19,269	1,006	43.40	836
HNB Finance PLC	-	-	-	-	42,500	355	5.60	238
Lanka Credit & Business Finance PLC	-	-	-	-	1,136,561	4,107	2.70	3,069
LOLC Finance PLC	575,000	10,159	5.70	3,278	575,000	10,159	6.70	3,853
LOLC Holdings PLC	19,998	10,046	560.00	11,199	95,000	46,984	690.25	65,574
Nation Lanka Finance PLC	500,000	200	0.10	50	500,000	200	0.30	150
Ceylon Land & Equity PLC	89,115	1,135	11.00	980	14,115	172	9.20	130
SMB Finance PLC Non-Voting	-	-	-	-	8,500,000	4,050	0.30	2,550
Softlogic Finance PLC	-	-	-	-	122,056	4,215	5.90	720
Vallibel Finance PLC	-	-	-	-	10,001	393	53.30	533
Total of Diversified Financials Sector		22,546		17,395		97,634		94,863
Energy								
Laugfs Gas PLC Non-Voting	-	-	-	-	1,683,646	70,259	19.80	33,336
Total of Energy Sector		-		-		70,259		33,336
Food and Staples Retailing								
Tess Agro PLC	-	-	-	-	2,500,000	3,038	1.20	3,000
Tess Agro PLC Non-Voting	-	-	-	-	670,353	638	0.80	536
Total of Food and Staples Retailing Sector		-		-		3,676		3,536
Food, Beverage and Tobacco								
Agalawatte Plantations PLC	-	-	-	-	208,325	10,048	46.60	9,708
Bairaha Farms PLC	436,776	23,046	83.50	36,471	-	-	-	-
Browns Investments PLC	6,750,000	59,389	6.60	44,550	5,000,000	45,894	7.10	35,500
Ceylon Cold Stores PLC	155,000	16,601	109.00	16,895	-	-	-	-
Hapugastenne Plantations PLC	15,000	1,273	53.00	795	-	-	-	-
HVA Foods PLC	3,251,020	12,445	3.40	11,053	565,789	2,831	4.10	2,320
Kotmale Holdings PLC	-	-	-	-	2,233	926	439.00	980
Lanka Milkfoods PLC	270	18	67.80	18	10,000	320	46.80	468
Lucky Lanka Milk Processing PLC Non-Voting	-	-	-	-	2,514,546	14,958	-	-
Madulsima Plantations PLC	50,000	700	12.00	600	-	-	-	-
Melstacorp PLC	236,281	43,679	174.00	41,113	-	-	-	-
Renuka Agri Foods PLC	-	-	-	-	1,575,000	7,259	3.70	5,828
Raigam Wayamba Salterns PLC	-	-	-	-	293,839	2,161	7.30	2,145
Sunshine Holdings PLC	425,000	14,200	35.10	14,918	-	-	-	-
Tea Smallholder Factories PLC	8,190	434	46.50	381	-	-	-	-
Total of food, beverage and tobacco sector		171,785		166,794		84,397		56,949

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	Group							
As at 31 December	2025				2024			
	Number of ordinary shares	Cost of investment	Market price per share	Market value	Number of ordinary shares	Cost of investment	Market price per share	Market value
		LKR '000	LKR	LKR '000		LKR '000	LKR	LKR '000
Health care equipment and services								
Asiri Hospital Holdings PLC	50,000	1,793	30.00	1,500	5,000	210	25.70	129
Asiri Surgical Hospital PLC	-	-	-	-	124,860	1,685	12.00	1,498
E - Channelling PLC	40,000	695	15.80	632	104,000	1,584	13.80	1,435
Nawaloka Hospitals PLC	-	-	-	-	50,000	245	4.40	220
The Lanka Hospital Corporation PLC	-	-	-	-	7,500	661	79.50	596
Total of health care equipment and services sector		2,488		2,132		4,385		3,878
Household and Personal Products								
BPPL Holding PLC	-	-	-	-	89,971	2,132	21.60	1,943
Total of Household and Personal Products sector		-		-		2,132		1,943
Insurance								
Arpico Insurance PLC	-	-	-	-	10,000	300	26.50	265
Softlogic Capital PLC	2,000,000	13,789	5.10	10,200	1,000,000	8,226	6.00	6,000
Total of insurance sector		13,789		10,200		8,526		6,265
Materials								
Agstar PLC	-	-	-	-	300,000	2,646	8.30	2,490
Alumex PLC	487,278	9,519	20.40	9,940	-	-	-	-
Bogala Graphite Lanka PLC	-	-	-	-	45,002	3,479	61.10	2,750
CIC Holdings PLC Non-Voting	1,121,245	28,902	26.10	29,265	-	-	-	-
Dipped Products PLC	355,061	21,802	61.10	21,694	25,000	1,306	54.50	1,363
Ex-Pack Corrugated Cartons PLC	646,006	9,799	14.10	9,109	50	1	16.30	1
Haycarb PLC	-	-	-	-	67,000	6,213	85.30	5,715
Lanka Aluminium Industries PLC	6,278	304	48.90	307	-	-	-	-
Pelwatte Sugar Industries PLC	-	-	-	-	68,400	2,924	-	-
Richard Pieris Exports PLC	2,500	1,300	397.25	993	2,500	1,300	419.25	1,048
Tokyo Cement Company (Lanka) PLC Non-voting	264,000	20,392	94.80	25,027	-	-	-	-
Total of materials sector		92,018		96,335		17,869		13,367
Real estate								
Colombo Land and Development Company PLC	2,700	96	46.50	126	82,639	2,849	23.10	1,909
East West Properties PLC	-	-	-	-	610,000	7,043	11.10	6,771
Lanka Realty Investments PLC	-	-	-	-	321,876	6,833	13.90	4,474
Millennium Housing Developers PLC	-	-	-	-	10,000	36	3.10	31
Total of real estate sector		96		126		16,761		13,185
Retailing								
Ceylon Tea Brokers PLC	100,000	890	8.90	890	-	-	-	-
C M Holdings PLC	-	-	-	-	5,000	625	120.25	601
John Keells PLC	197,048	16,853	85.00	16,749	197,048	16,853	84.80	16,710
Odel PLC	153,057	6,421	11.70	1,791	222,295	9,325	10.90	2,423
Total of retailing sector		24,164		19,430		26,803		19,734

Group								
As at 31 December	2025				2024			
	Number of ordinary shares	Cost of investment LKR '000	Market price per share LKR	Market value LKR '000	Number of ordinary shares	Cost of investment LKR '000	Market price per share LKR	Market value LKR '000
Software and services								
hSenid Business Solutions PLC	-	-	-	-	65,000	1,362	12.20	793
Total of software and services		-		-		1,362		793
Telecommunication services								
Sri Lanka Telecom PLC	214,000	7,496	82.50	17,655	217,600	7,748	69.50	15,123
Total of telecommunication services sector		7,496		17,655		7,748		15,123
Utilities								
Laugfs Power PLC	50,000	810	14.00	700	-	-	-	-
Laugfs Power PLC Non-Voting	356,957	1,858	10.00	3,570	849,434	-	9.00	7,645
Resus Energy PLC	313,891	6,637	46.80	14,690	258,551	3,407	27.60	7,136
Total of utilities sector		9,305		18,960		3,407		14,781
Total quoted equities		1,163,631		1,086,249		1,421,822		1,108,614

27.3 Units in unit trusts

As at 31 December	2025			2024		
	Number of units	Cost of investment LKR '000	Market value LKR '000	Number of units	Cost of investment LKR '000	Market value LKR '000
Bank						
Ceybank Unit Trust	108,723,381	1,697,849	5,331,794	111,307,627	1,738,215	4,254,177
Ceybank Century Growth Fund	7,539,256	132,952	1,250,386	7,539,256	132,952	946,780
Ceybank Surekum Gilt Edged Fund	4,921	50	114	4,921	50	109
NDB Growth and Income Fund	967,428	116,382	115,327	-	-	-
Total units in unit trusts		1,947,233	6,697,621		1,871,217	5,201,066
Group						
Ceybank Unit Trust	108,723,381	1,697,849	5,331,794	111,307,627	1,738,215	4,254,177
Ceybank Century Growth Fund	7,539,256	132,952	1,250,386	7,539,256	132,952	946,780
Ceybank Surekum Gilt Edged Fund	4,921	50	114	4,921	50	109
NDB Growth and Income Fund	967,428	116,382	115,327	-	-	-
Comtrust Money Market Fund	313,271	5,266	6,278	313,271	5,266	5,800
First Capital Money Market Fund	3,353	10,000	11,970	3,353	10,000	11,005
Total units in unit trusts		1,962,499	6,715,869		1,886,483	5,217,871

NOTES TO THE FINANCIAL STATEMENTS

28 Financial assets at amortised cost - loans and advances

Accounting policy

Loans and advances include non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than:

- Those that the Bank intends to sell immediately or in the near term and those that the Bank, upon initial recognition, designates as at fair value through profit or loss
- Those that the Bank, upon initial recognition, designates as fair value through OCI
- Those for which the Bank may not recover substantially all of its initial investment, other than due to credit deterioration

"Loans and advances" are initially measured at fair value and subsequently measured at amortised cost using the Effective Interest Rate (EIR), less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in "Interest income"(Note 8.1) in the Statement of Profit or Loss. The losses arising from impairment are recognised in "Impairment charge/ (reversal) for loans and other losses" (Note 14) in the Statement of Profit or Loss.

Write-off of loans and receivables

Loans together with the associated allowance are written off when there is no realistic prospect of future recovery and all collateral has been realised. If a write-off is later recovered, the recovery is recognised in the "Net other operating income" (Note 13).

Collateral valuation

The Group seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letters of credit/guarantees, real estate, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by Central Bank of Sri Lanka, there on.

Non-financial collaterals, including immovable and movables, are valued based on data provided by the independent professional valuers and Audited Financial Statements.

Collaterals repossessed

The Group's policy is to dispose of repossessed properties through parate execution or fiscal conveys (Foreclosed properties) in an orderly fashion. The proceeds are used to reduce or repay the outstanding claim. In general, the Group does not occupy repossessed properties for business use.

Renegotiated loans (restructured or rescheduled)

Where possible, the Group seeks to renegotiate loans rather than take possession of collateral. This may involve extending the payment arrangements and agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original EIR as calculated before the modification of terms. The management continuously reviews renegotiated loans to ensure that all criteria are met and that future payments are likely to occur. The loans continue to be subject to an individual or collective impairment assessment. Further the Bank may consider modifications for original terms and conditions to retain customer, support customer or/ and expansions.

Expected credit loss (ECL)

The Bank's impairment provisioning method has fundamentally changed due to the adoption of SLFRS 9 - "Financial Instruments" by replacing LKAS 39 - "Financial Instruments: Recognition and Measurement" incurred loss approach with forward looking expected loss approach as mentioned in Note 4.4.11 to this Financial Statements. Accordingly, the Bank has recorded an expected credit loss allowance for all loans and other debt financial assets except which are held at FVTPL, together with loan commitments and financial guarantee contracts which are commonly referred to as "financial instruments".

The ECL allowance is based on the credit losses expected to arise over the life of the asset, the Lifetime Expected Credit Loss (LTECL) as outlined in Notes 4.4.11.2 and 4.4.11.3, if there has been no significant increase in credit risk since origination, in which case, the allowance is based on the 12 months' expected credit loss (12mECL) as outlined in Note 4.4.11.1 to the Financial Statements. The Bank's policies for determining whether there has been a significant increase in credit risk are set out in this note.

Both LTECLs and 12mECLs are calculated either on an individual basis or on collective basis, depending on the nature and size of the underlying portfolio of financial instruments. The Bank's policy for grouping financial instruments measured on a collective basis is explained in Note 4.4.11.5.

The Bank has established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument.

Based on the above process, the Bank grouped its loans into Stage 1, Stage 2 and Stage 3 as described in Note 4.4.11.1 to 4.4.11.3 to this Financial Statements.

For financial assets in respect of which the Bank has no reasonable expectations of recovering either the entire outstanding amount, or a proportion thereof, the gross carrying amount of the financial asset is reduced.

The components of the ECL calculation is outlined under Note 4.4.11.4 to this Financial Statements and when estimating the ECLs, the Bank considers three economic scenarios (base case, best case and worst case). Each of these scenarios are associated with different loss rates.

For all products the maximum period over which the credit losses are determined is the contractual life of such financial asset.

Impairment losses and reversals are accounted for and disclosed separately from modification losses or gains that are accounted for as an adjustment of the financial asset's gross carrying value.

The methodology used for calculation of the ECL are summarised below:

Stage 1	Includes financial assets that have not had a significant increase in credit risk since initial recognition or that have low credit risk at the reporting date. For these financial assets, 12mECLs are recognised i.e. the expected credit losses which result from default events that are possible within 12 months after the reporting date. It is not the expected cash shortfalls over the 12-month period but the entire credit loss on an asset weighted by the probability that the loss will occur in the next 12 months.
Stage 2	Includes financial assets that have had a significant increase in credit risk since initial recognition but that do not have objective evidence of impairment. For these assets, LTECLs are recognised. LTECLs are the expected credit losses that result from all possible default events over the remaining maturity period of the loan from the reporting date. Expected credit losses are the weighted average credit losses with the probability of default ("PD") as the weight.
Stage 3	Includes financial assets that have objective evidence of impairment at the reporting date which shows a significant credit risk. Lifetime ECLs are recognised based on the 100% probability of default.

Loan commitments

When estimating ECLs for undrawn loan commitments, the Bank estimates the expected portion of the loan commitment that will be drawn down over its expected life. The ECL is then based on the present value of the expected shortfalls in cash flows if the loan is drawn down, based on a probability-weighting of the three scenarios. The expected cash shortfalls are discounted at an approximation to the expected EIR on the loan. For credit cards and revolving facilities, that include both a loan and an undrawn commitment, ECLs are calculated and presented together with the loan and loan commitments.

Financial guarantee contracts

The Bank's liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the Statement of Profit or Loss, and the ECL provision. For this purpose, the Bank estimates ECLs based on the present value of the expected payments to reimburse the holder for a credit loss that it incurs. The shortfalls are discounted by the risk adjusted interest rate relevant to the exposure. The calculation is made using a probability-weighting of the three scenarios.

Revolving facilities

The Bank's product offering includes a variety of corporate and retail facilities, in which the Bank has the right to cancel and/or reduce the facilities with one day's notice (eg: Overdraft and Credit Card). The Bank does not limit its exposure to credit losses to the contractual notice period, but, instead calculates ECL over a period that reflects the Bank's expectations of the customer behaviour, its likelihood of default and the Bank's future risk mitigation procedures, which could include reducing or cancelling the facilities.

The ongoing assessment of whether a significant increase in credit risk has occurred for revolving facilities is similar to other lending products. This is based on shifts in the customer's delinquency.

The calculation of ECLs, including the estimation of the expected period of exposure and discount rate is made on an individual basis for individually significant loans and on a collective basis for other loans. The collective assessments are made separately for portfolios of facilities with similar/ homogeneous characteristics.

Forward looking information

In its ECL models, the Bank relies on a broad range of forward looking information as economic inputs, such as:

- GDP growth
- Interest rate
- Inflation
- Exchange rate
- Unemployment rate
- Status of the industry business
- Regulatory impact
- Government policies
- Climate impact

Impairment assessment

Definition of default and upgrade

The Bank considers a financial instrument is defaulted and therefore assessed as Stage 3 (as credit-impaired) for ECL calculations in all cases when the borrower becomes more than 90 days past due on its contractual payments or the credit facility/ customer is classified as a non performing advance in accordance with CBSL directions.

As a part of the qualitative assessment of whether a customer is in default, the Bank also considers a variety of instances that may indicate unlikeliness to pay. When such events occur, the Bank carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate. Such events include:

- Credit rating of a borrower has been subsequently downgraded to B+ or below under the Sri Lankan National Rating scale by External Credit Assessment Institution (EACI)
- A two -notch downgrade under the Bank's internal rating
- Reasonable and supportable forecasts of future economic conditions show a direct negative impact on the future performance of a customer/group of customers.
- A significant change in the geographical locations or natural catastrophes that directly impact the performance of a customer/ group of customers.
- The value of collateral is significantly reduced and /or realisability of collateral is doubtful.
- Frequent changes in the Board of Directors and Senior Management of an institutional customer.
- Delay in commencement of business operations/projects by more than two years from the originally agreed date.
- Modification of terms resulting in concessions, including extensions, deferment of payments, waiver of covenants and other restructuring of credit facilities.

- A fall of 50% or more in the turnover and / or profit before tax of the borrower when compared to the previous year for two consecutive years and /or erosion of net-worth of the borrower by more than 25% (other than due to changes in equity structure and dividend policy) when compared to the previous financial year, and reduction will effect to the settlement of future contractual payments.
- The borrower is subject to litigation that significantly affects the performance of the credit facility
- Unable to contact or find the borrower
- Claims made under obligation of Letter of Guarantee
- The borrower is deceased / insolvent
- Any other criteria that, materially impacted for recoverability.

Financial assets may be reclassified between stages based on changes in their credit risk relative to the level at initial recognition. A financial instrument is moved out of Stage 2 when its credit risk is no longer considered to have increased significantly since initial recognition. Similarly, instruments are transferred out of Stage 3 once there is no objective evidence of credit impairment. Restructured facilities are upgraded in line with Board-approved policies after all overdue payments have been settled, and when the Bank is satisfied that the borrower can meet debt obligations in the foreseeable future, supported by a demonstrable and sustained improvement in the credit quality of the facility.

Probability of default estimation process

The Bank estimates the probability of default (PD) based on historical information with regard to delinquency of loans and advances. In this process historical information pertaining to 3-5 years have been used depending on the nature of the product.

Exposure at default

The exposure at default (EAD) represents the gross carrying amount of the financial instruments subject to the impairment calculation, addressing both the client’s ability to increase its exposure while approaching default and potential early repayments too.

To calculate the EAD for a Stage 1 loan facilities, the Bank assesses the possible default events within 12 months in the calculation of the 12mECL. For Stage 2, Stage 3 and Purchase or Originated Credit Impaired (POCI) financial assets, the exposure at default is considered for events over the lifetime of the instruments.

The Bank determines EADs by modelling the range of possible exposure outcomes at various points in time. PDs are then assigned to the EAD so derived.

Loss given default

The Bank segments its lending portfolio into homogeneous portfolios, based on key characteristics that are relevant to the estimation of future cash flows. The loss given default is estimated based on historically collected loss data.

Significant increase in credit risk

The Bank continuously monitors all assets subject to ECLs. In order to determine whether an asset or a portfolio of assets is subject to 12mECL or LTECL, the Bank assesses whether there has been a significant increase in credit risk since initial recognition. The Bank considers an exposure to have significantly increased in credit risk when the borrower becomes more than 30 days past due from the contractual due date.

The Bank also applies a secondary qualitative method for triggering a significant increase in credit risk for an asset, such as moving a customer/facility to the watch list, or reschedulement or restructure. Regardless of the change in credit grades, if contractual payments are more than 30 days past due, the credit risk is deemed to have increased significantly since initial recognition.

When estimating ECLs on a collective basis for a group of similar assets, the Bank applies the same principles for assessing whether there has been a significant increase in credit risk since initial recognition.

Grouping financial assets measured on an individual basis/ collective basis

ECLs are calculated either on a collective or an individual basis, depending on the following factors.

The Bank calculates ECL on an individual basis for exposures above the threshold which are identified as individually significant loans. All other exposures other than the above together with individually significant exposures not attracting an ISL provision are assessed for ECL on a collective basis. The Bank, groups these exposures into smaller homogeneous portfolios, based on product types, sectors and customer segments.

NOTES TO THE FINANCIAL STATEMENTS

28.1 Financial assets at amortised cost - loans and advances

		Bank		Group	
As at 31 December	Note	2025	2024	2025	2024
		LKR '000	LKR '000	LKR '000	LKR '000
Gross loans and advances		2,654,271,738	2,436,161,951	2,726,685,937	2,482,029,394
Stage 1		2,072,276,344	1,818,262,438	2,122,148,132	1,848,658,817
Stage 2		229,815,450	245,081,345	247,072,259	256,924,852
Stage 3		352,179,944	372,818,168	357,465,546	376,445,725
Less: Accumulated impairment under:		282,519,762	258,454,172	284,263,219	260,867,550
Stage 1	28.2	47,658,792	34,297,861	48,450,996	35,394,469
Stage 2	28.2	30,919,760	24,197,486	31,647,969	25,205,508
Stage 3	28.2	203,941,210	199,958,825	204,164,254	200,267,573
Net loans and advances		2,371,751,976	2,177,707,779	2,442,422,718	2,221,161,844

28.1.1 Analysis of gross loans and advances - by product

		Bank					
As at 31 December		2025			2024		
	Note	Local currency loans	Foreign currency loans	Total	Local currency loans	Foreign currency loans	Total
		LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Term loans		728,431,165	686,682,077	1,415,113,242	697,612,516	661,779,968	1,359,392,484
Housing loans		67,018,624	18,876	67,037,500	67,997,632	21,646	68,019,278
Trade finance		77,703,078	93,387,030	171,090,108	57,229,912	86,051,950	143,281,862
Personal loans		371,148,852	-	371,148,852	344,020,059	-	344,020,059
Overdrafts		141,062,877	75,526,822	216,589,699	128,290,934	69,732,135	198,023,069
Credit cards		11,355,193	-	11,355,193	10,128,653	-	10,128,653
Lease rental receivables	28.4	40,088,325	-	40,088,325	17,283,424	-	17,283,424
Pawning		225,270,883	-	225,270,883	180,886,194	-	180,886,194
Foreclosed properties		6,680,600	7,041	6,687,641	4,699,188	6,953	4,706,141
Staff loans		32,675,857	267,250	32,943,107	25,018,168	247,233	25,265,401
Other		85,124,488	11,822,700	96,947,188	74,288,920	10,866,466	85,155,386
Gross loans and advances		1,786,559,942	867,711,796	2,654,271,738	1,607,455,600	828,706,351	2,436,161,951

		Group					
As at 31 December		2025			2024		
	Note	Local currency loans	Foreign currency loans	Total	Local currency loans	Foreign currency loans	Total
		LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Term loans		747,133,540	717,974,907	1,465,108,447	705,109,185	682,144,914	1,387,254,099
Housing loans		67,041,318	18,876	67,060,194	68,021,378	21,646	68,043,024
Trade finance		77,906,646	93,387,030	171,293,676	57,440,185	86,051,950	143,492,135
Personal loans		371,705,841	-	371,705,841	344,685,010	-	344,685,010
Overdrafts		140,567,029	76,016,505	216,583,534	128,104,139	70,197,289	198,301,428
Credit cards		11,355,193	-	11,355,193	10,128,653	-	10,128,653
Lease rental receivables	28.4	52,991,742	-	52,991,742	28,893,967	-	28,893,967
Pawning		233,589,292	-	233,589,292	185,866,676	-	185,866,676
Foreclosed properties		6,680,600	7,041	6,687,641	4,699,188	6,953	4,706,141
Staff loans		33,051,374	311,815	33,363,189	25,215,917	286,956	25,502,873
Other		85,124,488	11,822,700	96,947,188	74,288,920	10,866,468	85,155,388
Gross loans and advances		1,827,147,063	899,538,874	2,726,685,937	1,632,453,218	849,576,176	2,482,029,394

28.1.2 Analysis of gross loans and advances - by currency

	Bank		Group	
As at 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Sri Lankan Rupee	1,786,559,942	1,607,455,600	1,827,147,063	1,632,453,218
United States Dollar	819,456,926	781,755,906	819,456,926	781,755,906
Great Britain Pound	1,145,885	983,007	32,972,963	21,852,831
Maldevian Rufiyaa	30,800,618	28,572,006	30,800,618	28,572,006
Euro	2,393,487	1,909,913	2,393,487	1,909,913
Indian Rupee	10,722,650	12,940,951	10,722,650	12,940,951
Seychellois Rupee	3,191,383	2,544,568	3,191,383	2,544,569
Other	847	-	847	-
Gross loans and advances	2,654,271,738	2,436,161,951	2,726,685,937	2,482,029,394

28.2 Movement in provision for impairment during the year

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Movement in Stage 1 Impairment				
Balance as at 1 January	34,297,861	31,412,474	35,394,469	32,622,298
Charge/ (Reversal) during the year	12,223,930	3,385,060	12,211,430	3,367,623
Exchange rate variance on foreign currency impairment	1,137,001	(499,673)	1,137,001	(499,673)
Other movements	-	-	(291,904)	(95,779)
Balance as at 31 December	47,658,792	34,297,861	48,450,996	35,394,469

NOTES TO THE FINANCIAL STATEMENTS

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Movement in Stage 2 Impairment				
Balance as at 1 January	24,197,486	28,817,796	25,205,508	29,929,889
Charge/ (Reversal) during the year	6,087,181	(3,735,358)	6,078,280	(3,746,796)
Exchange rate variance on foreign currency impairment	635,093	(884,952)	635,093	(884,952)
Other movements	-	-	(270,912)	(92,633)
Balance as at 31 December	30,919,760	24,197,486	31,647,969	25,205,508

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Movement in Stage 3 impairment				
Balance as at 1 January	199,958,825	188,479,545	200,267,573	188,817,113
Charge/ (Reversal) during the year	17,075,258	22,594,776	17,004,532	22,522,617
Amount recovered during the year	(14,721,702)	(9,818,107)	(14,721,702)	(9,818,107)
Exchange rate variance on foreign currency impairment	1,628,829	(1,297,389)	1,628,829	(1,297,389)
Amount written-off during the year	(116,491)	(69,134)	(116,491)	(69,134)
Other movements	116,491	69,134	101,513	112,473
Balance as at 31 December	203,941,210	199,958,825	204,164,254	200,267,573

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Movement in total impairment				
Balance as at 1 January	258,454,172	248,709,815	260,867,550	251,369,300
Charge/ (reversal) during the year	35,386,369	22,244,478	35,294,242	22,143,444
Amount recovered during the year	(14,721,702)	(9,818,107)	(14,721,702)	(9,818,107)
Exchange rate variance on foreign currency impairment	3,400,923	(2,682,014)	3,400,923	(2,682,014)
Amount written-off during the year	(116,491)	(69,134)	(116,491)	(69,134)
Other movements	116,491	69,134	(461,303)	(75,939)
Balance as at 31 December	282,519,762	258,454,172	284,263,219	260,867,550

Note : Total impairment provision includes an Expected Credit Loss provisioning for cyclone Ditwah impact.

28.3 Sensitivity factors used to calculate impairment provision

		Sensitivity effect on impairment provisions	
	Sensitivity	2025	2024
		LKR '000	LKR '000
Change in Loss Given Default (LGD)	1%	2,447,148	1,305,721
	-1%	(2,447,148)	(1,305,721)
Change in Economic Factor Adjustment (EFA)	Worst case degrades by 5%	412,142	1,945,615
	Worst case upgrades by 5%	(412,142)	(1,945,615)

28.4 Lease rental receivables

Accounting policy

Assets leased to customers, which transfer substantially all the risks and rewards associated with ownership, other than legal title, are classified as finance leases. Amounts receivable under finance leases are classified as lease and hire purchase receivables and presented within loans and receivables to customers in the Statement of Financial Position, after deduction of unearned lease income and the impairment for rentals doubtful of recovery.

	Bank		Group	
As at 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Gross lease rentals receivable				
Within one year	15,697,132	8,645,507	22,351,430	14,633,068
One to two years	13,347,971	6,067,129	17,852,014	10,119,883
Two to three years	9,716,455	3,681,778	12,388,049	6,085,688
Three to four years	6,006,503	1,740,312	7,457,847	3,046,236
Four to five years	3,066,455	630,058	3,591,896	1,102,852
More than five years	856,286	166,102	994,808	290,745
	48,690,802	20,930,886	64,636,044	35,278,472
Less : Unearned finance income	8,602,477	3,647,462	11,644,302	6,384,505
Gross lease rentals receivables	40,088,325	17,283,424	52,991,742	28,893,967
Less : Accumulated impairment	1,834,710	776,329	2,235,515	1,358,883
Net lease rentals receivables	38,253,615	16,507,095	50,756,227	27,535,084

29 Financial assets at amortised cost - debt and other instruments

Accounting policy

Financial assets measured at amortised cost - debt and other instruments are initially measured at fair value and details are given in Note 4.4.8 to the financial statements. After initial measurement, subsequently measured at amortised cost using the Effective Interest Rate (EIR) less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the EIR. The amortisation is included in “Interest income” (Note 8.1) in the Statement of Profit or Loss. The losses arising from impairment of such investments are recognised in the Statement of Profit or Loss under "Impairment charge/ (reversal) for loans and other losses" (Note 14).

		Bank		Group	
As at 31 December	Note	2025	2024	2025	2024
		LKR '000	LKR '000	LKR '000	LKR '000
Government securities - In Sri Lanka					
Treasury bills		869,299,603	810,323,627	869,387,995	813,445,347
Treasury bonds		1,639,342,557	1,400,877,029	1,644,726,701	1,402,517,649
Sri Lanka International Sovereign Bonds	29.4	37,212,886	34,755,195	37,212,886	34,755,195
Debentures	29.5	2,485,356	1,791,119	2,895,114	2,199,773
Trust certificates	29.6	526,753	-	526,753	203,354
Domestic Dollar Bonds	29.7	13,065,721	-	13,065,721	-
Government securities - In other countries		53,588,623	36,420,793	53,992,175	37,594,595
Other investments		-	-	135,044	160,475
Gross financial assets at amortised cost - debt and other instruments		2,615,521,499	2,284,167,763	2,621,942,389	2,290,876,388
Less - Accumulated impairment	29.3	10,011,493	8,233,387	10,229,280	8,240,304
Net financial assets at amortised cost - debt and other instruments		2,605,510,006	2,275,934,376	2,611,713,109	2,282,636,084

NOTES TO THE FINANCIAL STATEMENTS

The Bank has adopted the Alternative Treatment (SoAT) on Reclassification of Debt Portfolio, issued by the Institute of Chartered Accountants of Sri Lanka and reclassified its debt portfolio of LKR 12.8 billion from Fair Value Through Other Comprehensive Income (FVOCI) to Amortised Cost (AC) with effect from 1 April 2022.

Amortised cost of the treasury bonds reclassified from FVOCI and outstanding as at 31 December 2025 amounted to LKR 5.9 billion. If the current portfolio is continued to be measured at FVOCI, the fair value and the cumulative fair value loss as at 31 December 2025 would have been LKR 5.7 billion and LKR 0.2 billion respectively.

29.1 Analysis of financial assets at amortised cost - debt and other instruments by currency

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Sri Lankan Rupee	2,511,654,269	2,212,991,775	2,517,671,607	2,218,526,598
United States Dollar	50,278,607	34,755,195	50,278,607	34,755,195
Great Britain Pound	-	-	403,552	1,173,802
Maldivian Rufiyaa	53,038,317	35,927,590	53,038,317	35,927,590
Seychellois Rupee	550,306	493,203	550,306	493,203
Total	2,615,521,499	2,284,167,763	2,621,942,389	2,290,876,388

29.2 Analysis of financial assets at amortised cost - debt and other instruments based on exposure to credit risk

Bank

As at 31 December	2025				2024
	Stage 1 LKR '000	Stage 2 LKR '000	Stage 3 LKR '000	Total LKR '000	Total LKR '000
Sri Lanka International Soverign Bonds	-	37,212,886	-	37,212,886	34,755,195
Domestic Dollar Bonds	13,065,721	-	-	13,065,721	-
Debentures	2,457,042	-	28,314	2,485,356	1,791,119
Trust certificates	526,753	-	-	526,753	-
Government securities - In Other Countries	53,588,623	-	-	53,588,623	36,420,793
	69,638,139	37,212,886	28,314	106,879,339	72,967,107
Less : Accumulated impairment	1,962,173	8,021,006	28,314	10,011,493	8,233,387
Total	67,675,966	29,191,880	-	96,867,846	64,733,720

Group

As at 31 December	2025				2024
	Stage 1 LKR '000	Stage 2 LKR '000	Stage 3 LKR '000	Total LKR '000	Total LKR '000
Sri Lanka International Soverign Bonds	-	37,212,886	-	37,212,886	34,755,195
Domestic Dollar Bonds	13,065,721	-	-	13,065,721	-
Debentures	2,866,800	-	28,314	2,895,114	2,199,773
Trust certificates	526,753	-	-	526,753	203,354
Government securities - In Other Countries	53,992,175	-	-	53,992,175	37,594,595
Other Investments	135,044	-	-	135,044	160,475
	70,586,493	37,212,886	28,314	107,827,693	74,913,392
Less : Accumulated impairment	2,179,960	8,021,006	28,314	10,229,280	8,240,304
Total	68,406,533	29,191,880	-	97,598,413	66,673,088

29.3 Movement in provision for impairment during the year

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Movement in Stage 1 impairment				
Balance as at 1 January	8,731	3,047	226,518	220,834
Charge/(Reversal) during the year	1,953,442	5,684	1,953,442	5,684
Balance as at 31 December	1,962,173	8,731	2,179,960	226,518

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Movement in Stage 2 impairment				
Balance as at 1 January	8,196,342	48,197,559	7,985,472	48,174,504
Charge/ (reversal) during the year	(274,421)	(36,199,145)	(274,421)	(36,374,221)
Exchange adjustment	99,085	(3,802,072)	309,955	(3,814,811)
Balance as at 31 December	8,021,006	8,196,342	8,021,006	7,985,472

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Movement in Stage 3 impairment				
Balance as at 1 January	28,314	28,314	28,314	28,314
Balance as at 31 December	28,314	28,314	28,314	28,314

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Movement in total impairment				
Balance as at 1 January	8,233,387	48,228,920	8,240,304	48,423,652
Charge/ (reversal) during the year	1,679,021	(36,193,461)	1,679,021	(36,368,537)
Exchange adjustment	99,085	(3,802,072)	309,955	(3,814,811)
Balance as at 31 December	10,011,493	8,233,387	10,229,280	8,240,304

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29.4 Sri Lanka International Sovereign Bonds (SLISBs) - US Dollar bonds

		Bank				Group			
As at 31 December		2025		2024		2025		2024	
	Date of maturity	Amount invested USD '000	Cost of investment LKR '000	Amount invested USD '000	Cost of investment LKR '000	Amount invested USD '000	Cost of investment LKR '000	Amount invested USD '000	Cost of investment LKR '000
Fixed Rate									
SLISBs - 4.00%	15.04.2025	-	-	6,644	1,943,874	-	-	6,644	1,943,874
SLISBs - 4.00%	15.04.2026	6,644	2,059,550	6,644	1,943,874	6,644	2,059,550	6,644	1,943,874
SLISBs - 4.00%	15.04.2027	6,644	2,059,550	6,644	1,943,874	6,644	2,059,550	6,644	1,943,874
SLISBs - 4.00%	15.04.2028	10,962	3,398,260	10,962	3,207,393	10,962	3,398,260	10,962	3,207,393
Floating Rate (Note 1)									
SLISBs	15.06.2029	12,348	3,827,826	12,348	3,612,833	12,348	3,827,826	12,348	3,612,833
SLISBs	15.06.2030	12,348	3,827,826	12,348	3,612,833	12,348	3,827,826	12,348	3,612,833
SLISBs	15.06.2031	12,348	3,827,826	12,348	3,612,833	12,348	3,827,826	12,348	3,612,833
SLISBs	15.06.2032	12,348	3,827,826	12,348	3,612,833	12,348	3,827,826	12,348	3,612,833
SLISBs	15.06.2033	18,522	5,741,740	18,522	5,419,250	18,522	5,741,740	18,522	5,419,250
SLISBs	15.06.2034	18,522	5,741,740	18,522	5,419,250	18,522	5,741,740	18,522	5,419,250
SLISBs	15.06.2035	18,522	5,741,740	18,522	5,419,250	18,522	5,741,740	18,522	5,419,250
SLISBs	15.06.2036	18,522	5,741,740	18,522	5,419,250	18,522	5,741,740	18,522	5,419,250
SLISBs	15.06.2037	18,522	5,741,740	18,522	5,419,250	18,522	5,741,740	18,522	5,419,250
SLISBs	15.06.2038	12,348	3,827,826	12,348	3,612,833	12,348	3,827,826	12,348	3,612,833
		178,600	55,365,190	185,244	54,199,430	178,600	55,365,190	185,244	54,199,430
Amortisation adjustment on interest		308	95,377	329	96,401	308	95,377	329	96,401
Provision for day one loss		(58,865)	(18,247,681)	(66,787)	(19,540,636)	(58,865)	(18,247,681)	(66,787)	(19,540,636)
Total Sri Lanka International Sovereign Bonds		120,043	37,212,886	118,786	34,755,195	120,043	37,212,886	118,786	34,755,195

Note . 2025 USD/LKR 309.9944 and 2024 USD/LKR 292.5833

Note 1

Applicable period	31-Mar-24 to 14-Dec-25	15-Dec-25 to 14-Dec-26	15-Dec-26 to 14-Dec-27	15-Dec-27 to 14-Dec-28	15-Dec-28 to 14-Dec-30	15-Dec-30 to 14-Dec-32	15-Dec-32 to 14-Dec-35	15-Dec-35 to 15-Jun-38
Applicable Interest Rate (%)	1.00	1.50	1.75	2.00	2.25	2.75	3.00	3.50

29.4.1 Restructuring of Sri Lanka International Sovereign Bonds (SLISBs)

In December 2024, the Governemnt of Sri lanka completed the restructuring of Sri Lanka International Sovereign Bonds (SLISBs). Consequently, the Bank recognised the newly issued Bonds and derecognised the investment held in SLISBs as at the date of restructuring.

The Bank elected to participating the local option of the SLISB restructuring proposal, which was specifically offered to local bond holders by the Government.

The new bonds have been classified under financial assets at amortised cost. As of 31 December 2025, the Bank has continued to recognise the new USD denominated bonds under stage 2. The LKR treasury bonds received in settlement of restructured SLISBs have been considered under stage 1 similar to the other Government securities denominated in LKR with no impairment provision recognised on such bonds. USD bonds have been classified under level 2 of the Fair Value Hierarchy in Note 63.2 to the Financial Statements.

29.5 Debentures

	Bank							
As at 31 December	2025					2024		
	Date of maturity	Coupon rate %	Number of debentures	Cost of investment LKR '000	Amortised cost LKR '000	Number of debentures	Cost of investment LKR '000	Amortised cost LKR '000
Browns Investments PLC	31.03.2027	15.42	500,000	50,000	50,021	500,000	50,000	51,935
Ceylon Electricity Board	15.04.2026	9.35	4,601,000	460,100	490,338	4,601,000	460,100	490,479
Commercial Credit and Finance PLC	04.03.2026	9.00	1,000,000	100,000	107,390	1,000,000	100,000	107,390
DFCC Bank PLC	29.03.2025	13.00	-	-	-	2,250,000	225,000	246,865
Kotagala Plantations PLC	31.08.2025	7.50	-	-	-	N/A	3,043	3,068
Kotagala Plantations PLC	31.08.2025	7.50	-	-	-	N/A	3,320	3,408
Lanka Orix Leasing Company PLC	24.02.2026	10.25	1,300,000	130,000	141,231	1,300,000	130,000	140,724
MTD Walkers PLC	N/A	11.75	254,780	25,478	28,314	254,780	25,478	28,314
People's Leasing and Finance PLC	05.08.2026	9.00	999,920	99,992	138,742	999,920	99,992	128,807
Siyapatha Finance PLC	06.06.2029	13.20	718,800	71,880	77,142	718,800	71,880	77,614
Sri Lanka Telecom PLC	19.04.2028	12.75	5,000,000	500,000	512,514	5,000,000	500,000	512,515
First Capital Treasuries	25.04.2030	12.00	435,100	43,510	47,022	-	-	-
Hayleys PLC	14.05.2030	11.15	1,032,300	103,230	104,684	-	-	-
Siyapatha Finance PLC	26.06.2030	11.40	1,032,400	103,240	109,143	-	-	-
Resus Energy PLC	09.07.2030	11.75	569,800	56,980	60,097	-	-	-
Alliance Finance PLC	28.08.2029	11.15	600,000	60,000	62,212	-	-	-
First Capital Holding PLC	29.09.2030	11.00	524,100	52,410	53,822	-	-	-
LOLC Finance PLC	10.12.2030	11.25	2,500,000	250,000	251,538	-	-	-
Assets Line Finance PLC	15.12.2030	11.00	2,500,000	250,000	251,146	-	-	-
Total debentures				2,356,820	2,485,356		1,668,813	1,791,119

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As at 31 December			Group					
			2025			2024		
	Date of maturity	Coupon rate %	Number of debentures	Cost of investment LKR '000	Amortised cost LKR '000	Number of debentures	Cost of investment LKR '000	Amortised cost LKR '000
Browns Investments PLC	31.03.2027	15.42	500,000	50,000	50,021	500,000	50,000	51,935
Ceylon Electricity Board	15.04.2026	9.35	4,601,000	460,100	490,338	4,601,000	460,100	490,479
Commercial Bank of Ceylon PLC	09.07.2029	12.60	259,603	25,960	26,236	259,603	25,960	26,236
Commercial Bank of Ceylon PLC	09.07.2029	13.00	260,314	26,031	26,231	260,314	26,031	27,577
Commercial Credit and Finance PLC	04.03.2026	9.00	1,000,000	100,000	107,390	1,000,000	100,000	107,390
DFCC Bank PLC	29.03.2025	13.00	-	-	-	2,250,000	225,000	246,865
DFCC Bank PLC	16.01.2029	15.25	592,991	59,299	63,937	592,991	59,299	67,456
Kotagala Plantations PLC	31.08.2025	7.50	-	-	-	N/A	3,043	3,068
Kotagala Plantations PLC	31.08.2025	7.50	-	-	-	N/A	3,320	3,408
Lanka Orix Leasing Company PLC	24.02.2026	10.25	1,300,000	130,000	141,231	1,300,000	130,000	140,724
MTD Walkers PLC	N/A	11.75	254,780	25,478	28,314	254,784	25,478	28,314
National Development Bank PLC	13.09.2029	13.25	1,738,279	173,828	187,555	1,738,279	173,828	178,101
People's Leasing and Finance PLC	05.08.2026	9.00	999,920	99,992	138,742	999,915	99,992	128,807
Siyapatha Finance PLC	06.06.2029	13.20	1,476,852	147,685	154,429	1,476,852	147,685	158,981
Seylan Bank PLC	31.12.2025	24.00	273,571	27,357	28,512	273,571	27,357	27,917
Sri Lanka Telecom PLC	19.04.2028	12.75	5,000,000	500,000	512,514	5,000,000	500,000	512,515
First Capital Treasuries	25.04.2030	12.00	435,100	43,510	47,022	-	-	-
Hayleys PLC	14.05.2030	11.15	1,032,300	103,230	104,684	-	-	-
Siyapatha Finance PLC	26.06.2030	11.40	1,032,400	103,240	109,143	-	-	-
Resus Energy PLC	09.07.2030	11.75	569,800	56,980	60,097	-	-	-
Alliance Finance PLC	28.08.2029	11.15	600,000	60,000	62,212	-	-	-
First Capital Holding PLC	29.09.2030	11.00	524,100	52,410	53,822	-	-	-
LOLC Finance PLC	10.12.2030	11.25	2,500,000	250,000	251,538	-	-	-
Assets Line Finance PLC	15.12.2030	11.00	2,500,000	250,000	251,146	-	-	-
Total debentures				2,745,100	2,895,114		2,057,093	2,199,773

29.6 Trust Certificates

As at 31 December	Bank				Group			
	2025		2024		2025		2024	
	Cost of investment LKR '000	Amortised cost LKR '000	Cost of investment LKR '000	Amortised cost LKR '000	Cost of investment LKR '000	Amortised cost LKR '000	Cost of investment LKR '000	Amortised cost LKR '000
Commercial Credit & Finance PLC	-	-	-	-	-	-	203,354	203,354
Vidul Lanka PLC	21,000	22,119	-	-	21,000	22,119	-	-
Mahindra Ideal Finance Limited	500,000	504,634	-	-	500,000	504,634	-	-
Total trust certificates	521,000	526,753	-	-	521,000	526,753	203,354	203,354

29.7 Domestic Dollar Bond

			Bank				Group			
As at 31 December			2025		2024		2025		2024	
	Date of maturity	Coupon rate %	Amount invested USD '000	Cost of investment LKR '000	Amount invested USD '000	Cost of investment LKR '000	Amount invested USD '000	Cost of investment LKR '000	Amount invested USD '000	Cost of investment LKR '000
Domestic Dollar Bond	10.12.2026	5.50%	5,000	1,549,972	-	-	5,000	1,549,972	-	-
Domestic Dollar Bond	10.12.2026	5.60%	5,000	1,549,972	-	-	5,000	1,549,972	-	-
Domestic Dollar Bond	10.12.2026	5.70%	5,000	1,549,972	-	-	5,000	1,549,972	-	-
Domestic Dollar Bond	10.12.2026	5.80%	5,000	1,549,972	-	-	5,000	1,549,972	-	-
Domestic Dollar Bond	10.12.2026	5.90%	5,000	1,549,972	-	-	5,000	1,549,972	-	-
Domestic Dollar Bond	10.12.2027	6.00%	5,000	1,549,972	-	-	5,000	1,549,972	-	-
Domestic Dollar Bond	10.12.2027	6.10%	5,000	1,549,972	-	-	5,000	1,549,972	-	-
Domestic Dollar Bond	10.12.2027	6.15%	5,000	1,549,972	-	-	5,000	1,549,972	-	-
Domestic Dollar Bond	10.12.2027	6.20%	5,000	619,989	-	-	5,000	619,989	-	-
			45,000	13,019,765	-	-	45,000	13,019,765	-	-
Amortisation adjustment on Interest			148	45,956	-	-	148	45,956	-	-
Total Domestic Dollar Bond			45,148	13,065,721	-	-	45,148	13,065,721	-	-

30 Financial assets measured at fair value through OCI

Accounting policy

Financial assets measured at fair value through OCI include equity instruments which are elected fair value through OCI option at the initial recognition and debt instruments which contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and interest on the principal amount outstanding; and are held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets.

All Financial assets measured at fair value through OCI are initially and subsequently measured at fair value. Unrealised gains and losses are recognised directly in equity in the 'OCI reserve' through Other Comprehensive Income. When the debt instrument under FVOCI is disposed off, the cumulative gain or loss previously recognised in OCI reserve is recognised in the Statement of Profit or Loss and reflected in "Net gains/ (losses) from derecognition of financial assets" (Note12). When the equity instrument under FVOCI is disposed off, the cumulative gain or loss previously recognised in OCI reserve is not recognised in the Statement of Profit or Loss and transfer directly to the retained profit. Interest earned whilst holding financial assets measured at fair value through OCI is reported as "Interest income" (Note 8.1). Dividends earned whilst holding financial assets measured at fair value through OCI are recognised in the Statement of Profit or Loss under "Net Other Operating Income" (Note 13) when the right of the payment has been established.

		Bank		Group	
As at 31 December	Note	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Government Securities in Sri Lanka					
Treasury bills		497,768	20,813,078	497,768	20,813,078
Treasury bonds		20,914,403	18,312,659	21,018,250	18,412,931
Government Securities in other countries		3,595,656	2,881,863	3,595,656	2,881,863
Quoted equities	30.2	6,963,581	5,343,122	9,224,546	7,055,362
Unquoted equities	30.3	5,407,768	4,698,931	5,407,822	4,699,529
Total financial assets measured at FVOCI		37,379,176	52,049,653	39,744,042	53,862,763

NOTES TO THE FINANCIAL STATEMENTS

30.1 By Currency

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Sri Lankan Rupee	28,761,910	44,855,017	31,126,776	46,668,127
United States Dollar	4,939,703	4,262,384	4,939,703	4,262,384
Euro	81,907	50,389	81,907	50,389
Indian Rupee	3,595,656	2,881,863	3,595,656	2,881,863
Total	37,379,176	52,049,653	39,744,042	53,862,763

30.2 Quoted equities

As at 31 December	2025			2024		
	Number of ordinary shares	Cost of investment LKR '000	Market value LKR '000	Number of ordinary shares	Cost of investment LKR '000	Market value LKR '000
Bank						
National Development Bank PLC	33,772,098	2,093,627	4,770,309	33,025,123	2,009,413	3,740,095
People's Leasing & Finance PLC	16,020,970	258,916	390,467	15,618,671	249,623	265,517
Seylan Bank PLC	17,169,574	676,201	1,802,805	17,169,574	676,201	1,337,510
Total quoted equities		3,028,744	6,963,581		2,935,237	5,343,122
Group						
Asiri Hospitals Holdings PLC	30	-	1	30	-	1
Ceylinco Insurance PLC	26	-	83	26	-	78
Hatton National Bank PLC	18	-	7	18	-	6
LVL Energy Fund PLC	-	-	-	2,500,000	20,000	16,500
National Development Bank PLC	33,772,098	2,093,627	4,770,309	33,025,123	2,009,413	3,740,095
People's Leasing and Finance PLC	16,020,970	258,916	390,467	15,618,671	249,623	265,517
Seylan Bank PLC	17,169,574	676,201	1,802,805	17,169,574	676,201	1,337,510
Lanka Hospital Corporation PLC	21,329,000	213,290	2,260,874	21,329,000	213,290	1,695,655
Total quoted equities		3,242,034	9,224,546		3,168,527	7,055,362

30.3 Unquoted equities

As at 31 December	Note	2025			2024		
		Number of ordinary shares	Cost of investment LKR '000	Market value LKR '000	Number of ordinary shares	Cost of investment LKR '000	Market value LKR '000
Bank							
Credit Information Bureau of Sri Lanka		46,600	43,645	43,645	46,600	43,645	43,645
Fitch Ratings Lanka Limited		62,500	625	625	62,500	625	625
LankaClear (Private) Limited		2,113,861	23,443	23,443	2,113,861	23,443	23,443
Lanka Financial Services Bureau Limited		500,000	5,000	5,000	500,000	5,000	5,000
MasterCard Incorporated		17,200	-	3,043,876	17,200	-	2,649,927
National Credit Guarantee Institution Limited		15,114,475	151,145	151,145	15,114,475	151,145	151,145
Regional Development Bank		16,448,448	162,300	162,300	16,448,448	162,300	162,300
Visa Inc.		17,438	-	1,895,827	17,438	-	1,612,457
SWIFT		29	64,016	81,907	29	64,016	50,389
			450,174	5,407,768		450,174	4,698,931
Fair value adjustment			4,957,594			4,248,757	
Less - Accumulated impairment	30.4		-			-	
Total unquoted equities			5,407,768	5,407,768		4,698,931	4,698,931
Group							
Ceylinco Investment Company Limited		500,000	5,000	-	500,000	5,000	-
Credit Information Bureau of Sri Lanka		47,140	43,699	43,699	47,140	43,699	43,699
Fitch Ratings Lanka Limited		62,500	625	625	62,500	625	625
LankaClear (Private) Limited		2,113,861	23,443	23,443	2,113,861	23,443	23,443
Lanka Financial Services Bureau Limited		500,000	5,000	5,000	500,000	5,000	5,000
MasterCard Incorporated		17,200	-	3,043,876	17,200	-	2,649,927
Mega Containers Limited		1,000,000	10,000	-	1,000,000	10,000	-
National Credit Guarantee Institution Limited		15,114,475	151,145	151,145	15,114,475	151,145	151,145
Regional Development Bank		16,448,448	162,300	162,300	16,448,448	162,300	162,300
Ranwan Industries (Private) Limited		165,790	3,600	-	165,790	3,600	-
UB Finance Company Limited		2,506,562	17,546	-	2,506,562	17,546	544
Visa Inc.		17,438	-	1,895,827	17,438	-	1,612,457
SWIFT		29	64,016	81,907	29	64,016	50,389
			486,374	5,407,822		486,374	4,699,529
Fair value adjustment			4,957,594			4,248,757	
Less - Accumulated impairment	30.4		36,146			35,602	
Total unquoted equities			5,407,822	5,407,822		4,699,529	4,699,529

30.4 Movement in provision for impairment during the year

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Movement in Stage 3 Impairment				
Balance as at 1 January	-	-	35,602	35,602
Other movements	-	-	544	-
Balance as at 31 December	-	-	36,146	35,602

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Movement in total impairment				
Balance as at 1 January	-	-	35,602	35,602
Other movements	-	-	544	-
Balance as at 31 December	-	-	36,146	35,602

31 Investment in subsidiary companies

Accounting policy

Subsidiaries are entities that are controlled by the Bank. Control is achieved when the Bank is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect the returns of those investees through its power over the investee. Specifically, the Bank controls an investee if, and only if, the Bank has:

- power over the investee
- exposure or rights to variable returns from its involvement with the investee
- the ability to use its power over the investee to affect its returns

The Financial Statements of subsidiaries are included in the Consolidated Financial Statements from the date that control commences until the date that control ceases. The Bank reassesses whether it has control if there are changes to one or more of the elements of control. A change in the ownership interest of a subsidiary, without loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it derecognises the related assets (including goodwill), liabilities, non-controlling interest (NCI) and other components of equity, while any resultant gain or loss is recognised in profit or loss. Any investment retained is recognised at fair value at the date of loss of control.

The Consolidated Financial Statements are prepared for the common financial year end of 31 December and have been prepared using uniform accounting policies for like transactions and other events in similar circumstances.

All intra group balances, income and expenses (except for foreign currency translation gains or losses) arising from intra group transactions are eliminated on consolidation. Unrealised gains and losses resulting from transactions between the Group and its associates are also eliminated on consolidation to the extent of the Group's interests in the associates. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

There are no significant restrictions on the ability of subsidiaries to transfer funds to the parent in the form of cash dividends or to repay loans and advances. All subsidiaries of the Bank have been incorporated in Sri Lanka except for Bank of Ceylon (UK) Limited, which is incorporated in the United Kingdom. A list of the Bank's subsidiaries is given in Note 31.5 to the Financial Statements.

		Bank	
As at 31 December	Note	2025 LKR '000	2024 LKR '000
Investment in quoted subsidiaries	31.3	3,922,772	3,922,772
Investment in unquoted subsidiaries	31.4	4,683,366	4,658,366
Total investment in subsidiaries		8,606,138	8,581,138
Less : Provision for impairment of investment in subsidiaries	31.2	500,736	500,736
Carrying value of investment in subsidiary companies		8,105,402	8,080,402

31.1 Movement in investment in subsidiary companies

	Bank	
As at 31 December	2025 LKR '000	2024 LKR '000
Balance as at 1 January	8,581,138	8,581,138
Increase/ (decrease) in investments*	25,000	-
Balance as at 31 December	8,606,138	8,581,138

* During the year the Bank has made a capital infusion of LKR 25.0 million to BOC IT Solutions (Private) Limited, formerly known as BOC Management and Support Services (Private) Limited.

31.2 Provision for impairment of investment in subsidiaries

	Bank	
As at 31 December	2025 LKR '000	2024 LKR '000
Balance as at 1 January	500,736	400,000
Impairment charge/ (reversal) during the year	-	100,736
Balance as at 31 December	500,736	500,736

During the year 2024 the Bank made impairment provision for the equity investment made in the Hotels Colombo (1963) Limited due to the identification of trigger events on the investment made; continuous loss making by the company and no dividend payment for a considerable period of time.

Further, the Bank continued to maintain the impairment provision made against the investment made in the Bank of Ceylon (UK) Limited as the Bank is of the view it is prudent to maintain the already made impairment provision considering the present performance of the Bank of Ceylon (UK) Limited.

31.3 Investment in quoted subsidiaries

	Bank			
As at 31 December	2025		2024	
	Cost LKR '000	Market value LKR '000	Cost LKR '000	Market value LKR '000
Merchant Bank of Sri Lanka and Finance PLC (401,577,368 Ordinary shares)	3,922,772	5,100,033	3,922,772	2,409,464
Total investment in quoted subsidiaries	3,922,772	5,100,033	3,922,772	2,409,464

31.4 Investment in unquoted subsidiaries

	Bank			
As at 31 December	2025		2024	
	Cost LKR '000	Directors' valuation LKR '000	Cost LKR '000	Directors' valuation LKR '000
BOC IT Solutions (Private) Limited (99,996 Ordinary shares)	26,000	26,000	1,000	1,000
BOC Property Development and Management (Private) Limited (100,999,998 Ordinary shares)	1,010,000	1,010,000	1,010,000	1,010,000
BOC Travels (Private) Limited (250,004 Ordinary shares)	2,500	2,500	2,500	2,500
Bank of Ceylon (UK) Limited (15,000,000 Ordinary shares)	2,683,860	2,283,860	2,683,860	2,283,860
Hotels Colombo (1963) Limited (10,073,667 Ordinary shares)	100,736	-	100,736	-
Property Development Limited (63,064,957 Ordinary shares)	860,270	860,270	860,270	860,270
Total investment in unquoted subsidiaries	4,683,366	4,182,630	4,658,366	4,157,630

31.5 Information relating to subsidiaries of the Bank

	Ownership interest held by the Bank (Including indirect interest)	
As at 31 December	2025 %	2024 %
Quoted subsidiaries		
Merchant Bank of Sri Lanka and Finance PLC (MBSL)	84.50	84.50
Unquoted subsidiaries		
BOC IT Solutions (Private) Limited (ITS)	100.00	100.00
BOC Property Development and Management (Private) Limited (PDML)	100.00	100.00
BOC Travels (Private) Limited (TRAVELS)	100.00	100.00
Hotels Colombo (1963) Limited (HCL)	99.99	99.99
Ceybank Holiday Homes (Private) Limited (HH)	100.00	100.00
MBSL Insurance Company Limited (MBSL INS)	45.47	45.47
Bank of Ceylon (UK) Limited (BOC UK)	100.00	100.00
Property Development Limited (PDL)	97.89	97.89

Note :

1. Ceybank Holiday Homes (Private) Limited and MBSL Insurance Company Limited are indirect subsidiaries of the Bank.
2. BOC Management and Support Services (Private) Limited (MSS) has been renamed as BOC IT Solutions (Private) Limited with effect from 10 August 2025.

31.6 Non-controlling interest (NCI) of subsidiaries

	2025			
	PDL	MBSL	MBSL INS	HCL
Equity interest held by the NCI (%)	2.11	15.50	54.53	0.01
Profit/ (loss) allocated during the year (LKR '000)	15,387	42,904	(126,470)	(2)
Accumulated balance of NCI as at 31 December (LKR '000)	87,759	668,265	319,025	(45)
Dividends paid to NCI (LKR '000)	6,809	-	-	-

	2024			
	PDL	MBSL	MBSL INS	HCL
Equity interest held by the NCI (%)	2.11	15.50	54.53	0.01
Profit/ (loss) allocated during the year (LKR '000)	13,764	31,024	24,235	(7)
Accumulated balance of NCI as at 31 December (LKR '000)	66,360	625,862	459,293	(38)
Dividends paid to NCI (LKR '000)	6,809	-	-	-

31.7 Summarised financial information of subsidiaries

	2025				
	PDL LKR '000	MBSL LKR '000	ITS* LKR '000	PDML LKR '000	TRAVELS LKR '000
Statement of profit or loss for the year					
Total income	1,574,391	7,910,632	10,107	664,929	306,826
Profit/ (loss) before tax	1,016,995	519,531	133	371,378	140,761
Profit/ (loss) after tax	729,221	276,798	93	258,490	140,761
Other comprehensive income	565,137	13,004	-	292,199	(1,625)
Total comprehensive income	1,294,358	289,802	93	550,689	139,136
Statement of financial position as at 31 December					
Total assets	8,179,315	54,359,338	27,098	3,295,430	553,600
Total liabilities	802,211	50,187,505	1,269	479,785	122,156
Net assets	7,377,104	4,171,833	25,829	2,815,645	431,444
Dividends paid	322,134	-	-	141,400	35,001
Statement of cash flows for the year					
Operating cash flows	315,313	(7,465,135)	(1,167)	156,700	94,572
Investing cash flows	41,643	(413,776)	-	24,400	(30,608)
Financing cash flows	(319,425)	7,113,795	25,000	(141,438)	(44,328)
Net increase/ (decrease) in cash and cash equivalents	37,531	(765,116)	23,833	39,662	19,636

* Previously known as BOC MSS

NOTES TO THE FINANCIAL STATEMENTS

	2024				
	PDL LKR '000	MBSL LKR '000	MSS LKR '000	PDML LKR '000	TRAVELS LKR '000
Statement of profit or loss for the year					
Total income	1,498,535	7,582,722	-	627,677	374,893
Profit/ (loss) before tax	935,426	456,172	-	415,170	105,996
Profit/ (loss) after tax	652,343	251,945	-	282,215	71,087
Other comprehensive income	(877,754)	(29,094)	-	62,269	(2,813)
Total comprehensive income	(225,411)	222,851	-	344,484	68,274
Statement of financial position as at 31 December					
Total assets	7,195,822	40,210,078	758	2,540,347	451,354
Total liabilities	792,775	36,316,555	22	133,991	124,045
Net assets	6,403,047	3,893,523	736	2,406,356	327,309
Dividends paid	322,134	-	-	154,530	35,001
Statement of cash flows for the year					
Operating cash flows	293,919	(5,769,354)	(97)	109,889	67,404
Investing cash flows	25,889	274,918	-	19,481	(26,695)
Financing cash flows	(319,439)	5,365,000	-	(154,530)	(45,270)
Net increase/ (decrease) in cash and cash equivalents	369	(129,436)	(97)	(25,160)	(4,561)

	2025			
	HCL LKR '000	HH LKR '000	MBSL INS LKR '000	BOC UK LKR '000
Statement of profit or loss for the year				
Total income	196,868	200,088	560,769	3,934,142
Profit/ (loss) before tax	(20,850)	(14,073)	(231,927)	150,535
Profit/ (loss) after tax	(20,850)	(14,073)	(231,927)	119,206
Other comprehensive income	-	-	43,081	767,723
Total comprehensive income	(20,850)	(14,073)	(188,846)	886,929
Statement of financial position as at 31 December				
Total assets	314,971	49,031	2,185,852	81,499,000
Total liabilities	764,911	116,868	1,444,164	75,042,527
Net assets	(449,940)	(67,837)	741,688	6,456,473
Dividends paid	-	-	-	-
Statement of cash flows for the year				
Operating cash flows	167,807	11,289	(207,014)	2,274,581
Investing cash flows	31,760	-	166,451	(271,405)
Financing cash flows	(158,674)	(11,934)	-	-
Net increase/ (decrease) in cash and cash equivalents	40,893	(645)	(40,563)	2,003,176

	2024			
	HCL LKR '000	HH LKR '000	MBSL INS LKR '000	BOC UK LKR '000
Statement of profit or loss for the year				
Total income	280,361	204,629	769,369	3,697,649
Profit/ (loss) before tax	(74,964)	10,372	44,444	159,359
Profit/ (loss) after tax	(74,964)	10,372	44,444	134,720
Other comprehensive income	-	-	(102)	(650,497)
Total comprehensive income	(74,964)	10,372	44,342	(515,777)
Statement of financial position as at 31 December				
Total assets	405,374	28,994	2,372,274	63,531,556
Total liabilities	786,400	82,852	1,376,345	57,962,013
Net assets	(381,026)	(53,858)	995,929	5,569,543
Dividends paid	-	-	-	-
Statement of cash flows for the year				
Operating cash flows	265,355	22,132	(323,226)	1,530,967
Investing cash flows	(129,486)	-	586,315	(47,402)
Financing cash flows	7,895	(10,734)	-	-
Net increase/ (decrease) in cash and cash equivalents	143,764	11,398	263,089	1,483,565

32 Investment in associate companies

Accounting policy

Associates are those entities in which the Bank has significant influence, but not control, over the financial and operating policies. Investments in associate entities are accounted for using the equity method (equity-accounted investees) and are recognised initially at cost. The cost of the investment includes transaction costs.

The Consolidated Financial Statements include the Bank's share of the profit or loss and other comprehensive income, after adjustments to align the accounting policies with those of the Group, from the date that significant influence commences until the date that significant influence ceases.

When the Bank's share of losses exceeds its interest in an equity accounted investee, the carrying amount of that interest, including any long term investments, is reported at nil and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee. If the associate subsequently reports profits, the Bank resumes recognising its share of those profits only after its share of the profits equals the share of losses not recognised.

A list of the Bank's associates is shown in Note 32.4 to the Financial Statements.

The Bank discontinues the use of the Equity Method from the date that it ceases to have significant influence over an associate and accounts for such investments in accordance with SLFRS 9 - "Financial Instruments"

Upon loss of significant influence over the associate, the Bank measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence and the fair value of the retained investment and proceeds from disposal is recognised in profit or loss.

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32.1 Unquoted associates

		Bank				Group			
As at 31 December		2025		2024		2025		2024	
	Note	Cost LKR '000	Carrying value LKR '000	Cost LKR '000	Carrying value LKR '000	Cost LKR '000	Carrying value LKR '000	Cost LKR '000	Carrying value LKR '000
Ceybank Asset Management Limited (1,240,002 ordinary shares)		31,048	31,048	31,048	31,048	418,963	418,963	377,791	377,791
Lanka Securities (Private) Limited (3,594,857 ordinary shares)		41,940	41,940	41,940	41,940	271,641	271,641	266,773	266,773
Southern Development Financial Company Limited (2,500,001 ordinary shares)		25,000	-	25,000	-	-	-	-	-
Transnational Lanka Records Solutions (Private) Limited (2,000,000 ordinary shares)		20,000	20,000	20,000	20,000	203,728	203,728	184,359	184,359
Total investment in unquoted associates		117,988	92,988	117,988	92,988	894,332	894,332	828,923	828,923
Less - Provision for impairment of investments in associates	32.3	25,000	-	25,000	-	-	-	-	-
Net investment in unquoted associates		92,988	92,988	92,988	92,988	894,332	894,332	828,923	828,923

32.2 Movement in investment in associate companies

	Bank		Group	
	Cost		Equity Value	
	2025 LKR ‘000	2024 LKR ‘000	2025 LKR ‘000	2024 LKR ‘000
Balance as at 1 January	117,988	117,988	828,923	737,115
Share of profit/ (loss), net of tax	-	-	242,191	112,488
Share of tax	-	-	(67,217)	(26,063)
Share of other comprehensive income, net of tax	-	-	30,421	16,795
Share of dividends	-	-	(123,281)	(9,300)
Other adjustments	-	-	(16,705)	(2,112)
Balance as at 31 December	117,988	117,988	894,332	828,923

32.3 Movement in provision for impairment of investment in associate companies

	Bank	
	2025 LKR ‘000	2024 LKR ‘000
Balance as at 1 January	25,000	25,000
Balance as at 31 December	25,000	25,000

32.4 Shareholding structure of associate companies

	Equity interest %		Shareholding structure	
Name of the company	2025	2024	Name	Holding %
Ceybank Asset Management Limited (CAML)	43.36	43.36	Bank of Ceylon	43.36
			Sri Lanka Insurance Corporation	26.57
			Unit Trust of India	17.48
			Carson Cumberbatch PLC	12.59
Lanka Securities (Private) Limited (LSL)	44.51	44.51	First Capital Securities Corporation Limited	51.00
			Merchant Bank of Sri Lanka and Finance PLC	29.00
			Bank of Ceylon (Bank of Ceylon indirectly hold 24.51%)	20.00
Transnational Lanka Records Solutions (Private) Limited (TLRS)	24.69	24.69	Transnational (Pte) Ltd - Singapore	62.96
			Bank of Ceylon	24.69
			Seylan Bank PLC	12.35
Southern Development Financial Company Limited (SDFC)*	41.67	41.67	Bank of Ceylon	41.67
			People's Bank	41.67
			Southern Development Authority of Sri Lanka	16.66

*SDFC is not in operation and in the process of liquidation.

32.5 Summarised financial information of associates

	2025		
	CAML LKR '000	LSL LKR '000	TLRS LKR '000
Statement of profit or loss for the year			
Total income	277,268	859,139	459,965
Profit / (loss) before tax	88,313	374,677	150,384
Profit / (loss) after tax	62,250	262,247	126,595
Other comprehensive income	70,160	-	-
Total comprehensive income	132,410	262,247	126,595
Statement of financial position as at 31 December			
Total assets	1,048,236	1,364,165	1,478,417
Current liabilities	52,794	742,996	151,689
Total liabilities	81,993	753,873	653,273
Net assets	966,243	610,292	825,144
Dividend paid during the year	18,513	249,951	16,201
Dividend received to the Bank (net) during the year	8,027	42,492	4,000

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	2024		
	CAML LKR '000	LSL LKR '000	TLRS LKR '000
Statement of profit or loss for the year			
Total income	284,839	354,247	403,444
Profit / (loss) before tax	118,473	45,628	151,977
Profit / (loss) after tax	85,012	31,940	129,857
Other comprehensive income	38,734	-	-
Total comprehensive income	123,746	31,940	129,857
Statement of financial position as at 31 December			
Total assets	974,255	1,613,752	1,341,206
Current liabilities	74,906	993,584	107,598
Total liabilities	102,966	1,014,396	585,956
Net assets	871,289	599,356	755,250
Dividend paid during the year	18,575	-	-
Dividend received to the Bank (net) during the year	8,054	-	-

33 Investment properties

Accounting policy

Recognition

Investment property is a property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Measurement

Investment property is accounted for under Cost Model in the Financial Statements. Accordingly, after initial recognition as an asset, the property is carried at its cost, less accumulated depreciation and impairment losses.

If any property is reclassified to investment property due to changes in its use, fair value of such property at the date of reclassification becomes its cost for subsequent accounting.

Depreciation

Depreciation is provided on a straight-line basis over the estimated life of the class of asset from the date of purchase up to the date of disposal. Provision for depreciation is made over the period of 20 years at the rate of 5% per annum using the straight-line method for buildings classified as investment property. Land is not depreciated under normal circumstances.

Derecognition

Investment properties are derecognised when they are disposed of, or permanently withdrawn from use since no future economic benefits are expected. Transfers are made to and from investment property only when there is a change in use. When the use of a property changes such that it is reclassified as Property, Plant and Equipment, its fair value at the date of reclassification becomes its cost for subsequent accounting.

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Cost				
Balance as at 1 January	3,003,007	3,003,007	145,247	148,247
Disposals	-	-	(4,688)	(3,000)
Balance as at 31 December	3,003,007	3,003,007	140,559	145,247
Less : Accumulated depreciation/ impairment				
Balance as at 1 January	588,367	588,367	145,247	52,801
Charge for the year	-	-	-	92,446
Disposals	-	-	(4,688)	-
Balance as at 31 December	588,367	588,367	140,559	145,247
Net investment properties	2,414,640	2,414,640	-	-

Rental income generated from investment properties for the year 2025 is LKR 38.2 million (2024 - LKR 32.4 million). Direct operating expenses incurred for the investment properties for the year 2025 is LKR 19.7 million (2024 - LKR 16.8 million).

Building value of LKR 588.4 million in Bank's Investment Property is fully depreciated as at 31 December 2021.

33.1 Unobservable inputs considered in measuring fair value

Significant unobservable inputs	Range of estimates for unobservable inputs	Sensitivity of fair value to unobservable inputs
Estimated value per perch	LKR 12.0 million - LKR 16.0 million	Positively correlated sensitivity

33.2 Investment properties held by the bank and group

33.2.1 Bank

As at 31 December					2025				2024	
					Cost			Fair value	Cost	Fair value
	No. of Buildings	Basis of valuation	Building (Square feet)	Extent of Land (Perches)	Land	Building	Total	total	total	total
					LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
York street building, No.02, York Street, Colombo 01	01	Market Value Basis	261,610	182	2,414,640	588,367	3,003,007	3,003,007	3,003,007	3,003,007
Total					2,414,640	588,367	3,003,007	3,003,007	3,003,007	3,003,007

33.2.2 Group

As at 31 December					2025				2024	
					Cost			Fair value total	Cost total	Fair value total
	Basis of valuation	Number of buildings	Land extent (Perches)	Building (square feet)	Land LKR '000	Building LKR '000	Total LKR '000	LKR '000	LKR '000	LKR '000
No. 385/1, Kotte Road, Pittakotte.	Market Comparable Method	1	19.01	2,896	-	-	-	-	4,688	-
No. 102 and 104, Dam Street, Colombo 12.	Market Comparable Method	1	50.70	20,368	17,970	11,989	29,959	-	29,959	-
Kumbuththukuliya watte, Bangadeniya Road, Puttalam.	Contractor's Method	-	320.00	-	600	-	600	-	600	-
Fingara Town and Country Club, No. 50/21, Old Kesbawa Road, Boralesgamuwa.	Market Comparable Method	1	364.35	54,826	65,604	44,396	110,000	-	110,000	-
Total					84,174	56,385	140,559	-	145,247	-

Note :

The fair value of the investment properties as at 31 December 2025 was based on market valuations carried out in the year 2024 by Mr. S.A.M.A. Perera F.I.V. (Sri Lanka) chartered valuer (MRICS UK) and Vlr. K.P.S.K. Chandani [BSc (Special) estate management and valuation (Sri Lanka), MSc in Real estate management and valuation (Sri Lanka)], who are independent valuers not connected with the companies. The directors have reviewed values of the investment properties as at 31 December 2025 and impairment was adjusted accordingly.

34 Property, plant and equipment

Accounting policy

Recognition

Property, plant and equipment (PPE) are recognised if it is probable that future economic benefits associated with the assets will flow to the Group and the cost of the asset can be reliably measured.

Measurement

Cost of Property, plant and equipment includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is also capitalised as part of that equipment.

Items of property, plant and equipment are measured at cost less accumulated depreciation and accumulated impairment losses. Revaluation model is applied for entire class of freehold land and buildings and buildings on leasehold lands. The Market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use are taken into account in measuring the fair value.

Properties that carried at revaluation amount being their fair value at the date of revaluation, less any subsequent accumulated depreciation and subsequent accumulated impairment losses. Freehold land and building of the Group are revalued every three to five years or more frequently if the fair values are substantially different from their carrying amounts to ensure that the carrying amounts do not differ from the fair values at the reporting date. Any surplus arising on revaluation of an asset is accumulated under the Revaluation Reserve in Equity through Other Comprehensive Income. However, if there is any revaluation deficit of the same asset previously recognised on profit or loss, revaluation surplus is recognised on Profit or Loss to the extent it reverse such deficit.

Any deficit arising on revaluation of assets are recognised on Profit or Loss and such deficit is recognised in Other Comprehensive Income to the extent of any credit balance existing in the revaluation reserve in respect of that asset.

Accumulated depreciation as at revaluation date is eliminated against the gross carrying amount of assets and the net amount restated to the revalued amount of the assets. Where the carrying value of the property, plant and equipment are reviewed for impairment, when an event or changes in circumstances indicate that the carrying value may not be recoverable.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of PPE.

Subsequent costs

The cost of replacing a part of an item of PPE is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The costs of the day to day servicing of property, plant and equipment are recognised in the Statement of Profit or Loss in "Other expenses" (Note 17) as incurred.

Capital work in progress

Capital work in progress is stated at cost. These are expenses of a capital nature directly incurred in the construction of buildings, awaiting capitalisation.

Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the asset. All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that the bank incurs in connection with the borrowing of funds.

Depreciation

Depreciation is recognised in Statement of Profit or Loss on a straight line basis over the estimated useful lives of each part of an item of Property, Plant and Equipment since this method most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. Leased assets under finance leases are depreciated over the shorter of the lease term and their useful lives. Land is not depreciated. Further, cost of expansion and major renovations on the building are depreciated over the remaining useful lives of the original buildings.

Provisioning for depreciation of PPE is made on pro rata basis.

The Group’s estimated useful lives for the current and comparative periods are as follows:

Freehold buildings	40 - 60 years
Office equipment	03-08 years
Furniture and fittings	08 years
Computer equipment	04-05 years
Motor vehicles	04 years

Depreciation methods, useful lives and residual values are reassessed at each financial year end and adjusted if appropriate.

Useful life and residual values

Residual value is the amount that Group could receive for an asset at the reporting date if the asset was already at the age and in the condition that it will be in when the Group expects to dispose it.

The residual value and useful life of an asset are reviewed at least at each reporting date, changes in the residual value and useful life are accounted for prospectively as a change in an accounting estimate only if the residual value is material.

Derecognition

The carrying amount of an item of property, plant and equipment is derecognised on disposal, replacement or when no future economic benefits are expected from its use. The gain or loss arising from the derecognition of an item of property, plant and equipment is included in the "Net other operating income" (Note 13) / "Other expenses" (Note 17) in the Statement of Profit or Loss in the year the item is derecognised.

Reclassification as investment property

When the use of property changes such that is reclassified as investment property, its fair value at the date of reclassification becomes its cost for subsequent accounting. Any gain arising on re-measurement is recognised in the Statement of Profit or Loss to the extent that it reverses a previous impairment loss on the specific property, with any remaining gain recognised in Other Comprehensive Income and presented in revaluation reserve in equity. Any loss is recognised immediately in the Statement of Profit or Loss.

34.1 Bank

	Freehold land	Freehold building	Buildings on leasehold land	Equipment [Note 34.12.1]	Motor vehicles	Leasehold motor vehicles	Capital work in progress	2025 Total	2024 Total
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Cost or valuation									
As at 1 January	25,821,192	7,654,954	4,222,755	26,196,236	1,650,870	34,583	696,516	66,277,106	61,354,983
Additions during the year									
Acquisitions/ Additions	-	103,836	48,227	2,907,035	-	-	192,967	3,252,065	5,010,986
Capitalisations	-	27,104	247,685	-	-	-	(274,789)	-	-
Disposals during the year	-	-	-	(255,449)	(2,894)	-	-	(258,343)	(197,143)
Exchange rate adjustments	-	-	-	19,615	354	-	-	19,969	(90,499)
Transfers / adjustments	-	-	-	-	-	-	(93,348)	(93,348)	198,779
As at 31 December	25,821,192	7,785,894	4,518,667	28,867,437	1,648,330	34,583	521,346	69,197,449	66,277,106
Accumulated depreciation									
As at 1 January	-	264,683	358,459	18,347,826	1,650,298	34,583	-	20,655,849	18,790,485
Charge for the year	-	263,436	139,726	2,233,091	512	-	-	2,636,765	2,130,103
Disposals during the year	-	-	-	(251,026)	(2,894)	-	-	(253,920)	(196,009)
Exchange rate adjustments	-	-	-	15,782	414	-	-	16,196	(68,591)
Transfers / adjustments	-	-	-	-	-	-	-	-	(139)
As at 31 December	-	528,119	498,185	20,345,673	1,648,330	34,583	-	23,054,890	20,655,849
Net book value as at 31 December 2025	25,821,192	7,257,775	4,020,482	8,521,764	-	-	521,346	46,142,559	
Net book value as at 31 December 2024	25,821,192	7,390,271	3,864,296	7,848,410	572	-	696,516		45,621,257

34.2 Group

	Freehold land LKR '000	Freehold building LKR '000	Buildings on leasehold land LKR '000	Equipment [Note 34.12.2] LKR '000	Motor vehicles LKR '000	Leasehold motor vehicles LKR '000	Capital work in progress LKR '000	2025 Total LKR '000	2024 Total LKR '000
Cost or valuation									
As at 1 January	29,060,161	11,743,598	14,671,121	27,839,929	1,844,240	58,599	1,475,499	86,693,147	82,223,050
Additions during the year									
Acquisitions/ Additions	949	133,084	48,227	3,083,916	1,955	-	919,075	4,187,206	5,325,538
Capitalisations	-	27,104	247,685	-	-	-	(274,789)	-	-
Changes in revaluation surplus/ (deficit)	-	278,939	374,942	-	-	-	-	653,881	(139,720)
Transfer of accumulated depreciation on revalued assets	-	(55,837)	(299,981)	-	-	-	-	(355,818)	(343,935)
Disposals during the year	-	(949)	-	(496,089)	(28,506)	-	(262,025)	(787,569)	(239,816)
Exchange rate adjustments	97,013	103,429	-	23,206	353	-	-	224,001	(204,308)
Transfers / adjustments	-	-	-	-	-	-	(93,348)	(93,348)	72,338
As at 31 December	29,158,123	12,229,368	15,041,994	30,450,962	1,818,042	58,599	1,764,412	90,521,500	86,693,147
Accumulated depreciation									
As at 1 January	-	1,241,423	1,098,594	19,695,902	1,842,003	52,980	453,988	24,384,890	22,656,152
Charge for the year	-	442,517	476,800	2,313,480	3,984	-	-	3,236,781	2,609,870
Transfer of accumulated depreciation on revalued assets	-	(55,837)	(299,981)	-	-	-	-	(355,818)	(343,935)
Disposals during the year	-	-	-	(254,924)	(28,056)	-	-	(282,980)	(231,306)
Exchange rate adjustments	-	(6,108)	-	27,394	412	-	-	21,698	(225,755)
Transfers/ adjustments	-	-	-	98,385	(447)	-	(34,876)	63,062	(80,136)
As at 31 December	-	1,621,995	1,275,413	21,880,237	1,817,896	52,980	419,112	27,067,633	24,384,890
Net book value as at 31 December 2025	29,158,123	10,607,373	13,766,581	8,570,725	146	5,619	1,345,300	63,453,867	-
Net book value as at 31 December 2024	29,060,161	10,502,175	13,572,527	8,144,027	2,237	5,619	1,021,511		62,308,257

34.3 Title restriction on property, plant and equipment

There were no restrictions that existed in the title of the property, plant and equipment of the Bank and the Group as at the reporting date.

34.4 Property, plant and equipment pledged as security for liabilities

No freehold property, plant and equipment have been pledged as security for any liability.

34.5 Compensation from third parties for items of property, plant and equipment

There were no compensation received / receivable from third parties for items of Property, Plant and Equipment which were impaired or given up.

34.6 Fully depreciated property, plant and equipment

The initial cost of fully depreciated property, plant and equipment which are still in use are as follows ;

	Bank		Group	
As at 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Motor vehicles	1,648,330	1,650,298	1,791,000	1,792,326
Computer equipments	9,035,017	8,059,838	9,338,699	8,338,181
Equipment, furniture, and fittings	3,184,446	2,881,514	3,355,669	3,012,380
Buildings on leasehold lands	636,976	631,631	636,976	631,631
Plant and machinery	2,437,089	2,156,726	2,441,588	2,158,077
Total	16,941,858	15,380,007	17,563,932	15,932,595

34.7 Temporarily idle property, plant and equipment

There were no temporarily idle property, plant and equipment as at the reporting date.

34.8 Property, plant and equipment retired from active use

The Group held no property, plant and equipment retired from active use and which were not classified as held for sale in accordance with SLFRS 5 - "Non-current assets held for sale and discontinued operations".

34.9 Freehold properties

The carrying value of freehold properties, that would have been recognised in the Financial Statements, if they were carried at cost less accumulated depreciation is as follows ;

34.9.1 Bank

As at 31 December	2025			2024		
	Cost	Accumulated depreciation	Net book value	Cost	Accumulated depreciation	Net book value
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Land	2,172,855	-	2,172,855	2,172,855	-	2,172,855
Building	5,291,411	(1,635,771)	3,655,640	5,160,471	(1,372,335)	3,788,136
Total	7,464,266	(1,635,771)	5,828,495	7,333,326	(1,372,335)	5,960,991

34.9.2 Group

As at 31 December	2025			2024		
	Cost	Accumulated depreciation	Net book value	Cost	Accumulated depreciation	Net book value
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Land	2,130,564	-	2,130,564	2,032,602	-	2,032,602
Building	6,433,488	(2,604,427)	3,829,061	6,170,820	(2,168,018)	4,002,802
Total	8,564,052	(2,604,427)	5,959,625	8,203,422	(2,168,018)	6,035,404

34.10 Revaluation of leasehold / freehold properties - Group

The following buildings on leasehold / freehold lands of the subsidiaries were revalued during the year by professionally qualified independent valuers.

Freehold Buildings

			2025		
Details of properties	Valuer	Basis of valuation	Carrying value LKR '000	Revalued amount of Building LKR '000	Surplus/ (Loss) of Building LKR '000
BOC Property Development and Management (Private) Limited, Bank of Ceylon - Merchant Tower, St. Micheal's Road, Colombo 03 (Revalued as at 31 December 2025)	Upali S Silva and Lochana I Silva	Income Approach	2,497,360	2,776,300	278,940

Leasehold Buildings

			2025		
Details of properties	Valuer	Basis of valuation	Carrying value LKR '000	Revalued amount of Building LKR '000	Surplus/ (Loss) of Building LKR '000
Property Development Limited Bank of Ceylon Head Office Building, "BOC Square", Colombo 01 (Revalued as at 31 December 2025)	Prathap Chartered Valuation and Consultancy (Pvt) Ltd	Depreciated Replacement Cost method	8,739,554	9,100,308	360,754
BOC Property Development and Management (Private) Limited Bank of Ceylon - Ceybank house, No. 86, Sri Dalada Veediya, Kandy (Revalued as at 31 December 2025)	Upali S Silva and Lochana I Silva	Contractor's method	768,112	782,300	14,188

34.11 Unobservable inputs considered in measuring fair value

The following table depicts information about significant unobservable inputs used in measuring fair value of the assets categorised under Level 3 of the fair value hierarchy.

34.11.1 Bank

The Bank has made last valuation of properties during the year 2023 and used following assumptions

			2025		
Type of asset	Fair value as at 31.12.2025 LKR'000	Valuation technique	Significant unobservable inputs	Range of estimates for unobservable inputs	Sensitivity of fair value to unobservable inputs
Freehold land	25,821,192	Contractor's method	Estimated cost per perch	LKR 50,000 - LKR 19,053,000	Positively correlated sensitivity
Freehold buildings	7,257,775	Contractor's method	Estimated cost per square feet	LKR 600 -LKR 59,000	Positively correlated sensitivity
Buildings on leasehold lands	4,020,482	Rental value basis	Estimated rental value per square feet	LKR 110 - LKR 11,250	Positively correlated sensitivity
			Expected market rental growth p.a	5%	Positively correlated sensitivity
			Anticipated maintenance cost	40%	Negatively correlated sensitivity
			Discount rate	5.5%	Negatively correlated sensitivity

34.11.2 Group

			2025		
Type of asset	Fair value as at 31.12.2025 LKR'000	Valuation technique	Significant unobservable inputs	Range of estimates for unobservable inputs	Sensitivity of fair value to unobservable inputs
Freehold land	29,158,123	Market comparable method	Estimated cost per perch	LKR 50,000 - LKR 20,000,000	Positively correlated sensitivity
Freehold buildings	10,607,373	Discounted cash flow method	Estimated cost per square feet	LKR 600 - LKR 59,000	Positively correlated sensitivity
Buildings on leasehold lands	13,766,581	Discounted cash flow method	Estimated rental value per square feet	LKR 110 - LKR 23,000	Positively correlated sensitivity
			Expected market rental growth p.a	5% -7.5%	Positively correlated sensitivity
			Anticipated maintenance cost	40%	Negatively correlated sensitivity
			Discount rate	5.5% -10%	Negatively correlated sensitivity

34.12 Equipment

34.12.1 Bank

	Computer Equipment LKR '000	Furniture and Fittings LKR '000	Office Equipment LKR '000	2025 Total LKR '000	2024 Total LKR '000
Cost					
Balance as at 1 January	14,422,221	7,172,857	4,601,158	26,196,236	22,273,159
Additions during the year					
Acquisitions	1,762,309	525,549	619,177	2,907,035	4,195,689
Disposals during the year	(176,388)	(49,764)	(29,297)	(255,449)	(187,034)
Exchange rate adjustments	14,432	(144)	5,327	19,615	(85,578)
Balance as at 31 December	16,022,574	7,648,498	5,196,365	28,867,437	26,196,236
Accumulated depreciation					
Balance as at 1 January	10,303,759	4,851,917	3,192,150	18,347,826	16,867,078
Charge for the year	1,378,131	552,467	302,493	2,233,091	1,736,722
Disposals during the year	(176,154)	(49,764)	(25,108)	(251,026)	(185,900)
Exchange rate adjustments	11,373	544	3,865	15,782	(69,935)
Transfers / adjustments	-	-	-	-	(139)
Balance as at 31 December	11,517,109	5,355,164	3,473,400	20,345,673	18,347,826
Net book value as at 31 December 2025	4,505,465	2,293,334	1,722,965	8,521,764	
Net book value as at 31 December 2024	4,118,462	2,320,940	1,409,008		7,848,410

34.12.2 Group

	Computer Equipment LKR '000	Furniture and Fittings LKR '000	Office Equipment LKR '000	2025 Total LKR '000	2024 Total LKR '000
Cost					
Balance as at 1 January	15,208,197	7,976,272	4,655,460	27,839,929	23,956,161
Additions during the year					
Acquisitions	1,871,389	592,477	620,050	3,083,916	4,302,256
Disposals during the year	(413,539)	(53,055)	(29,495)	(496,089)	(192,487)
Exchange rate adjustments	4,199	13,679	5,328	23,206	(226,001)
Balance as at 31 December	16,670,246	8,529,373	5,251,343	30,450,962	27,839,929
Accumulated depreciation					
Balance as at 1 January	10,941,659	5,463,459	3,290,784	19,695,902	18,319,157
Charge for the year	1,415,568	593,067	304,845	2,313,480	1,811,462
Disposals during the year	(176,757)	(53,055)	(25,112)	(254,924)	(190,935)
Exchange rate adjustments	7,676	15,854	3,864	27,394	(229,971)
Transfers / Adjustments	98,798	(235)	(178)	98,385	(13,811)
Balance as at 31 December	12,286,944	6,019,090	3,574,203	21,880,237	19,695,902
Net book value as at 31 December 2025	4,383,302	2,510,283	1,677,140	8,570,725	
Net book value as at 31 December 2024	4,266,538	2,512,813	1,364,676		8,144,027

NOTES TO THE FINANCIAL STATEMENTS

34.13 The details of Freehold land and building held by the bank as at 31 December 2025 are as follows:

Name of Premises	No. of Buildings	Land Extent (Perches)	Building (Square feet)	Date of valuation	Valuer
Central Province					
Galaha Branch, 59/37, Deltota Road, Galaha	1	15.00	8,410	30.11.2023	R H Jayawardana
Gampola Branch, 44, Kadugannawa Road, Gampola	1	175.00	11,404	30.11.2023	R A R M N Rajakaruna
Galewela Branch, 158, Dambulla Road, Galewela	1	47.00	6,958	30.11.2023	R A R M N Rajakaruna
Hatton Branch and Staff Quarters, 46, Circular Road, Hatton	2	139.57	11,041	30.11.2023	R H Jayawardana
Kandy 2nd City Branch, Ceybank House, 88, Dalada Veediya, Kandy	1	42.81	33,589	30.11.2023	R A R M N Rajakaruna
Kandapola Branch, 31,33, Main Street, Kandapola	1	14.10	5,248	30.11.2023	R H Jayawardana
Maskeliya Branch, 66, Upcot Road, Maskeliya	1	42.05	6,607	30.11.2023	R H Jayawardana
Nawalapitiya Branch, 6, Gampola Road, Nawalapitiya	1	21.92	9,790	30.11.2023	R A R M N Rajakaruna
Nuwara Eliya Branch, 43, Lawson Street, Nuwara Eliya	1	133.50	9,859	30.11.2023	R H Jayawardana
Nuwara Eliya Staff Quarters, 14,19, Hill Street, Nuwara Eliya	1	41.40	4,847	30.11.2023	R H Jayawardana
Nuwara Eliya Property Ladies Staff Quarters, 12, Hill Street, Nuwara Eliya	1	14.99	1,303	30.11.2023	R H Jayawardana
Rikillagaskada Branch, 3, Dimbulkubura Road, Rikillagaskada	1	19.60	6,487	30.11.2023	R A R M N Rajakaruna
Thalawakele Branch, 23,25,29, Hatton Road, Talawakele	1	25.30	7,332	30.11.2023	R H Jayawardana
Thalawakele Staff Quarters, Talawakele Estate ,Thalawakele	1	160.00	4,898	30.11.2023	R H Jayawardana
Eastern Province					
Batticaloa Branch, 19, Govington Road, Batticaloa	1	64.85	9,585	30.11.2023	P Santhirasegaram
Mutur Branch (New), 36/1 Trincomalee Road, Ward No 07, Mutur	1	71.00	9,532	30.11.2023	P P T Mohideen
Potuvil Branch, Main Street, Pottuvil	1	10.70	4,500	30.11.2023	P Santhirasegaram
Trincomalee Branch, 24, Inner Harbour Road, Trincomalee	1	90.00	10,810	30.11.2023	P P T Mohideen
Trincomalee City Branch, 09, Main Street, Trincomalee	1	21.90	9,620	30.11.2023	P P T Mohideen
Valachchenai Branch, Main Street, Valachchenai	1	47.34	6,621	30.11.2023	P Santhirasegaram
Northern Province					
Jaffna Area Office & Branch, 476,476A,Hospital Road, Jaffna	2	166.25	23,641	30.11.2023	P P T Mohideen
Jaffna 2nd Branch, 56, Stanley Road, Jaffna	1	33.89	17,361	30.11.2023	P P T Mohideen
Karainagar Branch, Post Office View, Karainagar	1	20.09	3,170	30.11.2023	P P T Mohideen
Mannar Branch (Land), Moor Street ,Mannar	-	63.22	-	30.11.2023	P P T Mohideen
Nelliadi Branch, 23, Kodikamam Road, Nelliady	1	42.74	10,889	30.11.2023	P P T Mohideen
North Western Province					
Alawwa Branch, 64, Giriulla Road, Alawwa	1	30.80	7,011	30.11.2023	R W M S B Rajapaksha
Bingiriya Land, 44 ,Chilaw Road, Bingiriya	-	40.00	-	30.11.2023	R W M S B Rajapaksha
Chilaw Branch, Radaguru Edmund Peiris Mawatha, Chilaw	1	38.25	8,935	30.11.2023	R W M S B Rajapaksha
Dankotuwa Land, 01/60, Negombo Road, Dankotuwa	-	32.90	-	30.11.2023	R W M S B Rajapaksha
Dummalasooriya Branch, 227, Kuliyapitiya - Madampe Road, Dummalasuriya	1	41.68	6,139	30.11.2023	R W M S B Rajapaksha
Kurunegala Province Office, AGM's Quarters & CM Quarters, 18, Mihindu Mawatha, Kurunegala	3	225.00	20,575	30.11.2023	S R Yoganathan
Kurunegala Super Grade Branch, Commercial Complex, Kurunegala	1	-	12,242	30.11.2023	S R Yoganathan
Kurunegala 2nd City Branch, 35, Colombo Road, Kurunegala	1	49.40	29,294	30.11.2023	S R Yoganathan
Madampe Branch, 10, Station Road, Madampe	1	61.10	7,680	30.11.2023	S Hapugoda

Basis of Valuation	Revalued Amount of Land LKR '000	Revalued Amount / Carrying value of Buildings LKR '000	Total Revalued Amount / Carrying Value LKR '000	Accumulated depreciation LKR '000	Written Down value LKR '000
Contractor's Method	25,500	46,500	72,000	2,906	69,094
Contractor's Method	279,000	75,797	354,797	3,738	351,059
Contractor's Method	145,000	65,000	210,000	3,250	206,750
Contractor's Method	348,925	78,529	427,454	4,443	423,011
Contractor's Method	1,285,000	455,203	1,740,203	33,487	1,706,716
Contractor's Method	35,250	36,304	71,554	1,752	69,802
Contractor's Method	50,460	37,470	87,930	2,342	85,588
Contractor's Method	53,000	27,000	80,000	3,600	76,400
Contractor's Method	934,500	68,816	1,003,316	3,441	999,875
Contractor's Method	111,780	34,848	146,628	4,004	142,624
Contractor's Method	14,990	10,881	25,871	516	25,355
Cost Method	49,000	33,691	82,691	3,303	79,388
Contractor's Method	45,730	43,666	89,396	2,817	86,579
Contractor's Method	12,800	27,492	40,292	1,375	38,917
	3,390,935	**1,041,197**	**4,432,132**	**70,974**	**4,361,158**
Contractor's Method	130,000	30,000	160,000	1,500	158,500
Contractor's Method	31,172	56,745	87,917	2,837	85,080
Contractor's Method	32,100	15,900	48,000	795	47,205
Contractor's Method	103,500	27,858	131,358	27,859	103,499
Contractor's Method	47,540	76,960	124,500	3,848	120,652
Contractor's Method	88,900	11,975	100,875	598	100,277
	433,212	**219,438**	**652,650**	**37,437**	**615,213**
Contractor's Method	540,310	37,490	577,800	4,177	573,623
Contractor's Method	177,900	65,100	243,000	5,918	237,082
Contractor's Method	7,858	9,842	17,700	895	16,805
Contractor's Method	41,100	-	41,100	-	41,100
Contractor's Method	34,200	66,550	100,750	3,327	97,423
	801,368	**178,982**	**980,350**	**14,317**	**966,033**
Contractor's Method	69,000	31,000	100,000	1,550	98,450
Comparison Method	40,000	-	40,000	-	40,000
Contractor's Method	86,000	38,000	124,000	2,533	121,467
Comparison Method	65,800	-	65,800	-	65,800
Contractor's Method	62,500	31,482	93,982	1,563	92,419
Comparison Method	630,000	108,000	738,000	5,400	732,600
Comparison Method	-	278,000	278,000	13,900	264,100
Comparison Method	530,000	407,587	937,587	19,570	918,017
Contractor's Method	60,550	43,000	103,550	2,150	101,400

NOTES TO THE FINANCIAL STATEMENTS

Name of Premises	No. of Buildings	Land Extent (Perches)	Building (Square feet)	Date of valuation	Valuer
Madurankuliya Branch, 66 , Colombo Road, Madurankuliya	1	46.00	5,760	30.11.2023	S Hapugoda
Malsiripura Branch, 362, 358, Dambulla Road, Malsiripura	1	46.20	7,780	30.11.2023	S R Yoganathan
Marawila Branch (Land), 85, Negombo Road, Marawila	-	35.00	-	30.11.2023	S Hapugoda
Narammala Branch, 139, Negombo Road, Narammala	1	117.50	7,959	30.11.2023	S R Yoganathan
Nattandiya Branch (Land), 115, Marawila Road, Nattandiya	-	40.00	-	30.11.2023	S Hapugoda
Waikkal Branch (Land), 43/44, Thopputota, Waikkal	-	36.00	-	30.11.2023	S Hapugoda
Wariyapola Branch, 32,Kurunegala Road , Wariyapola	1	40.80	6,811	30.11.2023	S R Yoganathan
Sabaragamuwa Province					
Balangoda Branch, 137, 139 Main Street, Balangoda	1	14.50	3,520	30.11.2023	A G Gunaratna
Dehiowita Branch, 62 Main Street, Dehiowita	1	38.60	4,511	30.11.2023	A G Gunaratna
Kegalle Branch, 110, Colombo Road, Kegalle	1	131.38	17,250	30.11.2023	W A T I P Jayathilake
Ratnapura Branch, 6, Dharmapala Mawatha, Ratnapura	1	99.70	11,082	30.11.2023	W A T I P Jayathilake
Ratnapura City Branch and Province Office, 25, Shaviya Mawatha, Ratnapura	1	31.69	19,375	30.11.2023	W A T I P Jayathilake
Southern Province					
Ambalangoda Branch, 345, Galle Road, Ambalangoda	1	58.00	6,330	30.11.2023	U Rajapaksha
Ambalantota Branch, 11, Wanduruppa Road, Ambalantota	1	38.00	5,410	30.11.2023	U Rajapaksha
Ahangama Branch, 54,Galle Road, Ahangama	1	33.35	5,035	30.11.2023	U Rajapaksha
Batapola Branch, Aluthwatte, Batapola	1	46.80	3,024	30.11.2023	U Rajapaksha
Beliatta Branch, 67, Walasmulla Road, Beliatta	1	53.02	6,200	30.11.2023	U Rajapaksha
Deniyaya Land, Viharahena Road, Deniyaya	-	55.80	-	30.11.2023	U Rajapaksha
Galle Province Office, 20, Hospital Street ,Fort, Galle	1	32.63	14,250	30.11.2023	U Rajapaksha
Galle Branch, 2, Light House Street, Fort ,Galle	1	31.50	16,200	30.11.2023	U Rajapaksha
Galle City Branch, 7, Sri Dewamitta Mawatha,Galle	1	27.14	10,700	30.11.2023	D P L C De Silva
Hakmana Branch, Beliatta Road, Hakmana	1	36.70	3,400	30.11.2023	U Rajapaksha
Imaduwa Branch, Ahangama Road, Imaduwa	1	83.50	3,395	30.11.2023	U Rajapaksha
Karapitiya Land, 167A, Hirimbura Cross Road, Karapitiya	-	35.00	-	28.12.2023	D P L C De Silva
Matara Super Grade Branch & Southern Province Office, 11, Kumaratunga Mawatha, Matara	1	104.40	52,969	30.11.2023	U Rajapaksha
Matara Bazzar Branch, 58, New Tangalle Road, Matara	1	49.25	6,920	30.11.2023	U Rajapaksha
Nagoda Branch, Mapalagama Road, Nagoda	1	40.00	3,132	30.11.2023	W A T I P Jayathilake
Ranna Land, Main Street , Ranna	-	40.00	-	30.11.2023	U Rajapaksha
Tangalle Branch, 91/1, 91/2 , Tissa Road , Tangalle	1	21.05	5,370	30.11.2023	U Rajapaksha
Weeraketiya Branch, Belliatta Road, Weeraketiya	1	36.87	4,480	30.11.2023	U Rajapaksha
Weligama Branch, 239, Main Street, Weligama	1	97.75	8,394	30.11.2023	U Rajapaksha
Walasmulla Branch, 28, Beliatta Road, Walasmulla	1	38.00	8,045	30.11.2023	U Rajapaksha
Uva Province					
AGMs Quarters UVA, 1/90 Bandarawela Road, Badulla	1	220.00	3,836	30.11.2023	L H Lickson
Bandarawela Branch, 198B, Badulla Road, Bandarawela	1	10.60	7,731	30.11.2023	L H Lickson
Ettampitiya Branch, 23, Nuwara Eliya Road, Ettampitiya	1	20.35	3,729	30.11.2023	L H Lickson
Haputale Branch (Browns), 20, Station Road, Haputale	1	158.70	7,361	30.11.2023	L H Lickson

Basis of Valuation	Revalued Amount of Land LKR '000	Revalued Amount / Carrying value of Buildings LKR '000	Total Revalued Amount / Carrying Value LKR '000	Accumulated depreciation LKR '000	Written Down value LKR '000
Contractor's Method	80,000	59,000	139,000	2,950	136,050
Comparison's Method	97,000	90,000	187,000	4,500	182,500
Contractor's Method	52,500	-	52,500	-	52,500
Contractor's Method	164,000	73,000	237,000	3,650	233,350
Contractor's Method	60,000	-	60,000	-	60,000
Contractor's Method	50,000	-	50,000	-	50,000
Comparison's Method	112,000	173,620	285,620	5,898	279,722
	2,159,350	**1,332,689**	**3,492,039**	**63,664**	**3,428,375**
On Market Approach	80,000	-	80,000	-	80,000
Cost Approach	24,050	7,358	31,408	7,358	24,050
Contractor's Method	428,500	106,500	535,000	10,650	524,350
Contractor's Method	149,600	49,900	199,500	4,990	194,510
Contractor's Method	166,400	313,705	480,105	13,808	466,297
	848,550	**477,463**	**1,326,013**	**36,806**	**1,289,207**
Contractor's Method	156,600	53,989	210,589	2,686	207,903
Contractor's Method	76,000	32,110	108,110	2,569	105,541
Contractor's Method	58,400	50,350	108,750	2,517	106,233
Contractor's Method	82,600	22,500	105,100	1,286	103,814
Contractor's Method	121,000	60,797	181,797	3,006	178,791
Comparison Method	80,000	-	80,000	-	80,000
Contractor's Method	489,400	39,744	529,144	7,617	521,527
Contractor's Method	533,460	47,362	580,822	9,450	571,372
Contractor's Method	1,357,000	298,596	1,655,596	10,360	1,645,236
Contractor's Method	55,100	15,900	71,000	1,178	69,822
Contractor's Method	75,150	18,470	93,620	1,201	92,419
Comparison Method	157,500	-	157,500	-	157,500
Contractor's Method	447,600	460,900	908,500	23,045	885,455
Contractor's Method	191,150	62,538	253,688	3,033	250,655
Contractor's Method	28,000	26,800	54,800	1,787	53,013
Comparison Method	36,000	-	36,000	-	36,000
Contractor's Method	42,300	44,200	86,500	2,210	84,290
Contractor's Method	66,400	36,100	102,500	1,805	100,695
Contractor's Method	203,500	40,075	243,575	2,290	241,285
Contractor's Method	76,000	75,896	151,896	3,784	148,112
	4,333,160	**1,386,327**	**5,719,487**	**79,824**	**5,639,663**
Investment & Contractor's Method	98,550	6,273	104,823	465	104,358
Investment & Contractor's Method	95,200	35,397	130,597	2,023	128,574
Investment & Contractor's Method	12,140	13,767	25,907	688	25,219
Contractor's Method	46,740	13,250	59,990	1,325	58,665

NOTES TO THE FINANCIAL STATEMENTS

Name of Premises	No. of Buildings	Land Extent (Perches)	Building (Square feet)	Date of valuation	Valuer
Monaragala Branch ,Manager Quarters & staff Quarters, 401, Wellawaya Road, Moneragala	3	320.00	13,011	30.11.2023	L H Lickson
Siyabalanduwa Branch, Premadasa Hardware Building, Ampara Junction, Siyabalanduwa	1	28.00	5,886	30.11.2023	L H Lickson
Uva Province Office, 17, Hill Drive, Keppetipola Road ,Badulla	2	118.75	9,537	30.11.2023	L H Lickson
Western Province Central					
Bambalapitiya Branch, 20, Galle Road, Colombo 04	1	-	7,776	30.11.2023	W A T I P Jayathilake
Borella Branch, 71, Denister De Silva Mawatha, Borella	1	49.27	20,173	30.11.2023	K T D Thissera
City Office, 41, Bristtol Lane, Colombo 01	1	39.50	31,443	30.11.2023	W D P Rupananda
Dematagoda Land, 400, Denister De Silva Mawatha, Colombo 09	-	38.14	-	30.11.2023	W D P Rupananda
Grandpass Branch, 703, Srimavo Bandaranayake Mawatha, Grandpass	1	20.12	6,210	30.11.2023	A G Gunarathne
Pettah Branch, 212/63, Gas Work Street, Colombo 11	1	28.29	25,222	30.11.2023	W D P Rupananda
Wellawatta Branch, 149/2, Galle Road, Colombo 06	1	51.25	15,832	30.11.2023	A G Gunarathne
Western Province North					
Gampaha Branch, 170,Colombo Road, Gampaha	1	34.06	7,297	30.11.2023	K T D Thissera
Ganemulla Branch (Land), 156, Kirindiwita Road, Ganemulla	-	43.61	-	30.11.2023	K T D Thissera
Ja Ela Branch, 19, Negombo Road, Ja-ela	1	45.94	8,618	30.11.2023	W A T I P Jayathilake
Kadawatha Branch, 469, Ragama Road, Kadawatha	1	30.72	6,138	30.11.2023	W A T I P Jayathilake
Kiribathgoda Branch (Land), 235,Kandy Road, Kiribathgoda	-	43.70	-	30.11.2023	K T D Thissera
Negombo Branch, 118, Rajapakse Broadway, Negombo	1	93.60	15,561	30.11.2023	W A T I P Jayathilake
Negombo City Branch, 77, Main Street, Negombo	1	10.76	8,355	30.11.2023	W A T I P Jayathilake
Western Province South					
Aluthgama Branch, 14, Douglas Gunawardana Mawatha, Aluthgama	1	36.60	6,558	30.11.2023	B K Dayaratne
Beruwala Branch, 165A, Galle Road, Beruwala	1	21.50	5,850	30.11.2023	B K Dayaratne
Bulathsinhala Branch, 40, Horana Road, Athura, Bulathsinhala	1	55.52	6,900	30.11.2023	B K Dayaratne
Dehiwala Branch, 207, Galle Road, Dehiwela	1	22.00	12,454	30.11.2023	A G Gunaratna
Horana Branch, 87, Anguruwathota Road, Horana	1	70.02	10,345	30.11.2023	B K Dayaratne
Idama Branch, 707, Galle Road, Moratuwa	1	61.12	13,411	30.11.2023	A G Gunaratna
Kalutara Branch, 218, Galle Road, Kalutara South, Kalutara	1	45.86	10,645	30.11.2023	B K Dayaratne
Kottawa Branch (Land), 903, Avissawella Road, Kottawa	-	35.22	-	30.11.2023	K T D Thisera
Maharagama Branch & Central Training Institute, 88, Highlevel Road, Maharagama	2	185.10	82,121	30.11.2023	A G Gunaratna
Matugama Branch, 72, Agalawatte Road, Matugama	1	9.50	4,158	30.11.2023	A G Gunaratna
Nugegoda Branch, 174, Highlevel Road, Nugegoda,	1	67.73	42,253	30.11.2023	A G Gunaratna
Panadura Branch, 21, Susantha Mawatha, Panadura	1	80.00	11,336	30.11.2023	K T D Thisera
Panadura City Branch, 17/3D, Jayathilake Mawatha, Panadura	1	36.00	7,764	30.11.2023	K T D Thisera
Wadduwa Branch, 58 & 56 Station Road, Wadduwa	1	29.00	6,440	30.11.2023	B K Dayaratne

Basis of Valuation	Revalued Amount of Land LKR '000	Revalued Amount / Carrying value of Buildings LKR '000	Total Revalued Amount / Carrying Value LKR '000	Accumulated depreciation LKR '000	Written Down value LKR '000
Investment & Contractor's Method	110,000	54,240	164,240	3,573	160,667
Investment & Contractor's Method	21,400	25,600	47,000	1,280	45,720
Investment & Contractor's Method	61,453	23,089	84,542	1,774	82,768
	445,483	**171,616**	**617,099**	**11,128**	**605,971**
Investment method	-	274,200	274,200	27,420	246,780
Investment and contractor's method	528,200	75,000	603,200	3,750	599,450
Investment and contractor's method	717,500	201,675	919,175	9,251	909,924
Comparison Method	307,750	-	307,750	-	307,750
Investment and contractor's method	241,440	30,884	272,324	2,376	269,948
Investment and contractor's method	638,000	82,765	720,765	5,510	715,255
Cost Approach	545,000	54,000	599,000	6,750	592,250
	2,977,890	**718,524**	**3,696,414**	**55,057**	**3,641,357**
Comparison Method	170,000	55,000	225,000	2,750	222,250
Comparison Method	80,000	-	80,000	-	80,000
Investment & Contractor's Method	212,000	52,916	264,916	4,040	260,876
Investment & Contractor's Method	124,300	27,700	152,000	2,770	149,230
Comparison Method	315,900	-	315,900	-	315,900
Investment and contractor's method	486,200	74,460	560,660	7,381	553,279
Contractor's Method	58,000	27,000	85,000	3,600	81,400
	1,446,400	**237,076**	**1,683,476**	**20,541**	**1,662,935**
Contractor's Method	128,100	32,854	160,954	1,643	159,311
Contractor's Method	86,000	15,313	101,313	1,191	100,122
Contractor's Method	134,650	15,283	149,933	1,223	148,710
Cost Approach	165,000	66,458	231,458	4,154	227,304
Contractor's Method	295,000	35,000	330,000	1,750	328,250
Cost Approach	275,040	43,935	318,975	3,661	315,314
Contractor's Method	221,800	35,841	257,641	2,867	254,774
Comparison Method	264,000	-	264,000	-	264,000
Cost and Income Approach	700,000	322,627	1,022,627	26,600	996,027
Cost Approach	57,000	4,000	61,000	2,000	59,000
Cost and Income Approach	812,760	475,391	1,288,151	27,892	1,260,259
Contractor's Method	520,000	46,000	566,000	3,680	562,320
Cost Approach	175,000	40,668	215,668	2,013	213,655
Contractor's Method	116,000	69,346	185,346	3,453	181,893
	3,950,350	**1,202,716**	**5,153,066**	**82,127**	**5,070,939**

NOTES TO THE FINANCIAL STATEMENTS

Name of Premises	No. of Buildings	Land Extent (Perches)	Building (Square feet)	Date of valuation	Valuer
Holiday Homes & Rests					
Badulla Fernham Bungalow & Property (Land), 153, Spring Valley Road, Badulla	-	222.25	-	30.11.2023	L H Lickson
Bandarawela Holiday Home, Bindunuwewa, Bandarawela	1	115.00	3,500	30.11.2023	L H Lickson
Dickoya Upper Glencarn Bungalow, Maskeliya Road, Hatton	1	189.65	9,027	30.11.2023	R H Jayawardana
Dickoya Lower Glencarn Bungalow(Land), Maskeliya Road, Hatton	-	100.00	-	30.11.2023	R H Jayawardana
Haputale Woodland Bungalow, Woodland Bungalow, Haputale	1	135.00	4,195	30.11.2023	L H Lickson
Jaffna Bank Rest Holiday Home, 34/3, Rasavinthoddam road, Jaffna	1	269.83	9,605	30.11.2023	P P T Mohideen
Kandy Holiday Home, 5/1B, Wimaladharma Mawatha, Dangolla Road, Kandy	1	39.00	3,953	30.11.2023	R A R M N Rajakaruna
Lindula Ridge Holiday Home, Tilliocultry, Talawakale	1	175.00	3,072	30.11.2023	R H Jayawardana
Nuwara Eliya Holiday Home, 16, Hill Street, Nuwara Eliya	1	35.27	2,715	30.11.2023	R H Jayawardana
Cey Bank Rest Nuwara Eliya (Phase 1), 19, Hill Street, Nuwara Eliya	1	67.54	3,335	30.11.2023	R H Jayawardana
Negombo Holiday Homes, 118 , Rajapakshe Broadway ,Negombo	1	-	2,643	30.11.2023	W A T I P Jayathilake
Others					
Colombo 7 - GM's Bangalow, 75, Ananda Kumaraswamy Mawatha, Colombo 7	1	79.80	6,380	30.11.2023	A G Gunaratna
Colombo Darly Rd. Stores Browns Building, 481, T B Jayah Mawatha, Colombo 10	1	151.00	26,209	30.11.2023	W D P Rupananda
Colombo World Trade Centre, 08, 8-2/1, Bank of Ceylon Mawatha, Colombo 01	1	-	6,347	30.11.2023	K T D Tissera
BOC Merchant Tower Colpetty - Walker's & Sons, 28 St. Michael's Road, Cololmbo 03	-	57.00	-	30.11.2023	K T D Tissera
Grand Total					

35 Right of use assets / leasehold properties

Accounting policy

Initial recognition and measurement

Lessee is required to recognise a right-of-use asset representing its right to use the underlying leased asset and a lease liability representing its obligation to make lease payments in the Statement of Financial Position.

Lessee measures right-of-use assets similarly to other non-financial assets (such as property, plant and equipment) and lease liabilities similarly to other financial liabilities. Consequently, a lessee recognises depreciation of the right-of-use asset and interest on the lease liability.

Assets and liabilities arising from a lease are initially measured on a present value basis. The initial lease asset equals the lease liability in most cases.

At lease commencement, a lessee accounts for two elements:

(i) **Right-of-use asset:** Initially, a right-of-use asset is measured in the amount of the lease liability and initial direct costs. Then it is adjusted by the lease payments made before or on commencement date, lease incentives received, and any estimate of dismantling and restoration costs.

Basis of Valuation	Revalued Amount of Land LKR '000	Revalued Amount / Carrying value of Buildings LKR '000	Total Revalued Amount / Carrying Value LKR '000	Accumulated depreciation LKR '000	Written Down value LKR '000
Contractor's Method	44,450	-	44,450	-	44,450
Investment and Contractor's Method	28,250	9,410	37,660	941	36,719
Contractor's Method	16,426	68,819	85,245	6,827	78,418
Contractor's Method	20,000	-	20,000	-	20,000
Investment and Contractor's Method	27,000	39,482	66,482	1,486	64,996
Market Value	120,000	70,092	190,092	3,501	186,591
Contractor's Method	97,500	81,663	179,163	4,483	174,680
Contractor's Method	17,500	18,000	35,500	1,800	33,700
Contractor's Method	92,610	21,093	113,703	1,464	112,239
Contractor's Method	182,358	33,427	215,785	1,570	214,215
Investment and Contractor's Method	-	16,115	16,115	1,072	15,043
	646,094	**358,101**	**1,004,195**	**23,144**	**981,051**
Cost approach	1,512,400	17,865	1,530,265	2,554	1,527,711
Contractor's Method	1,736,000	44,000	1,780,000	10,551	1,769,449
Investment Method	-	399,900	399,900	19,995	379,905
Comparison Method	1,140,000	-	1,140,000	-	1,140,000
	4,388,400	**461,765**	**4,850,165**	**33,100**	**4,817,065**
	25,821,192	**7,785,894**	**33,607,086**	**528,119**	**33,078,967**

(ii) Lease liability: The lease liability is in fact all payments not paid at the commencement date discounted to present value using the interest rate implicit in the lease or incremental borrowing rate if the implicit rate cannot be determined. These payments may include fixed payments, variable payments, payments under residual value guarantees, purchase price if purchase option will be exercised.

Subsequent measurement

After commencement date, lessee needs to adjust both elements recognised initially. Lessee accretes the lease liability to reflect interest and reduce the liability to reflect lease payments made.

Right-of-use asset

Lessee shall measure the right-of-use asset using a cost model under LKAS 16 - "Property, Plant and Equipment" and to depreciate the asset over the lease term on a straight-line basis. The resulted depreciation amount is charged to the Profit or Loss

Lease liability

Lessee shall recognise an interest on the lease liability and the lease payments are recognised as a reduction of the lease liability. Interest on lease liability is charged to the Profit or Loss.

Lessee shall re-measure the lease liability upon the occurrence of certain events (e.g; change in the lease term, change in variable rents based on an index or rate), which is generally recognised as an adjustment to the right-of-use asset.

Lessee can apply alternative subsequent measurement bases for the right-of-use asset under certain circumstances in accordance with LKAS 16 -"Property, Plant and Equipment", and LKAS 40- "Investment Property". Right-of-use assets are subject to impairment testing under LKAS 36-" Impairment of Assets".

It is the Bank's policy to consider the period of the rent agreement in calculating the present value of the right-of-use asset.

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Right of use assets/ leasehold properties	16,618,889	14,917,259	9,076,070	8,860,293
Less: Accumulated depreciation	11,108,382	9,362,839	6,118,660	5,505,151
Net book value of right of use assets/ leasehold properties	5,510,507	5,554,420	2,957,410	3,355,142

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Cost				
Balance as at 1 January	14,917,259	11,366,987	8,860,293	7,520,322
Additions during the year	1,637,347	3,640,399	527,427	1,466,000
Disposal/ Write off	-	-	(266,512)	(36,150)
Adjustments	64,283	(90,127)	(45,138)	(89,879)
Balance as at 31 December	16,618,889	14,917,259	9,076,070	8,860,293
Accumulated depreciation				
Balance as at 1 January	9,362,839	7,858,369	5,505,151	4,533,618
Depreciation during the year	1,743,972	1,553,120	814,844	1,048,365
Adjustments	1,571	(48,650)	(201,335)	(48,649)
Disposal	-	-	-	(28,183)
Balance as at 31 December	11,108,382	9,362,839	6,118,660	5,505,151
Net book value as at 31 December	5,510,507	5,554,420	2,957,410	3,355,142

Leasehold properties represent the leasehold interest in the lands held for own use. The value of buildings situated in the leasehold land is shown seperately under property, plant and equipment. The interest on leasehold land is stated at cost less accumulated amortisation.

35.1 Lease liability

Carrying amounts of lease liabilities included under "Other liabilities" - (Note 47) and the movement during the year is as follows.

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Balance as at 1 January	5,868,088	2,698,820	3,383,562	1,650,113
Additions	1,688,756	3,644,602	904,559	1,564,216
Disposal/ Write off	-	-	(6,187)	(2,457)
Accretion of interest	728,470	539,647	523,764	403,729
Payments	(2,408,920)	(971,364)	(1,450,638)	(291,055)
Adjustments / Transfers	27,592	(43,617)	(20,276)	59,016
Balance as at 31 December	5,903,986	5,868,088	3,334,784	3,383,562

35.1.1 Undiscounted cash flow

The following table illustrates the maturity analysis of the lease liability of the Bank on the basis of undiscounted cash flows.

	Bank		Group	
As at 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Less than 1 year	2,455,398	2,047,985	2,746,804	1,846,828
1 year to 2 years	2,681,358	2,856,874	1,127,294	1,448,623
2 years to 3 years	1,297,181	1,382,092	545,360	700,812
3 years to 4 years	529,266	563,911	223,514	285,940
4 years to 5 years	307,759	327,904	128,388	166,269
More than 5 years	541,213	519,342	533,288	774,904
Total lease liability	7,812,175	7,698,108	5,304,648	5,223,376

35.2 Sensitivity factors used to calculate right of use asset / lease liability

	Sensitivity	Sensitivity effect on right of use asset	Sensitivity effect on lease liability	Sensitivity effect on profit before tax
		LKR '000	LKR '000	LKR '000
Incremental borrowing rate	+1%	(94,982)	(89,284)	(7,663)
	-1%	99,184	91,972	7,681
Lease Term	Increased by 1 year	1,918,333	1,900,850	(52,398)

36 Intangible assets

Accounting policy

Basis of recognition

An intangible asset is recognised if it is probable that the future economic benefits that are attributable to the asset will flow to the Group and the cost of the asset can be measured reliably. An intangible asset is initially measured at cost.

Intangible assets represent the value of computer application software and licenses, other than software applied to the operating software system of computers.

Measurement

Intangible assets acquired by the Group are stated at cost less accumulated amortisation and accumulated impairment losses. Subsequent expenditure incurred on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Amortisation and impairment

Amortisation is recognised in the Statement of Profit or Loss on a straight line basis over the estimated useful lives of the intangible assets, from the date that it is available for use since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful life of intangible assets is five years or the best estimate of its useful economic life whichever is lower. The intangible assets with finite lives are reviewed for impairment whenever there is an indication for impairment and recognised as expenses in the Statement of Profit or Loss to the extent that they are no longer probable of being recovered from the expected future benefits. Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

Derecognition

Intangible assets are derecognised when it reveals that they will not generate economic benefits or circumstances indicate that the carrying value is impaired.

Gains or losses arising from derecognition of an intangible assets are measured as the difference between the net disposal proceeds and the carrying amount of the assets and are recognised in Statement of Profit or Loss.

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Cost				
Balance as at 1 January	6,511,867	6,002,959	6,908,530	6,899,204
Additions during the year	1,283,266	508,908	1,318,779	544,655
Exchange rate adjustment	-	-	-	(498,600)
Adjustments / Transfers	-	-	-	(36,729)
Balance as at 31 December	7,795,133	6,511,867	8,227,309	6,908,530
Accumulated amortisation				
Balance as at 1 January	5,162,234	4,650,530	5,457,498	5,446,928
Amortisation during the year	642,179	511,704	680,869	557,372
Exchange rate and other adjustments	-	-	64	(375,766)
Adjustments / Transfers	-	-	-	(171,036)
Balance as at 31 December	5,804,413	5,162,234	6,138,431	5,457,498
Computer software under development	799,931	259,179	799,931	259,179
Net book value as at 31 December	2,790,651	1,608,812	2,888,809	1,710,211

36.1 Fully amortised intangible assets

The initial cost of fully amortised intangible assets which are still in use are as follows;

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Computer software	3,980,427	3,751,982	4,244,310	3,789,800
Total fully amortised intangible assets	3,980,427	3,751,982	4,244,310	3,789,800

37 Deferred tax assets / (liabilities)

Accounting policy

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences:

- The initial recognition of goodwill
- The initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss
- Differences relating to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse based on the laws that have been enacted or substantively enacted by the reporting date. Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities against current tax assets and they relate to income taxes levied by the same tax authority on the same taxable entity or on different tax entities but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

A deferred tax asset is recognised for unused tax losses, tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

The following table shows deferred tax recorded in the Statement of Financial Position and (charge)/ reversal recorded in the "Income tax expense/ (reversal)" - (Note 18.2).

37.1 Bank

As at 31 December	2025				2024			
	Deferred tax assets	Deferred tax liabilities	Statement of profit or loss	Other comprehensive income/equity	Deferred tax assets	Deferred tax liabilities	Statement of profit or loss	Other comprehensive income/ equity
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Retirement benefits	14,946,594	-	(233,211)	3,935,799	11,244,006	-	(597,348)	4,138,380
Revaluation of property, plant and equipment	(9,137,381)	-	-	-	(9,137,381)	-	-	-
Investment in financial assets	(1,677,698)	-	-	(64,197)	(1,613,501)	-	-	(340,830)
Temporary difference of provision for impairment	23,018,736	-	8,006,481	-	15,012,255	-	(5,986,382)	-
Other temporary differences	251,767	-	(79,276)	-	331,043	-	119,205	-
Total	27,402,018	-	7,693,994	3,871,602	15,836,422	-	(6,464,525)	3,797,550

37.2 Group

As at 31 December	2025				2024			
	Deferred tax assets	Deferred tax liabilities	Statement of profit or loss	Other comprehensive income/equity	Deferred tax assets	Deferred tax liabilities	Statement of profit or loss	Other comprehensive income/ equity
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Retirement benefits	15,064,332	15,826	(242,865)	3,930,252	11,371,210	21,562	(475,165)	4,157,605
Revaluation of property, plant and equipment	(9,137,381)	(2,662,944)	149,617	(196,164)	(9,180,253)	(2,573,525)	20,086	41,916
Investment in financial assets	(1,677,697)	-	-	(64,197)	(1,613,501)	-	-	(340,830)
Temporary difference of provision for impairment	23,028,270	-	8,003,993	-	15,024,277	-	(5,974,360)	-
Other temporary differences	240,651	(356,635)	(122,164)	-	365,567	(359,387)	(34,263)	-
Total	27,518,175	(3,003,753)	7,788,581	3,669,891	15,967,300	(2,911,350)	(6,463,702)	3,858,691

38 Other assets

Pre paid staff cost

Staff loans are initially recognised at fair value according to SLFRS 9-" Financial Instruments". The difference between granted amount and its fair value is treated as pre paid staff cost and amortised over the loan period.

Gold stock in hand

The gold inventory is valued at lower of cost or net realisable value. Cost includes all cost of purchase, cost of conversion and other costs incurred in bringing the inventory to its present location and condition. Net realisable value is the estimated selling price in the ordinary course of business less the estimated cost necessary to make the sale.

Employee benefit assets

"Employee benefit assets represents net retirement benefit assets of Bank of Ceylon Pension Fund-2014. For more details refer Note 48 - “Employee Retirement Benefit Plans”.

		Bank		Group	
As at 31 December	Note	2025 LKR ‘000	2024 LKR ‘000	2025 LKR ‘000	2024 LKR ‘000
Consumable stock in hand		1,136,316	1,057,637	1,217,763	1,126,504
Prepaid staff cost		34,155,938	29,846,621	34,155,938	29,846,621
Cheques in transit - Local		4,802,550	4,122,265	4,802,550	4,122,265
Cheques in transit - Foreign		4,584	4,558	4,584	4,558
Tax recoverable	45	-	-	40,525	10,741
Gold bullion and coins in hand		72,798	37,224	72,798	37,224
Net employee benefit asset	48	17,244,674	18,358,454	17,244,674	18,358,454
Other		34,472,099	51,070,707	34,792,514	51,212,438
Total other assets - Gross		91,888,959	104,497,466	92,331,346	104,718,805
Less - Accumulated Impairment	38.1	(1,672,007)	(2,927,101)	(1,672,007)	(2,927,101)
Total other assets - Net		90,216,952	101,570,365	90,659,339	101,791,704

The Impairment provisioning has been made against certain receivables from Government of Sri Lanka considering the delays of collection.

38.1 Movement in provision for impairment during the year

	Bank		Group	
	2025 LKR ‘000	2024 LKR ‘000	2025 LKR ‘000	2024 LKR ‘000
Movement in Stage 2/ total impairment				
Balance as at 1 January	2,927,101	-	2,927,101	-
Impairment charge/ (reversal) during the year	(1,255,094)	2,927,101	(1,255,094)	2,927,101
Balance as at 31 December	1,672,007	2,927,101	1,672,007	2,927,101

39 Due to banks

Accounting policy

Due to banks represents credit balances in Nostro Accounts and short- term borrowings from banks. These are initially recognised at fair value. Subsequent to initial recognition, these are measured at their amortised cost using the Effective Interest Rate (EIR) method. Amortised cost is calculated by taking into account any transaction costs that are an integral part of the EIR. The EIR amortisation is included in “Interest Expenses” - (Note 8.2) in the Statement of Profit or Loss.

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Deposits from other banks	883,037	629,793	883,037	629,793
Bank overdrafts	25,514,861	1,041,294	26,342,906	1,052,624
Total due to banks	26,397,898	1,671,087	27,225,943	1,682,417

40 Securities sold under repurchase agreements

Accounting policy

Securities sold under repurchase agreements at a specified future date are not derecognised from the Statement of Financial Position as the Group retains substantially all of the risks and rewards of ownership. The corresponding cash received is recognised in the Statement of Financial Position as an asset with a corresponding obligation to return it, including accrued interest as a liability within securities sold under repurchase agreements reflecting the transaction's economic substance as a borrowing to the Group. The difference between the sale and repurchase prices is treated as interest expense and is amortised over the life of agreement using EIR.

Policy on Haircuts for Repurchase Transactions

As part of the risk management framework, the bank adheres to the regulatory requirements for repurchase transactions to ensure adequate collateral coverage. At the time of entering into a repurchase transaction, the market value of eligible securities must sufficiently cover the repurchase value, including the principal borrowed and accrued interest over the transaction period.

To mitigate credit and market risks, a minimum haircut is applied to the market value of eligible securities based on their remaining term to maturity, as outlined below:

Remaining term to maturity of the eligible security	Minimum Haircut (%)
Up to 1 year	4.0
More than 1 year and up to 3 years	6.0
More than 3 years and up to 5 years	8.0
More than 5 years and up to 8 years	10.0
More than 8 years	12.0

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
With banks	-	2,898,168	-	2,897,600
With customers	284,215,169	128,181,246	288,688,312	127,133,014
Total Securities sold under repurchase agreements	284,215,169	131,079,414	288,688,312	130,030,614

41 Derivative financial liabilities

Accounting policy

Derivative financial liabilities include contracts which are entered by the Bank that are not designated as hedging instruments in hedge relationships as per the SLFRS 9 - "Financial Instruments".

Derivatives are recorded at fair value and carried as liabilities when their fair value is negative. Changes in the fair value of derivatives are included in "Net gains/(losses) from trading" (Note 10) in Statement of Profit or Loss.

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	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Foreign Currency Derivatives				
Forward exchange contracts	33,835	29,085	33,835	29,085
Currency SWAPs	527,227	16,446,992	527,227	16,446,992
Total derivative financial liabilities	561,062	16,476,077	561,062	16,476,077

42 Financial liabilities at amortised cost - due to depositors

Accounting policy

Financial liabilities at amortised cost - due to depositors include non-interest-bearing deposits, savings deposits, term deposits, deposits payable at call and certificate of deposits, which are initially recognised at fair value. Subsequent to initial recognition, deposits are measured at amortised cost using the Effective Interest Rate (EIR) method, except where the Group designates liabilities at fair value through profit or loss. The EIR amortisation is included in "Interest Expenses" (Note 8.2) in the Statement of Profit or Loss.

42.1 By product

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Local currency deposits				
Demand deposits	245,258,197	188,746,366	244,856,272	188,362,021
Savings deposits	1,013,565,616	774,866,841	1,014,996,004	776,120,776
Time deposits	2,202,648,549	2,389,692,228	2,228,590,700	2,409,388,408
Other deposits	8,360,589	3,794,759	8,360,589	3,794,759
Total local currency deposits	3,469,832,951	3,357,100,194	3,496,803,565	3,377,665,964
Foreign currency deposits				
Demand deposits	58,937,429	49,720,828	60,076,866	50,882,701
Savings deposits	137,572,643	123,622,316	138,310,171	124,401,536
Time deposits	719,454,307	676,655,654	749,673,395	691,077,156
Other deposits	2,788,642	1,504,443	2,788,642	1,504,443
Total foreign currency deposits	918,753,021	851,503,241	950,849,074	867,865,836
Total deposits	4,388,585,972	4,208,603,435	4,447,652,639	4,245,531,800

42.2 By currency

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Sri Lankan Rupee (LKR)	3,469,832,951	3,357,100,194	3,496,803,565	3,377,665,964
United States Dollar (USD)	792,359,140	744,269,177	792,359,140	744,283,537
Great Britain Pound (GBP)	50,159,524	44,983,916	82,246,554	61,315,945
Maldivian Rufiyaa (MVR)	33,641,355	20,982,713	33,641,355	20,982,713
Seychellois Rupee (SCR)	4,448,002	3,121,651	4,448,002	3,121,651
Euro (EUR)	16,606,031	13,463,467	16,606,031	13,471,109
Australian Dollar (AUD)	9,084,204	9,243,101	9,084,204	9,243,101
Indian Rupee (INR)	9,134,801	9,557,251	9,193,025	9,557,251
Other	3,319,964	5,881,965	3,270,763	5,890,529
Total deposits	4,388,585,972	4,208,603,435	4,447,652,639	4,245,531,800

Note : The maturity analysis of deposits is given in Note 60.

43 Financial liabilities at amortised cost - other borrowings

Accounting policy

Financial liabilities at amortised cost - other borrowings represent Call borrowings from banks in Sri Lanka and abroad, Call borrowings from other financial institutions in Sri Lanka, Term borrowings from banks in Sri Lanka and abroad, Term borrowings from other financial institutions in Sri Lanka and refinance borrowings which are initially recognised at fair value. Subsequent to initial recognition, these borrowings are measured at amortised cost, using the Effective Interest Rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in "Interest Expenses" (Note 8.2) in the Statement of Profit or Loss.

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Call borrowings from banks and other financial institutions in Sri Lanka	18,754,133	-	18,754,133	3,459,284
Term borrowings from banks and other financial institutions in Sri Lanka	3,203,444	-	6,674,147	712,681
Call borrowings from banks abroad	1,416,942	1,167,559	6,491,969	1,167,559
Term borrowings from banks abroad	12,430,800	17,606,097	12,043,418	16,634,707
Refinance borrowings	12,914,060	10,370,022	12,914,059	10,370,022
Total other borrowings	48,719,379	29,143,678	56,877,726	32,344,253

44 Debt securities issued

Accounting policy

Debt securities issued represent funds borrowed for long-term funding purposes where the substance of the contractual arrangement results in the Group having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares. Debt securities are initially recognised at fair value. Subsequent to initial recognition these are measured at their amortised cost using the Effective Interest Rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in "Interest Expenses" (Note 8.2) in the Statement of Profit or Loss.

		Bank		Group	
As at 31 December	Note	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Senior debentures	44.1	-	-	1,754,101	718,873
Total debt securities issued		-	-	1,754,101	718,873

Note: The maturity analysis of debt securities issued is given in Note 60.

44.1 Senior debentures

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Listed debentures				
Unsecured, redeemable debentures of LKR 100 each	-	-	1,754,101	718,873
Total debt securities issued	-	-	1,754,101	718,873

44.2 Movement in senior debentures

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Balance as at 1 January	-	-	718,873	730,839
Issued during the year	-	-	1,000,000	-
Amortisation adjustments	-	-	35,228	(11,966)
Balance as at 31 December	-	-	1,754,101	718,873

44.3 Senior debentures

	Note	Interest payable frequency	Issue date	Maturity date	Coupon rate 2025 %	Coupon rate 2024 %	Amount as at 31 December Bank 2025 LKR '000	Bank 2024 LKR '000	Group 2025 LKR '000	Group 2024 LKR '000
Fixed interest rate										
Unsecured, redeemable debentures	(a)	Annually	16.11.2022	15.11.2027	29.50	29.50	-	-	22,003	25,328
Unsecured, redeemable debentures	(a)	Semi annually	16.11.2022	15.11.2027	28.00	28.00	-	-	30,267	34,713
Unsecured, redeemable debentures	(a)	Annually	10.04.2023	09.04.2028	29.50	29.50	-	-	290,625	292,087
Unsecured, redeemable debentures	(a)	Semi annually	10.04.2023	09.04.2028	28.00	28.00	-	-	232,881	269,367
Unsecured, redeemable debentures	(a)	At Maturity	10.04.2023	09.04.2028	30.00	30.00	-	-	165,875	97,378
Unsecured, redeemable debentures	(a)	Annually	30.05.2025	30.05.2030	12.50	-	-	-	984,872	-
Unsecured, redeemable debentures	(a)	Semi annually	30.05.2025	30.05.2030	11.75	-	-	-	27,578	-
Total debt securities issued							-	-	1,754,101	718,873

Note :
(a) Debentures that are listed in Colombo Stock Exchange.

45 Current Tax Liabilities / (Assets)

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Balance as at 1 January	23,209,855	7,621,675	23,583,482	7,874,697
Current tax expense	46,065,423	36,954,896	46,802,479	37,598,380
Payments during the year	(44,551,292)	(18,924,494)	(45,138,853)	(19,294,206)
Double tax relief and tax credit	(1,453,135)	(1,853,427)	(1,842,325)	(2,019,920)
Prior year and other Adjustments	2,147,467	(588,795)	2,221,880	(575,469)
Closing balance at 31 December	25,418,318	23,209,855	25,626,663	23,583,482
Current tax assets	-	-	(40,525)	(10,741)
Current tax liabilities	25,418,318	23,209,855	25,667,188	23,594,223
Current tax labilities/ (assets)	25,418,318	23,209,855	25,626,663	23,583,482

46 Insurance contract liabilities

Accounting policy

Life insurance contract liabilities

These liabilities are measured by using the gross premium valuation method as prescribed by the Regulation of Insurance Industry Act. No 43 of 2000. The liability is determined as the discounted value of the expected contractual cash outflows less the discounted value of the expected premiums. Valuation assumptions are derived based on the best estimate experience with a prescribed risk margin to allow for adverse deviations.

At each reporting date, an assessment is made of whether the recognised life insurance liabilities are adequate, by using a liability adequacy test.

Liability Adequacy Test (LAT)

At each reporting date, an assessment is made of whether the recognised life insurance liabilities are adequate by using an existing liability adequacy test as laid out under Sri Lanka Financial Reporting Standard 4 - "Insurance Contracts". The liability value is adjusted to the extent that it is adequate to meet future benefits and expenses.

Any deficiency is recognised in the Statement of Profit or Loss by setting up a provision for liability adequacy.

Non-life insurance contract liabilities

Non-life insurance contract liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are known as the outstanding claims provision, which are based on the estimated ultimate cost of all claims incurred but not settled at the reporting date, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. Delays can be experienced in the notification and settlement of certain types of claims, therefore the ultimate cost of these cannot be known with certainty at the reporting date. The liability is calculated at the reporting date using a range of standard actuarial claim projection techniques, based on empirical data and current assumptions that may include a margin for adverse deviation. The liability is not discounted for the time value of money. No provision for equalisation or catastrophe reserves is recognised. The liabilities are derecognised when the contract expires, is discharged or is cancelled.

Liability Adequacy Test (LAT)

The provision for unearned premiums represents premiums received for risks that have not yet expired. Generally the reserve is released over the term of the contract and is recognised as premium income. At each reporting date the company reviews its unexpired risk and a liability adequacy test is performed to determine whether there is any overall excess of expected claims and deferred acquisition costs over unearned premiums.

This calculation uses current estimates of future contractual cash flows after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions. If these estimates show that the carrying amount of the unearned premiums (less related deferred acquisition costs) is inadequate, the deficiency is recognised in the statement of Profit or Loss by setting up a provision for liability adequacy.

46.1 Insurance contract liabilities - Life

	Group	
	2025 LKR '000	2024 LKR '000
Balance as at 1 January	400,967	359,606
Increase / (decrease) in life fund	4,298	3,564
Fair value reserve	30,492	3,674
Unclaimed benefits	47,736	34,123
Balance as at 31 December	**483,493**	**400,967**

46.2 Insurance contract liabilities - Non life

	Group	
As at 31 December	2025 LKR '000	2024 LKR '000
Provision for reported claims by policy holders	378,444	189,575
Provision for claims on Incurred But Not Reported (IBNR)	24,740	49,539
Outstanding claims provision	403,184	239,114
Provision for unearned premiums	155,216	184,809
Total insurance contract liabilities - Non life	558,400	423,923

47 Other liabilities

		Bank		Group	
As at 31 December	Note	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Cheques sent on clearing		1,502,193	817,324	1,502,193	817,324
Lease creditors					
Within 12 months		164,813	619,886	473,838	758,598
Later than 12 months		5,739,173	5,248,202	2,860,946	2,624,964
Net employee benefit liabilities	48	67,066,657	55,838,477	67,606,253	56,355,102
Other		153,924,170	141,336,036	154,951,639	143,270,503
Total other liabilities		228,397,006	203,859,925	227,394,869	203,826,491

48 Employee retirement benefit plans GRI 201-3

The Bank has the pension schemes established under an Industrial Award which are solely funded by the Bank and Widows'/ Widowers' and Orphans' Pension Schemes established by the members.

The assets of these three plans are held independently of the Bank's assets and administered by Boards of Trustees/ Managers, representing the management and the employees, as provided in the Trust Deed/ Rules of the respective funds.

These funds are subject to annual audits independent to the audit of the Bank, by a firm/s of Chartered Accountants appointed by the members and actuarial valuations are carried out as per the rules governing these funds.

		Bank		Group	
As at 31 December	Note	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Net employee benefit liabilities					
Bank of Ceylon Pension Trust Fund	48.1.3	59,505,557	52,921,047	59,505,557	52,921,047
Provision for terminal gratuity	48.3	1,358,500	1,186,150	1,898,096	1,702,775
Provision for encashment of medical leave	48.5	1,535,957	1,245,997	1,535,957	1,245,997
Bank of Ceylon Widows'/ Widowers' and Orphans' Pension Fund	48.2.3	4,666,643	485,283	4,666,643	485,283
Total net employee benefit liabilities		67,066,657	55,838,477	67,606,253	56,355,102
Net employee benefit assets					
Bank of Ceylon Pension Fund-2014	48.4.3	17,244,674	18,358,454	17,244,674	18,358,454
Total net employee benefit assets		17,244,674	18,358,454	17,244,674	18,358,454

48.1 Bank of Ceylon Pension Trust Fund

The 'Bank of Ceylon Pension Trust Fund' is a funded, non contributory, defined retirement benefit plan, operated for the payment of pensions until death of the permanent employees who have completed a minimum of ten years of continuous service with the Bank, at their retirement on reaching the retirement age on or after 55 years or on medical grounds, before reaching retirement age. The pension is computed as a percentage of the last drawn salary excluding certain allowances.

Contributions to the Pension Trust Fund are made monthly, based on the advice of a qualified actuary, currently at 56.8% of gross salary of active members of the fund who are still working in the Bank. The Bank expects to contribute LKR 3,600 million approximately to the fund during next 12 months. However, the Bank can have sole discretion to increase or decrease this special contribution by considering the deficit of the fund and the Bank's affordability. The Fund is valued by a qualified actuary annually. This fund has been approved by the Government and administrated independently. The subsidiaries and associate companies of the Group do not have pension funds.

An actuarial valuation of the Pension Trust Fund as at 31 December 2025 was carried out by Messrs K. A. Pandit Consultants and Actuaries.

The valuation has been done using the "Projected Unit Credit Method", which is recommended in the LKAS 19 - "Employee Benefits". The benefit is available to all permanent employees who have joined the Bank prior to 1 January 1996. The results of the actuarial valuation of the Pension Trust Fund is summarised as follows:

48.1.1 Net benefit expense (recognised under personnel expenses)

	Bank / Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000
Current service cost	82,550	82,480
Net interest expenses	6,350,530	5,546,510
Net benefit expense	6,433,080	5,628,990

48.1.2 Amount recognised in other comprehensive income

	Bank / Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000
Actuarial (gains) / losses on the defined benefit obligation	2,869,680	6,443,730
Actuarial (gains) / losses on plan assets	1,110,320	(43,370)
Net actuarial (gains) / losses recognised in other comprehensive income	3,980,000	6,400,360

48.1.3 Net retirement benefit liability recognised under other liabilities

		Bank / Group	
As at 31 December	Note	2025 LKR '000	2024 LKR '000
Fair value of plan assets	48.1.4	47,501,603	49,372,673
Present value of defined benefit obligation	48.1.5	107,007,160	102,293,720
Net retirement benefit liability		59,505,557	52,921,047

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48.1.4 Changes in fair value of plan assets

	Bank / Group	
	2025 LKR '000	2024 LKR '000
Balance as at 1 January	49,372,673	51,144,443
Expected return	5,924,720	6,648,780
Contribution by employer	3,828,570	1,773,810
Benefits paid	(10,514,040)	(10,237,730)
Actuarial gains / (losses) on plan assets	(1,110,320)	43,370
Balance as at 31 December	47,501,603	49,372,673

48.1.5 Changes in the present value of the defined benefit obligation

	Bank / Group	
	2025 LKR '000	2024 LKR '000
Balance as at 1 January	102,293,720	93,809,950
Interest cost	12,275,250	12,195,290
Current service cost	82,550	82,480
Benefits paid	(10,514,040)	(10,237,730)
(Gains)/ losses due to change in assumptions	3,061,140	12,855,440
Actuarial (gains)/ losses on obligation	(191,460)	(6,411,710)
Balance as at 31 December	107,007,160	102,293,720

The present value of the Defined Benefit Obligation as of the valuation date with respect to active employees and pensioners are LKR 2,840.0 million and LKR 104,167.2 million respectively.

48.1.6 Plan assets consist of the following:

	Bank / Group	
As at 31 December	2025 LKR '000	2024 LKR '000
Fixed deposits	33,342,670	39,066,853
Government Securities	3,468,260	1,381,490
Debentures	536,850	522,530
Unit Trusts	473,780	499,560
Investment in shares	8,454,640	7,202,860
Others	1,225,403	699,380
Total plan assets	47,501,603	49,372,673

48.1.7 Actuarial assumptions

	Bank / Group	
As at 31 December	2025 %	2024 %
Future salary increment rate	8.50 p.a	8.50 p.a
Increase in future Cost of Living Allowance (COLA)	7.00 p.a	8.00 p.a
Increase in pension in payment (Basic)	1.75 p.a	1.75 p.a
Discount rate	10.75 p.a	12.00 p.a
Attrition rate	Nil	Nil

The Bank uses IALM (2012-2014) Mortality Table issued by the Institute of Actuaries of India.

Increase / decrease in the following assumptions will change the present value of defined benefit obligation as illustrated below;

	Bank / Group	
	0.5% increase LKR '000	0.5% decrease LKR '000
Discount rate	(3,352,730)	3,562,600

Further, the remaining years of benefit payments are expected to be eight years.

The following payments are expected from the Pension Trust Fund in future years.

	Bank / Group	
As at 31 December	2025 LKR '000	2024 LKR '000
Within the next 12 months	10,470,250	9,889,510
Between 1 and 5 years	41,949,330	39,496,620
Between 5 and 10 years	27,097,640	25,813,540
Beyond 10 years	27,489,940	27,094,050
Total expected payments	107,007,160	102,293,720

48.2 Bank of Ceylon Widows'/ Widowers' and Orphans' Pension Fund

The Bank is liable for and guarantees the payments to the beneficiaries of the "Bank of Ceylon Widows' / Widowers' and Orphans' Pension Fund" to which the Bank's employees who joined the Bank before 1 January 1996, monthly contribute 5% of their gross salary. The Bank's liability towards the beneficiaries of the employees arises when an employee who has contributed to the fund for five continuous years dies while in service or on the death of a pensioner where the Bank will be liable to pay Widows' and Orphans' Pension to his / her beneficiaries monthly. The pension to the beneficiaries of an employee who dies while in service is based on the last drawn salary excluding certain allowances.

An actuarial valuation of the Widows'/Widowers' and Orphans' Pension Fund as at 31 December 2025 was carried out by Messrs K. A. Pandit Consultants and Actuaries. Funding would be done in consultation with the Actuary, trustees and beneficiaries. The Bank does not expect to contribute any amount for the fund during next 12 months.

This fund has been approved by the Government and administered independently.

The valuation has been done using the "Projected Unit Credit Method", which is recommended in the LKAS 19 - "Employee Benefits". The results of the actuarial valuation of the Widows'/Widowers' and Orphans' Pension Fund is summarised as follows:

48.2.1 Net benefit expense (recognised under personnel expenses)

	Bank / Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000
Current service cost	6,010	6,470
Net interest income	24,880	(1,173,130)
Net benefit expense/ (income)	30,890	(1,166,660)

48.2.2 Amount recognised in other comprehensive income

	Bank / Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000
Actuarial (gains)/ losses on the defined benefit obligation	1,835,420	9,848,640
Actuarial (gains)/ losses on plan assets	2,315,050	868,170
Actuarial (gains)/ losses on actuarial valuation	4,150,470	10,716,810

48.2.3 Net retirement benefit liabilities recognised under other liabilities

		Bank / Group	
As at 31 December	Note	2025 LKR '000	2024 LKR '000
Fair value of plan assets	48.2.4	39,940,908	39,819,948
Present value of defined benefit obligation	48.2.5	44,607,551	40,305,231
Net retirement benefit liabilities		4,666,643	485,283

48.2.4 Changes in fair value of plan assets

	Bank / Group	
	2025 LKR '000	2024 LKR '000
Balance as at 1 January	39,819,948	37,901,108
Expected return	4,778,390	4,927,140
Contribution paid in to plan	33,360	40,730
Benefits paid	(2,375,740)	(2,180,860)
Actuarial gains/ (losses) on plan asset	(2,315,050)	(868,170)
Balance as at 31 December	39,940,908	39,819,948

48.2.5 Changes in the present value of the defined benefit obligation

	Bank / Group	
	2025 LKR '000	2024 LKR '000
Balance as at 1 January	40,305,231	28,876,971
Interest cost	4,836,630	3,754,010
Current service cost	6,010	6,470
Benefits paid	(2,375,740)	(2,180,860)
Actuarial (gains)/ losses on obligation	572,820	5,288,060
(Gain)/ losses due to change in assumptions	1,262,600	4,560,580
Balance as at 31 December	44,607,551	40,305,231

The present value of the Defined Benefit Obligation as of the valuation date with respect to active employees, pensioners and family pensioners who are receiving benefits are LKR 180.6 million, LKR 18,051.1 million and LKR 26,375.9 million respectively.

48.2.6 Plan assets consist of the following

	Bank / Group	
As at 31 December	2025 LKR '000	2024 LKR '000
Fixed deposits	37,175,460	37,125,120
Government Securities	2,764,220	2,693,710
Others	1,228	1,118
Total plan assets	39,940,908	39,819,948

48.2.7 Actuarial assumptions

	Bank / Group	
As at 31 December	2025 %	2024 %
Future salary increment rate	8.50 p.a	8.50 p.a
Increase in future Cost of Living Allowance (COLA)	7.00 p.a	8.00 p.a
Increase in widows' /widowers' and orphans' pension in payment (Basic)	Nil	Nil
Discount rate	10.75 p.a	12.00 p.a.
Attrition rate	Nil	Nil

The Bank uses IALM (2012-2014) Mortality Table issued by the Institute of Actuaries of India.

Increase/ decrease in the following assumptions will have an impact on the present value of defined benefit obligation as illustrated below;

	Bank / Group	
	0.5% increase LKR '000	0.5% decrease LKR '000
Discount rate	(2,043,370)	2,208,530

Further, the remaining years of benefit payments are expected to be 12 years.

The following payments are expected from the fund in future years.

	Bank / Group	
As at 31 December	2025 LKR '000	2024 LKR '000
Within the next 12 months	2,425,571	2,178,131
Between 1 and 5 years	11,700,900	10,402,750
Between 5 and 10 years	10,532,210	9,309,940
Beyond 10 years	19,948,870	18,414,410
Total expected payments	44,607,551	40,305,231

48.3 Provision for terminal gratuity

In compliance with the Payment of Gratuity Act No 12 of 1983 provision is made in the accounts from the first year of service for gratuity payable to employees who have not completed ten years of service as they are not in pensionable service of the Bank. Provision has not been made in the Financial Statements for retirement gratuity for the employees who are eligible for the retirement benefits under the pension schemes in force. However, employees whose services are terminated after five years other than by retirement are eligible to receive a terminal gratuity under the Payment of Gratuity Act No. 12 of 1983, at the rate of one half of the basic or consolidated wage or salary, cost of living and all other allowances applicable to the last month of the financial year, for each year of continuous service.

In terms of LKAS 19 - "Employee Benefits", the Bank and its subsidiaries have calculated the post-employment benefit obligations, based on the actuarial valuation method, recommended in the standard. The gratuity liabilities are not externally funded.

An actuarial valuation of the Gratuity Fund as at 31 December 2025 was carried out by Messrs K.A. Pandit Consultants and Actuaries.

	Bank		Group	
	2025	2024	2025	2024
	LKR ‘000	LKR ‘000	LKR ‘000	LKR ‘000
Balance as at 1 January	1,186,150	792,280	1,702,775	1,250,258
Provision charge / (reversal) during the year	233,630	174,160	354,940	274,835
Actuarial (gains) / losses	138,670	584,660	78,723	651,656
Payments made during the year	(199,950)	(364,950)	(218,177)	(474,520)
Adjustment / transfers	-	-	(20,165)	546
Balance as at 31 December	1,358,500	1,186,150	1,898,096	1,702,775

The principal actuarial assumptions used in the valuation were as follows :

	Bank / Group	
As at 31 December	2025	2024
	%	%
Future salary increment rate	8.50 p.a	8.50 p.a
Increase in future Cost of Living Allowance (COLA)	7.00 p.a	8.00 p.a
Discount rate	10.75 p.a	12.00 p.a

The Bank uses IALM (2012-2014) Mortality Table issued by the Institute of Actuaries of India. Further, the remaining years of benefit payments are expected to be 11 years.

Increase / decrease in the following assumptions will change the present value of defined benefit obligation as illustrated below:

	Bank		Group	
	0.5% increase	0.5% decrease	0.5% increase	0.5% decrease
	LKR ‘000	LKR ‘000	LKR ‘000	LKR ‘000
Discount rate	(58,660)	62,880	(81,960)	87,856

48.4 Bank of Ceylon Pension Fund - 2014

Under the directions of the Ministry of Finance and Planning, this pension scheme was approved by the Board of Directors of the Bank with effect from 16 December 2014 for the employees recruited to the Bank on or after 1 January 1996. Minimum period of 120 months uninterrupted active service in the Bank at the time of retirement is required to be eligible for any retirement benefit under this pension scheme. Further, the beneficiaries under this pension scheme will not be entitled for rights and privileges under the current service gratuity scheme of the Bank except death gratuity payment. Contribution to this pension scheme is made monthly, based on the advice of a qualified actuary, currently at 12% of gross salary. The Bank expects to contribute LKR 2,000.0 million approximately to the fund during next 12 months.

An actuarial valuation of this fund as at 31 December 2025 was carried out by Messrs K. A. Pandit Consultants and Actuaries.

The valuation has been done using the "Projected Unit Credit Method", which is recommended in the LKAS 19 - "Employee Benefits". The results of the actuarial valuation of this Pension Fund is summarised as follows:

48.4.1 Net benefit expense (recognised under personnel expenses)

	Bank / Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000
Current service cost	558,940	410,330
Net interest income	(2,203,010)	(1,281,810)
Net benefit (income)/ expense	(1,644,070)	(871,480)

48.4.2 Amount recognised in other comprehensive income

	Bank / Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000
Actuarial (gains) / losses on the defined benefit obligation	2,680,850	(4,706,440)
Actuarial (gains) / losses on plan assets	2,169,340	839,940
Net actuarial (gains) / losses recognised in other comprehensive income	4,850,190	(3,866,500)

48.4.3 Retirement benefit assets recognised under other assets

		Bank / Group	
As at 31 December	Note	2025 LKR '000	2024 LKR '000
Fair value of plan assets	48.4.4	29,177,336	26,195,026
Present value of defined benefit obligation	48.4.5	11,932,662	7,836,572
Net retirement benefit assets		17,244,674	18,358,454

48.4.4 Changes in fair value of plan assets

	Bank / Group	
	2025 LKR '000	2024 LKR '000
Balance as at 1 January	26,195,026	20,667,766
Expected return	3,143,400	2,686,810
Contribution by employer	2,092,340	3,760,420
Benefits paid	(84,090)	(80,030)
Actuarial gains / (losses) on plan asset	(2,169,340)	(839,940)
Balance as at 31 December	29,177,336	26,195,026

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48.4.5 Changes in the present value of the defined benefit obligation

	Bank / Group	
	2025	2024
	LKR '000	LKR '000
Balance as at 1 January	7,836,572	10,807,712
Interest cost	940,390	1,405,000
Current service cost	558,940	410,330
Benefits paid	(84,090)	(80,030)
Actuarial (gains) / losses on obligation	1,192,780	(6,091,480)
(Gains) / losses due to change in assumptions	1,488,070	1,385,040
Balance as at 31 December	11,932,662	7,836,572

The present value of the Defined Benefit Obligation as of the valuation date with respect to active employees and pensioners are LKR 11,471.9 million and LKR 460.8 million respectively.

48.4.6 Plan assets consist of the following

	Bank / Group	
As at 31 December	2025	2024
	LKR '000	LKR '000
Fixed deposits	26,960,700	22,928,900
Debentures	1,347,520	1,104,690
Government Securities	-	2,150,620
Others	869,116	10,816
Total plan assets	29,177,336	26,195,026

48.4.7 Actuarial assumptions

	Bank / Group	
As at 31 December	2025	2024
	%	%
Future salary increment rate*	8.50 p.a	8.50 p.a
Increase in future Cost of Living Allowance (COLA)	7.00 p.a	8.00 p.a
Increase in pension in payment (Basic)	Nil	Nil
Discount rate	11.25 p.a	12.00 p.a
Attrition rate	Nil	Nil

* For the purpose of the valuation of the fund, the Bank has assumed future salary increment rate of 8.5% per annum for basic salary. However, according to the salary increment rates of the pension scheme, all future increment rates are capped at 8.0% on basic salary.

The Bank uses IALM (2012-2014) Mortality Table issued by the Institute of Actuaries of India

Increase / decrease in the following assumptions will have an impact on the present value of defined benefit obligation as illustrated below;

	Bank / Group	
	0.5% increase	0.5% decrease
	LKR '000	LKR '000
Discount rate	(1,020,630)	1,147,710

Further, the remaining years of benefit payments are expected to be 21 years.

The following payments are expected from the Pension Fund in future years.

	Bank / Group	
As at 31 December	2025	2024
	LKR '000	LKR '000
Within the next 12 months	117,572	49,992
Between 1 and 5 years	825,180	412,800
Between 5 and 10 years	1,288,120	805,590
Beyond 10 years	9,701,790	6,568,190
Total expected payments	11,932,662	7,836,572

48.5 Provision for encashment of medical leave

	Bank / Group	
	2025	2024
	LKR '000	LKR '000
Balance as at 1 January	1,245,997	1,102,987
Provision charge / (reversal) during the year	313,180	182,170
Payments made during the year	(23,220)	(39,160)
Balance as at 31 December	1,535,957	1,245,997

The principal actuarial assumptions used in the valuation were as follows :

	Bank / Group	
As at 31 December	2025	2024
	%	%
Future salary increment rate	8.50 p.a	8.50 p.a
Increase in future Cost of Living Allowance (COLA)	7.00 p.a	8.00 p.a
Discount rate	10.75 p.a	12.00 p.a

The Bank uses IALM (2012-2014) Mortality Table issued by the Institute of Actuaries of India.

Increase / decrease in the following assumptions will change the present value of defined benefit obligation as illustrated below:

	Bank / Group	
	0.5% increase	0.5% decrease
	LKR '000	LKR '000
Discount rate	(62,300)	66,038

The following payments are expected from the Provision for encashment of medical leave in future years.

	Bank / Group	
As at 31 December	2025	2024
	LKR '000	LKR '000
Within the next 12 months	22,087	19,400
Between 1 and 5 years	130,150	113,660
Between 5 and 10 years	136,810	127,790
Beyond 10 years	1,246,910	985,147
Total expected payments	1,535,957	1,245,997

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49 Subordinated liabilities

Accounting policy

Subordinated liabilities include funds borrowed for long term funding purposes which are subordinated to other claims. These are initially recognised at fair value. Subsequent to initial recognition, subordinated liabilities are measured at their amortised cost, using the Effective Interest Rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in "Interest Expenses" (Note 8.2) in the Statement of Profit or Loss.

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Listed debentures				
Unsecured, subordinated, redeemable debentures of LKR 100 each	61,600,947	25,566,786	61,600,947	25,566,786
Unlisted debentures				
Unsecured, subordinated, redeemable debentures of LKR 100 each (private placement)	19,051,529	24,067,197	18,799,367	23,814,056
Additional Tier I capital bond				
Unsecured, subordinated, perpetual capital bonds of LKR 100 each (private placement)	18,803,284	18,901,717	18,803,284	18,901,717
Total subordinated term debts	99,455,760	68,535,700	99,203,598	68,282,559

49.1 Movement in subordinated liabilities

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Balance as at 1 January	68,535,700	64,691,810	68,282,559	64,437,320
Issued during the year*	35,000,000	15,000,000	35,000,000	15,000,000
Redemptions during the year	(5,000,000)	(9,149,654)	(5,000,000)	(9,149,654)
Amortisation adjustments	920,060	(2,006,456)	921,039	(2,005,107)
Balance as at 31 December	99,455,760	68,535,700	99,203,598	68,282,559

*As stated in the prospectus, the following table indicates utilisation of funds raised through the debenture issued during the year and the funds raised has not been used for Related Party Transactions.

Type of Debentures/ Bonds	Objective number	Objective as per Prospectus	Amount allocated as per Prospectus in LKR	Proposed date of utilisation as per Prospectus	Amount allocated from proceeds in LKR (A)	% of total proceeds	Amounts utilised in LKR (B)	% of utilisation against allocation (B/A)	Clarification if not fully utilised including where the funds are invested (eg : whether lent to related party/s etc...)
Tier II Debenture	1	To increase the Tier II capital of the Bank in order to enhance the Capital Adequacy Ratio (CAR) and single borrower limit.	15 billion	26.05.2025	15 billion	100	15 billion	100	Not Applicable
	2	To minimise and manage the gap exposure in the Bank's assets/ liability portfolios.							
	3	To strengthen the Bank's liquidity position and to increase the asset base / loan book.		on or before 26.05.2026					
Tier II Sustainability Bond	1	To increase the Tier II capital of the Bank in order to enhance the Capital Adequacy Ratio (CAR).	20 billion	24.12.2025	20 billion	100	20 billion	100	LKR 6 billion was invested in 6 months Treasury Bills until allocating for new green and social loans
	2	To minimise and manage the gap exposure in the Bank's assets/ liability portfolios and to strengthen the Bank's liquidity position							
	3	To expand social lending portfolio of the Bank.	Maximum up to LKR 15 billion for financing and/ or refinancing eligible social lending portfolio, out of which up to LKR 10.5 billion for refinancing the eligible social projects.	on or before 24.12.2027	For refinancing 10.5 billion		10.5 billion	100	
					For new loans 4.5 billion		Nil	Nil	
		To expand green lending portfolio of the Bank.	Maximum up to LKR 5 billion for financing and/ or refinancing eligible green lending portfolio, out of which up to LKR 3.5 billion for refinancing the eligible green projects.		For refinancing 3.5 billion		3.5 billion	100	
					For new loans 1.5 billion		Nil	Nil	

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49.2 Type of debentures

	Notes	Interest payable frequency	Issue date	Maturity date	Coupon rate 2025 %	Coupon rate 2024 %	Interest Rate of comparable Government security	Amount as at 31 December Bank 2025 LKR '000	Bank 2024 LKR '000	Group 2025 LKR '000	Group 2024 LKR '000
Fixed interest rate											
Unlisted, Unsecured, subordinated, redeemable debentures		Annually	29.12.2017	28.12.2025	12.75	12.75	-	-	5,006,407	-	5,006,407
Unlisted, Unsecured, subordinated, redeemable debentures		Annually	31.07.2018	30.07.2026	12.00	12.00	8.18	7,027,961	7,027,677	7,027,961	7,027,677
Unlisted, Unsecured, subordinated, redeemable debentures		Annually	26.07.2019	25.07.2027	11.75	11.75	8.49	64,185	64,168	64,185	64,168
Unlisted, Unsecured, subordinated, redeemable debentures		Annually	30.12.2022	29.12.2027	29.00	29.00	8.86	6,498,997	6,498,975	6,498,997	6,498,975
Listed, Unsecured, subordinated, redeemable debentures With non viability written down featuers	(a)	Annually	27.12.2023	27.12.2028	15.00	15.00	9.28	10,015,949	10,019,751	10,015,949	10,019,751
Listed, unsecured, subordinated, redeemable debentures With non viability written down features	(a)	Annually	20.09.2024	20.09.2029	13.50	13.50	9.55	15,545,749	15,547,035	15,545,749	15,547,035
Listed, unsecured, subordinated, redeemable debentures With non viability written down features	(a)	Annually	26.05.2025	26.05.2030	11.25	-	9.64	15,995,447	-	15,995,447	-
Listed, unsecured, subordinated, redeemable Sustainability Bond With non viability written down features	(a)	Annually	24.12.2025	24.12.2030	10.50	-	9.67	19,857,406	-	19,857,406	-
Total fixed interest rate subordinated debentures								75,005,694	44,164,013	75,005,694	44,164,013
Floating interest rate											
Unlisted, Unsecured, subordinated, redeemable debentures (6 months TB rate (Gross) plus 250 basis points with a floor rate of 9.0%)	(b)	Semi annually	22.11.2021	22.11.2026	10.41	12.10	8.31	5,460,386	5,469,970	5,208,224	5,216,829
Listed, Unsecured, subordinated, redeemable Sustainability Bond With non viability written down features (12 months TB rate (Gross) plus 200 basis points)	(a)/(b)	Annually	24.12.2025	24.12.2030	10.19	-	9.67	186,396	-	186,396	-
Total floating interest rate subordinated debentures								5,646,782	5,469,970	5,394,620	5,216,829

	Notes	Interest payable frequency	Issue date	Maturity date	Coupon rate 2025 %	Coupon rate 2024 %	Interest Rate of comparable Government security	Amount as at 31 December Bank 2025 LKR '000	Bank 2024 LKR '000	Group 2025 LKR '000	Group 2024 LKR '000
Additional Tier I capital bond											
Unlisted, Unsecured, subordinated, perpetual capital bond (12 months TB (net) rate plus 150 basis points with a Floor rate of 9.5%)		Annually	06.07.2020	N/A	9.50	11.81	-	5,226,897	5,280,531	5,226,897	5,280,531
Unlisted, Unsecured, subordinated, perpetual capital bond (Weighted average 12 months TB (net) rate plus 150 basis points with a Floor rate of 9.00%)		Annually	01.12.2020	N/A	9.53	10.58	-	10,075,305	10,083,231	10,075,305	10,083,231
Unlisted, Unsecured, subordinated, perpetual capital bond (Weighted average 12 months TB (net) rate plus 150 basis points with a Floor rate of 9%)		Annually	06.07.2021	N/A	9.44	11.81	-	3,501,082	3,537,955	3,501,082	3,537,955
Total Additional Tier I capital bonds								18,803,284	18,901,717	18,803,284	18,901,717
Total subordinated debentures								99,455,760	68,535,700	99,203,598	68,282,559

Notes :

a) Debentures that are listed in the Colombo Stock Exchange.

b) Weighted average Treasury Bill interest rate at the primary quotations as announced by the Central Bank of Sri Lanka, at the preceding week of the interest resetting date.

50 Share capital

50.1 Ordinary shares and Capital pending allotment

50.1.1 Ordinary shares

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Authorised				
50,000,000 ordinary shares	50,000,000	50,000,000	50,000,000	50,000,000
Issued and fully paid				
Balance as at 1 January	25,000,000	25,000,000	25,000,000	25,000,000
Shares issued during the year	730,000	-	730,000	-
Balance as at 31 December	25,730,000	25,000,000	25,730,000	25,000,000

As of 31 December 2025, issued and fully paid shares are 25,730,000 (2024 : 25,000,000).

50.1.2 Capital pending allotment

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Balance as at 1 January	730,000	730,000	730,000	730,000
Transferred to share capital	(730,000)	-	(730,000)	-
Balance as at 31 December	-	730,000	-	730,000

Bank received LKR 730 million from the Government of Sri Lanka during the year 2022. This amount has been transferred to share capital during the year 2025.

50.2 Net assets value per share

	Bank		Group	
As at 31 December	2025	2024	2025	2024
Amount used as the numerator				
Total equity attributable to equity holder of the Bank (LKR '000)	365,800,220	302,559,805	386,904,377	321,296,283
Number of ordinary shares used as denominator				
Total number of ordinary shares issued	25,730,000	25,000,000	25,730,000	25,000,000
Net asset value per ordinary share (LKR)	14,216.88	12,102.39	15,037.09	12,851.85

51 Permanent reserve fund

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Balance as at 1 January	16,953,000	15,665,000	16,953,000	15,665,000
Transfers during the year	1,521,000	1,288,000	1,521,000	1,288,000
Balance as at 31 December	18,474,000	16,953,000	18,474,000	16,953,000

The permanent reserve fund is maintained as required by Bank of Ceylon Ordinance (Chapter 397) whereby the Bank must, out of net profit after taxation, but before any dividend is declared, transfer to a reserve, a sum equivalent to not less than 20% of such profit, until the reserve is equivalent to 50% of the issued and paid-up capital and thereafter, an appropriate amount determined at 2% per annum in terms of section 20(1) and (2) of the Banking Act No. 30 of 1988 until the reserve is equal to the paid-up capital.

In order to meet the requirement, an amount of LKR 1521.0 million was transferred to the permanent reserve during the year 2025. (2024 : LKR 1,288.0 million).

The balance in the permanent reserve fund will be used only for the purposes specified in the Section 20 (2) of the Banking Act No. 30 of 1988.

52 Retained earnings

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Balance as at 1 January	183,388,860	171,351,609	185,536,613	173,063,302
Total comprehensive income for the year	66,823,400	54,730,719	67,461,481	55,325,620
Transfers to other reserves	(1,521,000)	(1,288,000)	(1,611,441)	(1,446,841)
Surcharge tax	-	(1,483,337)	-	(1,483,337)
Transfers to special Reserve	(39,339,604)	(39,922,131)	(39,339,604)	(39,922,131)
Reversal of unclaimed dividend	-	-	1,835	-
Dividend	(5,000,000)	-	(5,000,000)	-
Balance as at 31 December	204,351,656	183,388,860	207,048,884	185,536,613

53 Cash flow hedge reserve

Accounting policy

The Bank has entered in to USD/LKR funding SWAPs with the Central Bank of Sri Lanka (CBSL) against the borrowing from foreign Banks in order to mitigate the foreign exchange risk and volatility to the profit and loss arising from the USD borrowing. These SWAP agreements have been accounted as per the Hedge Accounting after the testing of Hedge Effectiveness.

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Balance as at 1 January	1,521,423	5,251,517	1,521,423	5,251,517
Net gains / (losses) on cash flow hedge instruments	(783,217)	(3,730,094)	(783,217)	(3,730,094)
Balance as at 31 December	738,206	1,521,423	738,206	1,521,423

NOTES TO THE FINANCIAL STATEMENTS

54 Other reserves

		Bank		Group	
As at 31 December	Note	2025	2024	2025	2024
		LKR '000	LKR '000	LKR '000	LKR '000
Revaluation reserve	54.1	22,227,386	22,227,386	34,037,095	33,584,706
Free reserve	54.2	169,067	169,067	366,644	366,644
Exchange translation reserve	54.3	7,490,659	6,913,389	11,396,364	9,958,632
Special Reserves	54.4	79,261,735	39,922,131	79,261,735	39,922,131
Fair value through OCI reserve	54.5	7,357,511	5,734,549	9,459,184	7,328,571
Statutory reserve - other	54.6	-	-	392,265	394,563
Total other reserves		116,506,358	74,966,522	134,913,287	91,555,247

54.1 Revaluation reserve

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Balance as at 1 January	22,227,386	22,227,386	33,584,706	33,687,424
Change in revaluation surplus/ (deficit)	-	-	653,881	(139,720)
Deferred tax effect on above	-	-	(196,164)	41,916
Transferred to non-controlling interest	-	-	(5,328)	(4,914)
Balance as at 31 December	22,227,386	22,227,386	34,037,095	33,584,706

The revaluation reserve represents the surpluses arising on the revaluation of freehold lands and buildings and buildings on leasehold lands as at the date of revaluation.

According to the Basel III regulatory directives, issued by the Central Bank of Sri Lanka, the Bank can consider the revaluation surplus as supplementary capital in computing capital adequacy ratio, once in every three years.

54.2 Free reserve

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Balance as at 1 January	169,067	169,067	366,644	366,644
Balance as at 31 December	169,067	169,067	366,644	366,644

Free reserve has been created for unforeseeable risks and future losses.

54.3 Exchange translation reserve

	Bank		Group	
	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Balance as at 1 January	6,913,389	8,762,834	9,958,632	12,335,352
Exchange differences on translation of foreign operations	577,270	(1,849,445)	1,344,993	(2,499,942)
Transfers to other reserves	-	-	92,739	123,222
Balance as at 31 December	7,490,659	6,913,389	11,396,364	9,958,632

This represents the exchange differences arising from translating investments made in the capital and net exchange movement arising on the translation of net equity of Bank of Ceylon (UK) Limited and foreign branches and also exchange differences arising from translation of the results of foreign branches for this year from the average rate to the exchange rate at the year end.

54.4 Special Reserves

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Balance as at 1 January	39,922,131	-	39,922,131	-
Transfers from Retained Earnings	39,339,604	39,922,131	39,339,604	39,922,131
Balance as at 31 December	79,261,735	39,922,131	79,261,735	39,922,131

Special Reserves on Restructured Sovereign exposures and Cybersecurity

As part of Government Restructuring process, the Bank was directed to build-up a special reserve on account of some of the GOSL/SOE restructured exposures.

Accordingly the Bank has transferred LKR 38.8 billion during the year 2025 (2024 : LKR 39.9) from Retained Earnings to Special Reserves on restructured sovereign exposures.

Further, the Bank created a special reserve on account of Cybersecurity and LKR 500.0 million was transferred during the year 2025 (2024 : Nil)

54.5 Fair value through OCI reserve

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Balance as at 1 January	5,734,549	2,557,307	7,328,571	4,999,807
Net gains/ (losses) on investments in debt instruments measured at FVOCI	(489,211)	736,052	(545,848)	745,464
Net (gains)/ losses on investments in financial assets at FVOCI reclassification to profit or loss	-	-	-	(6,663)
Deferred tax effect on above	148,454	(220,371)	148,454	(220,371)
Change in fair value on investments in equity instruments measured at FVOCI	2,176,370	2,782,020	2,754,600	1,912,880
Deferred tax effect on above	(212,651)	(120,459)	(212,651)	(120,459)
Transferred to non-controlling interest	-	-	(13,942)	17,913
Balance as at 31 December	7,357,511	5,734,549	9,459,184	7,328,571

54.6 Statutory reserve - other

	Bank		Group	
	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Balance as at 1 January	-	-	394,563	358,944
Transfer from/ (to) Retained Earnings	-	-	(2,298)	35,619
Balance as at 31 December	-	-	392,265	394,563

NOTES TO THE FINANCIAL STATEMENTS

55 Non controlling interest

	Group	
As at 31 December	2025	2024
	LKR '000	LKR '000
Property Development Limited	87,760	66,360
Merchant Bank of Sri Lanka and Finance PLC	668,265	625,862
MBSL Insurance Company Limited	319,025	459,293
Hotels Colombo (1963) Limited	(45)	(38)
Total non-controlling interest	1,075,005	1,151,477

56 Notes to the statement of cash flows

56.1 Change in operating assets

	Bank		Group	
For the year ended 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Change in deposits with regulatory authorities	(27,499,722)	(17,413,591)	(27,499,722)	(17,413,591)
Change in loans and advances to customers	(224,432,918)	(35,752,279)	(251,133,541)	(47,556,006)
Net (increase)/ decrease of financial assets measured at fair value through profit or loss	10,393,611	18,708,784	10,771,111	19,826,342
Net (increase)/ decrease in securities purchased under resale agreements	23,637,034	(20,270,423)	20,976,248	(17,885,769)
Net (increase)/ decrease in placements with banks	22,954,437	12,553,064	18,394,339	11,448,229
Net (increase)/ decrease in derivative financial assets	16,599,803	(2,974,760)	16,599,803	(2,974,760)
Change in other operating assets	4,977,428	13,987,399	6,134,303	14,396,047
Total	(173,370,327)	(31,161,806)	(205,757,459)	(40,159,508)

56.2 Change in operating liabilities

	Bank		Group	
For the year ended 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Net Increase/ (decrease) in deposits from banks	253,244	(308,508)	253,244	(308,508)
Net Increase/ (decrease) in deposits from customers	138,450,153	343,052,468	160,588,455	352,632,470
Net increase/ (decrease) in securities sold under repurchase agreements	153,135,755	52,616,344	158,657,698	52,200,844
Net increase/ (decrease) in short term borrowings	17,451,625	66,800	19,067,368	2,358,075
Net increase/ (decrease) in derivative financial liabilities	(15,915,015)	14,306,875	(15,915,015)	14,306,875
Change in other operating liabilities	19,024,247	96,692,514	19,001,526	96,092,150
Total	312,400,009	506,426,493	341,653,276	517,281,906

56.3 Other non cash items included in profit before tax

	Bank		Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Gains/ (losses) on revaluation of foreign exchange	5,398,058	(9,004,991)	5,398,058	(9,004,991)
Provision for defined benefit plans	5,366,710	3,947,180	5,503,144	4,062,394
Impairment charges/ (reversals)	21,109,778	(20,343,159)	21,017,651	(20,720,005)
Depreciation of investment property	-	-	-	92,446
Depreciation of property, plant and equipment	2,636,765	2,130,103	3,236,781	2,609,870
Amortisation of intangible assets and leasehold properties	2,386,151	2,064,824	1,495,713	1,605,737
Accrual for expenses and other non cash items	(7,118,587)	8,299,858	(7,175,361)	8,199,905
Total	29,778,875	(12,906,185)	29,475,986	(13,154,644)

57 Contingent liabilities and commitments

Accounting policy

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured as defined in the LKAS 37 - "Provisions, Contingent Liabilities and Contingent Assets".

In the normal course of business, the Bank undertakes commitments and incurs contingent liabilities with legal recourse to its customers to accommodate the financial and investment needs of clients, to conduct trading activities and to manage its own exposure to risk. These consist of financial guarantees, letters of credit and other undrawn commitments to lend. Letters of credit and guarantees (including standby letters of credit) commit the Bank to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Guarantees and standby letters of credit carry a similar credit risk to loans. Operating lease commitments of the Bank (as a lessor and as a lessee) and pending legal claims against the Bank also form part of commitments of the Bank.

Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote. These financial instruments generate interest or fees and carries elements of credit risk in excess of those amounts recognised as assets and liabilities in the Statement of Financial Position. However, no material losses are anticipated as a result of these transactions.

These commitments and contingencies are quantified below :

		Bank		Group	
As at 31 December	Note	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Contingent liabilities	57.1	879,415,242	915,589,071	879,956,586	916,178,310
Undrawn and undisbursed facilities	57.2	907,092,530	849,076,182	909,255,094	849,076,182
Capital commitments	57.3	20,278,848	18,616,449	20,366,547	18,671,951
Lease commitments	57.4	1,618,001	5,014,656	2,676,869	5,469,810
Total contingent liabilities and commitments		1,808,404,621	1,788,296,358	1,812,255,096	1,789,396,253

57.1 Contingent liabilities

		Bank		Group	
As at 31 December	Note	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Acceptances and documentary credit		192,525,473	170,192,219	192,525,473	170,192,219
Bills for collection		68,018,849	59,672,832	68,018,849	59,672,832
Forward exchange contracts		331,259,662	402,059,694	331,259,662	402,059,694
Guarantees		132,739,409	135,693,404	133,222,253	135,885,362
Other commitments	57.1.1	154,871,849	147,970,922	154,930,349	148,368,203
Total contingent liabilities		879,415,242	915,589,071	879,956,586	916,178,310

57.1.1 Other commitments

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Sale commitment of securities primary/ secondary market	699,262	1,384,057	699,262	1,384,057
Purchase commitment of securities for primary/ secondary market	4,061,213	35,445,674	4,061,213	35,445,674
Forward exchange contract with financial institutions	1,854,509	457,627	1,854,509	457,627
Currency SWAPs	148,256,865	110,683,564	148,256,865	110,683,564
Other commitments	-	-	58,500	397,281
Total other commitments	154,871,849	147,970,922	154,930,349	148,368,203

57.2 Undrawn and undisbursed facilities

The un-utilised value of irrevocable commitments, which cannot be withdrawn at the discretion of the Bank, without risk of incurring significant penalties or expenses are as follows:

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Undisbursed amount of loans	103,168,462	70,406,666	105,175,954	70,406,666
Undrawn limits of overdrafts	160,539,882	158,856,975	160,694,954	158,856,975
Undrawn limits of credit cards	23,160,763	19,046,069	23,160,763	19,046,069
Undrawn limits of letters of credit	263,394,585	271,935,384	263,394,585	271,935,384
Undrawn limits of letters of guarantee	356,828,838	328,831,088	356,828,838	328,831,088
Total undrawn and undisbursed facilities	907,092,530	849,076,182	909,255,094	849,076,182

57.3 Capital commitments

Capital expenditure approved by the Directors, for which, no provision has been made in the Financial Statements, amounts to;

57.3.1 Capital commitments in relation to property, plant and equipment

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Approved and contracted for	6,065,553	8,092,887	6,152,883	8,148,389
Approved but not contracted for	9,485,356	6,732,900	9,485,356	6,732,900
Total capital commitments in relation to property, plant and equipment	15,550,909	14,825,787	15,638,239	14,881,289

57.3.2 Capital commitments in relation to intangible assets

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Approved and contracted for	3,641,439	2,817,662	3,641,808	2,817,662
Approved and not contracted for	1,086,500	973,000	1,086,500	973,000
Total capital commitments in relation to intangible assets	4,727,939	3,790,662	4,728,308	3,790,662
Total capital commitments	20,278,848	18,616,449	20,366,547	18,671,951

57.4 Lease commitments

57.4.1 Operating lease commitments

Future minimum lease payments under non-cancellable operating leases, where the Bank and Group is the lessee, are as follows;

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Not later than 1 year	92,397	1,398,871	378,193	1,583,934
Later than 1 year and not later than 2 years	206,982	1,493,267	455,919	1,603,987
Later than 2 years and not later than 3 years	179,236	759,996	395,716	840,611
Later than 3 years and not later than 4 years	167,735	323,460	368,232	355,209
Later than 4 years and not later than 5 years	147,389	84,249	215,796	97,194
Later than 5 years	824,262	954,813	863,013	988,875
Total operating lease commitments	1,618,001	5,014,656	2,676,869	5,469,810

Note:
With the implementation of SLFRS 16 - "Leases" effect from 1 January 2019, the operating lease commitments recognised as lease liability and reported under Other Liabilities (Note 47).

57.4.2 Total lease commitments

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Operating lease commitments	1,618,001	5,014,656	2,676,869	5,469,810
Total lease commitments	1,618,001	5,014,656	2,676,869	5,469,810

57.5 Litigation

Litigations are anticipated in the context of business operations due to the nature of the transactions involved. The Bank and the Group's companies are involved in various such legal actions and the controls have been established to deal with such legal claims. There are pending litigations existing as at the end of the reporting period against the Bank, resulting through normal business operations.

As of 31 December 2025, claims for the Legal Actions against the Bank approximately amount to LKR 6,268.0 million (2024: LKR 6,309.0 million), nevertheless the Bank has no impact over such claims whatsoever affecting to the business, operations or image of the Bank.

NOTES TO THE FINANCIAL STATEMENTS

58 Assets pledged as security

The securities sold under repurchase agreement by the Bank and the Group and details of assets pledged by the Bank and the Group, to secure those liabilities are given below;

	Bank		Group	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Borrowings				
Securities sold under repurchase agreements	284,215,169	131,079,414	288,688,312	130,030,614
	284,215,169	131,079,414	288,688,312	130,030,614
Secured by ;				
Treasury bonds	297,545,070	147,356,987	324,537,916	146,177,946
Total assets pledged as securities	297,545,070	147,356,987	324,537,916	146,177,946

59 Events after the reporting date

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date the Financial Statements are authorised for issue.

There are no events occurring after the reporting date which require adjustments to or disclosure in the Financial Statements.

60 Maturity analysis of assets and liabilities

The analysis of total assets and liabilities of the Bank and the Group into relevant maturity groupings based on the remaining period as at 31 December 2025 in to the contractual maturity date, is given in the table below.

	Bank			Group		
As at 31 December 2025	Within 12 months LKR '000	After 12 months LKR '000	Total LKR '000	Within 12 months LKR '000	After 12 months LKR '000	Total LKR '000
Assets						
Cash and cash equivalents	131,083,172	-	131,083,172	133,811,977	-	133,811,977
Balances with Central Banks	75,188,814	4,657,138	79,845,952	75,188,814	4,657,138	79,845,952
Placements with banks	39,458,670	-	39,458,670	43,182,411	-	43,182,411
Securities purchased under resale agreements	345,307	-	345,307	604,912	-	604,912
Derivative financial assets	2,482,041	4,418,756	6,900,797	2,482,041	4,418,756	6,900,797
Financial assets recognised through profit or loss measured at fair value	5,901,691	6,698,320	12,600,011	6,238,711	14,213,905	20,452,616
Financial assets measured at amortised cost - loans and advances	898,139,324	1,473,612,652	2,371,751,976	915,469,765	1,526,952,953	2,442,422,718
Financial assets measured at amortised cost - debt and other instruments	1,322,416,201	1,283,093,805	2,605,510,006	1,322,689,626	1,289,023,483	2,611,713,109
Financial assets measured at fair value through OCI	3,769,598	33,609,578	37,379,176	3,769,598	35,974,444	39,744,042
Investment in subsidiary companies	-	8,105,402	8,105,402	-	-	-

	Bank			Group		
As at 31 December 2025	Within 12 months LKR '000	After 12 months LKR '000	Total LKR '000	Within 12 months LKR '000	After 12 months LKR '000	Total LKR '000
Investment in associate companies	-	92,988	92,988	-	894,332	894,332
Investment properties	-	2,414,640	2,414,640	-	-	-
Property, plant and equipment	-	46,142,559	46,142,559	-	63,453,867	63,453,867
Right of use assets/ leasehold properties	161,015	5,349,492	5,510,507	244,135	2,713,275	2,957,410
Intangible assets	-	2,790,651	2,790,651	-	2,888,809	2,888,809
Deferred tax assets	-	27,402,018	27,402,018	-	27,518,175	27,518,175
Other assets	72,972,278	17,244,674	90,216,952	73,205,533	17,453,806	90,659,339
Total assets	2,551,918,111	2,915,632,673	5,467,550,784	2,576,887,523	2,990,162,943	5,567,050,466
Percentage (%)	46.7%	53.3%	100%	46.3%	53.7%	100%
Liabilities						
Due to banks	26,397,898	-	26,397,898	27,225,943	-	27,225,943
Securities sold under repurchase agreements	284,215,169	-	284,215,169	288,688,312	-	288,688,312
Derivative financial liabilities	561,062	-	561,062	561,062	-	561,062
Financial liabilities at amortised cost - due to depositors	4,132,614,916	255,971,056	4,388,585,972	4,161,954,725	285,697,914	4,447,652,639
Financial liabilities at amortised cost - other borrowings	36,288,579	12,430,800	48,719,379	29,614,672	27,263,054	56,877,726
Debt securities issued	-	-	-	-	1,754,101	1,754,101
Current tax liabilities	25,418,318	-	25,418,318	25,667,188	-	25,667,188
Deferred tax liabilities	-	-	-	-	3,003,753	3,003,753
Insurance contract liabilities - Life	-	-	-	-	483,493	483,493
Insurance contract liabilities - Non life	-	-	-	-	558,400	558,400
Other liabilities	155,591,176	72,805,830	228,397,006	155,886,258	71,508,611	227,394,869
Subordinated liabilities	12,488,347	86,967,413	99,455,760	12,236,185	86,967,413	99,203,598
Equity	-	365,800,220	365,800,220	-	387,979,382	387,979,382
Total liabilities and equity	4,673,575,465	793,975,319	5,467,550,784	4,701,834,345	865,216,121	5,567,050,466
Percentage (%)	85.5%	14.5%	100%	84.5%	15.5%	100%
Net gap	(2,121,657,354)	2,121,657,354	-	(2,124,946,822)	2,124,946,822	-

The analysis of total assets and liabilities of the Bank and the Group into relevant maturity groupings based on the remaining period as at 31 December 2024 in to the contractual maturity date, is given in the table below.

	Bank			Group		
As at 31 December 2024	Within 12 months LKR '000	After 12 months LKR '000	Total LKR '000	Within 12 months LKR '000	After 12 months LKR '000	Total LKR '000
Assets						
Cash and cash equivalents	115,422,407	-	115,422,407	116,281,852	-	116,281,852
Balances with Central Banks	49,451,106	2,895,124	52,346,230	49,451,106	2,895,124	52,346,230
Placements with banks	62,413,107	-	62,413,107	61,576,750	-	61,576,750
Securities purchased under resale agreements	23,982,341	-	23,982,341	21,581,160	-	21,581,160
Derivative financial assets	18,487,729	5,012,871	23,500,600	18,487,729	5,012,871	23,500,600
Financial assets recognised through profit or loss measured at fair value	15,729,495	5,273,682	21,003,177	16,025,318	13,737,169	29,762,487
Financial assets measured at amortised cost - loans and advances	1,571,637,085	606,070,694	2,177,707,779	1,582,251,773	638,910,071	2,221,161,844
Financial assets measured at amortised cost - debt and other instruments	1,191,416,284	1,084,518,092	2,275,934,376	1,195,697,173	1,086,938,911	2,282,636,084
Financial assets measured at fair value through OCI	23,344,199	28,705,454	52,049,653	23,344,199	30,518,564	53,862,763
Investment in subsidiary companies	-	8,080,402	8,080,402	-	-	-
Investment in associate companies	-	92,988	92,988	-	828,923	828,923
Investment properties	-	2,414,640	2,414,640	-	-	-
Property, plant and equipment	-	45,621,257	45,621,257	-	62,308,257	62,308,257
Right of use assets/ leasehold properties	1,956,198	3,598,222	5,554,420	1,960,312	1,394,830	3,355,142
Intangible assets	-	1,608,812	1,608,812	-	1,710,211	1,710,211
Deferred tax assets	-	15,836,422	15,836,422	-	15,967,300	15,967,300
Other assets	83,211,911	18,358,454	101,570,365	83,276,771	18,514,933	101,791,704
Total assets	3,157,051,862	1,828,087,114	4,985,138,976	3,169,934,143	1,878,737,164	5,048,671,307
Percentage (%)	63.3%	36.7%	100%	62.8%	37.2%	100%

	Bank			Group		
As at 31 December 2024	Within 12 months LKR '000	After 12 months LKR '000	Total LKR '000	Within 12 months LKR '000	After 12 months LKR '000	Total LKR '000
Liabilities						
Due to banks	1,671,087	-	1,671,087	1,682,417	-	1,682,417
Securities sold under repurchase agreements	131,079,414	-	131,079,414	130,030,614	-	130,030,614
Derivative financial liabilities	16,476,077	-	16,476,077	16,476,077	-	16,476,077
Financial liabilities at amortised cost - due to depositors	3,937,901,439	270,701,996	4,208,603,435	3,959,561,828	285,969,972	4,245,531,800
Financial liabilities at amortised cost - other borrowings	11,537,581	17,606,097	29,143,678	8,563,433	23,780,820	32,344,253
Debt securities issued	-	-	-	-	718,873	718,873
Current tax liabilities	23,209,855	-	23,209,855	23,594,223	-	23,594,223
Deferred tax liabilities	-	-	-	-	2,911,350	2,911,350
Insurance contract liabilities - Life	-	-	-	-	400,967	400,967
Insurance contract liabilities - Non life	-	-	-	-	423,923	423,923
Other liabilities	142,153,360	61,706,565	203,859,925	142,775,677	61,050,814	203,826,491
Subordinated liabilities	5,006,407	63,529,293	68,535,700	5,006,407	63,276,152	68,282,559
Equity	-	302,559,805	302,559,805	-	322,447,760	322,447,760
Total liabilities and equity	4,269,035,220	716,103,756	4,985,138,976	4,287,690,676	760,980,631	5,048,671,307
Percentage (%)	85.6%	14.4%	100%	84.9%	15.1%	100%
Net gap	(1,111,983,358)	1,111,983,358	-	(1,117,756,533)	1,117,756,533	-

61 Related party disclosures

The Bank has entered into transactions with the parties who are defined as related parties in LKAS 24 -" Related Party Disclosures". i.e. significant investors, Subsidiary and Associate companies, post employment benefit plans for the Bank's employees, Key Management Personnel (KMP), Close Family Members (CFMs) of KMP and other related entities. Those transactions include lending activities, acceptance and placements, off-balance sheet transactions and provision of other banking and financial services that are carried out in the ordinary course of business on an arm's length basis at commercial rates, except for the transactions that KMP have availed under schemes uniformly applicable to all the staff at concessionary rates.

61.1 Parent and the ultimate controlling party

Bank of Ceylon is a Government owned bank.

61.2 Key Management Personnel (KMPs) and their Close Family Members (CFMs)

61.2.1 Compensation to Key Management Personnel (KMP) and their Close Family Members (CFMs)

As per the LKAS 24 - "Related Party Disclosures", the KMP include those who are having authority and responsibility for planning, directing and controlling the activities of the Bank. Accordingly, the Board of Directors and selected key members of the Corporate Management are identified as KMP who meet the above criteria.

CFMs are defined as family members who may be expected to influence, or be influenced by, that KMP in their dealings with the entity.

Compensation to KMP of the Bank and Group

	Bank		Group	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Short term employment benefits	43,777	31,741	47,542	32,390
Post employment benefits	3,556	6,527	3,556	6,527
Total	47,333	38,268	51,098	38,917

In addition to the above, the Bank / Group has also provided non cash benefits to the KMP in line with the approved benefit plans of the Bank / Group.

61.2.2 Transactions, arrangements and agreements involving Key Management Personnel (KMP) and their Close Family Members (CFMs).

(a) Items in statement of profit or loss - Bank

	KMPs and CFMs	
For the year ended 31 December	2025 LKR '000	2024 LKR '000
Interest income	3,114	1,347
Interest expenses	29,860	16,674
Compensation to KMP	47,333	38,268

(b) Items in statement of financial position - Bank

	KMPs and CFMs	
As at 31 December	2025 LKR '000	2024 LKR '000
Assets		
Loans	19,975	20,532
Overdrafts	28,961	-
Credit cards	1,891	524
Total	50,827	21,056
Liabilities		
Due to depositors	236,718	103,231
Debentures	5,011	20,729
Total	241,729	123,960

(c) Off balance sheet items - Bank

	KMPs and CFMs	
As at 31 December	2025 LKR '000	2024 LKR '000
Undrawn facilities	19,436	4,176
Total	19,436	4,176

(d) Average accommodations/ due to depositors balances - Bank

	KMP and CFMs	
As at 31 December	2025	2024
	LKR '000	LKR '000
Loans	20,253	12,773
Overdrafts	14,480	-
Credit cards	1,208	327
Due to depositors	169,975	147,344

61.3 Transactions with group related parties

The Group related parties include the Subsidiaries and Associates of the Bank.

61.3.1 Transactions with subsidiaries and associate companies of the Bank

The aggregate amount of income and expenses arising from the transactions during the year and amount due to and due from the relevant related parties and total contract sum of off balance sheet transactions at the year end are summarised below.

(a) Items in statement of profit or loss

	Subsidiary companies		Associate companies	
For the year ended 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Interest income	1,918,051	2,355,055	33,625	54,276
Interest expenses	682,542	781,080	65,705	43,569
Other income	519,937	496,320	54,519	8,054
Other expenses	1,650,526	1,750,419	-	-
Dividend income	417,967	437,113	54,519	8,054

(b) Items in statement of financial position

	Subsidiary companies		Associate companies	
As at 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Assets				
Loans	313,957	3,188,461	288,205	392,898
Overdrafts	645,561	186,794	3,401	89,689
Placements	38,523,019	39,313,821	-	-
Reverse Repo	-	2,408,426	-	-
Other receivables	3,732,441	1,965,388	-	-
Total	43,214,978	47,062,890	291,606	482,587
Liabilities				
Due to depositors	4,783,062	5,379,788	223,618	426,017
Securities sold under repurchase agreements	2,139,944	1,053,913	558,753	245,044
Debentures	252,796	500,000	-	-
Other liabilities	207,260	274,679	-	-
Total	7,383,062	7,208,380	782,371	671,061

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c) Off balance sheet items

	Subsidiary companies		Associate companies	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Guarantees	129,100	191,958	-	-
Undrawn facilities	162,939	154,706	99,099	22,754
Total	292,039	346,664	99,099	22,754

(d) Average accommodations / due to depositors balances

	Subsidiary companies		Associate companies	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Loans	1,751,209	2,310,232	340,552	451,689
Overdrafts	416,178	131,723	46,545	55,765
Due to depositors	5,081,425	5,845,409	324,817	426,018

61.3.2 Transactions with subsidiaries and associate companies of the Group

In addition to the transactions between the Bank and its Subsidiaries and Associate companies, transactions which were taken place between the Subsidiaries and Associate companies are also included in the section below;

(a) Items in statement of profit or loss

	Subsidiary companies		Associate companies	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Interest income	1,923,111	2,385,726	33,625	54,276
Interest expenses	687,602	811,751	65,705	43,569
Other income	745,416	772,918	54,519	8,054
Other expenses	1,876,006	2,027,017	-	-

(b) Items in statement of financial position

	Subsidiary companies		Associate companies	
As at 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Assets				
Loans	381,938	3,403,590	288,205	392,898
Overdrafts	645,561	186,794	3,401	89,689
Placements	38,523,019	39,313,821	-	-
Reverse Repo	-	2,408,426	-	-
Other receivables	3,889,957	1,968,542	-	-
Total	43,440,475	47,281,173	291,606	482,587
Liabilities				
Due to depositors	4,788,655	5,584,754	223,618	426,017
Securities sold under repurchase agreements	2,139,944	1,053,913	558,753	245,044
Debentures	319,716	510,163	-	-
Other liabilities	359,591	277,180	-	-
Total	7,607,906	7,426,010	782,371	671,061

(c) Off balance sheet items

As at 31 December	Subsidiary companies 2025 LKR '000	Subsidiary companies 2024 LKR '000	Associate companies 2025 LKR '000	Associate companies 2024 LKR '000
Guarantees	129,100	191,958	-	-
Undrawn facilities	162,939	154,706	99,099	22,754
Total	292,039	346,664	99,099	22,754

(d) Average accommodations / due to depositors balances

As at 31 December	Subsidiary companies 2025 LKR '000	Subsidiary companies 2024 LKR '000	Associate companies 2025 LKR '000	Associate companies 2024 LKR '000
Loans	1,892,764	2,531,535	340,552	451,689
Overdrafts	416,178	131,723	46,545	55,765
Due to depositors	5,186,705	6,045,235	324,817	426,018

61.4 Transactions with the significant investors having significant influence over the bank and the post employment benefit plans for Bank's employees.

The significant investor of the Bank is the Government as it is a state owned entity. The Government refers to the Government of Sri Lanka, Government Corporations, Provincial Councils, Local Government bodies, other Government entities and their subsidiaries.

Post employment benefit plans are arrangements made by the Bank to provide post employment benefits for its employees.

Transactions and arrangements entered in to by the Bank with the Government and Government controlled entities (significant investor) and post employment benefit plans which are individually significant and for other transactions that are collectively, but not individually significant are as follows;

61.4.1 Transactions which are collectively significant

(a) Items in statement of profit or loss

For the year ended 31 December	Significant Investor 2025 LKR '000	Significant Investor 2024 LKR '000	Post employment benefit plans 2025 LKR '000	Post employment benefit plans 2024 LKR '000
Interest income	325,177,010	298,541,301	-	-
Other income	1,336,816	1,219,825	-	-
Interest expenses	89,619,698	71,506,116	21,222,839	22,966,664
Contribution made	-	-	5,954,270	5,574,960

(b) Items in Statement of Changes in Equity

As at 31 December	Significant Investor 2025 LKR '000	Significant Investor 2024 LKR '000	Post employment benefit plans 2025 LKR '000	Post employment benefit plans 2024 LKR '000
Dividends paid	5,000,000	-	-	-

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(c) Items in statement of financial position

	Significant investor		Post employment benefit plans	
As at 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Assets				
Loans and advances	782,227,054	853,349,219	-	-
Balances with Central Banks	79,845,952	52,346,230	-	-
Investment in securities and bonds	2,585,504,767	2,300,083,903	-	-
Investment in equity instruments	434,112	309,162	-	-
Total	3,448,011,885	3,206,088,514	-	-
Liabilities				
Due to depositors	1,191,629,734	1,211,664,471	121,201,354	116,757,147
Securities sold under repurchase agreements	193,809,830	123,127,593	2,391,010	985,777
Debentures and bonds	70,100,539	48,283,152	17,084,418	7,551,524
Total	1,455,540,103	1,383,075,216	140,676,782	125,294,448

(d) Off balance sheet items

	Significant investor	
As at 31 December	2025	2024
	LKR '000	LKR '000
Letters of credit	137,754,335	109,773,489
Bills and acceptances	8,560,973	15,360,384
Guarantees	8,748,678	27,957,518
Forward exchange contracts and currency SWAPs	345,237,445	183,491,407
Total	500,301,431	336,582,798

(e) Other transactions

	Significant Investor	
For the year ended 31 December	2025	2024
	LKR '000	LKR '000
Gross foreign exchange transactions		
Sales	261,128,060	295,877,340
Purchases	893,250	39,672,725

(f) Average accommodations, Due to depositors balances and Off balance sheet facilities

	Significant investor		Post employment benefit plans	
As at 31 December	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Loans and advances	817,788,137	859,019,722	-	-
Due to depositors	1,201,647,103	1,058,002,016	118,979,251	112,886,203
Off balance sheet facilities	264,364,426	169,307,179	-	-

61.4.2 Transactions which are individually significant

The Bank uses internal assessment methodology in order to identify significance of the transactions with the Government and Government related entities. Accordingly, the transactions which have been considered in normal day to day business operations on normal market conditions are considered as individually significant transactions.

The Government has issued Treasury Guarantees of LKR 147.9 billion (2024 - LKR 196.6 billion) and Tri-party Agreement/ Comfort Letters of LKR 41.8 billion (2024 - LKR 45.3 billion) as of 31.12.2025 against the Loan facilities granted to State Owned Enterprises (SOEs).

61.4.3 Transactions with the significant investor - Group

Other than the transactions carried out by the Bank and balances held by the Bank with the Government, subsidiaries of the Group have carried out following transactions with the Government and balances held with the Government as follows;

	Significant investor	
For the year ended 31 December	2025 LKR '000	2024 LKR '000
Investment in securities and bonds	12,837,264	13,296,839
Nostro balance with Central Bank of Sri Lanka	165,688	36,862
Income from investments in securities and bonds	155,031	48,502

Apart from the transactions listed above, the Group carried out transactions with the Government of Sri Lanka and other Government related entities in the form of providing services, investments in shares for trading purpose and other financial service transactions including inter bank placements during the year ended 31 December 2025 on comparable terms, which are applicable to transactions between the Group and its unrelated customers.

61.5 Disclosure Requirement under Section 9.14.8(1) and section 9.14.8(2) of the Listing Rules of Colombo Stock Exchange (CSE)

(a) Recurrent related party transactions

There are no recurrent related party transactions, except for the transactions engaged with the Government of Sri Lanka and Government related entities (Note 61.4) which in aggregate exceeds more than 10% of the gross revenue of the Bank.

(b) Non-recurrent related party transactions

The Bank does not have any non-recurrent related party transactions carried out during the financial year under review, except for the transactions engaged with the Government of Sri Lanka and Government related entities (Note 29.4 and 61.4) with a value exceeding 10% of the equity or 5% of the total assets whichever is lower, as per the audited financial statements of the Bank.

62 Financial reporting by segment

Accounting policy

Segmental information is presented in respect of Group business distinguishing the component of the Group that is engaged in different business segments or operations within a particular economic environment, which is subject to risk and returns that are different from those of other segments.

62.1 Primary segment information - Operating segments - Group

An operating segment is a component of the Group that engages in business activities, from which it may earn revenues and incur expenses, including revenues and expenses that relating to transactions with any of the Group's other components, whose operating results are reviewed by the management to make decision about resource allocation to each segment and assess its performance. The Group comprises the following major business segments: Retail banking, Corporate banking, International, Treasury and Investments, other unallocated and group functions.

The management monitors the operating results of its business segments separately for the purpose of making decisions about resources allocation and performance assessment. Segment performance are evaluated based on their operating profits or losses. Taxes on financial services and Income tax are managed on a Group basis and are not allocated to operating segments.

	Retail banking		Corporate banking	
For the year ended 31 December	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
Revenue from external customers				
Net interest income	63,722,741	49,092,939	41,227,918	43,289,200
Net fee and commission income	15,854,891	19,272,382	3,512,473	2,837,343
Other income	1,216,491	798,142	2,093,525	(3,169,568)
Total operating income	80,794,123	69,163,463	46,833,916	42,956,975
Impairment (charge)/reversal for loans and other losses	(3,446,356)	(5,169,510)	(16,252,073)	(6,401,465)
Other operating expenses	(52,970,125)	(47,009,283)	(5,810,453)	(6,087,824)
Total expenses	(56,416,481)	(52,178,793)	(22,062,526)	(12,489,289)
Operating profit before taxes on financial services	24,377,642	16,984,670	24,771,390	30,467,686
Taxes on financial services	-	-	-	-
Operating profit after taxes on financial services	24,377,642	16,984,670	24,771,390	30,467,686
Share of profit/(loss) of associate companies, net of tax	-	-	-	-
Profit/ (loss) before income tax	24,377,642	16,984,670	24,771,390	30,467,686
Income tax expense/ (reversal)	-	-	-	-
Profit for the year	-	-	-	-
Total assets	1,066,127,040	899,747,699	1,128,830,356	1,076,591,876
Total liabilities	994,799,032	845,139,895	1,053,307,255	1,011,250,984
Cash flows from/ (used in) operating activities	17,812,958	148,791,446	10,325,634	92,413,395
Cash flows from/ (used in) investing activities	(14,634,381)	(71,652,594)	(15,495,089)	(85,735,813)
Cash flows from/ (used in) financing activities	6,213,127	(7,142,420)	3,663,273	(4,943,318)
Capital expenditure to non current assets	-	-	-	-
Depreciation and amortisation expenses	979,427	757,126	1,037,031	905,938

Significant transactions with major customers

As the major customer of the Bank the transactions with, "Government and State Owned Enterprises (SOEs)' are included under Retail, Corporate and International, Treasury and Investment segments. More details are given in the Note 61 -"Related Party Disclosures".

International, treasury and investment		Group function		Unallocated		Total	
2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000	2025 LKR '000	2024 LKR '000
104,551,215	75,894,284	4,906,783	4,175,340	(2,565,453)	(723,963)	211,843,204	171,727,800
2,700,246	(2,551,038)	468,797	388,614	1,029,498	1,054,339	23,565,905	21,001,640
13,129,835	(3,943,105)	674,911	1,412,777	326,627	190,068	17,441,389	(4,711,686)
120,381,296	69,400,141	6,050,491	5,976,731	(1,209,328)	520,444	252,850,498	188,017,754
(1,008,615)	32,259,709	92,127	376,846	(402,734)	(345,575)	(21,017,651)	20,720,005
(13,564,432)	(13,160,008)	(4,783,366)	(4,727,948)	(636,862)	(827,511)	(77,765,238)	(71,812,574)
(14,573,047)	19,099,701	(4,691,239)	(4,351,102)	(1,039,596)	(1,173,086)	(98,782,889)	(51,092,569)
105,808,249	88,499,842	1,359,252	1,625,629	(2,248,924)	(652,642)	154,067,609	136,925,185
-	-	-	-	-	-	(32,290,014)	(28,790,143)
105,808,249	88,499,842	1,359,252	1,625,629	(2,248,924)	(652,642)	121,777,595	108,135,042
-	-	156,155	86,425	-	-	156,155	86,425
105,808,249	88,499,842	1,515,407	1,712,054	(2,248,924)	(652,642)	121,933,750	108,221,467
-	-	-	-	-	-	(45,462,492)	(43,159,990)
-	-	-	-	-	-	76,471,258	65,061,477
3,052,334,841	2,776,613,790	99,499,682	63,532,330	220,258,547	232,185,612	5,567,050,466	5,048,671,307
2,848,121,876	2,608,094,571	77,320,520	43,644,376	205,522,401	218,093,721	5,179,071,084	4,726,223,547
26,540,878	149,300,613	(3,463,790)	46,182	(266,625)	1,119,633	50,949,055	391,671,269
(41,898,413)	(221,119,299)	685,925	381,204	(3,023,417)	(18,490,407)	(74,365,375)	(396,616,909)
1,489,936	(1,208,078)	3,830,510	(1,283,192)	459,317	(393,120)	15,656,163	(14,970,128)
-	-	-	-	-	-	(5,505,985)	(5,870,193)
2,804,111	2,336,483	(290,423)	113,126	202,348	195,380	4,732,494	4,308,053

62.2 Secondary segment information - Geographical segments

Geographical segments provide products or services within a particular economic environment where risk and returns are different from those of other economic environments.

These segments comprise Domestic Operations, Offshore and Overseas Banking divisions.

	Bank				Group			
	2025 LKR '000	%	2024 LKR '000	%	2025 LKR '000	%	2024 LKR '000	%
Assets								
Domestic banking operation	5,230,674,132	95.7	4,769,612,830	95.7	5,248,674,815	94.3	4,769,613,605	94.5
Offshore and overseas banking operation	236,876,652	4.3	215,526,146	4.3	318,375,651	5.7	279,057,702	5.5
Total assets	5,467,550,784	100.0	4,985,138,976	100.0	5,567,050,466	100.0	5,048,671,307	100.0
Total income								
Domestic banking operation	514,031,764	93.7	449,065,168	92.5	520,148,796	93.1	454,745,583	91.9
Offshore and overseas banking operation	34,591,649	6.3	36,339,879	7.5	38,525,791	6.9	40,176,364	8.1
Total Income	548,623,413	100.0	485,405,047	100.0	558,674,587	100.0	494,921,947	100.0
Profit Before Tax								
Domestic banking operation	103,884,998	86.0	97,696,435	91.4	104,841,259	86.0	98,854,275	91.3
Offshore and overseas banking operation	16,941,956	14.0	9,207,833	8.6	17,092,491	14.0	9,367,192	8.7
Total profit before tax	120,826,954	100.0	106,904,268	100.0	121,933,750	100.0	108,221,467	100.0
Profit after tax								
Domestic banking operation	61,592,765	81.0	57,975,634	90.0	61,937,885	81.0	58,515,452	89.9
Offshore and overseas banking operation	14,414,166	19.0	6,411,305	10.0	14,533,373	19.0	6,546,025	10.1
Total profit after tax	76,006,931	100.0	64,386,939	100.0	76,471,258	100.0	65,061,477	100.0

63 Fair values of assets and liabilities

Accounting policy

"Fair value" is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- in the principal market for the asset or liability or
- in the absence of a principal market, in the most advantageous market for the asset or liability.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 **Valuation technique using quoted market price:**
Financial instruments with quoted prices for identical instruments in active markets.

Level 2 **Valuation technique using observable inputs:**
Financial instruments with quoted prices for similar instruments in active markets or quoted prices for identical or similar instruments in inactive markets and financial instruments valued using models where all significant inputs are observable.

Level 3 **Valuation technique with significant unobservable inputs:**
Financial instruments valued using valuation techniques where one or more significant inputs are unobservable.

For all financial instruments where fair values are determined by referring to externally quoted prices or observable pricing inputs to models, independent price determination or validation is obtained. In an inactive market, direct observation of a traded price may not be possible. In these circumstances, the Bank uses alternative market information to validate the financial instrument's fair value, with greater weight given to information that is considered to be more relevant and reliable.

63.1 Assets and liabilities measured at fair value

Derivative financial instruments

All derivative financial instruments classified as "Fair Value through Profit or Loss" are valued using a valuation technique with market observable and market unobservable inputs. The most frequently applied valuation technique include forward foreign exchange spot and forward premiums.

Financial assets recognised through Profit or Loss - measured at fair value

Financial assets classified as fair value through profit or loss consists of Government securities, Quoted debt securities, Units in units trusts and Quoted equities. Government securities are valued using yield curve published by the Central Bank of Sri Lanka and the Bank uses quoted market prices in the active market for the valuation of quoted equities and quoted debt securities as at the reporting date. Units in units trusts are valued using manager’s buying price/ redemption price of such asset management company since it is the most relevant exit price of such assets.

Financial assets measured at fair value through OCI

Financial investments are classified as fair value through OCI consists of Government securities, Quoted equities and Unquoted equities.

- Government securities are valued using yield curve published by the Central Bank of Sri Lanka as at the reporting date.
- The Bank uses quoted market prices in the active market for the valuation of quoted equities and quoted debt securities as at the reporting date.
- Unquoted equities are carried at cost except Regional Development Bank investment in shares since it is the most reasonable value available to represents the price of such securities. Fair value of Regional Development Bank derived using an internal management valuation technique which details are given in Note 63.1.3

Property, plant and equipment

Freehold lands and buildings and buildings on leasehold lands are carried at revalued amount less any subsequent accumulated depreciation and impairment losses.

NOTES TO THE FINANCIAL STATEMENTS

63.1.1 Assets and liabilities measured at fair value - fair value hierarchy

	Bank				Group			
As at 31 December 2025	Level 1 LKR '000	Level 2 LKR '000	Level 3 LKR '000	Total LKR '000	Level 1 LKR '000	Level 2 LKR '000	Level 3 LKR '000	Total LKR '000
Financial assets								
Derivative financial assets								
Forward exchange contracts	-	69,570	-	69,570	-	69,570	-	69,570
Currency SWAPs	-	-	6,831,227	6,831,227	-	-	6,831,227	6,831,227
	-	69,570	6,831,227	6,900,797	-	69,570	6,831,227	6,900,797
Financial assets recognised through profit or loss measured at fair value								
Government securities								
Treasury bills	5,171,130	-	-	5,171,130	5,171,130	-	-	5,171,130
Treasury bonds	699	-	-	699	7,297,260	-	-	7,297,260
Sri Lanka International Sovereign Bonds	-	-	-	-	-	182,108	-	182,108
Quoted equities	730,561	-	-	730,561	1,086,249	-	-	1,086,249
Units in unit trusts	-	6,697,621	-	6,697,621	-	6,715,869	-	6,715,869
	5,902,390	6,697,621	-	12,600,011	13,554,639	6,897,977	-	20,452,616
Financial assets measured at fair value through OCI								
Quoted investments								
Government securities in Sri Lanka								
Treasury bills	497,768	-	-	497,768	497,768	-	-	497,768
Treasury bonds	20,914,403	-	-	20,914,403	21,018,250	-	-	21,018,250
Government securities in other countries	3,595,656	-	-	3,595,656	3,595,656	-	-	3,595,656
Equities	6,963,581	-	-	6,963,581	9,224,546	-	-	9,224,546
Unquoted investments								
Equities	-	5,021,610	386,158	5,407,768	-	5,021,610	386,212	5,407,822
	31,971,408	5,021,610	386,158	37,379,176	34,336,220	5,021,610	386,212	39,744,042
Total financial assets	37,873,798	11,788,801	7,217,385	56,879,984	47,890,859	11,989,157	7,217,439	67,097,455
Non financial assets								
Property, plant and equipment	-	-	37,099,449	37,099,449	-	-	53,532,077	53,532,077
Total non financial assets	-	-	37,099,449	37,099,449	-	-	53,532,077	53,532,077
Total	37,873,798	11,788,801	44,316,834	93,979,433	47,890,859	11,989,157	60,749,516	120,629,532
Financial liabilities								
Derivative financial liabilities								
Forward exchange contracts	-	33,835	-	33,835	-	33,835	-	33,835
Currency SWAPs	-	-	527,227	527,227	-	-	527,227	527,227
Total financial liabilities	-	33,835	527,227	561,062	-	33,835	527,227	561,062

	Bank				Group			
As at 31 December 2024	Level 1 LKR '000	Level 2 LKR '000	Level 3 LKR '000	Total LKR '000	Level 1 LKR '000	Level 2 LKR '000	Level 3 LKR '000	Total LKR '000
Financial assets								
Derivative financial assets								
Forward exchange contracts	-	16,312,674	-	16,312,674	-	16,312,674	-	16,312,674
Currency SWAPs	-	-	7,187,926	7,187,926	-	-	7,187,926	7,187,926
	-	16,312,674	7,187,926	23,500,600	-	16,312,674	7,187,926	23,500,600
Financial assets recognised through profit or loss measured at fair value								
Government securities								
Treasury bills	14,929,056	-	-	14,929,056	14,929,056	-	-	14,929,056
Treasury bonds	73,259	-	-	73,259	8,312,352	-	-	8,312,352
Sri Lanka international sovereign bonds	-	-	-	-	-	194,594	-	194,594
Quoted equities	799,796	-	-	799,796	1,108,614	-	-	1,108,614
Units in unit trusts	-	5,201,066	-	5,201,066	-	5,217,871	-	5,217,871
	15,802,111	5,201,066	-	21,003,177	24,350,022	5,412,465	-	29,762,487
Financial assets measured at fair value through OCI								
Quoted investments								
Government securities in Sri Lanka								
Treasury bills	20,813,078	-	-	20,813,078	20,813,078	-	-	20,813,078
Treasury bonds	18,312,659	-	-	18,312,659	18,412,931	-	-	18,412,931
Government securities in other countries	2,881,863	-	-	2,881,863	2,881,863	-	-	2,881,863
Equities	5,343,122	-	-	5,343,122	7,055,362	-	-	7,055,362
Unquoted investments								
Equities	-	4,312,773	386,158	4,698,931	-	4,312,774	386,755	4,699,529
	47,350,722	4,312,773	386,158	52,049,653	49,163,234	4,312,774	386,755	53,862,763
Total financial assets	63,152,833	25,826,513	7,574,084	96,553,430	73,513,256	26,037,913	7,574,681	107,125,850
Non financial assets								
Property, plant and equipment	-	-	37,075,759	37,075,759	-	-	53,134,863	53,134,863
Total non financial assets	-	-	37,075,759	37,075,759	-	-	53,134,863	53,134,863
Total	63,152,833	25,826,513	44,649,843	133,629,189	73,513,256	26,037,913	60,709,544	160,260,713
Financial liabilities								
Derivative financial liabilities								
Forward exchange contracts	-	29,085	-	29,085	-	29,085	-	29,085
Currency SWAPs	-	-	16,446,992	16,446,992	-	-	16,446,992	16,446,992
Total financial liabilities	-	29,085	16,446,992	16,476,077	-	29,085	16,446,992	16,476,077

NOTES TO THE FINANCIAL STATEMENTS

63.1.2 Movements in level 3 assets and liabilities measured at fair value

The following table shows a reconciliation of the opening and closing amounts of level 3 assets and liabilities which are recorded at fair value.

	Bank					Group				
	As at 1 January 2025	Total gains/ (losses) recorded in profit or loss	Total gains/ (losses) recorded in OCI	Purchases/ (sales) and other adjustments	As at 31 December 2025	As at 1 January 2025	Total gains/ (losses) recorded in profit or loss	Total gains/ (losses) recorded in OCI	Purchases/ (sales) and other adjustments	As at 31 December 2025
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Financial assets										
Derivative financial assets										
Currency SWAPs	7,187,926	-	-	(356,699)	6,831,227	7,187,926	-	-	(356,699)	6,831,227
Financial assets measured at fair value through OCI										
Unquoted Investments										
Equities	386,158	-	-	-	386,158	386,755	-	-	(543)	386,212
Total Level 3 financial assets	7,574,084	-	-	(356,699)	7,217,385	7,574,681	-	-	(357,242)	7,217,439
Non financial assets										
Property, plant and equipment	37,075,759	(403,162)	-	426,852	37,099,449	53,134,863	(919,317)	653,881	662,650	53,532,077
Total Level 3 assets	44,649,843	(403,162)	-	70,153	44,316,834	60,709,544	(919,317)	653,881	305,408	60,749,516
Financial liabilities										
Currency SWAPs	16,446,992	-	-	(15,919,765)	527,227	16,446,992	-	-	(15,919,765)	527,227
Total Level 3 financial liabilities	16,446,992	-	-	(15,919,765)	527,227	16,446,992	-	-	(15,919,765)	527,227
Net Level 3 financial assets	(8,872,908)	-	-	15,563,066	6,690,158	(8,872,311)	-	-	15,562,523	6,690,212

	Bank					Group				
	As at 1 January 2024	Total gains/ (losses) recorded in profit or loss	Total gains/ (losses) recorded in OCI	Purchases/ (sales) and other adjustments	As at 31 December 2024	As at 1 January 2024	Total gains/ (losses) recorded in profit or loss	Total gains/ (losses) recorded in OCI	Purchases/ (sales) and other adjustments	As at 31 December 2024
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Financial assets										
Derivative financial assets										
Currency SWAPs	16,110,688	-	-	(8,922,762)	7,187,926	16,110,688	-	-	(8,922,762)	7,187,926
Financial assets measured at fair value through OCI										
Unquoted investments										
Equities	235,013	-	-	151,145	386,158	235,611	-	-	151,144	386,755
Total Level 3 financial assets	16,345,701	-	-	(8,771,617)	7,574,084	16,346,299	-	-	(8,771,618)	7,574,681
Non financial assets										
Property, plant and equipment	36,153,341	(387,005)	-	1,309,423	37,075,759	52,478,248	(601,628)	(139,720)	1,397,963	53,134,863
Total Level 3 assets	52,499,042	(387,005)	-	(7,462,194)	44,649,843	68,824,547	(601,628)	(139,720)	(7,373,655)	60,709,544
Financial liabilities										
Currency SWAPs	2,090,140	-	-	14,356,852	16,446,992	2,090,140	-	-	14,356,852	16,446,992
Total Level 3 financial liabilities	2,090,140	-	-	14,356,852	16,446,992	2,090,140	-	-	14,356,852	16,446,992
Net Level 3 financial assets	14,255,561	-	-	(23,128,469)	(8,872,908)	14,256,159	-	-	(23,128,470)	(8,872,311)

63.1.3 Unobservable inputs used in measuring fair value of Level 3

The table below sets out information about significant unobservable inputs used as at 31 December 2025 in measuring financial instruments categorised as level 3 in the fair value hierarchy.

Type of financial instrument	Fair value as at 31 December 2025 LKR'000	Valuation technique	Significant unobservable input	Range of estimates (weighted average) for unobservable input	Fair value measurement sensitivity to unobservable input
Derivative Financial Assets					
Currency SWAPs	6,831,227	Forward pricing model	Foreign exchange forward rate.	Negative 100 to positive 100 basis point.	Unfavourable or favourable impact on derivative assets value of LKR 68.3 million respectively.
Financial assets measured at fair value through OCI					
Unquoted Equity Shares					
Regional Development Bank	162,300	Discounted Cash Flow method	Constant Dividend model	Decreased by 5% and increased by 5% for existing cost of capital.	Impact to the fair value will be within negative and positive LKR 8.1 million no significant impact to the investment.
National Credit Guarantee Institution Limited	151,145	Value at cost	-		Fair value cannot be reliably measured. These are investments in mutual entities that provide transaction processing and transaction services to members on a pricing basis intended to recover the entities operating cost.
Credit Information Bureau of Sri Lanka	43,645	Value at cost	-		
LankaClear (Private) Limited	23,443	Value at cost	-		
Lanka Financial Services Bureau Limited	5,000	Value at cost	-		
Fitch Ratings Lanka Limited	625	Value at cost	-		Fair value cannot be reliably measured and Bank used cost model for valuation.

63.2 Fair value of assets and liabilities not carried at fair value

	Bank					Group				
	Fair value					Fair value				
As at 31 December 2025	Level 1	Level 2	Level 3	Total	Carrying value	Level 1	Level 2	Level 3	Total	Carrying value
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Assets										
Financial assets at amortised cost										
Loans and advances	-	-	2,376,731,378	2,376,731,378	2,371,751,976	-	-	2,447,550,491	2,447,550,491	2,442,422,718
Debt and other instruments	2,597,990,924	40,997,953	13,592,474	2,652,581,351	2,605,510,006	2,603,896,479	41,384,752	13,592,474	2,658,873,705	2,611,713,109
Investment properties	-	-	3,003,007	3,003,007	2,414,640	-	-	-	-	-
Total	2,597,990,924	40,997,953	2,393,326,859	5,032,315,736	4,979,676,622	2,603,896,479	41,384,752	2,461,142,965	5,106,424,196	5,054,135,827
Liabilities										
Financial liabilities at amortised cost										
Due to depositors	-	-	4,411,614,465	4,411,614,465	4,388,585,972	-	-	4,470,991,076	4,470,991,076	4,447,652,639
Other borrowings	-	-	48,719,379	48,719,379	48,719,379	-	-	56,877,726	56,877,726	56,877,726
Debt securities issued	-	-	-	-	-	-	-	1,754,101	1,754,101	1,754,101
Subordinated liabilities	-	38,541,432	65,759,148	104,300,580	99,455,760	-	38,541,432	65,506,007	104,047,439	99,203,598
Total	-	38,541,432	4,526,092,992	4,564,634,424	4,536,761,111	-	38,541,432	4,595,128,910	4,633,670,342	4,605,488,064

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	Bank					Group				
	Fair value					Fair value				
As at 31 December 2024	Level 1	Level 2	Level 3	Total	Carrying value	Level 1	Level 2	Level 3	Total	Carrying value
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Assets										
Financial assets at amortised cost										
Loans and advances	-	-	2,186,674,853	2,186,674,853	2,177,707,779	-	-	2,230,307,847	2,230,307,847	2,221,161,844
Debt and other instruments	2,265,126,912	39,638,617	-	2,304,765,529	2,275,934,376	2,273,714,533	40,028,532	-	2,313,743,065	2,282,636,084
Investment properties	-	-	3,003,007	3,003,007	2,414,640	-	-	-	-	-
Total	2,265,126,912	39,638,617	2,189,677,860	4,494,443,389	4,456,056,795	2,273,714,533	40,028,532	2,230,307,847	4,544,050,912	4,503,797,928
Liabilities										
Financial liabilities at amortised cost										
Due to depositors	-	-	4,247,026,141	4,247,026,141	4,208,603,435	-	-	4,284,291,646	4,284,291,646	4,245,531,800
Other borrowings	-	-	29,143,678	29,143,678	29,143,678	-	-	32,344,253	32,344,253	32,344,253
Debt securities issued	-	-	-	-	-	-	-	718,873	718,873	718,873
Subordinated liabilities	-	26,559,186	45,315,115	71,874,301	68,535,700	-	26,559,186	45,061,974	71,621,160	68,282,559
Total	-	26,559,186	4,321,484,934	4,348,044,120	4,306,282,813	-	26,559,186	4,362,416,746	4,388,975,932	4,346,877,485

The following describes the methodologies and assumptions used to determine fair values for those assets and liabilities which are not already recorded at fair value in the Financial Statements.

Financial assets measured at amortised cost

Financial assets measured at amortised cost comprise Loans and advances,Sri Lanka International Sovereign Bonds, Government and Corporate debt securities.

Listed corporate debt securities are valued using quoted market price as of the reporting date, quoted government debt securities are valued using yield curve published by the Central Bank of Sri Lanka and fair value of unquoted corporate debt securities and Government securities including fixed rate Sri Lanka International Sovereign Bonds are estimated as the present value of future cash flows expected to be received from such investments calculated based on interest rates at the reporting date for similar instruments.

Investment properties

Investment properties are valued by the independent professional valuers and more details are given in Note 33.

Financial liabilities at amortised cost - other borrowings

Financial liabilities at amortised cost - other borrowings represent Term borrowings from banks and other financial institutions in Sri Lanka and abroad and Refinance borrowings.

Fair value of term borrowings and refinance borrowings are estimated by discounting the future cash flows using effective interest rates of similar instruments.

Debt securities issued

Fair value of debt securities issued are estimated as the present value of future cash flows expected to be paid from such investments calculated based on interest rates at the reporting date for similar instruments.

Subordinated liabilities

Subordinated liabilities that are listed in the Colombo Stock Exchange valued using quoted market price as of the reporting date. Fair values of unlisted subordinated liabilities are estimated as the present value of future cash out flow expected to be paid to the instruments calculated based on the interest rates at the reporting date for similar instruments.

63.3 Assets and liabilities for which fair value approximates carrying value

For financial assets and liabilities that have a short term maturity, it is assumed that the carrying amounts approximate their fair value. For certain instruments which have contractual maturity of more than one year, the fair value is determined using reasonable basis.

Given below is the bases adopted by the Bank in order to establish the fair values of such financial instruments.

As at 31 December	2025		2024	
	Carrying Amount LKR '000	Fair Value LKR '000	Carrying Amount LKR '000	Fair Value LKR '000
Bank				
Financial assets				
Cash and cash equivalents	131,083,172	131,083,172	115,422,407	115,422,407
Balances with Central Banks	79,845,952	79,845,952	52,346,230	52,346,230
Placements with banks	39,458,670	39,458,670	62,413,107	62,413,107
Securities purchased under resale agreements	345,307	345,307	23,982,341	23,982,341
Total financial assets	250,733,101	250,733,101	254,164,085	254,164,085
Financial liabilities				
Due to banks	26,397,898	26,397,898	1,671,087	1,671,087
Securities sold under repurchase agreements	284,215,169	284,215,169	131,079,414	131,079,414
Total financial liabilities	310,613,067	310,613,067	132,750,501	132,750,501
Group				
Financial assets				
Cash and cash equivalents	133,811,977	133,811,977	116,281,852	116,281,852
Balances with Central Banks	79,845,952	79,845,952	52,346,230	52,346,230
Placements with banks	43,182,411	43,182,411	61,576,750	61,576,750
Securities purchased under resale agreements	604,912	604,912	21,581,160	21,581,160
Total financial assets	257,445,252	257,445,252	251,785,992	251,785,992
Financial liabilities				
Due to banks	27,225,943	27,225,943	1,682,417	1,682,417
Securities sold under repurchase agreements	288,688,312	288,688,312	130,030,614	130,030,614
Total financial liabilities	315,914,255	315,914,255	131,713,031	131,713,031

63.4 Reclassification of financial assets and financial liabilities

There have been no reclassifications during the year 2025.

64 Financial Risk Management

64.1 Introduction

64.1.1 Overview

The Bank is exposed to various risks, including credit risk, market risk, operational risk, and liquidity risk, which are inherent in financial intermediation. To manage these risks effectively and ensure sustainable banking practices, the Bank has developed a comprehensive Risk Management Framework (RMF).

The RMF provides consistent guidance for identifying, assessing, measuring, monitoring, and reporting risks. It ensures efficient and effective management under the proper oversight of the Integrated Risk Management Committee (IRMC). Financial risks, along with other material risks such as strategic, reputational, compliance and legal risks are managed and overseen as part of the Bank's corporate governance and risk management framework. This note presents the Bank's exposure to various risks and outlines the processes for measuring and managing them.

General
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64.1.3 Risk management framework
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Capital Adequacy and Capital Management

64.1.2 Group risk management

The Bank of Ceylon Group consists of nine financial and non-financial subsidiaries, directly and indirectly owned by the Bank, along with four associate companies. The Group's diversified businesses operate across various sectors. Aside from potential reputational damage, the Bank is not significantly exposed to subsidiary risk due to the size of the Group's balance sheet.

The Bank manages strategic risk through a comprehensive review of group activities on a quarterly basis, focusing mainly on credit, market, liquidity and operational risks, which are overseen by the Integrated Risk Management Committee (IRMC). The Bank is closely involved in the risk, compliance and audit affairs of its subsidiaries by appointing senior management members to the boards of these companies.

64.1.3 Risk Management Framework (RMF)

The Bank's Risk Management Framework begins with oversight by the Board of Directors through the Integrated Risk Management Committee (IRMC) and is based on the three lines of defence model, ensuring the overall performance of risk management. The Board-approved Risk Management Framework (RMF) consists of clearly defined governance structures, policy frameworks and a culture of risk awareness, ensuring consistent risk management across the Bank. Therefore, the RMF provides a structured approach to manage all risk exposures through risk management policies, risk appetite and limit setting, establishing the Bank's strategic direction and a holistic approach to risk management.

The Bank’s Independent Integrated Risk Management Division (IIRMD) is led by the Chief Risk Officer (CRO), who reports directly to the IRMC, a sub-committee of the Board. Business units are the primary risk owners and have the main responsibility for risk management. The IIRMD acts as the second line of defence in risk management. The IIRMD reports to the IRMC through the CRO, who is also a member of various management-level committees such as the Credit Committee, Asset and Liability Management Committee (ALCO), Operational Risk Management Executive Committee (ORMEC) and Corporate Information Security Committee (CISC), which assist in managing the various risks the Bank is exposed to.

The internal audit function of the Bank independently monitors and evaluates the risk management function as the third line of defence and provides their views on risk management to the Audit Committee.

64.1.4 Risk measurement, reporting and mitigation

Risks, either internal or external, are measured using various techniques and risk management tools in line with industry best practices for credit, market, operational, liquidity, information security, and other risks. To address the high volatility of the economy, the Bank carries out comprehensive analysis to assess future risks while increasing the frequency of assessments and escalating to top management for mitigation actions. The Bank has also conducted stress testing for several single-factor, non-conventional worst-case scenarios plausible in an unstable economy.

In addition, the Internal Capital Adequacy Assessment Process (ICAAP) assesses the Bank's capital requirements based on its risk profile and sets out the framework for internal capital augmentation. The Bank uses internationally accepted assessment methodologies to measure Pillar 2 risks in addition to Pillar 1 risks. The results are reported to the IRMC for timely decision-making, leading to better risk management while complying with regulatory reporting requirements.

As part of its overall risk management, the Bank employs several mitigation techniques and strategies to reduce risks. Comprehensive pre-sanctioning and post-sanctioning techniques are used to reduce credit risks. Environmental and social risk measurement has been integrated into credit evaluation. Collaterals are used for further mitigation, and pricing mechanisms ensure that facilities are priced based on individual ratings and collateral availability. Market risk exposures, including interest rate, foreign exchange, and equity risks, are mitigated using derivative instruments in a limited context. The Bank addresses liquidity risk through a robust policy framework, measurement, and mitigation approaches, including comprehensive stress testing. Operational risk is managed through strong internal control mechanisms, reinforced by the three lines of defence. Insurance is used as an operational risk transfer strategy where necessary. The most vulnerable risk in the current business environment, cyber risk, is managed through comprehensive policies and standards.

64.2 Credit Risk

Credit risk is defined as the potential losses arising from a counterparty failing to meet their obligations in accordance with agreed terms in a credit transaction. Credit risk can manifest in the form of default, deterioration of credit quality, and concentration risk.

64.2.1 Management of credit risk

The credit risk management function ensures standard processes and principles are applied at both the transaction and portfolio levels. Credit risk management policies define the conditions and guidelines for evaluating, granting, maintaining, monitoring, and managing credit in both corporate and retail segments. Concentration risk is managed by maintaining a diversified credit portfolio according to the risk appetite limits set out, considering the assessment of borrower and industry-specific factors.

The Bank has a well-established process for approving new credit and renewing existing credit. All potential credit exposures of the Bank are first evaluated by transaction originators, who are the risk owners of the credit mechanism. Credit proposals exceeding a certain threshold are independently reviewed by the Chief Risk Officer (CRO). Environmental and Social Due Diligence of credit has been integrated into the credit evaluation through Integrated Environment.

Rating models are a key input for managing, measuring, and monitoring credit risk in portfolios. The Bank uses a range of credit risk rating models across the corporate and mid-corporate portfolios, covering the different industries in which customers operate. Retail exposures are managed through several retail scorecards.

Collateral is used for credit risk mitigation purposes and minimises losses that would otherwise be incurred. Collateral may take various forms depending on the type of borrower, the assets available, the structure, and the term of credit obligations. Collateral is subject to regular valuation as prescribed in the relevant governing policies and standards.

Procedures are also in place to identify credit exposures vulnerable to increased risk of loss at an early stage. To reduce potential credit losses and increase the recovery of obligations, credit risk mitigants are applied. Post-sanctioning review of credit exposures is carried out to ensure proper documentation and adherence to covenants by credit quality assurance units set up at various levels to assure a quality loan book.

Elements of credit quality deterioration are captured via expected credit loss as per SLFRS 9.

64.2.1.1 Internal Rating

The Bank's Credit Risk Management Unit operates its internal rating models. The Bank runs separate models for its key portfolios including retail and corporate in which customers are rated from 1 to 8 using internal grades. The models incorporate both qualitative and quantitative information and, in addition to information specific to the borrower, utilise supplemental external information and transaction specific factors which could affect the borrower's behaviour.

64.2.1.2 Derivative financial instruments

Credit risk arising from derivative financial instruments is, at any time, limited to those with positive fair values, as recorded on the statement of financial position. In the case of credit derivatives, the Bank is also exposed to, or protected from, the risk of default of the underlying entity referenced by the derivative. Refer to note 26 and 41 for further details.

64.2.1.3 Contingent Liabilities and Commitments

The Bank makes available to its customers guarantees that may require that the Bank makes payments on their behalf and enters into commitments to extend credit lines to secure their liquidity needs. Letters of credit and guarantees (including standby letters of credit) commit the Bank to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Refer to note 57 for further details.

64.2.1.4 Impairment assessment

Calculation of Expected Credit Losses (ECL)

Expected credit loss represents the default events over an expected life time of the financial assets. Expected credit losses are calculated using three main components, i.e. Probability of Default (PD), Loss Given Default (LGD) and Exposure at Default (EAD). These parameters are generally derived from internally developed statistical models combined with historical, current and forward-looking customer and macro-economic data.

SLFRS 9 introduces a three stage model for impairment of financial assets that are performing at the stage of origination or purchase. Three stage model for impairment is based on the changes in the credit quality since initial recognition. At initial recognition, financial assets which are not credit impaired are reflected in stage 1. If there is a significant increase in the credit risk, such financial assets are transferred to stage 2. Significant increase in the credit risk is defined using pre-determined credit risk indicators which are stated in the Bank's impairment policy. In case of objective evidence/default, financial assets are classified as stage 3. Refer to Note 4.4.11.4 and Note 28 for further details

64.2.1.5 Incorporation of forward-looking information

The Bank has established an expert panel who considers a range of relevant forward-looking macro-economic assumptions for the determination of unbiased general industry adjustments and any related specific industry adjustments, that support the calculation of ECLs. Refer to Note 28 for further details

64.2.2 Maximum exposure to credit risk

64.2.2.1 Collateral and other credit enhancements

The Bank obtains different types of collaterals from the counterparties as a credit risk mitigant. The amount and the types of the collateral required depend on credit risk assessment of the counterparty. The acceptability of the collateral and valuation is determined based on the guidelines issued by the regulator and the Bank's policy. The main types of collateral obtained are;

- For commercial lending-charges over movable and immovable properties
- For personal lending- mortgages over movable and immovable properties, cash and cash equivalents and gold articles
- For Government and State owned enterprises - Government guarantees
- For reverse repurchase transactions - Government securities

The Bank monitors the market value of collateral and will request additional collateral in accordance with the underlying agreement. It is the Bank's policy to dispose of repossessed properties in an orderly fashion. The proceeds are used to reduce or repay the outstanding claim. In general, the Bank does not occupy repossessed properties for business use.

The following table shows the maximum exposure to credit risk, total fair value of collateral, any surplus collateral and the net exposure to credit risk.

64.2.2.2 Type of collateral or credit enhancements

31 December 2025	Maximum exposure to credit risk LKR '000	Cash LKR '000	Gold LKR '000
Cash and cash equivalents	131,593,085	71,924,285	-
Less : Impairment	(509,913)		
Balances with Central Banks	79,845,952	79,845,952	-
Placements with banks	39,473,405	-	-
Less : Impairment	(14,735)		
Securities purchased under resale agreements	345,307	-	-
Derivative financial assets	6,900,797	-	-
Financial assets recognised through profit or loss - measured at fair value	12,600,011	-	-
Financial assets at amortised cost - loans and advances	2,654,271,738	100,459,917	225,281,068
Less : Impairment	(282,519,762)		
Financial assets at amortised cost - debt and other instruments	2,615,521,499	-	-
Less : Impairment	(10,011,493)		
Financial assets measured at fair value through OCI	37,379,176	-	-
Total	5,284,875,067	252,230,154	225,281,068

31 December 2024	Maximum exposure to credit risk LKR '000	Cash LKR '000	Gold LKR '000
Cash and cash equivalents	115,903,477	65,731,404	-
Less : Impairment	(481,070)	-	-
Balances with Central Banks	52,346,230	52,346,230	-
Placements with banks	62,435,501	-	-
Less : Impairment	(22,394)	-	-
Securities purchased under resale agreements	23,982,341	-	-
Derivative financial assets	23,500,600	-	-
Financial assets recognised through profit or loss - measured at fair value	21,003,177	-	-
Financial assets at amortised cost - loans and advances	2,436,161,951	113,815,382	199,724,508
Less : Impairment	(258,454,172)	-	-
Financial assets at amortised cost - debt and other instruments	2,284,167,763	-	-
Less : Impairment	(8,233,387)	-	-
Financial assets measured at fair value through OCI	52,049,653	-	-
Total	4,804,359,670	231,893,016	199,724,508

Value of collateral and credit enhancements held						
GoSL Securities / Guarantees	Movables	Immovables	Others	Surplus Collateral	Net Collateral	Net exposure
LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
-	-	-	-	-	71,924,285	59,668,800
					-	(509,913)
-	-	-	-	-	79,845,952	-
-	-	-	-	-	-	39,473,405
					-	(14,735)
-	-	-	-	-	-	345,307
-	-	-	-	-	-	6,900,797
-	-	-	-	-	-	12,600,011
446,799,827	112,339,251	605,852,254	136,673,167	(247,265,519)	1,380,139,965	1,274,131,773
					-	(282,519,762)
-	-	-	-	-	-	2,615,521,499
					-	(10,011,493)
-	-	-	-	-	-	37,379,176
446,799,827	112,339,251	605,852,254	136,673,167	(247,265,519)	1,531,910,202	3,752,964,865

Value of collateral and credit enhancements held						
GoSL Securities / Guarantees	Movables	Immovables	Others	Surplus Collateral	Net Collateral	Net exposure
LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
-	-	-	-	-	65,731,404	50,172,073
-	-	-	-	-	-	(481,070)
-	-	-	-	-	52,346,230	-
-	-	-	-	-	-	62,435,501
-	-	-	-	-	-	(22,394)
25,000,000	-	-	-	(1,017,659)	23,982,341	-
-	-	-	-	-	-	23,500,600
-	-	-	-	-	-	21,003,177
426,545,908	63,328,333	417,818,750	125,989,100	(226,946,940)	1,120,275,041	1,315,886,910
-	-	-	-	-	-	(258,454,172)
-	-	-	-	-	-	2,284,167,763
-	-	-	-	-	-	(8,233,387)
-	-	-	-	-	-	52,049,653
451,545,908	63,328,333	417,818,750	125,989,100	(227,964,599)	1,262,335,016	3,542,024,654

NOTES TO THE FINANCIAL STATEMENTS

64.2.3 Amortised cost and impairment movement

64.2.3.1 Amortised cost movement

The following tables show reconciliation from the opening to closing balance of the amortised cost by class of financial assets based on exposure to credit risk.

		2025			
	Note	12-month ECL (Stage 1) LKR '000	Lifetime ECL - not credit impaired (Stage 2) LKR '000	Lifetime ECL - credit impaired (Stage 3) LKR '000	Total LKR '000
Cash and cash equivalents	22				
As at 1 January		50,172,072	-	-	50,172,072
Transfer to Stage 1		-	-	-	-
Transfer to Stage 2		-	-	-	-
Transfer to Stage 3		-	-	-	-
New assets originated or purchased		59,668,800	-	-	59,668,800
Financial assets derecognised or repaid (excluding write-offs)		(50,172,072)	-	-	(50,172,072)
Foreign exchange adjustments		-	-	-	-
As at 31 December		59,668,800	-	-	59,668,800
Placements with Banks	24				
As at 1 January 2025		62,435,501	-	-	62,435,501
Transfer to Stage 1		-	-	-	-
Transfer to Stage 2		-	-	-	-
Transfer to Stage 3		-	-	-	-
New assets originated or purchased		39,473,405	-	-	39,473,405
Financial assets derecognised or repaid (excluding write-offs)		(62,435,501)	-	-	(62,435,501)
Foreign exchange adjustments		-	-	-	-
As at 31 December		39,473,405	-	-	39,473,405
Financial assets at amortised cost - Loans and advances	28				
As at 1 January		1,818,262,438	245,081,345	372,818,168	2,436,161,951
Transfer to Stage 1		62,243,012	(52,689,324)	(9,553,688)	-
Transfer to Stage 2		(33,396,349)	37,692,907	(4,296,558)	-
Transfer to Stage 3		(3,477,196)	(6,067,080)	9,544,276	-
New assets originated or purchased		1,087,008,839	192,334,027	225,530,830	1,504,873,696
Financial assets derecognised or repaid (excluding write-offs)		(892,140,797)	(192,854,747)	(247,573,521)	(1,332,569,065)
Amount written-off		-	-	(116,491)	(116,491)
Foreign exchange adjustments		33,776,397	6,318,322	5,826,928	45,921,647
As at 31 December		2,072,276,344	229,815,450	352,179,944	2,654,271,738
Financial assets at amortised cost - Debt and other instruments	29				
As at 1 January		38,183,598	34,755,195	28,314	72,967,107
Transfer to Stage 1		-	-	-	-
Transfer to Stage 2		-	-	-	-
Transfer to Stage 3		-	-	-	-
New assets originated or purchased		883,831,742	-	-	883,831,742
Financial assets derecognised or repaid (excluding write-offs)		(852,377,201)	(1,943,874)	-	(854,321,075)
Foreign exchange adjustments		-	4,401,565	-	4,401,565
As at 31 December		69,638,139	37,212,886	28,314	106,879,339

	Note	2024 12-month ECL (Stage 1) LKR '000	Lifetime ECL - not credit impaired (Stage 2) LKR '000	Lifetime ECL - credit impaired (Stage 3) LKR '000	Total LKR '000
Cash and cash equivalents	22				
As at 1 January		72,979,932	-	-	72,979,932
Transfer to Stage 1		-	-	-	-
Transfer to Stage 2		-	-	-	-
Transfer to Stage 3		-	-	-	-
New assets originated or purchased		50,172,072	-	-	50,172,072
Financial assets derecognised or repaid (excluding write-offs)		(72,979,932)	-	-	(72,979,932)
Foreign exchange adjustments		-	-	-	-
As at 31 December		50,172,072	-	-	50,172,072
Placements with Banks	24				
As at 1 January		75,010,950	-	-	75,010,950
Transfer to Stage 1		-	-	-	-
Transfer to Stage 2		-	-	-	-
Transfer to Stage 3		-	-	-	-
New assets originated or purchased		62,435,501	-	-	62,435,501
Financial assets derecognised or repaid (excluding write-offs)		(75,010,950)	-	-	(75,010,950)
Foreign exchange adjustments		-	-	-	-
As at 31 December		62,435,501	-	-	62,435,501
Financial assets at amortised cost - Loans and advances	28				
As at 1 January		1,807,745,963	338,162,831	311,862,945	2,457,771,739
Transfer to Stage 1		33,918,118	(31,480,096)	(2,438,022)	-
Transfer to Stage 2		(33,477,169)	38,228,958	(4,751,789)	-
Transfer to Stage 3		(2,259,136)	(65,761,218)	68,020,354	-
New assets originated or purchased		908,598,354	138,306,846	27,427,558	1,074,332,758
Financial assets derecognised or repaid (excluding write-offs)		(835,466,137)	(161,002,988)	(16,745,266)	(1,013,214,391)
Amount written-off		-	-	(69,134)	(69,134)
Foreign exchange adjustments		(60,797,555)	(11,372,988)	(10,488,478)	(82,659,021)
As at 31 December		1,818,262,438	245,081,345	372,818,168	2,436,161,951
Financial assets at amortised cost - Debt and other instruments	29				
As at 1 January		40,855,752	87,344,675	28,314	128,228,741
Transfer to Stage 1		-	-	-	-
Transfer to Stage 2		-	-	-	-
Transfer to Stage 3		-	-	-	-
New assets originated or purchased		36,751,748	34,658,794	-	71,410,542
Financial assets derecognised or repaid (excluding write-offs)		(39,423,902)	(83,525,478)	-	(122,949,380)
Foreign exchange adjustments		-	(3,722,796)	-	(3,722,796)
As at 31 December		38,183,598	34,755,195	28,314	72,967,107

64.2.3.2 Provision for impairment (ECL) movement

The following tables show reconciliation from the opening to closing balance of the provision for impairment by class of financial assets.

		2025			
	Note	12-month ECL (Stage 1) LKR. '000	Lifetime ECL - not credit impaired (Stage 2) LKR. '000	Lifetime ECL - credit impaired (Stage 3) LKR. '000	Total LKR. '000
Cash and cash equivalents	22				
Provision for impairment (ECL) as at 1 January		481,070	-	-	481,070
Transfer to Stage 1		-	-	-	-
Transfer to Stage 2		-	-	-	-
Transfer to Stage 3		-	-	-	-
Net remeasurement of impairment		-	-	-	-
New assets originated or purchased		509,913	-	-	509,913
Financial assets derecognised or repaid (excluding write-offs)		(481,070)	-	-	(481,070)
Foreign exchange adjustments		-	-	-	-
As at 31 December		509,913	-	-	509,913
Placements with Banks	24				
Provision for impairment (ECL) as at 1 January		22,394	-	-	22,394
Transfer to Stage 1		-	-	-	-
Transfer to Stage 2		-	-	-	-
Transfer to Stage 3		-	-	-	-
New remeasurement of impairment		-	-	-	-
New assets originated or purchased		14,735	-	-	14,735
Financial assets derecognised or repaid (excluding write-offs)		(22,394)	-	-	(22,394)
Foreign exchange adjustments		-	-	-	-
As at 31 December		14,735	-	-	14,735
Financial assets at amortised cost - Loans and advances	28				
Provision for impairment (ECL) as at 1 January		34,297,861	24,197,486	199,958,825	258,454,172
Transfer to Stage 1		8,908,475	(3,494,815)	(5,413,660)	-
Transfer to Stage 2		(649,233)	2,101,669	(1,452,436)	-
Transfer to Stage 3		(72,352)	(466,223)	538,575	-
Net remeasurement of impairment		(1,691,897)	6,246,098	14,934,001	19,488,202
New assets originated or purchased		14,871,447	12,078,464	8,468,778	35,418,689
Financial assets derecognised or repaid (excluding write-offs)		(9,142,510)	(10,378,012)	(14,721,702)	(34,242,224)
Foreign exchange adjustments		1,137,001	635,093	1,628,829	3,400,923
Write-offs and recoveries		-	-	(116,491)	(116,491)
Other movements		-	-	116,491	116,491
As at 31 December		47,658,792	30,919,760	203,941,210	282,519,762
Financial assets at amortised cost - Debt and other instruments	29				
Provision for impairment (ECL) as at 1 January		8,731	8,196,342	28,314	8,233,387
Transfer to Stage 1		-	-	-	-
Transfer to Stage 2		-	-	-	-
Transfer to Stage 3		-	-	-	-
Net remeasurement of impairment		(6,416)	(274,421)	-	(280,837)
New assets originated or purchased		1,959,858	-	-	1,959,858
Financial assets derecognised or repaid (excluding write-offs)		-	-	-	-
Foreign exchange adjustments		-	99,085	-	99,085
As at 31 December		1,962,173	8,021,006	28,314	10,011,493

	Note	2024 12-month ECL (Stage 1) LKR. '000	Lifetime ECL - not credit impaired (Stage 2) LKR. '000	Lifetime ECL - credit impaired (Stage 3) LKR. '000	Total LKR. '000
Cash and cash equivalents	22				
Provision for impairment (ECL) as at 1 January		62,591	-	-	62,591
Transfer to Stage 1		-	-	-	-
Transfer to Stage 2		-	-	-	-
Transfer to Stage 3		-	-	-	-
Net remeasurement of impairment		-	-	-	-
New assets originated or purchased		481,070	-	-	481,070
Financial assets derecognised or repaid (excluding write-offs)		(62,591)	-	-	(62,591)
Foreign exchange adjustments		-	-	-	-
As at 31 December		481,070	-	-	481,070
Placements with Banks	24				
Provision for impairment (ECL) as at 1 January		44,779	-	-	44,779
Transfer to Stage 1		-	-	-	-
Transfer to Stage 2		-	-	-	-
Transfer to Stage 3		-	-	-	-
New remeasurement of impairment		-	-	-	-
New assets originated or purchased		22,394	-	-	22,394
Financial assets derecognised or repaid (excluding write-offs)		(44,779)	-	-	(44,779)
Foreign exchange adjustments		-	-	-	-
As at 31 December		22,394	-	-	22,394
Financial assets at amortised cost - Loans and advances	28				
Provision for impairment (ECL) as at 1 January		31,412,474	28,817,796	188,479,545	248,709,815
Transfer to Stage 1		625,967	(586,370)	(39,597)	-
Transfer to Stage 2		(1,988,519)	2,480,291	(491,772)	-
Transfer to Stage 3		(744,027)	(8,229,090)	8,973,117	-
Net remeasurement of impairment		3,596,393	1,677,250	5,475,117	10,748,760
New assets originated or purchased		6,088,267	4,933,693	1,663,708	12,685,668
Financial assets derecognised or repaid (excluding write-offs)		(4,193,021)	(4,011,132)	(2,803,904)	(11,008,057)
Foreign exchange adjustments		(499,673)	(884,952)	(1,297,389)	(2,682,014)
Write-offs and recoveries		-	-	(69,134)	(69,134)
Other movements		-	-	69,134	69,134
As at 31 December		34,297,861	24,197,486	199,958,825	258,454,172
Financial assets at amortised cost - Debt and other instruments	29				
Provision for impairment (ECL) as at 1 January		3,047	48,197,559	28,314	48,228,920
Transfer to Stage 1		-	-	-	-
Transfer to Stage 2		-	-	-	-
Transfer to Stage 3		-	-	-	-
Net remeasurement of impairment		5,725	-	-	5,725
New assets originated or purchased		52	11,998,414	-	11,998,446
Financial assets derecognised or repaid (excluding write-offs)		(93)	(48,197,559)	-	(48,197,652)
Foreign exchange adjustments		-	(3,802,072)	-	(3,802,072)
As at 31 December		8,731	8,196,342	28,314	8,233,387

64.2.4 Analysis of risk concentration

Concentration risk in credit portfolios arises due to an uneven distribution of bank loans to individual borrowers, industry ,sector or geographical regions. In managing the concentraion risk the Bank uses the Herfindahl-Harischman Index (HHI) as a measurement tool. The Bank has established appropriate limits to maintain concentration risk at an acceptable level.

64.2.5 Country wise exposure

The Bank has established branches in three countries i.e. India, Maldives, and Seychelles through which the Bank mainly maintains exposures outside Sri Lanka. Bank also has a fully owned subsidiary operating in United Kingdom (UK). All overseas branches are operating with pre-set limits (credit limits as well as country limits) which are approved by the Board of Directors.

Exposures in other countries include placements with banks and nostro account balances with correspondent banks whose risks are managed through Board approved limits.

31 December 2025	Sri Lanka	UK	Maldives	India	USA	Seychelles	Other Countries	Total
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Assets								
Cash and cash equivalents	72,029,735	49,361,026	1,062,224	29,131	3,908,529	81,018	4,611,509	131,083,172
Balances with Central Banks	67,796,985	-	11,059,631	386,611	-	602,725	-	79,845,952
Placements with banks	1,086,865	27,383,030	-	1,036,370	-	2,695,500	7,256,905	39,458,670
Securities purchased under resale agreements	-	-	-	345,307	-	-	-	345,307
Derivative financial assets	6,900,797	-	-	-	-	-	-	6,900,797
Financial assets recognised through profit or loss measured at fair value	12,600,011	-	-	-	-	-	-	12,600,011
Financial assets at amortised cost - loans and advances	2,276,998,079	-	77,082,611	14,506,968	-	3,164,318	-	2,371,751,976
Financial assets at amortised cost - debt and other instruments	2,551,921,383	-	53,038,317	-	-	550,306	-	2,605,510,006
Financial assets measured at fair value through OCI	28,761,910	-	-	3,595,656	-	-	5,021,610	37,379,176
Total financial assets	5,018,095,765	76,744,056	142,242,783	19,900,043	3,908,529	7,093,867	16,890,024	5,284,875,067
Liabilities								
Due to banks	386,059	-	452,380	596,632	-	-	24,962,827	26,397,898
Securities sold under repurchase agreements	284,215,169	-	-	-	-	-	-	284,215,169
Derivative financial liabilities	561,062	-	-	-	-	-	-	561,062
Financial liabilities at amortised cost - due to depositors	4,266,324,495	-	105,509,195	10,736,832	-	6,015,450	-	4,388,585,972
Financial liabilities at amortised cost - other borrowings	34,871,636	-	1,416,943	-	-	-	12,430,800	48,719,379
Subordinated liabilities	99,455,760	-	-	-	-	-	-	99,455,760
Total financial liabilities	4,685,814,181	-	107,378,518	11,333,464	-	6,015,450	37,393,627	4,847,935,240

31 December 2024	Sri Lanka	UK	Maldives	India	USA	Seychelles	Other Countries	Total
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Assets								
Cash and cash equivalents	64,346,959	31,438,250	1,306,709	3,056,749	5,638,411	95,245	9,540,084	115,422,407
Balances with Central Banks	48,252,069	-	3,047,811	462,582	-	583,768	-	52,346,230
Placements with banks	26,814,364	24,612,576	-	361,119	-	1,728,330	8,896,718	62,413,107
Securities purchased under resale agreements	23,982,341	-	-	-	-	-	-	23,982,341
Derivative financial assets	23,500,600	-	-	-	-	-	-	23,500,600
Financial assets recognised through profit or loss measured at fair value	21,003,177	-	-	-	-	-	-	21,003,177
Financial assets at amortised cost - loans and advances	2,093,420,722	-	67,484,936	14,325,454	-	2,476,667	-	2,177,707,779
Financial assets at amortised cost - debt and other instruments	2,239,513,583	-	35,927,590	-	-	493,203	-	2,275,934,376
Financial assets measured at fair value through OCI	44,855,016	-	-	2,881,863	-	-	4,312,774	52,049,653
Total financial assets	4,585,688,831	56,050,826	107,767,046	21,087,767	5,638,411	5,377,213	22,749,576	4,804,359,670
Liabilities								
Due to banks	33,255	184,978	-	596,538	-	-	856,316	1,671,087
Securities sold under repurchase agreements	131,079,414	-	-	-	-	-	-	131,079,414
Derivative financial liabilities	16,476,077	-	-	-	-	-	-	16,476,077
Financial liabilities at amortised cost - due to depositors	4,117,479,674	-	76,306,888	10,153,791	-	4,663,082	-	4,208,603,435
Financial liabilities at amortised cost - other borrowings	10,370,022	-	1,167,559	-	-	-	17,606,097	29,143,678
Subordinated liabilities	68,535,700	-	-	-	-	-	-	68,535,700
Total financial liabilities	4,343,974,142	184,978	77,474,447	10,750,329	-	4,663,082	18,462,413	4,455,509,391

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The Bank's portfolio is well diversified and following table shows the risk concentration by industry.

64.2.6 Sector wise exposure

31 December 2025	Agriculture and fisheries LKR '000	Banking finance and insurance LKR '000	Hotels travels and services LKR '000
Cash and cash equivalents	-	131,593,085	-
Less : Impairment	-	-	-
Balances with Central Banks	-	67,796,985	-
Placements with banks	-	39,473,405	-
Less : Impairment	-	-	-
Securities purchased under resale agreements	-	345,307	-
Derivative financial assets	-	6,900,797	-
Financial assets recognised through profit or loss - measured at fair value	-	6,852,872	-
Financial assets at amortised cost - loans and advances	385,013,092	49,987,175	109,509,595
Less : Impairment	-	-	-
Financial assets at amortised cost - debt and other instruments	-	1,665,297	-
Less : Impairment	-	-	-
Financial assets measured at fair value through OCI	-	7,349,739	-
Total financial assets	385,013,092	311,964,662	109,509,595

31 December 2024	Agriculture and fisheries LKR '000	Banking finance and insurance LKR '000	Hotels travels and services LKR '000
Cash and cash equivalents	-	115,903,477	-
Less : Impairment	-	-	-
Balances with Central Banks	-	48,252,069	-
Placements with banks	-	62,435,501	-
Less : Impairment	-	-	-
Securities purchased under resale agreements	-	23,982,341	-
Derivative financial assets	-	23,500,600	-
Financial assets recognised through profit or loss -measured at fair value	-	5,210,796	-
Financial assets at amortised cost - loans and advances	323,364,711	23,280,301	97,301,217
Less : Impairment	-	-	-
Financial assets at amortised cost - debt and other instruments	6,476	753,333	-
Less : Impairment	-	-	-
Financial assets measured at fair value through OCI	-	5,343,122	-
Total financial assets	323,371,187	308,661,540	97,301,217

Housing, construction and infrastructure LKR '000	Manu-facturing LKR '000	Commercial trade LKR '000	Sovereign and direct government LKR '000	Transportation and logistics LKR '000	Other commercial services LKR '000	Consumption and others LKR '000	Total LKR '000
-	-	-	-	-	-	-	131,593,085
-	-	-	-	-	-	-	(509,913)
-	-	-	-	-	12,048,967	-	79,845,952
-	-	-	-	-	-	-	39,473,405
-	-	-	-	-	-	-	(14,735)
-	-	-	-	-	-	-	345,307
-	-	-	-	-	-	-	6,900,797
-	66,897	-	5,171,829	-	19,725	488,688	12,600,011
493,339,597	206,945,286	175,494,967	515,615,363	73,982,083	248,866,076	395,518,504	2,654,271,738
-	-	-	-	-	-	-	(282,519,762)
-	-	1,346,812	2,612,509,390	-	-	-	2,615,521,499
-	-	-	-	-	-	-	(10,011,493)
-	-	-	25,007,827	-	5,021,610	-	37,379,176
493,339,597	207,012,183	176,841,779	3,158,304,409	73,982,083	265,956,378	396,007,192	5,284,875,067

Housing, construction and infrastructure LKR '000	Manu-facturing LKR '000	Commercial trade LKR '000	Sovereign and direct government LKR '000	Transportation and logistics LKR '000	Other commercial services LKR '000	Consumption and others LKR '000	Total LKR '000
-	-	-	-	-	-	-	115,903,477
-	-	-	-	-	-	-	(481,070)
-	-	-	-	-	4,094,161	-	52,346,230
-	-	-	-	-	-	-	62,435,501
-	-	-	-	-	-	-	(22,394)
-	-	-	-	-	-	-	23,982,341
-	-	-	-	-	-	-	23,500,600
33,336	325,668	-	15,002,315	-	19,133	411,929	21,003,177
511,227,585	194,741,044	173,613,672	486,436,009	78,013,278	236,642,197	311,541,937	2,436,161,951
-	-	-	-	-	-	-	(258,454,172)
-	-	1,031,310	2,282,376,644	-	-	-	2,284,167,763
-	-	-	-	-	-	-	(8,233,387)
-	-	-	42,007,600	-	4,698,931	-	52,049,653
511,260,921	195,066,712	174,644,982	2,825,822,568	78,013,278	245,454,422	311,953,866	4,804,359,670

64.2.7 Commitments and guarantees

The Bank enters into various irrevocable commitments and contingent liabilities to meet the financial needs of customers. They do contain credit/default risk even though these obligations are not recognised in the statement of financial position as on balance sheet assets. The capital charges for such commitments and contingent liabilities based on the applicable credit conversion factors are allocated according to the regulatory guidelines to factor the risk inherent in it.

The table below shows the Bank's maximum exposure for commitments and guarantees. The details of the Bank's credit risk exposure for commitments and contingencies are disclosed in Note No.57.

	Bank	
As at 31 December	2025 LKR '000	2024 LKR '000
Acceptances and documentary credit	192,525,473	170,192,219
Bills for collection	68,018,849	59,672,832
Forward exchange contracts	331,259,662	402,059,694
Guarantees	132,739,409	135,693,404
Other commitments	154,871,849	147,970,922
	879,415,242	915,589,071

64.2.8 Management overlays over Expected Credit Risk

Beyond the Bank's normal impairment calculation process adopted for the loans and advances as per the SLFRS 9 and CBSL Directions, the management overlays were applied for construction and textile export sectors as risk elevated industries and customers coming into Stage 1 for those industries were transferred to Stage 2 when assessing the impairment considering the life time expected credit loss rather than 12 months expected credit loss under Stage 1. Further, the Bank continued to make additional provision for credit facilities which are converted to new loans under various moratorium and concession schemes during the year considering the potential risk.

During the year the Bank used specific management overlay to capture the impact (ECL) on the Bank's credit portfolio which was based on the initial assessment over the disruptions to livelyhoods of the customers and industries due to the cyclone "Ditwah".

In order to capture the prevailing economic conditions into Economic Factor Adjustment (EFA) to incorporate the expected credit loss in determining the impairment for collectively assessed portfolios, the Bank used following weightages applied for the expected economic scenarios.

Economic Scenario	New Weightages 2025 (%)	Previous Weightages 2024 (%)
Best	15	0 - 20
Base	15	20 - 40
Worst	70	40 - 80

64.3 Liquidity risk

Liquidity is dynamic and can change according to both expected and unexpected business and market conditions. Liquidity risk arises when the Bank encounters difficulties in meeting payment obligations timely in a cost effective way or Bank finds it difficult to sell its assets within appropriate amount of time at desirable price. The Bank maintains diversified funding sources in addition to its deposit base while monitoring and managing future commitments daily basis to ensure effective liquidity management. The Central Bank's repo window is one of the main sources of funding during the liquidity stress situation. The Bank's risk management framework plays vital role to monitor that payment obligations of the Bank are made in a timely and efficient manner. In addition, liquidity risk management framework includes compliance with the regulatory requirements, optimum usage of liquid assets for higher returns and funding business expansion. The Bank maintains liquidity ratios well within the limits specified by the regulator to ensure healthy liquidity position.

64.3.1 Liquidity risk exposure

The key liquidity measurement tool used by the Bank is the liquidity coverage ratio which is one of the main regulatory liquidity measurement devices to ensure that it maintains an adequate level of high quality liquid assets to meet its short term liquidity needs. The Bank manages cash, cash equivalents and investments in government securities to comply with Liquidity Coverage Ratio (LCR) requirements while optimising returns.

*The Bank now primarily focuses on LCR inline with the discontinuation of liquid asset ratio monitoring by CBSL.

As at 31 December	2025	2024
Liquidity Coverage Ratio	260.38%	269.63%
Regulatory minimum requirement	100.00%	100.00%

64.3.2 Maturity analysis of financial liabilities

64.3.2.1 Undiscounted cashflow of financial liabilities

The table below presents the undiscounted behavioural maturity of the Bank's financial liabilities;

31 December 2025	On demand	Less than 3 months	3 to 12 months	1 to 5 years	Over 5 years	Total
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Due to banks	26,397,898	-	-	-	-	26,397,898
Securities sold under repurchase agreements	-	219,564,985	68,696,929	-	-	288,261,914
Derivative financial liabilities	-	561,062	-	-	-	561,062
Financial liabilities at amortised cost - due to depositors	530,870,524	1,988,284,792	809,557,657	222,606,930	880,120,445	4,431,440,348
Financial liabilities at amortised cost - other borrowings	18,754,132	17,535,205	-	17,691,440	-	53,980,777
Subordinated liabilities	-	-	13,483,566	102,647,964	18,803,284	134,934,814
Total	576,022,554	2,225,946,044	891,738,152	342,946,334	898,923,729	4,935,576,813

31 December 2024	On demand	Less than 3 months	3 to 12 months	1 to 5 years	Over 5 years	Total
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Due to banks	1,671,087	-	-	-	-	1,671,087
Securities sold under repurchase agreements	-	74,932,274	59,168,442	-	-	134,100,716
Derivative financial liabilities	-	16,476,077	-	-	-	16,476,077
Financial liabilities at amortised cost - due to depositors	445,237,402	1,593,492,498	1,100,401,536	238,262,481	921,236,128	4,298,630,045
Financial liabilities at amortised cost - other borrowings	-	11,538,212	-	18,098,019	-	29,636,231
Subordinated liabilities	-	-	5,638,317	50,315,226	20,458,269	76,411,812
Total	446,908,489	1,696,439,061	1,165,208,295	306,675,726	941,694,397	4,556,925,968

64.3.2.2 Non derivative financial assets and financial liabilities expected to be recovered or settled after 12 months from the reporting date

The table below depicts the carrying amount of non derivative financial assets and financial liabilities expected to be recovered or settled after 12 months from the reporting date.

	Bank	
As at 31 December	2025 LKR '000	2024 LKR '000
Financial assets		
Non-derivative financial assets		
Financial assets recognised through profit or loss measured at fair value	6,698,320	5,273,682
Financial assets at amortised cost - loans and advances	1,473,612,652	606,070,694
Financial assets at amortised cost - debt and other instruments	1,283,093,805	1,084,518,092
Financial assets measured at fair value through OCI	33,609,578	28,705,454
Total non-derivative financial assets	2,802,799,264	1,724,567,922
Financial liabilities		
Non-derivative financial liabilities		
Financial liabilities at amortised cost - due to depositors	255,971,056	270,701,996
Financial liabilities at amortised cost - other borrowings	12,430,800	17,606,097
Subordinated liabilities	86,967,413	63,529,293
Total non-derivative financial liabilities	355,369,269	351,837,386

64.4 Market Risk

Market risk is the risk of loss arising due to unfavourable movements in market variables such as interest rates, foreign exchange rates, equity prices and commodity prices. Exposure to the market risk arises mainly from Interest Rate Risk (IRR) and Foreign Exchange (FX) risks. Exposure to commodity related risk is insignificant as it is limited to the extent of the fluctuation of the price of the Bank's gold stock.

The Bank classifies exposures into either trading or non-trading portfolios and manages each of these portfolios separately. The market risk for the foreign exchange and equity trading portfolios are managed and monitored based on a Value at Risk (VaR) methodology. In addition to the Net Open Position (NOP) limit of managing foreign exchange risk and holding period limit to manage the equity risk. Interest rate risk of the trading portfolio is managed through Price Value per Basis Point (PVBP) and modified duration. In addition trading and non trading portfolios are managed through risk monitoring, risk assessment, sensitivity analysis and stress testing. Interest Rate Risk in Banking Book (IRRBB) is monitored through sensitivity analysis.

64.4.1 Trading and non-trading portfolio - Bank

The table below sets out the allocation of assets and liabilities subject to market risk between trading and non-trading portfolios

As at 31 December 2025	Note	Carrying amount	Market risk measurement	
			Trading portfolios	Non-trading portfolios
		LKR '000	LKR '000	LKR '000
Assets subject to market risk				
Cash and cash equivalents	22	131,083,172	-	131,083,172
Balances with Central Banks	23	79,845,952	-	79,845,952
Placements with banks	24	39,458,670	-	39,458,670
Securities purchased under resale agreements	25	345,307	-	345,307
Derivative financial assets	26	6,900,797	6,900,797	-
Financial assets recognised through profit or loss				
- measured at fair value	27	12,600,011	12,600,011	-
Financial assets at amortised cost			-	-
- loans and advances	28	2,371,751,976	-	2,371,751,976
- debt and other instruments	29	2,605,510,006	-	2,605,510,006
Financial assets measured at fair value through OCI	30	37,379,176	-	37,379,176
Investment in subsidiary companies	31	8,105,402	-	8,105,402
Investment in associate companies	32	92,988	-	92,988
Investment properties	33	2,414,640	-	2,414,640
Property, plant and equipment	34	46,142,559	-	46,142,559
Right of use assets/ leasehold properties	35	5,510,507	-	5,510,507
Intangible assets	36	2,790,651	-	2,790,651
Deferred tax assets	37	27,402,018	-	27,402,018
Other assets	38	90,216,952	-	90,216,952
Total assets		5,467,550,784	19,500,808	5,448,049,976
Liabilities subject to market risk				
Due to banks	39	26,397,898	-	26,397,898
Securities sold under repurchase agreements	40	284,215,169	-	284,215,169
Derivative financial liabilities	41	561,062	561,062	-
Financial liabilities at amortised cost				
- due to depositors	42	4,388,585,972	-	4,388,585,972
- other borrowings	43	48,719,379	-	48,719,379
Current tax liabilities	45	25,418,318	-	25,418,318
Other liabilities	47	228,397,006	-	228,397,006
Subordinated liabilities	49	99,455,760	-	99,455,760
Total liabilities		5,101,750,564	561,062	5,101,189,502

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As at 31 December 2024	Note	Carrying amount	Market risk measurement	
			Trading portfolios	Non-trading portfolios
		LKR '000	LKR '000	LKR '000
Assets subject to market risk				
Cash and cash equivalents	22	115,422,407	-	115,422,407
Balances with Central Banks	23	52,346,230	-	52,346,230
Placements with banks	24	62,413,107	-	62,413,107
Securities purchased under resale agreements	25	23,982,341	-	23,982,341
Derivative financial assets	26	23,500,600	23,500,600	-
Financial assets recognised through profit or loss				
- measured at fair value	27	21,003,177	21,003,177	-
Financial assets at amortised cost				
- loans and advances	28	2,177,707,779	-	2,177,707,779
- debt and other instruments	29	2,275,934,376	-	2,275,934,376
Financial assets measured at fair value through OCI	30	52,049,653	-	52,049,653
Investment in subsidiary companies	31	8,080,402	-	8,080,402
Investment in associate companies	32	92,988	-	92,988
Investment properties	33	2,414,640	-	2,414,640
Property, plant and equipment	34	45,621,257	-	45,621,257
Right of use assets/ leasehold properties	35	5,554,420	-	5,554,420
Intangible assets	36	1,608,812	-	1,608,812
Deferred tax assets	37	15,836,422	-	15,836,422
Other assets	38	101,570,365	-	101,570,365
Total assets		4,985,138,976	44,503,777	4,940,635,199
Liabilities subject to market risk				
Due to banks	39	1,671,087	-	1,671,087
Securities sold under repurchase agreements	40	131,079,414	-	131,079,414
Derivative financial liabilities	41	16,476,077	16,476,077	-
Financial liabilities at amortised cost				
- due to depositors	42	4,208,603,435	-	4,208,603,435
- other borrowings	43	29,143,678	-	29,143,678
Current tax liabilities	45	23,209,855	-	23,209,855
Other liabilities	47	203,859,925	-	203,859,925
Subordinated liabilities	49	68,535,700	-	68,535,700
Total liabilities		4,682,579,171	16,476,077	4,666,103,094

64.4.2 Interest rate risk

Interest rate risk is the probability of decline in value of an asset resulting from unexpected fluctuations in interest rates. Interest rate risk affects to the Bank's earnings and impacts negatively on Net Interest Income (NII) of the Bank. Continous monitoring and periodic repricing strategies ensures the interest rate risk is managed effectively.

Price Value per Basis Point (PVBP) and duration analysis are monitored against the risk appetite limits on daily basis in order to assess the impact of interest rate changes on Bank’s trading portfolios of Treasury bills and bonds which are rate sensitive instruments.

	2025 LKR	2024 LKR	Risk appetite LKR
PVBP			
Investment in T-Bills	1,330	47,933	900,000
Investment in T-Bonds	717,562	629,067	2,100,000

Sensitivity analysis of interest sensitive assets and liabilities is carried out to monitor interest rate risk in the banking book by placing those assets and liabilities in pre-determined maturity buckets considering its residual time to maturity and setting and monitoring gap limits and the repricing profile. The table below analyses the Bank's interest rate risk exposure as a percentage on financial assets and liabilities.

2025	Upto 1 Month (%)	1-3 Months (%)	3-6 Months (%)	6-12 Months (%)	1-2 Years (%)	2-3 Years (%)	3-4 Years (%)	4-5 Years (%)	Over 5 Years (%)
Rate sensitive assets	4.1	4.3	5.2	15.2	10.7	10.7	14.1	8.1	27.6
Rate sensitive liabilities	6.5	3.3	3.7	20.1	9.0	12.4	12.4	6.6	25.9
GAP	(2.4)	1.0	1.5	(4.9)	1.7	(1.7)	1.7	1.5	1.7

2024	Upto 1 Month (%)	1-3 Months (%)	3-6 Months (%)	6-12 Months (%)	1-2 Years (%)	2-3 Years (%)	3-4 Years (%)	4-5 Years (%)	Over 5 Years (%)
Rate sensitive assets	10.7	13.2	12.1	11.9	6.2	6.2	5.0	5.0	29.7
Rate sensitive liabilities	4.9	19.9	14.5	11.8	5.0	5.0	5.1	5.1	28.8
GAP	5.8	(6.7)	(2.4)	0.1	1.2	1.2	(0.1)	(0.1)	0.9

64.4.3 Foreign exchange risk

Foreign exchange risk is the risk of adverse fluctuation of value of foreign currency denominated financial instruments due to changes in foreign exchange rates which affects the financial performance or financial position of the Bank. The Bank carried open positions during the year which is within the limits approved by the Central Bank of Sri Lanka. A comprehensive Limit Management Framework (LMF) including individual exposures and aggregated exposures prescribed by the IRMC govern the foreign exchange risk. Stress testing analysis carried out on foreign exchange transactions to assess the impact to profit and Capital Adequacy Ratio (CAR) during stress situations.

Foreign Exchange Position as at 31 December	2025		2024	
	Net Overall Long LKR '000	Net Overall Short LKR '000	Net Overall Long LKR '000	Net Overall Short LKR '000
Currency				
United States Dollar	-	(1,836,099)	262,223	-
Great Britain Pound	18,727	-	13,679	-
Euro	54,119	-	47,952	-
Japanese Yen	1,862,742	-	-	(94,689)
Australian Dollar	8,061	-	8,468	-
Canadian Dollar	423	-	1,208	-
Swiss Franc	692	-	-	-
Singapore Dollar	-	(24,076)	1,014	-
Hong Kong Dollar	124,924	-	247,081	-
Sub Total	2,069,688	(1,860,175)	581,625	(94,689)
Other Currencies	2,291,632	(206,419)	1,980,373	(91,207)
Grand Total	4,361,320	(2,066,594)	2,561,998	(185,896)
Higher of Long or Short		4,361,320		2,561,998

NOTES TO THE FINANCIAL STATEMENTS

Impact on Income Statement due to Exchange Rate Shocks

	2025		2024	
	Net Open Position (After Rate Shocks) LKR '000	Impact on Income Statement LKR '000	Net Open Position (After Rate Shocks) LKR '000	Impact on Income Statement LKR '000
Exchange Rate Shocks				
5%	4,143,253	(218,066)	1,280,999	(1,280,999)
10%	3,925,187	(436,132)	2,305,799	(256,200)
-5%	4,579,385	218,066	3,842,998	1,280,999
-10%	4,797,451	436,132	2,818,198	256,200

64.4.4 Equity Risk

Equity risk is the risk of deteriorating fair value of equity portfolio due to a change in the level of equity indices and price of individual stocks. Equity risk is monitored by stipulating overall portfolio limits, dealer limits, loss limits and use of VaR methodology.

64.5 Operational Risk

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events. The Bank has allocated a significant amount of capital for operational risk as per the Basic Indicator Approach (BIA) despite the fact that the actual operational losses are far below the allocated capital. The holistic and comprehensive operational risk management framework of the Bank ensures that all relevant risks are proactively managed.

64.6 Capital Management

Capital is the financial cushion against the risks assumed by the Bank. Proper capital management is therefore, vital in ensuring the sustainability and long term stability of the business.The primary objective of capital management is the maintenance of capital levels above the minimum regulatory requirement and optimum capital usage for maximum profitability. Given the size and the nature of the business, retained earnings is the primary source of internal capital generation of the Bank. Capital augmentation plan determines the sources of capital to ensure the achievement of pre-determined capital targets for business expansion and to accommodate stress scenarios.

64.6.1 Capital adequacy and Internal Capital Adequacy Assessment Process (ICAAP)

The capital adequacy is a measure of the financial strength of the Bank expressed as a ratio of its capital to Risk Weighted Assets (RWAs) of credit, market and operational aspects of the business. This ratio indicates the Bank's ability to maintain adequate capital to ensure financial soundness which ascertain how effectively it can sustain a reasonable level of risk.The minimum total capital requirement for Domestic Systemically Important Banks (DSIBs) is 14% and requires Bank to maintain Tier I capital level of 10%.

Internal Capital Adeqacy Assessment Process (ICAAP) determines the level of capital to be maintained against all risks inline with the Basel requirement and guideline prescribed by the regulator. The capital planning is facilitated by the ICAAP based on the accomplished and planned business process that ensures the sufficient capital levels are maintained to cover all the risks the Bank exposed to. The Bank uses internal models which are internationally accepted to assess the pillar 2 risks in ICAAP and carries out comprehensive stress testing using multiple scenarios to determine the total capital reqirement. ICAAP factors out all possible qualitative risks such as reputation risk, compliance risk, strategic risk and IT risk etc. and assessment of concentration risk ensures that the Bank has a well diversified portfolio which is not excessively exposed to any counterparty, product, sector or a geographical segment.

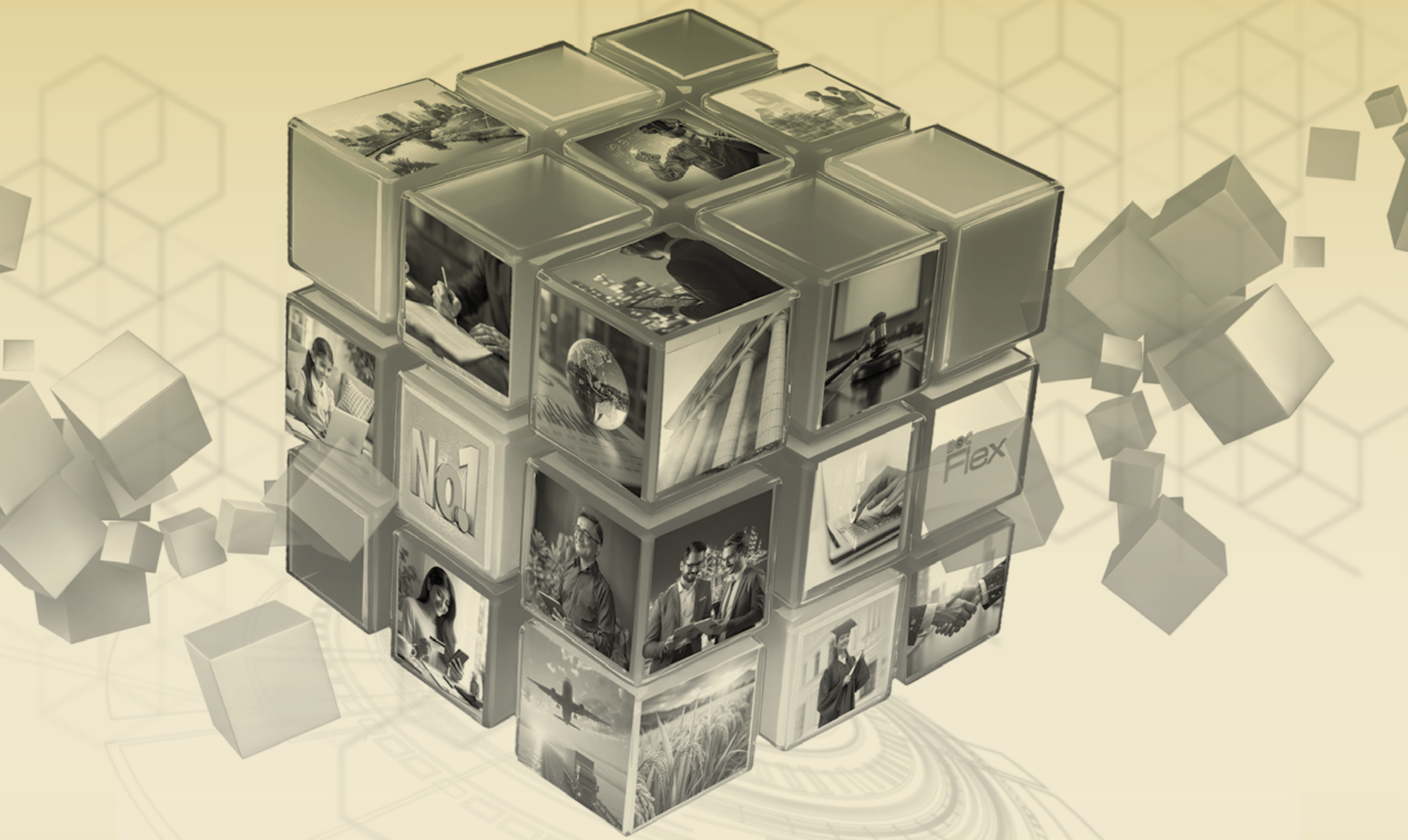
Capital levels	2025	2024
Capital charge for credit risk weighted assets (LKR '000)	247,238,509	223,131,659
Capital charge for market risk weighted assets (LKR '000)	2,617,377	2,545,425
Capital charge for operational risk weighted assets (LKR '000)	26,580,620	24,582,544
Tier I capital % (Regulatory minimum - 10%)	12.37	13.00
Total capital % (Regulatory minimum - 15%)	16.89	16.55

65 Selected Performance Indicators/ Key Financial Data (As per regulatory reporting)

	Bank		Group	
As at 31 December	2025	2024	2025	2024
Regulatory Capital Adequacy (LKR in Millions)				
Common Equity Tier 1	225,968	213,974	238,613	225,093
Tier 1 Capital	244,318	232,324	256,963	243,443
Total Regulatory Capital	333,555	295,847	349,258	308,735
Regulatory Capital Ratios (%)				
Common Equity Tier 1 Capital (%) (Minimum Requirement : 8.5%)	11.4	12.0	11.5	12.2
Tier 1 Capital Ratio (%) (Minimum Requirement : 10.0%)	12.4	13.0	12.4	13.1
Total Capital Ratio (%) (Minimum Requirement : 15.0%)**	16.9	16.6	16.8	16.7
Basel III Leverage Ratio (Minimum Requirement : 3.0%)	4.1	4.4	4.3	4.6
Regulatory Liquidity Requirement (%)				
Liquidity Coverage Ratio (%) (Minimum Requirement : 100.0%)				
- Rupee (%)	296.0	329.0		
- All Currency (%)	260.4	269.6		
Net Stable Funding Ratio (%) - (Minimum Requirement : 100.0%)	156.6	157.9		
Assets Quality (%)				
Impaired Loans (Stage 3) to Total Loans, Ratio (%)*	5.6	7.2		
Impairment (Stage 3) to Stage 3 Loans, Ratio (%)*	57.9	53.6		
Income and Profitability (%)				
Net Interest Margin (%)	4.0	3.6	4.0	3.6
Return on Assets (before tax) (%)	2.3	2.3	2.3	2.3
Return on Equity (%)	22.7	23.2	21.5	21.9
Cost to Income Ratio (%)	33.0	40.1	34.1	41.3
Memorandum Information				
Credit Rating - Fitch (Local)	AA-	AA-		
Number of Employees	8,912	8,214		
Number of Branches	584	584		

* Including undrawn portion of credit

** CBSL of Sri Lanka has directed Bank of Ceylon to maintain an additional capital buffer of 1% at a minimum, above the regulatory requirement of 14% in line with section 19(10) of the Banking Act No. 30 of 1988, as amended.



COMPLIANCE ANNEXES

COMPLIANCE WITH CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE 2023 ISSUED BY CA SRI LANKA

Sections referred to in the Code	Compliance status
A	**DIRECTORS**
A.1	**The Board**
Principle A.1	The Board of Bank of Ceylon is comprised of eleven (11) Non-Executive Directors as at 31.12.2025 who have skills and experience to direct and lead the Bank with effective controls. The skills and experience of the Directors are indicated in the details about them on page 34 to 39.
A.1.1	**Board meetings** The Board meetings are held on a fortnightly basis and special meetings are scheduled as and when the need arises. The schedule of meetings is in place by the beginning of the year and the structure of submitting information to the Board has been agreed upon. Necessary information is submitted as agreed to enable decision-making. During the year under review the Board met twenty six times (26) including Special meetings and attendance at meetings is summarized on page 173. The information listed under this section is discussed at the relevant subcommittees and the Board.
A.1.2	**Role and responsibilities of the Board** The role and responsibilities of the Board are incorporated in the Board Charter which is in place.
A.1.3	**To act in accordance with the laws of the country** The Bank is regulated as per the Bank of Ceylon Ordinance No. 53 of 1938 and its amendments and the Banking Act No. 30 of 1988 and its amendments. Additionally, directions issued by the Regulators viz., the Central Bank of Sri Lanka, any other regulator where the Bank has its overseas Branches, Securities and Exchange Commission of Sri Lanka and the Colombo Stock Exchange apply to Bank of Ceylon. The Board acts in accordance with the applicable laws. A Policy on Directors' Access to Independent Professional Advice is in place whereby Directors are able to seek independent professional advice on a needs basis at the Bank's expense.
A.1.4	**Advice and services of the Company Secretary** The members of the Board have access to the advice and services of the Secretary to the Board/ Secretary, Bank of Ceylon who is an Attorney-at-Law. The Secretary to the Board is held responsible for ensuring that Board procedures are followed and compliance with applicable rules and regulations, directions and statutes and keeping and maintaining minutes and relevant records. Any question of the removal of the Secretary to the Board/ Secretary, Bank of Ceylon is a matter for the full Board. The role of Company Secretary is given on page 170.
A.1.5	**Independent judgement** The Board of Bank of Ceylon bring independent judgement to bear in discharging their duties and responsibilities on matters relating to the Board including strategy, performance, resource allocation, risk management, compliance and standards of business conduct.
A.1.6	**Dedicating adequate time and effort to matters of the Board and the Bank** The agenda and Board memoranda are circulated among the Board members seven days prior to the meeting through a secure e-Solution enabling them to dedicate sufficient time before a meeting to review Board memoranda and call for additional information and clarifications.
	Members of the Corporate Management and external experts make presentations to the Board to provide updates, seek approval or guidance on various matters relevant to the Bank's strategic direction, operations, financial performance, risk management and other key areas.
A.1.7	**Calling of resolution** The Board members can individually submit proposals to the Board when they feel that they are in the best interests of the Bank and a resolution can be presented to the Board.
A.1.8	**Training for Directors** When first appointed to the Board, the Directors undergo an induction programme covering the applicable regulatory requirements, Bank's history, organisational structure, details of subsidiaries and associates, products and services, Directors' responsibilities and are provided with a Board Manual incorporating all the above given in e-form through the Bank's electronic support system. Directors are encouraged to attend relevant training programmes and are apprised of the latest developments in the Bank and external environment by members of the Corporate Management or through external resource personnel. Directors attended one training programme during the year. The Management made presentations where necessary, to update the Board on the activities of the Bank as well as the changes/ updates in the regulatory environment.

COMPLIANCE WITH CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE 2023 ISSUED BY CA SRI LANKA

Sections referred to in the Code	Compliance status
A.2	**Division of responsibilities between the Chairman and Chief Executive Officer (CEO).** The positions of the Chairman and the Chief Executive Officer (referred to as the "General Manager" in the Bank) are held by two separate individuals. The Chairman is a Non-Executive Director. There is a clear division of responsibilities between the Chairman and the General Manager and the Board Charter adopted by the Bank clearly defines these responsibilities.
A.3	**Chairman's Role** The Chairman of Bank of Ceylon provides leadership to the Board, preserves order and facilitates the effective discharge of the Board's functions. The agenda for Board meetings is prepared by the Secretary, Bank of Ceylon/ Secretary to the Board, based primarily on the memoranda submitted through the General Manager and any other relevant matters proposed by a Director/s. The agenda covers matters relating to performance, environment and strategies, finance and credit, investment, governance and regulations, human resource allocation, information technology, risk management and compliance. Sufficient detailed information on matters included in the agenda is circulated to Directors well ahead of the meetings through a secured e-Solution. All Directors are informed of their duties and responsibilities (which are enshrined in the Board Charter) and the Board subcommittee structure of the Bank which assists the Board in discharging its responsibilities. The Board of Bank of Ceylon consists entirely of Non-Executive Directors and they effectively contribute within their respective capabilities, for the benefit of the Bank. Directors are encouraged to seek information considered necessary to discuss matters on the agenda of meetings and to request inclusion of matters of corporate concern on the agenda. The views of Directors on issues under consideration are ascertained and a record of such deliberations are reflected in the minutes in detail.
A.4	**Financial acumen and knowledge to offer guidance on matters of finance** The Directors have sufficient financial acumen and knowledge to guide the Bank which they have acquired through the businesses/ professions in which they are involved and from qualifications held.
A.5	**Board Balance** The Chairman and the Board of the Bank are Non-Executives, among them six (06) are independent and five (05) are Non-Independent as per the CBSL Direction No. 5 of 2024 including the Treasury Representative. As per CSE Listing Rules all directors are independent expect the Ex-Officio Director. A declaration of independence to ascertain the Independence/ Non-Independence is obtained, which covers CBSL Directions, CSE Rules and also the best practice issued by CA Sri Lanka as well. Even though Chairman is independent as per Section A5.5, Bank has decided to appoint Senior Director based on a direction by the Central bank of Sri Lanka in the year 2026.
A.6	**Provision of appropriate and timely information** The agenda and Board/ Subcommittee memoranda required for a Board/ subcommittee meeting are provided to Directors through the available e-Solution seven days prior to the meeting for them to review the memoranda in advance and come up with questions and discussion points and to request for additional information, if necessary. Discussion or communications are arranged where necessary to clarify matters and to facilitate the smooth functioning of the Board meetings. The members of the Corporate Management are available if the Directors wish to obtain further information or for any clarification. Board meeting minutes are made available to the Directors within 10 days from the meeting.
A.7	**Appointments to the Board: Nomination and Governance Committee**
7.1 & 7.2	The Nomination and Governance Committee comprised of five (05) Non-Executive Directors and among them two (02) are independent Directors. The Chairman of the Committee is considered as Independent Director as per CSE regulations. On being proposed to the Board, their fit and propriety is being assessed by the members of the Committee in terms of Direction No. 6.4 (c) of the Banking Act Direction No. 5 of 2024 issued by the Central Bank of Sri Lanka. Appointment to the Board of Bank of Ceylon will be undertaken through the Nomination and Governance Committee. The NGC identifies and evaluates potential candidates through a transparent, objective and merit-based process, conducts necessary background checks and assess fitness and propriety in line with CBSL guidelines. The Board approved policy on the Appointment of Directors sets out this procedure and outlines the requisite skills, experience, knowledge required for Board membership. NGC submits shortlisted candidates to the Board for consideration and approval. Upon endorsement by the Board, suitable candidates forwarded to the Minister for formal appointment with letter of appointment issued through the Ministry. Directors appointed by virtue of their official position is recognised as Ex-Officio Director.

Sections referred to in the Code	Compliance status
7.3	The Bank has a Succession Plan for the Corporate Management including for the General Manager which has been revised during the year.
7.4	The information pertaining to the new Directors are published in the website of the Bank, media and announced to the Colombo Stock Exchange
7.5	Report on the Nomination and Governance Committee indicates the activities performed by the Committee given on pages 186 to 187.
A.8	**Reappointment** Every Director appointed shall hold office for a period of three years, unless he is removed from office earlier or he vacates his office in terms of the Bank of Ceylon Ordinance No. 53 of 1938 and its amendments. In either case, he is eligible to be reappointed. **Resignation** An appointed Director may resign from his directorship by a letter addressed to the Minister under whose purview the Bank falls and any Director who vacates office by ending the term is eligible for Re-appointment. If it is due to a special reason, it is expected to be indicated in their resignation letter. Please refer details on appointments and resignations of Directors given on Page no 173.
A.9	**Appraisal of Board and its subcommittees** An annual self-evaluation of its own performance is undertaken by the Board and Board subcommittees to ensure that Board's and that of its subcommittees' responsibilities are satisfactorily discharged. The collective outcome is reviewed and addressed by the Board. Annual evaluation of Directors are based on the questionnaire filled individually by them.
A.10	**Disclosure of information in respect of Directors in the Annual Report** The following information pertaining to Directors are included in the Annual Report: Profiles of the Directors covering name, qualifications, nature of expertise and whether Executive/ Non-Executive are indicated on pages 32 to 39. Directors' Interest in contracts with the Bank on page 224. Remuneration paid to Directors in Note 17 to the Financial Statements on page 270. Related party information indicated on pages 367 to 373 Directorships in other companies indicated on page 224 to 225. Membership of subcommittees and the number of Board and subcommittee meetings attended during the year are indicated on page 173.
A.11	**Appraisal of the Chief Executive Officer/ General Manager** The performance evaluation of the General Manager is carried out annually based on the targets set at the commencement of the fiscal year in line with Strategic Plan by the Human Resources and Remuneration Committee and the final report is submitted to the Board.
B	**Directors' remuneration**
B .1	There is a formal Remuneration Policy in place for the Chairman and Board of Directors (all Non-Executive) in place. The above policy is formulated based on the circulars issued by the Government, the shareholder, from time to time and other applicable legislation. No Director is involved in deciding his/ her remuneration.
B.2	**Human Resource and Remuneration Committee** The remuneration of Directors is decided based on the circulars issued by the Government, the shareholder, from time to time and other applicable legislation.
B .2	The Bank's Human Resources and Remuneration Committee accordingly has no role in deciding the remuneration of Directors. (It however recommends the remuneration of Senior Executives.)
B.3	**Disclosure of remuneration** Details of remuneration paid to the Board as a whole is indicated on page 270. The composition of the Human Resources and Remuneration Committee appears on page 184. The Compensation to KMP is given on page 368.

COMPLIANCE WITH CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE 2023 ISSUED BY CA SRI LANKA

Sections referred to in the Code	Compliance status
C	**Relations with shareholders**
C.1	The Government of Sri Lanka being the sole shareholder of the Bank, the Bank's communication with the shareholder happens in various forms. A Government representative (an officer from the Ministry of Finance) is on the Board, directly representing the shareholder and the Annual Report is placed before the Parliament of Sri Lanka and is open to question by the Parliament.
C.2	Board approved Communication Policy is in place. Major issues and concerns of the shareholder viz. Government of Sri Lanka are discussed during the Board meetings with the participation of the direct Government representative on the Board and is elevated to the Ministry or higher levels as may be necessary. The Communication Policy in place guides the Bank on effective communication with internal and external stakeholders and was reviewed during the year under review.
C.3	There were no transactions that were entered into by the Directors which would materially affect the Bank's performance, its net asset base or related party transactions during the year other than what is disclosed under Notes to the Financial Statements on pages 367 to 373.
D	**Accountability and audit**
D.1	All measures are taken to ensure that the Annual Report presents a balanced assessment of the Bank's financial position, performance, business model, governance structure, risk management, internal controls and challenges, opportunities and prospects in an easily comprehensible manner. The Bank's Financial Statements presented in the Annual Report are balanced, understandable and prepared in accordance with the relevant laws and regulations with any deviation being clearly explained and portrays a true and fair view. It also ensures that a balanced and understandable assessment extends to interim and other price-sensitive public reports and reports to regulators, as well as to information required to be presented to meet statutory requirements. The Chief Financial Officer and the General Manager of the Bank give a statement indicating that the financial statements provide a true and fair view of the state of affairs of the Bank of Ceylon and its Group. The Financial Statements are reviewed and deliberated by the Board Audit Committee before recommending to the Board for its approval for publication. For the purpose of fulfilling the disclosure requirements, the following statements are included in the Annual Report – Annual Report of the Directors on the State of Affairs of the Bank on pages 218 to 223. Directors' Statement on Internal Control over Financial Reporting on pages 226 to 227 Management Discussion and Analysis under Financial Review pages 108 to 114. Report on Related Party Transactions of the Key Management Personnel and their Close Family Members appearing on pages 367 to 373. Statement of Directors' Responsibility for Financial Reporting on page 229. Report of the Auditor General on pages 230 to 234. Management Discussion and Analysis under Financial Review on pages 108 to 114.
D.2	Process of risk management and a sound system of internal control to safeguard shareholder's investments and the Bank's assets. The Board is responsible for determining the nature and extent of the principal risks that it is willing to take in achieving its strategic objectives and the Board Integrated Risk Management Committee is there to facilitate the Board in fulfilling its oversight responsibilities in regard to the existence, operation and effectiveness of the risk management programmes, policies and practices employed by the Bank to manage various types of risks, including compliance programmes. There is a Risk Management framework to identify, assess, monitor and manage risks with clear delegation of responsibilities to ensure its effectiveness in supporting achievements of the strategic, operational and financial objectives of the Bank. The Board monitors the Bank's risk management and internal control systems through the Integrated Risk Management Committee and Audit Committee respectively and carries out a review of the said Committees' effectiveness annually. The Board Audit Committee assists the Board in achieving the objective of the Bank's system of internal controls including operational, financial and compliance among other responsibilities of the Committee. Bank of Ceylon has a well-equipped Internal Audit Department to carry out the internal audit function of the Bank. The Auditor General is the External Auditor of the Bank. The annual statutory audit is carried out by National Audit Office or appointed qualified independent auditor under the supervision of the Auditor General.

Sections referred to in the Code	Compliance status
Section 3(6) of the Banking D.3	**Audit Committee** The Board Audit Committee comprised exclusively of Non-Executive Directors during the year under review. The Chairman of the Committee is an Independent Non- Executive Director. The Chairman and the members of the Audit Committee had relevant experience in financial reporting and control. The changes in the Audit Committee during the year are indicated in the Audit Committee Report on pages 180 and 181. The Board Audit Committee assists the Bank's Board in fulfilling its oversight responsibilities.
	The Board Audit Committee ensures the carrying out of the reviews of the processes and effectiveness of risk management and internal controls and audit reports are submitted to the Committee. The role and responsibilities of the Audit Committee are disclosed in the Audit Committee Report appearing on pages 180 to 181 of this Annual Report. The Audit Committee has a written Terms of Reference which clearly defines its role and responsibilities and it was reviewed during the year. The activities performed by the Committee during the year under review appear on pages 180 to 181 of this Annual Report.
D.4	**Integrated Risk Management Committee (IRMC)** IRMC oversee the risk culture, risk appetite, risk identification and classification, rating and management of risk. The Committee composition and the activities carried out during the year are indicated in pages 182 to 183.
D.5	**Related party transactions** The Bank has a Board approved policy on related party transactions in place covering related parties, their transactions and restrictions on offering more favourable treatment to related parties in order for the Board members to avoid any conflict of interest in this regard. The newly established Board Related Party Transactions Review Committee, consists of a minimum of three (3) Non-Executive directors, out of which two are independent directors as defined by the CSE Listing Rules. Five meeting were held during the year 2025. The Report on the Related Party Transactions of the Key Management Personnel and their Close Family Members appear on page 190 of this Annual Report.
D.6	**Code of Business Conduct and Ethics** The Bank maintains a Code of Ethics for the employees of the Bank and a separate Code of Business Conduct and Ethics for the Directors and an acknowledgement is obtained for affirmation of compliance with the Codes. A Whistleblowing Policy is in place which enables prompt reporting of illegal and fraudulent reporting. These policies were reviewed during the year.
D.7	**Corporate Governance disclosures** The Corporate Governance Report which is appearing on pages 162 to 179 discloses the extent to which the Bank adheres to established principles and practices of corporate governance. Compliance with the provisions of the Code of Best Practice on Corporate Governance is indicated in this report.
F	**Shareholder**
F.1 and F.2	The Government of Sri Lanka is the sole shareholder of the Bank.
G	**Internet of things and cybersecurity** The Bank has a process in place to identify as to how the Bank's business model, IT devices within and outside the Bank can connect to the Bank's network to send and receive information and the consequent Cybersecurity risks that may affect the business. A Board approved Information Security Policy is in place which provides the management with direction and support to ensure protection of the Bank's information assets. In addition, the Integrated Risk Management Committee assists the Board in ensuring that the Bank is protected from Cybersecurity threats by recommending and following up on vulnerability assessments and reporting to the Board. Processes to identify and manage Cybersecurity risks are included in the Risk Management Report of this Annual Report on pages 182 to 183. The Bank has appointed a Chief Information Security Officer, in order to implement the Cybersecurity Risk Management Policy. The Board Information and Communication Technology Committee assists the Board of Directors in fulfilling its oversight responsibilities related to information and communication technology and provides appropriate advice and recommendations to facilitate decision-making by the Board in regard to Cybersecurity measures amongst others.
H	Sustainability: ESG Risk and Opportunities.

COMPLIANCE WITH CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE 2023 ISSUED BY CA SRI LANKA

Sections referred to in the Code	Compliance status
	A Sustainability Committee has now been established to better manage this area. ESG related disclosures appear in pages 75 to 84 of this Annual Report.
I	**Establishment and Maintenance of Policies**
I.1 & 1.2	Policies relating to following areas are in place (a) Matters relating to the board of directors (b) Board committees (c) Corporate governance, nominations, and re- election (d) Remuneration (e) Internal code of business conduct and ethics for all directors and employees, including policies on trading in the entity's listed securities (f) Risk management and internal controls (g) Relations with shareholders and investors (h) Environmental, social and governance sustainability (i) Control and management of company assets and shareholder investments (j) Corporate disclosures (k) Whistleblowing (l) Anti-bribery and corruption

COMPLIANCE REQUIREMENTS AS PER BANKING ACT DIRECTION NO. 05 OF 2024

Section	Direction and Implementation details	Complied
1.1	**Responsibilities of the Board**	
	The Board shall exercise "duty of care" and "duty of loyalty" to the bank with a view to strengthening the safety and soundness of the bank by ensuring the implementation of the following:	
	a) Approve and oversee the bank's strategic objectives and corporate values in terms of bank's long-term goals and ensure that these are properly communicated throughout the bank; Strategic objectives are formulated and values are reviewed at sessions held with the participation of the Board and the Key Management Personnel. The Board approved Strategic Plan together with the corporate values were communicated across the Bank, including branch-level employees, at a dedicated strategy session at an offsite location where the Strategic Plan was launched and reinforced by the Board of Directors and Corporate Management Team. Other staff were made aware on the Bank's strategic agenda through regular briefing sessions and at meetings. The Board approved the Strategic Plan for 2026 - 2030 and the Budget for 2026 is in place. The Corporate values are communicated to all employees via the intranet.	✓
	b) Approve the overall business strategy of the bank, including the overall risk policy and risk management procedures and mechanisms with measurable goals, at least for the next three years; The Bank's overall Business Strategy is included in the rolling Strategic Plan prepared for a period of five years and the related Action Plan for the same period is prepared and approved by the Board. The risk appetite, risk management framework and mechanisms have also been approved by the Board aligned to the aspirations of the Measurable goals for the Bank as a whole have been set and performance is measured in line with these goals.	✓
	c) Inculcate a strong risk governance culture by;	
	(i). identifying the principal risks and ensuring implementation of appropriate systems to manage risks prudently During 2025, the Bank maintained a robust risk identification and management framework in full compliance with this direction. The Board, through the Integrated Risk Management Committee (IRMC), conducted quarterly reviews to identify principal risks, including credit, market, operational, liquidity, cyber, socio-environmental and reputational risks, informed by internal assessments, external economic and other trends in Sri Lanka, and regulatory updates from the Central Bank of Sri Lanka (CBSL). This process involved collaboration with the Independent Integrated Risk Management Division (IIRMD), which utilized advanced tools such as stress testing models and scenario analysis to prioritize risks based on likelihood and impact. To ensure prudent management, the Bank utilized enhanced systems, including the Integrated Risk Management System, a platform integrated with core systems of the Bank for risk analysis and monitoring. Key initiatives included continuous risk training to employees while substantive investments were made in order to strengthen the Bank's cybersecurity defenses amid rising digital threats. A Board approved Integrated Risk Management Policy covering all areas of major risks is in place. The following reports also provide further details in this regard: • Risk Management Report on pages 191 to 216 • Integrated Risk Management Committee Report on pages 182 and 183	✓
	(ii). establishing well-defined organizational responsibilities for the three lines of defence of the bank, viz., a. **the business lines** The business units remain primarily responsible for identifying, owning and managing risks arising from their activities, maintaining effective operational controls, and ensuring day-to-day compliance with approved policies, procedures, and delegated authorities. b. **the risk management function and the compliance function which are independent from the first and third lines of defence, and,** The Risk Management and Compliance functions operate independently of the first and third lines of defence and provide oversight by developing and maintaining risk management and compliance frameworks, monitoring adherence to regulatory and internal requirements, conducting independent reviews, and advising Management and the Board on risk and compliance matters.	✓
	c. the internal audit function which is independent from the first and second lines of defence. Internal Audit operates independently of the first and second lines of defence and provides objective assurance to the Board and Management on the adequacy and effectiveness of governance, risk management, and internal controls through risk-based audits, reporting of audit observations, and follow-up on agreed corrective actions	

COMPLIANCE REQUIREMENTS AS PER BANKING ACT DIRECTION NO. 05 OF 2024

Section	Direction and Implementation details	Complied
	(iii). ensuring that the risk management, compliance, and internal audit functions are properly positioned, sufficiently staffed and resourced to carry out the responsibilities independently, objectively and effectively. The responsibilities of risk management, compliance and internal audit functions are provided in Schedule II, III and IV, respectively; The Bank has fully aligned with this requirement by structuring the three functions as independent units, Risk and Compliance reporting directly to the IRMC and Audit to the Audit Committee (AC), ensuring separation from business lines as per the three lines of defense model. The Risk Management function is led by a Chief Risk Officer (CRO) with extensive Banking experience and expertise, supported by a team of risk professionals. The compliance function is led by the Chief Compliance Officer (CCO) and operates independently from all the operational levels of the Bank, reporting directly to the Integrated Risk Management Committee. The decision proactively identifies, assesses, manages and mitigates compliance risks by ensuring adherence to all applicable laws rules and regulations. The Internal Audit function, control evaluation and fraud detection are enhanced by external consultants for specialized audits, It conducted 1,895 audits, covering 80% of operations, with findings addressed within 90 days on average. Overall, these functions are adequately resourced and operate independently, with regular Board oversight.	✓
	(iv). defining the risk appetite of the bank aligning with the bank's strategic, capital, and financial plans, which is articulated through a Risk Appetite Statement During the year 2025, the Board approved and reviewed the Bank's Risk Appetite Statement (RAS), ensuring alignment with the strategic plan focusing on sustainable growth, digital transformation, and SME and Private Sector lending. The RAS defined quantitative limits and qualitative criteria, covering all risks including maximum NPL ratio, Liquidity Coverage Ratio (LCR), and Capital Adequacy Ratio (CAR), integrated with capital plans for the achievement of targeted equity and financial ratios. Implementation involved cascading the RAS across departments via dashboards and key risk indicators (KRIs), monitored monthly/quarterly by the IRMC, resulting in prudent portfolio adjustments that avoided high-risk exposures and supported a 9.7% asset growth while maintaining CAR at 16.89%.	✓
	(v). outlining the actions to be taken when stated risk appetite limits are breached, including disciplinary actions for excessive risk taking, escalation procedures and notifications to the Board of directors. Any breaches to the Bank's risk appetite statements are duly reported to the Board of Directors for timely actions. Actions range from corrective measures like portfolio rebalancing to disciplinary steps, such as performance deductions or termination for willful excessive risk-taking, as per the Code of Conduct. No major breaches were recorded during the year 2025.	✓
d)	Establish a policy to ensure that the Board is not dominated or significantly influenced by a director or a group of directors in a manner that is detrimental or prejudicial to the interests of the depositors, creditors, and the bank as a whole; The relevant governance safeguards are comprehensively set out in the Board Charter, which provides a clear framework for balanced decision-making and independent judgement through, inter alia, the role and the responsibilities of the Chairman, the respective roles of the Board and Management, the functions of the Board, the powers delegated to Management, accountability and reporting lines, the responsibilities of the General Manager, and provisions relating to appraisal, etc. Collectively, these arrangements support effective oversight, prevent undue influence, and safeguard the interests of depositors, creditors, and the Bank.	✓
e)	Approve implementation of a policy of communication with all stakeholders, including regulators, depositors, creditors, shareholders, and borrowers; The Board approved Communication Policy, which sets out guidelines for interaction with all stakeholders is in place and implemented.	✓
f)	Review the adequacy and the integrity of the bank's internal control systems and management information systems; The Board Audit Committee, which reports directly to the Board, is entrusted with reviewing the adequacy and integrity of the Bank's internal control system over financial reporting. In carrying out this responsibility, the Committee evaluates reports received from the Internal Audit Division, which reports directly to the Audit Committee, as well as from the external auditors. The Board Audit Committee also regularly monitors and follows up on regulatory findings as part of its efforts to further strengthen the internal control framework. The Internal Audit Division is additionally responsible for conducting information systems audits to provide independent and objective assurance on the effectiveness of the Management Information System (MIS). Through this process, the Board has reviewed and assessed the adequacy of both the MIS and the overall internal control system.	✓

Section	Direction and Implementation details		Complied
	g)	Ensure implementation of effective control systems for managing the related party exposures and avoiding any conflicts of interest that may arise from related party transactions; During the year, the Bank strengthened its control framework for managing related party exposures and preventing conflicts of interest arising from related party transactions. Related Party Transaction Review Committee conducted five meetings during the year.	✔
	h)	Approve and oversee the business continuity and disaster recovery plans to ensure financial stability, operational resilience and preserve critical operations and services including core-banking systems during any disruptive event; In 2025, the Board approved an updated Business Continuity Plan (BCP) and Disaster Recovery Plan (DRP), with oversight through annual reviews. The plans covered natural disasters, cyber threats and pandemics, prioritizing core-banking systems, ATM networks, and digital channels. Key elements included redundant data centers in an offsite location, with Recovery Time Objectives (RTO) under 2 hours and recovery point objectives (RPO) under 0 or near 0 hour. Full-scale drill, has been successfully completed during the year 2025, which has been validated by the audit and CBSL feedback, ensuring business continuity and resilience amid climate related uncertainties.	✔
	i)	Oversee the approach to remuneration, including monitoring and reviewing remuneration and ensure alignment of remuneration with bank's risk culture and risk appetite; During the year, the Board, through its oversight of the Bank's remuneration framework, ensured that remuneration practices remain aligned with the Bank's risk culture and risk appetite and do not encourage excessive risk-taking. In further strengthening this framework, the Bank introduced a Clawback Policy, enabling the recovery of variable remuneration where warranted, thereby reinforcing accountability and prudent risk-taking across the organisation. Remuneration arrangements are governed through a Board-approved Remuneration Policy for Key Management Personnel (KMPs), while remuneration for other employees is administered under a Collective Agreement, which is reviewed and revised once every three years.	✔
	j)	Identify and designate key management personnel, who are in a position to; (i). significantly influence over policies, (ii). direct activities, and, (iii). exercise control over business activities, operations, and risk management. The Bank has identified employees in the grade of Assistant General Manager and above and those in allied grades as Key Management Personnel (KMP) of the Bank for corporate governance purposes.	✔
	k)	Define the areas of authority and key responsibilities for the Board of directors themselves and for the Chief Executive Officer (CEO) and the key management personnel; Areas of authority and key responsibilities have been defined for the Directors and KMP through the Board Charter and job descriptions of KMP. A Board approved Board Charter is in place.	✔
	l)	Ensure that there is appropriate oversight of the affairs of the bank by CEO and key management personnel, who is consistent with the Board's strategies and policies; Performance against the Bank's Strategic Plan is reviewed by the Board based on the Action Plan. General Manager and key management personnel make presentations where necessary to the Board on matters under their purview and are also called in by the Board as and when needed to explain matters relating to their areas.	✔
	m)	Periodically assess the effectiveness of the Board of directors' own governance practices, including: (i). the selection, nomination and election of directors, CEO, and key management personnel; (ii). the management of conflicts of interests: and, (iii). identification of weaknesses and implementation of improvements where necessary; A self-evaluation of the performance of the Board is carried out bi-annually assessing its own governance practices. The areas that need improvements are identified and followed up. A Board approved Policy for the Appointment of Directors to the Board of Bank of Ceylon is in place. A Board approved Conflict of Interest Policy is in place.	✔

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Section		Direction and Implementation details	Complied
	n)	Approve the criteria for self-assessment to be undertaken by each director annually and maintain records of such assessments. In line with enhanced governance practices, the Bank has conducted Director self-assessments biannually from 2025, and the process has been digitalised to improve consistency, ease of completion, confidentiality, and the maintenance of assessment records for reporting and follow-up actions.	✓
	o)	Ensure that the bank has an appropriate succession plan for CEO and the key management personnel as explained in Direction 6.4 (i); A Board approved succession plan for CEO (General Manager) and other KMP is in place which was reviewed, revised and recommended to the Board by the Nomination and Governance Committee.	✓
	p)	Meet regularly, on a needs basis, with CEO and the key management personnel to review policies, establish communication lines and monitor progress towards corporate objectives; Key Management Personnel are regularly present or are called in for discussions at Board meetings and subcommittee meetings on policy and other matters relating to their areas. Progress towards the corporate objectives are monitored based on the Strategic Plan. Half yearly assessment against Strategic Plan objectives is reported and discussed in detail.	✓
	q)	Keep abreast of material changes in the regulatory environment and ensure that the bank maintains an effective relationship with regulators; On appointment of Directors they are furnished with all applicable regulatory requirements pertaining to the Bank given with the ''Board Manuel given in e-form''. The Board members are also briefed about the developments in the regulatory environment at board meetings to ensure that their knowledge is updated regularly to facilitate effective discharge of the responsibilities. Any relevant communication from a regulator is brought to the notice of the Board and they attend any meetings/training sessions/ workshops/ seminars arranged by the regulators. The Board is informed of regulatory requirements pertaining to Chennai, Maldives and Seychelles Branches' operations as well as of Bank Ceylon (UK) Limited through the reports submitted on the performance of overseas branches and subsidiaries.	✓
	r)	Exercise due diligence in the hiring and oversight of external auditors; As provided for in the constitution of the country the Auditor General the external auditor of the Bank as it is a state owned enterprise.	✓
	s)	Conduct itself in a professional and an ethical manner and shall not receive any undue financial or non-financial benefits including incentives, gifts or funds from the employees, customers, suppliers, shareholders or any other stakeholder of the bank; During the year, the Board continued to uphold the highest standards of professionalism and ethical conduct, and ensured that Directors do not solicit or accept any undue financial or non-financial benefits, including incentives, gifts, or funds, from employees, customers, suppliers, shareholders, or any other stakeholder of the Bank. This is reinforced through the Bank's Anti-Bribery and Corruption Policy, which includes specific clauses governing gifts and other benefits, setting out clear standards, disclosure and approval requirements, and safeguards to prevent improper influence and maintain integrity in all dealings.	✓
	t)	Inculcate a sound corporate culture which reinforces norms for professional, ethical and prudent behaviour throughout the bank. Approve and oversee the implementation of a Code of Conduct based on corporate values providing clear guidelines on professionally and ethically acceptable behaviours of directors and employees addressing inter alia the issues on confidentiality of data, conflicts of interest, procedures for dealing with financial and non-financial benefits and gifts, integrity in reporting, and the fair treatment to customers; Board continued to foster a strong corporate culture anchored on the Bank's values and reinforced across the organisation through Board oversight of the conduct and ethics framework applicable to Directors and employees. This framework is implemented through the Employee Code of Conduct, Code of Business Conduct and Ethics for Directors, Conflict of Interest Policy, Anti-Bribery and Corruption Policy (including provisions on gifts and benefits), the Customer Charter, Personnel Data Protection Policy, and the Information Security Policy, supporting consistent standards of behaviour, accountability, and fair customer outcomes. In addition, the Bank has appointed a Personal Data Protection Officer to strengthen governance and oversight of data protection compliance.	✓
	u)	Ensure timely rectification of the supervisory concerns raised by the regulator/s and for this purpose, the assistance of the relevant subcommittees shall be sought; The progress of rectifying supervisory concerns is regularly reported to, monitored, and reviewed at the Board Audit Committee meetings, ensuring timely follow-up, accountability, and effective closure of agreed actions. The assistance of relevant subcommittee is sought where relevant.	✓

Section	Direction and Implementation details	Complied
	v) Approve a whistleblowing policy with a view to encouraging employees to communicate confidentially the legitimate concerns regarding illegal, unethical or questionable practices without the risk of reprisal. The policy shall be reviewed at least on an annual basis. The whistleblowing policy shall clearly specify: (i). the persons to whom the concerns can be escalated within the bank; (ii). procedures for investigating legitimate material concerns raised by the employees; (iii). procedures to ensure protection and anonymity of the employees who raise concerns due to any detrimental treatment or reprisals; and, (iv). alternative avenues for whistleblowing to regulators. The Policy was reviewed during the year.	✓
	w) Promote sustainability through appropriate environmental, social and governance considerations in the bank's business strategies and ensure that policies are in place to assist businesses that are greener, climate-friendly and socially inclusive. The Board Sustainability Committee is now established and is functional in 2026 and oversight of sustainability matters is handle through this committee. During the year the Bank continued to operationalize its Sustainability Policy, ESG Policy and Sustainable Finance Framework, including the issuance of Sri Lanka’s largest Sustainability Bond. Environmental and social risk assessments are integrated into credit appraisal processes through the Bank’s Environmental and Social Management System (ESMS).	✓
1.2	**Appointing Chairperson and CEO**	
	The Board shall appoint the Chairperson and CEO and define and approve the functions and responsibilities of the Chairperson and CEO in line with Direction 5 of these Directions. The current Chairman was appointed by the Minister under whose purview the Bank falls, in accordance with the provisions of the Bank of Ceylon Ordinance No. 53 of 1938 and its subsequent amendments. The Board is vested with the authority to appoint the Chief Executive Officer referred to as the General Manager in the Bank of Ceylon with the approval of the said Minister. The functions and responsibilies of the Chairman and General Manager are clearly defined in the Board Charter, which is in place. Mr W P R P H Fonseka, who was appointed as the General Manager of Bank of Ceylon with effect from 14 January 2023 continued his service till 05 August 2025. A Promotion Policy for selection for the position of the General Manager of the Bank is in place. Mr Y A Jayathilaka, former Deputy General Manager (Product and Development Banking) is the current CEO/ GM of the Bank.	✓
1.3	**Board Meetings**	
	The Board shall meet at approximately monthly intervals and Board meetings shall be held at least twelve times a year. Such regular Board meetings shall normally involve active deliberation of a majority of directors entitled to be present. Obtaining the Board’s consent through the circulation of written resolutions/papers shall be avoided as far as possible. The Board approvals obtained through circulation shall be ratified at the Board meeting held immediately following the circulation. The Board may convene and/or a Board member may attend the Board meetings virtually subject to ensuring active involvement of the relevant directors and attending Board meetings physically at least on a half yearly basis. Regular fortnightly Board meetings are held and Special meetings are scheduled as and when the need arises. During the year the Bank met thirty first times (31) including Special meetings. The Bank endeavours to minimise obtaining approval via circular resolutions and it is done only on an exceptional basis and such resolutions are ratified by the Board at the next meeting. During the year 2025, fifty (50) such resolutions have been adopted by circulation.	✓
1.4	**Board Procedures**	
	a) The Board shall ensure that arrangements are in place to enable all directors to include matters and proposals in the agenda for regular Board meetings where such matters and proposals relate to the promotion of banking business, risk management and conduct of employees of the bank. Meetings are scheduled at the beginning of each calendar year and the Board is duly informed to enable submission of proposals to the agenda for regular Board meetings.	✓
	b) The Board procedures shall ensure that notice of at least 7 days is given of a regular Board meeting to provide all directors an opportunity to attend. For all other Board meetings, reasonable notice may be given. Notice of meetings are given through an Annual Calendar at the beginning of the year. Additionally, before every meeting another notice is sent giving more than seven days’ notice. Reasonable notice is given before any special meeting and consent of all Directors is obtained prior to scheduling a special meeting.	✓

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Section	Direction and Implementation details		Complied
	c)	The Board procedures shall ensure that a director who has not attended at least two-thirds of the meetings in the period of 12 months immediately preceding or has not attended the immediately preceding three consecutive meetings held, shall cease to be a director. Participation at the Board meetings through an alternate director shall, however, be acceptable as attendance. The Directors are apprised of the need for their attendance to be in accordance with the Corporate Governance Code. Details of the Directors' attendance are set out on page 173 Directors' attendance has been in compliance with this Direction.	✔
1.5	**Appointing a Company Secretary**		
	a)	The Board shall appoint a company secretary who satisfies the provisions of Section 43 of the Banking Act, whose primary responsibilities shall be to handle the secretariat services to the Board and shareholder meetings and to carry out other functions specified in the statutes and such other written laws for the time being in force The Secretary, Bank of Ceylon/Secretary to the Board is an Attorney -at- Law, whose credentials/ qualifications are in compliance with the provisions of Section 43 of the Banking Act No. 30 of 1988 and its amendments.	✔
	b)	All directors shall have access to advice and services of the company secretary with a view to ensuring that Board procedures and all applicable laws, rules and regulations are followed. All members of the Board have the opportunity to obtain the advice and services of the Secretary to the Board who is an Attorney-at- Law and is responsible to the Board for follow-up of Board procedures, compliance with rules and regulations, directions and statutes.	✔
	c)	The company secretary shall implement the recommendations made by the Nomination and Governance Committee on training, capacity building and professional development programs for the directors NGC is instrumental in carrying out these responsibilities. The Chairman and Directors attended both local and overseas training programs/ workshops/ seminars/ awareness sessions on finance, corporate governance, AI and statutory/ regulatory compliances during the year under review. Directors attended a total of such twenty six (26) training programmes during the year.	✔
	d)	The company secretary shall maintain the minutes of Board meetings together with the recordings of meetings and such minutes shall be open for inspection at any reasonable time, on reasonable notice by any director or the regulator. Board minutes are maintained as required and available for inspection. The minutes are circulated to all Board members through a secure e-Solution. The minutes are approved at the subsequent Board meeting. Additionally, the Directors have access to past Board papers and minutes through the same e-Solution.	✔
1.6	**Maintenance of Board Meeting Minutes**		
	Minutes of Board meetings shall be recorded in sufficient detail so that it is possible to gather from the minutes as to whether the Board acted with due care and prudence in performing its duties. The minutes shall also serve as a reference for regulatory and supervisory authorities to assess the depth of deliberations at the Board meetings. Therefore, the minutes of a Board meeting shall clearly contain or refer to the following:		✔
	a)	a summary of data and information and justifications/rationale used by the Board in its deliberations;	
	b)	the matters considered by the Board;	
	c)	the fact-finding discussions reflecting the issues of contention or dissent which may illustrate whether the Board was carrying out its duties with due care and prudence;	
	d)	the testimonies and confirmations of relevant key management personnel which indicate compliance with the Board's strategies and policies and adherence to relevant laws and regulations appropriately;	
	e)	the Board's knowledge and understanding of the risks to which the bank is exposed to, and an overview of the risk management measures adopted; and,	
	f)	the Board resolutions and decisions. Minutes of the meetings are kept in accordance with the given criteria	
1.7	**Obtaining Independent Professional Advice**		
	There shall be a procedure agreed by the Board to enable directors, upon reasonable request, to seek independent professional advice in appropriate circumstances, at the bank's expense. The Board shall resolve to provide separate independent professional advice to directors to assist the relevant director or directors to effectively discharge the duties. A Policy for Directors' Access to Independent Professional Advice was reviewed. The Directors are able to obtain independent professional advice when deemed necessary based on this policy.		✔

Section	Direction and Implementation details	Complied
1.8	**Managing Conflicts of Interest**	
	a) Directors shall avoid conflicts of interest, or the potential conflicts of interest, in the activities with, and commitments to, other organisations, related parties and other stakeholders.	✓
	b) A director shall abstain from participating in any discussion in relation to a matter in which he/she or any of his/her close relation or a concern in which he/she has substantial interest, is interested, nor shall receive the access to the information pertaining thereto, including accessing such information both physically and/or electronically.	✓
	c) Directors shall ensure that the relationships between the directors amongst themselves as well as between the directors, CEO and key management personnel are at a level that does not result in excessive familiarity, undue influence or coercion.	✓
	d) The Board shall approve and oversee the implementation of a policy to identify and manage conflicts of interests, which shall include:	✓
	(i). a Board member's duty to promptly disclose any matter that may result, or has already resulted, in a conflict of interest;	✓
	(ii). a Board member's duty to avoid, to the extent possible, activities that could create conflicts of interest or the potential conflicts of interest including political affiliations;	✓
	(iii). situations where conflicts may arise when serving as a Board member;	✓
	(iv). a Board member's responsibility to abstain from participating in discussions on any Board decisions in relation to which he/she or any of his/her close relations or a concern in which he/she has substantial interest, is interested; and,	✓
	(v). the measures to be taken in the event of any non-compliance with the policy. In situations involving a potential conflict of interest, Directors remain mindful of their obligation to act in accordance with applicable laws and regulations. A Board-approved Policy on Conflict of Interest governs such matters. At each Board meeting, Directors formally declare any interests in contracts, new appointments, or resignations relating to other boards or institutions. Where a conflict arises, the relevant Director abstains from deliberations and refrains from expressing views or participating in the approval process.	✓
1.9	**Requirement to inform on inability to meet obligations**	
	The Board shall, if it considers that the bank is, or is likely to be, unable to meet its obligations or about to become insolvent or is about to suspend payments due to depositors and other creditors, forthwith informthe Director of Bank Supervision of the situation ofthe bank prior to taking any decision or action. Such a situation has not arisen during the year 2025. Monthly Financial Statements submitted to the Board assures the Board of the Bank's solvency.	
1.10	**Compliance with Prudential Requirements**	
	The Board shall ensure that the bank is capitalized at levels as required by the Central Bank of Sri Lanka in terms of the capital adequacy ratio and other prudential requirements imposed by the Central Bank of Sri Lanka from time to time. The Board ensures that the Bank maintains capital levels in compliance with the requirements stipulated by the Monetary Board, including adherence to the prescribed Capital Adequacy Ratio (CAR) and other prudential thresholds. The computation of the CAR is presented to the Board monthly, together with the Bank's Financial Statements, to facilitate ongoing oversight.	✓
1.11	**Annual Corporate Governance Report**	
	The Board shall publish in the bank's Annual Report, an Annual Corporate Governance Report setting out the compliance with these Directions. These disclosures are part of the Corporate Governance Report in the Bank's Annual Report (Refer to page 162)	✓
2.	**Board's Composition**	
	The Board's composition shall ensure a healthy mix of knowledge, qualifications, skills, experience in relevant disciplines, gender and have varied backgrounds to promote diversity of views commensurate with the size, scale, diversity and complexity of operations of the bank. The qualifications and experience shall be in banking, finance, economics, accounting, business administration, information technology, risk management, law or any other relevant discipline as may be determined by the Central Bank of Sri Lanka. The present Board is comprised of members with diverse qualifications and experience across relevant disciplines, ensuring a balanced mix of skills, expertise, and perspectives including diversity. Please refer to page 32 to 39 of this Report for detailed profiles of the Board of Directors.	✓

COMPLIANCE REQUIREMENTS AS PER BANKING ACT DIRECTION NO. 05 OF 2024

Section	Direction and Implementation details	Complied
2.1	**Procedure for Appointing Directors**	
	a) There shall be a formal and transparent procedure for the appointment of new directors to the Board. There shall also be Board approved procedures in place for the orderly succession of appointments to the Board. With the implementation of reforms of State Owned Banks (SOB), the appointments to the Board of Bank of Ceylon will be by the Board Nomination and Governance Committee (NGC). The NGC identifies and evaluates potential candidates through a transparent, objective and merit-based process, conducts necessary background checks, and assesses fitness and propriety in line with regulatory guidelines. A Board-approved policy on the appointment of Directors sets out this procedure and outlines the requisite skills, experience and knowledge required for Board membership. The NGC submits shortlisted candidates to the Board for consideration and approval. Upon endorsement by the Board, names of suitable candidates are forwarded to the Minister for formal appointment, with letters of appointment issued through the Ministry complying with Bank of Ceylon Ordinance requirements. Directors appointed by virtue of their official position are recognised as Ex-Officio Directors. The number of Directors is determined in accordance with Banking Act Determination No. 03 of 2024, and the Bank of Ceylon is required to maintain a minimum of ten Directors. Presently the Board is comprised of 11 directors.	✓
	b) A Director or an employee of a bank shall not be appointed, elected or nominated as a director of another bank except where such bank is a subsidiary company or an associate company of the first mentioned bank.	✓
2.2	**Number of Directors**	
	a) The number of directors on the Board shall not be less than 7 and not more than 13. The number of directors shall be commensurate with the size, scale, diversity and complexity of operations of the bank. The Board as at 31.12.2025 and currently comprises 11 Directors	✓
	b) The Board shall have at least one female representative by 31.12.2025 and the Boards with more than 10 members shall have at least two female representatives by 31.12.2026. At present, the Board comprises eleven members, including one female Director. Steps will be taken to increase female representation to two Directors by 31 December 2026, in line with the Board's commitment to enhance gender diversity.	✓
2.3	**Executive Directors**	
	A member of the key management personnel of the bank may be appointed, elected or nominated as a director of the bank (hereinafter referred to as an "executive director") provided that the number of executive directors shall not exceed one-third of the number of directors of the Board. In such an event, one of the executive directors shall be CEO of the bank. Not applicable since the Bank of Ceylon Ordinance does not provide for Executive Directors in Bank of Ceylon.	
2.4	**Non-Executive Directors**	
	Non-executive directors shall be suitable professionals with credible track record of good conduct and integrity and have necessary knowledge, skills and experience to bring an independent judgment to effectively address issues of strategy, performance and resources and to contribute towards the sustainability of the bank. All members of the Board are Non-Executive Directors and comply with the aforementioned qualification requirements.	✓
2.5	**Independent Directors**	
	a) At least half of the total number of directors shall be independent non-executive directors. Licensed banks shall comply with this Direction by 01.01.2027. As at 31.12.2025 the Board comprises eleven (11) Non-Executive Directors, of whom five (5) are classified as Non-Independent Directors and six (6) are classified as Independent Directors.	✓
	b) A non-executive director shall not be considered independent if he/she:	✓
	(i) has direct and indirect voting and/or non-voting shareholdings of more than 1 per cent of the bank; (ii) currently has or had during the period of two years immediately preceding his/her appointment as director, any business transactions with the bank as described in Direction 7.2, exceeding 10 per cent of the regulatory capital of the bank;	
	(iii) has been employed by the bank during the two-year period immediately preceding the appointment as director; (iv) currently has or had during the period of two years immediately preceding his/her appointment as director, a material business relationship with the bank;	

Section	Direction and Implementation details	Complied
	(v) has a close relation who is a director or CEO or a member of the key management personnel or a material shareholder of the bank. For this purpose, a "close relation" shall mean the spouse or a dependent child; (vi) represents a specific stakeholder of the bank; (vii) is an employee or a director or a material shareholder or has a material business relationship in a company or business organization; (a) which currently has a transaction with the bank as defined in Direction 7.2 of these Directions, exceeding 10 per cent of the regulatory capital of the bank, or (b) in which any of the other directors of the bank are employed or are directors or are material shareholders except for the appointments recommended by the financial sector authorities, or, (c) in which any of the other directors of the bank have a transaction as defined in Direction 7.2, exceeding 10 per cent of regulatory capital in the bank. (viii) currently is or has been during the period of one year immediately preceding his/her appointment as director, serving as a consultant/ advisor or principal consultant/advisor in the case of a firm providing consultancy to the bank; and, (ix) currently is or has been during the period of one year immediately preceding his/her appointment as director, an engagement partner of a firm providing audit services to the bank.	
	c) The independent non-executive directors shall be expressly identified in all corporate communications that disclose the names of directors of the bank. As per the interpretation of the Central Bank of Sri Lanka, in regard to the "Independent director", as stated in Direction no. 2.5 (a), the following directors are considered as "independent"- (i) Mr Darshana Gunasekera (ii) Mr Thulci Aluwihare (iii) Ms Sharmini Ratwatte (iv) Mr Dharshan Jayaratne (v) Mr Sunimal Weerasooriya (vi) Prof. Ananda Jayawardane	✔
2.6	**Representation through Alternate Directors**	
	a) Representation through an alternate director is allowed only in exceptional circumstances as approved by the Board for a maximum period of one year from the date of such appointment with prior approval of the Director of Bank Supervision under the provisions of Section 42 of the Banking Act.	
	b) In the event an alternate director is appointed to represent an independent director, the person so appointed shall also meet the criteria that applies to the independent director.	
	c) An existing director of the bank cannot be appointed as an alternate director to another existing director of the bank.	
	d) An individual appointed as an alternate director to one of the directors cannot be appointed as an alternate director to another director in the same Board. No alternate director has been appointed to represent any director.	
2.7	**Quorum for the Board Meetings**	
	At least half of the Board members shall constitute the quorum for the Board meetings. A meeting of the Board shall not be duly constituted, although the number of directors required to constitute the quorum at such meeting is present, unless more than one third of the number of directors present at such meeting are independent non-executive directors. Licensed banks shall comply with this Direction by 01.01.2026.	✔
3.	**Suitability of Directors**	
	A person who serves or wishes to serve as a director of a licensed bank shall comply with the following requirements.	
3.1	**Criteria to Assess Fitness and Propriety**	
	The provisions of Section 42 and Section 76H of the Banking Act shall apply to determine the fitness and propriety of a person who serves or wishes to serve as a director of a licensed bank. Non-compliance with any criteria set out therein shall disqualify a person to be appointed, elected or nominated as a director or to continue as a director. The prior approval of the Director of Bank Supervision shall be obtained for the fitness and propriety of each person to be appointed, elected or nominated as a director of a licensed bank in terms of Section 42 and Section 76H of the Banking Act.	✔
3.2	**Additional Requirements for Suitability of Directors**	
	a) The age of a person who serves as a director shall not exceed 70 years. None of the Directors are over 70 years of age.	✔

COMPLIANCE REQUIREMENTS AS PER BANKING ACT DIRECTION NO. 05 OF 2024

Section	Direction and Implementation details	Complied
	b) The total period of service of a director other than a director who holds the position of CEO or key management personnel position shall not exceed nine years. All Directors of the Bank of Ceylon have served for periods of less than nine (09) years. Details of their appointments, cessations and resignations are set out in the Annual Report on page 173.	✔
	c) A person shall not hold office as a director of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the bank. No Director holds directorships of more than 20 companies/ entities, etc. A declaration is obtained in this regard upon their appointment to the Board of Bank of Ceylon and at the year end.	✔
	d) Directors shall have sufficient time to carry out the responsibilities as a director of the bank. Each Director ensures the availability of adequate time and commitment to effectively perform the roles and responsibilities of a Director of the Bank.	✔
3.3	**Cooling-Off Period**	
	A director or CEO of a licensed bank operating in Sri Lanka shall not be appointed as a director or CEO of another licensed bank operating in Sri Lanka before the expiry of a period of six months from the date of cessation of his/her office at the licensed bank in Sri Lanka. Any variation thereto in exceptional situations such as where expertise of retiring bankers may be required when reconstituting Boards of licensed banks which need restructuring, shall be subject to the prior approval of the Central Bank of Sri Lanka. This situation has not arisen during the year under review.	✔
4.	**Delegation of Functions**	
	The Board shall comply with the following requirements in delegating its functions.	
4.1	**Division of Responsibilities**	
	There shall be a clear division of the responsibilities at the Board level and the key management level to ensure a greater balance of power and authority, so that powers are not concentrated in any individual. A clear segregation of duties is maintained between the Board and Key Management to ensure judicious empowerment and effective controls to prevent any undue concentration of authority. In this regard, due consideration is given to the provisions set out in the governing Ordinance.	✔
4.2	Specific Matters for Board Decisions	
	The Board shall have a formal schedule of matters specifically reserved for its decisions to ensure that the direction and control of the bank is firmly under its authority. Powers reserved for the Board are included in the Board Charter.	✔
4.3	**Restrictions to Delegate**	
	The Board shall not delegate any matters to a Board committee, CEO, executive directors or key management personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions. The Board retains ultimate responsibility for the affairs of the Bank and does not delegate matters to Board Committees or Management in a manner that would compromise its ability to exercise effective oversight and accountability.	✔
4.4	**Review of Delegation Process**	
	The Board shall review the delegation processes in place on a periodic basis to ensure that they remain relevant to the needs of the bank. The Board periodically reviews and approves the delegation processes in place and ensures that the extent of delegation addresses the needs of the Bank whilst enabling the Board to discharge their functions effectively. The provisions in the Governing Ordinance are considered in this process.	✔
5.	**The Chairperson and CEO**	
	There are two key aspects of management of every bank, viz., (a) the overall governance by the Board, and (b) the day-to-day management of the bank's business by CEO, in line with Board approved strategic objectives, corporate values, overall risk policy and risk management procedures. The roles of Chairman and Chief Executive Officer, designated as the "General Manager," are held by two separate individuals. A Board Charter is in place clearly defining the respective responsibilities of the Chairman and the General Manager.	✔

Section	Direction and Implementation details	Complied
5.1	**Division of Responsibilities between Chairperson and CEO**	
	The roles of Chairperson and CEO shall be separate and shall not be performed by the same individual. The division of responsibilities between Chairperson and CEO shall be clearly established and set out in writing. The positions of the Chairman and the Chief Executive Officer referred to as the General Manager in Bank of Ceylon are held by two different individuals. A Board Charter is in place defining the responsibilities of the Chairman and the General Manager.	✓
5.2	**Suitability of the Chairperson**	
	a) The Chairperson shall be an independent non-executive director. In the event the Chairperson becomes non-independent after the initial appointment, as an interim arrangement, the Board shall designate an independent director as the Senior Director for a period not exceeding six months with suitably documented terms of reference. The designation of the Senior Director shall be disclosed in the bank's Annual Report. The Bank has appointed, Mr Darshana Gunasekera, as the Senior Independent Director of the Bank from 2026.	
	b) Where a non-independent director is currently serving as the Chairperson, such director may continue to serve as the Chairperson for a further period not beyond 31.12.2027, subject to applicable laws and regulations including Direction 3. Not applicable.	
	c) A Chairperson appointed after the effective date of this Direction shall be an independent non-executive director. Will be complied.	
5.3	**Responsibilities of the Chairperson**	
	The Chairperson shall:	
	a) Provide leadership to the Board and ensure the Board works effectively and duly discharges its responsibilities; The Chairperson provides strategic leadership to the Board, promotes a culture of integrity, accountability and high performance, and ensures that the Board operates effectively in fulfilling its oversight, stewardship and governance responsibilities in line with applicable laws, regulations and best practices.	✓
	b) Ensure that all key and appropriate issues are discussed by the Board in a timely manner; The Chairperson ensures that all material, strategic, financial, risk, regulatory and operational matters are tabled for Board consideration in a timely manner, enabling informed decision-making and effective oversight.	✓
	c) Approve the agenda for each Board meeting, considering where appropriate, any matters proposed by the other directors for inclusion in the agenda. The Chairperson may delegate the preparation of agenda to the company secretary; The preparation of the agenda and the circulation of Board papers are entrusted to the Secretary to the Board, based on memoranda submitted through the General Manager. Any additional items proposed by Board members are duly incorporated into the agenda.	✓
	d) Ensure that all directors are properly briefed on issues arising at Board meetings and also ensure that directors receive adequate information in a timely manner; The Chairperson ensures that Directors receive accurate, comprehensive and timely information to facilitate meaningful deliberations and that Directors are adequately briefed on matters arising at Board and Subcommittee meetings.	✓
	e) Encourage all directors to make a full and active contribution to the Board's affairs and take the lead to ensure that the Board acts in the best interests of the bank; The Chairperson fosters an inclusive and participative Board culture, encouraging all Directors to actively contribute to deliberations and ensuring that decisions are taken objectively and in the best interests of the Bank and its stakeholders.	✓
	f) Facilitate the effective contribution of non-executive directors in particular and ensure constructive discussions between executive and non-executive directors; The entire Board consists of Non-Executive Directors. The Chairperson facilitates effective participation of all Directors and promotes open, constructive and balanced discussions to support robust and independent decision-making.	✓
	g) Encourage all directors to make critical and constructive discussions at the Board meetings and ensure that dissenting views can be freely expressed and discussed within the decision-making process; The Chairperson encourages critical, objective and constructive debate at Board meetings and ensures that differing and dissenting views are freely expressed, discussed and appropriately considered as part of the decision-making process.	✓

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Section	Direction and Implementation details		Complied
	h)	Not engage in activities involving direct supervision of key management personnel, other employees or any other executive duties whatsoever; The Chairperson does not engage in the direct supervision of Key Management Personnel or employees and does not perform any executive or operational duties, thereby maintaining an appropriate separation between governance oversight and management responsibilities.	✓
	i)	Ensure that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board. Effective communication is maintained with the Government of Sri Lanka who is the sole shareholder. The Ex-officio Director acts as the channel between the Board and the shareholder.	✓
5.4	**Conduct of CEO**		
	a)	CEO shall function as the apex executive-in-charge of the day-today management of the bank's operations and business and shall not hold any other executive functions. The day-to-day operations of the Bank are the responsibility of the General Manager, as expressly set out in the Board Charter, which clearly defines the scope of such authority.	✓
	b)	CEO shall not be appointed or nominated as an employee or a director of another licensed bank or any other company/institution/entity except as a non-executive director of a subsidiary or an associate company of the licensed bank. Complied with	✓
	c)	In the event CEO is appointed as a non-executive director of a subsidiary or an associate company of the licensed bank, he/she shall ensure that such duties do not affect the effective discharge of responsibilities as CEO. Any such appointment will be subject to Board approval and will not compromise the Chief Executive Officer's effective discharge of responsibilities.	✓
5.5	**Suitability of CEO**		
	The person appointed as CEO shall be a fit and proper person to hold such position in terms of Section 44A and Section 76H of the Banking Act, and shall possess sufficient authority, stature, knowledge, competencies, and expertise in the core banking functions given the size, scale, diversity and complexity of operations of the bank. The NGC ensures that the Chief Executive Officer is a fit and proper person to hold office in terms of Section 44A and possesses the requisite qualifications and experience. A Board-approved policy governing the appointment of the General Manager sets out the applicable procedure and outlines the skills, experience and knowledge required for the role. Accordingly, Mr Y A Jayathilka was appointed as the new General Manager in 2025, following the recommendation of the NGC and approval by the Board.		✓
6.	**Board Committees**		
	Each licensed bank shall have at least five Board committees as set out in Directions 6.2 – 6.6 of these Directions.		
6.1	**Requirements for the Board Committees**		
	a)	Each committee shall report directly to the Board. Five Board Subcommittees namely the Audit Committee, Human Resources and Remuneration Committee, Nomination and Governance Committee, Integrated Risk Management Committee, and Related Party Transactions Review Committee have been established in compliance with the relevant Direction and report directly to the Board. In addition, three further Subcommittees, the Information and Communication Technology (ICT) Committee, Sustainability Committee and the Board Credit Committee, are also in operation. Each Subcommittees operates under clearly defined Terms of Reference, which are reviewed annually to ensure continued relevance and effectiveness.	✓
	b)	Board shall set out the authority of each committee, and in particular, whether the committee has the authority to act on behalf of the Board or simply has the authority to examine a particular issue and report back to the Board with recommendations. The Terms of Reference specify that the Board Committees are established primarily to examine specific matters within their respective mandates, provide oversight, and make recommendations to the Board for consideration. Accordingly, Board Committees do not have authority to approve or act on behalf of the Board other than the Board Credit Committee, to which an authority limit was delegated to approve credit facilities, with a view to enhancing efficiency in Board proceedings relating to credit facility approvals. All significant decisions remain reserved for the Board, and committees function in an advisory capacity, ensuring robust analysis and informed recommendations to support the Board's decision-making process. This framework ensures clear accountability, avoids dilution of the Board's overall responsibility, and reinforces effective governance and control.	✓
	c)	Each committee shall have a Board approved Terms of Reference.	✓

Section		Direction and Implementation details	Complied
	d)	All committees shall appoint a secretary to inter alia arrange the meetings and maintain minutes, records in sufficient detail, under the supervision of the Chairperson of the committee. The minutes of all committees shall be submitted to the Board. The Secretary, Bank of Ceylon/ Secretary to the Board functions as Secretary to all Subcommittees, with the exception of the ICT Committee, Sustainability Committee and the Related Party Transactions Review Committee, and is responsible for maintaining minutes and related records under the oversight of the respective Chairpersons. The Chief Information Officer, Assistant General Manager – Budget, Strategic Planning and MIS and Assistant General Manager Sustainability Banking serve as Secretaries to the ICT Committee and the Related Party Transactions Review Committee, respectively. Reports of the Subcommittees, detailing the activities undertaken during the year under review, are included in this Annual Report.	✓
	e)	The quorum of each committee shall consist of at least half of the committee members.	✓
	f)	The Board shall present a report on the performance of each committee, on the duties and roles at the annual general meeting. The Government being the sole shareholder, the Annual Report comprising of the above of the Bank is submitted to the Parliament of Sri Lanka and to the Ministry in charge of the Bank.	✓
6.2		**Audit Committee**	
	a)	The Chairperson of the Committee shall be an independent director and is not the chair of the Board or any other Board committee and shall possess qualifications and experience in finance, accounting and/or auditing, with a membership of a recognized professional accounting body. The Audit Committee was chaired by Mr Jayamin Pelpola, who was considered an Independent Non-Executive Director and possessed the requisite qualifications and experience, until 30 May 2025, on which date he tendered his resignation. Thereafter, Mr Dharshana Gunasekera, Independent Non-Executive Director, who has the necessary qualifications and experience, was appointed as Chairman of the Audit Committee with effect from 15.08.2025.	✓
	b)	All members of the Committee shall be non-executive directors, with a majority of independent directors. The members shall possess a collective balance of skills and expert knowledge in finance, accounting and auditing commensurate with size, scale, diversity and complexity of operations of the bank. The present committee is comprises of four (04) Non Executive Directors, out of which three are Independent Non Executive Directors.	✓
	c)	A majority of the members of the Committee shall not be constituted by the members of the Integrated Risk Management Committee and vice-versa.	✓
	d)	The Committee shall make recommendations on matters in connection with:	✓
		(i). the appointment of the external auditor for audit services to be provided in compliance with the relevant statutes; Since the Auditor General is the external auditor of the Bank, the Committee has no role to play in the appointment of the external auditor of the Bank.	
		(ii). the implementation of the Central Bank guidelines issued to external auditors from time to time;	
		(iii). the application of the relevant accounting standards; and	
		(iv). the service period, audit fee and any resignation or dismissal of the external auditor, provided that the engagement of the external auditor shall not exceed six years and shall change the particular engagement partner once in every three years. In accordance with the Terms of Reference of the Audit Committee Charter, the Audit Committee makes, among others, the following recommendations: - Implementation of guidelines issued by the Central Bank of Sri Lanka to auditors from time to time. - Application of the relevant accounting standards.	
	e)	The Committee shall review and monitor the external auditor's independence, integrity, objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices. The Bank's Auditor being the Auditor General, his independence and effectiveness is guaranteed under the Constitution of Sri Lanka.	✓

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Section	Direction and Implementation details	Complied
	f) The Committee shall develop and implement a policy on the engagement of an external auditor to provide non-audit services that are permitted under the Guidelines issued by the Central Bank of Sri Lanka to External Auditors. The Committee shall ensure that the provision by an external auditor of non-audit services does not impair the external auditor's independence or objectivity. When assessing the external auditor's independence or objectivity in relation to the provision of non-audit services, the Committee shall consider:	
	(i). whether the skills and experience of the audit firm make it a suitable provider of the non-audit services; (ii). whether there are safeguards in place to ensure that there is no threat to the objectivity and/or independence in the conduct of the audit resulting from the provision of such services by the external auditor; and,	
	(iii). whether the nature of the non-audit services, the fee levels individually and in aggregate relative to the audit firm, pose any threat to the objectivity and/or independence of the external auditor. This does not arise since the Auditor General is the Auditor of the Bank. However, the Committee ensures that provision by an audit firm appointed by the Auditor General to assist him in the audit of the Bank of non-audit services does not impair that firm's independence or objectivity.	
	g) The Committee shall, before the audit commences, discuss and finalise with the external auditor, the nature and scope of the audit, including: (i). an assessment of the bank's compliance with the relevant Directions in relation to corporate governance and the management's internal control over financial reporting; (ii). the preparation of the financial statements for external purposes in accordance with relevant accounting principles and reporting obligations; and (iii). the co-ordination between firms where more than one audit firm is involved. The scope and the extent of audit have been determined by the Auditor General and M/s Ernst & Young, Chartered Accountants (EY) who assisted the Auditor General in the audit of year 2025. EY presented the Audit Plan for the year 2025, and the Committee reviewed and concurred with the proposed plan.	✓
	h) The Committee shall review the accounting policies/systems and the internal control framework with a view to ensuring greater transparency and integrity of the bank's financial reporting process and the adequacy of accounting and other internal controls.	✓
	i) The Committee shall review the financial information of the bank, in order to monitor the integrity of the financial statements of the bank, its annual report, accounts and quarterly reports prepared for disclosure, and the significant financial reporting judgements contained therein. In reviewing the bank's annual report and accounts and quarterly reports before submission to the Board, the committee shall focus particularly on: (i). major judgmental areas; (ii). any changes in accounting policies and practices; (iii). significant adjustments arising from the audit; (iv). the going concern assumption; and (v). the compliance with relevant accounting standards and other legal requirements. The Committee undertakes a continuous review of the Bank's monthly, quarterly and annual financial statements, and makes its recommendations to the Board accordingly.	✓
	j) The Committee shall discuss issues, problems and reservations arising from the interim and final audits, and any matters the external auditor may wish to discuss including those matters that may need to be discussed in the absence of CEO and key management personnel, if necessary. The Committee discusses issues, problems and reservations arising from the interim and final audits. The representative of the Auditor General was present at Committee meetings throughout. Only, "One Closed door meeting" was held with the said representative during the year under review and such meetings are facilitated at regular Audit Committee meetings by inclusion of an agenda item to that effect.	✓
	k) The Committee shall review the external auditor's management letter and the management's response thereto.	✓
	l) The Committee shall take the following steps with regard to the internal audit function of the bank: (i). Review the adequacy of the scope, functions and resources of the internal audit department, and satisfy itself that the department has the necessary authority to carry out its work; The Audit Committee reviews and makes necessary recommendations with regard to the adequacy of the scope, functions and resources of the Internal Audit Department. In this regard the time bound Audit Plan which includes scope, function and the existing/ required cadre position of the Internal Audit Department is considered by the Committee.	✓

Section	Direction and Implementation details	Complied
	(ii). Review the internal audit programme and results of the internal audit process and, where necessary, ensure that appropriate actions are taken on the recommendations of the internal audit department; The Committee reviews the internal audit programme and the outcomes of internal audit engagements, and ensures that appropriate corrective actions are implemented to address identified findings and strengthen internal controls.	✓
	(iii). Review any appraisal or assessment of the performance of the Chief Internal Auditor (CIA) and senior staff members of the internal audit department; The performance evaluation of the Chief Internal Auditor (CIA) for the year 2025 was carried out, and the Committee also reviewed the performance evaluations of the senior staff members of the Internal Audit Department as conducted by the CIA.	✓
	(iv). Recommend any appointment or termination of CIA, senior staff members and outsourced service providers to the internal audit function; Complied with, relating to the Head of Internal Audit viz. the Chief Internal Auditor	✓
	(v). Ensure that the committee is apprised of resignations of senior staff members of the internal audit department including CIA and any outsourced service providers, and to provide an opportunity to the resigning senior staff members and outsourced service providers to submit reasons for resigning; Such a situation has not arisen during the year.	✓
	(vi). Ensure that the internal audit function is independent of the activities it audits and that it is performed with impartiality, proficiency and due professional care. In accordance with the organisational structure of the Bank, the Chief Internal Auditor reports directly to the Audit Committee and operates independently of the Bank's operational functions.	✓
	m) The Committee shall consider the major findings of internal investigations and management's responses thereto. The Audit Committee has reviewed the major findings of internal investigations and management responses thereto.	✓
	n) Other Board members, CEO, CIA, the Chief Financial Officer (CFO), the Chief Risk Officer (CRO), the Chief Compliance Officer (CCO), any other key management personnel and a representative of the external auditors may attend meetings upon the invitation of the Committee for the relevant agenda item. However, at least twice a year, the Committee shall meet with the external auditors without the executive directors being present. The Chief Financial Officer, Chief Internal Auditor, Chief Risk Officer, Chief Compliance Officer and the representative of the Auditor General attend Committee meetings. The General Manager participates upon invitation of the Committee. Members of Management are invited as required to provide clarifications and explanations. The meeting agenda provides for closed-door sessions, which are convened based on necessity at the discretion of the representative of the Auditor General. During the year under review, one closed-door meeting was held with the representative of the Auditor General, in the absence of Executive Management.	✓
	o) The Committee shall have: (i) explicit authority to investigate into any matter within its terms of reference; (ii) the resources which it needs to do so; (iii) full access to information; and (iv) authority to obtain external professional advice and to invite outsiders with relevant experience to attend, if necessary.	✓
	p) The Committee shall meet regularly, with due notice of issues to be discussed and shall record its conclusions in discharging its duties and responsibilities. The Audit Committee schedules regular meetings. Additional meetings are convened when required. The Committee has met nine (09) times during the year. The members of the Committee are served with due notice of issues to be discussed and the conclusions in discharging its duties and responsibilities are recorded in the minutes of the meetings.	✓
	q) The secretary of the Committee (who may be the company secretary or CIA) shall record and keep detailed minutes of the Committee meetings. Minutes are maintained by the Secretary to the Board/ Secretary, Bank of Ceylon who is also the Secretary to the Committee.	✓
	r) The Committee shall: (i). ensure effective implementation of the Board approved whistleblowing policy; and,	✓

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Section	Direction and Implementation details	Complied
	(ii). ensure that proper arrangements are in place for the fair and independent investigation of such matters and for appropriate follow-up action. A Board-approved Whistleblowing Policy, covering these aspects, is in place and was reviewed during 2025. Significant findings arising under the Policy are reported to the Audit Committee for appropriate follow-up action.	✓
	s) The Committee shall act as the key representative body for overseeing the bank's relations with the external auditor. The Audit Committee is the key representative body for overseeing the Bank's relations with the External Auditor viz. the Auditor General in the case of Bank of Ceylon.	✓
6.3	**Human Resources and Remuneration Committee**	
	The Committee shall:	
	a) be chaired by a director who is not the chair of the Board and preferably independent;	✓
	b) preferably be constituted with a majority of independent directors;	✓
	c) require CEO to be present at the meetings upon invitation, except when matters relating to CEO are being discussed;	✓
	d) determine the remuneration policy in relation to salaries, allowances, special payments/benefits made at termination or retirement, and other financial and non-financial benefits made to directors, CEO and the key management personnel; The Remuneration for Directors is according to the circulars/ letters issued by the Government of Sri Lanka through the relevant Ministry and the Bank of Ceylon Ordinance No. 53 of 1938 and its amendments. The Bank has adopted a Remuneration Policy based on the said circulars/ letters and the Ordinance. The Board approved Remuneration Policy for the Key Management Personnel is in place. The Committee makes recommendations of the remuneration of the KMPs once in three years. The Committee has met Eight (08) times during the year under review.	✓
	e) set goals and targets for the directors, CEO and the key management personnel; The Committee establishes Key Performance Indicators (KPIs) for Key Management Personnel (KMP) for the year 2025 and has also set the corresponding KPIs for 2026. Performance targets are similarly determined for the Non-Executive Directors.	✓
	f) evaluate the performance of CEO and the key management personnel against the set targets and goals periodically and determine the basis for revising remuneration, benefits and other payments of performance-based incentives; Year-end evaluation of the members of the corporate management was carried out by this committee other than of the Chief Internal Auditor, and the Chief Compliance Officer since they were evaluated by the respective subcommittees that they are reporting. Performance evaluation of the General Manager was carried out. There was no evaluation carried out for Chief Risk Officer due to his retirement from the Bank's service.	✓
	g) ensure that the prior written approval of the shareholders is obtained for any special payments/ financial and non-financial benefits to be made to the directors, CEO and key management personnel at the termination of employment or at the retirement. In the case of licensed banks where the Government of Sri Lanka holds fifty per cent or more of issued capital carrying voting rights of the bank, such prior approval shall be obtained from the Secretary to the Treasury; The Bank has been granted approval by the Secretary to the Treasury for new payments/ benefits, except for the benefits mentioned in the Remuneration Policy of Key Management Personal approved by the Board of directors.	✓
	h) coordinate with the Integrated Risk Management Committee to ensure that the compensation made to directors, CEO and key management personnel is within the risk appetite limits of the bank; and, This Committee, in coordination with the Integrated Risk Management Committee, satisfies itself that compensation is consistent with the Bank's approved risk appetite. Necessary steps have been taken to address this requirement in coordination with BMIRC.	
	i) establish a policy on claw-back arrangements for performance based payments made to CEO and key management personnel of the licensed bank under the circumstances of inter alia fraud and misappropriation of funds, to the extent of the financial loss caused to the licensed bank. Such policy shall articulate the process to be followed by the licensed bank prior to giving effect to the claw back arrangements ensuring procedural propriety, fair hearing and transparency. The claw-back procedure of the licensed bank shall be incorporated into the employment contracts of CEO and key management personnel and a similar arrangement shall be implemented for the existing CEO and key management personnel. The Claw-back Policy was introduced for implementation.	✓

Section		Direction and Implementation details	Complied
6.4		**Nomination and Governance Committee:**	
		The Committee shall:	
	a)	be chaired by an independent director who is not the chair of the Board and shall be constituted with a majority of independent directors (To be effective from 01.01.2027). CEO may be present at meetings by invitation except when matters relating to CEO are being discussed;	✓
	b)	implement a formal and transparent procedure to identify, nominate and recommend new directors, CEO and the key management personnel; The appointment to the Directors to the Board of Bank of Ceylon, General Manager and Key Management Personnel (KMP) are made through the Board Nomination and Governance Committee (NGC) based on the committee's recommendation. NGC identifies and evaluates potential candidates through a transparent, objective and merit based process and conduct background checks and assess candidates fitness and propriety in line with CBSL guidelines. A Board approved policy for the appointment of Directors lays down this procedure and describes the skills, experience, knowledge etc. required to be considered to be appointed to the Board. In terms of the Bank of Ceylon Ordinance No. 53 of 1938 and its subsequent amendments, the Government of Sri Lanka, through the Minister under whose purview the Bank falls, appoints a representative of the relevant Ministry to the Board, who is designated as an “Ex-officio" Director. Board-approved policies are also in place governing the appointment of the General Manager and Key Management Personnel (KMPs).	✓
	c)	ensure the directors, CEO and the key management personnel are fit and proper persons to hold office as specified in the criteria given in Directions 3 and 8.2 and as set out in the applicable laws and regulations; NGC ensured the fitness and propriety of Directors, CEO and KMPs.	✓
	d)	obtain the views of the Integrated Risk Management Committee in selecting CRO and CCO and that of the Audit Committee in selecting CIA;	✓
	e)	consider and recommend (or not recommend) the re-election of current directors, through periodic evaluation of the performance and contribution made by the director concerned towards the overall discharge of the Board’s responsibilities; No re-elections are made to the Board of Bank of Ceylon as per applicable rule and regulations. However, this will be taken in to consideration when the new appointments are made.	
	f)	quarterly evaluate the status of independence of the independent non-executive directors in terms of the Direction 2.5 b) and whether such directors have any conflicts of interest that may impede the ability to perform duties independently and notify the changes to the independent status (if any) to the Director of Bank Supervision; Quarterly evaluations are carried out.	✓
	g)	set the criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions; The Board-approved promotion schemes clearly set out the criteria and attributes required for eligibility for selection or promotion to other Key Management positions.	✓
	h)	consider and recommend from time to time, the requirements of additional/new expertise to the Board and the succession arrangements for retiring directors; A Succession Plan for Key Management Personnel (KMP) is in place which was reviewed during the year. Any additional or new expertise required is identified and recommended by the relevant Board Subcommittees or determined by the Board. With respect to Directors, a skills matrix is maintained to facilitate succession planning and identify suitable successors.	✓
	i)	ensure that the bank has a robust succession plan for CEO and the key management personnel with an effective and transparent process to: (i). identify qualified and competent persons (internal/external) to fulfil the positions of CEO and key management personnel for succession in short, medium and long term given the size, scale, diversity and complexity of operations of the bank; (ii). groom the selected successors for the respective positions by identifying and mitigating the skill/knowledge gaps for the respective area; and, (iii). review the succession plan at least on an annual basis.	✓

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Section		Direction and Implementation details	Complied
	j)	ensure that the directors are updated on the applicable laws, regulations, macroeconomic policies, latest technological developments and emerging financial sector and market developments relevant to the banking industry on a continuous basis;	✓
	k)	identify the training needs of the directors and make recommendations to the Board relating to training, capacity building and professional development programs for the directors on a regular basis; During the year under review the Directors had undergone 26 number of training/ seminars/ workshops and presentations relevant to the banking industry. It is an ongoing process.	✓
	l)	review the structure, size, qualifications and composition of the Board and Board committees to ensure effective discharge of duties and responsibilities; In 2025, the full Board undertook this review in light of the pending Board appointments arising from SOE reforms. Through the Nomination and Governance Committee, the Board reviews the structure, size, qualifications, composition and overall effectiveness of the Board, taking into account the outcomes of the annual Board evaluation and the reports of individual Board Subcommittee evaluations submitted to the Committee. Based on these evaluations, the Committee makes recommendations to the Board on any required changes to the Board and Committee structures, membership or composition, including appointments, re-appointments, rotations, and identified training and development needs, with a view to strengthening overall Board effectiveness and upholding high standards of corporate governance.	✓
	m)	ensure that the overall corporate governance framework and policies of the bank are reviewed, updated and effectively implemented considering all applicable laws and regulations and industry/international best practices.	✓
6.5	**Integrated Risk Management Committee**		
	The Committee shall:		
	a)	be chaired by an independent director who is not the chair of the Board or any other Board committee; Please refer the Committee report for details of the composition.	✓
	b)	consist of at least three non-executive directors with a majority of independent directors. The Committee members shall have sound collective experience in risk management issues and practices in relation to banking and/or financial services; The Committee comprised of three Non-Executive Directors with relevant experience during the year under review.	✓
	c)	A majority of the members of the Committee shall not be constituted by the members of the Audit Committee and vice-versa;	✓
	d)	require CEO, CRO, CCO and key management personnel supervising broad risk categories, i.e., credit, market, liquidity, operational and strategic risks to attend the meetings on needs basis; The General Manager and the Chief Risk Officer, who oversee credit, market, operational, reputational and strategic risks, together with the Chief Internal Auditor, Chief Financial Officer and Chief Compliance Officer, participate in all Committee meetings at the request of the Committee. Other Key Management Personnel and staff members are invited as required.	✓
	e)	work with key management personnel very closely and make decisions on behalf of the Board within the framework of the authority and responsibility assigned to the Committee; The Board oversees the strategies implemented by the CEO and Key Management Personnel for capital and liquidity management and the management of all material risks of the Bank, including credit, market, operational, information security and strategic risks, to ensure alignment with the approved risk appetite. This oversight is supported through regular reporting to the Board and its Committees, enabling timely monitoring of risk exposures, identification of deviations, and implementation of appropriate corrective actions. The Committee works closely with KMP within the framework of authority and responsibility assigned to the Committee.	✓
	f)	establish an independent risk management function responsible for integrated risk management of the bank; The Bank maintained a fully independent Integrated Risk Management Division (IRMD) headed by the Chief Risk Officer (CRO), who reports directly to the IRMC. The Division operated independently of all business and revenue-generating units , with dedicated resources for credit, market, liquidity, operational, and information security risk management. Its charter, approved by the Board, clearly defines its authority, independence, and direct access to the IRMC.	✓

Section	Direction and Implementation details	Complied
g)	assess all risks, i.e., credit, market, liquidity, operational, information security and strategic risks to the bank on a monthly basis through appropriate risk indicators and management information. In the case of subsidiary companies and associate companies, risk management shall be conducted, both on solo and consolidated basis; Independent Integrated Risk Management Division of the Bank assesses the credit, market, liquidity, operational, strategic and reputational risks of the Bank based on the policy documents recommended by this Committee and approved by the Board, on a monthly basis and the summary reports are submitted to the Committee at its regular meetings and then to the next immediate Board meeting. In the case of subsidiaries and associates, a risk management dashboard has been developed to address the risks and is reported to the Committee. A Board approved Group Risk Policy is in place.	✓
h)	advise and report to the Board on the bank's exposures against the risk appetite; The IRMC provide structured advice and comprehensive reporting to the Board on the Bank's risk exposures vis-à-vis the Board-approved Risk Appetite Statement on a monthly /quarterly basis, supplemented by immediate ad-hoc reports whenever material breaches or near-breaches occurred. In 2025, the Committee submitted detailed risk appetite dashboard reports together with trend analysis, stress-testing outcomes, and forward-looking risk outlook statements. The Board was kept fully informed of all exposures, and its views and directions were formally minuted and actioned against the risk appetite.	✓
i)	oversee the functioning of CRO. The Committee shall receive regular reports and communication from CRO and other relevant functions with respect to the risk profile, exposures against the established risk appetite limits and limit breaches; The Committee oversee the functioning of CRO through the annual performance evaluation of the CRO. The Committee receives regular reports and communications from the CRO and other relevant functions on the Bank's overall risk profile, exposures against established risk appetite limits, and any breaches of such limits, to enable effective oversight of the risk management framework.	✓
j)	oversee the strategies implemented by CEO and the key management personnel for capital and liquidity management and management of all relevant risks of the bank, such as credit, market, operational, information security and strategic risks, to ensure consistency with the stated risk appetite; In line with its risk governance responsibilities, the Committee oversees the strategies implemented by the Chief Executive Officer and Key Management Personnel relating to capital and liquidity management and the management of all material risks of the Bank, including credit, market, operational, information security and strategic risks. This oversight is exercised through the review of policies, risk reports, stress-testing outcomes and key risk indicators, to ensure that such strategies remain aligned with the Board-approved risk appetite and support the Bank's overall risk management framework.	✓
k)	review the adequacy and effectiveness of all management level committees that are related to risk taking activities, such as the credit committee and the asset-liability committee to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the Committee; The IRMC will conduct the formal annual review of the Terms of Reference, authority, composition, and effectiveness of all management-level risk committees, including the following and obtain assurance on their operational efficiency : Credit Committee (CC) Asset-Liability Management Committee (ALCO) Operational Risk Management Executive Committee (ORMEC) Information Security Risk Committee (ISRC)	
l)	take prompt corrective action to mitigate the effects of specific risks where such risks are at levels beyond the prudent levels decided by the Committee on the basis of the bank's policies and regulatory and supervisory requirements; Specific quantitative and qualitative risks which go beyond the limits are monitored by the Chief Risk Officer and reported directly to the Committee based on the severity of the issues involved.	✓
m)	meet at least quarterly to assess all aspects of risk management including updated business continuity plans; During the year, the Committee met eight (08) times. Details of meetings and attendance are given on page 173	✓
n)	take prompt corrective actions against the Officers responsible for failure to identify specific risks as recommended by the Committee; Formal documented disciplinary action procedure is in place in the Bank to comply with this direction.	✓

COMPLIANCE REQUIREMENTS AS PER BANKING ACT DIRECTION NO. 05 OF 2024

Section		Direction and Implementation details	Complied
	o)	submit a risk assessment report within a week of each meeting to the Board seeking the Board's views, concurrence and/or specific directions; The minutes of the meetings are submitted to the Board meeting immediately following the Committee meeting together with the recommendations and Risk Management Reports.	✓
	p)	establish a compliance function to assess the bank's compliance with laws, regulations, regulatory guidelines and approved policies on all areas of business operations. A dedicated compliance officer selected from key management personnel shall carry out the compliance function and report to the Committee periodically; The Compliance function is led by the Chief Compliance Officer and operates independently from all operational levels of the Bank, reporting directly to the Integrated Risk Management Committee. The division proactively identifies, assesses, manages, and mitigates Compliance Risk by ensuring adherence to all applicable laws, rules, and regulations. The Compliance function also evaluates the effectiveness of internal controls and ensures that business operations are conducted in line with approved policies and regulatory expectations.	✓
	q)	Establish an effective communication and coordination mechanism with the Audit Committee to facilitate exchange of information to ensure effective management of all risks, including emerging risks, and any adjustments needed to the integrated risk management framework of the bank; Minutes of the IRMC and Audit Committees are shared with the members and the full Board.	✓
	r)	Without prejudice to the tasks of the Human Resources and Remuneration Committee, examine whether the incentives provided to the employees take into consideration the levels of risk, capital, liquidity and earnings of the bank. Steps taken to address this requirement in coordination with IRMC.	
6.6		**Related Party Transactions Review Committee**	
		The Committee shall:	
	a)	be chaired by an independent director who is not the chair of the Board;	✓
	b)	consist of at least three non-executive directors with a majority of independent directors. CEO and relevant key management personnel may attend the meetings on need basis only for the relevant agenda items; The present committee comprises of three (03) Non-Executive Directors, out of which two are Independent Non-Executive Directors.	✓
	c)	ensure that a clear policy, procedures and processes are in place for identifying, monitoring and reporting related party transactions on an on-going basis in line with applicable laws and regulations;	✓
	d)	review the related party transactions of the bank including the transactions defined in Direction. 7.2, particularly with the persons who shall be considered as "related parties", as defined in Direction 7.1, with a view to avoiding any conflicts of interest that may arise from such transactions;	✓
	e)	quarterly report to the Board, the details of related parties, related party transactions and economic consequences of the related party transactions; The recommendations of the Committee are submitted to the Board.	✓
	f)	ensure that a director abstains from participating in discussions on any Board decision on transactions in relation to the director or any of his/her close relation or a concern in which the director has substantial interest; and,	✓
	g)	ensure that the bank does not engage in transactions with related parties as defined in Direction 7.1 in a manner that would grant such parties "more favourable treatment" than that accorded to other constituents of the bank carrying on the same business. In this context, "more favourable treatment" shall mean: (i) granting of "total net accommodation" to related parties, exceeding a prudent percentage of the bank's regulatory capital, as determined by the Board. For purposes of this subdirection; a. "Accommodation" shall mean accommodation as defined in the Banking Act Directions on Maximum Amount of Accommodation/ Large Exposures. b. The "total net accommodation" shall be computed by deducting from the total accommodation, the cash collateral and investments made by such related parties in the bank's share capital and debt instruments with a maturity of 5 years or more. No favorable treatment/accommodation is provided to any employee of the Bank on more favorable terms unless under general staff loan schemes applicable to all employees of the Bank. Circular instructions have been issued to refrain from granting favorable treatments for Key Management Personnel and their Close Family Members.	✓

Section	Direction and Implementation details	Complied
	(ii) charging of a lower rate of interest than the bank's best lending rate or paying more than the bank's deposit rate for a comparable transaction with an unrelated comparable counterparty; (iii) providing of preferential treatment, such as favourable terms, covering trade losses and/or waiving fees/ commissions, which extend beyond the terms granted in the normal course of business undertaken with unrelated parties; (iv) providing services to or receiving services from a related party without an evaluation procedure; and	
	(v) maintaining reporting lines and information flows that may lead to sharing potentially proprietary, confidential or otherwise sensitive information with related parties, except as required for the performance of legitimate duties and functions. No favourable treatment or accommodation is extended to any employee of the Bank on preferential terms, other than under general staff loan schemes applicable uniformly to all employees. Circular instructions have been issued in this regard. Similarly, close relatives of Bank employees are not accorded any preferential treatment.	
7.	**Related Party Transactions**	
	The following requirements shall apply to related party transactions of licensed banks.	✓
7.1	**Related Parties**	✓
	a) a director of a licensed bank;	
	b) close relations of such director;	
	c) a concern in which a director of a licensed bank has a substantial interest, being an interest acquired either before or after the appointment as a director of such licensed bank;	
	d) a concern in which a close relation of a director of a licensed bank has a substantial interest;	
	e) a chief executive officer or an officer performing executive functions of a licensed bank in respect of any accommodation granted other than an accommodation granted to such officer under a scheme applicable to the employees of such licensed bank;	
	f) a shareholder of a licensed bank having material interest, whether individual or a concern;	
	g) a subsidiary or an associate company of the licensed bank;	
	h) a holding company of the licensed bank including its subsidiaries, excluding the parent bank and subsidiaries of a bank incorporated outside Sri Lanka;	
	i) a director of a subsidiary or an associate company of the licensed bank;	
	j) a director of a holding company of the licensed bank and its subsidiaries;	
	k) a close relation of a person specified in Direction 7.1 (e) and (f) above;	
	l) a concern, whose director or partner is a director of such bank;	
	m) a concern in which a material shareholder of a licensed bank has substantial interest; and,	
	n) a concern in which a close relation of an individual material shareholder has substantial interest.	
7.2	**Type of Related Party Transactions**	✓
	a) The grant of any type of accommodation, as defined in the Banking Act Directions on Maximum Amount of Accommodation/ Large Exposures of Licensed Banks.	
	b) The creation of any liabilities of the bank in the form of deposits, borrowings and investments.	
	c) The provision of any services of a financial or non-financial nature provided to the bank or received from the bank.	
	d) The creation or maintenance of reporting lines and information flows between the bank and any related parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such related parties. Information in this regard, is disclosed in the Annual Report.	
7.3	**Applicability of Banking Act Provisions**	
	A policy on Related Party Disclosures are in place covering related parties, their transactions, and restrictions on offering more favourable treatment to related parties to avoid any conflict of interest in this regard. Directors who have related party transactions are individually requested to declare their transactions. Transactions are monitored through an automated system. Procedures and policies are in place to comply with.	✓

COMPLIANCE REQUIREMENTS AS PER BANKING ACT DIRECTION NO. 05 OF 2024

Section	Direction and Implementation details	Complied
7.4	**Accommodation Granted to Directors and Connected Parties**	
	Where any accommodation has been granted by a licensed bank to a person or to a close relation of a person or to any concern in which the person has a substantial interest, and such person is subsequently appointed as a director of the bank, and if:	✓
	a) the necessary security as approved by the Central Bank of Sri Lanka is not provided, within one year from the date of appointment of such person as a director; and,	
	b) any amount due on account of such accommodation, together with interest, if any, is not settled within the period specified at the time of grant of accommodation or at the expiry of a period of eighteen months from the date of appointment of the director, whichever is earlier, in the event such security is not provided by the period as provided in a) above; Such director shall be deemed to have vacated the office of director. This Direction, however, shall not apply to a director who at the time of the grant of the accommodation was an employee of the bank and the accommodation was granted under a scheme applicable to all employees of such bank. This accommodation shall be secured by such security as may from time to time be determined by the Monetary Board as well.	
7.5	**Accommodation granted to Employees**	
	A bank shall not grant any accommodation or "more favourable treatment" relating to the waiver of fees and/or commission to any employee or a close relation of such employee or to any concern in which the employee or close relation has a substantial interest other than on the basis of a scheme applicable to the employees of such bank or when secured by security as may be approved by the Central Bank of Sri Lanka in respect of accommodation granted as per Sections 47(3) and (5) of the Banking Act. No favourable treatment/ accommodation is provided to any employee of the Bank on more favourable terms unless under general staff loan schemes applicable to all employees of the Bank. Circular instructions have been issued in this regard. Close relations of Bank employees are also not given any favourable treatment.	✓
7.6	**Writing-off of Accommodation to Related Parties**	
	No accommodation granted by a licensed bank to related parties given in Direction 7.1, nor any part of such accommodation, nor any interest due thereon shall be written-off without the prior approval of the Central Bank of Sri Lanka and any writing-off without such approval shall be void and of no effect. No such event has been reported to the Related Party Transactions Review Committee during the year.	
8.	**Senior Management**	
	The senior management shall mean CEO and the key management personnel of the licensed bank for the purpose of this Direction.	✓
8.1	**Board Oversight on Senior Management**	
	The overall responsibility of the Board shall not be construed as an obligation to undertake the inspection of day-to-day activities, but shall rather be understood as an obligation to oversee and ensure that the senior management members are carrying out the day-to-day activities in a safe and sound manner in accordance with the Board approved strategies and policies. Accordingly, the Board shall:	✓
	a) define the areas of authority and responsibilities of the senior management;	
	b) ensure that the actions of senior management are consistent with the business strategy and policies approved by the Board;	
	c) meet regularly, on needs basis, with the senior management to review the progress towards achieving	
	d) question and critically review explanations and information provided by the senior management;	
	e) assess whether collective knowledge and expertise of the senior management remain appropriate given the size, scale, diversity and complexity of operations of the bank; and	
	f) hold the senior management members accountable for the actions.	
8.2	**Criteria to Assess the Fitness and Propriety of Senior Management**	
	In terms of Section 44A and Section 76H of the Banking Act, the senior management of licensed banks as determined by the Central Bank of Sri Lanka shall be fit and proper persons to hold such respective positions and the provisions of Sections 42(2) of the Banking Act shall apply in determining whether the members of the senior management are fit and proper persons. Fitness and Proprietory is obtained at the time of appointment and when they are promoted to the next grade.	✓

Section	Direction and Implementation details	Complied
8.3	**Responsibilities of Senior Management**	
	a) contribute substantially to a licensed bank's sound corporate governance framework through personal conduct;	✓
	b) devote sufficient professional time to discharge his/her duties at the licensed bank. In the event a senior management member is appointed as a non-executive director of a subsidiary or an associate company of the licensed bank, he/she shall ensure that such duties do not affect the effective discharge of responsibilities to the bank;	✓
	c) implement business strategies, risk management systems, risk and compliance culture, processes and controls for managing both financial and non-financial risks under the directions given by the Board;	✓
	d) recognize and respect the independent duties of the risk management, compliance and internal audit functions and shall not interfere in the exercise of such duties;	✓
	e) receive access to regular training to maintain and enhance competencies and keep abreast of developments relevant to the respective areas of responsibility;	✓
	f) be responsible for delegating duties to staff and overseeing such delegated duties;	✓
	g) establish a management structure that promotes accountability and transparency throughout the bank;	✓
	h) ensure that appropriate remedial or disciplinary action is taken if breaches are identified;	✓
	i) regularly provide the Board and the Board sub-committees as applicable with the information of material matters including but not limited to; (i) changes in business strategy, risk strategy/risk appetite, (ii) the bank's performance and financial condition, (iii) breaches of risk limits or compliance rules, (iv) internal control failures, and, (v) legal or regulatory concerns.	✓
	j) notify the Director of Bank Supervision upon becoming aware of any material information that may negatively affect the fitness and propriety of a Board member or another senior management member. No such event has been identified.	
9.	**Disclosures**	
9.1	**Board Responsibilities on Disclosures**	✓
	The Board ensures the adequate and timely public disclosure of relevant information, including but not limited to key performance indicators, capital adequacy, liquidity, business concentrations, related party transactions, corporate governance matters and financial statements, with a view to promoting enhanced market discipline and transparency commensurate with the size, scale, diversity and complexity of the Bank's operations. The Board further ensures that the annual audited financial statements and quarterly financial statements are prepared and published in accordance with the formats prescribed by the relevant supervisory and regulatory authorities, and in compliance with applicable accounting standards.	
9.2	**Minimum Disclosures to be made in the Annual Report**	
	The Board shall ensure that the following minimum disclosures are made in the Annual Report.	
	a) "A statement to the effect that the annual audited financial statements have been prepared in line with applicable accounting standards and regulatory requirements, inclusive of specific disclosures. Disclosed in the "Annual Report of the Directors on the State of Affairs of the Bank", on pages 218 to 223 and "Directors' Responsibility for Financial Reporting" on page 229"	✓
	b) A report by the Board on the bank's internal control mechanism which confirms the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting, and the preparation of financial statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements. Disclosed in the "Directors' Statement on Internal Control", on pages 226 and 227 of this Annual Report and "Directors' Responsibility for Financial Reporting" on page 229"	✓
	c) The external auditor's certification on the effectiveness of the internal control mechanism referred to in b) above. The Assurance Report issued by the Auditors under "Sri Lanka Standard on Assurance Engagements SLSAE 3050 – Assurance Reports for Banks on Directors' Statements on Internal Control" may be used as a substitute disclosure in this regard. The Bank has obtained a certificate on the effectiveness of Internal Controls over Financial Reporting from the Auditor General which is published on page 228.	✓

COMPLIANCE REQUIREMENTS AS PER BANKING ACT DIRECTION NO. 05 OF 2024

Section	Direction and Implementation details	Complied
	d) Details of directors, including names, transactions with the bank and the total fees/remuneration paid by the bank. Details of Directors are given on pages 32 to 39 Directors' Interest in Contracts with the Bank are given on page 224 to 225. Remuneration paid by the Bank are given in Note 17 to the Financial Statements on page 270.	✔
	e) Total net accommodation granted to each category of related parties. The net accommodation granted to each category of related parties shall also be disclosed as a percentage of the bank's regulatory capital. "Total net accommodation" granted to each category of related parties during the year 2025 as a percentage of the Bank's regulatory capital is given below:	✔

	LKR '000	Percentage %
Key Management Personnel (KMP)	994,758	0.35
Other directors of subsidiaries Associates	32,959	0.01
Subsidiaries	869,661	0.31
Associates	390,705	0.41
Government and Government– related entities (Refer definition in Note 61 of Financial Statements)	3,297,631,282	1,164.58

Section	Direction and Implementation details	Complied
	f) The aggregate values of remuneration paid by the bank to its CEO and the key management personnel and the aggregate values of the transactions of the bank with its CEO and key management personnel, set out by broad categories such as remuneration paid, accommodation granted, and deposits or investments made in the bank. The aggregate amount of remuneration paid by the Bank and transactions with KMP for the year 2025 are stated below:	✔

	LKR '000
Short-term employment benefits	1,521,924
Post-employment benefits	301,395

In addition to above, the Bank has also paid non-cash benefits such as use of vehicles to KMP in line with the approved benefit plan of the Bank.

	LKR '000
Loans	829,249
Overdrafts	42,726
Credit cards	30,940
Due to customers Deposits	2,052,711
Debentures	15,674
Undrawn facilities	161,879

Section	Direction and Implementation details	Complied
	g) Details of Board committees including (i) details of the key activities of each Board committee during the year; (ii) the number of meetings of each committee held in the year; and (iii) attendance of each individual director at such meetings on page 173. Indicated in pages 180 to 190.	✔
	h) The following shall be disclosed in the Annual Corporate Governance Report:	
	(i) the external auditor's certification of the compliance with these Directions, clearly demonstrating the compliance status of the licensed bank with each sub-direction;	✔
	(ii) the composition of the Board, by category of directors, including the names of the Chairperson, executive directors, non-executive directors and independent non-executive directors; and,	✔
	(iii) the identity of the Chairperson and CEO and the nature of any relationship including financial, business, family or other material/ relevant relationship(s), if any, among the Chairperson, CEO and the members of the Board. Indicated in pages 162 to 190.	
	i) A report setting out details of the compliance with prudential requirements, regulations, laws and internal controls and measures taken to rectify any material non-compliances. Indicated in pages 218 to 223.	✔

Section	Direction and Implementation details	Complied
	j) A statement of the regulatory and supervisory concerns on lapses in the bank's risk management, or non-compliance with these Directions that have been communicated by the Director of Bank Supervision, or administrative fines imposed by the Central Bank of Sri Lanka, if so directed by the Central Bank of Sri Lanka to be disclosed to the public, together with the measures taken by the bank to address such concerns. No penalties have been imposed by the regulator during the year under review.	✓
	k) The aggregate value of total non-statutory special payments/ financial or non-financial benefits made to directors, CEOs and key management personnel at the termination of employment or at the retirement during the respective financial year. Indicated in pages 268 to 270.	✓
9.3	**Disclosures to be made on Resignation, Removal or Vacation of Office of Directors**	
	If a director resigns or is removed or is deemed to have vacated the office of director due to regulatory non-compliances and/or as decided by the Board, the Board shall disclose the director's resignation or removal or the status of being deemed vacated the office and the reasons for same in the official website of the licensed bank, including but not limited to information relating to the relevant director's disagreement with the bank, if any.	✓

COMPLIANCE WITH SECTION 9 OF THE LISTING RULES ISSUED BY THE COLOMBO STOCK EXCHANGE

Section	Principle, Compliance and Implementation	Complied
9.1.3	Statement confirming the extent of compliance with the Corporate Governance Rules. This Annexure fulfills this requirement.	✓
9.2.1	The Bank shall establish and maintain the following policies and disclose the fact of existence of such policies together with the details relating to the implementation of such policies by the Entity on its website; a. Policy on the matters relating to the Board of Directors b. Policy on Board Committees c. Policy on Corporate Governance, Nominations and Re-election d. Policy on Remuneration e. Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities f. Policy on Risk management and Internal controls g. Policy on Relations with Shareholders and Investors h. Policy on Environmental, Social and Governance Sustainability i. Policy on Control and Management of Company Assets and Shareholder Investments j. Policy on Corporate Disclosures k. Policy on Whistleblowing l. Policy on Anti-Bribery and Corruption	✓
9.2.2	Any waivers from compliance with the Internal Code of business conduct and ethics or exemptions granted.	None.
9.2.3	The Bank shall disclose in its Annual Report: (i) The list of policies that are in place in conformity with Rule 9.2.1 above, with reference to its website. (ii). Any changes to policies adopted.	✓
9.2.4	To make available all such policies to shareholders upon a written request being made for any such Policy.	Will be complied with when the shareholder, the Government of Sri Lanka makes a request.
9.3.1	The Bank has established the following committees - (a) Nominations and Governance Committeee (b) Remuneration Committee (c) Audit Committee (d) Related Party Transactions Review Committee	✓
9.3.2	The Bank shall comply with the composition, responsibilities and disclosures required in respect of the above-Board committees as set out in these Rules. Please refer reports of the existing subcommittees given in pages 180 to 190.	✓
9.3.3	The Chairperson of the Board of Directors of the Bank shall not be the Chairperson of the Board Committees referred to in Rule 9.3.1 above.	✓
9.4.1	Adherence to principles of democracy in the adoption of meeting procedures and the conduct of all General meetings with shareholder. The Government being the sole shareholder, the Annual Report of the Bank is submitted to the Parliament of Sri Lanka and to the Ministry in charge of the Bank State.	Not applicable
9.4.2	(a) The policy on effective communication and relations with shareholders and investors. A Board approved Communication Policy is in place. (b) The contact person for such communication. (c) The policy on relations with shareholders and investors shall include a process to make all Directors aware of major issues and concerns of shareholders. The Ex-officio Director acts as the conduit between the Bank and its shareholder, the Government of Sri Lanka. (d) To conduct any shareholder meetings through virtual or hybrid means.	✓ ✓ Not applicable

Section	Principle, Compliance and Implementation	Complied
9.5.1	Maintaining a formal policy governing matters relating to the Board of Directors covering the following-	✓
	(a) Recognize the need for a balance of representation between Executive and Non-Executive Directors, the roles and functions of the Chairperson and Chief Executive Officer, Board balance and procedures for the appraisal of Board performance and the appraisal of the CEO.	Not applicable ✓
	Complied with, through the Board approved Corporate Governance Policy and Board Charter, which are in place.	✓
	(b) Where a Listed Entity decides to combine the role of the Chairperson and CEO,	✓
	(i) Set out the rational for combining such positions; and,	
	(ii) Require the Board Charter of the Listed Entity to contain terms of reference/ functions of the Senior Independent Director (SID) and the powers of the SID, which should be equivalent to that of the Chairperson in the instance of a conflict of interest.	
	(iii) Set out the measures implemented to safeguard the interests of the SID.	Covered by the Directions of the CBSL
	The positions of Chairman and General Manager of the Bank are held by two different individuals by virtue of the enabling enactment. For better governance, however, a SID is proposed in 2026.	Not applicable
	(c) Require diversity in Board composition.	
	Internal policy on Appointment of Directors covers this requirement.	
	(d) Stipulate the maximum number of Directors with the rationale for the same.	✓
	According to the Banking Act Determination No. 3 of 2024 the maximum number of directors permitted on the Board is thirteen (13).	
	(e) Specify the frequency of Board meetings, having regard to the requirements under the Listing Rules.	✓
	Two meetings are held per month.	
	(f) Provide mechanisms for ensuring that Directors are kept abreast of the Listing Rules and on-going compliance and/or noncompliance by the Listed Entity with obligations arising under such Rules.	
	Informed on appointment and thereafter and at the Board meetings of any compliances/non compliances.	
	(g) Specify the minimum number of meetings, in numbers and percentage, that a Director must attend, in order to ensure consistent attendance at Board Meetings and to avoid being deemed to vacate such position.	
	(h) Provide requirements relating to trading in securities of the Listed Entity and its listed group companies and disclosure of such requirements.	
	Only debentures are listed	
	(i) Specify the maximum number of directorships in Listed Entities that may be held by Directors.	
	Covered by the Directions of the CBSL. Presently, the Board is comprised of 11 Non-Executive Directors. Accordingly a director can hold a maximum of twenty (20) directorships.	
	(j) Recognize the right to participate at meetings of the Board and Board Committees by audio visual means and for such participation to be taken into account when deciding on the quorum.	
9.5.2	Listed Entities shall confirm compliance with the requirements of the policy referred to in Rule 9.5.1 for any non-compliance with any of the requirements with reasons for such non-compliance and the proposed remedial action. Non compliances, if any are indicated in this Governance Report Complied with as mentioned in Rule no. 9.5.1.	✓
9.6.1	The Chairperson of the Bank is a Non-Executive Director. Consequently, the position of Chairperson and CEO shall not be held by the same individual.	✓
9.6.2	A Listed Entity that is unable to comply with Rule 9.6.1 above shall make a Market Announcement within a period of one (1) month from the date of implementation of these Rules or an immediate Market Announcement from the date of non-compliance.	Not applicable

COMPLIANCE WITH SECTION 9 OF THE LISTING RULES ISSUED BY THE COLOMBO STOCK EXCHANGE

Section	Principle, Compliance and Implementation	Complied
9.6.3	The requirement for a SID.	Not applicable. However SID has been appointed on CBSL directions.
9.7.1	To take necessary steps to ensure that the Directors and the CEO are, at all times, fit and proper persons as required in terms of Rule no. 9.7.3.	✓
9.7.2	The Bank shall ensure that persons recommended by the Nominations and Governance Committee as Directors are fit and proper as required in terms of these Rules before such nominations are placed before the shareholders' meeting or appointments are made.	✓
9.7.3	Confirmation on Fit and Proper Assessment Criteria for the Financial year 2025.	✓
9.7.4	Listed Entities shall obtain declarations from their Directors and CEO on an annual basis confirming that each of them have continuously satisfied the Fit and Proper Assessment Criteria set out in these Rules during the financial year concerned and satisfies the said criteria as at the date of such confirmation.	✓
9.7.5	Disclosures in the Annual Report of the Bank a) A statement that the Directors and CEO of the Listed Entity satisfy the Fit and Proper Assessment Criteria stipulated in the Listing Rules of the Colombo Stock Exchange. b) Any non-compliance/s by a Director and/or the CEO of the Listed Entity with the Fit and Proper Assessment Criteria set out in these Rules during the financial year and the remedial action taken by the Listed Entity to rectify such noncompliance/s. Directors and CEO of Bank of Ceylon satisfy the Fit and Proper Assessment Criteria stipulated in the Listing Rules of the Colombo Stock Exchange.	✓
9.8.1	The Board of Directors of a Listed Entity shall, at a minimum, consist of five (05) Directors. The Board of the Bank consists of eleven (11) Directors.	✓
9.8.2	Minimum Number of Independent Directors: (a) The Board of Directors of the Bank shall include at least two (2) Independent Directors or such number equivalent to one third (1/3) of the total number of Directors of the Listed Entity at any given time, whichever is higher.	✓
9.8.3 & 9.8.5	Determining the Independence of directors based on the criteria given under this rule. A declaration is obtained from the individual Directors in terms of Rule no. 9.8.5 of the listing rules, of Colombo Stock Exchange.	✓
9.8.6	Compliance with Rules 9.8.1 and/ or 9.8.2	No noncompliance
9.9	Requirements to comply with the appointment of an Alternate Director to represent any Independent Director. Complied with the requirement for an Alternate Director as and when the need arises.	✓
9.10.1	The Bank shall disclose its policy on the maximum number of directorships it's Board members shall be permitted to hold in the manner specified in Rule 9.5.1. In the event such number is exceeded by a Director(s), the Entity shall provide an explanation for such noncompliance in the manner specified in Rule 9.5.2 above. Maximum number of directorships are decided based on CBSL directions and it has been complied with.	✓
9.10.2	The Bank shall, upon the appointment of a new Director to its Board, make an immediate Market Announcement setting out the following; i. A brief resume of such Director; ii. His/ her capacity of directorship; and, iii. Statement by the Entity indicating whether such appointment has been reviewed by the Nominations and Governance Committee of the Entity.	✓
9.10.3	The Bank shall make an immediate Market Announcement regarding any changes to the composition of the Board Committees referred to in Rule 9.3 above containing, at minimum, the details of changes including the capacity of directorship with the effective date thereof.	✓

Section	Principle, Compliance and Implementation	Complied
9.10.4	Disclosure of following in relation to the Directors in the Annual Report: (a) Name, qualifications and brief profile are given on pages 32 to 39 (b) Nature of their expertise in relevant functional areas are given on pages 32 to 39. (c) Whether either the Director or Close Family Members has any material business relationships with other Directors are given on pages 224 to 225. (d) Whether Executive, Non-Executive and/or independent Director are given on pages 32 to 39. (e) The total number and names of companies in Sri Lanka in which the Director concerned serves as a Director and/ or Key Management Personnel indicating whether such companies are listed or unlisted, whether such Director functions as executive or non-executive capacity (provided that if the directorships are within the Group of which the Bank is a part need not be disclosed) are given on pages 32 to 39. (f) Number of Board meetings attended are given on page 173. (g) Names of Board Committees in which the Director serves as Chairperson or a member are given on pages 180 to 190. (h) Details of attendance of Board Committee Meetings are given on page 173. (i) The terms of reference and powers of the SID.	✔ Not applicable
9.10.5	Immediate discloses of new appointments and changes to the composition of the Board.	✔
9.11.1	The Bank shall have a Nominations and Governance Committee that conforms to the requirements set out in Rule 9.11 of these Rules.	✔
9.11.2	The Bank shall establish and maintain a formal procedure for the appointment of new Directors and re-election of Directors to the Board through the Nomination and Governance Committee. A new procedure has been established to make the appointments through this Committee and have them endorsed by the Minister in charge of the banks since as per the enabling enactment only the Minister in charge has authority to appoint directors to the Board.	✔
9.11.3	The Nomination and Governance Committee shall have a written terms of reference clearly defining its scope, authority, duties and matters pertaining to the quorum of meetings.	✔
9.11.4	The composition of the Nomination and Governance Committee (1) The members of the Nominations and Governance Committee shall; (a) Comprise of a minimum of three (03) Directors out of which a minimum of two (02) members shall be Independent Directors of the Listed Entity. (b) Not comprise of Executive Directors of the Listed Entity. (2) An Independent Director shall be appointed as the Chairperson (3) The Chairperson and the members of the Nominations and Governance Committee shall be identified in the Annual Report of the Bank.	✔
9.11.5	Functions of the Nomination and Governance Committee are included in pages 186 to 187 of this Annual Report.	✔
9.11.6	Disclosures made in the report of the Nomination and Governance Committee.	✔
9.12	Remuneration Committee Remuneration of the Directors are decided by the Government of Sri Lanka and this Committee referred to as Human Resource and Remuneration Committee (HR&RC) in the Bank attends to the remuneration of the Senior Management and other HR matters referred to it by the Board. Report of this Committee is given on pages 184 to 185.	✔
9.12.5	There are written terms of Reference clearly defining its scope, authority, duties and matters pertaining to the quorum of the meeting.	✔
9.12.6	Composition of the HR&RC (1) (a) Comprise of a minimum of three (03) directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors of the Listed Entity. (b) Not comprise of Executive Directors of Listed Entity. 2) In a situation where both the parent company and the subsidiary are “Listed Entities”, the Remuneration Committee of the parent company may be permitted to function as the Remuneration Committee of the Subsidiary. (3) An Independent Director shall be appointed as the Chairperson of the Remuneration Committee.	✔ ✔ Not applicable. ✔

COMPLIANCE WITH SECTION 9 OF THE LISTING RULES ISSUED BY THE COLOMBO STOCK EXCHANGE

Section	Principle, Compliance and Implementation	Complied
9.13	AUDIT COMMITTEE	
9.13.2	The Audit Committee shall have a written terms of reference clearly defining its scope, authority and duties.	✓
9.13.3.	Composition of the Audit Committee (1) (a) Comprise of a minimum of three (03) directors of the Listed Entity, out of which a minimum of two (02) or a majority of the members, whichever higher, shall be Independent Directors. (b) Not comprise of Executive Directors of the Listed Entity.	✓
	(2) The quorum for a meeting of the Audit Committee shall require that the majority of those in attendance to be independent directors.	✓
	(3) The Audit Committee may meet as often as required provided that the Audit Committee compulsorily meets on a quarterly basis prior to recommending the financial to be released to the market.	✓
	(4) An Independent Director shall be appointed as the Chairperson of the Audit Committee by the Board of Directors.	✓
	(5) Unless otherwise determined by the Audit Committee, the CEO and the Chief Financial Officer (CFO) of the Listed Entity shall attend the Audit Committee meetings by invitation. Provided however where the Listed Entity maintains a separate Risk Committee, the CEO shall attend the Risk Committee meetings by invitation.	✓
	(6) The Chairperson of the Audit Committee shall be a Member of a recognised professional accounting body.	✓
9.13.4	Functions of the Audit Committee.	✓
9.13.5	Disclosures in the Annual Report.	✓
9.14.2	Related Party Transactions Review Committee. Composition of the Related Party Transactions Review Committee (1) (a) Comprise of a minimum of three (03) directors of the Listed Entity, out of which two (02) members shall be Independent Directors. Independent Director is the Chairman of the Committee	✓
9.14.3	Functions of the Committee (Please refer page 190)	✓
9.14.4	General Requirements	✓
9.14.5	Review of Related Party Transactions by the Related Party Transactions Review Committee	✓
9.14.8	Disclosures	
	(1) Non-recurrent related party transactions	Will be complied with as and when the need arises
	(2) Recurrent related party transactions	Will be complied with as and when the need arises
	(3) (a) The names of the Directors comprising the committee (Please refer page no. 190) (b) A statement to the effect that the committee has reviewed the Related Party Transactions during the financial year and has communicated its comments/ observations to the Board. (c) The policies and procedures adopted by the committee reviewing the related party transactions. (4) An affirmative declaration by the Board that these rules pertaining to related party transactions have been complied with. (Please refer page no. 190)	
9.14.9	Acquisition and disposal of assets from/to related parties	Will be complied with as and when the need arises
9.17	Additional Disclosures	✓

OTHER COMPLIANCE REQUIREMENTS ENFORCED BY COLOMBO STOCK EXCHANGE

Compliance to the Listing Rules on contents of Annual Report, which were applicable to the Bank for the year ended 31 December 2025 enforced by the Colombo Stock Exchange, are summarised below:

Rule No.	Requirement	Period	Date submitted
7.4.a.(i)	The Interim Financial Statements prepared on quarterly basis, approved by the Board of Directors to be submitted to CSE within 45 days from respective quarter ends for the first three quarters and within two months at the end of 4th quarter.	Quarter 1 ended 31 March 2025	15 May 2025
		Quarter 2 ended 30 June 2025	14 August 2025
		Quarter 3 ended 30 September 2025	13 November 2025
		Quarter 4 ended 31 December 2025	26 February 2026

Rule No.	Requirement	Period
7.4.b.(i)	Comply with LKAS 34 and disclose Group and Bank separately.	Complied with. Complied with.
7.4.b.(ii)	Disclose the additional notes and ratios as per Listing Rules.	Complied with.
7.4.b.(iii)	Be signed by two Directors.	Complied with.
7.4.b.(iv)	State whether the Financial Statements are audited or not.	Complied with.
7.5.a	Annual Report to be submitted to CSE within five months from the closure of financial year.	The Audited Financial Statements for the year ended 31 December 2025 was submitted on 26 February 2026. Annual Report for the year 2025 will be submitted before the deadline.

Rule No.	Disclosure Requirement	Reference/Comments	Page No.
7.6.(i)	Names of persons who during the financial year were Directors of the entity.	Annual Report of the Board of Directors on the State of Affairs of Bank of Ceylon.	218-223
7.6.(ii)	Principal activities of the entity and its subsidiaries during the year and any changes therein.	Annual Report of the Board of Directors on the State of Affairs of Bank of Ceylon.	218
		Notes to the Financial Statements.	246
7.6.(iii)	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held.	Government of Sri Lanka is the sole shareholder of Bank of Ceylon.	468
7.6.(iv)	The public holding percentage.	Not applicable.	
7.6.(v)	A statement of each Director's holding and Chief Executive Officer's holding in shares of the entity at the beginning and end of each financial year.	Not applicable.	
7.6.(vi)	Information pertaining to material foreseeable risk factors of the entity.	Risk and Sustainable Growth	191-216
7.6.(vii)	Details of material issues pertaining to employees and industrial relations of the entity.	No material issues occurred during the year under review.	-
7.6.(viii)	Extents, locations, valuations and the number of buildings of the entity's land holdings and investment properties.	Notes 33 and 34 to the Financial Statements.	314-330
7.6.(ix)	Number of shares representing the entity's stated capital.	Note 50.1 to the Financial Statements.	356

Rule No.	Disclosure Requirement	Reference/Comments	Page No.
7.6.(x)	A distribution schedule of the number of holders in each class of equity securities and percentage of their total holdings.	Government of Sri Lanka is the sole shareholder of Bank of Ceylon.	468
7.6.(xi)	Ratios and market price information:		
	1. Dividend per share, net assets value per share, interest rate of comparable Government Securities, Debt/equity ratio, interest cover and liquid asset ratio.	Notes 20, 49.2, 50.2 and 65 to the Financial Statements.	273, 354, 356 and 403
		Supplementary Information	462-470
	2. Market information on listed debentures.	Note 49 to the Financial Statements.	352
		Supplementary Information	456
	3. Any changes in credit rating.	Corporate Information	476
7.6.(xii)	Significant changes in the entity's or its subsidiaries' fixed assets and the market value of the land, if the value differs substantially from the book value.	Note 34 to the Financial Statements.	316-330
7.6.(xiii)	During the year the entity has raised funds either through a public issue, rights issue and private placement.	Notes 44, 49 and 50 to the Financial Statements.	339, 352 and 356
7.6.(xiv)	Information in respect of each employee share ownership or stock option scheme.	Not applicable.	-
7.6.(xv)	Disclosures pertaining to Corporate Governance practices in terms of Section 9 of the Rules.	Governance at Bank of Ceylon Compliance Annexes	162-190 436-440
7.6.(xvi)	Related party transactions exceeding 10% of the equity or 5% of the total assets of the entity as per Audited Financial Statements, whichever is lower.	Supplementary Information	470

COMPLIANCE REQUIREMENTS ENFORCED BY THE CENTRAL BANK OF SRI LANKA

Circular No.	Requirement	Period	Date published in Sinhala, Tamil and English Newspapers
No. 05 of 2024 31 December 2024	6.1 The publication should be made within two months from the end of each quarter, at least once in an English, Sinhala and Tamil newspaper.	Quarter 1 ended 31 March 2025	30 May 2025
		Quarter 2 ended 30 June 2025	29 August 2025
		Quarter 3 ended 30 September 2025	27 November 2025
	6.2 Publication of annual audited financial statements shall be made within three months from the end of the financial year.	Quarter 4 ended 31 December 2025 (Audited)	20 March 2026
	6.3 If the Bank publishes its Audited Financial Statements within three months from the end of the financial year, the requirement to publish the Financial Statements for the 4th quarter in terms of 6.1 above would not be mandatory.		

Compliance to other disclosure requirements on Annual Financial Statements, which were applicable to licensed commercial banks are summarised below:

1.	**Information about the significance of financial instruments for financial position and performance**		
1.1	**Statement of Financial Position**		
1.1.1	Disclosures on categories of financial assets and financial liabilities		Note 21 to the Financial Statements
1.1.2	Other disclosures		
	(i)	Special disclosures about financial assets and financial liabilities designated to be measured at fair value through profit or loss, including disclosures about credit risk and market risk, changes in fair value attributable to these risks and the methods of measurement	Note 4.4, 27 and 64 to the Financial Statements
	(ii)	Reclassifications of financial instruments from one category to another	Note 63.4 to the Financial Statements
	(iii)	Information about financial assets pledged as collateral and about financial or nonfinancial assets held as collateral	Note 58 to the Financial Statements
	(iv)	Reconciliation of the allowance account for credit losses by class of financial assets	Note 28.2 and 29.3 to the Financial Statements
	(v)	Information about compound financial instruments with multiple embedded derivatives	None
	(vi)	Breaches of terms of loan agreements	None
1.2	**Statement of Comprehensive Income**		
1.2.1	Disclosures on items of income, expense, gains and losses		Note 7 to 18 to the Financial Statements
1.2.2	Other disclosures		
	(i)	Total interest income and total interest expense for those financial instruments that are not measured at fair value through profit and loss	Note 8 to the Financial Statements
	(ii)	Fee income and expense	Note 9 to the Financial Statements
	(iii)	Amount of impairment losses by class of financial assets	Note 14 to the Financial Statements
	(iv)	Interest income on impaired financial assets	Note 8.1 to the Financial Statements
1.3	**Other disclosures**		
1.3.1	Accounting policies for financial instruments		Note 4.4, 21 to 30, 39 to 44 and 49 to the Financial Statements
1.3.2	Information on financial liabilities designated at FVTPL		None
1.3.3	Investments in equity instruments designated at FVOCI		
	(i)	Details of equity instruments that have been designated as at FVOCI and the reasons for the designation.	Note 30 to the Financial Statements
	(ii)	Fair value of each investment at the reporting date	Note 30.2 and 30.3 to the Financial Statements
	(iii)	Comparable carrying amounts	Note 30 to the Financial Statements
	(iv)	Description of how fair value was determined	Note 63 to the Financial Statements
	(v)	Dividends recognised during the period, separately for investments derecognised during the reporting period and those held at the reporting date.	Note 10 and 13 to the Financial Statements

	(vi) Transfer cumulative gain or loss within equity during the period and the reasons for those transfers	Note 12 to the Financial Statements
	(vii) If investments in equity instruments measured at FVOCI are derecognised during the reporting period,	None
	• Reasons for disposing of the investments	
	• Fair value of the investments at the date of derecognition	
	• The cumulative gain or loss on disposal	
1.3.4	Reclassification of financial assets	
	(i) For all reclassifications of financial assets in the current or previous reporting period	Note 29 to the Financial Statements
	• Date of reclassification	
	• Detailed explanation of the change in the business model and a qualitative description of its effect on the Financial Statements	
	• The amount reclassified into and out of each category	
	(ii) For reclassifications from FVTPL to amortised cost of FVOCI	None
	• The effective interest rate (EIR) determined on the date of reclassification	
	• The interest revenue recognised	
	(iii) For reclassifications from FVOCI to amortised cost, or from FVTPL to amortised cost or FVOCI	Note 29 to the Financial Statements
	• The fair value of the financial assets at the reporting date	
	• The fair value gain or loss that would have been recognised in profit or loss or OCI during the reporting period if the financial assets had not been reclassified.	
1.3.5	Information on hedge accounting	Note 53 to the Financial Statements
1.3.6	Information about the fair values of each class of financial asset and financial liability, along with:	
	(i) Comparable carrying amounts	Note 63 to the Financial Statements
	(ii) Description of how fair value was determined	Note 63 to the Financial Statements
	(iii) The level of inputs used in determining fair value	Note 63 to the Financial Statements
	(iv) (a) Reconciliations of movements between levels of fair value measurement hierarchy	None
	(b) Additional disclosures for financial instruments that fair value is determined using Level 3 inputs	Note 63.1.3 to the Financial Statements
	(v) Information if fair value cannot be reliably measured	Note 63.1.3 to the Financial Statements
2.	**Information about the nature and extent of risks arising from financial instruments**	
2.1	**Qualitative disclosures**	
2.1.1	Risk exposures for each type of financial instrument	Risk Report and Note 64 to the Financial Statements
2.1.2	Management's objectives, policies, and processes for managing those risks	Risk Management Report
2.1.3	Changes from the prior period	Risk Management Report
2.2	**Quantitative disclosures**	
2.2.1	Summary of quantitative data about exposure to each risk at the reporting date	Note 64 to the Financial Statements
2.2.2	Disclosures about credit risk, liquidity risk, market risk, operational risk, interest rate risk and how these risks are managed	Note 64 to the Financial Statements
	(i) Credit Risk	Note 64.2 to the Financial Statements
	(a) Maximum amount of exposure (before deducting the value of collateral), description of collateral, information about credit quality of financial assets that are neither past due nor impaired and information about credit quality of financial assets	Note 64.2.2 to the Financial Statements
	(b) For financial assets that are past due or impaired, disclosures on age, factors considered in determining as impaired and the description of collateral on each class of financial asset	Note 64.2.1 to the Financial Statements
	(c) Information about collateral or other credit enhancements obtained or called	Note 64.2.2.1 to the Financial Statements

COMPLIANCE REQUIREMENTS ENFORCED BY THE CENTRAL BANK OF SRI LANKA

(d) Credit risk management practices – CRM practices and how they relate to the recognition and measurement ECL, including the methods, assumptions, and information used to measure ECL	Note 28 and 64 to the Financial Statements
• Quantitative and qualitative information to evaluate the amounts in the Financial Statements arising from ECL, including changes and the reasons for those changes	
• How the Bank determines whether the credit risk of financial instruments has increased significantly since initial recognition	
• The Bank's definitions of default for different financial instruments, including the reasons for selecting those definitions	
• How instruments are grouped if ECL are measured on a collective basis	
• How the Bank determines that financial assets are credit – impaired	
• The Bank's write-off policy, including the indicators that there is no reasonable expectation of recovery	
• How the modification requirements have been applied	
(e) ECL calculations	Note 28 to the Financial Statements
• Basis of the inputs, assumptions and the estimation techniques used when estimating ECL	
• How forward – looking information has been incorporated into the determination of ECL including the use of macroeconomic information. Changes in estimation techniques or significant assumptions made during the reporting period	
(f) Amounts arising from ECL	Note 22, 24, 28 and 29 to the Financial Statements
• Reconciliation for each class of financial instruments of the opening balance to the closing balance of the impairment loss allowance	
(g) Collateral	Note 64.2.2 to the Financial Statements
• Bank's maximum exposure to credit risk at the reporting date	
• Description of collateral held as security and other credit enhancements	
(h) Written-off assets	Note 28 to the Financial Statements
• Contractual amount outstanding of financial assets written off during the reporting period that are still subject to enforcement activity.	
(i) Pillar III disclosures of the Banking Act Directions No 1 of 2016 on Capital requirements under Basel III for licensed banks	Capital Adequacy in Compliance annexes
(ii) Liquidity Risk	
(a) A maturity analysis of financial liabilities	Note 60 to the Financial Statements
(b) Description of approach to risk management	Risk Management Report and Note 64.3 to the Financial Statements
(c) Pillar III disclosures of the Banking Act Direction No. 1 of 2016 on Capital requirements under Basel III for Licensed Banks	Capital Adequacy in Compliance Annexes
(iii) Market Risk	
(a) A sensitivity analysis of each type of market risk to which the entity is exposed	Note 64.4 to the Financial Statements
(b) Additional information, if the sensitivity analysis is not representative of the Bank's risk exposure	Note 64.4 to the Financial Statements
(c) Pillar III disclosures of the Banking Act Directions No. 1 of 2016 on Capital requirements under Basel III for Licensed Banks	Capital Adequacy in Compliance Annexes
(iv) Operational Risk Pillar III disclosures of the Banking Act Direction No. 1 of 2016 on Capital requirements under Basel III for Licensed Banks	Capital Adequacy in Compliance Annexes
(v) Equity risk in the banking book	
(a) Qualitative disclosures	
Differentiation between holdings on which capital gains are expected and those taken under other objectives including for relationship and strategic reasons	Note 27 and 30 to the Financial Statements

	Discussion of important policies covering the valuation and accounting of equity holdings in the banking book	Note 27 and 30 to the Financial Statements
	(b) Quantitative disclosures	
	Value disclosed in the Statement of Financial Position of investments, as well as the fair value of those investments; for quoted securities, a comparison to publicly quoted share values where the share price is materially different from fair value	Note 27.2, 30.2 and 30.3 to the Financial Statements
	The types and nature of investments	Note 27 and 30 to the Financial Statements
	The cumulative realised gains/ (losses) arising from sales and liquidations in the reporting period	Note 12 to the Financial Statements
	(vi) Interest rate risk in the banking book	
	(a) Qualitative disclosures	
	Nature of interest rate risk in the banking book (IRRBB) and key assumptions	Note 64.4.2 to the Financial Statements
	(b) Quantitative disclosures	
	The increase/(decline) in earnings or economic value (or relevant measure used by management) for upward and downward rate shocks according to management's method for measuring IRRBB, broken down by currency (as relevant)	Note 64.4.3 to the Financial Statements
2.2.3	Information on concentrations of risk	Note 64.2.4 to the Financial Statements
3.	**Other Disclosures**	
3.1	**Capital**	
3.1.1	Capital structure	Note 50 to the Financial Statements
3.2	**Qualitative disclosures**	
	Summary information on the terms and conditions of the main features of all capital instruments, especially in the case of innovative, complex or hybrid capital instruments	Debt – Note 49 to the Financial Statements Equity – Note 50 to the Financial Statements
3.3	**Quantitative disclosures**	
3.3.1	Quantitative disclosures	
	• Paid-up share capital/common stock	Capital Adequacy in Compliance Annexes
	• Reserves	Capital Adequacy in Compliance Annexes
	• Non-controlling interests in the equity of subsidiaries	Capital Adequacy in Compliance Annexes
	• Innovative instruments	None
	• Other capital instruments	None
	(a) Deductions from Tier I capital	Capital Adequacy in Compliance Annexes
	(b) The total amount of Tier 2 and Tier 3 capital	Capital Adequacy in Compliance Annexes
	(c) Other deductions from capital	Capital Adequacy in Compliance Annexes
	(d) Total eligible capital	Capital Adequacy in Compliance Annexes
3.4	**Capital adequacy**	
	(i) Qualitative disclosures	
	A summary discussion of the Bank's approach to assessing the adequacy of its capital or support current and future activities	Risk Report and Note 64.6 to the Financial Statements
	(ii) Quantitative disclosures	
	(a) Capital requirements for credit risk, market risk and operational risk	Capital Adequacy in Compliance Annexes
	(b) Total and Tier 1 capital ratio	Capital Adequacy in Compliance Annexes

CAPITAL ADEQUACY

The Bank maintains a robust capital base in accordance with the Banking Act Direction No. 01 of 2016 and its subsequent amendments issued by the Central Bank of Sri Lanka (CBSL), ensuring adequate capacity to support business growth and withstand potential stress scenarios.

During the year, the Bank strengthened its capital position through calibrated capital-raising initiatives. In **May 2025**, the Bank issued subordinated debentures amounting to **LKR 15.0 billion** qualifying as **Tier 2 capital** under applicable regulatory guidelines. Subsequently, in **December 2025**, the Bank issued **LKR 20.0 billion** Sustainability Bond, also qualifying as **Tier 2 capital**, further enhancing the Bank's loss-absorbing capacity while reinforcing its commitment to sustainable and responsible financing.

These capital augmentation measures have supported the Bank in maintaining capital adequacy ratios comfortably above the prescribed regulatory thresholds and position the Bank well to pursue sustainable growth while meeting stakeholder and regulatory expectations.

Four-year Summary	Regulatory Minimum %	Bank's position as at 31.12.2025 %	31.12.2024 %	31.12.2023 %	31.12.2022 %
Common Equity Tier 1 (CET 1) Capital Ratio	8.50	11.44	11.97	11.71	11.34
Total Tier 1 Ratio	10.00	12.37	13.00	12.76	12.41
Total Capital Ratio	15.00	16.89	16.55	15.84	15.38

Central Bank of Sri Lanka has directed Bank of Ceylon to maintain an additional capital buffer of 1% at a minimum, above the regulatory requirement of 14% in line with section 19(10) of the Banking Act No. 30 of 1988, as amended.

Basel III Disclosure Requirements Under Pillar 3 as per Banking Act Direction No 01 of 2016

Disclosure 1 : Key Regulatory Ratios - Capital and Liquidity

As at December 31	Bank		Group	
	2025	2024	2025	2024
Basel III				
Regulatory Capital (LKR '000)				
Common Equity	225,968,229	213,974,181	238,613,145	225,092,530
Tier 1 Capital	244,318,229	232,324,181	256,963,145	243,442,530
Total Capital	333,554,992	295,847,113	349,258,391	308,734,524
Regulatory Capital Ratios (%)				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 8.50%)	11.44	11.97	11.47	12.15
Tier 1 Capital Ratio (Minimum Requirement - 10.00%)	12.37	13.00	12.35	13.14
Total Capital Ratio (Minimum Requirement - 15.00%)	16.89	16.55	16.79	16.66
Leverage Ratio (Minimum Requirement - 3.00%)	4.12	4.41	4.26	4.56

As at December 31	Bank	
	2025	2024
Regulatory Liquidity		
Total Stock of High-Quality Liquid assets	2,314,179,943	2,197,634,472
Liquidity Coverage Ratio (%) - Rupee (Minimum Requirement 100%)	296.00	329.00
Liquidity Coverage Ratio (%) - All Currency (Minimum Requirement 100%)	260.38	269.63
Net Stable Funding Ratio (%) (Minimum Requirement 100%)	156.59	157.91

Disclosure 2 : Basel III Computation of Capital Ratios

	Bank		Group	
As at December 31	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Common Equity Tier 1 (CET 1) Capital after Adjustments	**225,968,229**	**213,974,181**	**238,613,145**	**225,092,530**
Total Common Equity Tier 1 (CET 1) Capital	**264,811,099**	**240,410,289**	**273,722,908**	**247,630,605**
Equity Capital (Stated Capital)/ Assigned Capital	25,730,000	25,730,000	25,730,000	25,730,000
Reserve Fund	18,474,000	16,953,000	18,474,000	16,953,000
Published Retained Earnings/ (Accumulated Retained Losses)	204,351,656	183,388,860	207,048,884	185,536,613
Published Accumulated other Comprehensive Income (OCI)	15,586,377	14,169,362	22,103,381	19,044,348
General and other Disclosed Reserves	669,066	169,067	366,643	366,644
Unpublished current year's profit/ (losses) and gains reflected in OCI	-	-	-	-
Ordinary shares issued by consoloidated banking and financial subsidaries of the Bank and held by third parties	-	-	-	-
Total Adjustments to CET 1 Capital	**38,842,870**	**26,436,108**	35,109,763	**22,538,075**
Goodwill (net)	-	-	-	-
Intangible Assets (net)	2,790,651	1,349,633	2,888,809	1,454,056
Revaluation losses of property, plant and equipment	-	-	-	-
Deferred tax assets (net)	27,402,018	20,014,886	27,518,175	20,094,205
Investments in the capital of banking and financial institutions where the bank does not own more than 10 percent of the issued ordinary share capital of the entity	4,789,754	1,055,415	4,702,779	989,814
Significant investments in the capital of financial institutions where the bank owns more than 10 percent of the issued ordinary share capital of the entity	3,860,447	4,016,174	-	-
Shortfall of capital in financial subsidiaries	-	-	-	-
Additional Tier 1 (AT I) capital after adjustments	**18,350,000**	**18,350,000**	**18,350,000**	**18,350,000**
Total Additional Tier 1 (AT I) capital	**18,350,000**	**18,350,000**	**18,350,000**	**18,350,000**
Qualifying Additional Tier 1 Capital Instruments	18,350,000	18,350,000	18,350,000	18,350,000
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by third parties	-	-	-	-
Total Adjustments to AT 1 Capital	-	-	-	-
Investment in Own Shares	-	-	-	-
Others	-	-	-	-
Tier 2 Capital after Adjustments	**89,236,763**	**63,522,932**	**92,295,246**	**65,291,994**
Total Tier 2 Capital	**89,236,763**	**63,599,595**	**92,295,246**	**65,363,893**
Qualifying Tier 2 Capital Instruments	55,067,403	31,582,633	56,848,181	32,446,517
Revaluation Gains	12,094,493	12,094,493	12,094,493	12,094,493
General Provisions	22,074,867	19,922,470	23,352,572	20,822,883
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by third parties	-	-	-	-
Total Adjustments to Tier 2 Capital	**-**	**76,664**	**-**	**71,898**
Investment in Own Shares	-	-	-	-
Investments in the capital of financial institutions and where the bank does not own more than 10 percent of the issued capital carrying voting rights of the issuing entity	-	76,664	-	71,898
Significant investments in the capital of banking and financial institutions where the bank own more than 10 percent of the issued ordinary share capital of the entity	-	-	-	-
CET I Capital	**225,968,229**	**213,974,181**	**238,613,145**	**225,092,530**
Total Tier 1 Capital	**244,318,229**	**232,324,181**	**256,963,145**	**243,442,530**
Total Capital	**333,554,992**	**295,847,113**	**349,258,391**	**308,734,524**

CAPITAL ADEQUACY

	Bank		Group	
As at December 31	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Total Risk Weighted Amount (RWA)	**1,974,546,471**	**1,787,568,775**	**2,080,409,237**	**1,852,854,602**
RWAs for Credit Risk	1,765,989,352	1,593,797,563	1,868,205,732	1,665,830,650
RWAs for Market Risk	18,695,550	18,181,609	18,700,957	18,192,131
RWAs for Operational Risk	189,861,569	175,589,603	193,502,548	168,831,821
CET I Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer and Surcharge on D-SIBs) (%)	**11.44**	**11.97**	**11.47**	**12.15**
of which : Capital Conservation Buffer (%)	2.50	2.50	2.50	2.50
of which : Countercyclical Buffer (%)	N/A	N/A	N/A	N/A
of which : Capital Surcharge on D-SIBs (%)	1.50	1.50	1.50	1.50
Total Tier 1 Capital Ratio (%)	12.37	13.00	12.35	13.14
Total Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer and surcharge on D-SIBs) (%)	16.89	16.55	16.79	16.66
of which : Capital Conservation Buffer (%)	2.50	2.50	2.50	2.50
of which : Countercyclical Buffer (%)	N/A	N/A	N/A	N/A
of which : Capital Surcharge on D-SIBs (%)	1.50	1.50	1.50	1.50

Disclosure 3 : Leverage Ratio

	Bank		Group	
As at December 31	2025	2024	2025	2024
	LKR '000	LKR '000	LKR '000	LKR '000
Tier 1 Capital	**244,318,229**	**232,324,181**	**256,963,145**	**243,442,530**
Total Exposures	**5,926,436,168**	**5,263,003,247**	**6,029,668,971**	**5,334,097,320**
On-Balance Sheet Items (Excluding Derivatives and Securities Financing Transactions, but including Collateral)	5,421,461,809	4,934,076,276	5,524,434,993	4,984,240,834
Derivative Exposures	12,218,673	34,976,800	12,218,673	34,976,800
Securities Financing Transaction Exposures	310,516,074	122,037,441	310,775,693	142,966,957
Other Off-Balance Sheet Exposures	182,239,612	171,912,729	182,239,612	171,912,729
Basel III Leverage Ratio (%) (Minimum Requirement - 3%)	**4.12**	**4.41**	**4.26**	**4.56**

Disclosure 4 : Net Stable Funding Ratio (NSFR) and Liquidity Coverage Ratio (LCR)

As at December 31	2025	2024
	LKR '000	LKR '000
Total Available Stable Funding (ASF)	**3,481,305,887**	**3,369,744,517**
Required Stable Funding - On Balance Sheet Assets	2,208,465,145	2,120,039,917
Required Stable Funding - Off Balance Sheet Assets	14,783,190	13,921,816
Total Required Stable Funding (RSF)	**2,223,248,335**	**2,133,961,732**
NSFR (%) (Minimum Requirement - 100%)	**156.59**	**157.91**

Basel III computation of Liquidity Coverage Ratio (LCR) - All Currency (Bank Only)

	2025		2024	
As at December 31	Total Un-Weighted Value LKR '000	Total Weighted Value LKR '000	Total Un-Weighted Value LKR '000	Total Weighted Value LKR '000
Total Stock of High - Quality Liquid Asset (HQLA)	**2,320,262,064**	**2,314,179,943**	**2,203,734,811**	**2,197,634,472**
Total Adjusted Level I Assets	**2,295,440,559**	**2,295,440,559**	**2,168,776,371**	**2,168,776,371**
Level 1 Assets	**2,281,108,292**	**2,281,108,292**	**2,164,983,392**	**2,164,983,392**
Total Adjusted Level 2A Assets	**38,556,471**	**32,773,000**	**37,929,632**	**32,240,187**
Level 2A Assets	**38,556,471**	**32,773,000**	**37,929,632**	**32,240,187**
Total Adjusted Level 2B Assets	**597,302**	**298,651**	**821,787**	**410,894**
Level 2B Assets	**597,302**	**298,651**	**821,787**	**410,894**
Total Cash Outflows	**5,126,910,250**	**1,119,611,050**	**4,748,090,596**	**947,626,422**
Deposits	2,441,369,302	244,136,930	2,468,284,061	246,828,406
Unsecured Wholesale Funding	1,851,716,849	774,040,333	1,631,762,955	655,196,728
Secured Funding Transactions	166,006,583	-	66,785,916	-
Undrawn Portion of Committed (Irrevocable) Facilities and Other Contingent Funding Obligations	610,983,437	44,599,708	573,680,556	38,024,181
Additional Requirements	56,834,079	56,834,079	7,577,107	7,577,107
Total Cash Inflows	**325,736,591**	**230,843,791**	**225,469,817**	**132,558,889**
Maturing Secured Lending Transaction Backed by Collateral	-	-	23,300,000	-
Committed Facilities	5,000,000	-	5,000,000	-
Other Inflows by Counterparty which are Maturing Within 30 Days	248,415,345	172,856,692	170,213,392	124,946,994
Operational Deposits	14,334,147	-	19,344,530	-
Other Cash Inflows	57,987,099	57,987,099	7,611,895	7,611,895
Liquidity Coverage Ratio (%) (Stock of High quality Liquid Assets/ Total Net Cash Outflows over the Next 30 Calender Days)*100		**260.38**		**269.63**

CAPITAL ADEQUACY

Disclosure 5 : Main Features of Regulatory Capital Instruments

Description of the Capital Instrument					
Issuer	Bank of Ceylon	Bank of Ceylon	Bank of Ceylon	Bank of Ceylon	Bank of Ceylon
Unique Identifier	N/A	N/A	N/A	N/A	LK0357D25222
Governing Laws of the Intrument	Laws of Sri Lanka	Laws of Sri Lanka	Laws of Sri Lanka	Laws of Sri Lanka	Laws of Sri Lanka
Original Date of Issuance	31-Jul-18	26-Jul-19	22-Nov-21	30-Dec-22	27-Dec-23
Par Value of Instrument - LKR	100	100	100	100	100
Issued quantity (No of Debentures)	67,000,000	611,500	51,500,000	64,900,000	100,000,000
Issued Quantity (LKR '000)	6,700,000	61,150	5,150,000	6,490,000	10,000,000
Perpetual or Dated	Dated	Dated	Dated	Dated	Dated
Original Maturity Date, if Applicable	30-Jul-26	25-Jul-27	22-Nov-26	29-Dec-27	27-Dec-28
Amount Recognised in Regulatory Capital (in LKR '000 as at the Reporting Date)	670,000	21,403	1,030,000	2,596,000	6,000,000
Accounting Classification (Equity/ Liability)	Liability	Liability	Liability	Liability	Liability
Coupons/ Dividends					
Fixed or Floting Dividend/ Coupon	FIXED	FIXED	FLOATING	FIXED	FIXED
Coupon Rate and any Related Index %	12.00	11.75	10.41	29.00	15.00
Non-Cumulative or Cumulative	Non-Cumulative	Non-Cumulative	Non-Cumulative	Non-Cumulative	Non-Cumulative
Convertible or Non-Convertible	Non Convertible	Non Viability write down	Non Viability write down	Non Viability write down	Non Viability write down

Description of the Capital Instrument				
Issuer	Bank of Ceylon	Bank of Ceylon	Bank of Ceylon	Bank of Ceylon
Unique Identifier	LK0357D25495	LK0357D25727	LK0357D26139	LK0357D26147
Governing Laws of the Intrument	Laws of Sri Lanka	Laws of Sri Lanka	Laws of Sri Lanka	Laws of Sri Lanka
Original Date of Issuance	20-Sep-24	26-May-25	24-Dec-25	24-Dec-25
Par Value of Instrument - LKR	100	100	100	100
Issued quantity (No of Debentures)	150,000,000	150,000,000	198,140,000	1,860,000
Issued Quantity (LKR '000)	15,000,000	15,000,000	19,814,000	186,000
Perpetual or Dated	Dated	Dated	Dated	Dated
Original Maturity Date, if Applicable	20-Sep-29	26-May-30	24-Dec-30	24-Dec-30
Amount Recognised in Regulatory Capital (in LKR '000 as at the Reporting Date)	11,250,000	13,500,000	19,814,000	186,000
Accounting Classification (Equity/ Liability)	Liability	Liability	Liability	Liability
Coupons/ Dividends				
Fixed or Floting Dividend/ Coupon	FIXED	FIXED	FIXED	FLOATING
Coupon Rate and any Related Index %	13.50	11.25	10.50	10.19
Non-Cumulative or Cumulative	Non-Cumulative	Non-Cumulative	Non-Cumulative	Non-Cumulative
Convertible or Non-Convertible	Non Viability write down	Non Viability write down	Non Viability write down	Non Viability write down

Disclosure 6 : Summary discussion on adequacy/ meeting current and future capital requirements

Capital adequacy is managed on a forward-looking and dynamic basis. The Bank closely monitors capital ratios and their key drivers. This continuous monitoring framework enables the early identification of potential capital pressures and facilitates the timely implementation of preventive and corrective measures, ensuring resilience in volatile operating environments.

Looking ahead, the Bank has incorporated capital planning as a strategic priority within its five-year corporate strategic plan. The plan places specific emphasis on capital augmentation and infusion mechanisms to support projected growth, meet future regulatory expectations and achieve targeted budgetary outcomes. This structured approach ensures that future capital requirements are met without compromising financial stability or regulatory compliance.

In summary, the Bank's capital position remains adequate for both current operations and future strategic objectives, supported by strong buffers, disciplined monitoring, and a clearly articulated capital strategy. This approach aligns with prevailing industry trends in Sri Lanka and reinforces the Bank's readiness to meet evolving regulatory, economic and business challenges under the Basel III framework.

Disclosure 7 : Credit Risk Under Standardised Approach

Credit Risk Exposures and Credit Risk Mitigation (CRM) Effects - Bank

	Amount (LKR '000)					
As at December 31 2025	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures Post CCF and CRM		RWA and RWA Density (%)	
	On Balance Sheet Amount	Off Balance Sheet Amount	On Balance Sheet Amount	Off Balance Sheet Amount	RWA	RWA Density (%)
Claims on Central Goverment and CBSL	3,179,777,339	24,748,595	3,179,777,339	4,949,719	113,311,153	3.56%
Claims on Foreign Sovereigns and their Central Bank	69,360,607	-	69,360,607	-	99,207,668	143.03%
Claims on Public Sector Entities (PSEs)	237,656,138	98,995,604	53,960,111	8,269,754	41,193,640	66.20%
Claim on Official Entities and Multilateral Development Banks (MDBs)	-	-	-	-	-	-
Claims on Banks Exposures	104,762,049	46,966,949	104,762,049	46,966,949	115,448,542	76.09%
Claims on Financial Institutions	30,924,742	-	30,924,742	-	16,598,946	53.68%
Claims on Corporates	327,396,100	235,412,742	271,738,303	38,211,071	296,373,325	95.62%
Retail Claims	794,428,434	319,276,052	717,568,606	-	577,070,200	80.42%
Claims Secured by Gold	217,872,388	-	217,872,388	-	1,238	0.00%
Claims Secured by Residential Property	88,833,429	-	88,833,429	-	37,802,355	42.55%
Claims secured by Commercial Real Estate	56,437,023	-	56,437,023	-	56,437,023	100.00%
Non-Performing Assets (NPAs)	148,629,513	-	148,629,513	-	196,331,032	132.09%
Higher - risk Categories	2,346,184	-	2,346,184	-	5,865,461	250.00%
Cash Items and Other Assets	247,837,446	45,467,359	247,837,446	45,467,359	210,348,769	71.72%
Total	**5,506,261,392**	**770,867,301**	**5,190,047,740**	**143,864,852**	**1,765,989,352**	**33.11%**

Credit Risk Exposures and Credit Risk Mitigation (CRM) Effects - Group

	Amount (LKR '000)					
As at December 31, 2025	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures Post CCF and CRM		RWA and RWA Density (%)	
	On Balance Sheet Amount	Off Balance Sheet Amount	On Balance Sheet Amount	Off Balance Sheet Amount	RWA	RWA Density (%)
Claims on Central Government and CBSL	3,200,884,018	24,748,595	3,200,884,018	4,949,719	113,311,153	3.53%
Claims on Foreign Sovereigns and their Central Banks	69,360,607	-	69,360,607	-	99,207,668	143.03%
Claims on Public Sector Entities (PSEs)	266,479,556	98,995,604	53,960,111	7,910,603	41,119,199	66.46%
Claim on Official Entities and Multilateral Development Banks (MDBs)	-	-	-	-	-	-
Claims on Banks Exposures	134,687,477	46,966,949	134,687,477	46,966,949	145,373,970	80.03%
Claims on Financial Institutions	30,924,742	-	30,924,742	-	16,598,946	53.68%
Claims on Corporates	399,224,409	235,412,742	343,566,612	38,211,071	368,201,634	96.44%
Retail Claims	794,428,434	319,276,052	717,568,606	-	577,070,200	80.42%
Claims Secured by Gold	217,872,388	-	217,872,388	-	1,238	0.00%
Claims Secured by Residential Property	88,833,429	-	88,833,429	-	37,802,355	42.55%
Claims Secured by Commercial Real Estate	56,437,023	-	56,437,023	-	56,437,023	100.00%
Non - Performing Assets (NPAs)	148,629,513	-	148,629,513	-	196,331,032	132.09%
Higher - Risk Categories	-	-	-	-	-	-
Cash Items and Other Assets	272,419,059	45,467,359	272,419,059	45,467,359	216,751,314	68.19%
Total	5,680,180,655	770,867,301	5,335,143,585	143,505,701	1,868,205,732	34.10%

CAPITAL ADEQUACY

Disclosure 8 : Credit Risk Under Standardised Approach-Exposures by Asset Classes and Risk Weights

Exposures by Asset Classes and Risk Weights - Bank

As at December 31, 2025	Amount (LKR '000)								
	0%	20%	50%	60%	75%	100%	150%	>150%	Total Credit Exposures Amount
Claims on Central Government and CBSL	2,616,981,430	562,795,910	-	-	-	-	-	-	3,179,777,340
Claims on Foreign Sovereigns and their Central Banks	-	-	4,256,727	-	-	1,153,031	63,950,849	-	69,360,607
Claims on Public Sector Entities (PSEs)	-	17,967,985	12,754,253	-	-	23,237,873	-	-	53,960,111
Claims on Official Entities and Multilateral Development Banks (MDBs)	-	-	-	-	-	-	-	-	-
Claims on Banks Exposures	-	15,099,287	4,387,400	-	-	85,275,363	-	-	104,762,050
Claims on Financial Institutions	-	2,392,737	24,823,212	-	-	3,708,793	-	-	30,924,742
Claims on Corporates	-	16,449,188	314,476			254,699,451	275,188	-	271,738,303
Retail Claims	-	571,009	-	3,491,522	554,579,964	158,926,111	-	-	717,568,606
Claims Secured by Gold	217,871,149	-	-	-	-	1,238	-	-	217,872,387
Claims Secured by Residential Property	-	-	78,509,344	-	-	10,324,085	-	-	88,833,429
Claims Secured by Commercial Real Estate	-	-	-	-	-	56,437,023	-	-	56,437,023
Non- Performing Assests (NPAs)	-	-	-	-	-	53,226,473	95,403,040	-	148,629,513
Higher-risk Categories	-	-	-	-	-	-	-	2,346,184	2,346,184
Cash Item and Other Assests	71,997,083	13,698,691	-	-	-	162,141,672	-	-	247,837,446
Total	**2,906,849,662**	**628,974,807**	**125,045,412**	**3,491,522**	**554,579,964**	**809,131,113**	**159,629,077**	**2,346,184**	**5,190,047,741**

Exposures by Asset Classes and Risk Weights - Group

As at December 31, 2025	Amount (LKR'000)								
	0%	20%	50%	60%	75%	100%	150%	>150%	Total Credit Exposures Amount
Claims on Central Government and CBSL	2,638,088,109	562,795,910	-	-	-	-	-	-	3,200,884,019
Claims on Foreign Sovereigns and their Central Banks	-	-	4,256,727	-	-	1,153,031	63,950,849	-	69,360,607
Claims on Public Sector Entities (PSEs)	-	17,967,985	12,754,253	-	-	23,237,873	-	-	53,960,111
Claims on Official Entities and Multilateral Development Banks (MDBs)	-	-	-	-	-	-	-	-	-
Claims on Banks Exposures	-	15,099,287	4,387,400	-	-	115,200,790	-	-	134,687,477
Claims on Financial Institutions	-	2,392,737	24,823,212	-	-	3,708,793	-	-	30,924,742
Claims on Corporates	-	16,449,188	314,476	-	-	326,527,760	275,188	-	343,566,612
Retail Claims	-	571,009	-	3,491,522	554,579,964	158,926,111	-	-	717,568,606
Claims Secured by Gold	217,871,149	-	-	-	-	1,238	-	-	217,872,387
Claims Secured by Residential Property	-	-	78,509,344	-	-	10,324,085	-	-	88,833,429
Claims secured by Commercial Real Estate	-	-	-	-	-	56,437,023	-	-	56,437,023
Non- Performing Assests (NPAs)	-	-	-	-	-	53,226,473	95,403,040		148,629,513
Higher - Risk Categories	-	-	-	-	-	-	-	-	-
Cash Item and Other Assests	90,176,151	13,698,691	-	-	-	168,544,217	-		272,419,059
Total	**2,946,135,409**	**628,974,807**	**125,045,412**	**3,491,522**	**554,579,964**	**917,287,394**	**159,629,077**	**-**	**5,335,143,585**

Disclosure 9 : Market Risk under Standardised Measurement Method

	Bank		Group	
As at 31 December	2025 (LKR '000)	2024 (LKR '000)	2025 (LKR '000)	2024 (LKR '000)
(a) Capital Charge for Interest Rate Risk	**822,985**	1,051,176	822,985	1,051,176
General Interest Rate Risk	822,985	1,051,176	822,985	1,051,176
(i) Net Long or Short Position	822,985	1,051,176	822,985	1,051,176
(ii) Horizontal Disallowance	-	-	-	-
(iii) Vertical Disallowance	-	-	-	-
(iv) Options	-	-	-	-
Specific Interest Rate Risk	-	-	-	-
(b) Capital Charge for Equity	**197,357**	225,095	197,357	225,095
(i) General Equity Risk	105,438	115,131	105,438	115,131
(ii) Specific Equity Risk	91,919	109,964	91,919	109,964
(c) Capital Charge for Foreign Exchange and Gold	**1,597,035**	**1,269,154**	**1,597,792**	1,270,627
Total Capital Charge for Market Risk [(a)+(b)+(c)]	**2,617,377**	**2,545,425**	**2,618,134**	2,546,898
Total Risk Weighted Amount for Market Risk	**18,695,550**	**18,181,609**	**18,700,957**	18,192,131

Disclosure 10 : Operational Risk under Basic Indicator Approach

Operational Risk under Basic Indicator Approach - Bank

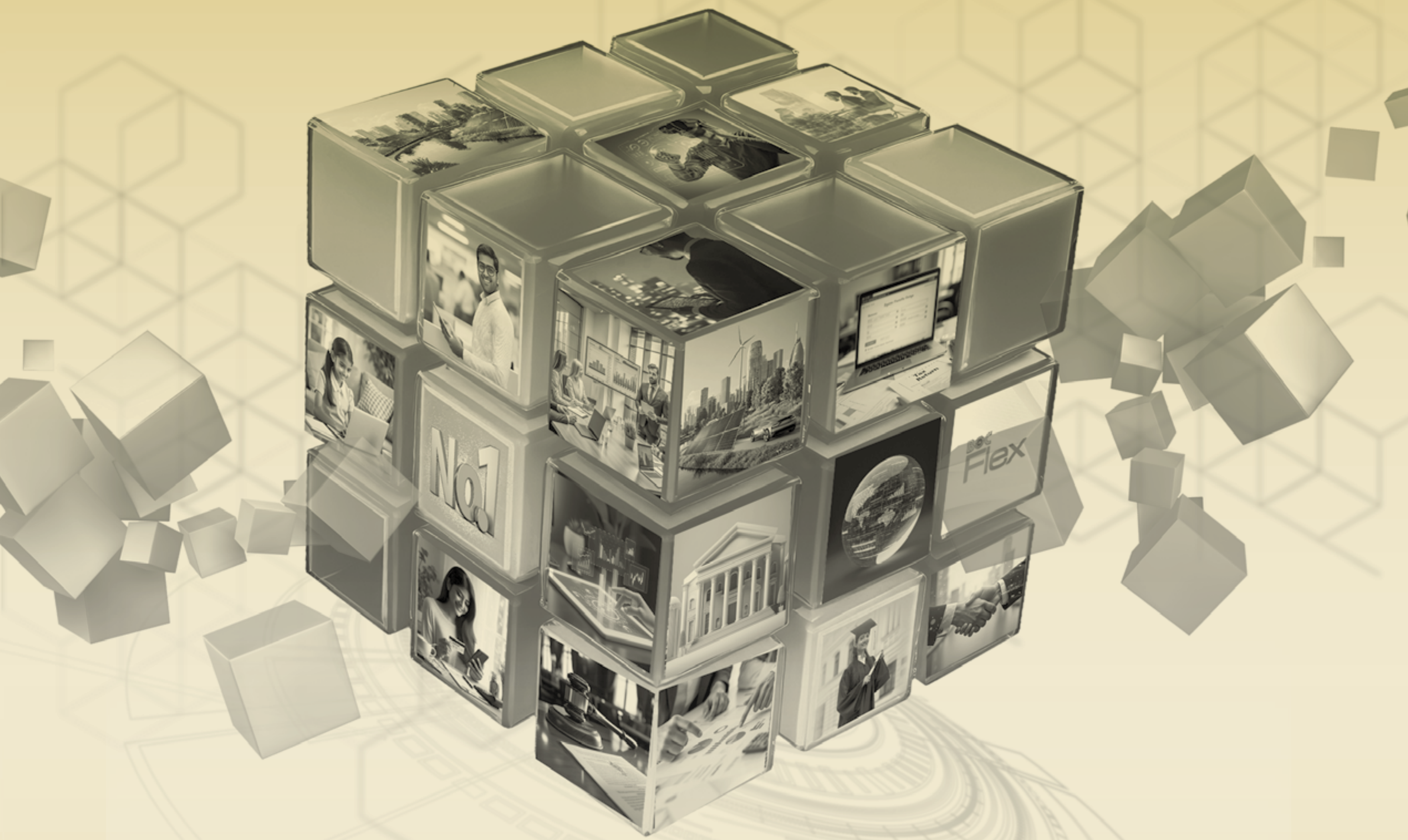
As at December 31	Capital Charge Factor	Fixed Factor	Gross Income (LKR '000) 2025			Gross Income (LKR '000) 2024		
			1st Year	2nd Year	3rd Year	1st Year	2nd Year	3rd Year
The Basic Indicator Approach	15%		102,827,753	181,920,856	246,863,784	187,712,775	107,215,178	196,722,935
Capital Charges for Operational Risk					26,580,620			24,582,544
Risk Weighted Amount for Operational Risk					189,861,569			175,589,603

Operational Risk under Basic Indicator Approach - Group

As at December 31	Capital Charge Factor	Fixed Factor	Gross Income (LKR '000) 2025			Gross Income (LKR '000) 2024		
			1st Year	2nd Year	3rd Year	1st Year	2nd Year	3rd Year
The Basic Indicator Approach	15%		103,680,151	189,157,036	248,969,946	180,152,415	103,721,952	188,854,732
Capital Charges for Operational Risk					27,090,357			23,636,455
Risk Weighted Amount for Operational Risk					193,502,548			168,831,821

CAPITAL ADEQUACY

D-SIB Assessment Exercise (As per CBSL Direction No 10 of 2019)		Group LKR million
Size Indicator		
Section 1 - Total Exposure		
Total exposure measure		6,029,668
Interconnectedness Indicators		
Section 2 - Intra-Financial System Assets		
a.	Funds deposited with or lent to other financial institutions (including unused portion of committed lines extended) (i+ii)	86,115
	(i) Funds deposited	83,767
	(ii) Lending	2,348
b.	Holdings of securities issued by other financial institutions	-
c.	Net positive current exposure of securities financing transactions (SFTs) with other financial institutions	8,280
d.	Over-the-counter (OTC) derivatives with other financial institutions that have a net positive mark to market value	161
Intra-financial system assets (a+b+c+d)		94,556
Section 3 - Intra-Financial System Liabilities		
a.	Funds deposited by or borrowed from other financial institutions (including unused portion of committed lines obtained)	75,304
	(i) Funds deposited	26,130
	(ii) Borrowings	49,174
b.	Net negative current exposure of securities financing transactions with other financial institutions	-
c.	Over-the-counter derivatives with other financial institutions that have a net negative mark to market value	34
Intra-financial system liabilities (a+b+c)		75,338
Section 4 - Securities Outstanding		
Securities outstanding		97,001
Substitutability/Financial Institution Infrastructure Indicators		
Section 5 - Payments made in the reporting year (excluding intragroup payments)		
Payments activity		21,457,029
Section 6 - Assets Under Custody		
Assets under custody		726,569
Section 7 - Underwritten Transactions in Debt and Equity Markets		
Underwriting transactions		-
Section 8 - Trading Volume		
Trading volume		150,712
Complexity indicators		
Section 9 - Notional Amount of Over-the-Counter (OTC) Derivatives		
OTC derivatives		154,182
Section 10 - Level 2 Assets		
Level 2 assets		32,773
Section 11 - Trading and available for sale (AFS) securities		
Trading and AFS securities		2,659
Section 12 - Cross-Jurisdictional Liabilities		
Foreign Liabilities (excludeing derivatives and intragroup liabilities)		
Cross-jurisdictional liabilities		113,325
Section 13 - Cross-Jurisdictional Claims		
Foreign claims (excluding derivatives and intragroup liabilities)		
Cross-jurisdictional claims		56,632



SUPPLEMENTARY INFORMATION

INDEPENDENT PRACTITIONER'S ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF BANK OF CEYLON ON THE INTEGRATED ANNUAL REPORT 2025

EY
Shape the future with confidence

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Scope

We have been engaged by **Bank of Ceylon** to perform a 'limited assurance engagement,' as defined by Sri Lanka Standard on Assurance Engagements, here after referred to as the engagement, to report on **Bank of Ceylon's Information on how it's strategy, governance, performance and prospects, in the context of its external environment, lead to the creation, preservation or erosion of value over the short, medium and long term** (the "Subject Matter") contained in **Bank of Ceylon's** (the "Entity's") **Integrated Annual Report** for the year ended **31 December 2025** (the "Report").

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

Criteria applied by Bank of Ceylon

In preparing the Subject Matter, **Bank of Ceylon** applied the **Integrated Reporting Framework (<IR> Framework) issued by the International Integrated Reporting Council (IIRC)** ("Criteria"):

Such Criteria were specifically designed for **the purpose of assisting in determining whether the capital management, stakeholder engagement, business model, strategy, organizational overview & external environment outlook presented in the Integrated Annual Report is presented in accordance with the relevant criteria;** As a result, the subject matter information may not be suitable for another purpose.

Bank of Ceylon's responsibilities

Bank of Ceylon management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

Ernst & Young's responsibilities

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the **Sri Lanka Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information (SLSAE 3000 (Revised),** and the terms of reference for this engagement as agreed with the **Bank of Ceylon** on **06 March 2026.** Those standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

Our independence and quality management

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the **Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka)** and have the required competencies and experience to conduct this assurance engagement.

EY also applies International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements, which requires that we design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Description of procedures performed

Procedures performed in a limited assurance engagement vary in nature and timing from and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base our conclusion and do not provide all the evidence that would be required to provide a reasonable level of assurance.

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA FCCA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), B Vasanthan ACA ACMA, W D P L Perera ACA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACMA, D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakthivel B.Com (Sp), M U M Mansoor ACA

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Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the subject matter and related information and applying analytical and other appropriate procedures.

Our procedures included:

- Performed a comparison of the content of the Integrated Annual Report against the Guiding Principles and Content Elements given in the Integrated Reporting Framework (<IR> Framework).
- Checked whether the information contained in the Integrated Annual Report – Financial Capital element information has been properly derived from the audited financial statements.
- Conducted interviews with the selected key management personnel and relevant staff and obtained an understanding of the internal controls, governance structure and reporting process relevant to the Integrated Report.
- Obtained an understanding of the relevant internal policies and procedures developed, including those relevant to determining what matters most to the stakeholders, how the organization creates value, the external environment, strategy, approaches to putting members first, governance and reporting.
- Obtained an understanding of the description of the organization's strategy and how the organization creates value, what matters most to the stakeholders and enquiring the management as to whether the description in the Integrated Report accurately reflects their understanding.
- Tested the relevant supporting evidence related to qualitative & quantitative disclosures within the Integrated Report against identified material aspects.
- Read the Integrated Report in its entirety for consistency with our overall knowledge obtained during the assurance engagement.

We also performed such other procedures as we considered necessary in the circumstances.

Emphasis of matter

Economic, Environment, Social and Intellectual capital management data/ information are subject to inherent limitations given their nature and the methods used for determining, calculating and estimating such data. Such inherent limitations are common in Sri Lanka.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Entity's Annual Report.

Conclusion

Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to **the information contained in the Integrated Annual Report of Bank of Ceylon for the year ended 31 December 2025,** in order for it to be in accordance with the Criteria.

Ernst + Young

27 March 2026
Colombo

INDEPENDENT PRACTITIONER'S ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF BANK OF CEYLON ON THE SUSTAINABILITY REPORTING CRITERIA PRESENTED IN THE INTEGRATED ANNUAL REPORT FY 2025

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Scope

We have been engaged by **Bank of Ceylon** to perform a 'limited assurance engagement,' as defined by Sri Lanka Standard on Assurance Engagements, here after referred to as the engagement, to report on **Bank of Ceylon's Economic, Environment, Social and Governance (EESG) indicators** (the "Subject Matter") contained in **Bank of Ceylon's** (the "Entity's") **Integrated Annual Report for the year ended 31 December 2025** (the "Report").

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

Criteria applied by Bank of Ceylon

In preparing the Subject Matter, **Bank of Ceylon** applied the following criteria ("Criteria"):

- **The Global Reporting Initiative's (GRI) Sustainability Reporting Guidelines, publicly available at https://www.globalreporting.org**
- **The Sustainability Accounting Standards Board (SASB) Standards, publicly available at https://sasb.org/standards (Commercial Banks)**

Such Criteria were specifically designed for **the purpose of assisting you in determining whether Entity's Economic, Environment, Social and Governance (EESG) indicators contained in the Entity's Report is presented in accordance with the relevant criteria;** As a result, the subject matter information may not be suitable for another purpose.

Bank of Ceylon's responsibilities

Bank of Ceylon management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

Ernst & Young's responsibilities

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the ***Sri Lanka Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information (SLSAE 3000 (Revised)***, and the terms of reference for this engagement as agreed with the **Bank of Ceylon** on **06 March 2026.** Those standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

Our independence and quality management

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the **Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka)** and have the required competencies and experience to conduct this assurance engagement.

EY also applies International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements, which requires that we design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Description of procedures performed

Procedures performed in a limited assurance engagement vary in nature and timing from and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base our conclusion and do not

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provide all the evidence that would be required to provide a reasonable level of assurance.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the subject matter and related information and applying analytical and other appropriate procedures.

Our procedures included:

- Validated the information presented and checked the calculations performed by the organization through recalculation.
- Performed a comparison of the content given in the Report against the criteria given in the selected sustainability standards/frameworks.
- Conducted interviews with relevant organization's personnel to understand the process for collection, analysis, aggregation and presentation of data. Interviews included selected key management personnel and relevant staff.
- Read the content presented in the Report for consistency with our overall knowledge obtained during the course of our assurance engagement and requested changes wherever required.
- Provided guidance, recommendations and feedback on the improvement of the sustainability reporting indicators to improve the presentation standard.

We also performed such other procedures as we considered necessary in the circumstances.

Emphasis of matter

Economic, Environment, Social management data/information are subject to inherent limitations given their nature and the methods used for determining, calculating and estimating such data. Such inherent limitations are common in Sri Lanka.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Entity's Report.

Conclusion

Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to **the information on the Economic, Environment, Social and Governance (EESG) contained in the Integrated Annual Report of Bank of Ceylon for the year ended 31 December 2025,** in order for it to be in accordance with the Criteria.

Ernst + Young

27 March 2026
Colombo

GRI INDEX

Statement of use	Bank of Ceylon has reported in accordance with the GRI Standards for the period of 1st January 2025 to 31st December 2025
GRI 1 used	GRI 1: Foundation 2021

GRI Standard	Disclosure		Location/ Explanation	Omission		
				Requirement (S) Omitted	Reason	Explanation
GRI 2: General Disclosures	2-1	Organisational details	476	-	-	-
	2-2	Entities included in the organisation's sustainability reporting	4	-	-	-
	2-3	Reporting period, frequency and contact point	4, 8	-	-	-
	2-4	Restatements of information	6	-	-	-
	2-5	External assurance	6, 458-459	-	-	-
	2-6	Activities, value chain and other buswiness relationships	4, 12, 149	-	-	-
	2-7	Employees	139	-	-	-
	2-8	Workers who are not employees	139	-	-	-
	2-9	Governance structure and composition	164, 170	-	-	-
	2-10	Nomination and selection of the highest governance body	168-169, 186-187	-	-	-
	2-11	Chair of the highest governance body	34	-	-	-
	2-12	Role of the highest governance body in overseeing the Management of impacts	75, 167, 169	-	-	-
	2-13	Delegation of responsibility for managing impacts	178	-	-	-
	2-14	Role of the highest governance body in sustainability reporting	75	-	-	-
	2-15	Conflicts of interest	175	-	-	-
	2-16	Communication of critical concerns	175	-	-	-
	2-17	Collective knowledge of the highest governance body	168	-	-	-
	2-18	Evaluation of the performance of the highest governance body	178	-	-	-
	2-19	Remuneration policies	179, 184-185	-	-	-
	2-20	Process to determine remuneration	179, 184-185	-	-	-
	2-21	Annual total compensation ratio	*	a, b, c	Confidentiality Constraints	Sensitive Information
	2-22	Statement on sustainable development strategy	162	-	-	-
	2-23	Policy commitments	142, 174	-	-	-
	2-24	Embedding policy commitments	142, 174	-	-	-
	2-25	Processes to remediate negative impacts	142	-	-	-
	2-26	Mechanisms for seeking advice and raising concerns	175, 177	-	-	-
	2-27	Compliance with laws and regulations	175	-	-	-
	2-28	Membership associations	156	-	-	-
	2-29	Approach to stakeholder engagement	57-60	-	-	-
	2-30	Collective bargaining agreements	142	-	-	-
GRI 3: Material Topics 2021	3-1	Process to determine material topics	61-62	-	-	-
	3-2	List of material topics	63-64	-	-	-
	3-3	Management of material topics	63-64, 132, 138, 148, 153	-	-	-
GRI 201: Economic Performance 2016	201-1	Direct economic value generated and distributed	74	-	-	-
	201-2	Financial implications and other risks and opportunities due to climate change	94-99	-	-	-
	201-3	Defined benefit plan obligations and other retirement plans	342-351	-	-	-
GRI 202: Market Presence 2016	202-1	Ratios of standard entry level wage by gender compared to local minimum wage	145	-	-	-
	202-2	Proportion of senior management hired from the local community	139	-	-	-
GRI 203: Indirect Economic Impacts 2016	203-1	Infrastructure investments and services supported	154-156	-	-	-
	203-2	Significant indirect economic impacts	154-156	-	-	-

GRI Standard	Disclosure		Location/ Explanation	Omission		
				Requirement (S) Omitted	Reason	Explanation
GRI 204:Procurement Practices 2016	204-1	Proportion of spending on local suppliers	156-157	-	-	-
GRI 205: Anti-corruption 2016	205-2	Communication and training about anti-corruption policies and procedures	177	-	-	-
GRI 207: Tax 2019	207-1	Approach to tax	111, 259, 271-272	-	-	-
	207-2	Tax governance, control, and risk management	259, 271-272	-	-	-
	207-4	Country-by-country reporting	271-272	-	-	-
GRI 302: Energy 2016	302-1	Energy consumption within the organisation	157	-	-	-
GRI 305: Emissions 2016	305-1	Direct (Scope 1) GHG emissions	157-158	-	-	-
	305-2	Energy indirect (Scope 2) GHG emissions	157-158	-	-	-
	305-3	Other indirect (Scope 3) GHG emissions	157-158	-	-	-
	305-4	GHG emissions intensity	158	-	-	-
	305-5	Reduction of GHG emission	158	-	-	-
	305-6	Emission of Ozone Depleting Substances (ODS)	158	-	-	-
GRI 306: Waste 2020	306-1	Waste generation and significant waste-related impacts	158	-	-	-
	306-3	Waste generated	158	-	-	-
	306-4	Waste diverted from disposal	158	-	-	-
GRI 401: Employment 2016	401-1	New employee hires and employee turnover	140-141, 146	-	-	-
	401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	145, 146	-	-	-
	401-3	Parental leave	141	-	-	-
GRI 402: Labor/ Management Relations 2016	402-1	Minimum notice periods regarding operational changes	142	-	-	-
GRI 403: Occupational Health and Safety 2018	403-2	Hazard identification, risk assessment, and incident investigation	144-145	-	-	-
	403-3	Occupational health services	144-145	-	-	-
	403-6	Promotion of worker health	144-145	-	-	-
GRI 404: Training and Education 2016	404-1	Average hours of training per year per employee	142	-	-	-
	404-2	Programs for upgrading employee skills and transition assistance programs	143	-	-	-
	404-3	Percentage of employees receiving regular performance and career development reviews	144	-	-	-
GRI 405: Diversity and Equal Opportunity 2016	405-1	Diversity of governance bodies and employees	140	-	-	-
	405-2	Ratio of basic salary and remuneration of women to men	141, 145	-	-	-
GRI 406: Non-discrimination 2016	406-1	Incidents of discrimination and corrective actions taken	140	-	-	-
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	142	-	-	-
GRI 408: Child Labor 2016	408-1	Operations and suppliers at significant risk for incidents of child labor	141	-	-	-
GRI 409: Forced or Compulsory Labor 2016	409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labor	141	-	-	-
GRI 413: Local Communities 2016	413-1	Operations with local community engagement, impact assessments, and development programs	154-156	-	-	-
GRI 418: Customer Privacy 2016	418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	151	-	-	-

FINANCIAL STATEMENTS IN USD

Statement of Profit or Loss in USD

	Bank			Group		
For the year ended 31 December	2025	2024		2025	2024	
	USD '000	USD '000	%	USD '000	USD '000	%
Total income	1,769,785	1,659,032	6.70	1,802,209	1,691,560	6.50
Interest income	1,600,542	1,576,009	1.60	1,628,990	1,602,231	1.70
Less : Interest expenses	932,993	1,003,343	(7.00)	945,613	1,015,295	(6.90)
Net interest income	667,549	572,666	16.60	683,377	586,936	16.40
Fee and commission income	115,157	103,955	10.80	116,955	105,432	10.90
Less : Fee and commission expenses	40,649	33,503	21.30	40,934	33,652	21.60
Net fee and commission income	74,508	70,452	5.80	76,021	71,780	5.90
Net gains/ (losses) from trading	18,745	11,736	59.70	18,889	11,870	59.10
Net fair value gains/ (losses) from financial assets at fair value through profit or loss	5,103	5,153	(1.00)	3,221	5,860	(45.00)
Net gains/ (losses) from derecognition of financial assets	5,617	(12,300)	(145.70)	8,151	(9,886)	(182.40)
Net other operating income	24,622	(25,521)	(196.50)	26,003	(23,947)	(208.60)
Total operating income	796,144	622,186	28.00	815,662	642,613	26.90
Less : Impairment charge/ (reversal) for loans and other losses	(68,098)	(69,529)	(2.10)	67,801	(70,818)	(195.70)
Net operating income	728,046	691,715	5.30	747,861	713,431	4.80
Less : Operating expenses						
Personnel expenses	147,389	137,694	7.00	156,565	146,784	6.70
Depreciation and amortisation expenses	16,203	14,338	13.00	15,266	14,724	3.70
Other expenses	71,838	77,252	(7.00)	79,029	83,935	(5.80)
Total operating expenses	235,430	229,284	2.70	250,860	245,443	2.20
Operating profit/ (loss) before taxes on financial services	492,616	462,431	6.50	497,001	467,988	6.20
Less : Taxes on financial services	102,845	97,050	6.00	104,163	98,400	5.90
Operating profit/ (loss) after taxes on financial services	389,771	365,381	6.70	392,838	369,588	6.30
Share of profits/ (losses) of associate companies, net of tax	-	-	-	504	295	70.80
Profit/ (loss) before income tax	389,771	365,381	6.70	393,342	369,883	6.30
Less : Income tax expense	144,583	145,317	(0.50)	146,656	147,514	(0.60)
Profit/ (loss) for the year	245,188	220,064	11.40	246,686	222,369	10.90
Profit attributable to :						
Equity holder of the Bank	245,188	220,064	11.40	247,049	222,185	11.20
Non-controlling interest	-	-	-	(363)	184	(297.30)
Profit/ (Loss) for the year	245,188	220,064	11.40	246,686	222,369	10.90
Earnings per share and dividend per share						
Basic earnings per share (USD)	9.64	8.80	9.50	9.71	8.89	9.20
Diluted earnings per share (USD)	9.53	8.55	11.50	9.60	8.64	11.10
Dividend per share (USD)	0.63	Nil	-	0.63	Nil	-

Exchange rate of 1 USD was LKR 309.9944 as at 31 December 2025. (LKR 292.5833 as at 31 December 2024)

The Statement of Profit or Loss given in this page does not form part of the Audited Financial Statements and it is solely for the convenience of the stakeholders, of the Financial Statements of the Bank.

Statement of Comprehensive Income in USD

	Bank			Group		
For the year ended 31 December	2025 USD '000	2024 USD '000	%	2025 USD '000	2024 USD '000	%
Profit/ (loss) for the year	245,188	220,064	11.4	246,686	222,369	10.9
Other comprehensive income for the year, net of tax						
Items that will be reclassified to the profit or loss						
Exchange differences on translation of foreign operations	1,862	(6,321)	(129.5)	4,339	(8,544)	(150.8)
Net gains/ (losses) on cashflow hedge instruments	(2,527)	(12,749)	(80.2)	(2,527)	(12,749)	(80.2)
Net gains/ (losses) on investments in debt instruments measured at fair value through other comprehensive income (FVTOCI)	(1,578)	2,516	(162.7)	(1,761)	2,548	(169.1)
Net (gains)/ losses on investment in financial assets at FVTOCI reclassification to profit or loss		-	-	-	(23)	(100.0)
Deferred tax effect on above	479	(753)	(163.6)	479	(753)	(163.6)
Share of other comprehensive income of Associate companies, net of tax		-	-	98	57	71.9
Total items that will be reclassified to the profit or loss	(1,764)	(17,307)	(89.8)	628	(19,464)	(103.2)
Items that will not be reclassified to the profit or loss						
Change in fair value on investments in equity instruments measured at fair value through other comprehensive income (FVTOCI)	7,021	9,508	(26.2)	8,888	6,538	35.9
Deferred tax effect on above	(686)	(412)	66.5	(686)	(412)	66.5
Changes in revaluation surplus/ (deficit)	-	-	-	2,109	(478)	(541.2)
Deferred tax effect on above	-	-	-	(633)	143	(542.7)
Net actuarial gains/ (losses) on defined benefit plans	(42,321)	(47,148)	(10.2)	(42,128)	(47,377)	(11.1)
Deferred tax effect on above	12,696	14,145	(10.2)	12,678	14,212	(10.8)
Total items that will not be reclassified to the profit or loss	(23,290)	(23,907)	(2.6)	(19,772)	(27,374)	(27.8)
Other comprehensive income for the year, net of tax	(25,054)	(41,214)	(39.2)	(19,144)	(46,838)	(59.1)
Total comprehensive income for the year	220,134	178,850	23.1	227,542	175,531	29.6
Attributable to:						
Equity holder of the Bank	220,134	178,850	23.1	227,767	175,409	29.8
Non-controlling interest	-	-	-	(225)	122	(284.4)
Total comprehensive income for the year	220,134	178,850	23.1	227,542	175,531	29.6

Exchange rate of 1 USD was LKR 309.9944 as at 31 December 2025. (LKR 292.5833 as at 31 December 2024)

The Statement of Comprehensive Income given in this page does not form part of the Audited Financial Statements and it is solely for the convenience of the stakeholders, of the Financial Statements of the Bank.

FINANCIAL STATEMENTS IN USD

Statement of Financial Position in USD

	Bank			Group		
As at 31 December	2025 USD '000	2024 USD '000	%	2025 USD '000	2024 USD '000	%
Assets						
Cash and cash equivalents	422,857	394,494	7.2	431,659	397,432	8.6
Balances with Central Banks	257,572	178,911	44.0	257,572	178,911	44.0
Placements with banks	127,288	213,317	(40.3)	139,301	210,459	(33.8)
Securities purchased under resale agreements	1,114	81,968	(98.6)	1,951	73,761	(97.4)
Derivative financial assets	22,261	80,321	(72.3)	22,261	80,321	(72.3)
Financial assets recognised through profit or loss - measured at fair value	40,646	71,785	(43.4)	65,977	101,723	(35.1)
Financial assets at amortised cost						
Loans and advances	7,650,951	7,443,035	2.8	7,878,925	7,591,554	3.8
Debt and other instruments	8,405,023	7,778,757	8.1	8,425,033	7,801,662	8.0
Financial assets measured at fair value through OCI	120,580	177,897	(32.2)	128,209	184,094	(30.4)
Investment in subsidiary companies	26,147	27,617	(5.3)	-	-	-
Investment in associate companies	300	318	(5.7)	2,885	2,833	1.8
Investment properties	7,789	8,253	(5.6)	-	-	-
Property, plant and equipment	148,850	155,926	(4.5)	204,694	212,959	(3.9)
Right of Use Assets/ Leasehold properties	17,776	18,984	(6.4)	9,540	11,467	(16.8)
Intangible assets	9,002	5,499	63.7	9,319	5,845	59.4
Deferred tax assets	88,395	54,126	63.3	88,770	54,574	62.7
Other assets	291,028	347,150	(16.2)	292,456	347,906	(15.9)
Total assets	17,637,579	17,038,358	3.5	17,958,552	17,255,501	4.1
Liabilities						
Due to banks	85,156	5,711	1,391.1	87,827	5,750	1427.4
Securities sold under repurchase agreements	916,840	448,007	104.6	931,269	444,423	109.5
Derivative financial liabilities	1,810	56,312	(96.8)	1,810	56,312	(96.8)
Financial liabilities at amortized cost						
due to depositors	14,156,984	14,384,291	(1.6)	14,347,527	14,510,506	(1.1)
other borrowings	157,162	99,608	57.8	183,480	110,547	66.0
Debt securities issued	-	-		5,658	2,457	130.3
Current tax liabilities	81,996	79,327	3.4	82,799	80,641	2.7
Deferred tax liabilities	-	-	-	9,690	9,950	(2.6)
Insurance contract liabilities - Life	-	-	-	1,560	1,370	13.9
Insurance contract liabilities - Non Life	-	-	-	1,801	1,449	24.3
Other liabilities	736,778	696,761	5.7	733,545	696,646	5.3
Subordinated liabilities	320,831	234,243	37.0	320,017	233,378	37.1
Total liabilities	16,457,557	16,004,260	2.8	16,706,983	16,153,429	3.4
Equity						
Share capital	83,001	87,941	(5.6)	83,001	87,941	(5.6)
Permanent reserve fund	59,595	57,942	2.9	59,595	57,942	2.9
Retained earnings	659,211	626,792	5.2	667,912	634,133	5.3
Cashflow hedge reserve	2,381	5,200	(54.2)	2,381	5,200	(54.2)
Other reserves	375,834	256,223	46.7	435,212	312,920	39.1
Total equity attributable to equity holder of the Bank	1,180,022	1,034,098	14.1	1,248,101	1,098,136	13.7
Non-controlling interest	-	-	-	3,468	3,936	(11.9)
Total equity	1,180,022	1,034,098	14.1	1,251,569	1,102,072	13.6
Total liabilities and equity	17,637,579	17,038,358	3.5	17,958,552	17,255,501	4.1
Contingent liabilities and commitments	5,833,669	6,112,093	(4.6)	5,846,090	6,115,852	(4.4)
Net assets value per share (USD)	45.86	41.36	10.9	48.51	43.93	10.4

Exchange rate of 1 USD was LKR 309.9944 as at 31 December 2025. (LKR 292.5833 as at 31 December 2024)

The Statement of Financial Position given in this page does not form part of the Audited Financial Statements and it is solely for the convenience of the stakeholders, of the Financial Statements of the Bank.

QUARTERLY PERFORMANCE

Summary of the Statement of Profit or Loss as per Quarterly Publication

LKR million

	2025					2024				
	31-Mar	30-Jun	30-Sep	31-Dec	Total	31-Mar	30-Jun	30-Sep	31-Dec	Total
Bank										
Net interest income	50,547	52,184	50,479	53,726	206,936	25,886	31,613	37,023	40,275	134,797
Non interest income	6,648	10,896	10,356	11,964	39,864	4,527	6,700	6,678	(3,416)	14,489
Non interest expense	(16,509)	(17,065)	(18,231)	(21,177)	(72,982)	(14,618)	(16,178)	(18,096)	(18,192)	(67,084)
Impairment (charge)/ reversal for loans and other losses	(2,820)	(8,797)	(6,626)	(2,867)	(21,110)	(3,250)	(4,597)	(5,495)	33,684	20,342
Operating profit before taxes on financial services	37,866	37,218	35,978	41,646	152,708	12,545	17,538	20,110	52,351	102,544
Taxes on financial services	(7,825)	(7,815)	(7,732)	(8,510)	(31,881)	(3,205)	(4,453)	(4,928)	(10,259)	(22,845)
Profit before income tax	30,041	29,403	28,246	33,136	120,827	9,340	13,085	15,182	42,092	79,699
Income tax expense	(12,914)	(10,598)	(8,430)	(12,877)	(44,820)	(4,266)	(5,691)	(6,141)	(16,796)	(32,894)
Profit after income tax	17,127	18,805	19,816	20,259	76,007	5,074	7,394	9,041	25,296	46,805
Other comprehensive income	(211)	(4,932)	696	(3,321)	(7,767)	(2,702)	(4,255)	(396)	(4,705)	(12,058)
Total comprehensive income	16,916	13,873	20,512	16,938	68,240	2,372	3,139	8,645	20,591	34,747
Group										
Net interest income	51,624	53,294	51,750	55,175	211,843	26,833	32,576	38,110	41,453	138,972
Non interest income	6,946	11,141	10,632	12,288	41,007	5,230	6,741	6,875	(2,557)	16,289
Non interest expense	(17,709)	(18,256)	(19,558)	(22,242)	(77,765)	(15,740)	(17,260)	(19,172)	(19,641)	(71,813)
Impairment (charge)/ reversal for loans and other losses	(2,860)	(8,664)	(6,515)	(2,978)	(21,017)	(3,298)	(4,480)	(5,446)	33,945	20,721
Operating profit before taxes on Financial Services	38,001	37,515	36,309	42,243	154,068	13,025	17,577	20,367	53,200	104,169
Taxes on financial services	(7,896)	(7,937)	(7,837)	(8,620)	(32,290)	(3,306)	(4,536)	(4,977)	(10,421)	(23,240)
Operating profit after taxes on financial services	30,105	29,578	28,472	33,623	121,778	9,719	13,041	15,390	42,779	80,929
Share of profit/ (losses) of associate companies, net of tax	36	20	53	47	156	20	14	10	42	86
Profit before income tax	30,141	29,598	28,525	33,670	121,934	9,739	13,056	15,400	42,821	81,016
Income tax expense	(12,994)	(10,823)	(8,617)	(13,030)	(45,463)	(4,425)	(5,867)	(6,187)	(17,057)	(33,536)
Profit after income tax	17,147	18,775	19,908	20,640	76,471	5,314	7,189	9,213	25,764	47,480
Other comprehensive income	(119)	(4,302)	945	(2,457)	(5,934)	(3,370)	(4,225)	(769)	(5,333)	(13,697)
Total comprehensive income	17,028	14,473	20,853	18,183	70,537	1,944	2,964	8,444	20,431	33,783

QUARTERLY PERFORMANCE

Summary of the Statement of Financial Position as per Quarterly Publication

LKR million

	2025				2024			
	31-Mar	30-Jun	30-Sep	31-Dec	31-Mar	30-Jun	30-Sep	31-Dec
Bank								
Assets								
Investments	2,669,263	2,699,263	2,792,539	2,703,492	1,851,321	1,899,753	2,094,386	2,443,556
Loans and advances to customers	2,174,109	2,215,928	2,259,050	2,371,752	2,077,984	2,096,822	2,074,470	2,177,708
Property, plant and equipment	55,047	54,821	54,529	56,858	49,812	49,346	50,320	55,199
Other assets	426,248	321,349	431,966	335,449	302,421	377,426	368,222	308,676
Total assets	5,324,667	5,291,361	5,538,084	5,467,551	4,281,538	4,423,347	4,587,398	4,985,139
Liabilities and equity								
Due to customers	4,478,740	4,428,613	4,602,858	4,388,586	3,718,130	3,832,268	3,964,277	4,208,603
Debt securities and borrowed funds	273,885	279,360	322,161	458,789	218,360	230,834	220,931	230,430
Other liabilities	252,566	255,039	264,203	254,376	90,962	103,020	136,320	243,546
Equity	319,476	328,349	348,862	365,800	254,086	257,225	265,870	302,560
Total liabilities and equity	5,324,667	5,291,361	5,538,084	5,467,551	4,281,538	4,423,347	4,587,398	4,985,139
Group								
Assets								
Investments	2,675,006	2,702,679	2,801,488	2,716,591	1,864,961	1,911,646	2,103,442	2,450,248
Loans and advances to customers	2,223,172	2,272,993	2,323,274	2,442,423	2,111,249	2,134,874	2,115,304	2,221,162
Property, plant and equipment	67,532	68,265	68,058	69,300	63,889	63,625	64,722	67,374
Other assets	427,895	323,278	434,456	338,736	304,866	378,811	369,726	309,887
Total assets	5,393,605	5,367,215	5,627,276	5,567,050	4,344,965	4,488,956	4,653,194	5,048,671
Liabilities and equity								
Due to customers	4,517,304	4,468,618	4,653,493	4,447,653	3,752,069	3,865,977	3,998,536	4,245,532
Debt securities and borrowed funds	278,662	287,210	333,005	473,750	220,512	235,392	225,091	233,059
Other liabilities	258,164	262,445	270,983	257,668	97,862	110,107	143,644	247,633
Equity	338,376	347,856	368,707	386,904	273,404	276,321	284,795	321,296
Non controlling interest	1,099	1,086	1,088	1,075	1,118	1,159	1,128	1,151
Total liabilities and equity	5,393,605	5,367,215	5,627,276	5,567,050	4,344,965	4,488,956	4,653,194	5,048,671

Summary of the Key Performance Indicators as per Quarterly Publication

	2025				2024			
	31-Mar	30-Jun	30-Sep	31-Dec	31-Mar	30-Jun	30-Sep	31-Dec
Bank								
Profitability								
Interest margin (%)	3.9	4.0	3.9	4.0	2.4	2.6	2.8	3.6
Return on average assets (before tax) (%)	2.3	2.3	2.2	2.3	0.9	1.0	1.1	2.3
Return on average equity (after tax) (%)	22.0	22.8	22.8	22.7	8.0	9.8	11.1	23.2
Cost to income (%)	32.4	32.2	32.0	33.0	51.8	48.2	46.8	40.1
Investor Information								
Interest cover (times)	6.0	5.7	5.3	5.2	2.5	2.7	2.9	6.0
Net assets value per share (LKR)	12,779	13,134	13,559	14,217	10,163	10,289	10,635	12,102
Capital Adequacy Ratio								
Common equity Tier I capital adequacy ratio, (%)	11.7	12.3	12.0	11.4	11.4	10.8	10.8	12.0
Total Tier I capital adequacy ratio, (%)	12.7	13.3	13.0	12.4	12.4	11.9	11.8	13.0
Total capital adequacy ratio, (%)	16.1	17.4	16.8	16.9	15.4	14.9	15.5	16.6
Liquidity								
Liquidity coverage ratio - all currency	283.1	273.1	254.1	260.4	248.6	249.5	254.5	269.6
Net Stable Funding Ratio	161.5	157.9	163.0	156.6	157.0	151.7	157.0	157.9
Assets Quality								
Impaired loans (Stage 3) ratio	7.4	7.1	6.7	5.6	5.5	5.7	5.8	7.2
Impairment (Stage 3) to Stage 3 loans ratio	53.4	54.4	56.2	57.9	59.6	58.9	58.7	53.6
Group								
Profitability								
Interest margin (%)	4.0	4.0	3.9	4.0	2.4	2.7	2.8	3.6
Return on average assets (before tax) (%)	2.3	2.3	2.2	2.3	0.9	1.0	1.1	2.3
Return on average equity (after tax) (%)	20.7	21.4	21.5	21.5	7.8	9.1	10.4	21.9
Cost to income (%)	33.6	32.5	33.3	34.1	52.6	49.4	47.9	41.3
Investor Information								
Net assets value per share (LKR)	13,535	13,914	14,330	15,037	10,936	11,053	11,392	12,852
Capital Adequacy Ratio								
Common equity Tier 1 capital adequacy ratio, (%)	12.0	12.5	12.0	11.5	11.8	11.3	11.2	12.0
Total Tier I capital adequacy ratio, (%)	12.9	13.5	12.9	12.4	12.8	12.3	12.2	13.0
Total capital adequacy ratio, (%)	16.4	17.6	16.6	16.8	15.8	15.4	15.9	16.6

SHARE AND DEBENTURE INFORMATION

Share Information

As at 31 December	2025		2024	
Shareholder	No. of ordinary shares	Holding %	No. of ordinary shares	Holding %
Government of Sri Lanka	25,730,000	100	25,730,000*	100

*This include 730,000 shares in pending allotment.

Debenture Information

The Bank has issued the following debt securities which are listed on Colombo Stock Exchange (CSE)

Unsecured, Subordinated, Redeemable with non viability written down features (par value LKR 100)	Tenor (Years)	Interest Payable Frequency	Interest Rate (per annum)
BOC Debentures 2023/2028	5	Annually	15.00%
BOC Debentures 2024/2029	5	Annually	13.50%
BOC Debentures 2025/2030	5	Annually	11.25%
BOC Debentures 2025/2030	5	Annually	10.50%
	5	Annually	12 months TB (Gross) rate plus 200 basis points

Trading Information on Listed Debentures

The debentures that have been traded during the year ended 2025 and 2024 are as follows.

	2025					2024				
	Highest LKR	Lowest LKR	Last traded LKR	Interest yield * %	Yield to maturity %	Highest LKR	Lowest LKR	Last traded LKR	Interest yield * %	Yield to maturity %
BoC Debentures 2023/2028, Unsecured, subordinated, redeemable with non viability written down features, 5 Years, fixed rate - 15.00%	N/T	N/T	N/T	N/T	N/T	N/T	N/T	N/T	N/T	N/T
BoC Debentures 2024/2029, Unsecured, subordinated, redeemable with non viability written down features, 5 Years, fixed rate - 13.50%	N/T	N/T	N/T	N/T	N/T	N/T	N/T	N/T	N/T	N/T
BoC Debentures 2025/2030, Unsecured, subordinated, redeemable with non viability written down features, 5 Years, fixed rate - 11.25%	N/T	N/T	N/T	N/T	N/T	N/A	N/A	N/A	N/A	N/A
Unsecured, subordinated, redeemable, sustainability Bond with non viability written down features 5 years, fixed rate (10.50%)	N/T	N/T	N/T	N/T	N/T	N/A	N/A	N/A	N/A	N/A
Unsecured, subordinated, redeemable, sustainability Bond with non viability written down features 5 years, floating rate (12 months TB (Gross)rate plus 200 basis points)	N/T	N/T	N/T	N/T	N/T	N/A	N/A	N/A	N/A	N/A

* As the date of last trade done
N/T - Not Traded
N/A - Not Applicable

TEN YEAR STATISTICAL SUMMARY – BANK

LKR million

For the year ended 31 December	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Operating results										
Income	154,121	189,211	221,021	239,116	247,164	290,362	513,149	542,187	485,405	548,623
Interest income	134,685	171,344	195,394	220,477	226,311	260,513	456,267	524,798	461,114	496,159
Interest expenses	(80,728)	(112,988)	(129,836)	(145,331)	(151,535)	(149,261)	(329,921)	(433,610)	(293,561)	(289,223)
Net interest income	53,957	58,356	65,558	75,146	74,776	111,252	126,346	91,188	167,553	206,936
Other operating income	19,437	17,868	25,627	18,640	20,853	29,849	56,882	33,001	24,291	39,864
Other operating expenses	(35,940)	(38,632)	(48,181)	(53,580)	(66,619)	(88,885)	(140,938)	(71,183)	(56,544)	(94,092)
Operating profit before taxes on financial services	37,454	37,592	43,004	40,206	29,010	52,216	42,290	53,006	135,300	152,708
Taxes on financial services	(6,265)	(7,249)	(9,588)	(10,521)	(5,458)	(9,027)	(11,313)	(12,664)	(28,396)	(31,881)
Profit before income tax	31,189	30,343	33,416	29,685	23,552	43,189	30,977	40,342	106,904	120,827
Income tax expense	(6,398)	(9,031)	(12,413)	(6,587)	(5,787)	(5,599)	995	(13,649)	(42,517)	(44,820)
Profit for the year	24,791	21,312	21,003	23,098	17,765	37,590	31,972	26,694	64,387	76,007

As at 31 December	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Assets										
Cash and cash equivalents	67,706	72,843	78,447	64,869	84,417	82,647	128,401	135,550	115,422	131,083
Balances with Central Banks	56,388	68,689	65,680	54,594	33,352	74,122	70,495	34,933	52,346	79,846
Placements with banks	11,675	8,067	40,450	44,476	27,616	4,957	16,459	74,966	62,413	39,459
Loans and advances to customers	1,000,082	1,163,161	1,429,107	1,549,805	1,988,409	2,413,762	2,325,594	2,209,061	2,177,708	2,371,752
Other financial assets	461,193	567,778	579,023	599,352	752,159	1,116,130	1,576,349	1,747,617	2,372,970	2,655,834
Investments in subsidiaries and associates	6,306	6,606	6,606	6,606	6,606	8,274	8,274	8,181	8,173	8,198
Investment properties	3,000	2,883	2,766	2,649	2,534	2,415	2,415	2,415	2,415	2,415
Property, Plant and Equipment and right of use assets	15,584	23,148	24,277	29,059	36,575	35,895	37,847	46,073	51,176	51,653
Intangible assets	563	811	1,238	1,127	1,021	1,040	1,442	1,555	1,609	2,791
Net employee benefit assets, derivative financial instruments and other assets	46,794	37,818	57,237	62,580	50,292	64,042	169,184	151,397	140,907	124,520
Total assets	1,669,291	1,951,804	2,284,831	2,415,117	2,982,981	3,803,284	4,336,460	4,411,748	4,985,139	5,467,551
Liabilities										
Due to banks	2,042	2,203	2,402	2,669	2,402	17,936	11,515	3,048	1,671	26,398
Due to customers	1,256,589	1,546,832	1,770,975	2,005,212	2,474,775	2,866,894	3,334,774	3,882,232	4,208,603	4,388,586
Debt securities issued and subordinated term debts	42,072	42,570	50,827	54,222	64,637	64,359	63,758	64,692	68,536	99,456
Other borrowings	254,895	222,679	299,192	172,017	237,991	606,264	570,708	112,129	160,223	332,935
Current tax liabilities	-	1,877	3,922	-	592	648	6,523	7,622	23,210	25,418
Other liabilities	20,843	24,488	25,343	38,714	45,925	46,423	94,998	90,311	220,336	228,958
Total liabilities	1,576,441	1,840,649	2,152,661	2,272,834	2,826,322	3,602,524	4,082,276	4,160,034	4,682,579	5,101,751
Equity										
Share capital	15,000	20,000	25,000	25,000	25,000	25,000	25,730	25,730	25,730	25,730
Permanent reserve fund	7,996	10,427	12,890	13,383	13,739	14,491	15,131	15,665	16,953	18,474
Retained earnings	54,155	63,472	78,062	87,689	96,984	136,739	158,616	171,352	183,389	204,352
Other reserves	15,699	17,256	16,218	16,211	20,936	24,530	54,707	38,967	76,488	117,244
Total equity	92,850	111,155	132,170	142,283	156,659	200,760	254,184	251,714	302,560	365,800
Total liabilities and equity	1,669,291	1,951,804	2,284,831	2,415,117	2,982,981	3,803,284	4,336,460	4,411,748	4,985,139	5,467,551
Contingent liabilities and commitments	547,399	496,477	508,307	508,218	580,449	999,727	1,344,900	1,539,206	1,788,296	1,808,405

TEN YEAR STATISTICAL SUMMARY – BANK

For the year ended 31 December	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Ratios										
Return on average assets (%)	1.9	1.7	1.6	1.3	0.9	1.3	0.8	0.9	2.3	2.3
Return on average equity (%)	28.4	20.9	17.3	16.8	11.9	21.0	14.1	10.6	23.2	22.7
Income growth (%)	17.2	22.8	16.8	8.2	3.4	17.5	76.7	5.7	(10.5)	13.0
Capital adequacy ratio (%) *										
- Tier I	8.7	10.8	10.3	11.2	11.2	14.3	12.4	12.8	13.0	12.4
- Tier I + Tier II	12.3	14.6	14.6	15.6	14.9	17.8	15.4	15.8	16.6	16.9
Capital funds to liabilities including contingent liabilities (%)	4.4	4.8	5	5.1	4.6	4.5	4.7	4.4	4.7	5.3
Liquidity ratio - domestic (%)**	21.6	27.2	24.5	24.6	26.6	25.0	21.2	42.8	N/A	N/A
Cost to income ratio (%)	43	38.4	38.1	37.3	37.0	32.0	29.4	55.7	40.1	33.0
Other information										
Number of employees	7,569	7,587	8,724	8,503	8,479	8,337	8,209	8,579	8,214	8,912
Number of branches	580	578	577	581	582	581	581	583	584	584
Number of ATMs, CDMs and CRMs	801	932	1,057	1,197	1,130	1,400	1,457	1,486	1,493	1,506
Number of advances ('000)	2,122	2,226	2,606	2,715	2,598	2,396	2,354	2,432	2,235	2,177
Number of deposits ('000)	12,706	13,254	13,421	14,480	15,027	15,287	15,863	16,903	17,110	17,508
										LKR million
Cash flow from operating activities	(21,346)	135,039	(25,790)	36,213	95,370	55,027	215,253	58,707	391,625	54,413
Cash flow from investing activities	83,642	(56,384)	11,667	25,620	(102,961)	(298,678)	(12,774)	41,016	(396,998)	(75,051)
Cash flow from financing activities	(73,927)	(73,822)	19,983	(75,901)	28,045	226,463	(150,755)	(84,795)	(13,687)	11,826
Capital expenditure on purchase of PPE and Lease hold properties	(2,053)	(3,081)	(3,400)	(3,386)	(2,946)	(1,771)	(2,244)	(3,178)	(5,011)	(3,252)

Note:

* 2017 onwards capital adequacy ratio figures are as per Basel III guidelines issued by the Central Bank of Sri Lanka.

** CBSL has discontinued the requirement to maintain the statutory Liquid Assets Ratio with effect from 15 June 2024.

Disclosure in terms of Section 7.6 (xvi) of the Listing Rules of the Colombo Stock Exchange on related party transactions exceeding 10% of the equity or 5% of the total assets of the Bank

The Bank did not carry out any transactions exceeding 10% of the equity or 5% of the total assets of the Bank, whichever is lower, with the related parties given in Note 61 to the Financial Statements, except for the transactions engaged with the Government of Sri Lanka and Government related entities.

The Government of Sri Lanka, who holds 100% shareholding in Bank of Ceylon and Government related entities, carry out transactions with the Bank, in the ordinary course of business and the aggregate monetary value of these transactions exceeded the threshold given in Section 7.6 (xvi) of the Listing Rules of Colombo Stock Exchange.

These transactions include:

1. Loans granted to the Government of Sri Lanka and State-Owned Enterprises.
2. Investment in Sovereign Bonds, Treasury bills and bonds issued by the Government of Sri Lanka.
3. Extending of trade finance credit and other related services to facilitate import transactions of the Government of Sri Lanka and State-Owned Enterprises.
4. Deposits made by the Government and Government related entities with the Bank

Most of these transactions are considered as recurrent nature transactions and the outstanding balances as at reporting date are given in Note 61.4 to the Financial Statements.

SUBSIDIARIES AND ASSOCIATES

Name of the Subsidiary/Associate	Present composition
Merchant Bank of Sri Lanka & Finance PLC BOC Merchant Tower, No. 28, St. Michael's Road, Colombo 03. Tel : 011 4711711 Fax : 011 4711742 e-mail : customercare@mbslbank.com Website : www.mbslbank.com	**Mr A M Anura Perera** Chairman/ Non-Executive Director **Ms R Dulani Fernando** Non-Executive Director **Mr Jehaan Ismail** Non-Executive Director **Mr R L S Annuruddha Rajapakse** Non-Executive Director **Mr H M P B Herath** Non-Executive Director BOC Representatives **Mr. R M N Jeewantha** Non-Executive Director **Mr Priyal Silva** Non-Executive Director **Mr Jayashantha Godakanda** Non-Executive Director
Property Development Limited 19th Floor, BOC Head Office Building, "BOC Square", No. 01, Bank of Ceylon Mawatha, Colombo 01. Tel : 011 2544328 Fax : 011 2544329 e-mail : pdlhrm@sltnet.lk Website : www.pdl.lk	**Mr Kavinda de Zoysa** Chairman/ Non-Executive Director **Mr W P Russel Fonseka** Non-Executive Director **Mr R B M Gunawardena** **Non-Executive Director** BOC Representatives **Mr Y A Jayathilaka** Non-Executive Director **Mr M P Ruwan Kumara** Non-Executive Director **Ms Priyanthi Wijesekara** Non-Executive Director **Mr S Sivanjan** Alternate to Mr Y A Jayathilaka
BOC Travels (Private) Limited 1st Floor, BOC Super Grade Branch Building, Baseline Road, Colombo 08. Tel : 011 2688154-8 Fax : 011 2688175 e-mail : info@boctravels.lk Website : www.boctravels.com	**Mr R M P Rathnayake** Chairman/ Non-Executive Director **Mr P A P Samantha Kumara** Non-Executive Director BOC Representatives **Mr Y A Jayathilaka** Non-Executive Director **Mr Rohana Kumara** Non-Executive Director **Mr K A Ajith Karunarathne** Non-Executive Director **Mr Badra K Gurusinghe** Alternate to Mr Y A Jayathilaka

Name of the Subsidiary/Associate	Present composition
BOC Property Development and Management (Private) Limited 10th Floor, BOC Merchant Tower, No. 28, St. Michael's Road, Colombo 03. Tel : 011 2301911 Fax : 011 2370606 e-mail : bocmt@bocpdml.lk	**Mr Kavinda de Zoysa** Chairman/ Non-Executive Director **Mr Russel Fonseka** Non-Executive Director BOC Representatives **Mr Y A Jayathilaka** Non-Executive Director **Mr Jayashantha Godakanda** Non-Executive Director **Mr M P Ruwan Kumara** Non-Executive Director **Ms Priyanthi Wijesekara** Non-Executive Director
Hotels Colombo (1963) Limited No. 02, York Street, Colombo 01. Tel : 011 2320320, 011 5221100 Fax : 011 2380433 e-mail : info@grandoriental.com Website : www.grandoriental.com	**Mr Jehaan Ismail** Chairman/ Non-Executive Director **Mr W P Russel Fonseka** Non-Executive Director **Mr A Nalin Attygalle** Non-Executive Director BOC Representatives **Mr Y A Jayathilaka** Non-Executive Director **Mr S Sivanjan** Non-Executive Director **Ms Priyanthi Wijesekara** Non-Executive Director
BOC IT Solution Pvt Ltd. BOC Head Ofice Building, "BOC Square", No. 01, Bank of Ceylon Mawatha, Colombo 01. Tel : 011 2432680	**Mr Kavinda de Zoysa** Chairman/ Non-Executive Director **Dr. Amal Illesinghe** Non-Executive Director **Dr. Ajantha Atukorale** Non-Executive Director BOC Representatives **Mr Y A Jayathilaka** Non-Executive Director **Mr M P Ruwan Kumara** Non-Executive Director **Mr Damma Wijayawardhane** Non-Executive Director
Ceybank Holiday Homes (Private) Limited 12th Floor, BOC Head Ofice Building, "BOC Square", No. 01, Bank of Ceylon Mawatha, Colombo 01. Tel : 011 2447845, 011 2204103-4 Fax : 011 2447845 e-mail : ceybankhh@gmail.com Website : www.ceybankholidayhomes.com	**Mr Y A Jayathilaka** Chairman/ Non-Executive Director **Ms Janaki S Siriwardane** Non-Executive Director **Mr Badra K Gurusinghe** Non-Executive Director **Mr Damma Wijayawardhane** Non-Executive Director **Ms Priyanthi Wijesekara** Non-Executive Director

SUBSIDIARIES AND ASSOCIATES

Name of the Subsidiary/Associate	Present composition
Bank of Ceylon (UK) Limited No: 1, Devonshire Square, London EC2M 4WD, United Kingdom. Tel : +44 207 3771 888 Fax : +44 207 3775 430 e-mail : info@bankofceylon.co.uk Website : www.bankofceylon.co.uk	**Mr Kavinda de Zoysa** Chairman/ Non-Executive Director **Mr C P J Fitzgibbon** Independent Non-Executive Director **BOC Representatives** **Mr Y A Jayathilaka** Non-Executive Director **Mr Madhawa Dissanayake** Chief Executive Officer/ Executive Director **Mr Sajeewa Samarakoon** Chief Operating Officer/ Executive Director
MBSL Insurance Company Limited No. 519, T B Jayah Mawatha, Colombo 10. Tel : 011 2304500 Fax : 011 2300499 e-mail : info@mbslinsurance.lk Website : www.mbslinsurance.lk	**Mr Dhammika Hapuhinne** Non-Executive/ Non-Independent Director **Mr H Nalinda Wijayatunga** Non-Executive/ Non-Independent Director **Mr W L Antony Fernando** Non-Executive/ Non-Independent Director **Ms W S Rosary Fernando** Non-executive/Non-Independent Director **Ms W D Shirangani Liyanage** Non-executive/ Non-Independent Director **Mr P I Kananaarachchi** Non-Executive/ Non-Independent Director
Ceybank Asset Management Limited No. 85, York Street, Colombo 01. Tel : 011 7602000 e-mail : info@ceybank.com Website : www.ceybank.com	**Mr Manilka Fernando** Chairman/ Non-Executive Director **Mr I C C Ferdinands** Chief Executive Officer/ Executive Director **Mr A Dayaratna Perera** Non-Executive Director **Ms W.Sriyani Kulasinghe** Non-Executive Director **Mr Sadasivan Girishkumar** Non-Executive Director **BOC Representatives** **Mr R M N Jeewantha** Non-Executive Director **Mr Jayashantha Godakanda** Non-Executive Director

Name of the Subsidiary/Associate	Present composition
Lanka Securities (Private) Limited 3rd Floor, M2M Veranda Offices, No. 34, W A D Ramanayake Mawatha, Colombo 02 Tel : 011 4706757 Fax : 011 2554942 e-mail : infor@lankasec.com Website : www.lankasecurities.com	**Ms Aamna Taseer** Chairman/ Non-Executive Director **Mr Shabaz Ali Taseer** Non-Executive Director **Mr Shehryar Ali Taseer** Non-Executive Director **Mr Kosala Gamage** Executive Director **Mr Dhammika Hapuhinne** Non-Executive Director **Mr Imran Hafeez** Alternate Director to Ms Aamna Taseer **Ms Shehrbano Taseer** Alternate Director to Mr Shehryar Ali Taseer **Mr Naheed Minhas** Alternate Director to Mr Shahbaz Ali Tseer **BOC Representatives** **Mr R M N Jeewantha** Non-Executive Director
Transnational Lanka Records Solutions (Pvt) Ltd No. 160/16, Kirimandala Mawatha, Narahenpita, Colombo 05 Tel : 011 7574574 Fax : 011 4514588 e-mail : suneth@transnational-grp.com Website : www.transnational-grp.com	**Mr D K Wye Liew** Non-Executive Director **Ms Ranee Jayamaha** Non-Executive Director **Ms D M Hing Liew** Non-Executive Director **Mr J C Yew Liew** Non-Executive Director **BOC Representatives** **Mr Rohana Kumara** Non-Executive Director **Mr M P Ruwan Kumara** Non-Executive Director

GLOSSARY OF FINANCIAL/ BANKING TERMS

A

Acceptances
Promise to pay created when the drawee of a time draft stamps or writes the word "accepted" above his signature and a designated payment date.

Accounting Policies
The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting Financial Statements.

Accrual Basis
To recognise the effects of transactions and other events as they occur, without waiting for the receipt or payment of related cash or its equivalent.

Actuarial Assumptions
An entity's unbiased and mutually compatible best estimates of the demographic and financial variables that will determine the ultimate cost of providing post-employment benefits.

Actuarial Gains and Losses
Actuarial gains and losses comprise the effects of differences between the previous actuarial assumptions and what has actually occurred and the effects of changes in actuarial assumptions.

Actuarial Valuation
Fund value determined by computing its normal cost, actuarial accrued liability, actuarial value of its assets, and other relevant costs and values.

Amortisation
The systematic allocation of the depreciable amount of an asset over its useful life. In the case of an intangible asset or goodwill, the term "amortisation" is generally used instead of "depreciation". Both terms have the same meaning.

Amortised Cost
The amount at which a financial asset or liability is measured at initial recognition, minus any repayment of principal, minus any reduction for impairment or uncollectibility, and plus or minus the cumulative amortisation using the effective interest method of the difference between that initial amount and maturity amount.

Anti-Money Laundering (AML)
A set of procedures, laws or regulations designed to prevent money laundering. Money laundering is an activity which aims to disguise the ownership of money that has an illegal origin such as trading of drugs, organised crimes, fraud and terrorism.

Attrition Rate
A measure of how many employees leave over a certain period of time.

B

BASEL III
The Basel Committee on Banking Supervision (BCBS) issued the BASEL III rules text, which presents the details of strengthened global regulatory standards on bank capital adequacy and liquidity.

C

Capital Adequacy Ratio (CAR)
The ratio between capital and risk weighted assets, as defined under the framework of risk-based capital standards developed by the Bank for International Settlements (BIS) and as modified to suit local requirements by Central Bank of Sri Lanka.

Collectively-Assessed Loan Impairment Provisions
Impairment assessment which carried out on a collective basis for homogeneous groups of loans that are not considered individually significant, in order to cover losses that has been incurred but has not yet been identified at the Reporting date.

Common Equity Tier 1 (CET 1)
Common Equity Tier 1 (CET 1) is a component of Tier 1 capital that consists mostly of Stated Capital.

Contractual Maturity
Contractual maturity refers to the final payment date of a loan or other financial instrument, at which point all the remaining outstanding principal will be repaid and interest is due to be paid.

Corporate Governance
The process by which corporations are directed and controlled. It is concerned with the rights and responsibilities among stakeholders used to determine and control the strategic directions and performance of the corporation.

Correspondent Banks
A bank in a foreign country that offers banking facilities to the customers of a bank in another country.

Country Risk
The credit risk associated with lending to borrowers within a particular country, sometimes taken to include sovereign risk.

D

Debt Equity Ratio
Long-term borrowings divided by shareholder's equity.

Deferred Taxation
Sum set aside for tax in the Financial Statements that will become payable/ receivable in a financial year other than the current financial year. It arises because of temporary differences between tax rules and accounting conventions.

Domestic Systemically Important Banks (D-SIBs)
Systemically Important Banks (SIBs) are perceived as banks that are "Too Big To Fail". D-SIBs are critical for the uninterrupted availability of essential banking services to the country's real economy even during crisis. The CBSL has designated Licenced Commercial Banks with total assets equal to or greater than LKR 500 billion as D-SIBs.

E

Equity Method
A method of accounting whereby the investment is initially recorded at cost and adjusted thereafter for the post acquisition change in the investor's share of net assets of the invested. The Statement of profit or loss reflects the investor's share of the results of operations of the invested.

Exposure at default (EAD) EAD
An estimate of the exposure at a future default date, considering expected changes in the exposure after the reporting date, including repayments of principal and interest and expected drawdowns of committed facilities.

Expected credit losses (ECLs)
Expected credit losses are a probability weighted estimate of credit losses over the expected life of the financial instrument.

F

Financing Activities
Activities that result in changes in the size and composition of the equity capital and borrowings of the entity.

Financial Instruments
Financial instrument is any contract that gives rise to financial asset of one entity and a financial liability or equity instrument of another entity.

Financial Assets Measured at Amortised Cost
A financial asset is measured at amortised cost if the asset is held within a business model whose objective is to hold assets to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial Assets Measured at Fair Value through Other Comprehensive Income (FVOCI)
FVOCI include debt and equity instruments measured at fair value through other comprehensive income.
A debt instrument is measured at FVOCI, if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Equity investments may be irrevocably classified as FVOCI when they meet the definition of Equity under LKAS 32- "Financial Instruments: Presentation", and are not held for trading.

Financial Assets Measured at Fair Value through Profit or Loss (FVTPL)
All financial assets other than those classified at Amortised Cost or FVOCI are classified as measured at FVTPL. These are held for trading or managed and their performance is evaluated on a fair value basis as they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Foreclosed Properties
Properties acquired in full or partial settlement of debts, which will be held with the intention of resale at the earliest opportunity.

Forward Exchange Contracts
Agreements between two parties to exchange one currency for another at a future date at a rate agreed upon today instrument of another entity.

G

Guarantees
Primarily represent irrevocable assurances that a bank will make payments in the event that its customer is unable to perform its financial obligations to third parties. Certain other guarantees represent non-financial undertakings such as bid and performance bonds.

GLOSSARY OF FINANCIAL/ BANKING TERMS

H

Historical Cost Convention
Recording transactions at the actual value received or paid.

I

Impairment
This occurs when recoverable amount of an asset is less than its carrying amount.

Individually Significant Loan
Impairment Provisions Impairment measured individually for loans that are individually significant to the Group.

Intangible Asset
An identifiable non-monetary asset without physical substance held for use in the production or supply of goods or services, for rental to others, or for administrative purposes.

Interest Margin
Net interest income as a percentage of average total assets.

Investment Securities
Securities acquired and held for yield or capital growth purposes and usually held to maturity.

K

Key Management Personnel (KMP)
Those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly.

L

Liquid Assets
Assets that are held in cash or in a form that can be converted to cash readily, such as deposits with other banks, bills of exchange, treasury bills.

Liquid Assets Ratio
Liquid assets expressed as a percentage of total liabilities other than shareholders' funds.

M

Mark to Market
The practice of periodically revaluing marketable securities to their current market value.

Materiality
The relative significance of a transaction or an event the omission or misstatement of which could influence the economic decisions of users of financial statements.

Mortality Rate
A measure of the number of deaths in some population, scaled to the size of that population, per unit time.

N

Net Interest Income
The difference between what the Bank earns as interest on assets such as loans and securities and what it pays as interest on liabilities such as deposits, refinance funds and interbank borrowings.

Net Realisable Value
The estimated selling price in the ordinary course of business, less the estimated costs of completion and the estimated costs necessary to make the sale.

Net Stable Funding Ratio (NSFR)
NSFR measures the amount of long-term, stable sources of funding employed by a bank relative to the liquidity profiles of the assets funded and the potential for contingent calls on funding liquidity arising from off-balance sheet commitments and obligations.

Nostro Account
A nostro account is a bank account held in a foreign country by a domestic bank, denominated in the currency of that country.

O

Off-Balance Sheet Transactions
Transactions not recognised as assets or liabilities in the Statement of Financial Position but which give rise to contingencies and commitments.

Operating Activities
The principal revenue producing activities of an entity and other activities that are not investing or financing activities.

P

Projected Unit Credit Method
An actuarial valuation method that sees each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.

Prudence
Inclusion of a degree of caution in the exercise of judgement needed in making the estimates required under conditions of uncertainty such that assets or income are not overstated and liabilities or expenses are not understated.

R

Redemption
Repayment of principal monies.

Related Parties
Two parties where one controls the other or exercise significant influence in financial and operating decisions, directly or indirectly.

Repurchase Agreement
Contracts relating to securities sold to creditors (who lend money for funding purposes), with the intention of buying them back at a set price on a specified future date.

Return On Average Assets (ROAA)
Profit before tax expressed as a percentage of average total assets. Used along with ROAE, as a measure of profitability and as a basis of intra industry performance comparison.

Return On Average Equity (ROAE)
Profit after tax less preferred share dividends, if any, expressed as a percentage of average ordinary shareholders' equity.

Reverse Repurchase Agreement
Transaction involving the purchase of government securities by a Bank or dealer and resale back to the seller at a given price on a specific future date.

Right of Use Assets
An assets which bears the lessee's right to use that throughout the lease term.

S

Significant Influence
Significant influence is the power to participate in the financial and operating policy decisions of an investee but is not controlled or jointly controlled over those policies.

Solvency
The availability of cash over the long term to meet financial commitments as they fall due.

Subordinated Debenture
The claims of the debenture holders shall in the event of winding up, rank after all the claims of the secured and unsecured creditors and any preferential claims under any statutes, but in priority to and over claims and rights of the shareholders.

Swaps
The simultaneous purchase and sale of foreign exchange or securities, with the purchase executed at once and the sale back to the same party. Carried out on an agreed upon price to be completed at a specified future date. Swaps include interest rate swaps, currency swaps and credit swaps.

T

Tier 1 Capital
Consists of the sum total of paid up ordinary shares, non-cumulative, non-redeemable preference shares, share premium, statutory reserve fund, published retained profits, general and other reserves, less intangible assets and other deductions.

Tier 2 Capital
Consists of the sum total of revaluation reserves, general provisions, hybrid capital instruments and approved subordinated debentures.

Total Capital
The sum of Tier 1 and Tier 2 capital.

U

Unit Trust
An undertaking formed to invest in securities under the terms of a trust deed.

Unsecured
Repayment of the principal and interest not being secured by any specific asset.

V

Value at Risk (VaR)
Estimated maximum loss that the Bank may incur in a given horizon at 99% confidence level.

Vostro Account
A local currency current account maintained with a bank by another bank.

Y

Yield to Maturity (YTM)
Discount rate which the present value of future cash flows would equal the security's current price.

CORPORATE OFFICES AND OVERSEAS BRANCHES

Corporate Offices

BOC Card Centre

Issuing and managing VISA and Master branded Credit Cards, Franchising and servicing merchants using point of sales machines.

Level - 01, West Tower, World Trade Centre, Echelon Square, Colombo 01,
Sri Lanka.

Tel : +94 11 232 5088, 239 5806
220 5620/ 21, 232 5095
Fax : +94 11 232 5092
Email : cmccc@boc.lk, cmdpp@boc.lk
mgrmktacq@boc.lk

Branch Code : 731, 2460

BOC Premier Centre

Dedicated Centre for Private Banking

No. 21, Sir Ernest De Silva Mawatha,
Colombo 07, Sri Lanka.

Tel : +94 11 269 4282 - 86
Fax : +94 11 269 4280
Email : pbc@boc.lk

Branch Code : 788

Ceybank Gold Shop

Supplier of precious gold to the nation.

Ground Floor, Bank of Ceylon Head Office,
"BOC Square", No. 01,
Bank of Ceylon Mawatha, Colombo 01,
Sri Lanka.

Tel : +94 11 234 5420
Fax : +94 11 234 5420
Email : goldshop@boc.lk

Branch Code : 087

Credit Support Department

Issuing of local and International Guarantees and documentation of credit facilities

3rd Floor, Bank of Ceylon Head Office,
"BOC Square", No. 01,
Bank of Ceylon Mawatha, Colombo 01,
Sri Lanka.

Tel : +94 11 254 1943
Email : corpcrsupport@boc.lk
crsupport@boc.lk

Branch Code : 660

Correspondent Banking Unit

Gateway to global banking and financial relationships

9th Floor, Bank of Ceylon Head Office,
"BOC Square", No. 01,
Bank of Ceylon Mawatha, Colombo 01,
Sri Lanka.

Tel : +94 11 244 5791
Fax : +94 11 244 5791
Email : cmcbd@boc.lk, corresbd@boc.lk,
cdb@boc.lk

Branch Code : 087

Dealing Room

Providing money market and foreign exchange related services

7th Floor, Bank of Ceylon Head Office,
"BOC Square", No. 01,
Bank of Ceylon Mawatha, Colombo 01,
Sri Lanka.

Tel : +94 11 234 6844, 244 5785-7
Fax : +94 11 244 5788
Email : chiefdealer@boc.lk

Branch Code : 760

Electronic Banking Unit

Issuing, Linking and Reactivation of ATM Cards, ATM Card Limit Enhancements, facilitator for Smart Online Banking.

21st Floor, Bank of Ceylon Head Office,
"BOC Square", No. 01,
Bank of Ceylon Mawatha, Colombo 01,
Sri Lanka.

Tel : +94 11 220 4650
Fax : +94 11 244 7569
Email : ebank@boc.lk, debitcard@boc.lk,
cmebu@boc.lk

Branch Code : 777

Inward Remittances Department

Leading remittance service provider in Sri Lanka.

8th Floor, Bank of Ceylon Head Office,
"BOC Square", No. 01,
Bank of Ceylon Mawatha, Colombo 01,
Sri Lanka.

Tel : +94 11 220 3750-57,
244 5792, 254 1933
Email : irdept@boc.lk

Branch Code : 087

Islamic Banking Unit

Brand house for Islamic Banking products and services

25th Floor, Bank of Ceylon Head Office,
"BOC Square", No. 01,
Bank of Ceylon Mawatha, Colombo 01,
Sri Lanka.

Tel : +94 11 220 5030, 351 2283
Fax : +94 11 220 5036
Email : ibu@boc.lk

Branch Code : 776

Primary Dealer Unit

Trading and Investment of Government Securities

7th Floor, Bank of Ceylon Head Office,
"BOC Square", No. 01,
Bank of Ceylon Mawatha, Colombo 01,
Sri Lanka.

Tel : +94 11 2448830, 2203607
Fax : +94 11 2448207
Email : pdu@boc.lk

Branch Code : 760

Trade Promotion Unit

Service provider for migrant employee community

9th Floor, Bank of Ceylon Head Office,
"BOC Square", No. 01,
Bank of Ceylon Mawatha, Colombo 01,
Sri Lanka.

Tel : +94 11 2447831, 2203880
Email : inttrade@boc.lk

Branch Code : 087

Trade Services Department

Providing trade finance facilities and services

2nd Floor, Bank of Ceylon Head Office,
"BOC Square", No. 01,
Bank of Ceylon Mawatha, Colombo 01,
Sri Lanka.

Tel : +94 11 2394310, 2203310
Fax : +94 11 2542170
Email : agmtradefinance@boc.lk

Branch Code : 660

International Customer Service Support Unit (Foreign Circle)

Catering to emigrants and Sri Lankans working overseas

9th Floor, International Division,
Bank of Ceylon Head Office,
"BOC Square", No. 01,
Bank of Ceylon Mawatha, Colombo 01,
Sri Lanka.

Tel : +94 11 2321162, 220 3860
Email : fc@boc.lk

SME Circle

Providing information advisory services for SMEs export oriented, SME innovation inventors and tech startups.

1st Floor, Bank of Ceylon Head Office,
"BOC Square", No. 01,
Bank of Ceylon Mawatha, Colombo 01,
Sri Lanka.

Tel : +94 11 2441999, 2204525
Email : smeonline@boc.lk

BOC Export Circle

Facilitate end to end financial and non-financial services to startups and SME exports throughout their supply chain.

2nd Floor, Bank of Ceylon Head Office,
"BOC Square", No. 01,
Bank of Ceylon Mawatha, Colombo 01,
Sri Lanka.

Tel : +94 11 2541945, 2203280,
2203247
Email : exportcircle@boc.lk

Overseas Branches

Male Branch

"Aage" No. 12, Boduthakurufaanu Magu, Henveiru,
Male. 20094,
Republic of Maldives.

Tel : +960 3323045, 3020500
Email : agmmale@boc.lk
SWIFT Code : BCEYMVMV

Branch code : 632

Hulhumale Branch

Teak Unit 1, Amin Avenue, Hulhumale, Republic of Maldives.

Tel : +960 3350921, 3350923
Fax : +960 3350924

Chennai Branch

No. 20/21, Casa Major Road,
New No. 2 (Old No. 11), Zerat Garden,
2nd Lane, Egmore,
Chennai 600 008, India.

Tel : +91 44 2819 0972/ 73/ 75
+91 44 3951 9913
Email : agmcb@boc.lk

SWIFT Code : BCEYIN5M

Branch Code : 758

Seychelles Branch

Oliaji Trade Center, Fransis Rachel Street, P.O. Box 1599, Victoria, Mahe,
Republic of Seychelles.

Tel : +248 467 3608, 467 3609
Email : agmseychelles@boc.lk
SWIFT Code : BCEYSCSC

Branch Code : 807

CORPORATE INFORMATION

GRI 2-1

Name of the Institution

Bank of Ceylon

Legal Form

A banking corporation domiciled in Sri Lanka, duly incorporated on 01 August 1939 under the Bank of Ceylon Ordinance No. 53 of 1938.

A licensed commercial bank established under the Banking Act No. 30 of 1988.

Registered Office

No. 01, "BOC Square"
Bank of Ceylon Mawatha,
Colombo 01, Sri Lanka.

Tel : +94 11 220 3333 (Hotline)
Facsimile : +94 11 232 1160
Bank code : 7010
SWIFT code : BCEYLKLX
Email : boc@boc.lk, customercare@boc.lk
Website : www.boc.lk
Hotline : 1975

Call Centre

Tel : +94 11 220 4444
Facsimile : +94 11 232 0864

24 Hour Service Centre

Travel Counter, Ground Floor,
Bank of Ceylon Head Office, No. 01,
"BOC Square", Bank of Ceylon Mawatha,
Colombo 01, Sri Lanka.

Tel : +94 11 220 3044/45
Facsimile : +94 11 244 5801

Financial Year End

31 December

Tax Payer Identification Number (TIN)

409000070

VAT Registration Number

409000070-7000

SVAT Registration Number

SVAT002898

Stock Exchange Listing

The Unsecured, Subordinated Redeemable Debentures of December 2023/ December 2028 series, September 2024 / September 2029, May 2025 / May 2030 series, December 2025 / December 2030 sustainability bond series with fixed interest rates and December 2025 / December 2030 sustainability bond series with floating rate are listed on Colombo Stock Exchange.

Local Ratings

National long-term rating: AA- (lka)
Subordinated debentures: A (lka)
by Fitch Ratings Lanka Limited
Lanka Rating Agency Limited AA- (Stable)

Global Ratings

Long-term Foreign Currency Issuer Default Rating "CCC+" by Fitch Ratings

Lawyers

Ms Subhani Nanayakkara
Actg. Chief Legal Officer of Bank of Ceylon and her assistants.

Tel : +94 11 244 5813/220 4400
Facsimile : +94 11 232 1167
Email : clo@boc.lk

Compliance Officer

Ms W B P Rathnayake
(Chief Compliance Officer)

Tel : +94 11 244 8532/220 4800
Facsimile : +94 11 254 4306
Email : cco@boc.lk

Auditor

The Auditor General

National Audit Office, 306/72,
Polduwa Road, Battaramulla, Sri Lanka.

Tel : +94 11 2887028-34 (6 lines)
Facsimile : +94 11 288 7223
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(Appointed in terms of the provisions of Article 154 of the Constitution of the Democratic Socialist Republic of Sri Lanka)

Registrars to the Debenture Issues

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Board of Directors

Mr Kavinda de Zoysa
Dr Kapila Senanayake
Mr Jehaan Ismail
Dr. Amal Illesinghe
Mr R M P Rathnayake
Mr Darshana Gunasekera
Mr Thulci Aluwihare
Ms Sharmini Ratwatte
Mr Dharshan Jayaratne
Mr Sunimal Weerasooriya
Eng. Prof. Ananda Jayawardane

Secretary, Bank of Ceylon/ Secretary to the Board

Ms Janaki Senanayake Siriwardane

Audit Committee

Mr Darshana Gunasekera (Chairman)
Dr Kapila Senanayake
Mr Thulci Aluwihare

Integrated Risk Management Committee

Mr R M P Rathnayake (Chairman)
Ms Sharmini Ratwatte
Mr Dharshan Jayaratne
Mr Sunimal Weerasooriya

Human Resources and Remuneration Committee

Mr Jehaan Ismail (Chairman)
Mr Kavinda de Zoysa
Mr Dharshan Jayaratne

Nomination and Governance Committee

Mr Jehaan Ismail (Chairman)
Mr Kavinda de Zoysa
Mr R M P Rathnayake
Eng. Prof. Ananda Jayawardane
Mr Darshana Gunasekera

Information and Communication Technology Committee

Dr. Amal Illesinghe (Chairman)
Mr Kavinda de Zoysa
Mr Sunimal Weerasooriya

Related Party Transactions Review Committee

Mr Dharshan Jayaratne (Chairman)
Mr R M P Rathnayake
Mr Thulci Aluwihare

For clarifications on the Report, please contact
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